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Anjumani v Ali
[1999] 1 EA 1 (CAK)

Division: Court of Appeal of Kenya at Mombasa

Date of ruling: 23 July 1999

Case Number: 328/98

Before: Gicheru, Tunoi and Lakha JJA

Sourced by: LawAfrica

Summarised by: HK Mutai

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[1] Appeal – Notice of appeal – Application to amend notice – Whether the court had jurisdiction to permit the amendment of a notice of appeal – Rules 44, 54 and 85 – Court of Appeal Rules.

[2] Statute – Interpretation – Subsidiary legislation – All rules to be interpreted in such a manner as to give them effect.

Editor's Summary

A reference was made by the Respondent under rule 54 of the Court of Appeal Rules, seeking to have the decision of a single judge of the court reversed. By his decision, the single Judge had allowed the Appellant to amend a notice of appeal and extend time for lodging the record of appeal.

The Respondent's contention in seeking reversal of the Judge's orders was that the notice of appeal was a primary document within the meaning of rule 85(1) of the Court of Appeal Rules and was not a document specified in rule 85(2A) which can be filed by way of a supplementary record or affidavit if originally omitted from inclusion in the record. By allowing an amendment therefore, the single Judge had permitted a primary document to be filed by way of a supplementary record.

The Appellant countered the Respondent's case in broad terms touching upon the justice of the matter, arguing that it would be catastrophic for litigants if small errors could be beyond the realm of an amendment.

Held – Rule 85(2A) of the Court of Appeal Rules specified those documents that could be filed by way of a supplementary record or affidavit if originally omitted from inclusion in the record. Though rule 44 of the Rules referred to the amendment of any document, it had to be construed in the light of rule 85(2A). Every Rule had to be given effect and no Rule could be treated as being meaningless or superfluous. If any document were to be interpreted in such a manner as to include every document,

the whole purpose of rule 85(2A) would be defeated and the Rule rendered superfluous. As a notice of appeal was not one of the documents specified in rule 85(2A), it could not lend itself to amendment.

No cases referred to in ruling

Ruling

Gicheru, Tunoi and Lakha JJA: This is a reference under rule 54 of the Rules of this Court (the Rules) seeking to have the decision of a single judge of this Court (Shah JA) given on 25 January 1999 reversed. By it he made two orders as follows:

"(1) To amend the notice of appeal filed on 22 October 1997 by substituting the date therein, 16 October 1997 (as date of the ruling) to 15 October 1997

(2) To extend time to lodge the record of appeal by such time so that the record of appeal lodged on 23 October 1998 is deemed to be filed in time".

Mr *Kimani*, on behalf of the Respondent, in a brief but persuasive submission, complained of several flaws in the single Judge's ruling including one that raised the issue whether the notice of appeal can be amended at all. Being a matter of jurisdiction it is clearly one which, we think, should now be taken. The basis of the argument is that a notice of appeal is a primary document within the meaning of rule 85(1) of the Rules and it is not a document specified in rule 85(2A) which can be filed by way of a supplementary record or affidavit if originally omitted from inclusion in the record. Such a result can, therefore, be achieved by a side wind if an amendment can be allowed.

On the other hand, Mr *Suchak*, on behalf of the Appellant, countered these arguments in broad terms touching upon the justice of the matter. It would be catastrophic for the clients if small errors could be beyond the realm of an amendment.

We have given most anxious consideration to these rival contentions. At the end of the day, in our judgment, although there is considerable force in Mr *Suchak*'s submissions, those of Mr *Kimani* must prevail. Whilst it is true that rule 44 speaks of an amendment of any document, it must necessarily be construed in the light of rule 85(2A) which was brought in by way of an amendment in 1990. If any document were interpreted liberally to include every document then the whole purpose of rule 85(2A) would be defeated. Every rule, particularly one brought in by way of an amendment, must be given effect to and cannot be treated as meaningless or superfluous. If that were right, as we think it is, a primary document cannot lend itself to an amendment.

In view of the conclusion, which we have reached, it is not necessary, in our judgment, to consider or express any firm view on all the other issues adumbrated before us.

Accordingly and, for the reasons stated above, this reference succeeds with costs to the Respondent, the decision of the single Judge given herein on 25 January 1999 is set aside and the application dated 9 December 1998 made by the Appellant to the single Judge is dismissed with costs to the Respondent.

For the Appellant:
Suchak

For the Respondent:
Kimani

Bank of Uganda v Masaba and others
[1999] 1 EA 2 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of ruling:	6 May 1999
Case Number:	3/98
Before:	Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC
Sourced by:	LawAfrica

Summarised by: M Kibanga

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[1] Contract – Offer and acceptance – Employer inviting employees by letter to take early retirement in return for offer of retirement package with enticing terms – Employee

accepting to retire on the basis of the promise – Employer reneging on some terms – Whether employer conduct negligent misrepresentation – Whether employer bound by the terms of offer.

[2] Damages – General damages – Whether general damages awardable for breach of contract.

[3] Employment – Retirement – Employer offering employee early retirement package – Employer promising not to make certain deduction from emoluments – Employer deducting – Whether employee entitled to refund.

Editor's Summary

The Respondents were employees of the Appellant Bank. In November 1994, the governor of the Appellant wrote to all employees offering them a voluntary retirement scheme. The purpose of the scheme was to reduce the work force owing to the Appellant's bad financial situation.

The letter was intended to induce the employees to voluntarily retire and contained several items for payment and a clause indicating that the employees with house loans would have the loans registered as legal mortgages to be repaid over a period to be agreed between the Appellant and the employee.

The Respondents individually applied to retire under the scheme and their applications were approved. However, the Respondents were shocked when they received their terminal pay. The Appellant had deducted from their terminal dues the amount each owed the bank in respect of house loans. Consequently what they received was very little.

The Respondents sued the Appellant alleging they were induced to retire voluntarily by the representations made to them and which the Appellant knew to be false or which were made recklessly, not caring whether they were true or false. As a result of the Appellant's representations the Respondents allegedly lost their employment and earnings, promotions and salary increments and investments from such salaries. They were subjected to wrongful housing deductions. The claimed general and special damages. The First Respondent had sued in a separate suit while the other Respondents had sued in another suit. The High Court ruled in the Respondents' favour and ordered the Appellant to pay general damages and refund the deductions on the house loans.

In the plaints the Respondents had not specifically listed particulars of misrepresentation by the Appellant but the narrations in the various paragraphs of the plaint clearly showed facts of misrepresentation and breach of contract.

The Appellant appealed separately against the decisions of the High Court but the appeals were consolidated. The Court of Appeal upheld the decisions of the High Court and the Appellant appealed to the Supreme Court. The grounds of appeal were mainly that misrepresentation had not been specifically pleaded, in breach of Order 6, rule 2 of the Civil Procedure Rules; the court erroneously found that the Appellant was bound by its statement that the house loans would not be deducted; the court erred in ordering that the house loans be refunded without a provision for their refund and the court erred when it held that the trial Judges properly directed themselves on the quantum of damages.

Held – The Respondents' pleadings sufficiently complied with the requirements of Order 6, rule 2 of the Civil Procedure Rules and the paragraphs of the

plaint when read together left no doubt that the Respondents' case was founded on breach of contract and misrepresentation.

The Appellant's misrepresentation was relied on by the Respondents with disastrous consequence on the Respondents. The Respondents had acted on the promise and suffered damage; *Esso Petroleum Company Limited v Mardon* [1976] 2 All ER 5 applied.

The Appellant's promise in the letter inviting the Respondents to retire was an offer which was accepted by the Respondents. By deducting the Respondents' house loans from their voluntary retirement benefits, the Appellant was in breach of contract. The house loans deducted were ordered to be refunded to the Respondents because the deduction was made against clear terms of the contract.

In cases of breach of contract the aggrieved party is only entitled to recover such part of the loss as was at the time of the contract reasonably foreseeable as liable to result from the breach. Damages may, however, be awarded from disappointment arising out of the breach; *Chande and others v East African Airways Corporation* [1964] EA 78 considered.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Bandali v Lombank Tanganyika Ltd [1963] EA 303

Century Automobiles Ltd v Hutchings Biemer Ltd [1965] EA 304

Chande v East African Airways Corporation [1964] EA 78 – **C**

Interfreight (U) Ltd v East African Development Bank Supreme Court civil appeal number 3 of 1993 (UR)

Lubega v Barclays Bank Supreme Court civil appeal number 2 of 1992 (UR)

Okello v Uganda National Examination Board Supreme Court civil appeal number 12 of 1987 (UR)

Okello v Uganda National Examination Board Supreme Court civil number appeal 12 of 1998 (UR)

United Kingdom

Candler v Crane Christmas and Co [1951] 1 All ER

Central London Proper Trust Ltd v High Trees Ltd [1947] KB 130

Cook v Spanish Holiday Tours (London) Ltd [1960] "Times' 6 February

Doyle v Olby (Iron Mongers) Ltd [1969] 2 All ER

Edwards v Skyways Ltd [1964] 1 WLR 1078

Edwards v Skyways Ltd [1964] 1 WLR 349

Esso Petroleum Co Ltd v Mardon [1976] 2 All ER 5 – **AP**

Esso Petroleum Company Limited v Customs Exercise Commissioners [1976] 1 WLR

Everden v Guildford City Association Football Club Ltd [1975] 3 All ER

Flint v Lovell [1935] 1 KB 354

Hadley v Baxendale [1854] 156 All ER 145

Hedley Byrne and Co Ltd v Heller and Partners Ltd [1964] AC 465

Hedley Byrne and Co Ltd v Heller and Partners Ltd [1961] All ER 465

Hughes v Metropolitan Railways [1877] 2 AC 439

Material Life and Citizens Assurance Co Ltd and another v CRE Evaff [1971] AC 793

May and Butcher v Republic [1934] 2 KB 354

Mutual Life and Citizens Assurance Ltd v Evatt [1971] 1 All ER 150

Victoria Laundry (Windsor) Ltd v Newman Industries Ltd [1949] All ER 997

Others

Capital Motors Limited v Beecham [1975] 1 N2 LR 576

Sealand of the Pacific Ltd v Ocean Cement Ltd [1973] DLR (3d) 625

Judgment

Oder JSC: The Respondents in this appeal were employees of the Appellant Bank of Uganda. The First Respondent successfully sued the Appellant in the High Court in civil suit number 633 of 1995. The other five Respondents also successfully sued the Appellant in another suit in the High Court, namely civil suit number 725 of 1995. The two suits were based on similar facts. The remedies prayed in them were also similar. The suits were tried separately, the First Respondent's suit being disposed of first, in his favour. The other suit was tried subsequently. It was also decided in favour of the other Respondents.

The Appellant as the unsuccessful party appealed to the Court of Appeal against the High Court decisions in both cases, but separately. The Court of Appeal consolidated and heard the appeals together. It dismissed the appeals. The Appellant has now appealed to this Court against the dismissal.

The facts of the case may be stated briefly as follows:

On 1 November 1994 the Appellant's governor wrote to all its employees, offering them a voluntary retirement scheme. The main reason for the scheme was that the Appellant wanted to reduce its number of employees because it was facing financial difficulties. The letter made certain representations to its employees, intended to induce them to voluntarily retire. The letter was Exhibit P4 in the First Respondent's case, and Exhibit P2 in the other Respondent's case. It stated, *inter alia*:

> "To facilitate the resettlement of staff who will elect to leave the bank under the early retirement and/or voluntary termination of services scheme, the Board of Directors has decided to pay the following compensation package:
>
> 1. One month's gross salary per year of service.
> 2. Early retirement.
>
> (*a*) six months gross salary for those 50 years and older, with 15 or more years of service.
>
> (*b*) three months of gross salary for those 45 years and older, with 10 or more years of service.
>
> 3. Long service:
>
> two months gross pay for those with 10 years service and aged 50, increasing by two months per year to a maximum of 12 months at the age of 55.
>
> 4. Adjustment allowance:
>
> Provident fund contributed by both the employee and bank, three months pay in lieu of notice and

accumulated leave will also be paid as an additional settlement.

5. Staff indebtedness to the bank:

The bank shall have the right to off-set all personal loans, other than housing loans, granted to employees leaving the bank under this compulsory package. However, any housing loan, which is currently secured by hypothecation of Mailo land certificate or lease deposited with the bank, shall be registered as a legal mortgage loan to be repaid over a period to be agreed between the bank and each employee concerned before departure".

The Respondents individually applied to the Appellant to retire on the basis of the terms and conditions specified in the governor's letter of 1 November 1994. Payments of their respective retirement packages were processed and made to the Respondents. However, when they received the payments the Respondents were shocked to discover that their respective housing loans had been deducted from their retirement packages. Due to the deductions, they were left with little or no money to start retirement life. They were virtually penniless.

Consequently, the Respondents sued the Appellant in the suits already referred to in this judgment. In the suits they alleged that they were induced to retire voluntarily by the representations made to them, and which the Appellant knew to be false and untrue or which the Appellant made to the Respondents recklessly, not caring whether the representations were true or false. As a result of the Appellant's representations, the Respondents allegedly lost their employments and earnings, lost promotions and salary increments, lost investments from such salaries, and lost full compensation and or business prospects. It was also alleged that the Respondents were wrongfully subjected to housing loans deductions. By reason of the foregoing, the Respondents allegedly suffered loss and damage. The suits then prayed for, *inter alia*, general and special damages: Special damages included refund of the housing loans deducted from their retirement benefits.

The Appellant resisted the suits, pleading, *inter alia*, that the respective housing loan agreements between the Appellant and the Respondents provided that the loan agreements would remain operative only as long as the Respondents remained in the Appellant's employment. The Respondents having voluntarily retired from such employment the Appellant was entitled to recover the housing loans from the Respondents retirement packages. The Appellant also denied that the governor's letter of 1 November 1994 (Exhibits P2 and P4) constituted agreements between the Appellants and the Respondents. It did not, therefore, amend or alter the terms of the housing loan agreements between them.

Similar issues at the trial in both cases were:

(i) Whether the defendant's circular complained of in the plaint were false representations.

(ii) Whether there was a contract between the plaintiffs and the defendant for housing loans not to be deducted.

(iii) Whether there was a breach of contract.

(iv) What was the quantum of damages?

In both cases the Learned trial Judges answered the issues in the positive, found for the Respondents, and held that the Appellant had made false representations to the Respondents and was in breach of contracts arising out of the Respondent's acceptance of the voluntary retirement scheme. Judgements were entered for the Respondents for general and special damages and for refund to the Respondents of the housing loans which had been deducted from their retirement packages. General damages of UShs 7 million and UShs 10 million were

also awarded to the First Respondent and, collectively to the last five Respondents respectively.

The Appellant appealed to the Court of Appeal and lost the appeal. Hence this appeal. Seven grounds of appeal are set out in the memorandum. The first ground is to the effect that the Learned Justices of Appeal erred when they held that negligent misrepresentation was pleaded as required by law; that it was relied upon and that it was proved against the Appellant in the High Court. The second ground is that the Learned Justices of Appeal misinterpreted and wrongly applied the principle of negligent misrepresentation when the same was not applicable to the facts of the appeal before them.

I shall first consider the two grounds of appeal together, because they turn on the issue of negligent misrepresentation. The Appellant made a lengthy written statement of its arguments of the grounds of appeal. This was done under rule 93 of the Rules of this Court. The arguments are similar to those that were put forward to the Court of Appeal.

Under the first ground it is contended that the last five Respondents did not properly plead misrepresentation, as no particulars of the alleged misrepresentation were given. It is said that the error was even worse in the First Appellant's suit, because the plaint did not give the slightest indication of misrepresentation, and still less, particulars of the alleged misrepresentation. This was contrary to the requirement of Order 6, rule 2 of the Civil Procedure Rules. It is contended that this Court has consistently held that a party must plead particulars of misrepresentation under distinct heads. An example of such a holding is found in the case of *Lubega v Barclays Bank* Supreme Court civil appeal number 2 of 1992 (UR). The case of *Okello v Uganda National Examination Board* Supreme Court civil appeal number 12 of 1998 (UR) is also relied on in this regard.

In the instant case it is contended by the Appellant's learned counsel that failure to plead particulars of misrepresentation disentitled the First Respondent to a finding based on misrepresentation. As it happened, the Court of Appeal erred not to have distinguished the two cases and to have made a blanket finding of negligence in favour of all the Respondents. The Learned trial Judge in the First Respondent's case did not deal with representation at all, nor referred to the Appellant's submission on the point. It is contended that the other Respondents' plaint similarly failed to plead particulars of the alleged misrepresentation, which should have been done in order to put the Appellant on notice of what was relied on; fraud or negligent misrepresentation. Paragraph eight of that plaint is criticised for having fallen short of the legal requirement of pleading fraud or negligent misrepresentation. Consequently, negligent misrepresentation was neither proved nor relied on in the Respondents' case.

Written statements of arguments in reply to the Appellant's written submissions were also filed by the Respondents' learned counsel. One statement contained the reply for the Second, Third, Fourth, Fifth and Sixth Respondents. The First Respondent's reply was made in a separate statement. Under the first ground of appeal the five Respondents' arguments in reply are that negligent misrepresentation was pleaded, not only in paragraph eight, but also in paragraphs six, seven and nine of the plaint. Read together, it is said, the four paragraphs clearly indicate that the Respondents relied on negligent misrepresentation. It is contended that the pleadings therein were proper, because they had been adopted from Bullen and Leake and Jacobs *Precedents of Pleadings* (12ed)

at 454 and 455, which this Court has cited with approval in previous decisions, for instance, in the case of *Interfreight (U) Limited v East African Development Bank* Supreme Court civil appeal number 3 of 1993 (UR). It is also contended that negligent misrepresentation was proved by the evidence of Geoffrey Kashaija Kirabira (PW1) and Francis Xavier Tinkasimire (DW1), and by what the Appellant's governor informed the Respondents, in his letters of 21 September 1994 (Exhibit P6), 1 November 1994 (Exhibit P2) and 19 December 1994 (Exhibit P7), addressed to the Respondents regarding the voluntary retirement scheme.

Under the second ground of appeal it is contended for the last five Respondents that the Appellant's Board of Directors was in such a legal position that the Respondents could reasonably rely upon its judgment or ability to make a careful inquiry before the Respondents were offered terms of the voluntary retirement. In the circumstances, the Board of Directors had a duty to the Respondents to use reasonable care in preparation of the voluntary termination scheme. The representation was from the employer to the employees. The Board was therefore, required by its position to exercise skill and judgment in designing the voluntary termination scheme. The Board's decision and the governor's communication thereof to the Respondents were made in the course of business; not in a domestic or social relation. The Appellant's misrepresentation, therefore, entitled the Respondents to bring court action in tort as well as in contract. The warranty to the Respondents was that housing loans would not be deducted. The Appellant gave the warranty without reasonable, care. It was broken, exposing the Appellant to liability in damages. As for negligent misrepresentation, the Appellant, by negligent misstatement, induced the Respondents to enter into the voluntary termination scheme. The Appellant is, therefore, liable in damages. For these submissions, the Respondents relied on *Hedley Byrne and Company Limited v Heller and Partners Limited* [1964] AC 465; *Edwards v Skyways Limited* [1964] 1 WLR 349; *Esso Petroleum Company Limited v Customs Exercise Commissioners* [1976] 1 WLR at 4 and *Material Life and Citizens Assurance Company Limited and another v CRE Evaff* [1971] AC 793.

In reply under grounds one and two of the appeal the First Respondent's written submissions adopted the arguments of the Second, Third, Fourth, Fifth and Sixth Respondents. He also adopted his own submissions in the lower court on the same points.

Although it is rather lengthy, it is necessary, in my view, to begin by setting out the Respondents' pleadings which have received so much criticism from the Appellant. The relevant paragraphs of the First Respondent's plaint in his case, civil suit number 663 of 1995, are as follows:

> "6. That while the plaintiff was in employment he obtained a housing loan from the defendant
>
> 7. The plaintiff avers that he had a repayment schedule of the said loan with the defendant, which was agreed upon to last till the year 2009. Annexure "A".
>
> 8. ...
>
> 9. The plaintiff avers that sometime in November 1994, the governor passed a circular to members of staff inviting them to apply for early retirement in consideration of large sums of money which they would use to set up business for a living as soon as they left the bank. Annexures "B" and "C".
>
> 10. The plaintiff shall further aver that the Bank undertook not to deduct the existing housing loans from the retirement packages.

11. The plaintiff having been induced by the said circular asked for retirement and expected to obtain a package of over UShs 12 million (shillings twelve million) with which to start a new life and in consideration of which he volunteered to retire early as requested by the defendant.

12. The plaintiff shall aver that as soon as the defendant's governor received the retirement letter, they gave him a package of UShs 2,4 (shillings two million four hundred thousand) only and contrary to their representations to the plaintiff and in breach of agreement deducted over UShs 10 million (shillings ten million) from the package being housing loan.

13. ...

14. The plaintiff further avers that in spite of the unlawful deductions of UShs 10 million from his retirement package, the defendant is also holding the certificate of title of his home as security till the balance of the loan is fully paid ...

15. The plaintiff shall aver that the actions of the defendant amounted to a breach of contract and misrepresentation which has caused him financial loss".

At the trial of his suit, the First Respondent's evidence as PW1 was consistent with what was stated in his plaint. The gist of his evidence was that as an employee of the Appellant he received a housing loan on specified terms, contained in a loan agreement made between him and the Appellant. Some of the terms were that the loan would be recovered in 158 instalments from the First Respondent's salary, beginning February 1984 until May 2009. In 1994, the Appellant's governor invited its employees to apply for voluntary retirement on the terms set out in the letter of 1 November 1994. This is the letter, parts of which have been reproduced earlier in this judgment. The First Respondent in his testimony emphasised the fifth paragraph of that letter, and said that it was one of the important factors, which made him sign the Appellant's voluntary retirement scheme. The importance of the letter (Exhibit 4 in the First Respondent's case) was that he was supposed to negotiate with the Appellant about repayment of the loan. The loan had been secured by hypothecation of his certificate of title. However, as it turned out he was never called to negotiate the mode of repayment of the loan. Instead, the Appellant simply deducted UShs 10 068 600 from his employment package without further recourse to him. This Respondent further testified that if the fifth paragraph of Exhibit P4 had not been included in the letter he would not have accepted to retire under the voluntary termination scheme, because he still had 14 years to serve in the Appellant's employment.

It is, indeed, trite law that where a party relies on misrepresentation in support of his claim in a civil suit, the party must plead it. The law is to be found in rules and decided cases. Order 6, rule 2 of the Civil Procedure Rules provides:

> "In all cases in which a party pleading relies on misrepresentation, fraud, breach of trust, willful default or undue influence, and in all cases in which particulars may be necessary such particulars with dates shall be stated in the pleadings".

There are several decided cases in which this Court has held that the requirements of these rules are mandatory. For example, *Lubega v Barclays Bank* and *Okello v Uganda National Examination Board* (*supra*).

In the instant case I am satisfied that the First Respondent's pleadings set out in his plaint satisfied the requirements of Order 6, rule 2 of the Civil Procedure Rules as regards pleading particulars of misrepresentation. The paragraphs of the plaint reproduced above when read together leave no doubt that the First Respondent's case against the Appellant was founded on breach of contract and misrepresentation, the gist of which is that the First Respondent as the Appellant's

employee had a housing loan from the Appellant. Repayment of the loan was governed by terms set out in a loan agreement. One of the terms was that the loan was repayable by instalments until the year 2009. In representations made by the Appellant in Annexure P4 the Appellant offered the Respondent a voluntary retirement scheme. The scheme contained terms which were to attract the First Respondent to accept to voluntarily retire before the official age of retirement. One of the attractive terms was that the housing loan owed by the First Respondent would be registered as a legal mortgage loan, to be repaid over a period to be agreed between the Appellant and the First Respondent. In consideration of the said terms the First Respondent accepted to voluntarily retire. However, contrary to the terms of the voluntary retirement scheme offered to the First Respondent, the Appellant deducted the housing loan from his retirement package. This meant that the subsequent conduct of the Appellant after writing Exhibit P4 indicated that the representation regarding the housing conveyed by that document was false. Such conduct was also a breach of contract.

In the circumstances, my view is that the First Respondent pleaded misrepresentation with sufficient particulars.

I have already recapitulated the evidence which the First Respondent adduced to prove misrepresentation as pleaded in his plaint. There can be no doubt, in my opinion, that the evidence so adduced amply proved the misrepresentation complained of in the plaint. The Learned trial Judge so found, and the Court of Appeal agreed with that finding, rightly so in my view.

I turn now to the Appellant's criticism of the other Respondents' plaint as not having properly pleaded misrepresentation in High Court civil suit number 725 of 1995. The relevant parts of the pleadings are in the following paragraphs of the plaint.

> "4. At all material times the plaintiffs have been employees of the defendant as pensionable staff eligible for retirement at 55 years and had each obtained housing loans from the defendant payable in installments for 15, 17, 15, 13, 20 and 12 years respectively.
>
> 5. In or about the month of September 1994 the defendant conceived an idea of reducing its work force by a voluntary termination scheme in which its employees would apply to voluntarily leave their employment and receive attractive compensation packages in consideration thereby.
>
> 6. In order to induce the plaintiffs to apply for voluntary retirement the defendant made the following representations and statements to the plaintiffs namely:
>
> (*a*) The defendant would pay to each of the plaintiffs a compensation package from which housing loans would not be deducted.
>
> (*b*) Legal mortgages would be registered on account of the said housing loans, which would be paid over a period to be agreed between the parties.
>
> 7. The said representations were contained in a circular of the governor of the defendant dated 1 November 1994 and its photocopy is annexed here to as "A".
>
> 8. The defendant at the time it made or caused to be made the said representation knew them to be false and untrue or made them recklessly not caring whether they were true or false, and were made in order to induce the plaintiffs to apply for voluntary retirement and terminate their employment.
>
> 10. The plaintiffs then discovered from another circular of the defendant dated 24 January 1995 that each of the said representations were untrue in that:
>
> (i) Housing loans were to be fully offset from the compensation packages;
>
> (ii) No legal mortgages were to registered; and

(iii) Housing loans were not to be paid over a period of time to be agreed between the parties but instantly offset from the compensation package without their consent. Photocopy of the said circular is annexed hereto as 'B'.

11. On the discovery of the above truth the plaintiffs sought to withdraw their applications for voluntary retirement but the defendant rejected their pleas, and they were not heard in contravention of natural justice.

12. The plaintiffs were terminated in their employment on the basis of the said applications for voluntary retirement and were paid compensation packages less the housing loans; and the plaintiffs contend that the said packages were much less than the values by which each of them was induced by the said representations.

13. By reasons of the matters aforesaid the plaintiffs have lost their employment and earnings therefrom ... and were subjected to instant repayment of the said housing loans, and have thereby suffered loss and damage".

The Appellant's criticism of the five Respondents' pleadings is similar to those labelled at the First Respondent's pleadings.

It is submitted for the Appellant that these five Respondents' plaint pleaded misrepresentation only in paragraph 8 thereof; and that the pleading in that paragraph was not adequate for purposes of negligent misrepresentation, because particulars thereof were not given so as to give notice to the Appellant. It is clear from the pleadings in the plaint, it is contended, that the Appellant did not know whether it was facing fraud, negligence or, ignorant, but careless, misstatement. If the Respondent sought to rely on negligence, it is said, they ought to have indicated in what way the Appellant was careless. According to the Appellant, a similar submission in this connection was made before the Court of Appeal but the Learned Justices of Appeal ignored the submission. The judgment of the Learned Justice of Appeal, Twinomujuni JA it is said, is indicative of this error.

For these submissions the Appellant also relied on the provisions of Order 6, rule 2 of the Civil Procedure Rules and the cases of *Lubega v Barclays Bank* (*supra*) and *Okello v Uganda Examination Board* (*supra*).

As in the case of the First Respondent it was contended for the Appellant that negligent misrepresentation was neither proved nor relied on by the other five Respondents. None of the Respondents chose to rely on negligent misrepresentation. Therefore none of the Respondents adduced any evidence of negligence against the Appellant. It is contended by the Appellant that no where in the pleadings or in the evidence of these Respondents is there, even a hint that the Appellant was negligent. So it is contended.

In this regard, the Court of Appeal was criticised for making a finding on negligence which, it is said, was uncalled for. Reliance by the Court of Appeal on the case of *Hedley Byrne and Company Limited v Heller and Partners* (*supra*) is also criticised as erroneous because, first, the Learned trial Judges in both suits did not make any finding as regards negligence. Second, the Court of Appeal's holding on negligence is not supported by any evidence. There is no scintilla of evidence it is said, that when the Appellant issued the circular inviting the Respondents to apply for voluntary retirement it is stated that the housing loans would not be deducted knowing that this was false or not caring whether it was accurate or not.

To prove their case regarding misrepresentation the five Respondents gave evidence at the trial of their suit (High Court civil suit number 725 of 1995).

The effect of their evidence was that it was the terms of the voluntary termination scheme as specified in the governor's letter of 1 November 1994 (Exhibit P2) which induced them to accept to voluntarily retire. The part of the letter which was most relevant to the issue of misrepresentation was, the fifth paragraph thereof. They relied on the Appellants' representation that the housing loan would not be deducted from their voluntary retirement package. Repayment of the housing loan would be secured by mortgaging their respective pieces of land comprised in their certificates of title, which were in possession of the Appellant at the material time. The loans would be repaid over a period to be negotiated by the Appellant and the Respondents. The Respondents accepted the terms of the voluntary termination scheme, and individually applied to retire. However, to their surprise the Appellant went back on its words and issued two circulars which went counter to the terms set out in earlier the letter of (Exhibit P2). These subsequent circulars were dated 19 December 1994 (Exhibit P7) and 24 January 1995 (Exhibit P3). P7 said, *inter alia*:

> "... Regarding determination of the next amount payable to each retrenchee, the Ministry of Finance which provides money for payment of staff retrenchment costs, has ruled that every retrenchee must settle in full all his/her debts owed to the bank before being permitted to retire under the voluntary programme. The management has, therefore, deducted from the gross amount due to you all the debts you owe to the bank including the housing loan and arrived at the net amount of the cheque as summarised below".

This circular, (Exhibit P7), was addressed to each of the Respondents showing deductions of the personal and housing loans made and the balance payable to the Respondent concerned.

Exhibit P3, dated 24 January 1995, said in part:

> "At the Board of Directors' meeting held on 13 this month, the directors considered and eventually accepted the remaining 74 applications for early retirement under VTS to pay compensation to the staff concerned, taking into account the following procedures:
>
> (i) The first traunche of compensatory payment will be subjected to deductions towards repayment of personal and building loans owed by each applicant to the bank. Where the amount of the first traunche of compensation is not sufficient to repay one's personal and/or building loans in full, the bank will still retrench the applicant and retain his or her land certificate as security until full payment of the unpaid balance".

The meaning and effect of the Respondents' oral and documentary evidence, I have referred to is clear. The Appellant unequivocally made representations to the Respondents that if they retired voluntarily, their housing loans would not be deducted from their voluntary retirement packages. However, not long afterwards, the Appellant's circulars to the Respondents not only cancelled the representations but actually made contrary representations. Contrary to what had been said in paragraph 5 of Exhibit 2 (or Exhibit 4), Exhibit P3 said that the voluntary retirement packages were subject to deduction of the building loans owed to the bank by the Respondents. Where the retirement package was not sufficient to repay the housing loan the Respondent concerned would still be retired and his or her certificate of title to land, of which the Appellant had possession, would be used to secure the unpaid balance. Exhibit P7 blamed the Ministry of Finance for the decision that the Respondents' housing loans would be deducted from their voluntarily retirement packages. In my view, it is

inconceivable that the Appellant made such unequivocal representations to the Respondents with regard to their housing loans without first inquiring from the Ministry of Finance whether the representations made to the Respondents could be implemented or not. It can be safely assumed, in my view, that the Appellant knew before hand that the money to finance the Respondent's voluntary retirement packages would come from the Ministry of Finance. One is left to wonder why the Appellant did not find out first from the Ministry of Finance whether or not funds were available to effect the voluntary retirement scheme so far as the Respondents were concerned. The Appellant owed a duty of care to the Respondents to ascertain the position before it made the representations in question. It did not do so and, consequently acted in breach of its duty of care to the Respondents as their employer on a matter over which only it (the Appellant) had special knowledge. Further, in my view, the only possible inference which can be drawn from the facts of this case is that at best the Appellant made to the Respondents the representations in question recklessly and not caring whether they were true or false; or at worst the Appellant made them knowing them to be false and untrue. The Respondents were induced by, and relied on, the misrepresentations to their peril.

The misrepresentations were made negligently in breach of the Appellant's duty of care to the Respondents.

It follows, therefore, that misrepresentation is applicable to the instant case. The Learned Justices of Appeal are criticised for having (allegedly) misinterpreted and wrongly applied the principle of negligent misrepresentation because, it is said, the same was not applicable to the facts of the present case. In view of what I have already said in this judgment this criticism, with respect, is unjustified. On the basis of well-known authorities which have persuasive value to this Court the Appellant was liable for the misrepresentations which they made to the Respondents negligently as I have already said in this judgment. See *Hedley Byrne's Company Limited v Heller and Partners Limited* [1961] All ER 465; *Edwards v Skyways Limited* [1964] 1 WLR 1078 and *Esso Petroleum Company Limited v Mardon* [1976] 2 All ER 5.

What Lord Denning MR in *Esso Petroleum Company Limited v Mardon* (*supra*) appears to me to make an acceptable summary of the principle. He said at 16:

> "It seems to me that *Hedley Byrne*, properly understood covers this particular proposition: If a man who has or professes to have special knowledge or skill, makes representation by virtue thereof to another be it advice, information or opinion – with the intention of inducing him to enter a contract with him, he is under a duty to use reasonable care to see that the representation is correct, and that the advice information or opinion is reliable. If he negligently gives unsound advice or misleading information or expresses an erroneous opinion, and thereby induces the other side into a contract with him, he is liable in damages. This proposition is in line with what I have said in *Candler v Crane Christmas and Company* [1951] 1 All ER 426 at 433, which was approved in *Mutual Life and Citizens Assurance Limited v Evatt* [1971] 1 All ER 150. And Judges of the Commonwealth have shown themselves quite ready to apply *Hedley Byrne* between contracting parties. See, in Canada, *Sealand of the Pacific Limited v Ocean Cement Limited* [1973] DLR (3d) 625; and, in New Zealand, *Capital Motors Limited v Beecham* [1975] 1 N2 LR 576".

In the instant case the relevant letter and circulars (Exhibits P2, P3 (or P4) and P7) were all written by the governor as the Appellant's chairman of the Board of Directors and chief executive. When he wrote the letter and circulars he did so in those capacities. The Respondents were and had been employees of the Appellant for many years. They therefore, had no reason to doubt the promises made to

them by the governor. They were entitled to believe and accept that what their employment boss, the governor, told them in writing was true and would be honoured by the Appellant. In those circumstances the Respondent owed them a duty to tell them the truth regarding their terms of voluntary retirement. As I have already said that duty of care was breached by the Appellant. I am, therefore, in full agreement with Twinomujuni JA when he said in his judgement:

> "It is clear to me that the misrepresentation was relied upon by the Respondents with disastrous consequences. I am of the view that on the principles discussed above, the Appellant was very negligent in promising what was not in their power to fulfill. The Respondents acted on the promise and suffered severe damages. Even if no contract had been entered into between the parties, the Respondents are entitled to damages in tort for negligent representation".

In the circumstances, I have no doubt that the first and second grounds of appeal must fail.

The third ground of appeal is that the Learned Justices of Appeal erred in holding that the Appellant was bound by its statement that the building loans would not be deducted from the voluntary retirements scheme's package because of the doctrine of *estoppel* by which the Appellant was bound not to deny the truth of the statement. The fourth ground of appeal is that the Learned Justices of Appeal erred when they held that a contract between the Appellant and the Respondents, the terms of which were that the building loans would not be deducted, was proved to exist at the trial.

I shall deal with these grounds together since they both appear to have arisen from one issue considered and answered by the Court of Appeal. That issue was whether there was a binding contract between the parties, which included a stipulation that the housing loans would not be deducted from the Voluntary Retirement package of the Respondents. Moreover, in my view, the third ground is merely an aspect of the fourth ground. It is only if there was a contract between the parties that the question of whether the Appellant was bound by its circular of 1 November 1994 (Exhibits 2 and 4) arises.

Under the third ground of appeal, the Court of Appeal is criticised for holding that the Appellant was bound by the terms of this offer, which induced the Respondents to retire, and for saying that the Respondents could rely on the rule in *Hughes v Metropolitan Railways* [1877] 2 AC 439 and *Central London Property Trust Limited v High Trees Limited* [1947] KB 130. These cases, it is contended, are relevant only to the equitable principle of *estoppel*. *Estoppel* does not found a cause of action. It can only act as a defence. Similarly, it is said, section 113 of the Evidence Act does not create a cause of action. The section only disentitles a person to deny the truth of what he has represented in circumstances where the representee has relied on the representation.

Under the fourth ground of appeal it is submitted that it was against the weight of evidence for the Learned Justices of Appeal to have held that the Appellant's circular stating that building loans would not be deducted from the retirement benefits was an offer. It is contended that the circular was not an offer but an invitation to treat, and that, offer came from the Respondents when they applied to voluntarily retire and contracts, (if at all) resulted in the acceptance of the applications by the Appellant. As the Appellant's Board of Directors reserved the right to accept or reject the Respondents' applications, or accept them in a varied form it meant that the Respondents' applications were offers to the Appellant.

The First Respondent's reply in respect of these grounds was that the letter of 1 November 1994 amounted to the Appellant's offer to the Respondents, and not an invitation to treat; still less was it all invitation to the Respondents to enter into negotiations with the Appellant. It is contended that Exhibit P2 (and P4) amounted to a clear and definite offer not requiring any further negotiations. Evidence of Fred William Masaba (PW1) and Tinkasimire (DW1) in High Court civil suit number 663 of 1995 (Court of Appeal civil appeal number 23 of 1997) proved that the offer was intended to bind both the parties. The intention of the parties and their conduct was to create a legally binding relationship and the letter (P2 or P4) was treated as an offer. It is further contended that there were two distinct contracts, namely, a contract to terminate employment and a mortgage agreement which was prior in existence. Elements of the latter were that money had been lent to the Respondents and the Respondents had delivered their certificates of title to the Appellant bank. All that remained to be done was for the Appellant to call the Respondents to execute legal mortgages. The existence of an equitable mortgage was not in dispute.

With regard to the Appellant's criticism that the Learned Justice of Appeal erred in holding that the Appellant was bound by its statement that housing loans would not be deducted because of the doctrine of *estoppel*, it is submitted by the Respondents that the Learned Justices of Appeal had been misunderstood. The gist of their decision, it is contended, is that the Appellant was liable for breach of contract and not for estoppel. The letter P2 (or P4) was understood by the Appellant and the Respondents to be an inducement to enter into contract under the voluntary retirement scheme, and was intended to bind the parties, as it was not given in a social or domestic relationship, but was given in the usual business relationship of master and servant. In the circumstances, it is said, the Respondent was entitled to argue that the Appellant was estopped from going back on its promise namely an undertaking not to deduct the housing loans from the Respondents' retirement package.

Under grounds three and four of the appeal, the submissions for the last five Respondents before us made points similar to those put forward for the first Respondent. Only some details differ, which, in my opinion, are not necessary to review separately. I do not, therefore, intend to do so here.

The Learned Justices of Appeal found that the Appellant's letter of 1 November 1994 to the Respondents amounted to an offer, which was intended that the Respondents should accept and act on. The Respondents did accept the offer by applying to voluntarily retire on the terms offered to them in the circular. The Learned Justice of Appeal, Twinomujuni JA, made the finding in the following terms:

> "On the issue whether there was a binding contract between the parties which included a stipulation that the loans on housing would not be deducted, the trial Judges easily held that there was such a contract and I would agree.
>
> The Respondents were still young people with a lot of years of service ahead of them. The youngest of them still had twenty years of service and the oldest still had at least twelve years to go. The Appellant's offer contained in the governor's offer referred to above induced the Respondents to retire because of the attractive package which included a promise that the housing loan would not be deducted. They accepted the offer and agreed to retire on the terms offered in exhibit on page 14 of this judgement. Indeed they retired but the Appellant failed to fulfil or pay the whole retirement package as he had promised. There is no doubt that all the Respondents retired following this arrangement. It is not true, as Proffessor Sempebwa would have

> it that the voluntary retirement scheme did not go through and that therefore the Appellant resorted to terminate their employment under the original contract of employment (P132) with the bank. All the evidence on record is overwhelmingly against the submission. This being the case the Appellant was bound by the terms of their offer, which induced the Respondents to retire. The Respondents could rely on the rule in *Hughes v Metropolitan Railways* [1877] 2 AC 439 on the basis of which Denning J as he then was, in the case of *Central London Property Trust Limited v High Trees Limited* [1947] KB 130 formulated the following principles:
>
> 'That where parties enter into an arrangement which is intended to create legal relations between them and in presence of such arrangement one party makes a promise to the other which he knows will be acted upon by the promisee, the court will treat the promise as binding on the promisor to the extent that it will not allow to act inconsistently with it even thought the promise may not be supported by consideration in the strict sense.'
>
> In other words, a promise intended to be binding and intended to be acted upon and is in fact acted upon should be binding. This equitable principle has been incorporated in our Evidence Act".

In the passage of his judgment I have just referred to the Learned Justice of the Appeal, Twinomujuni JA, found that a binding contract was made between the Appellant and the Respondents by which the Respondents would retire voluntarily and their housing loans would not be deducted from their voluntary retirement package. I have no hesitation in agreeing with that position. This was a contract in which the Appellant's offer made to the Respondents in its letter of 1 November 1994 was that if they agreed to retire voluntarily they would receive a package of certain payments in return. The package included a promise that the Respondents' outstanding housing loans would not be deducted from the Voluntary Retirement package. The Appellant intended that the offer should be accepted by the Respondents, creating a binding contract and relationship. It was not an invitation to treat. Nor was it an invitation to commence negotiations between the parties. In my view the Appellant's circular was an offer consisting of a definite promise to be bound provided that the terms therein were accepted by the Respondents. The Respondents did, in fact, accept the Appellant's offer. They did so by applying to voluntarily retire on the terms set out in the Appellant's letter. They were induced by the terms of the offer, which appeared to be attractive to them. At that stage there was a binding contract, supported by mutual considerations. The Appellant stood to gain by reducing its liability of maintaining a large number of employees. This intention was clearly stated in the Appellant's circulars. The Respondents on the other hand stood to gain by retiring early with a fairly generous retirement package as, according to the Appellant's promise to them, the housing loans would not be deducted from the voluntary retirement package, but the loans would be repaid over a period to be agreed between the parties. In my view evidence adduced by both sides at the trial clearly proved the existence of a contract. For example, Fred William Masaba (PW1 in High Court civil suit number 663 of 1995) testified that:

> "... I was invited to apply for voluntary retirement. The governor of the Bank of Uganda invited me to retire early voluntarily. He did so in a written document on 21 September 1994. It was addressed to all employees. It invited the eligible members of staff to apply for voluntary employment (Annex B of plaint). This was followed by another one of 1 November 1994 setting up the terms of the compensatory package to be offered. In the circular paragraph 5 about the staff indebtedness to the bank was one of important factors, which made me sign a

> voluntary retirement from the bank. I signed a document which was kept by the personnel officer. I just gave my names and signed for having accepted what the bank had offered that they would not deduct my building loan. I was supposed to negotiate with the bank over the mode of repayment of the loan secured by a hypothecation of the title deed".

The evidence of Geoffrey Rashaija Kibirabira (PW1 in High Court civil suit number 725 of 1995) was to the same effect.

To me, the evidence of PW1 shows that he accepted unequivocally the Appellant's offer in paragraph 5 of the letter of 1 November 1994. He did not suggest any modification thereof. He accepted it as it was. The evidence also shows that the Respondents would not have left the Appellant's employment voluntarily at that stage but for the terms of the Appellant's offer.

In his evidence, in cross-examination, Tinkasimire said, *inter alia*:

> "The terms of voluntary retirement were made generous to attract candidates for voluntary retirement (refers to clause 5 of Exhibit PIV)".

This evidence also tends to show that what were offered to the Respondents were generous terms intended to attract the Appellant's employees to accept. The Respondents accepted the offer, giving rise to a binding contract of voluntary termination of service. That contract was different from the original contract of service between the Appellant and the Respondents. It was a new contract which, in my opinion, may be regarded as a contract within a contract. The Appellant could have terminated the Respondents' employment under the original contract of service, but they chose not to do so. They instead chose to terminate the Respondents' service by another arrangement. That arrangement was the contract of voluntary termination of service. They cannot, therefore, be heard to say now that the Respondents' services were terminated under their contract of employment.

The Appellant acted in breach of the contract in question, giving rise to the suits in the present case. It did so by deducting the Respondents' housing loans from their Voluntary Retirement benefits. This was contrary to their promise which constituted an offer to the Respondents, which they had accepted.

In the light of the foregoing it is my respectful view that the Learned Justices of Appeal have been unjustifiably criticised as having held that the Respondents' cause of action was based on the equitable doctrine of estoppel. Indeed, the doctrine of estoppel as explained in the *High Trees* case (*supra*); and in *Everden v Guildford City Association Football Club Limited* [1975] 3 All ER has been applied in Uganda by section 113 of our Evidence Act, and decided cases, such as *Bandali v Lombank Tanganyika Limited* [1963] EA 303 and *Century Automobiles Ltd v Hutchings Biemer Limited* [1965] EA 304. Briefly, the doctrine is that if parties who have entered into definite and distinct terms involving certain legal results, certain penalties or legal forfeiture afterwards by their own consent enter upon a course of negotiations which has the effect of leading one of the parties to suppose that the strict rights arising under the contract will not be enforced or will be kept in suspense, or held in abeyance, the person who otherwise might have enforced these rights will not be allowed to enforce them where it would be inequitable having regard to the dealings which have thus taken place between the parties. Three elements which must be present for the doctrine of equitable estoppel to operate are, first, a clear and unequivocal representation; second, an intention that it should be acted upon; and, third, action upon it in the belief of its truth. Another important nature of the principle of equitable

estoppel is that in its application it is used as a defence and not to found a cause of action.

In the instant case, when the Court of Appeal referred to the doctrine of equitable estoppel, as stated in *High Trees* case (*supra*), it is clear that it did not mean that the Respondents' cause of action was based on that principle. To my mind, what the Learned Justices of Appeal must have meant is that a contract having been reached as a result of the Respondents' acceptance of the offer made by the Appellant to them with such clear terms, the Appellant was bound by that contract, breach of which by the Appellant would render it liable to the Respondents for that breach. The Appellant should not be allowed to renege on it.

In the circumstances, I am of the opinion that grounds three and four of the appeal should fail.

The complaint in ground five of the appeal is that the Learned Justices of Appeal failed to assess properly and take into account that the housing loans cannot be refunded without provisions for its repayment. The background to this complaint is that in their suits the Respondents claimed and prayed for refund of the housing loans as special damages. The gist of their case in this regard was that the Appellant had wrongly deducted the building loans from the Respondents' retirement benefits. The Appellant did so in breach of the contract, which was made between them and the Appellant. In the First Respondent's suit, (High Court civil suit number 633 of 1995) the Learned trial Judge found for him in respect of refund of the housing loan in the following terms:

> "I now proceed to discuss the fourth issue, whether any loss was occasioned by the defendant to the plaintiff. In the first place we have to look at the benefits that were to accrue to the plaintiff under the voluntary termination scheme. He was entitled to the payment stipulated in Exhibit P4 as well Exhibit P5, plus an arrangement for the payment of his housing loan. He lost the sum of UShs 10 million being his retirement benefits which the defendant deducted to repay his housing loan. He certainly is entitled to payment of the balance of his package of UShs 10 million with interest at the current bank rate".

However, the Learned trial Judge did not make a specific order for payment of the sum of UShs 10 million by the Appellant to the First Respondent. He did so in a ruling which he subsequently made after an application by the First Respondent under section 101 of the Civil Procedure Act for an order seeking a correction of the slip in the Learned trial Judge's judgment. In the end the order for payment of the UShs 10 million was embodied in the decree, approved by the learned counsel for the Appellant in the following terms:

> "It is hereby ordered and decreed as follows:
>
> 'The defendant pay the plaintiff UShs 10 million (shillings ten million) as repayment of his housing loan plus interest at the current bank rate'".

In the case of the last five Respondents (High Court civil suit number 725 of 1995) the Learned trial Judge said regarding the housing loans:

> "(*a*) That all the deductions for housing loan recovered from the plaintiffs be paid back to the plaintiffs with interest at bank rates of 30 percent in full".

This was followed by an order in respect of each of the Respondents and the sum of the amount of the money of the housing loan, which the Appellant had deducted from his retirement benefit. In this connection the Learned trial Judge then concluded:

> "It must be noted however, that the housing loan was to be paid in a period to be agreed upon by the parties. See P2. That is between the bank and the plaintiffs. The court cannot make an order on this arrangement because the court could not make

> any contract for the parties. I did, however, note that the bank made some representations which induced the plaintiffs to voluntarily retire and opted for the voluntary termination scheme which the bank unilaterally changed to the detriment of the plaintiffs and went ahead and made the housing loan deductions".

No order was made as to when the housing loans were to be repaid by the Respondents to the Appellant.

Under ground five of the appeal the Appellant's submission was that the Learned Justices of Appeal failed to assess the importance of the Appellant's submission that the court should not order the Appellant to include housing loans into the retirement package when there is no provision for repayment as had been envisaged by the parties. The Learned Justice of Appeal, Twinomujuni JA is criticised for allegedly suggesting that repayment of the housing loans was subject to making of another contract, giving rise to two contracts – one to terminate employment and another, a mortgage agreement. This, it is contended, is tantamount to the court ordering the parties to the negotiating table, which is unattainable. It is because a common law court does not make a contract for the parties. The court cannot superintend the making of such a contract. Enforcement of the decree in High Court civil suit number 725 of 1995 that, "no order is made when the housing loans are to be paid by the plaintiffs to the defendant" is therefore, very difficult, it is contended. On the one hand the Appellant can only comply with the court order if it is protected by a mortgage agreement incorporating payment by the Respondents. On the other hand, the Respondents cannot enforce the court order lawfully when they have not undertaken by a binding agreement that they will pay in the period desired by the Appellant. In the circumstances, it is said, the only fair verdict is to refrain from making an order whose enforcement depends on further agreement of the parties.

The Respondents' reply under the fifth ground of appeal briefly, is that there was no need for the trial court to mention that the housing loans had to be repaid, because paragraph five of Exhibit P2 (or P4) had provided for execution of a legal mortgage and provision for the Appellant to agree with the Respondents on a period of repayment before the Respondents left the Appellant's employment. While it is conceded that the court could not in any way force the parties to agree on the period for repayment of the housing loans, it is contended that the court rightly ordered the Appellant to refund the deducted housing loans. It is further said that as the Appellant has custody of the Respondent's certificates of title to land, it would not be prejudiced as regards repayment of the housing loans. The Appellant is an equitable mortgagee and could call the Respondents to execute legal mortgages at any time. The Appellant had a duty to ensure that the Respondents did not leave its employment before agreeing with them on when to repay the housing loans.

With respect, I think that the complaint that the Learned Justices of Appeal failed to take into account the Appellant's submission that the housing loan cannot be refunded without provision for repayment has no merit. In my view, the Learned Justices of Appeal must have had such a submission in mind in view of what Twinomujuni JA said in the following passage of his judgment.

> "I am very much alive to the fact that the offer stated that housing loans would be repaid over a period to be agreed. I am also aware of the holding in *May and Butcher v Republic* [1934] 2 KB 354, where the court stated:
>
> 'To be a good contract there must be a concluded bargain, and concluded contract is one which settles everything that is necessary to be settled and leaves nothing to be settled by agreement of the parties.'

> However, the situation in the present case is distinguishable from that in the case of *May and Butcher v Republic* because it is clear from the evidence on record that the parties envisaged that there would be two agreements namely, the contract to terminate employment (the voluntary retirement package) and the mortgage agreement. The parties accomplished the first contract (despite the partial breach by the Appellant) and they are yet to finalise the second. The grounds of appeal based on the submissions that the contract was never pleaded or proved and that there was no binding contract between the Appellant and the Respondents must therefore fail".

What the Learned Justice of Appeal said in the passage of his judgment, to which I have just referred appears to me to be one of the reasons why the Court of Appeal did not reverse the decisions of the trial courts which ordered the Appellant to refund the deducted housing loans to the Respondents. While this Court would not order the Appellant and the Respondents to enter into a legal mortgage agreement stipulating how and within what period the housing loans should be repaid, it would call upon the Appellant to honour the promise it made in this connection in Exhibit P2 (or P4). The Appellant already has possession of the Respondents' certificates of title to Land as security for the loans. Consequently, it is an equitable mortgagee in respect of the housing loans. According to the Respondents' evidence, the period for repayment of the loans had already been stipulated under the terms on which the Respondents were granted the housing loans. The Respondents were already repaying the loans by instalments under such terms before the offer of the voluntary retirement. The Appellant and the Respondents should, therefore, make the equitable mortgages now existing between them into legal mortgages for purposes of repayment by the Respondents of the housing loans to the Appellant on the terms and conditions and for the period which the Respondents were already repaying the housing loans before the voluntary retirement scheme was implemented, the Respondents' respective certificates of title to land already in the possession of the Appellant being the collateral securities for repayment of the housing loans in question.

For these and other reasons I think that the trial courts were justified in ordering the Appellant to refund to the Respondents the housing loans it had deducted from the Respondents' voluntary retirement benefits; and the Court of Appeal was justified in declining to reverse that order.

Another reason for ordering refund of the housing loans are that the Appellant acted in breach of clear terms of a contract made between it and the Respondents by deducting the housing loans from their voluntary retirement package. In their suits the Respondents prayed for refund of the deducted housing loans as special damages. Having succeeded in establishing that the Appellant had acted in breach of the contract, they were entitled to the remedies prayed for, the main one being refund of the deducted housing loans.

In the circumstances, my view is that ground five of the appeal should fail.

Ground six of the appeal complains that the Learned Justices of Appeal erred when they held that the trial Judges properly directed themselves on the quantum of damages.

In awarding general damages to the First Respondent the Learned trial Judge in that case (High Court civil suit number 633 of 1995) said, *inter alia*:

> "In the first place, he is entitled to general damages because he was put under extreme hardship. This is a man who trusting in the word of his employers, volunteered to retire at an early age of 41 to start a fresh calling utilising retirement benefits. Instead

> of facilitating his settlement as promised in circular Exhibit P4 the defendant withheld his money. He has related all the hardships he suffered as a result of that treatment. His wife deserted him. His children are out of school and, to use his words, he has since retirement lived like a pauper. He felt let down and I do not hesitate to award him a sum of UShs 8 million discounted to UShs 7 million owing to the fact that it will be paid to him together with interest from the date of this judgment till payment in full, as well as taking into account imponderables".

In the last five Respondents' case, (High Court civil suit number 725 of 1995) the Learned trial Judge awarded them general damages in the following terms:

> "The plaintiffs suffered damages and were entitled to some kind of remedy. I would award them general damages of shillings ten million (UShs 10 million) collectively and interest on general damages at court rates".

The Appellant's submission under ground six is that the Learned trial Judge in the First Respondent's case (High Court civil suit number 633 of 1995) awarded damages for disappointment and mental torture which loss could not be reasonably foreseen. Damages are awarded for loss arising from breach. The purpose is to put the plaintiff in the position he would have been in had the contract been performed. It follows, therefore, that normally damages for breach of contract are not awarded for disappointment and mental suffering as a natural result of breach. It is submitted that the natural loss arising out of failure to pay money is not damages but interest unless the plaintiff could prove extra loss that the defendant could reasonably foresee as likely to arise. It is submitted that what the Learned trial Judge said in High Court civil suit number 633 of 1995 in the passage of his judgment which I have set out above, was a misdirection. This is because the First Respondent did not prove any foreseeable loss at the trial. The evidence he adduced was unduly exaggerated, it is contended. He planned to construct houses out of UShs 10 million This should have been disbelieved by the Learned trial Judge, it is contended. The trial Judge ought to have ordered that the outstanding housing loan should be paid to the First Respondent plus interest at commercial rate from termination of services to the date of judgment and nothing more.

For the First Respondent, it was submitted in reply that the Learned Justices of Appeal came to the correct decision and were right not to interfere with the quantum of damages. Damages awarded must be based on loss suffered as a result of the contractual breach and or misrepresentation. Contrary to the Appellants' submission, it is contended, the award of general damages for the First Respondent was based on the whole of his evidence and not only on his emotional loss. In the case of misrepresentation the case of *Esso Petroleum Company Limited v Mardon* (*supra*) is very relevant to the present appeal because the loss was incurred by the Respondents as a result of misrepresentation. They lost jobs and investment funds. Further, the case of *Chande v East African Airways* [1964] EA 78, does not suggest that the Respondents could not get damages for disappointment and/or physical inconvenience.

For the rest of the Respondents it was submitted that on the basis of the authority of *Esso Petroleum Company* (*supra*) there was no distinction in damages for tort or contract in the instant case.

As the Court of Appeal did, I find that the case of *Esso Petroleum Company* (*supra*) is applicable to the instant case with regard to the award of damages and other issues. In that case the plaintiffs (Esso) were a company engaged in the production and distribution of petroleum. In 1961 Esso acquired a site on a busy main street

of a town for development as a petrol filling station. The site showed that the estimated annual consumption of petrol at the station, would be 200,000 gallons per annum from the third year of operation. After the site had been acquired, the Local Authority changed the site on which the petrol pumps would be built from the busy main street to a site accessible only from the side streets. As a result of the change of plan Esso's estimate was falsified but through lack of care Esso failed to revise their original estimate of 200 000 gallons.

Esso negotiated with the defendant to lease to him the petrol station. A representative of Esso with 40 years experience told the defendant in good faith that petrol sales at the station would reach 200 000 gallons in the third year of operation of the station. The defendant was aware of the deficiencies of the station and suggested that a lower figure would be more realistic, but the expertise of the Esso representative quelled his doubt and on the basis of the Esso estimated potential the defendant was induced to enter into a tenancy agreement. That agreement was for three years at a rent assessed by Esso on the basis of the potential of the station at 200 000 gallons per year. The defendant put capital into the station. At the end of 15 months only 78 000 gallons of petrol had been consumed. In July 1964 the defendant tendered notice to quit the station, but Esso wishing to retain him, reduced the rent. The defendant continued to incur losses. By August 1966 the defendant was unable to pay Esso for the rent and the petroleum products he had received, and in December 1966 Esso sued him, claiming possession of the station, money owed for petrol and *mesne* profits. The defendant continued to trade at the station until March 1967 when he gave up possession. He had lost all the capital he had put in the station and had incurred a substantial overdraft. By his defence and counterclaim the defendant claimed damages in respect of the representation made by Esso's representative as to the potential through put of petrol, alleging:

> "(i) that it amounted to a warranty for breach of which the defendant was entitled to damages, and
>
> (ii) that it also amounted to negligent representation in breach of Essos's duty of care to the defendant in advising him as to potential throughput. The trial Judge rejected the claim for breach of warranty, but held that Esso were liable in damages for breach of their duty of care to the defendant".

On appeal to the Court of Appeal, it was held that:

> "(*a*) Esso was liable for breach of warranty because where during a pre-contractual negotiations, one party, who has special knowledge and expertise concerning the subject matter of negotiations, made a forecast based on that knowledge and expertise with the intention of inducing the other party to enter into the contract, and in reliance on that forecast the other party did enter into the contract, it was open to the court to construe the forecast as being not merely an expression of opinion but as constituting a warranty that the forecast was reliable that is that it had been made with reasonable care since the forecast made by Esso of throughput of petrol was based on their wide skill of the petrol trade and had induced the defendant to enter into the tenancy agreement the forecast was to be construed as constituting a warranty that it was sound. Accordingly, since the estimate had been made negligently and was therefore unsound, Esso were liable to the defendant.
>
> (*b*) Esso was also negligent in relation to statements made in the course of negotiations, which culminated in the making of a contract. Esso was also under a duty to use reasonable care to see that the advice, information or opinion given to the defendant was reliable. The duty of care was not limited to persons who carried on the business or profession of giving advice. In the circumstances of

that case, the relationship between Esso and the defendant was such as to give rise to a duty on the part of Esso to take care since they had special knowledge and skill in estimating the throughput of a filling station. It followed that Esso, since the forecast had been made negligently, therefore they were also liable to the defendant in damages for negligence.

(*c*) The measure of damages was the loss the defendant had suffered by having been induced to enter into a disastrous contract. The loss included loss suffered after the date of the new tenancy entered into in September 1964. Since that also was attributable to the original misrepresentation; in taking the new tenancy the defendant had acted reasonably in attempting to mitigate the losses which he had already incurred in running the station".

On damages in that case Lord Denning MR said at 16:

> "Now for the measure of damages Mr Mardon is not to be compensated here for "loss of a bargain". He was given no bargain that the throughput would amount to 200 000 gallons a year. He is to be compensated for having been induced, to enter a contract, which turned out to be disastrous to him. Whether it be called breach of warranty or negligent misrepresentation, its effect was not to warrant the throughput, but only induce him to enter into the contract. So the damages in either case are to be measured by the loss he suffered. Just as in the case of *Doyle v Olby (Iron Mongers) Limited* [1969] 2 All ER, he can say:
>
> 'I would not have entered into this contract at all but for your representation. Owing to it I have lost all the capital I put into it. I also incurred a large overdraft. I have spent four years of my life in wasted endeavour without reward; and it will take me some years to re-establish myself.'
>
> For all such loss he is entitled to recover damages. It is to be measured in a similar way as the loss due to a personal injury. You should look into the future so as to forecast what would have been likely to happen if he had never entered into this contract; and contrast with his position as it is now as a result of entering into it. The future is necessarily problematical and can only be a rough-and-ready estimate. But it must be done to assess the loss".

The principles on damages as stated in the *Esso Petroleum Company* case (*supra*) are, in my opinion, applicable to the instant case. The Respondents' claims were based on breach of warranty and on negligent misrepresentation. They lost use of their deducted housing loans, which they had planned to invest in income generating projects or enterprises. Since the purposes of damages are to put the plaintiff in the position he would have been had the contract been performed, it is my view that the Learned trial Judges acted properly in awarding damages to the Respondents for the reasons they did, and the Court of Appeal was correct to uphold the awards of the trial courts.

For damages to be awarded they must have been reasonably foreseeable as naturally arising from a breach of contract. Where two parties have made a contract which one of them has broken, the damages which the other party ought to receive in respect of such breach of contract should be such as may fairly and reasonably be considered either arising naturally, that is to say, according to the usual course of things from such a breach of contract itself, or as may be reasonably supposed to have been in the contemplation of both parties at the time they made the contract as the probable result of the breach of the contract. See *Hadley v Baxendale* [1854] 156 All ER 145; *Victoria Laundry (Windsor) Ltd v Newman Industries Ltd* [1949] All ER 997; and *Chande v East African Airways Corporation* (*supra*).

Arising from the principle that in cases of breach of contract the aggrieved party is only entitled to recover such part of the loss actually resulting as was at

the time of the contract reasonably foreseeable as liable to result from the breach, another principle appears to be that in general the only damages which can be recovered for breach of a contract are damages in respect of pecuniary loss which is actually sustained by the plaintiff and which was at the time of the making of the contract reasonably foreseeable. To this general rule, however, there are certain exceptions. For instance, it appears that damages may be awarded for disappointment arising out of a breach of contract. See *Chande and others v East African Airways Corporation* (*supra*) and *Cook v Spanish Holiday Tours (London) Limited* [1960] 'Times' 6 February. These last two decided cases, to me, answer the Appellant's complaint that the Learned trial Judge awarded the First Respondent damages on the basis of the social and psychological suffering he experienced.

In the circumstances, my view is that the Learned trial Judges applied the correct principles in awarding the damages they did to the Respondents.

With regard to the quantum of the damages awarded to the Respondents, the Court of Appeal, correctly in my view, took the view that as an appellate court it would not reverse the findings of the trial Judges merely because if it had tried the cases in the first instance it would have given a lesser sum.

In *Flint v Lovell* [1935] 1 KB 354, Greer CJ said:

> "In order to justify reversing the trial Judge on the question of amount of damages it will generally be necessary that this court (appellate court) should be convinced either that the Judge acted upon some wrong principle of law, or the amount awarded was so extremely high or so very small as to make it, in the Judgement of this court, an entirely erroneous estimate of the damage to which the plaintiff is entitled".

In my opinion this is still good law, which the Court of Appeal rightly applied to the instant case.

In the case of the last five Respondents, the Learned trial Judge awarded UShs 10 million as damages collectively to the five Respondents. The Court of Appeal left that award undisturbed. However, for the sake of clarity as regards the amount of damages which should have been received by each of the Respondents, it would have been preferable in, my view, for the Learned trial Judge to have apportioned the award amongst the Respondents. In the absence of such apportionment, it may be assumed that the five Respondents should each receive an equal share of the collectively awarded damages. That view not withstanding, I think that this Court should also leave the collective award of damages undisturbed.

Ground six of the appeal should, therefore, fail.

Ground seven of the appeal is that the Learned Justices of Appeal generally failed to assess and analyse the evidence at the trial and also the Appellant's main submissions on several issues, namely:

(*a*) that if there was a contract it was made when the Appellant accepted the Respondents' offer to retire;

(*b*) the alternative submission that the supposed agreement was not achieved and the Appellant simply terminated the Respondent's services.

With due respect, I do not see any merit in this ground of appeal. The Court of Appeal, in my view, properly re-evaluated the evidence in this case and drew its own conclusions as a first Court of Appeal.

Secondly, in any case, this ground of appeal in my opinion has been adequately dealt with by my consideration of and conclusions on, the other six grounds of appeal.

For the reasons given, I would dismiss this appeal with costs to the Respondents here and in the court below.

As Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC agree it is ordered that this appeal be and is hereby dismissed with costs here and in the court below.

Karokora JSC: I have had the advantage of reading in draft the judgment prepared by Oder JSC, and I do agree with him and the orders he has proposed.

I only wish to add that the Appellant were in breach of contract when they deducted the housing loan from the voluntary retirement package – one of the terms that had induced the Respondents to go on an early retirement. This deduction of housing loan from the voluntary retirement package infringed upon clause 5 of the "Early Retirement and/or Voluntary Termination of Service Scheme" which the governor of the Appellant Bank wrote on 1 November 1994 which provided *inter alia*:

> "The bank shall have the right to off set all personal loans, other than housing loans granted to employees leaving the bank under this compensatory package. However, any housing loan, which is currently secured by hypothecation of *mailo* land certificate or leasehold deposited with the bank, shall be registered as a legal mortgage loan to be repaid over a period to be agreed between the bank and each employee concerned before departure".

The Appellant were in breach, because they deducted the loan money from the package paid, and thus defeated the inducement they had offered to the Respondent to give up their employment. The Appellant ought not to have deducted it from the package. In the circumstances, the Respondents are entitled to get their full packages. The Appellant shall recover housing loans from the Respondent over a period to be agreed upon between the Appellant and each of the Respondents.

In the result, the appeal should fail.

(Tsekooko, Mulenga, Karokora and Kanyeihamba JJSC concurred in the judgment of Oder JSC).

For the Appellant:
Information not available

For the Respondents:
Information not available

Bwenge v Uganda
[1999] 1 EA 25 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of ruling:	26 November 1999
Case Number:	54/99
Before:	Okello, Mpagi-Bahigeine and Kitumba JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

[1] Criminal procedure – Assessors – Presence of assessors – Effect of assessor's absence on trial – Whether an assessor who absents herself from part of a trial can resume her role at a later date – Sections 67 and 137 – Trial on Indictments Decree number 26 of 1971.

Editor's Summary

The Appellant was tried and convicted before the High Court on a charge of murder. At his appeal, his counsel raised a procedural issue relating to the conduct of the trial. He informed the court that the trial Judge had permitted one of the assessors to absent herself from part of the trial and to resume her participation at a later date and give an opinion. He submitted that this irregularity was fatal to the whole trial.

Held – Where the participation of an assessor in a trial amounted to a fundamental irregularity, a miscarriage of justice was occasioned that was not curable under section 137 of the Trial on Indictments Decree. In such circumstances, the court had discretion to order a retrial if the interests of justice required it; *Komakech v Uganda* [1992-93] HCB 21 followed. In this instance, the assessor in question, having absented herself from part of the trial thereby missing the evidence of one witness, should not have been permitted to resume participation and give an opinion in the case. Allowing her to resume her participation was a fundamental irregularity fatal to the trial. This had occasioned a miscarriage of justice as her opinion, which was not based on the full evidence, could have influenced the trial Judge's decision.

Appeal allowed. Retrial before a different judge ordered.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Komakech v Uganda [1992-93] HCB 21 – **F**

Mukiibi v Uganda criminal appeal number 43 of 1996 (UR)

Judgment

Okello, Mpagi-Bahigeine and Kitumba JJA: The Appellant, Bwenge Patrick, was on 21 May 1999 convicted by High Court (PPK Onega J) sitting at Jinja of murder contrary to section 183 of the Penal Code Act and was sentenced to death. He now appeals to this Court.

Nabirye Joyce, the deceased, was the girlfriend of the Appellant. She lived in a rented grass thatched hut and sold local brew at Kasumbira village, Buzaya in Kamuli District. On 6 May 1995, she had a quarrel with the Appellant over a curtain which apparently got lost and she had seen it at the home of the Appellant's brother. In the evening, the Appellant returned to the deceased's residence and went behind her hut where he started throwing stones at the deceased's customers still drinking. The customers dispersed. At about 9:00pm when the deceased and her children who included Ben Mpala (PW1) and George Babirye (PW2) had retired to bed, Mpala woke up and noticed that their house was on fire. He woke up his brother George Babirye and the deceased. As they all got out, Mpala saw the Appellant with the help of the light from the burning house. The Appellant was standing in the veranda. He grabbed the deceased and pushed her into the burning house and struck her on the head with an axe. Thereafter he ran away. The deceased was burned to death. Mpala Ben and his

brother George Babirye raised the alarm. Neighbours answered the alarm and found the deceased burnt in the house. The matter was reported to the authorities.

The following morning, a doctor came and carried out post mortem examination on the body of the deceased. He found depressed fracture of the occipital part of the skull and strangulation with burns. He opined that the cause of death could have been any of the two injuries.

The Appellant was arrested that following day and charged with the murder of the deceased. He denied the charge. At the trial, he set up a defence of alibi. He testified that at the material time he was away on duty loading a certain lorry. He returned only to find that the deceased was dead. The trial Judge rejected his defence and convicted him as stated earlier.

There are two grounds of appeal namely:

> "(1) that the trial Judge erred to hold that the prosecution case had been proved beyond reasonable doubt.
>
> (2) That the Learned trial Judge erred in rejecting the Appellant's alibi which ought to have raised a reasonable doubt".

At the hearing of this appeal, Mr *Akampuriria,* learned counsel for the Appellant on state brief, pointed out an irregularity in the proceedings before the trial court which we think must be tackled first. He pointed out that the trial Judge permitted an assessor, one Sunday Aluzero, who absented herself from part of the trial and did not hear the evidence of one of the four witnesses for the prosecution to resume participation in the trial and give opinion at the close of the trial. According to Mr *Akampuriria,* that irregularity was fatal to the whole trial.

Mr *Simon Byabakama,* Senior Principal State Attorney who appeared for the State conceded that that was an irregularity. He cited *Komakech v Uganda* [1992-93] HCB 21and *Mukiibi v Uganda* criminal appeal number 43 of 1996 (UR). The law governing absence of an assessor in a trial before the High Court is provided by section 67 of the Trial on Indictment Decree number 26 of 1971 which reads:

> "(1) If, in the course of a trial before the High Court at any time before the verdict, any Assessor is from sufficient cause prevented from attending throughout the trial, or absents himself and it is not practicable immediately to enforce his attendance, the trial shall proceed with the aid of the other Assessors.
>
> (2) If more than one of the Assessors are prevented from attending or absent themselves, the proceedings shall be stayed and a new trial shall be held with the aid of different Assessors".

In *Komakech*'s case (*supra*) the trial started with two Assessors. The prosecution examined its witnesses and closed its case. Then there was a further adjournment. It was then that it was discovered that one of the original Assessors had not been participating in the trial as he had been sitting with a different Judge in a different case. At the absent Assessor's insistence, another Assessor had taken his place. Neither the Judge nor the counsel was aware of this unfortunate arrangement. On discovering this state of affairs, the trial Judge dismissed substitute Assessor and the trial proceeded with the remaining Assessor throughout. He acted under section 67(1) of the Trial on Indictment Decree. It was however not clear exactly when the rightful Assessor was replaced by the substitute Assessor. The Appellant was convicted.

On appeal, the Supreme Court held that:

> "the second Assessor acted as an Assessor fraudulently. This irregularity was fundamental as it went to the jurisdiction of the court. It occasioned a miscarriage of justice and was therefore not curable under section 137 of the Trial on Indictment Decree. That the court had a discretion to order a retrial where the original trial was defective or illegal and the interest of justice requires it".

In the instant case, hearing started on 23 April 1999 with two Assessors; Sunday Aluzero and Grace Masiko. They were both sworn. Evidence of PW1, PW2 and PW3 were taken and all were cross-examined. Then hearing was adjourned to 29 April 1999. On this adjourned date, Assessor Sunday Aluzero was absent. Only Assessor Grace Masiko was present. The court rightly ordered that hearing would proceed with only one assessor, presumably the one present. Thereafter, the evidence of PW4 was taken. After his cross-examination, the prosecution case was closed and the court adjourned the hearing for defence's case on 6 May 1999.

On this date, the record is not exactly clear as to the presence or absence of both Assessors but the Appellant gave his evidence and his case was closed. This was followed by submissions of counsel and the summing up by the trial Judge to the Assessors. The Assessors gave their opinion at 12:15pm. The record went as follows: "Mrs Sunday Aluzero: I am here to give a joint opinion for two of us".

It would seem from the above that when the case reopened on 6 May 1999 for the defence, both Assessors were present though the record does not show that. They heard the evidence of the Appellant, submissions of counsel and finally the summing up by the trial Judge to them. The absent Assessor therefore only missed the evidence of PW4.

We still think that Assessor Sunday Aluziro, having absented herself from part of the trial and did not hear the evidence even of only one witness should not have been permitted to resume participation and give opinion in the case. Like in *Komakech* (*supra*) allowing her to resume participation in the trial was a fundamental irregularity which is fatal to the trial. It is a question of jurisdiction. It occasioned a miscarriage of justice as that Assessor's opinion which was based not on the full evidence could have influenced the decision of the Judge. We think that this was a mistrial as the error cannot be cured under section 137 of the Trial on Indictment Decree. *Mukiibi* (*supra*) is distinguishable from *Komakech* above and the instant case. In that case, the trial started with the two Assessors who sat with the trial Judge throughout the trial though the Judge did not get them sworn as required by section 65 of the Trial on Indictment Decree. The court held that in view of section 6 of the Oath Act (Chapter 52) that failure to swear the Assessors did not invalidate the proceedings. That was an error which was curable under section 137 of the Trial on Indictment Decree. On the evidence adduced, we think that the interest of justice demands a retrial. As it is, we find no point in considering the grounds of appeal.

In the result, we allow the appeal, quash the conviction and set aside sentence of death. We order a retrial before a different judge. Appellant therefore must be kept in custody pending the retrial.

For the Appellant:
Akampuriria

For the Respondent:
S Byabakama, Senior Principal State Attorney instructed by the Attorney-General

Caneland Ltd v Dolphin Holdings Ltd and another
[1999] 1 EA 29 (CCK)

Division:	Milimani Commercial Courts of Kenya at Nairobi
Date of ruling:	26 April 2000
Case Number:	1135/00
Before:	Mbaluto J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Civil procedure – Execution – Application for attachment of assets – Assets in name of the judgment-debtor's wholly owned subsidiary – Assets comprised of shares in company – Order XXI, rules 41 and 67 and Order L, rule 1 – Civil Procedure Rules.

[2] Company – Corporate personality principle – Group enterprises – Status of a wholly owned subsidiary – Factors to be considered by a court in determining whether or not to lift the veil of incorporation – Whether a wholly owned subsidiary was a distinct entity from its controlling shareholder.

Editor's Summary

The Plaintiff (now Applicant) received judgment in its favour in a suit filed against the First Defendant/Respondent. It then obtained warrants for the attachment and sale of the First Defendant's assets. The auctioneers who were instructed to carry out the attachment were unable to find any attachable assets but discovered that the First Defendant wholly owned Driscoll Investments Limited, which in turn owned 6 249 999 shares in Delphis Bank Limited. The Plaintiff now brought this application for the attachment and subsequent sale of the shares on the grounds that, as the First Defendant was the ultimate beneficiary of the shares, they were attachable in satisfaction of the decree entered in the suit. The First Defendant opposed the application on the grounds, *inter alia*, that it was but a mere shareholder with no proprietary interests over Driscoll Investments (DI) property and that its liability as judgment debtor could not be enforced against DI, which was a separate legal entity in law.

Held – Upon the incorporation of a company, it became a legal entity distinct from its members; *Salomon v Salomon and Co* [1897] AC 22 applied. However, there were some instances where the legislature and, to a lesser extent, the courts allowed the veil of incorporation to be lifted. Courts were more ready to treat a company as the agent of its controlling shareholder where that shareholder was another company and, in such circumstances, the court would recognise the essential unity of the group enterprise rather than the separate legal entity of each company. The courts would disregard the fundamental principle of corporate personality laid down in *Salomon* (*supra*) if justice demanded it. In this instance, DI was a separate entity in name alone and for that reason, the application would be allowed as prayed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Bird and Co v Thos Cook and Son Ltd [1937] 2 All ER 227

Salomon v Salomon and Co [1897] AC 22 – **AP**

Spittle v Thames Grit and Aggregates Ltd [1937] 4 All ER 101

The Roberta [1937] 58 L1 L Rep 159

Ruling

Mbaluto J: This is an application under Order XXI, rules 41(*a*) and 67 and Order L, rule 1 of the Civil Procedure Rules for the attachment of 6 249 999 shares which the applicant claims are held by the judgment debtor in Delphis Bank Limited through Driscoll Investments Limited. The same application also seeks an order to sell the said shares through a stock broker and the sale proceeds be paid to defray the outstanding decretal sum.

The facts of this case are clear and basically uncontested.

In the affidavit in support of the application, it is deponed that after obtaining judgment against the First Defendant in this matter, the applicant obtained warrants of attachment and sale of the First Defendant's assets but the auctioneers who were instructed to carry out the attachment were unable to trace any attachable assets of the First Defendant. However in the course of their investigations to trace assets of the First Defendant, the Plaintiff discovered that the First Defendant wholly owns Driscoll Investments Limited which in turn own 6 249 999 shares in Delphis Bank Limited. Because of that arrangement, the applicant contends that the First Defendant is the ultimate beneficiary of the shares and accordingly the shares are attachable in satisfaction of the decree entered in this matter.

Although the First Defendant opposes the application, it has not filed any replying affidavit. It relies solely on legal points, all of which I must say are extremely technical in nature. They run as follows:

> "1. That the judgment debtor is a mere shareholder of Driscoll Investments Limited and has no proprietary interest/rights over Driscoll Investments Limited property.
>
> 2. That Driscoll Investment Limited whose property in terms of shares in Delphis Bank are sought to be attached has not been enjoined in this suit and no orders can properly be made affecting the shares.
>
> 3. That Dolphin Holdings Limited liability in judgment cannot be enforced against Driscoll Investment Limited which has a separate legal identity in law.
>
> 4. That there is no agency relationship between Driscoll Investments Limited and Dolphin Holdings Limited and neither company can transact on behalf of the other".

In support of those grounds, Mr *Koyyoko* who argued this application on behalf of the First Defendant submitted that, under Order XXI, rule 41, the property to be attached must belong to the judgment debtor. In that respect, he observed that the shares to be attached belong to Driscoll Investments Limited and not to the First Defendant. He further submitted that the two companies are two separate legal entities and cannot be treated as one and the same thing. He also stated that a company is separate from the holding company and its subsidiaries, even where, as is the case here, it holds 100% shares in the subsidiary company.

The contentions put forward above by the First Defendant spring from the fundamental attributes which naturally flows from the incorporation of a company by virtue of which the corporation becomes a legal entity distinct from its

members. The implications of this principle were first fully expounded in a unanimous decision of the House of Lords in the famous case of *Salomon v Salomon and Company Ltd* [1897] AC 22. In that decision, Lord Macnaghten stated:

> "The company is at law a different person altogether from the subscribers; and, though it may be that after incorporation the business is precisely the same as it was before, and the same persons are managers, and the same hands receive the profits, the company is not in law the agent of the subscribers or trustee for them. Nor are the subscribers, as members, liable, in any shape or form, except to the extent and in the manner provided by the Act".

As is observed in *Gower's Principles of Modern Company Law* (4ed) at 100 since the *Salomon* case, the complete separation of the company and its members has never been doubted. Notwithstanding that however, there are some cases in which the legislature and to a very small extent the courts, have allowed the veil of incorporation to be lifted.

For that reason, the authorities cited by Mr *Koyyoko* for the First Defendant have to be understood within the context of their peculiar circumstances as clearly the decision in each case obviously turns on its own facts. Consequently, while I would have no quarrel with any of the authorities cited, I would certainly not treat any as laying down any general principle applicable in all situations. Also implicit in the basic principal underlying the concept of "lifting the veil" is the recognition that each case must be looked at individually to determine whether in the particular circumstances of a given case, 'the corporate shell' ought to be cracked open.

In considering this matter, I found the passage in *Gower – The Principles of Modern Company Law* (2ed) at 205 on "Lifting the Corporate Veil with regard to Group Enterprises" extremely relevant and apt. The (2ed) discusses English Company Law as it was under the 1948 Companies Act which is equivalent to our current Companies Act and at the page aforesaid states:

> "Consideration of the cases in which the courts have treated a company as the agent of its controlling shareholder suggest that they are more ready to do so where the shares are held by another company. In other words, they are coming to recognise the essential unity of a group enterprise rather than the separate legal entity of each company within the group. Other examples of this can be found. In *The Roberta* [1937] 58 L1 L Rep 159, where a parent company was held liable on a bill of lading signed on behalf of its wholly owned subsidiary, the court saying that the subsidiary was "a separate entity ... in name alone, and probably for the purposes of taxation". In another case *Spittle v Thames Grit and Aggregates Ltd* [1937] 4 All ER 101, the court found no difficulty in treating a subsidiary as "to all intents and purposes" the same as the parent company which held 90 per cent of its shares. In other cases the courts have been able to arrive at the same result by seizing upon some technicality to evade the effect of the technicality of corporate entity. A good example of this is *Bird and Company v Thos Cook and Son Ltd* [1937] 2 All ER 227, in which an endorsement of a cheque to "Thos Cook and Son Limited" was treated as an endorsement to the allied but separate company of Thos Cook and Son (Bankers), Limited by regarding it as a mere misdescription to be ignored under the principle *falsa demonstratio non nocet*".

In the instant case the First Defendant owns 100% shares in Driscoll Investments Limited which in turn owns 6 249 999 shares in The Delphis Bank Limited. In other words, Driscoll Investments Limited is a wholly owned subsidiary of the First Defendant. In the words used in the *Roberta* case, Driscoll Investments

Limited is ‘a separate entity in name alone’ and probably for ‘other’ purposes. As shown above, the courts have refused to permit the logic of the principle laid down in *Salomon*’s case to apply ‘where it is too flagrantly opposed to justice, convenience or the interests of the Revenue (*Gower* – 4ed at 112) and will disregard the fundamental principle of corporate personality if justice warrants it. Equity will not permit a statute or indeed the law to be a cloak for fraud.

In my judgment, this is one of those cases where the corporate veil ought to be lifted because given the special circumstances of this case, it would be tantamount to allowing a debtor to hide behind the cloak of corporate identity to avoid meeting its legal obligations.

For the above reasons, I would allow the application as prayed. The First Defendant will bear the applicant’s costs of this application.

For the Plaintiff
Information not available

For the First Defendant:
BK Koyyoko instructed by *Mackecha & Co*

For the Second Defendant:
Information not available

Chakupewa v Mpenzi and another
[1999] 1 EA 32 (HCT)

Division:	High Court of Tanzania at Mbeya
Date of ruling:	27 October 2000
Case Number:	16/98
Before:	Mackanja J
Sourced by:	Faculty of Law, University of Dar-es-salaam
Summarised by:	A Mwanzia

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[1] Family – Matrimonial property – Couple renting house to party – Husband later selling house to party without wife’s knowledge or consent – House registered in husband’s name alone – Whether house matrimonial home – Whether wife had beneficial interest in the property – Whether husband could pass title – Sections 23 and 59 – Law of Marriage Act of 1971.

Editor’s Summary

The Appellant and John (Second Respondent) were a married couple. They built two houses through their joint effort. They rented one of their houses to Mpenzi (First Respondent). Later John sold the house to Mpenzi while the Appellant was away. Aggrieved by the sale, the Appellant filed suit against John and Mpenzi seeking a declaration that the contract of sale was invalid because it contravened the provisions of section 23 of the Law of Marriage Act, arguing that the suit property was a matrimonial

home and her consent was required before any sale could be had. Evidence led showed that the Appellant and John were not living in the suit property and that the same had earlier on been rented to a commercial enterprise. There was also evidence showing that the property was registered solely in the name of John, though

the Appellant claimed to have made a general contribution of TShs 30 000. The trial court found that the suit property was not a matrimonial home and that the sale thereof was not tainted with illegality.

The Appellant appealed to the High Court.

Held – The trial court had sufficient material before it upon which it could find that the suit premises was a commercial building.

The suit property was a matrimonial asset which had been acquired through the joint efforts of the Appellant and her husband.

Although the suit property was registered in the name of the husband, the Appellant had beneficial interest and in law, the purchaser got only what the husband owned, he could not have purchased the Appellant's beneficial interest without her consent. The husband did not pass the whole title and the sale was therefore invalid.

Appeal allowed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Mtumwa v Iddi and another civil appeal number 22 of 1993 (UR)

Judgment

Mackanja J: The Appellant and the Second Respondent are wife and husband in that order. They live and cohabit at Mkwajuni settlement in Chunya District. It is common ground that spouses built two houses through their joint effort. In October 1995, the couple rented one of their houses to the First Respondent. In 1996 the Second Respondent sold to the First Respondent the house the couple had rented while the Appellant was away.

It appears that the Appellant was aggrieved by the sale of the house. So she filed a suit before the trial court for a declaration that the contract of sale of the suit property is null and void as the said property is the couple's matrimonial home which was built through their joint effort. It was averred that the contract of sale was invalid because it contravened the provisions of section 23 of the Law of Marriage Act of 1971. The Plaintiff swore that her family lived in that house when they rented two rooms to the First Respondent. She was, therefore, surprised to learn that the First Respondent had bought it. Daniel Paulo Kalindi (PW2) and Laurent Simwandu (PW3) swore that indeed the couple live in the suit property. Jacob Pesatatu (DW5) swore that the Second Respondent lived in the suit property while it was rented to the Regional Trading Company Limited.

Amasha Mpenzi, the First Respondent, testified that the part of the suit house he rented was rented to the Regional Trading Company Limited (RTC) before he became a tenant in that house. He rented a room for his shop and the other in which he lived. He testified that he at first hesitated when the Second Respondent offered to sell the house to him. In the end he agreed and they had the purchase agreement drawn and was witnessed by the late Mr Kapinga, learned

advocate. He bought it at TShs 1 000 000 and went ahead to renovate it at cost of TShs 4 500 000. The Second Respondent admits the sale and how he frantically wanted to undo it when his wife refused to accept the change of circumstances. He swore that his wife contributed in the acquisition of that property.

In his judgment the trial court held that the suit property was not a matrimonial home. The Learned trial Magistrate also observed that the issue whether or not the sale was tainted with illegality was not canvassed at the trial. In his judgment such as issue was:

> "… merely speculative in any case, where I believe that the plaintiff consented earlier the sale … In any event, therefore the plaintiff cannot be heard naming it an illegal transaction, because be it illegal one cannot have from it any legal cause of action. The Latin maxim: *exturpi cause non oritur actio* …". (quoted verbatim)

The Appellant was aggrieved, hence this appeal in which she has raised six grounds, that is to say:

1. that since the main issue at the trial was whether or not the disputed house was the matrimonial house of the plaintiff, the trial court erred in law and fact in changing its mind and deciding not to visit and inspect the disputed house allegedly for "economic reasons";
2. that the trial court erred in law and fact in holding without any evidence whatsoever that the Appellant and her husband had conspired to sell the disputed house to the First Respondent;
3. that the trial court erred in law and fact in approving the sale of matrimonial house of the Appellant to the First Respondent without the consent of the Appellant as required by law;
4. that the trial court erred in law and fact in holding that the Second Respondent had four other houses at the village in the absence of any supporting evidence;
5. that, in the alternative to ground 4, the trial court erred in law and fact in holding that the disputed house ceased to be matrimonial home of the Appellant simply because the Second Respondent had other houses in the area;
6. that the trial court erred in law and fact in holding that the First Respondent had made improvements worth TShs4 500 000 to the disputed house in the absence of any supporting evidence.

The appeal was argued by way of written submissions. Mr *Mkumbe*, learned advocate, representing the Appellant and Mr *Mbise*, learned counsel, advocated for the First Respondent. The Second Respondent argued his own case. Mr *Mkumbe* has argued only the first separately, the second and third grounds together and he has also consolidated the further and fifth grounds. He appears to have abandoned the sixth. On his part Mr *Mbise*, learned advocate, has argued the appeal generally.

Learned counsel for the Appellant has made the point that the centre-piece of this appeal is the matrimonial house of the Appellant and her husband, the Second Respondent. It had been the contention of the Appellant throughout the trial that her husband, the Second Respondent, sold the said matrimonial house to the First Respondent without her consent as required under section 59 of the Law of Marriage Act. The Learned trial Resident Magistrate held otherwise,

maintaining that the disputed house was not matrimonial. He argues that in the first ground of appeal the Appellant is precisely attacking that decision of the trial court. In his view, since there was a dispute as to whether the disputed house was matrimonial or not, the trial court was duty bound to go to Mkwajuni Village and inspect the disputed house as it had earlier decided to do on 7 May 1997 (according to the first paragraph of page 15 of the typed proceedings). However, on 18 August 1997 the trial court appeared to have changed its mind to visit the disputed house. On that date, the trial court decided to review its earlier decision to visit the disputed house whereby it abandoned the earlier decision to visit the disputed house due to lack of funds. The Appellant attacks the trial court's change of mind on two fronts, namely, that:

(*a*) economic expediency cannot be a justifiable reason to compromise and/or ignore justice. After all, in civil cases such as this one, it is the parties to the suit, and not the court, that foot all the expenses when the court decides to visit place;

(*b*) if the court had visited and inspected the disputed house, it could have seen whether or not the said house was the matrimonial home of the Appellant and the Second Respondent. In the event, the Appellant submits that she was denied justice by the court's decision not to inspect the disputed house as the visit could have confirmed her claim all along that the house was her matrimonial home.

Mr *Mkumbe* has submitted further that, in the second and third grounds of appeal, the Appellant is attacking the trial court's holding that the sale of the matrimonial house was joint place between the Plaintiff and her husband. With unfeigned respect to the trial court, he says, that holding was mere speculation and conjecture. There is no thread of evidence on record to show that the Plaintiff knew and consented to the sale. On the contrary, it is the First Respondent himself who stated in his defence that "the Second Defendant/Respondent offered to sell the house in question to me". This, according to Mr *Mkumbe*, shows that the Plaintiff was excluded from any discussions pertaining to the sale of the house. He contends that the speculation of the trial court is even more evident when the Learned trial Resident Magistrate states in the last paragraph of page 7 of the typed proceedings that "the plaintiff gave the blessings to the sale only that the sum received was thoughtfully not sufficient".

It is the Appellant's case as regards the fourth and fifth grounds of appeal, that the trial court's holding that the Second Respondent had four other houses is not supported by evidences when it held that the couple had other houses to live in (paragraph 7 of the proceedings, second paragraph). Mr *Mkumbe* submits that that finding was erroneous for the following reasons:

(*a*) the trial court did not visit the area of the matrimonial home where the court would have seen whether the Second Defendant had four or three other houses apart from the matrimonial home. The visit was important as the Second Respondent denied that he had other houses in the area;

(*b*) even if, for the sake of argument, it is taken that the Second Respondent had other houses in the area, then that does not make the other houses matrimonial homes. The issue here is the sale of the matrimonial home;

(*c*) none of the witnesses for the Respondents stated that the other three or four houses, were joint properties of the Plaintiff and the Second Respondent; and

(*d*) the Second Respondent's testimony explaining about ownership of the alleged "other" houses has not been challenged by the First Respondent.

> The Second Respondent explained that the alleged "other" houses were not his. In which case, First Respondent would have tendered title deeds to show that the said houses were the Second Respondent's property.

For these reasons, he submitted that it was erroneous on the part of the trial court to link the question of the "other" houses with the issue at stake, namely the matrimonial home. For these propositions Mr *Mkumbe* relies on the judgment of *Mtumwa v Iddi and another* civil appeal number 22 of 1993 (UR) where Court of Appeal, in a similar case, held that a sale of a matrimonial home without the consent of the other spouse is null and void.

Mr *Mbise*, learned counsel for the First Respondent, began his address to the court with what was the first issue at the trial, which was whether the disputed house was "matrimonial home" for the Appellant and her husband, the Second Respondent. The trial court found as a fact that it was not. He contends that the trial court properly analysed the evidence before it to make the finding, and that, therefore, it can not be faulted on that issue. He relies on the definition of the expression "matrimonial home" as ascribed to it by section 2 of the Law of Marriage Act of 1971. It is his contention that from the evidence adduced by both sides at the trial, it is very clear that the house in question was not being used by the Appellant and her husband, the Second Respondent because the house was for commercial purposes and not residential. He thinks that the Plaintiff's case was contradictory, regarding matters such as when was the house rented to the Regional Trading Company (RTC). Whereas the Appellant (PW1) testified that it was from 1993 and later the same house was rented to the First Respondent when RTC went into liquidation, her own witness, Daniel Paulo Kalindi (PW2) stated on oath that the Appellant and her husband vacated that house in 1988 and rented it to RTC and later rented the same house to the First Respondent. PW2 stated further that he is the village chairman, but he does not know in which house the Appellant and her husband live. Learned counsel compares this story to that of the First Respondent who testified that the house was for commercial purposes and it was used by RTC and later by himself as tenants. He insisted that Appellant and her husband were not living in that house before it was sold to him. And when John Chekupewa, the Second Respondent testified he stated that they vacated the house in 1988 and rented it to RTC and later to the First Respondent. With this kind of evidence, he says, it cannot be said that the house qualifies to be termed as "matrimonial home" for the Appellant and her husband, because they do not ordinarily reside in it. Even when the house was sold by the Second Respondent to the First Respondent, the Appellant had not been at Mkwajuni from October 1995 to 1996.

Mr *Mbise* does not subscribe to the idea that the Learned trial Resident Magistrate should have moved to Mkwajuni to see the house in question, to decide whether it was a matrimonial home or not. He submits, in essence, that Mr *Mkumbe* cannot raise that issue now because he has always been acting for the Appellant at the trial. He never at any one time requested the trial Magistrate to go to Mkwajuni to view the house, he said, adding that even when the Appellant was in the witness box she did not state or even suggest that the court should view the house in question. That it was the Respondent who stated that the court could ascertain what he stated in case it moves to the area. Learned counsel contends that Appellant could not have invited the court to view the house because that was not for her benefit. If the court were to move to that place, even today, it could have ascertained that the house is purely for commercial use. It was being used as a

wholesale shop and store for the First Respondent and later some milling machines were installed, and the Appellant does not live in it even today. It seems to be the case for the defence that visiting the *locus in quo* would bolster the Appellant's case. It is thus submitted that it was not for the trial court to find some evidence to build up the case for the Appellant. That the Appellant does not even appear to have been offended by the ruling made on 26 August 1997 that the court would not visit the house in dispute. That nor did Mr *Mkumbe*, learned counsel for the Respondent, came up with any suggestion that the parties should foot the expenses for moving the court to Mkwajuni or even provide transport for the trip. Since no notice of appeal was issued against the ruling, the Applicant is now precluded to challenge its correctness today.

The other aspect learned defence counsel addressed is what he believes to be the position, that the Appellant had an interest in the house in question, and that her contribution to its acquisition could be estimated at TShs 30 000 in monetary terms. That although she and the First Respondent swore that she contributed toward the construction of the suit property, the First Respondent brought witnesses who gave evidence to establish that the Appellant did not participate in the construction of the house as she alleged. The law recognises that a husband may own property independent of the wife and the wife may also have her own properties independent from the husband, he said. This ties up with what the First Respondent did. It is argued that there is evidence to the effect that at the time of sale, the First Respondent investigated the title and found out that it was in the name of the First Respondent and he alone, is the one who sold it to him.

Mr *Mbise* submits that the judgment of the Court of Appeal of Tanzania in *Mtumwa v Iddi and another* (*supra*) cited by Mr *Mkumbe* is not relevant to this case, as facts of that case are not at all similar to this one. For in that other case it was not disputed that the relevant house was matrimonial home, and that it was jointly owned by the husband and wife. In the present things are quite different, he says basing his argument on the allegation that the trial court was of the opinion that the Appellant knew and consented to the sale of the house to the First Respondent. He argues that there are several factors which were considered by the trial court to come to that conclusion, including the letters that were issued by the Second Respondent to the First Respondent after the sale of that house, the friendly relationship between the couple and their association with counsel for the Appellant at all times the case was in court, and before. That Mr *Mkumbe* was acting for the Second Respondent first, then he made him a defendant after a short while, in the same subject matter.

Mr *Mbise* winds up his submission saying that there is abundant evidence on record to show that the couple own several other houses at Mkwajuni and at Lupa, where they also have a farm, and that is where the Appellant spends most of her time. If, for the sake of argument, the Appellant had a share in the disputed house, which she estimated at TShs 30 000 she is not without remedy. She can always recover the same from the Second Respondent. He, therefore, invited me to dismiss the appeal.

It seems to be fairly common ground between learned counsel that the first issue is whether the suit property is the matrimonial home of the Appellant and the second Respondent, her husband. This takes us to the definition of the expression "matrimonial home". *A Concise Law Dictionary* (5ed) by PG Osborn defines it to "the place where husband and wife have lived together".

The learned authors of *Black's Law Dictionary* (6ed) Abridged the expression "matrimonial domicile" which is another way of saying "matrimonial home" to mean "place where parties live together as husband and wife actually constructively". Back home we have section 2 of the Law of Marriage Act 5 of 1971 which defines that expression to mean:

> "… the building or part of a building in which the husband and wife ordinarily reside together and includes:
>
> (*a*) where a building and its cartilage are occupied for residential purposes only, that cartilage and any other buildings thereon; and
>
> (*b*) where the building is on or occupied in conjunction with agricultural land, any land allocated by the husband or the wife, as the case may be, to his or her spouse for her or his exclusive use".

The law as it stands, therefore, the expression "matrimonial home" means the residence of a married couple. The law does not qualify which building is fit for that purpose; the only qualification is that the couple will use it as their residence. The building need not be owned by any of the spouses; it may even be rented premises.

The Appellant and her husband have testified that they occupied part of the house when they rented the first part to the First Respondent. For the purpose of the law, and if that allegation can be proved, the part they live in is their matrimonial home. However, Mr *Mbise* has argued that the couple do not ordinarily live their, linking the fact of the tenancy between them and RTC and then the First Respondent. The record shows quite vividly that the couple moved out of the house when it was rented to RTC in 1993 in terms of the Plaintiff's own testimony. In that circumstances the house was transformed into commercial premises as Mr *Mbise* has argued. For said at 15 of the typed script of the proceedings:

> "… We in 1993 leased the said house whole to RTC. By then were residing at our son one Crispine. RTC rented it for some years …". (quoted verbatim)

Since RTC was a commercial concern and since it took over the whole house for some years, their matrimonial home moved to where they lived during that span of time. What the house remained to be during those years it was leased to RTC was its status as a property that was jointly acquired during the subsistence of their matrimony. In these circumstances, and since there is no proof that the house was sold while the couple were residing therein, the decision of the Court of Appeal that was cited by Mr *Mkumbe*, learned advocate for the Appellant, is obviously distinguishable from the facts of this case. Upon the foregoing considerations I hold that the trial court had sufficient material before it upon which it could find that the suit premises were a commercial building.

Granted the suit property is a commercial premises. Was the sale valid anyway? In this behalf, evidence on record shows that the suit property was acquired in the name of the Second Respondent. It would seem, although Mr *Mbise* raised a contrary view, that only the Second Respondent and the First Respondent concluded the deal. For it is undisputed that the Appellant was away at the time. In law the Second Respondent had the right and the power to dispose of the house in the circumstances of this case if he can show that he alone is the owner of it. This is so because not everything that is acquired by a spouse during the subsistence of the marriage is presumed to be property which is jointly acquired by both spouses. As by law provided, save as regards the special provisions relating to a matrimonial home as stipulated under section 59

of the Law of Marriage Act and to any agreement to the contrary, section 59 of that Act makes it clear that:

> "… a marriage shall not operate to change the ownership of any property to which either the husband or the wife may be entitled or to prevent either the husband or the wife from acquiring, holding and disposing of any property".

Indeed, it is in this context that section 60 of the said Act provides that:

> "Where during the subsistence of the Marriage, any property is acquired:
>
> (*a*) in the name of the husband or of the wife, there shall be a rebuttable presumption that the property belongs absolutely to that person, to the exclusion of his or her spouse;
>
> (*b*) in the names of the husband and wife jointly, there shall be a rebuttable presumption that their beneficial interests therein are equal".

The state of the law being as above, has the Defendant led evidence to prove that the house belongs to him absolutely? In my view the general tenor of the evidence shows that the only fact which has been established is that the property has been acquired in his name. Other matters require further proof. For there is evidence that the Appellant assessed her material contribution to be TShs 30 000. Now contribution to the acquisition of matrimonial property is not restricted to material contributions. It includes intangible considerations such as her love; the comfort and consolation she gives to her husband; the peace of mind the husband gets from a loving wife; the food she prepares for him. All these, and other psychic satisfactions go a long way to contribute to the acquisition of property which is acquired through the joint effort of the parties. In fact Mr *Mbise*, learned counsel, has underscored the concord the consortium that existed between the two spouses, for whatever reason, when he said in his written submissions (at 4) that existed:

> "… friendly relationship between the couple … at all times the case was in court, and before …".

In some other respects, the wife or the husband may establish that she or he owned the property before they contracted their marriage. Such a property is deemed to be a joint matrimonial asset acquired during the subsistence of the marriage if it can be shown that, even though the asset was acquired before the marriage by one of the spouses, it has:

> … been substantially improved during the marriage by the other party of by their joint efforts". (section 114(3) of the Law of Marriage Act).

These considerations would equally apply to property which is acquired absolutely by one spouse and which has been substantially improved by the other spouse or through their joint effort. I hold, therefore, that the suit property is a matrimonial asset which was acquired through the joint efforts of the Appellant and her husband. That being the position her beneficial interest cannot be limited to the paltry sum of TShs 30 000. As is always the procedure, assessment of the contribution is made during matrimonial and division of such assets. I will not, therefore, attempt to make such an assessment because that is a matter on which estranged spouses adduce evidence. So the extent of the Appellant's beneficial interest will not be decided in these proceedings as it was not an issue at the trial.

It has been argued that the Appellant conspired with her husband to sell the house and, presumably, rewound her mind at a later stage. In this regard the Learned trial Resident Magistrate observed at page seven of the typed script of his judgment that:

> "… I am made to believe the said sale was planned (*sic*) by both the plaintiff and the second defendant only that the couple (*sic*) came to realise later on, that the sale price

> offered by the first defendant was lower then (*sic*) than the offered/to be offered by else whom at the market …".

My perusal of the record of proceedings does not show anywhere that the change of heart, if any by the Appellant stemmed from a more lucrative price. There is no such evidence. The observation, therefore, speculative based on the belief of the Learned trial Magistrate. Now cases are not decided on the strength of the belief of those who try them; issues must be proved by evidence. There just was no proof of any conspiracy here as all communication on the issue, including Exhibit D1, was between the two Defendants. The assertion by the trial court, therefore, that the Appellant and her husband planned the sale and conspired to recant is unfounded.

The final issue is whether the sale was a valid transaction. In determining this issue one must go to record of proceedings to see what transpired. The record shows that the purchaser having investigated the title and having satisfied himself that the suit property had no encumbrances, proceeded to conclude the deal with the Second Respondent before an advocate. In law, however, the purchaser got only what the Second Respondent owned; he could not have purchased the Appellant's beneficial interest without her consent. It follows that the Second Respondent did not pass the whole title to the First Respondent; he only passed title in respect of his beneficial interest. In these circumstances the sale is invalid. I would allow the appeal as a result.

Now the First Respondent swore that he has long since improved the suit property at a cost of TShs 4 500 000. There was no evidence to establish that cost.

Upon the foregoing considerations the appeal is allowed with costs. As a result the sale is hereby invalidated. Consequently, it is directed that the Appellant and the Second Respondent to pay compensation to the First Respondent for the unexhausted improvements he has long since made to the suit premises. The cost of those improvements shall be assessed by a government valuer at the cost of the Second Respondent.

For the Applicant:
VCM Mkumbe instructed by *Mkumbe & Co*

For the First Respondent:
MT Mbise instructed by *MT Mbise & Co*

For the Second Respondent:
In person

Cuossens v Attorney-General
[1999] 1 EA 40 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of ruling:	3 March 2000
Case Number:	8/99
Before:	Oder, Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

[1] Damages – Measure of damages – Exercise of discretion – Factors to be considered in determining whether to interfere with a trial court's discretion in awarding damages.

[2] Tort – Negligence – Personal injury – Damages – Loss of future income – Assessment of quantum – Principles to be applied in assessing quantum – Plaintiff's employment status at the time of incident a material fact to be considered by the court.

Editor's Summary

The Appellant, a professional deep-sea diver, suffered severe injuries after being negligently shot by policemen who allegedly mistook him for a thief. Medical evidence established that as a result of his injuries, he could no longer work as a deep-sea diver. He sued the Attorney-General in the High Court seeking general damages in the amount of US$ 1 025 000 representing loss of the income that he would have earned over the next 20 years. The Appellant testified that as a professional deep-sea diver working in the US, he could have expected to earn US$ 72 000 per annum but that following his injuries he would only be able to earn US$ 22 000. The trial judge gave judgment in his favour but declined to award general damages in the amount claimed on the ground that the Appellant had failed to prove that he was earning any money at the time of the injury. After considering comparable local cases and taking into account the unique nature of the present case, the trial Judge awarded him UShs 50 000 000 as general damages. The Appellant's first appeal to the Court of Appeal was dismissed. He now appealed to the Supreme Court on the grounds that the Court of Appeal had erred in confirming that he was not entitled to an award for loss of income because he was not working at the time of the shooting and in failing to re-evaluate and assess the evidence as a first appellate court should do. Counsel for the Appellant argued, *inter alia*, that loss of future income was an aspect of general damages that did not have to be strictly proved like special damages and that the record showed that the Court of Appeal did not subject the evidence to a fresh scrutiny in order to make its own findings. In reply, counsel for the Respondent contended that the trial court had followed the correct legal principles in making the award and that as a result there had been no reason for the Court of Appeal to interfere with the judgment. He further argued that the Court of Appeal had in fact re-evaluated the evidence before reaching the same conclusion as the trial court.

Held – The object of an award of damages was to give a plaintiff compensation for the damage, loss or injury that he or she suffered. The general rule regarding the measure of damages was that the party injured would be awarded a sum of money as would put him in the same position as he would have been if he had not sustained the injuries; *Livingstone v Ronoyard's Coal Co* [1880] 5 AC 259 and *British Transport Commissioner v Gourley* [1956] AC 185 applied. In cases of pecuniary loss, where earnings had actually been lost or expenses had actually been incurred up to the date of trial, the exact or approximate amount, if proved, would be awarded as special damages. In the case of future financial loss, the prospective loss would not be claimed as special damages because it had been sustained at the date of the trial and would therefore be awarded as part of the general damages. In such cases, the court had to make a broad estimate, taking into account all proved facts and probabilities of the case before it; *British Transport Commissioner v Gourley* [1955] 3 All ER 796 applied. It was therefore important that evidence be given to the court of as many facts as possible. In calculating damages, the loss of earning capacity would be assessed by taking the figure of the Plaintiff's present annual earnings less the amount, if any, that he could now earn annually (the multiplicand) and multiplying this by the number of years during which the loss of

earning power would last, discounted to allow for the fact that a lump sum was being given now instead of periodic payments over the years (the multiplier). The Plaintiff ‘s actual income was therefore one of the material factors on which an assessment was based; *Phillips v London and South Western Railway Company* [1879-80] 5 QBD 78, *Davies and another v Pewell Duffryu Associated Collieries Ltd* [1942] 601 (HL), *Browning v The War Office and another* [1963] 1 QB 750, *Cookson v Knowles* [1979] AC 556, *Graham v Dodds* [1983] 2 All ER 953, *Fletcher v Autocar and Transporters Ltd* [1968] 2 QBD 322, *Pope v D Murphy and Sons Ltd* [1961] 1 QB 222 and *Parry v Cleaner* [1970] AC 1 considered.

In this instance, the trial Judge had found that at the time of the incident, the Plaintiff had not been working and that no evidence had been adduced showing that if he had been working he would have been earning US$ 72 000 per annum. Moreover, in his evidence the Appellant had not said whether, when and where he would resume work if he had not been injured. The record showed that the Court of Appeal re-appraised the evidence and agreed with the trial Judge’s finding that the Appellant had not proved that his income was US$ 72 000 at the time of his injury. The figure was clearly based on speculation and there was no evidence to prove it. Though the Court of Appeal erred in holding that the Appellant’s claim for loss of earnings should have been pleaded and proved as special damages, the error did not detract from its finding that the Appellant did not prove his claim of loss of earnings.

It was well-settled law that an appellate court would not interfere with an award of damages unless the trial court acted on a wrong principle of law or the amount was so high or so low as to make it an entirely erroneous estimate of the damages; *Phillips v London and South Western Railway Company* [1879-80] 5 QBD 78, *Flint v Lovell* [1935] 1 KB 354 and *Owen v Sykes* [1936] 1 KB 192 followed. In this instance, the Court of Appeal correctly refused to interfere with the trial Judge’s discretion in awarding UShs 50 million to the Appellant.

Appeal dismissed.

Cases referred to in judgment

(“**A**” means adopted; “**AL**” means allowed; “**AP**” means applied; “**APP**” means approved; “**C**” means considered; “**D**” means distinguished; “**DA**” means disapproved; “**DT**” means doubted; “**E**” means explained; “**F**” means followed; “**O**” means overruled)

East Africa

Maljibhai v Patidar Samaj and another [1944] EACA 1

Mbogo v Shah [1968] EA 93

Mitford Bowker [1947] 14 EACA 20

Obongo v Municipal Council of Kisumu [1971] EA 91

United Kingdom

British Transport Commissioner v Gourley [1955] 3 All ER 796 – **AP**

British Transport Commissioner v Gourley [1956] AC 185 – **AP**

Browning v The War Office and another [1963] 1 QB 750 – **C**

Bullingha v Hughs [1949] 1 KB 643

Cookson v Knowles [1978] 2 WLR 978 (HL) – **C**

Cookson v Knowles [1979] AC 556

Daly v General Steel Navigation Co Ltd [1983] 3 All ER 696

Davies and another v Pewell Duffryu Associated Collieries Ltd [1942] 601 (HL) – **C**

Fletcher v Autocar and Transporters Ltd [1968] 2 QBD 322 – **C**

Flint v Lovell [1935] 1 KB 354 – **F**

Graham v Dodds [1983] 2 All ER 953 – **C**

Lim Pol Choo v Comden and Isligton Area Health Authority [1979] 3 WLR 44 (HL)

Livingstone v Rowyard's Coal Co [1880] 5 AC 259 – **AP**

Mitchell v Mulholland and another [1972] 1 QBD 65

Owen v Sykes [1936] 1 KB 192 – **F**

Parry v Cleaner [1970] AC 1 – **C**

Phillips v London and South Western Railway Company [1879-80] 5 QBD 78 – **C** and **F**

Picket v British Paul Engineering [1978] 3 WLR 955 (HL)

Pope v D Murphy and Sons Ltd [1961] 1 QB 222 – **C**

Payne v Railway Executive [1951] 2 All ER 901

Watson v Powles [1968] 1 QB 596

Judgment

Oder JSC: This is an appeal by Robert Coussens against the decision of the Court of Appeal dismissing his appeal against the judgment of the High Court in a suit he had instituted against the Attorney-General of Uganda, the Respondent in this appeal.

The Appellant Robert Coussens, an American national and a professional deep-sea diver, was in Uganda when he was negligently shot and severely injured by members of the Uganda Police Force who had allegedly mistaken him for a car thief. The Appellant sustained very severe injuries from the gunshot. Medical evidence established that he could no longer work as a sea diver. He instituted a suit in the High Court against the Attorney-General (the Respondent) claiming special and general damages for personal injuries. He claimed that as a professional deep-sea diver, he was earning in the United States of America (USA) US$ 72 000 per year. He had expected to pursue that career for the next twenty years. He was 25 years old at the time of the incident in which he was injured. According to him, he could not now work to earn that amount of money. He could only earn US$ 22 000 per year. In paragraph 12(*a*) of his amended plaint, the Appellant prayed for US$ 1 025 000 as general damages, this being loss of income which he would have earned over a period of the next 20 years at the rate of US$ 50 000 per year if his health was normal. The figure is arrived at by reducing US$ 72 000 by US$ 22 000.

The Learned trial Judge heard the suit and gave judgment for the Appellant, but he declined to award general damages in the amount claimed as loss of earning. His reason was that the Appellant did not prove that he was earning any money at the time of his injury. After considering a number of comparable local cases the Learned trial Judge thought that this was a unique case and awarded UShs 50 000 000 to the Appellant as general damages.

The Appellant was dissatisfied with the High Court award and appealed to the Court of Appeal which dismissed his appeal.

As set out in the memorandum of appeal, the grounds of appeal are as follows:

> "1. The Learned Justices of the Court of Appeal erred in law when they confirmed the trial court holding that the Appellant was not entitled to an award of loss of income because he was not working at the time he was shot by the Police.
>
> 2. In the alternative but without prejudice to the foregoing grounds the Learned Justices of the Court of Appeal erred in law when they confirmed the award of general damages granted by the trial court".

It is proposed to ask this Honourable Court for orders that:

> "1. The order of the High Court be varied to include an award of loss of income of US$ 1 025 000.
>
> 2. Grant a higher award of general damages to the Appellant.
>
> 3. The costs of the appeal be granted to the Appellant".

During the hearing of the appeal, however, Mr John *Matovu*, counsel for the Appellant, applied for and was granted leave to amend the memorandum of appeal under rule 43(2) of the Rules of this Court. The amendment was effected by substituting ground two with a new ground of appeal. The new ground is not alternative but consecutive to ground two. It reads:

> "2. The Learned Justices of Appeal erred in law when they failed to re-evaluate and assess the evidence as a first appellate court should have done".

The learned counsel for the Appellant also applied for an adjournment, but the application was objected to by Mr *Cheberion*, Commissioner for Civil Litigation in the Attorney-General's Chambers. The court refused the application for adjournment and the hearing of the appeal proceeded.

In his submission, Mr *Matovu* first argued the first ground of appeal. He contended that the Learned Justices of Appeal took a wrong view of the law by deciding that the Appellant did not prove his future income. That view was wrong because loss of future income was an aspect of general damages which does not have to be strictly proved like special damages. Secondly, the Learned counsel contended in the alternative that the Appellant did, in fact, adduce evidence sufficiently to enable the Court of Appeal to make a finding that loss of prospective income had been proved. Such evidence is available from the testimonies of Professor Maurice Denison (PW1); the Appellant himself (PW2), Ibrahim Ayub (PW3) and John Lungu Antonio (PW4). Mr *Matovu* referred to *British Transport Commissioner v Gourley* [1956] AC 185 at 193-202 and 211; *Mcgregor on Damages* (15ed) at 44; and *Kemp and Kemp on Damages*. These authorities, according to the learned counsel, show that there are two aspects of prospective loss of income. The first is future loss, which is uncertain and has to be estimated. The second is loss of income after the incident up to trial of the suit. This can be easily estimated, unlike future loss. In the instant case, the Court of Appeal erred to have confirmed the trial court decision that the Appellant had not proved his income claimed to have been lost.

On the second ground of appeal, the Appellant's learned counsel submitted that grounds of the appeal before the Court of Appeal required that court to re-evaluate evidence relating to the Appellant's income alleged to have been lost. As the record shows, the Court of Appeal did not subject the evidence to fresh scrutiny in order to make its own finding as to whether or not the Appellant's loss of income had been proved. As the first appellate court in the case, the Court of Appeal ought to have done so. It did not. This was an error.

In reply, Mr *Cheberion* Barishaki, submitted under the first ground of appeal that in claims for loss of income resulting from personal injuries, two types of incomes are recognised by the courts. The first is income lost between the time of injury and trial of the suit. This should be actual income lost. The second is prospective income subsequent to trial. The learned counsel referred to *Daly v General Steel Navigation Co Ltd* [1983] 3 All ER 696. Courts have held in this and other cases that the starting point in assessing loss of earnings is to find how much the claimant was earning before the incident complained of, see *Bullingha v Hughs* [1949] 1 KB 643. The objective of damages is to put the injured person back to the position where he or she was before the injury. In the instant case, the learned counsel contended, the Appellant was unemployed. Seven months before his injury, the Appellant was not working. Consequently, there was no material on which the trial court and the Court of Appeal could make a mathematical calculation for purposes of ascertaining pre-trial and future earnings. There was no evidence of earning before the Appellant was injured. Secondly, the Respondent's learned counsel submitted that as there was no evidence to show the Appellant's earning before his injury assessment of loss of such income becomes a matter for the court's absolute discretion. The trial court's award of UShs 50 million as general damages was based on comparable awards in past cases of a similar nature. Further, the trial court was alive to what it thought to be the uniqueness of the case. It followed correct principles in making the award. The award it made was not reasonably too low or too high. There was therefore, no reason for the Court of Appeal to interfere with the award. In the circumstances, it rightly up-held the award of general damages of UShs 50 million for the Appellant.

Under the second ground of appeal, the Respondent's learned counsel submitted that the only relevant evidence is that which was adduced to prove quantum of damages. That is what the Court of Appeal had a duty to re-evaluate. Such evidence came from the Appellant (PW2) and John Lungu Antonio (PW4). The Appellant testified that he was earning US$ 960 per week from Mary-land Diving Services. PW4's evidence was to the effect that the Appellant was well qualified internationally as a deep-sea diver, who could work anywhere; that if he worked as such in the North Sea and in Singapore, he could earn US$ 100 000 per annum, or US$ 80 000 at Mombasa; and that PW4 offered the Appellant work at Mombasa, but the latter declined to take it. The learned counsel contended that the Court of Appeal did, in fact, re-evaluate the evidence available before it and reached the same conclusion as that of the trial court.

In his reply, Mr *Matovu*, contended that the fact that the Appellant was not working at the time of his injury, was not a bar to awarding prospective earnings, because he only had to prove his capacity to work before the injury and to prove that but for the injury, he would have continued to earn what he was earning before. Since award of damages is based on the principle of *restitutio in integrum*, the Appellant should be compensated for loss of earnings during the period between injury and trial and after trial. The Court of Appeal erred not to have done so. In what appears to be an alternative prayer, the Appellant's learned counsel submitted that if this Court considered US$ 1 002 500 to be too high it should award the Appellant US$ 500 000 as loss of earnings. The learned counsel however, did not elaborate the basis of his suggestion for the lower figure.

The essence of this appeal, as I see it, is whether the Appellant should have been awarded US$1 025 000 as general damages for loss of income.

The object of an award of damages is to give the Plaintiff compensation for the damage, loss or injury he or she has suffered. The heads or elements of damages recognised as such by law are divisible into two main groups: pecuniary and non-pecuniary loss. The former comprises all financial and material loss incurred, such as loss of business profit, loss of income, or expenses such as medical expenses. The latter comprises all losses which do not represent inroad upon a person's financial or material assets such as physical pain or injury to feelings. The former, being a money loss is capable of being arithmetically calculated in money, even though the calculation must sometimes be a rough one where there are difficulties of proof. The latter, however, is not so calculable. Money is not awarded as a replacement for other money, but as a substitute for that which is generally more important than money: it is the best that a court can do, damages have to be measured in order to arrive at what compensation should be awarded.

The general rule regarding measure of damages applicable both to contract and tort has its origin in what Lord Blackburn said in: *Livingstone v Rowyard's Coal Co* [1880] 5 AC 259. He there defined measure of damages as:

> "that sum of money which will put the party who has been injured, or who has suffered, in the same position as he would have been in if he had not sustained the wrong for which he is now getting his compensation or reparation".

This statement has been consistently referred to or recited with approval in many subsequent cases. In *British Transport Commissioner v Gourley* [1956] AC 185 Earl Jowitt put it this way at 197:

> "The broad general principle which should govern the assessment of damages in cases such as this is that the tribunal should award the injured party such a sum of money as will put him in the same position as he would have been if he had not sustained the injuries. See per Lord Blackburn in: *Livingstone v Rowyard's Coal* [1880] 5 AC 259".

In cases of pecuniary loss, such as claimed in the present, it is easy enough to apply this rule in the case of earnings which have actually been lost, or expenses which have actually been incurred up to the date of the trial. The exact or approximate amount can be proved and, if proved, will be awarded as special damages. In this category falls income or earning lost between the time of injury and the time of trial. But in the case of future financial loss whether it is future loss of earnings or expenses to be incurred in the future, assessment is not easy. This prospective loss cannot be claimed as special damages because it has not been sustained at the date of the trial. It is therefore, awarded as part of the general damages. The Plaintiff no doubt would be entitled in theory to the exact amount of his prospective loss if it could be proved to its present value at the date of the trial. But in practice since future loss cannot usually be proved, the court has to make a broad estimate taking into account all the proved facts and the probabilities of the particular case. All this was stated very clearly by Lord Reid with reference to loss of future earnings in his speech in *British Transport Commissioner v Gourley* [1956] AC 185 at 212; [1955] 3 All ER 796 at 808:

> "if (the plaintiff) had not been injured, he would have had the prospect of earning a continuing income, it may be, for many years, but there can be no certainty as to what would have happened. In many cases the amount of that income may be doubtful even if he had remained in good health and there is always the possibility that he might have died or suffered from some incapacity at any time. The loss which he has suffered between date of the trial may be certain, but his prospective loss is not. Yet damages must be assessed as a lump sum once and for all not only in respect of loss accrued before the trial but also in respect of prospective loss. Such damages

> can only be an estimate, often a very rough estimate of the present value of his prospective loss".

In the *British Transport Commission* case (*supra*) the Respondent was gravely and permanently injured in a railway accident for which the Appellants accepted liability. The Respondent was a partner in a firm of civil engineers; he was eminent in his profession and was earning a large professional income. Until sometime in the year following the accident, he was unable to take any effective part in the business of the firm. On his return to work on account of his physical condition, a reduction was made in the apportionment of profits he was entitled to receive.

The trial Judge awarded the Respondent £ 37 720 in respect of loss of earnings up to the date of the trial and his prospective future loss based on his annual earnings at the time of his injury.

An estimate of prospective loss must be based in the first instance, on a foundation of solid facts; otherwise it is not an estimate, but a guess. It is therefore, important that evidence should be given to the court of as many solid facts as possible. One of the solid facts that must be proved to enable the court to assess prospective loss of earnings is the actual income which the Plaintiff was earning at the time of his injury. The method of assessment of loss of earning capacity after the facts have been proved is, in my view, persuasively stated by *Mcgregor on Damages* (14ed) in paragraph 1164 (at 797) as follows:

> "The courts have evolved a particular method of assessing loss of earning capacity, for arriving at the amount which the Plaintiff has been prevented by the injury from earning in the future. This amount is calculated by taking the figure of the Plaintiff's present annual earnings less the amount if any, which he can now earn annually and multiply this by a figure which, while based upon the number of years during which the loss of earning power will last, is discounted so as to allow for the fact that a lump sum is being given now instead of periodic payments over the years. This figure has long been called the multiplier; the former figure has now come to be referred to as the multiplicand. Further adjustment however, may have to be made to the multiplicand or multiplier on account of a variety of factors; viz the probability of future increase or decrease in the annual earnings the so called contingencies of life and the incidence of inflation and taxation".

Discussing the "multiplicand" in conditions of diminution of annual earnings the Learned author says in paragraph 1168:

> "The starting point in the calculation has long been the amount earned by the Plaintiff before the injury; however, *Cookson v Knowles* [1978] 2 WLR 978 (HL) in the related field of fatal accidents would seem to confirm that now, through the stimulus of inflationary conditions, the starting point has become the amount that the Plaintiff would having been earning at the date of the trial had he not been injured … What the Plaintiff is earning per annum at the time of injury will generally be easy to calculate where he is employed at a wage or salary; similarly, the amount which he is capable of earning in the future is often made clear by the terms of such post injury employment (if any) as he has entered into before his case is brought to trial".

The method of assessment of loss of income or earnings above referred to applies equally to claims based on personal injury as well as to those for loss of dependency arising from fatal accidents. A few examples will in my view suffice to make the point. I have been unable to find relevant cases from our jurisdiction. Consequently, the authorities I have referred to are mostly from the English jurisdiction, which are of great persuasive value. One of the earliest reported cases on the subject is that of *Phillips v London and South Western Railway Company* [1879-80] 5 QBD 78. The Plaintiff, a doctor brought an action for damages

for pecuniary loss due to personal injury sustained in a railway accident negligently caused and for which the defendant was found to be liable. The Court of Appeal upheld an order for a new trial because the damages found by the jury was so small as to show that they must have omitted to take into consideration the Plaintiff's proper annual income as an element of damage. The jury's error arose from a misdirection by the trial Judge to it regarding the Plaintiff's annual professional earnings.

The case of *British Transport Commissioner* (*supra*) to which I have already referred to was one in which the plaintiff's claim was for loss of future earnings due to personal injury. The case of *Davies and another v Pewell Duffryu Associated Collieries Ltd* [1942] 601 (HL), concerned fatal accidents. There, two employees of the Respondents, were fatally injured by an explosion in the Respondent's mines. Each of their widows sued as administratrix of her deceased husband. Each claimed damages under the Fatal Accidents Act of 1846 to 1908 on behalf of the deceased's dependants; and under the Law Reform (Miscellaneous Provisions) Act of 1934 in respect of the deceased's shortened expectation of life. Having decided the question of liability in favour of the Plaintiffs, the Learned trial Judge proceeded to consider the question of the damages to be awarded in each case. The deceased Davies was a man of 23 years of age, in sound health and regular employment, earning an average weekly wage of £ 2 2s 4d, the whole of which he gave to his wife who handed him back 5s as pocket money. The deceased Williams was 42 years of age, also in sound health and regular employment, and his average weekly earnings were £ 3 15s 5d; the whole of which he gave to his wife who handed him back small sums not exceeding half a crown a week for pocket money. The widows were each dissatisfied with the amount of damages awarded by the Learned trial Judge as inadequate, and cross-appealed to the Court of Appeal which dismissed the cross-appeals. The Respondents had appealed against the decision on liability. The widows appealed to the House of Lords. In his speech, Lord Wright said at 617:

> "There is no question here of what may be called sentimental damage, bereavement, pain or suffering. It is a hard matter of pounds, sterling and pence, subject to the element of reasonable future probabilities. The starting point is the amount of wages which the deceased was earning, the ascertainment of which to some extent may depend on the regularity of his employment. Then there is an estimate of how much was required or expended for his own personal and living expenses. The balance will give a datum or basic figure which will generally be turned into a lump sum by taking a certain number of years purchase. That sum however, has to be taxed down by having due regard to uncertainties, for instance, that the widow might have again remarried and thus ceased to be a dependant and other like matters of speculation and doubt".

Browning v The War Office and another [1963] 1 QB 750, is another important relevant case. On 5 August 1958, the Plaintiff, a Technical Sergeant in the USA Air Force stationed in England, was severely injured in a motor collision through the admitted negligence of the drivers of the vehicles one of whom was a serving soldier in the British Armed Forces. From the date of the accident until his discharge from the Air Force on 10 June 1959, on ground of disability, the Plaintiff received his full pay of £ 450 per month. After his discharge he became entitled and received as of right under US Law, a disability pension (veteran's benefit) amounting to nearly half of his full pay; he was also able to pursue a gainful employment as a civilian. On the trial of an action by the Plaintiff claiming damages against the War Office and the driver of one of the

vehicles, the damages awarded by the Judge included £ 25 111 for pecuniary loss being computed on the basis of the Plaintiffs pay before the accident, but wholly disregarding the disability pension. The trial Judge disregarded the pension holding that he was bound by an earlier Court of Appeal decision in *Payne v Railway Executive* [1951] 2 All ER 901 that a naval disability pension awarded to a sailor injured in a railway accident should not be taken into account in assessing the damages payable to the defendants because the pension was a benefit accruing to the sailor in respect of his past service and was a fortuitous circumstance analogous to accident insurance moneys the benefit of which should not be appropriated by the wrongdoers in reduction of damages. On appeal, the Court of Appeal decided that the disability pension must be taken into account. The assessment was in accordance with the principle authoritatively laid down in *British Transport Commissioner v Gourley* (*supra*) that damages for financial loss in actions for negligence should compensate the injured person for his loss and not punish the defendant for the tortfeasor's wrongdoing.

The case of *Browning v The War Office* (*supra*) is relevant to the instant case for another reason. It is that a plaintiff who is not earning income at the time of injury would not receive an award of damages for loss of earnings. Diplock LJ put it thus at 766:

> "A Plaintiff is not entitled to damages for loss of capacity to earn money unless it is established that he worked, but for his injuries, hence exercised that capacity in order to earn money. A Plaintiff who at the time of his injuries has retired from gainful occupation and who, if injured, would never have returned to gainful occupation, has suffered no pecuniary loss from being disabled from doing what he would in any event never have done. To call it damages for "loss of earning" in the present case is *petitio principi*. It assumes that only something which can be accurately described as "earnings" is a factor to be taken into account, which is the very issue in this appeal. I prefer therefore, the mental expression "pecuniary loss".

Cookson v Knowles [1979] AC 556 was a case of claim due to a fatal accident. The Plaintiff, as widow and administratix of the deceased, claimed damages under the Fatal Accidents Act 1846-1959 and the Law Reform (Miscellaneous Provisions) Act of 1934 (on which our statute of the same title (Chapter 74), is modelled). The claim was based on negligence causing death of the deceased in a motor accident on 14 December 1973. The deceased was then aged 49 and earning £ 1 820 a year as a woodwork machinist, the Plaintiff aged 45 and earning £ 900 a year as a cleaner at the local village school with her husband's help for heavy work, They had three children. At the trial, on 27 May 1976, liability was admitted. The Judge took the combined earnings of husband and wife as they would have been at the date of the trial had the deceased lived, totaling £ 3 374. He took the dependency as two thirds of £ 3 374 and using a multiplier of 11 on the resulting figure of £ 2 250 awarded a capital sum of £ 24 750. He also gave interest at 9 percent on that sum from the date of death to the date of trial, making a total of £ 5 412 interest.

On the defendant's appeal, the Court of Appeal reduced the damages to £ 21 322 and the interest to £ 505, holding that in Fatal Accidents cases, the pecuniary loss to the widow and children should be divided into two parts, that from the date of death to the date of trial on which interest should run at half rate and that from the date of trial onwards calculated by taking the amount which the deceased would then have been earning had he lived and using the appropriate multiplier for that date without regard to inflation, and that no interest should be payable on the loss from date of trial onwards.

On appeal by the Plaintiff and cross-appeal by the Defendant, the House of Lords dismissed both the appeal and the cross-appeal, held that in normal Fatal Accidents cases, the damages ought, as a general rule, to be split into two parts:

(*a*) the pecuniary loss which it was estimated the dependants had already sustained from the date of death up to the date of trial ("the pre-trial loss") and

(*b*) the pecuniary loss which it was estimated they would sustain from the trial awards ("the future loss").

In *Graham v Dodds* [1983] 2 All ER 953, a more recent House of Lords case, it was held, *inter alia*, that in assessing the future loss of dependence in a fatal accident in that case – where the deceased was earning £ 66 as net pay per week assessment of loss of dependency to his widow and children should be made on a multiplier starting from the date of death and not from the date of trial. The case of *Cookson v Knowles* (*supra*) was applied.

In *Fletcher v Autocar and Transporters Ltd* [1968] 2 QBD 322, the Plaintiff was a Chartered Quantity Surveyor. On 4 July 1964, he was severely injured in a motor accident due to the defendant's negligence. As a result of the injuries he received which included severe brain damage he was transformed from an active hardworking man earning between £ 3 000 to £ 4 000 a year after tax deduction to a man unable to work and was wholly dependent on his wife. The trial court awarded damages which on appeal was held to be excessive. The Court of Appeal allowed the Plaintiff damages of £ 22 000 as loss of future earnings. Diplock LJ at 346, set out how the Plaintiff's loss of future earnings should be calculated as follows:

> "There is no magic about the actuarial calculation. It is based on the following assumptions each of which is treated as a certainty:
>
> (1) That the Plaintiff would have continued to engage in full practice in partnership as a quantity surveyor until June 1977, when he would have attained the age of 69½ years.
>
> (2) That his share in profits of the partnership after deduction of tax, would be £ 4 000 per annum in each of these 10 years.
>
> (3) That in order to earn those profits, he would be put to no expense not deductible for tax purposes from the profits of the partnership.
>
> (4) That interest rates, tax and structure, and the value of money would remain unaltered throughout the 10 years"..

With these assumptions as data, the rest is pure arithmetic. The first three assumptions are special to the Plaintiff, the fourth is general. The reliability of each as a basis for the calculation depends upon the degree of probability of its being right. On this, the actuary can throw but little light.

Pope v D Murphy and Sons Ltd [1961] 1 QB 222 was a case of claim for damages due to personal injury. The Plaintiff was injured in a motor accident and suffered injuries which shortened his expectation of life. In an action brought by him for damages for *inter alia*, loss of future earnings, the Defendant contended that damages under this head could only be based upon the expectation of life which was left to the plaintiff as a result of the accident. It was held that the proper approach to the question of loss of earning capacity was one which compensated the plaintiff for what he had in fact lost, that what he had lost in this case were prospective earnings for the remainder of his normal expectation of working life assessed on the basis of what he was earning at the time of his injury. Accordingly, it was wrong to limit the damages for loss of future earnings to the period of the shortened expectation of life. This case was referred to

with approval by the House of Lords in *Parry v Cleaner* [1970] AC 1 in which Lord Morris of Berth-Y-Guest said at 22:

> "In my view, the general principle and the general approach in calculating monetary loss in a case such as the present is that an injured person should receive such an amount of money as will put him in the same position as he would have been in if he had not received the injuries (see *British Transport Commissioner v Gourley* [1956] AC 185, 197). A Plaintiff should receive such a sum in money as will represent the actual loss which has resulted to him in consequence of the Defendant's negligence. This was described by Diplock LJ in *Browning v War Office* [1963] 1 QB 750, 766 as "the difference, between the money which the Plaintiff would have received had he been able to continue the gainful occupation which he would have followed if he had not been physically injured, and the money which he has received or will receive (on the assumption that he has acted or will act reasonably) while his ability to carry on that occupation is extinguished or reduced by his physical injuries".

Other personal injury cases in which assessment and award of damages for loss of earnings or income was based on earnings or income at the time of injury are *Picket v British Paul Engineering* [1978] 3 WLR 955 (HL); *Lim Pol Choo v Comden and Isligton Area Health Authority* [1979] 3 WLR 44 (HL); *Mitchell v Mulholland and another* [1972] 1 QBD 65.

In the instant case, the Appellant's claim for damages for loss of income was set out in his amended plaint as follows:

> "12 by reason of the negligence on the Defendant's servants/employees, the Plaintiff suffered special damages.
>
> *Particulars of loss damages*
>
> At the time of the shooting the plaintiff had won himself a job as a deep-sea diver at the remuneration of US$ 72 000 (United States dollars seventy two thousand) per year in a career he would have pursued for a period of 20 years.
>
> The Plaintiff can now earn an expected non-diving income of US$ 22 000 per year diving income less expected alternative income – US$ 50 000, loss of income for 20 years US$ 1 025 000 (United States dollars one million and twenty five thousand)".

But in the prayer, the amended plaint asked for:

> "(*a*)(1) General damages as pleaded in paragraph 12(*a*) above for loss of income".

On the basis of the law as applied in the authorities I have referred to, one of the material factors on which the present Appellant's claim for loss of income had to be assessed was actual income (if any) which he was earning at the time of the injury inflicted on him by the negligence of the members of the Respondent's policemen. There is no doubt that the Appellant was a well qualified deep-sea diver. This clearly comes out from his evidence, that of Professor David Maurice Denison (PW1) and John Lungu Antonio (PW4). However, the Appellant should be compensated not for what he would have been earning as a deep -sea diver at the time of his injury; but for income which he was earning but lost and would have continued to lose due to his injury. His evidence in this regard, is as follows:

> "At the time I got shot, I was earning $ 960 per week from Maryland Diving Services. I do not have the documents with me but I can ask the Doctor to send them to me. $ 960 is not the highest a Diver can earn. As commercial diving can be potentially dangerous, they need experienced divers. The more experienced a diver gets, the more valuable he is. As an International Diver, when one works offshore, he can earn US$ 60-70 000 (*sic*) tax free a year. As a saturative diver, one can earn US$ 90-100 000 a year. I was 25 years old when I had the accident. A professional diver may work up to 55 years old. My chances of employment now are greatly diminished".

After some interruption, the Appellant's evidence continued:

> "I would like compensation for the income I will lose as a commercial diver that is US$ 72 000 for approximately 20 years. With my current situation I could earn no more than US$ 22 000 per year. I would like compensation for one year of two diving pay as I could not work at all and 19 years of the difference in what I earn now is US$ 50 000 per year".

After further interruption, the Appellant's testimony continued:

> "The figure of US$ 960 a week was my recollection of the wages. My weekly pay cheque in America varied depending on the type and amount of work I actually did. I have record from Maryland Diving Services showing what I was earning. The wages I earned vary from US$ 948, 691, 660 and US$ 794, 750, 618, 552, 896, 1098, 1124, 1073, 1106 per week. The record was sent by fax on 10 October 1997".

The covering letter and wage record referred to by the Appellant in his evidence were admitted in evidence at the trial as Exhibit P11. Unfortunately, the copies thereof attached to this Court's record are completely illegible. Consequently it has to be assumed that the documents reflect what the Appellant said in his evidence.

In cross-examination, the Appellant said *inter alia*:

> "Before the incident, I had stayed in Uganda about 6 or 7 months for that period I was visiting my family. That time I was not employed. I was not earning any money that time. I was not getting any allowance or payment from Maryland Diving Company. I was in Maryland about 2 years, in 1993 and 1994. My qualification is offshore work and Maryland Diving is in shore work hence low paid. I have not seen my family for over 4½ years and so I came to visit them. As a professional diver, I can facilitate off (*sic*) I came to Uganda to visit my family do some course. If I was taken to America, I would earn US$ 200 per week. As a diver, one can earn as much or as little as one wishes. I can also do some farming which my qualification and situation I can only earn US$ 22 000 a year … As a professional diver, I would be subjected to repair chassis (*sic*). The scars would be seen on my lung. Age is irrelevant. The amount earned depends on experience. I had done 20 years of diving at US$ 72 000 a year. My qualification would earn me 60 – 70 000 dollars a year".

The sentence "I had done 20 years of diving at US$ 72 000 a year" appears to be a misprint. Its proper meaning appears to be that the Appellant would have worked for 20 years at US$ 72 000 a year.

In his testimony, Professor David Maurice Denison (PW1) did not and could not say anything about the Appellant's earning before the incident. The reason is obvious. The Professor did not know anything about the Appellant's employment. He was an expert witness called to give expert evidence about the Appellant's unfortunate injuries and how the injuries permanently rendered the Appellant unfit to work as a diver. However, PW2 apparently had some knowledge about diver's pay. This is because he was trained by the Royal Navy as a Ship Diving Officer. He was also a Research Diver for Scripts Institute of Oceanography in California. He had also led many scientific diving expectations. Regarding diver's pay, PW2 said this in evidence:

> "I am conversant with Diver's pay because, I am involved in many litigative (*sic*) ordinary commercial divers who make many shorter dives can expect to earn US$60 – 70 000 a year. There are many saturative divers who are about 50 years old and many of those will continue to work as diving supervisors for a further 5 years or so".

John Lungu Antonio (PW4) was the only other witness whose evidence was relevant to the matter under discussion. He is a deep-sea diver and managing director of a diving company. He said in evidence:

> "I know Robert Coussens. I came to know him in 1995, when I came to Kampala to do an examination of the damages on the way which was doing along Port Bell. I told

> him to go for a dive with me at Port Bell because I wanted to test him. I found his preference (*sic*) as a diver exceptional in fairly difficult circumstances. We were diving underneath the water with zero visibility. I saw his certificate. I would say he is an International Diver and he could get work anywhere. I offered him a situation whereby he would be an agent of a dive company, do some work and retain some commission. I did put it in writing. This is the letter I wrote (Exhibit P13). … When I eventually offered him some work at Mombasa, he declined to take it. In my opinion, if he did the kind of work we do at our Coast, he would get US$ 70 – 80 000 a year. If he had given to it North Sea or Singapore, he would easily get US$ 100 000 a year".

In his judgment, the Learned trial Judge considered the Appellant's evidence to the effect that his loss of income was US$ 50 000 per annum, which he would have continued to earn for 20 years had he not been incapacitated by the injuries. The Learned trial Judge the made the following findings:

> "Indeed his formula would be applicable in case of loss of earnings and loss of earning would be calculated based on what the plaintiff was earning at the time of the incident. In this case at the time the incident occurred the Plaintiff was not working. There is no evidence to show that if he had been working he would be earning US$ 72 000 per annum. PW4 Luzi told the court that he had offered the Plaintiff as an agent then, and if he had found a job he would be paid on commission basis. If he was working at Mombasa he would earn US$ 200 per day".

The Learned trial Judge then considered previous cases in which general damages had been awarded for personal injuries and awarded the Appellant UShs 50 000 000 as general damages.

The Court of Appeal agreed with the finding of the Learned trial Judge. The relevant part of the judgment of Okello JA, who wrote the leading judgment with which the other two members of the court agreed says:

> "In the instant case, the Appellant's claim for loss of earning was claimed in the amended plaint as general damages. That being so, the assessment is a matter for the discretion of the trial Judge. That is the principle stated in the above cases and that is exactly what the trial Judge did. He considered the Appellant's condition after the injuries, his inability to apply fully his professional skills and comparable local cases and awarded him general damages of UShs 50 000 000. The Appellant cannot fix a figure for the trial Judge to swallow. … I cannot fault the Learned trial Judge in the principle he adopted if the appellant had claimed his loss of earning as a special damage as he had done in his original plaint and proved, he would have been awarded that.
>
> … it is trite law that an appellate court can interfere with the exercise of discretion of the trial Judge only where he has acted on a wrong principle or where the award is manifestly low or high as to occasion a miscarriage of justice. See *Mbogo v Shah* [1968] EA 93 at 96, quantification of general damages is one such exercise of discretion by a trial Judge. In the instant case the trial Judge acted on a correct principle as shown above".

The passage of the judgment of Okello JA to which I have referred indicates an erroneous view on the part of the learned Justice of Appeal that the Appellant's claim for loss of earnings should have been pleaded and proved as special damages. As the authorities to which I have referred in this judgment clearly indicate pre-trial loss of earnings may be claimed and proved as special damages while post-trial loss should be claimed as general damages, assessment of which is left to the discretion of the trial court, based on relevant facts having been proved. One of such facts which must be proved is the actual earning or income at the time of the injury. However, pre-trial loss of earnings may also be left to the trial court for assessment together with post trial loss as part of general damages.

That error however, in my view, does not detract from the Court of Appeal's apparent finding that the Appellant did not prove his claim of loss of earnings of which that passage is indicative. It is quite clear that the Court of Appeal, as appears from the passage of the judgment in question, reappraised the evidence in the case and agreed with the Learned trial Judge's finding that the Appellant did not prove that his income was US$ 72 000 at the time of his injury. Consequently, the Court of Appeal found that the Learned trial Judge had exercised his discretion correctly by awarding the Appellant general damages in the sum of UShs 50 million, an award which the Court of Appeal had no reason to disturb. The error in question, in my view, has caused no miscarriage of justice.

I am unable to say that the Court of Appeal erred in doing so. The Appellant testified that his weekly wages in America varied between US$ 948 and 1106. Even if it is assumed that the latter figure was the Appellant's weekly wages, his annual income would still be US$ 57 512. This is still far less than US$ 72 000 which the Appellant claimed in his plaint and tried to prove by evidence. If the figure of US$ 57 512 is reduced by US$ 22 000, the Appellant's loss of income per year would be US$ 35 512.

The figure of US$ 72 000 was clearly based on speculation by all concerned – the Appellant and his witnesses PW1 and PW4. From the evidence adduced in support of the Appellant's case US$ 72 000 is what a deep-sea diver of the Appellant's qualification would earn in places such as the USA, the North Sea, Singapore and Mombasa. Available evidence did not prove that US$ 72 000 was the Appellant's actual earnings at the time of his injury.

The other facts which militate against the Appellant's claim of US$ 72 000 are that he was in fact, not working at the time of the incident. He was not earning any income. He had stayed in Uganda for 6 to 7 months visiting his family. While in Uganda he was offered a job by PW4 but he declined to take the job. In his evidence, the Appellant did not say whether, when, and where he would resume work. All this went to disprove the loss of income which he claimed he had incurred.

The Appellant's loss of income not having been proved according to the law stated in the decided cases I have referred to in this judgment, the Learned trial Judge whose findings the Court of Appeal agreed with awarded the Appellant general damages of UShs 50 000 000. This sum represented general damages without loss of income.

In the circumstances, I am unable to fault the Court of Appeal's confirmation of the award of UShs 50 000 000 to the Appellant as general damages.

I turn now to trial court's discretion in matters of damages. The law is now well settled that an appellate court will not interfere with an award of damages by a trial court unless the trial court has acted upon a wrong principle of law or that the amount is so high or so low as to make it an entirely erroneous estimate of the damages to which the Plaintiff is entitled. The earliest authority on this point I have been able to find is *Phillips v London South Western Railway Company* (*supra*), in which James LJ said at 85:

> "The first point, which is a very important one, relates to dissenting from the verdict of a jury upon a matter which generally speaking is considered to be within their exclusive province, that is to say the amount of damages. We agree that Judges have no right to override the verdict of a jury as to the amount of damages, merely because they take a different view, and think that if they had been the jury they would have

> given more or would have given less. Still the verdicts of juries as to the amount of damages are subject, and must for the sake of justice, be subject to the supervision of a court of first instance and if necessary of a Court of Appeal in this way that is to say, if in the judgment of the court the damages are unreasonably large or unreasonably small then the court is bound to send the matter for consideration by another jury".

In *Owen v Sykes* [1936] 1 KB 192 the Court of Appeal of England felt that although if they had tried the case in the first instance they would have probably awarded a smaller sum as damages yet they would not review the finding of the trial Judge as to amount of damages as they were not satisfied that the trial Judge acted upon a wrong principle of law, or that amount awarded as damages was so high as to make it an entirely erroneous estimate of the damages to which the Plaintiff was entitled. The Court of Appeal followed the case of *Flint v Lovell* [1935] 1 KB 354.

This principle has been applied in East Africa and Uganda see *Maljibhai v Patidar Samaj and another* [1944] EACA 1; *Mitford Bowker* [1947] 14 EACA 20; *Watson v Powles* [1968] 1 QB 596 and *Obongo v Municipal Council of Kisumu* [1971] EA 91 at 96.

In the instant case, Okello JA, who wrote the leading judgment with which other members of the court agreed referred to this principle in the passage of his judgment set out above.

In my view the Court of Appeal correctly refused to interfere with award of UShs 50 000 000 which the Learned trial Judge in his discretion had given to the Appellant.

For the reasons I have given, grounds one and two of the appeal should fail. In the result, I would dismiss the appeal. I would order that each party should bear its own costs in this appeal. Costs in the Court of Appeal should go to the Respondent as ordered by that court. As Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC agree, it is so ordered.

(Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC concurred in the judgment of Oder JSC).

For the Appellant:
J Matovu

For the Respondent:
M Cheberion, Commissioner of Civil Litigation instructed by the Attorney-General

Departed Asians Property Custodian Board v Jaffer Brothers Ltd
[1999] 1 EA 55 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of ruling:	27 May 1999
Case Number:	9/98
Before:	Oder, Karokora, Mulenga, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

[1] Civil procedure – Costs – Award of costs – Exercise of discretion by the court – Principles to be applied in determining whether to interfere with court's exercise of discretion.

[2] Civil procedure – Parties – Joinder of parties – Distinction between joinder of a party who ought to have been joined as a Defendant and joinder of a party whose presence was necessary to enable the court to effectually and completely settle a suit – Factors to be considered in determining whether the presence of a party is necessary – Section 27(1) – Civil Procedure Act (Chapter 65) – Order I, rule 10 – Civil Procedure Rules.

Editor's Summary

The Plaintiff (now Respondent), a limited liability company owned by Asians, was the registered proprietor of a parcel of land located at Kololo in Kampala, (the suit property). In 1972, following the expulsion of Asians from Uganda, the Plaintiff's owners fled the country. The government subsequently took over the suit property and sold it to one Francis Nyangweso who in turn sold it to Mohammed Magid Bagalaaliwo, the First Defendant. In 1994, the Plaintiff was able to secure letters of repossession of the property under the Expropriated Properties Act of 1982. By that time Mohammed Magid Bagalaaliwo was the registered proprietor and occupier of the property. The Plaintiff then filed a suit against Mohammed Magid Bagalaaliwo and one Ronald Muwenda Mutebi to secure, *inter alia*, vacant possession of the suit property. The Respondent later dropped Ronald Muwenda Mutebi from the suit. Mohammed Magid Bagalaaliwo then filed a notice of motion seeking orders joining Departed Asians Property Custodian Board (DAPCB) and the Attorney-General as Second and Third Defendants respectively, on the grounds that their presence was necessary both in the interests of justice and to enable the court to effectively and completely adjudicate upon the suit. In his amended statement of defence, Mohammed Magid Bagalaaliwo also included a counterclaim against the two seeking, *inter alia*, compensation from them as an alternate remedy. At the hearing of the suit, counsel for the Second Defendant took the initiative and made the first submissions, raising preliminary objections to the suit on the grounds that it was time barred, that the Plaintiff had no *locus standi* and that the suit disclosed no cause of action against all the Defendants. Counsel for the First and Third Defendants supported the submissions made on behalf of the Second Defendant. The trial Judge upheld all the grounds and dismissed the Plaintiff's suit with costs to the Defendants.

On appeal, the Court of Appeal allowed the appeal and remitted the case to the High Court for hearing on its merits. It also awarded the costs of the appeal to the Plaintiff .

The Second Defendant alone now appealed to the Supreme Court on the grounds, *inter alia*, that the Court of Appeal erred in failing to dismiss the appeal and in condemning it to pay costs to the Plaintiff . Counsel for the Second Defendant argued, *inter alia*, that the trial Judge had ruled correctly in finding that the Plaintiff had no cause of action against the Defendants and that the Court of Appeal's order for a retrial on the merits of the case ought not to have applied to either it or to the Attorney-General. He further submitted that there were no exceptions to the rule that there had to be a cause of action before a party could proceed against any other in court. In response, counsel for the Plaintiff argued that the Second and Third Defendants had been joined in the suit at the instance of the First Defendant and that in such circumstances the Civil Procedure Act only required that the plaint disclose a cause of action against the original Defendant. He also contended that the Second and Third

Defendants had been joined, not as persons who ought to have been joined as Defendants, but as parties whose presence was necessary in order for the court to adjudicate effectively and completely on the questions before it. Accordingly, the question of whether or not the Plaintiff had a cause of action against either of them had never been before the lower courts.

Held – There could be no disputing the fact that the Second and Third Defendants had been joined in the suit on the application of the First Defendant and that the Respondent had objected to their inclusion as Defendants. There was a clear distinction between the joinder of a party who ought to have been joined as a Defendant and the joinder of one whose presence before the court was necessary for it to effectively and completely adjudicate upon the questions involved in the suit; *Amon v Raphael Tuck and Sons Ltd* [1956] 1 All ER 273 considered.

Per Mulenga JSC: In order for a person to be joined to a suit on the ground that his presence was necessary for the effective and complete settlement of all questions involved in the suit, it was necessary to show either that the orders sought would legally affect the interests of that person and that it was desirable to have that person joined to avoid a multiplicity of suits, or that the Defendant could not effectually set up a desired defence unless that person was joined or an order made that would bind that other person; *Amon v Raphael Tuck and Sons* (*supra*) applied.

The record showed that the Appellant had placed the whole of its submissions at the disposal of the First Defendant and that counsel for both the First and the Third Defendants had concurred with its submissions at every occasion before the trial court and the Court of Appeal. This had made it impossible to know whether or not they had separate defences. In those circumstances, the Court of Appeal could not have allowed the appeal against the First Defendant and dismissed that against the Second and Third Defendants.

Although courts had a discretion as to the awarding of costs, it was a general rule of law and practice that costs should normally follow the event in the suit. Where the court exercised its discretion, that discretion would not be disturbed unless matters that were irrelevant to the issue had been taken into consideration or the court had applied a wrong principle of law; *Kohil and others v Bachulal Popatlal* [1947] EA 219 and *Kiska Ltd v Augelias* [1969] EA 6 applied. The fact that nowhere in their findings did the Judges of the Court of Appeal categorically state that there was or was not a cause of action against the Appellant did not mean that it had won that aspect of the appeal and the Appellant's arguments to this effect were unconvincing.

Per Mulenga JSC: The Court of Appeal could not have dismissed the appeal against the Appellant, as that issue had not been among the issues for determination before it. Accordingly, as the only successful party in the appeal, the Respondent was entitled to payment of its costs by the unsuccessful parties who opposed the appeal.

Considering the manner in which the Second and Third Defendants came to be joined in the plaint, the trial Judge had erred in awarding costs to all three Defendants against the Respondent.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means

disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Auto Garage and others v Motokov (number 3) [1971] EA 514

Cottar v Attorney-General for Kenya [1938] 5 EACA 18

Fernandes v Kara Arjan and Sons and others [1961] EA 693

Iron and Steel Wares Ltd v CW Martyr Co [1956] 23 EACA 175

Kiska Ltd v Augelias [1969] EA 6 – **AP**

Kohil and others v Bachulal Popatlal [1947] EA 219 – **AP**

Makerere Properties Ltd v Attorney-General civil appeal number 36 of 1996 (UR)

Meru Farmers Co-operative Union v Suluman (number 1) [1966] EA 436

Schanker Dar Mayer and others v Trustees of the Rahimtulla Lalji Hirji Charitable Trust [1955] XXII EACA 18

Singh v Singh [1961] EA 168

Victoria Tea Estate Ltd v Bemba and another civil appeal number 49 of 1993

United Kingdom

Amon v Raphael Tuck and Sons Ltd [1956] 1 All ER 273 – **AP** and **C**

Dollfus Mieg Et Compagne SA v Bank of England [1951] 1 Ch D 33

Hamilton v Seal [1904] 2 KB 262

Horwell v London General Omnibus Co Ltd [1877] 2 ExD 365

Montgomery v Foy, Morgan and Co [1895] 2 QB 321

Norbury Natzi and Co Ltd v Griffiths [1918] 2 KB 369

Scherev v Counting Instruments Ltd [1986] 2 All ER 529

Judgment

Kanyeihamba JSC: This is an appeal from the judgment and orders of the Court of Appeal allowing the appeal with costs by the Respondent from the decision of the High Court presided over by Kato J, as he then was, dated 18 August 1997, in civil suit number 31 of 1995. The Learned Judge dismissed with costs the Respondent's suit on the grounds that it was time barred, Respondent had no *locus standi* and, in any event, the suit did not disclose a cause of action. The Respondent appealed to the Court of Appeal which allowed the appeal and ordered that the case be remitted to the High Court for hearing on merits, with costs. The Appellant is now appealing against the orders of the Court of Appeal.

The background to this appeal may be briefly stated as follows: The Respondent is a Ugandan incorporated company with limited liability and owned by persons of Asian origin. With the expulsion of Asians in 1972 by the military regime of Idi Amin the owners fled the country the same year. At the time of the expulsion, the Respondent was the registered proprietor of plot number 9 Hill Lane, Kololo Kampala, comprised in Leasehold Register Volume 354, Folio 17 which, for convenience, I shall henceforth refer to as the suit property. Subsequently, the Government of Uganda

took over the suit property and vested it for management purposes in the Departed Asians Property Custodian Board by virtue of the provisions of Decree number 27 of 1973. This decree came into force on 7 December 1973. Sometime in 1977, the Departed Asians Property Custodian Board purportedly sold the suit property to one Francis Nyangweso who in turn transferred it to one Mohammed Magid Bagalaaliwo. On 21 April 1980,

Bagalaaliwo was registered as the new proprietor of the suit property. With the coming into force of the Expropriated Properties Act 9 of 1982, the suit property reverted to Government which took possession of it until Mohammed Magid Bagalaaliwo obtained a consent judgment in his favour from the Uganda Attorney-General, dated 8 November 1991.

On 7 December 1993, the Respondent obtained from the Minister of State for Finance and Economic Planning in charge of the Departed Asians Property Board, a letter of repossession of the suit property. Following some correspondence between the parties and the Registrar of Land Titles, the Minister in a letter dated 25 September 1994, clarified that the Respondent was entitled to repossess the suit property. Armed with the letters authorising repossession, the Respondent filed the original suit against Mohammed Magid Bagalaaliwo and Ronald Muwenda Mutebi to secure, *inter alia*, vacant possession of the suit property. At the instance of the Respondent, Ronald Muwenda Mutebi was dropped from the suit and at the instance and application of Mohammed Magid Bagalaaliwo and with the consent of the Appellant and the Attorney-General, the latter two were joined in the suit as Second and Third Defendants. In his amended written statement of Defence, Mohammed Magid Bagalaaliwo countered the Respondents' claim by a counterclaim in which he sought, *inter alia*, compensation from the Second and Third Defendants as an alternative remedy.

At the hearing of the suit, Mr *Ssekandi* for the Appellant raised three preliminary objections, namely:

(1) That the suit was time barred;

(2) that the Plaintiff had no *locus standi*; and

(3) that the suit disclosed no cause of action against all the Defendants.

The trial Judge heard submissions and arguments on all the three grounds with which both counsel for the First and Third co-Defendants agreed. The Learned trial Judge upheld all the grounds, and dismissed the Respondent's suit, with costs to the Appellant and the other two Defendants. The Respondent appealed against the judgment and orders of the trial Judge on seventeen grounds which in substance revolved around the three issues of objection upheld by the trial Judge and the effect of the Expropriation Properties Act 9 of 1982 on the suit property. The Court of Appeal allowed the appeal with costs to the Respondent and the dismissal and other consequential orders made by the trial Judge were set aside. The case was remitted to the High Court for hearing on merits and the Appellant together with the other Respondents in the Court of Appeal were ordered to pay the Respondent's costs of the appeal.

The memorandum of appeal to this Court contains the following grounds of appeal:

"1. The Learned Justices of Appeal having declined to uphold the Respondent (then Appellant) claim that it had a cause of action against the Appellant (then Second Respondent) erred in law in failing to dismiss the Appeal against the Appellant with costs.

2. The Learned Justices of Appeal having found no cause of action against the Appellant erred in law in condemning the Appellant to pay the Respondent the costs of the Appeal.

3. The Learned Justices of Appeal erred in law to have set aside the dismissal of the suit and other consequential orders made by the trial Judge in favour of the Appellant".

The Appellant asks the court for the following orders:

(i) Allow the Appeal.

(ii) Set aside the Court of Appeal order allowing the Appeal against the Appellant with costs.

(iii) Allow the Appellant costs of this Appeal and in the courts below.

(iv) Reinstate the orders made by the High Court in favour of the Appellant including the dismissal of the suit against it and the award of costs.

I will make three preliminary observations at this stage. In my opinion, the nature and manner in which the grounds of appeal have been framed coupled with the orders prayed for are tantamount to appealing against the whole judgment and orders of the Court of Appeal with the purpose of hoping to reverse all the decisions and orders of that court. Secondly, it is apparent from the memorandum of appeal and the written submissions, that all the parties in this case have been full participants in the arguments and submissions on merits of this case, from the beginning to the end. Thirdly, it is to be appreciated that the Court of Appeal merely ordered that the case be remitted to the High Court for a trial and did not finally dispose off it on merits.

In his written submissions, counsel for the Appellant, Honourable *Ssekandi*, starts with ground one of appeal and submits that the Appellant raised a preliminary objection that there was no cause of action against the Appellant, to which Mr *Bamwine*, counsel for the Respondent, responded with the following:

> "As to the Second and Thid Defendants there is a cause of action against them in case the First Defendant is declared to be the lawful owner of the suit property otherwise there is no cause of action against them as per ruling of this court in this same case on 17 January 1996".

Counsel for Appellant further observed that the trial Judge upheld the objections and said:

> "Having said all that, I find that the Preliminary objections raised by the Defendants were validly raised and they are upheld. I have no doubt over the fact that this suit is time barred and the Plaintiff has no *locus standi* as he does not hold any valid certificate of repossession nor does he have cause of action against the three Defendants. For those reasons the suit is dismissed with costs to the three Defendants".

From this, Honourable *Ssekandi* wonders why the Respondent did not accept the ruling of the trial Judge that it had no cause of action and instead decided to drag the Appellant to the Court of Appeal. Counsel points out that following his own submission, the Learned Justices of Appeal were right, to have refused to uphold the Respondent's claim that it had a cause of action against the Appellant. Counsel cited *Auto Garage and others v Motokov (number 3)* [1971] EA 514 and *Cottar v Attorney-General for Kenya* [1938] 5 EACA 18 to emphasize what constitutes a cause of action.

Counsel further contended that the Court of Appeal having found that the Respondent had no cause of action against the Appellant it was duty bound to dismiss the appeal with costs to the Appellant as there was no justification for continuing with the Appellant in these proceedings in which it had caused no wrong. In counsel's opinion, the order for a trial on merits of the case should not have been applied to the Appellant or the Attorney-General. Counsel submitted that the Appellant ought to have been rewarded with the right medicine for litigation which are costs and damages. In his supplementary written submissions, counsel for the Appellant further submits that the fact that it was not the Respondent who joined the Appellant in the suit as Defendant is

immaterial as far the cause of action is concerned. While citing *Meru Farmers Co-operative Union v Suluman (number 1)* [1966] EA 436 per Duffus acting VP at 439, counsel submitted that there are no exceptions to the rule that there must be a cause of action before a party can proceed against another in any court.

For the Respondent, Messrs *Bamwine* and *Walubiri* of Kwesigabo, Bamwine and Walubiri and Company Advocates, lodged the Respondent's written submissions on ground one of appeal. It is the Respondent's submission that whereas the Respondent filed a suit against Mohammed Magid Bagalaaliwo and Ronald Mumenda Mutebi whose name was later withdrawn on the initiative of the Respondent, it was counsel for Mr Bagalaaliwo with the consent of counsel for the subsequent Second and Third Defendants who insisted that they be joined. After an order to join the two parties as co-defendants, it was counsel for the Appellant who proceeded to submit on the grounds of objection. Counsel for the other two Defendants concurred with Mr *Ssekandi*'s submissions on the objection.

According to counsel for the Respondent, the three grounds upon which counsel for the Appellant and the other two Defendants made submissions were intertwined and inseparable. Counsel for the Respondent further submitted that it is on the understanding that the preliminary objections were interlinked that the trial Judge stated:

> "The whole issue seems to revolve on one question which is when did the cause of action, if any, arise and when did time begin to run against the plaintiff?"

Counsel for the Respondent emphasized that it was because the three Defendants insisted or agreed to be joined that Respondent was forced to amend the pleadings to include them notwithstanding that it had objected through counsel that it had no case either against the Attorney-General or the Departed Asians Property Custodian Board. Counsel pointed out that the Second and Third Defendants were joined not as "any person who ought to have been joined as Defendants" rather as parties "whose presence before the court may be necessary in order to enable the court effectually and completely to adjudicate upon and settle all questions involved in the suit". Counsel cited Order 1, rule 10(2) of the Civil Procedure Rules. It was counsel's contention that where a plaint is amended to conform with the requirements of the subrule, it does not need to conform with Order 7, rule 11(*a*) or Order 6, rule 29 of the Civil Procedure Rules provided that such a plaint discloses a cause of action against the original Defendant as in this case. On this point counsel for the Respondent concluded that therefore it was not necessary for the Justices of the Court of Appeal to pronounce themselves on the question of whether or not there was a cause of action against the Second and Third Defendants.

Counsel further submitted that since the Appellant and the Attorney-General had been joined at the instance of the First Defendant, it was not necessary for the High Court or the Court of Appeal to consider whether there was a cause of action as between the Plaintiff and the Second and Third Defendants. Counsel for the Respondent submitted that as the reason for joining the Appellant and the Attorney-General was to claim compensation from them in the event that the property was decreed to belong to the Plaintiff, the issue of cause of action should only have arisen as between the First Defendant, Bagalaaliwo and the Second and Third Defendants. Counsel believed that this is the reason why the Justices of Appeal declined to make a finding on the existence of a cause of action between the Appellant and the Respondent. Counsel argued that in any

event, the plaint discloses a cause of action against the Attorney-General as was contained in paragraph 15 and 16 of the amended plaint.

Counsel for the Respondent, cited the cases of *Dollfus Mieg Et Compagne SA v Bank of England* [1951] 1 Ch D 33, and *Montgomery v Foy Morgan and Co* [1895] 2 QB 321 in support of their submissions. In addition, counsel submitted that if no cause of action is disclosed against the added Defendants their costs should be paid by the party which brought them into the suit. He cited the cases of *Norbury Natzi and Co Ltd v Griffiths* [1918] 2 KB 369 at 380, and *Scherev v Counting Instruments Ltd* [1986] 2 All ER 529 at 536 and section 27 of the Civil Procedure Act (Chapter 65) to support the submission. After wandering in the realm of statutory interpretation, counsel for the Respondent returned to ground one of appeal by making submissions on what is meant by the phrase "effectually and completely to adjudicate upon and settle all questions involved in the suit". Counsel then cited a number of decisions including *Fernandes v Kara Arjan and Sons and others* [1961] EA 693 Tanzania (*sic*); *Horwell v London General Omnibus Co Ltd* [1877] 2 ExD 365 to show the meaning and effect of similar circumstances as of this appeal. Counsel further distinguished the present case from those cited by learned counsel for the Appellant such as *Meru Farmers Co-operative Union v Suluman (number 1)* and *Auto Garage v Motokou (3)* (*supra*) in which other Defendants were joined in the respective plaints by the plaintiffs themselves as opposed to this appeal where the Plaintiff actually opposed the application to join in the Second and Third Defendants. Thereafter counsel for the Respondent reiterated the same reasons as before citing additional authorities such as *Iron and Steel Wares Ltd v CW Martyr Co* [1956] 23 EACA 175 and *Hamilton v Seal* [1904] 2 KB 262 at 263 to re-emphasize the same points. Counsel further submitted that since the First Defendant applied to have the Second and Third Defendants to be joined in the proceedings and undertook to pay their costs, it was not incumbent upon the Respondent to determine whether and when this joint enterprise should cease.

There can be no dispute that the Second and Third Defendants were joined in the suit on the application of the First Defendant, Mohammed Magid Bagalaaliwo. In a notice of motion filed by his counsel, Mr John *Katende*, under Order 1, rule 10(2) and 13 and Order 48, rules 1 and 3 of the Civil Procedure Rules. Counsel for First Defendant asserted:

> "Take further note that (*a*) The presence of the Attorney-General of the Republic of Uganda and the Departed Asians Property Custodian Board in this suit is absolutely necessary in order to enable this Honourable Court to effectually and completely adjudicate upon and settle all questions involved in this suit, and (*b*) the interests of both the applicant and justice shall be jeopardized without the presence and *full participation of the* Attorney-General of the Republic of Uganda and the Departed Asians Property Custodian Board".

In her affidavit the wife of the First Defendant stated in paragraphs 13 and 14 that she believed that both the Departed Asians Property Custodian Board and the Attorney-General should be added as co-defendants. Mrs Bagalaaliwo's affidavit was supported by another affidavit sworn and filed by Mr Samuel S Serwanga counsel for the First Defendant, in which learned counsel asserted:

> "I thus verify and believe that the Attorney-General should be made a party to this suit".

and concluded:

> "wherefore I swear this affidavit in support of the applicant's application to join the Attorney-General of the Republic of Uganda and the Departed Asians Property Custodian Board as co-defendants to this suit".

In response, the Respondent presented an affidavit sworn by Mr Anwar Jaffer in which he objected to the inclusion of the Attorney-General and the Departed Asians Property Custodian Board as Defendants, except if they came in by way of third party proceedings. On his part, the Attorney-General, through an affidavit sworn and filed by State Attorney, Caroline Mayanja, initially objected to being joined as a party. However, when the matter came up before the Honourable Musoke-Kibuuka Acting Judge, the Attorney-General and Departed Asians Property Custodian Board did not object to being joined as parties. It is therefore clear that the Appellant and the Attorney-General were joined in the plaint on the instance of the First Defendant and his counsel. Thereafter, the Respondent was forced against his will as expressed in his written objection, to include both co-defendants in his subsequent pleadings. In the amended plaint, the Respondent prayed for costs in the suit.

Surprisingly, when it came to the hearing of the substantive claim, both the Attorney-General and the Departed Asians Property Custodian Board took the initiative to argue the substantive grounds going to the merits of the case instead of contending themselves with a stand of objecting to being parties to the suit.

Thus, Mr *Ssekandi* for the Second Defendant made the first submission on the merits of the plaint by arguing that the suit was time barred, the plaintiff had no *locus standi* as a letter of repossession is not the same thing as a certificate of repossession and that there was no cause of action. Counsel for the other two Defendants supported the submissions of Mr *Ssekandi*. It is on the strength of these submissions that the trial Judge founded his final judgment which reads, in part:

> "Having said all that I find that the preliminary objections raised by the Defendants were validly raised and they are upheld. I have no doubt over the fact that this suit is time barred and the plaintiff has no *locus standi* as he does not hold any valid certificate of repossession nor does he have cause of action against the three Defendants. For those reasons the suit is dismissed with costs to the three Defendants".

It is at this stage that the Respondent decided to appeal against the judgment and orders of the High Court. I do not agree with the submission of counsel for the Appellant that the Respondent should have preferred an appeal only against the First Defendant.

I agree with the submission of counsel for the Respondent that a clear distinction is called for between joining a party who ought to have been joined as a Defendant and one whose presence before the court is necessary in order to enable the court effectually and completely adjudicate upon and settle all questions involved in the suit.

Order 1, rule 10(2) reads as follows:

> "The court may at any stage of the proceedings either upon or without the application of either party, and on such terms as may appear to the court to be just, order that the name of any party improperly joined, whether as plaintiff or defendant be struck out, and that the name of any person who ought to have been joined whether as plaintiff or defendant or whose presence before the court may be necessary in order to enable the court effectually and completely to adjudicate upon and settle all questions involved in the suit, be added".

This rule is similar to the English Rules of Supreme Court Order 16, rule 11 under which the case of *Amon v Raphael Tuck and Sons Ltd* [1956] 1 All ER at 273, was considered and decided and in which it was said that a party may be joined in a suit, not because there is a cause of action against it, but because that

party's presence is necessary in order to enable the court effectually and completely adjudicate upon and settle all the questions involved in the cause or matter.

In my opinion, the settling of all questions involved in the suit did not cease with the judgment of the trial Judge nor, indeed, that of the Court of Appeal. In the latter court the Appellant continued to take initiative in having the Respondent's suit dismissed on the same grounds and with the same reasons advanced in the High Court. When the Respondent first sought leave to appeal to the Court of Appeal, Appellant through its counsel did not object or complain. Court granted leave to appeal in respect of the first and second grounds of preliminary objection and for which Mr *Ssekandi*, counsel for the Appellant had so ably argued and convinced the trial Judge. In my opinion, had the Respondent dropped the Appellant from the Defendants it would have been taking a very big risk in its quest to have the Court of Appeal reverse the decisions of the trial Judge on the same grounds of objection which counsel for the Appellant had advanced.

When it came to the submissions on the merits of the case in the Court of Appeal, again counsel for the Appellant was a full participant in the attempts to have that court confirm the findings and judgment of the High Court. On 1 June 1999 counsel for the Appellant filed written submissions. From page 146 paragraph 22 to 151 paragraph one, it is the learned counsel for the Appellant who is taking the court through case law and arguments on the merits of the case. The record of proceedings show that Mr *Ssekandi* on 2 June 1999 was still addressing court on the merits of the case and citing cases such as *Makerere Properties Ltd v Attorney-General* civil appeal number 36 of 1996 and *Victoria Tea Estate Ltd v Bemba and another* civil appeal number 49 of 1993 at 151-156 of the proceedings before the Court of Appeal and lastly praying that the whole appeal should be dismissed. In fact, in the Court of Appeal it was the Appellant rather than the other Defendants who carried the burden of making submissions and arguments for the whole appeal to be dismissed. For instance, at 156 of the record of proceedings, paragraphs 30 and 34 show the learned counsel for the Appellant as the main actor in the proceedings. Mr Serwanga for the First Defendant and Mr Bukenya for the Attorney-General merely associate themselves fully with the submissions of their learned friend *Ssekandi* who was for the Second Appellant and who made submissions for dismissal of the Appeal. The court was unanimous in rejecting counsel's submissions. In his leading judgment of the Court of Appeal, Okello JA said:

> "Failure by First Defendant to comply with the quit notice gave the Appellant a cause of action against the First Respondent. The Appellant therefore has *locus standi* to bring the suit and has a cause of action against the First Respondent".

Nowhere in the judgment of their Lordships in the Court of Appeal, is there any mention that there is no cause of action against any of the other Defendants. In my opinion, it was not necessary to so find nor can their Lordships' silence on the matter be taken as a finding. The court further decided that the counterclaim did not automatically abate with the dismissal of the main suit by the trial Judge. In other words, it survived. It is my view that with the order of the Court of Appeal that the case be remitted to the High Court for trial and that the counterclaim in which the Appellant and the Attorney-General are Defendants, was not extinguished by the judgment of the trial Judge, the joining of the Appellant whose "presence before the court may be necessary in order to

enable the court effectually and completely to adjudicate upon and settle all questions involved in the suit", need not have been addressed either by the Respondent in this appeal or the Court of Appeal. It is my opinion, that the effect of the judgment and order of the Court of Appeal, is that questions involved in the suit have yet to be effectually and completely adjudicated upon. If the Appellant or either of the other Defendants felt that they were no longer needed, they should have specifically raised the matter before court. Seeing that they did not, no ground or reasons have been advanced to convince me that the Respondent had any obligation to drop any of the Defendants especially those who were joined against its will as expressed by the affidavit of Mr Jaffer and with their consent as the evidence clearly shows.

It is also true that the Respondent won his appeal on all the seventeen grounds, even if the Court of Appeal was silent on part of ground 16. Although courts have discretion as to the awarding of costs, it is a general rule of law and practice that costs should normally follow the event in the suit. I am persuaded by the principle established in *Kohil and others v Bachulal Popatlal* [1947] EA 219 at paragraphs 230-231 where the court said:

> "Having regard to the above authorities it seems to be that where a discretion as to costs has been exercised by a Judge his discretion is "impeachable unless he can be shown to have taken into consideration matters which are irrelevant to the issue in the case or non-existent. Further an appeal would be entertained from the exercise of discretion as to the costs where the Court of Appeal is satisfied that the lower court applied a wrong principle of law".

The ground advanced on behalf of the Appellant that the Court of Appeal by not stating categorically that there was or there was not a cause of action against the Appellant, the Appellant had won that aspect of the appeal is in my opinion, not convincing. As I have endeavoured to show, the Appellant was joined for a different reason and on a different criterion. Therefore ground one of appeal must fail.

On ground two of appeal I can see no merit in separating it from ground one which I have already disposed off. The joining of the Appellant and the Attorney-General had no relevancy to the cause of action. In any event, the Appellant placed the whole of its submissions at the disposal of the fortunes of the First Defendant and it is my opinion that it either succeeds or fails with him. Counsel for the Appellant cites the provisions of section 27(1) of the Civil Procedure Act (Chapter 65) which only reaffirm the wide discretion a court has in awarding costs. Counsel further argued that if the Justices of Appeal had properly directed themselves in that they were considering each Respondent's case independently and at the end came to the conclusion that there was a cause of action against Mohammed Magid Bagalaaliwo which should be tried on merit, but there was none against Departed Asians Property Custodian Board or the Attorney-General, they ought to have allowed the appeal against Magid M Bagalaaliwo, but dismiss the appeal against Departed Asians Property Custodian Board and the Attorney-General. In response, counsel for the Respondent submitted that it was the Second and Third Defendants who abandoned the idea of submitting their individual defences and instead joined forces with the First Defendant for the joint endeavour of defeating the Respondent on every issue. Counsel for First and Third Defendants concurred with the submissions of Mr *Ssekandi* at every occasion both in the High Court and the Court of Appeal, thereby making it impossible for both the Respondent and the courts to know or indeed appreciate whether or not they had separate defences.

I will not join learned counsel for the Respondent on the same voyage of condemning the Second and Third Defendants for what he calls "their illegitimate use of the machinery of justice" while quoting the words of Sir Barclays Nihill in *Schanker Dar Mayer and others v Trustees of the Rahimtulla Lalji Hirji Charitable Trust* [1955] XXII EACA 18 at 20, last paragraph. However, it is my opinion that the manner and the fashion in which counsel made submissions and argued the case, left no other option to the Court of Appeal in finding as they did.

Therefore ground two also fails.

Ground three of appeal is to say the least, peculiar. It states:

> "The Learned Justices of Appeal erred in law to have set aside the dismissal of the suit and other consequential orders made by the trial Judge in favour of the Appellant".

Counsel for Appellant wishes this Court to set aside the judgment and orders of the Court of Appeal which were based on submissions and reasons upon which the entire plaint was founded and yet the same counsel's submissions in this appeal has been primarily on costs. In my opinion, this approach is unacceptable. However, it is also my view that this ground of appeal opens for this Court an opportunity to comment upon the judgment and orders of the trial Judge. It is my opinion that bearing in mind the manner in which the Second and Third Defendants came to be joined in the plaint and against the wishes of the Respondent, the trial Judge erred in awarding costs to all the three Defendants against the Respondent. In *Kiska Ltd v Augelias* (*supra*), Sir Clement De Lestang acting P observed:

> "Thus where a trial court has exercised its discretion on costs, an appellate court should not interfere unless the discretion has been exercised unjudicially or on a wrong principle. Where it gives no reason for its discretion the appellate court will interfere if it is satisfied that the order is wrong. It will also interfere where reasons are given if it considers that those reasons do not constitute "good reasons" within the meaning of the rule".

I am also aware of the principle enounced in the case of *Scherer v Counting Instruments Ltd* (*supra*) where at 533 it was said:

> "if therefore, in the present case the Judge had material before him, however slight, on which he could base the exercise of discretion in ordering the plaintiff to pay the Defendants costs of the motion to dismiss, we cannot interfere".

In my opinion, the trial Judge was wrong in principle and in the justice of the case when he awarded costs to the Defendants who had been joined in the suit against the wishes of the Respondent. In the result, the third and last ground of appeal must fail.

As the Appellant has failed on all grounds this appeal fails. In consequence, I would dismiss this appeal. I would confirm the orders of the Court of Appeal and award costs to the Respondents in this Court and in the court below.

Mulenga JSC: This appeal arises from a decision of the Court of Appeal in the above mentioned case wherein the Departed Asians Property Custodian Board to which I shall refer as "the Custodian Board" was one of three Respondents, and the above named Jaffer Brothers Limited, was Appellant. The Court of Appeal allowed the appeal which was from a High Court order dismissing a suit on a preliminary objection. It was ordered that the suit be remitted to the High Court for hearing on merits, and that "the Respondents shall pay the Appellant's costs of the appeal".

The Custodian Board alone, appealed to this Court against the decision of the Court of Appeal, contending in three grounds of appeal that the Court of Appeal erred in failing to dismiss the appeal as against the Custodian Board, in condemning the Custodian Board to pay costs of the appeal and in setting aside the orders of the trial court. All the grounds are premised on the virtually undisputed point of mixed law and fact that Jaffer Brothers Limited had no cause of action against the Custodian Board.

The facts and general background to this appeal are ably set out in the judgment of my learned brother Justice Kanyeihamba JSC which I had advantage of reading in draft. There is no need to repeat them here. I agree that all three grounds of appeal have no merit. They ought to fail. I only wish to make two observations.

The first observation is that I think, with all due respect, that the Custodian Board with its legal advisors appears not to have appreciated the status in which it was joined to the suit along with the Attorney-General. The two were joined as Defendants, not because Jaffer Brothers Limited had any cause of action against them. They were joined because, on application of Mohamed M Bagalaaliwo, the original lone Defendant in the suit, the trial court accepted and ordered that their presence in the suit was necessary in order to enable the court to effectually and completely adjudicate upon and settle all questions involved in the suit, in accordance with Order 1, rule 10(2) of the Civil Procedure Rules. Initially, by Affidavit sworn on 16 January 1996, by Caroline Mayanja, a State Attorney, on behalf of both the Attorney-General and the Custodian Board, and in reply to Mohamed M Bagalaaliwo's application it was averred that the presence of both in the suit was not necessary because the issues in the suit were between Jaffer Brothers Limited and Mohamed M Bagalaaliwo only. However, according to the court record, when the application came up for hearing the following day 17 January 1996, Mr Katende counsel for Mohamed M Bagalaaliwo, stated to court, in the presence of Ms Mayanja and Mr *Ssekandi*, counsel for the Attorney-General and the Custodian Board respectively, that he had been informed by the said counsel that their clients had no objection to being joined to the suit as co-defendants. No protest was raised by either counsel and consequently the order for joinder was granted by consent, as it were. There is no indication why the stand suggested in the Affidavit of Caroline Mayanja referred to above was abandoned or not pursued, but in that failure, the Custodian Board lost its first opportunity to resist being made party to the suit by showing that its presence in the suit was not necessary. This is what gives me the impression that there was a lack of appreciation of the special status the Custodian Board, and Attorney-General, were put in by that consent order. They became co-defendants not on basis of a cause of action against them, but on the premise that their presence in the suit was necessary, a premise that could have been challenged, but was not challenged, to test whether the criteria for such order was satisfied.

I have not laid my hands on any reported decision in East Africa directly on the point of criteria for determining that the presence of a person is necessary under Order 1, rule 10(2) of the Civil Procedure Rules. *Singh v Singh* [1961] EA 168 does not appear to me to be helpful, as it is concerned with misjoinder as plaintiff of a person held to have no capacity to sue. However taking leaf from authorities in other jurisdictions having similar, and even identical rules of procedure, I would summarise the position as follows: For a person to be joined on the ground that his presence in the suit is necessary for effectual and complete settlement of all

questions involved in the suit one of two things has to be shown. Either it has to be shown that the orders, which the plaintiff seeks in the suit would legally affect the interests of that person, and that it is desirable, for avoidance of multiplicity of suits, to have such person joined so that he is bound by the decision of the court in that suit. Alternatively, a person qualifies, (on application of a Defendant) to be joined as a co-defendant, where it is shown that the Defendant cannot effectually set up a defence he desires to set up unless that person is joined in it, or unless the order to be made is to bind that person. (See *Mulla On the Code of Civil Procedure* (of India) (14ed) by JM Shelat Volume II paragraph 858 and 864-5; and *Amon v Raphael Tuck and Sons Ltd* [1956] 1 All ER 273 at 290).

For my part I would hesitate to take amiss a strategy, by counsel on the same side of the divide in the litigation forum, for joining hands and utilising together all lawful argument, to not only advance their clients' cases, but also to defeat the case of their common adversary. In the instant case however what was submitted by counsel for the co-defendants both in the High Court and in the Court of Appeal, on the contention that Jaffer Brothers Limited had no cause of action, was relevant material, and of direct benefit only to Mohamed M Bagalaaliwo's defence. It did not advance what could have been the case of the Custodian Board and Attorney-General that their presence in the suit was not necessary. Accordingly when the Court of Appeal came to decide the issues before it, the question as to whether the Custodian Board should continue to be co-defendant was not among the issues for determination. The Court of Appeal, therefore, could not have dismissed the appeal, let alone the suit, as against the Custodian Board. It follows that under the general rule that costs follow the event, Jaffer Brothers Limited as the only successful party had to be awarded costs of the appeal, to be paid by the unsuccessful parties who opposed the appeal. It also follows that the orders of the trial court, except the order for joining the co-defendants, (which was not in issue), had to be set aside.

My second observation is related to the course adopted by the original Defendant to seek redress in form of damages/compensation by way of counterclaim against co-defendants. For obvious reasons I must refrain from pre-emptive comments. Suffice to say that it has resulted into unorthodox complexities in the pleadings, which may have been avoided by filing a separate suit, if seeking redress by way of indemnity through third party proceedings was inappropriate.

Karokora JSC: I have had the benefit of reading in draft, the judgment prepared by Kanyeihamba JSC, and do agree with his conclusion that the appeal must fail. I wish only to add that although right from the commencement of the suit the plaintiff was aware that he had no case against the Appellant and the Attorney-General and although it was made clear that the costs that might arise from the proceedings of the case would be paid by the Defendant/Bagaalaliwo, Honourable Mr *Ssekandi*, counsel for Appellant fully and actively participated in the suit right from the High Court and fully addressed the Court of Appeal on the merits of the appeal and invited the court to dismiss it. He cited the cases of *Makerere Properties Ltd v Attorney-General* civil appeal number 36 of 1996 (UR) and *Victoria Tea Estate Ltd v Bemba and another* civil appeal number 49 of 1993 in an attempt to persuade the Court of Appeal to dismiss the appeal.

In my opinion, since the Appellant was joined in the suit not because the plaintiff had any cause of action against them, but because the First Defendant considered that their presence was necessary to enable the court effectually and completely adjudicate and settle all questions involved in the suit under Order 1,

rule 10(2) which application the Appellant never opposed, and the Court of Appeal has not yet effectually and completely adjudicated and settled all questions involved in the suit, it would be premature at this stage to hold that ground one of appeal succeeded when an order of retrial of the suit on merit was made.

In fact, considering the circumstances under which the Appellant was joined, Honourable *Ssekandi*, counsel for Appellant, needed not to have involved himself in the merits of the case, since the plaintiff was claiming nothing from them.

In view of the above, ground one fails. The other grounds are adequately covered by my learned brother Justice Kanyeihamba JSC, and so I have nothing to add.

(Mukasa-Kikonyogo and Oder JJSC concurred in the judgment of Kanyeihamba JSC).

For the Appellant:
Ssekandi

For the Respondent:
Bamwine and *Walubiri* instructed by *Kwesigabo, Bamwine and Walubiri & Co*

Egypt Air Corporation v Suffish International Food Processors (U) Ltd and another

[1999] 1 EA 69 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of ruling:	29 June 1999
Case Number:	2/99
Before:	Manyindo DCJ, Berko and Engwau JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Insurance – Subrogation – Existence of insurance contract – Failure by insured to produce actual certificate of insurance at trial – Whether the existence of an insurance contract had been proved.

Editor's Summary

In March 1996, the First Respondent entered into a contract with the Appellant whereby the latter was to carry a consignment of fish from Uganda to Belgium. On arrival at Brussels, the consignment was found to be unfit for entry into the European Union (UN) and was subsequently destroyed. The Second Respondent thereupon indemnified the First Respondent in the sum of US$ 48 100. The First Respondent then brought suit against the Appellant for the second Respondent's benefit under the doctrine of subrogation. The trial Judge found that the Appellant was liable for causing the damage to the First Respondent's goods and entered judgment in favour of the Second Respondent. The Appellant appealed on the ground that the Respondents had failed to prove the existence of a valid insurance contract between them.

Held – The doctrine of subrogation was founded on the existence of a binding and operative contract of indemnity. Subrogation gained its operative force not just from payment but from actual payment together with the fact that it was made pursuant to the basic and original contract of indemnity. Where there was no contract, there was no juristic scope for the operation of the doctrine and the

essential basis of subrogation was wholly absent; *John Edwards and Co v Motor Union Insurance Co Ltd* [1922] 2 KB 249 adopted. The marine certificate of insurance tendered in evidence by the Respondents was not the insurance policy under which the goods had been insured and, as the latter had not been produced in court, the Respondents had failed to prove that there existed a binding and operative contract of indemnity.

Appeal allowed with costs.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

John Edwards and Co v Motor Union Insurance Co Ltd [1922] 2 KB 249 – **A**

Judgment

Berko JA: The appeal arose from the judgment of the High Court (Ntabgoba PJ) dated 6 October 1998 in a High Court civil suit number 207 of 1997.

The facts are that on or about the 16 March 1996 the First Respondent entered into a contract with the Appellant to air freight a consignment of chilled fresh fish from Uganda to Brussels. The consignment was found on arrival to be unfit for entry into the Economic Union and were rejected and eventually destroyed. The Second Respondent indemnified the First Respondent for the loss in the sum of US$ 48 100 on an alleged insurance cover. The First Respondent brought a suit against the Appellant for the benefit of Second Respondent under the doctrine of subrogation to recover the sum of US$ 48 100 the Second Respondent paid to the First Respondent. The Judge found that the goods were damaged either during the process of loading them into the plane or during the flight and blamed the Appellant for causing the damage and entered judgment in favour of the Second Respondent.

The memorandum of appeal contained two grounds. Ground two was abandoned at the hearing leaving ground one which alleges that the Learned trial Judge erred in law and in fact when he made a finding to the effect that the Respondent/Plaintiffs had proved that there was a contract of insurance in respect of the damaged consignment.

The Learned trial Judge had this to say in his judgment:

> "As long as it is proved to the satisfaction of this court, *and it has been so proved*, that the first defendant took out an insurance cover under the doctrine of subrogation, that the insurance has paid the insured's claim and that the defendant was to blame for the damage or loss, then the defendant cannot escape indemnifying the second plaintiff which is the insurer".

It was the argument of learned counsel for the Appellant that the existence of a valid contract of insurance between the First Respondent and Second Respondent was not proved.

It was pleaded in paragraph 6(*b*) of the plaint that the First Respondent took out a valid insurance policy cover number 10/MR/OC/4499 with the Second Respondent. No such insurance cover was tendered in evidence at the trial.

Instead the Respondent put in evidence a Marine Certificate of Insurance (Exhibit P1). Exhibit P1 contains the following pertinent information:

> "We acknowledge receipt of your Marine declaration number 181 … dated … and have to advise that you are hereby covered, subject to the conditions and terms of the Company's open policy cover number 10/MR/OC/4499 under which your declaration is made".

After giving the description of the goods and the airway bill number, the sum insured, the document concludes: "The condition of insurance briefly being as follows: *As per open cover number 10/MR/OC/4499*".

It is clear from the above that Exhibit P1 was not the insurance policy under which the goods were insured. The actual policy was the open policy cover number 10/MR/OC/4499.

As that document governed the rights of the parties, it would have contained the distinctive features of the contract of insurance. These are the parties, the subject matter of the insurance, the period of the insurance, the date of commencement of the policy, the details of the peril which was insured against and also a list of exemptions specifying the circumstances in which the insurers would not be liable.

That document was not produced in court. I am not persuaded by the argument of Mr *Shonubi*, counsel for the Respondents, that the Second Respondent could not produce it in evidence because at the time its existence was denied in the further amended written statement of defence, they had closed their case. Nothing prevented the Respondents from adducing further evidence to rebut the denial, when in fact counsel had reserved the right to do so at the time the amendment was being considered. The Respondent therefore failed to prove that there was a binding and operative contract of indemnity between the First and Second Respondents. The Learned Judge erred in holding that there was such a proof.

It must be observed that the whole basis of the subrogation doctrine is founded on a binding and operative contract of indemnity. It derives its life from the original contract of indemnity. It gains its operative force from payment under that contract. In my view the essence of the matter is that subrogation springs not from payment only but from actual payment conjointly with the fact that it is made pursuant to the basic and original contract of indemnity.

If then the right of subrogation rests upon payment under a contract of indemnity, how does the matter stand when there is no such contract. If there is no contract of indemnity, then, if I may borrow the words of McCardie J in *John Edwards and Co v Motor Union Insurance Co Ltd* [1922] 2 KB 249, "there is no juristic scope for the operation of the principle of subrogation. The essential basis of subrogation is wholly absent".

In the result I would allow the appeal, set aside the judgment and orders of the Learned trial Judge and substitute an order dismissing the action. I would award to the Appellant the costs of the appeal and of the suit.

(Manyindo DCJ and Engwau JA concurred in the judgment of Berko JA).

For the Appellant:
Information not available

For the Respondents:
A Shonubi instructed by *Shonubi Musoke & Co*

Emomeri v Shell (U) Ltd

[1999] 1 EA 72 (CAU)

Division:	Court of Appeal Uganda at Kampala
Date of ruling:	7 June 1999
Case Number:	12/99
Before:	Okello, Mpagi-Bahigeine and Engwau JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Advocate – Practice – Striking off of advocate from the roll – Sole proprietor of chambers struck from the roll – Whether striking off affected the conduct of a case by a different advocate practising in those chambers – Sections 13 and 14 – Advocates Act (Chapter 258).

[2] Appeal – New evidence – Application to adduce additional evidence on appeal – Exercise of the court's discretion in deciding whether or not to admit fresh evidence – Factors to be considered in determining whether or not to admit fresh evidence – Whether discretion had been exercised properly – Whether the evidence was available at the time of the trial – Whether the evidence went to the merits of the case – Rules 29 and 54 of the Court of Appeal Rules.

Editor's Summary

In July 1998, the Appellant applied to a single judge of the Court of Appeal for leave to adduce additional evidence in civil appeal number 47 of 1997. The application was dismissed for lack of sufficient reasons to warrant the admission of additional evidence. The Appellant then brought the present reference before a full bench of the court on the grounds, *inter alia*, that the Judge's findings and ruling had occasioned a miscarriage of justice. Counsel for the Appellant contended that the advocate who represented the Respondent at trial had been practising in the favour of the chambers of a sole partner who had been struck off the roll of advocates. This, he claimed, amounted to an offence under the Advocates Act. In reply, counsel for the Respondent contended that the Court of Appeal Rules gave judges a very wide discretion to take additional evidence and that only if that discretion had been erroneously exercised could the court interfere. He also asserted that practising certificates were given not to chambers but to individual advocates and that the Respondent's advocate at trial had been entitled to practise.

Held – An appellate court would only interfere in the exercise of a judge's discretion where it was apparent that its wrongful exercise had led to injustice.

The general rule was that, except on the grounds of fraud or surprise, an appellate court would admit fresh evidence only where it was not available to the party seeking to use it at the trial, or reasonable diligence would not have made it so available; *Tarmohamed and another v IH Lakham and Co* [1958] EA 567 applied. In this instance, it could not be said that the information had not been available at the time of the trial.

It was the conduct of an advocate that was always relevant to the question of his fitness to practise, and one advocate's misconduct could not be attributed to another. In this instance, the evidence would not have touched on the merits of the case nor had there been any illegality regarding the substantive suit. Accordingly, the Judge's discretion had been properly exercised.

Appeal dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Makula International Ltd v Cardinal Nsubuga [1982] HCB 11

Mbogo v Shah [1967] EA 116

Tarmohamed and another v IH Lakham and Co [1958] EA 567 – **AP**

Ruling

Okello, Mpagi-Bahigeine and Engwau JJA: This was a reference from a decision of a single Judge (Kato JA) dismissing the application on 11 March 1999 for leave to adduce additional evidence on appeal. It was brought under rule 54(1)(*b*) and (2) of the Rules of this Court.

On 20 July 1998 the Appellant filed miscellaneous application number 35 of 1998 applying for leave to adduce additional evidence in respect of civil appeal number 47 of 1997.

On 11 March 1999 the Learned Judge dismissed the application on ground of lack of sufficient reasons to warrant production of additional evidence.

Five grounds were advanced for this reference:

"(1) That the Learned single Justice of Appeal erred in holding that the additional evidence sought to be adduced by Appellant/Applicant in support of the appeal only concerned the conduct of the advocate and not the merits of the case.

(2) That the Learned single Justice of Appeal erred in holding that the additional evidence that the Appellant/Applicant sought to adduce in support of his pending appeal had no bearing to the outcome of the case at the trial.

(3) That the single Justice of Appeal erred in not considering whether the additional evidence sought to be adduced had any bearing to the outcome of the pending appeal.

(4) That the Learned single Justice of Appeal erred in holding that the Appellant/Applicant had not established sufficient reason to justify the court to grant to him leave to adduce additional evidence in support of his appeal.

(5) That the said errors, findings, ruling and subsequent order of the Learned single Justice of Appeal dismissing the Appellant/Applicant's application occasioned a miscarriage of justice to the Appellant/Applicant".

Grounds 1, 2 and 3 were all argued together. Learned counsel, Mr *George Emesu*, pointed out that though Mr Kateeba did not have a practising certificate, Mr Turyakira who represented the Respondent was practising in the favour of Kateeba and Company Advocates in which Mr Kateeba was a sole partner. Since Mr Turyakira was not a partner, Mr Kateeba's chambers could not remain open after his suspension. Mr *Emesu* pointed out that under sections 13(1) and (2) and 14(1) of the Advocates Act, Mr Kateeba's suspension was tantamount to closure of the chambers or else it would be an offence under section 14. He argued that by allowing Mr Turyakira to practice in his chambers, Mr Kateeba was defying the suspension. He claimed that the additional evidence sought to be adduced would extend to keeping the chambers open and the pleadings filed by advocates.

Mr *Serwanga Sengendo*, learned counsel for the Respondent pointed out that rule 29 of the Court of Appeal Rules under which the application was brought creates a very wide discretion for the court

to take additional evidence. He

submitted that unless it can be found that the single Judge erroneously exercised his discretion thus arriving at a wrong decision, this Court cannot interfere in the exercise of that discretion. *Mbogo v Shah* [1967] EA 116. He pointed out that the conduct complained of was the conduct of Mr Kateeba who had committed disciplinary offences and was struck off the roll of advocates. Mr Kateeba's conduct had nothing to do with the merits of the case of wrongful dismissal from the Respondent's company. He asserted that practising certificates are given to individual advocates to licence them to practise but are not given to chambers. In his view, Mr Turyakira was entitled to practise and to represent the Respondent.

The Learned Judge found:

> "According to the available records on the file the case was conducted by one Turyakira but not Mr Kateeba whose practicing certificate had been cancelled.
>
> It follows that the additional evidence which the applicant is intending to call had no bearing to the outcome of the case at the trial as it only concerns the conduct of an advocate but not the merit of the case.
>
> … I find that the applicant has not established sufficient: reason to warrant this court permitting him to adduce fresh or additional evidence on appeal".

Rule 29(1)(*b*) states:

> "29 (1) On any appeal from a decision of a High Court acting in the exercise of its original jurisdiction, the court may:
>
> (*a*) …
>
> (*b*) in its discretion, for sufficient reason, take additional evidence or direct that additional evidence be taken by the trial court or by a Commissioner".

It must always be borne in mind that an appellate court will only interfere in the exercise of a Judge's discretion where it is apparent it was wrongly exercised leading to injustice.

We think there are two aspects to this matter for consideration:

(*a*) Was the evidence sought to be adduced available at the time of the trial?

(*b*) Would its non-admission lead to any injustice to the Appellant?

In *Tarmohamed and another v IH Lakham and Co* [1958] EA 567 it was held that except on grounds of fraud or surprise, the general rule is that an appellate court will not admit fresh evidence, unless it was not available to the party seeking to use it at the trial, or that reasonable diligence would not have made it so available.

The order of the disciplinary committee striking Mr Kateeba off the roll of advocates appeared in the New Vision of November 1994 while the Judgment, the subject of civil appeal number 47 of 97 is dated 17 March 1995. It cannot therefore be said that this information was not available at the time. The press advertisement was notice to the public at large.

Mr *Emesu* citing *Makula International Ltd v Cardinal Nsubuga* [1982] HCB 11 urged the court not to ignore or overlook the illegality. This brings me to the issue as to whether the evidence sought to be adduced would affect the merits of the case either way.

The Learned Judge held that it would have no bearing on the outcome of the case since it only concerns the conduct of an advocate.

It is perfectly plain that the court licenses an advocate individually to practise and not the chambers. It is the conduct of an advocate that is always relevant to the question of his fitness to practise. That being the case there is no way

Mr Kateeba's misconduct could be attributed to Mr Turyakira who prosecuted the case. It is common practice for lawyers to hold briefs for their colleagues in the same chambers where the other's licence has expired and not renewed in time. Mr Kateeba pleaded guilty and was convicted of offences involving moral turpitude. Under our principles of law there is no way Mr Kateeba's misconduct can be attributed to Mr Turyakira. Such evidence even if introduced merely concerns the personal conduct of an advocate and does not in any way touch on the merits of the case. Neither is there any illegality as far as the substantive suit is concerned. That is why we have not considered it necessary to review the evidence before the trial court.

We are fully convinced that the Learned Judge properly exercised his discretion in disallowing the application.

The appeal stands dismissed.

For the Appellant:
G Emesu instructed by *Emesu & Co*

For the Respondent:
S Sengendo

ER Investments Ltd v Tanzania Development Finance Co Ltd and another (1)

[1999] 1 EA 75 (HCT)

Division:	High Court of Tanzania at Dar-Es-Salaam
Date of ruling:	19 May 1999
Case Number:	66/99
Before:	Manento J
Sourced by:	AT Nguluma
Summarised by:	A Mwanzia

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[1] Civil procedure – Injunctions – Temporary injunction – Company seeking temporary injunction to restrain receivership – Principles upon which temporary injunctions are to be granted – Whether court should apply substantive law as opposed to equity in determining dispute – Court's discretion – When discretion may be said to have been judiciously exercised – Order XXXVII, rule 1 – Civil Procedure Rules – Sections 65 and 95 – Civil Procedure Code of 1966.

Editor's Summary

The Applicant had obtained a loan from the First Respondent and issued a debenture as security. The terms of the debenture *inter alia* authorised the First Respondent to appoint a receiver manager in case of default in payment. The First Respondent appointed Msusa (Second Respondent) as a receiver. The Applicant brought suit against the First Respondent and Msusa, and took out a chamber summons application seeking temporary injunction to restrain the Respondents from proceeding with the

receivership and their ejectment from the Applicant’s premises.

The Applicant contended that the appointment of the receiver was illegal as terms of the debenture had not been complied with and that Msusa was trespassing onto the Applicant’s premises and engaged in illegal transactions. The Respondents

countered that the appointment was proper and that Msusa was lawfully carrying out his duties as a receiver to protect the interests of secured creditors.

Held – Before temporary or interlocutory injunction may be granted, there are legal requirements which must be met; (i) it must be shown that there are triable issues; (ii) it must be shown that the Applicant will suffer irreparable loss; (iii) it must be shown on a balance of convenience more hardship and harm shall be suffered by the Applicant if the application is refused than will be suffered by the Respondent if the application is granted. *Atilio v Mbowe* [1969] HCD 284 followed. Other requirements include; (iv) whether the case is so clear and free from objection on equitable grounds that the court ought to interfere to preserve property without waiting for the right to be finally established; and (v) whether there has been a delay and the Applicant has come with clean hands.

The Applicant's case was governed by the principles of law of contract and law of equity and should be determined taking into consideration the loan agreement and debenture document based on substantive law and not equity. The Applicant being in default of its contractual obligation was coming to court with dirty hands, hence not entitled to equitable relief.

The granting of a temporary injunction was a matter of discretion of the court and the discretion may only be said to have been judiciously exercised if the court appreciated the facts and applied these facts to the principles governing the issuance of temporary injunctions; *Ibrahim v Ngaiza* [1971] HCD 249 followed.

Application dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Atilio v Mbowe [1969] HCD 284 – **F**

Ibrahim v Ngaiza [1971] HCD 249 – **F**

Ruling

Manento J: The Plaintiff now the Applicant filed a plaint against the Defendants/Respondents on 1 March 1999. On the same day, that is 1 March 1999 they filed a chamber summons under Order XXXVII, rule 2(1) of the Civil Procedure Rules and sections 65 and 95 of the Civil Procedure Code of 1966. In the plaint, they claimed for damages against the Defendants and sought of several declarations to be made by this Court against the Respondents. In the chamber summons which is the subject matter of this application the Applicants seek for a temporary injunction to be issued against the Respondents mainly for two reasons that:

> "(i) The Respondents to restrain by themselves or through their agent, workmen, assignee or otherwise from proceeding with the receivership or further taking possession of the Applicant's properties and assets as specified in the debenture dated 14 May 1993 executed by the Applicants in favour of the First Respondent until the main suit is finally and conclusively determined.

(ii) That the Respondents by themselves or through their agents, workmen, assignees or otherwise be ordered to forthwith vacate the Applicant's premises, assets and properties the subject matter of the aforesaid debenture pending final and conclusive determination of the main suit".

As usual and legally required by the law, the chamber summons is attached to an affidavit and it was replied by a counter affidavit by the Respondents. After that exchange of documents, the counsels for the parties, Mr *Ndyanabo*, learned counsel for the Applicant and Dr *Nguluma* for the Respondents agreed with the consent of the court to file their written submissions, which they did as per order of the court, each of them urging in favour of his clients.

From the written submissions from the counsels, they all agree that there are some legal requirements which have to be met in order that temporary or interlocutory orders may be granted by the court. Among these conditions are set in the case of *Atilio v Mbowe* [1969] HCD 284 where conditions to be met were stated as:

(1) That it must be shown that there are triable issues.

(2) It must be shown that the Applicant will suffer irreparable loss, and

(3) It must be shown that on a balance of convenience more hardship and harm shall be suffered by the Applicant if the application is refused than will be suffered by the Applicant if the application is refused than will be suffered by the Respondent if the Applicant is granted.

Besides that holding of the case which was quoted to the court by Mr *Ndyanabo*, learned counsel for the Applicants, Dr *Nguluma*, learned counsel for the Respondents went further by quoting Sarkar, a celebrated jurist, in his *Sarkar's Law of Civil Procedure* (8ed) at 1418 where it repeated the three conditions stated above in *Atilio*'s case to be satisfied before the court can grant a temporary injunction and added two more grounds that:

(4) Whether the case is so clear and free from objection on equitable grounds that it ought to interfere to preserve property without waiting for the right to be finally established, and

(5) Whether there has been a delay and the Applicant has come with clean hands".

In order that the court do exercise its discretion in granting the application or refusing to grant it, the above five quoted grounds shall be considered and the issue of the orders shall be determined by answering those five points above, obvious together with others if necessary.

In the Applicant's affidavit, he deponed that he issued to the First Respondent a debenture which, *inter alia* authorised the First Respondent to appoint a receiver manager and actually, he had appointed one, as a receiver and manager in the name of Leonard C Msusa, now the Second Respondent. The Applicant deponed reasons why he said that the appointment of the receiver and manager was premature and illegal because the Applicant was paying and still had time to repay the loan up to the year 2002.

Furthermore, it is deponed that the debenture holder made the appointment without due notice to the Applicant, that the Registrar of Companies was not notified as is procedurally required, that the appointment was made without ascertaining the debt due and whether there was default in repayment of the said debt; and finally on this point that the said appointment of the receiver and manager was made notwithstanding that the repayment schedule had been changed by mutual consent between the First Respondent debenture holder and the Applicant such that the repayment of the debt was now sporadic or arbitrary

and not in accordance with the time frame set forth in the loan agreement as per Annexure "D" to this affidavit.

In attacking the conduct of the Second Respondent who is the receiver and manager, the Applicant deponed that even if his appointment were proper, which is actually denied by the Applicant, yet the conduct of affairs and the procedures being adopted by the Second Respondent in managing the assets and property of the Applicant are unlawful and *ultra vires* the powers of appointment in that:

> "That the Applicant company was invaded on 16 February 1999 by persons not introduced to the company, and who had no letters of appointment by the Second Respondent, that the Second Respondent has no powers to delegate his functions to any person because such act would be *ultra vires* the deed of appointment".

That the Second Respondent has unlawfully leased the premises and machines of the company to rival dealers who carry out the same business like that of the Applicant; that it is the rival dealers of the Applicant who are managing the business hitherto carried out by the Applicant; that though a receiver and manager is appointed to manage the affairs of a solvent company, the Second Respondent has been, though unauthorised trespassers, holding the Applicant company as insolvent with the trespassers presenting themselves as liquidators. Annexure "E" is attached as part of the affidavit to that effect; that there has never been any proper accounting due to the fact that the unauthorised trespassers of the Second Respondent had evicted the directors and other qualified staff making it impossible for the Applicant to render proper accounts to the Second Respondent; that the Second Respondent has confiscated the books of account of the company making it impossible for the directors and secretary of the company with regard to maintaining the company's books, records and registers; that the directors and secretary could not supply timely information to the Second Respondent because all the documents of the Applicant are now in the hands of the said trespassers.

That due to the acts of those trespassers, the directors and secretary of the company cannot write up and balance the books of accounts; that due to the withholding of those documents, no information can be given to the Second Respondent of any assets of the company in the possession of third parties as statutorily required and finally on this point, that instead of managing the assets and the properties of the Applicant, the trespassers are selling the assets of the Applicant and dissolving the company as though it is insolvent thus exercising the powers of liquidators which are *ultra vires* the deed of appointment. A letter Annexure "F" is attached as part of the affidavit.

Paragraph 6 of the affidavit is the summary of the previous allegations of the illegality of the appointment and of the performance of the duties of the Second Respondent.

Paragraphs 7 and 8 of the affidavits are in regard to alleged suffered damages loss of reputation in terms of business good will which are not really relevant in determining the request for orders of temporary injunction.

Paragraph 9 of the affidavit is in form of a prayer that unless the First and Second Respondents are restrained from trespassing into the affairs of the Applicant and ordered to vacate therefrom the latter shall suffer irreparable loss, gross inconvenience and untold misery.

The counter affidavit of the First Respondent was comparatively short and clear. Regarding the fourth paragraph of the affidavit by the Applicants, the First Respondent replied in that the appointment of the receiver and manager was not and is not premature. This is true as per debenture deed marked TDFL1 issued by the Applicant's company to the First Respondent which provided under clause 6 for the appointment of a receiver at any time after the principal moneys thereby secured have become due and immediately payable. It is said that by the time the receiver was appointed the Applicant company was in default warranting the debenture holder to exercise his right as per the issued debenture and the loan agreement marked TDFL2.

That though there was no requirement of giving due notice to the Applicant before the appointment of the receiver, yet the First Respondent gave the Applicant notice by letter dated 20 December 1998, a formal demand dated 29 December 1998 and subsequent notification dated 11 January 1999 and 12 February 1999 all the letters are annexed collectively as Annexure TDFL3. That the Registrar of Companies was given proper notice as to the appointment of the receiver as per Annexure TDFL4 and that the debt due was ascertained and the Applicant was duly notified of the default of payment by letters dated 27 January 1998, 10 February 1998 and 20 April 1998 Annexure TDFL5 collectively and that the Board of Directors of the Applicant acknowledged the loan arrears at their Board's meeting held on 19 July 1997 as per Annexure TDFL6. Finally on this point it was deponed that no reschedulement of the loan repayment took place as the Applicant failed to meet the pre-condition for the reschedulement of the loan repayment.

Finally, the First Respondent deponed that he never trespassed into the affairs of the Applicant but has duly exercised his rights as per the debenture issued by the Applicant company. That the Applicant will suffer no loss and neither untold misery but that if the temporary injunction is given it will undermine the contract of the parties.

The Second Respondent filed a fairly long and detailed counter affidavit to that of the Applicant. It is a long counter affidavit because the affidavit of the Applicant had concentrated much on the appointment and working of the Second Respondent as a receiver and manager of the Applicant's company.

The Second Respondent deponed that he was lawfully and legally appointed a receiver and manager of ER Investment Limited as per deed of appointment as a receiver and manager and the debenture document under which the power to appoint a receiver and manager are derived at. Annexures ATN1 and ATN2 respectively supports his contention. He correctly deponed that his appointment as a receiver and manager was lawfully done as per terms and conditions of the debenture document dated 14 May 1993.

In his fourth paragraph of the counter affidavit, the Second Respondent deponed that the conducts and procedures he adopted in managing the assets and property of the Applicant are lawful in terms of the powers of appointment stipulated in the debenture document. In explaining in details how he conducts the affairs of the Applicant's company, he said that he never invaded the company as alleged, but he did what clause 7 of the debenture document authorised him to do. So his authorised staff went to the company's premises with a deed of his appointment to act as a receiver and manager of the company with the intention of introducing themselves to the company's managing director, one

Emmanuel Rwehumbiza Makubo who was absent but who directed by telephone that the introduction be made to one Mr Katarama, the former Finance and Administrative manager of the company.

In reply to subparagraph 5(*c*) of the affidavit by the Applicant, the Second Respondent deponed that he merely entered into a contract with one Mohamed Enterprises (T) Limited, in which Mohamed Enterprises (T) Limited would supply maize to the company for processing. He never leased the company in receivership, instead, as a receiver and manager had ensured that the company has retained all employees in the production department under their existing employment contracts with the company to run the machinery under his supervision. The contract for the milling of maize between him and Mohamed Enterprises (T) Ltd is annexed as ATN3.

In further reply, the Second Respondent deponed that subparagraph 5(*d*) of the affidavit is denied in that he is managing the affairs of the company with the assistance of his staff and no traders or dealers, whether rival or friendly to the company are invited to the company premises for the alleged purpose. What the Second Respondent is doing is trading to reduce the risk of the assets to run down and losing good will and it is in line with commercial practice to manage the assets in the best interest of secured creditors.

The Second Respondent denied that his staff trespassed the company's premises instead, they are exercising the rights conferred on the receiver and manager by the debenture to enter into and manage the assets of the company. That his staff have not hold themselves cut to be liquidators. The company is insolvent as it failed to pay the debts due to TANESCO and to the First Respondent.

The fact that the Applicant have been denied access to the company's accounts, books or and statutory records is denied in that the Applicant had never requested for. That although he is lawfully in control of the company's assets as a receiver and manager, he has never denied the company's directors in receivership access to the records of the company, instead, they have never requested for. Lastly on this issue is that he is not and had no intention to exercise powers of a liquidator for a receiver and liquidator are two distinct functionaries who act in different capacities. Annexure "F" is merely advising the director of ER Investment Limited of his appointment as receiver and manager and the powers conferred on him, as such, duty to sell the assets of the company and to use the realisation to pay creditors. It has therefore, nothing to do with liquidation or dissolution of the company.

In his fifth paragraph, the Second Respondent deponed that the Applicant company secured the loan knowing well the consequences of breaching the terms of the debenture issued in favour of the lender. He deponed further that the Applicant is insolvent as evidenced by its inability to pay TANESCO bills and the First Respondent's loan. Hence it is unable to make any profits. It has consequently lost general reputation, as such no specific or general damages can ever be said to have been suffered.

In his last but one paragraph, the Second Respondent deponed that a court's grant of temporary injunction has the effect of overriding a covenant of the parties, namely the debenture which is contrary to the principles of law of contract and law of equity. Finally that it would be contrary to the laws recited above for the court to grant any injunctions affecting him as a receiver and manager.

After filing of these counter affidavits, the Applicant replied to them and finally the learned counsels, Mr *Ndyanabo* for the Applicant and Dr *Nguluma* for the Respondents made their submissions in writing.

On reading between line the two issues raised in the chamber summons, one can find that it is directed to the Second Respondent and not so much to the First Respondent. I say so because item number (i) seeks the Respondents to be restraining from proceeding with the receivership or further taking possession of the Applicant's properties and assets as specified in the debenture dated 14 May 1993. The First Respondent has already appointed the Second Respondent as receiver and manager by a deed of appointment dated 16 February 1999 and the Second Respondent has already taken possession and exercised the powers conferred upon him as a receiver and manager by the debenture document. The Second Respondent could be restrained to proceed with the receivership after the First Respondent have withdrawn the said deed of appointment. Secondly, by the deed of appointment as a receiver and manager, it is the Second Respondent in whose possession and management of the company in receivership is in his hands and control. The duty of the First Respondent ended after the appointment of the Second Respondent as a receiver and manager.

After the above comment, I now proceed to dispose of the application by way of dealing in chronological order with the five points stated above as the basis of the granting or not granting an interim injunction as prayed in the chamber summons supported by the affidavit and counter affidavits of the Respondents.

Mr *Ndyanabo*, learned counsel for the Applicant submitted for the first point that there is a triable issue in the case. The reasons are that the appointment of the receiver and manager was premature as per ground number six of the plaint tha that the Applicant was paying and still had time to repay the loan up to the year 2002. On the other hand, Dr *Nguluma*, learned counsel for the Respondents submitted that by section 7.01 of the loan agreement between the Applicant and the First Respondent the loaned money was to be repaid by sixteen (16) semi-annual instalments starting from 30 June 1995 and the last instalment to be paid on 31 December 2002. That amounted to a total of eight (8) years. It is true from the submissions and not disputed by the Applicants that by the time the First Respondent appointed a receiver and manager, the Second Respondent, a year had lapsed without any instalment being made by the Applicant company. This means that two instalments were already in arrears which was in contravention of provisions 17.06 of the loan agreement which demand, among other things, prompt repayment of the loan money whenever they fell due, that is to say every six months.

It is very true that the loan was to be paid up to the year 2002 but at the same time, the parties had agreed that the money be paid in instalments and should be paid promptly when it became due. The Applicant had submitted in reply to the counter affidavit that there has been a change of the repaying schedule as per "D" of the Applicants whereby payments were made not in accordance with the schedule for example on 30 March 1994 amount paid was TShs 2 million, on 8 April 1994 TShs 1 million was paid and on 4 May another TShs 1 million was paid. The acceptance by the First Respondent to these small and sporadic payments did not mean that the terms of the loan agreement had been varied and there is no evidence to that effect. One can just at the outset say that the Applicants were unable to abide with the terms of the loan agreement as they

did not pay in time the amount which was to be paid. The tolerance of the First Respondent in receiving small bits of payment cannot be interpreted to mean that the terms of the repayment were changed. I agree with Dr *Nguluma*, learned counsel for the Respondents that no evidence has been produced to support that allegation. It is very true that as a matter of law, Evidence Act of 1967 sections 100 and 101 requires that a written document can only be varied by a written agreement and not otherwise. Thus the appointment of the receiver and manager was in line with the loan agreement as there had been a default to pay by the Applicants.

In the second place, Mr *Ndyanabo*, learned counsel submitted that if the interlocutory orders are not granted the Applicant will suffer an irreparable loss. In his submissions, the learned counsel submitted that the Second Respondent is determined to kill the Applicant and remove him from business, an act which is irreparable. The acts which are intended to remove the Applicant from the world of business are the subletting of the management of the affairs of the Applicant to a rival company. The irreparable loss here means the reputation of the Applicant who is saying that he has an international reputation. On the other hand, the company's assets were bought by the money lent to the Applicant by the First Respondent. The First Respondent wanted a guarantee from the Applicant that his money would be paid as per loan agreement and so the Applicant secured a debenture instrument. When the Applicant failed to comply with the loan agreement for prompt payment, and the First Respondent exercising his rights under the debenture instrument, the Applicant is saying that he would suffer an irreparable loss, without considering that they money loaned to him by the First Respondent is at stake and that if the First Respondent does not take an immediate action, an irreparable loss to First Respondent would occur.

The Applicant executed a debenture in favour of the First Respondent and when the First Respondent acts on the provision of the said debenture which was freely and voluntarily executed, the Applicant comes to the court, seeking for a temporary injunction so that the Respondent is restrained from complying with the closes of the debenture instrument, which is his weapon in seeing to it that his money lent to the Applicant is repaid. It is as if the Applicants are saying that:

> "Even if you lent me some money on the strength of the executing of the debenture yet we did not mean that we (the Applicants) are bound by the debenture and the First Respondent is saying that he never trusted the Applicant and that is why he needed the debenture from the Applicant to have his money seamed".

The fact that the Applicant is not disputing the fact that it has failed to meet the terms of the loan agreement as it is in arrears for more than one year, to restrain the receiver and manager from realising the assets of the company which would otherwise minimise the losses would amount into injustice on the part of the First Respondent.

There is no evidence that the receiver/manager has sublet the management of the affairs of the Applicant's company to a rival company. The evidence in record is that the receiver/manager is managing the affairs of the company and in doing so, he has entered into a contract with one Mohamed Enterprises (T) Limited called "hirers" so that the receiver/manager called the "miller" should mill the hirers maize to full capacity of the milling plant on the agreed terms. This is stipulated in Annexure ATN3 to the Second Respondents affidavit. Hence there is no subletting to the rival company. They are just doing business.

On the third ground of the degree of hardship to be suffered by the Applicant then to the Respondents if the injunction is not granted. On this point, the counsel for the Applicant submitted that the Respondents will be left intact if the orders are granted as the securities in favour of the First Respondent shall always remain there enabling the First Respondent to fall upon them when time is due. If that contention is accepted, then there shall be no need for having securities which are not enforceable as per agreement. The receiver and manager has taken possession of the assets, he is managing them for the better of the money lender, the First Respondent and people are in employment. To proceed living it in the management of the Applicants who have failed to pay their debts to the First Respondent and to TANESCO, in the long run the assets will have depreciated so much that even if sold, the First Respondent and other secured and unsecured creditors will not be able to recover their credits due. There will be more inconvenience to the First Respondent and the receiver and manager who has already entered into business agreements with other companies than the suffering and inconvenience to the Applicants.

On the fourth point, I agree with Dr *Nguluma* that the facts stated in the counter affidavit of the Respondents are to the effect that the Applicant's case is not so clear and not free from objection on equitable grounds. The case is governed by the principles of law of contract and law of equity. Hence the case should be determined taking into consideration the loan agreement and debenture document based on substantive law and not equity.

Finally again, I agree with Dr *Nguluma* that the Applicant company being in default of its contractual obligation to repay its loan is certainly seeking to invoke the assistance of equity without doing equity to the lender. The Applicant being in default of its contractual obligation is coming to the court with dirty hands. The case needs to be determined on its merits as per loan agreement and debenture instrument rather than by rushing to this equitable remedy.

Being guided by the holding in the case of *Ibrahim v Ngaiza* [1971] HCD 249 at 174 where the court held that the granting of a temporary injunction under Order XXXVII, rule 1 of the Civil Procedure Code Rules is a matter of discretion of the court and this discretion can only be said to have been judiciously exercised if the court appreciated the facts and applied those facts to the principles governing the issuance of temporary injunctions.

It is true that the objection of granting a temporary injunction is to preserve the *status quo* while the rights are being litigated and the onus is on the Applicant to show his need for the injunction. On the application before me, the Applicant have failed to prove the need for the injunction while the rights of the parties are being litigated. It being a discretionary order, I find no merits in granting it and therefore, the application for temporary injunction is dismissed with costs.

For the Applicant:
JBF Ndyanabo instructed by *Old Cargo Training School*

For the Respondents:
AT Nguluma instructed by *Maajar, Rwechungura, Kameja & Nguluma Adv*

GM Combined (U) Ltd v AK Detergent Ltd and others
[1999] 1 EA 84 (SCU)

Division: Supreme Court of Uganda at Mengo

Date of ruling: 15 February 2000

Case Number:	7/98
Before:	Wambuzi CJ, Oder, Tsekooko, Karokoora and Mukasa-Kikonyogo JJSC
Sourced by:	B Tusasirwe
Summarised by:	M Kibanga

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[1] Appeal – Additional evidence – Principles to be applied by appellate court before admitting fresh evidence – Whether improperly admitted evidence renders proceedings unfair.

[2] Appeal – Grounds of appeal – Appeal withdrawn in respect of all respondents except one – Whether appellant may canvass grounds of appeal touching on other respondents.

[3] Land – Cancellation of title – Alleged fraud – Land transferred for little consideration – Whether inadequacy of consideration evidence of fraud – Registration of Titles Act (Chapter 205).

[4] Land – Sale of land – Transfer instrument not showing amount of consideration – Appellant alleging amount of consideration fraudulently inadequate – Whether adequacy of consideration material under the Act – Registration of Titles Act (Chapter 205).

Editor's Summary

The Appellant operated a soap factory on the suit lands. The factory was set up with money borrowed from the Second and Fifth Respondents, secured by one debenture in favour of the Second Respondent and two debentures in favour of the Fifth Respondent. These debentures were registered at the company registry but not in the lands registry.

The Appellant defaulted in the loans and the Second and Fifth Respondents jointly appointed the Third and Fourth Respondents as joint receivers and managers of the Appellant. Within three months, the Third and Fourth Respondents sold the suit lands to the First Respondent under an agreement of sale dated 21 March 1994 and the First Respondent was duly registered as the proprietor under transfer instruments executed by the Third and Fourth Respondents.

The Appellants filed suit in the High Court seeking cancellation of the certificates of titles of the First Respondent and general damages for trespass and an injunction restraining the First Respondent from trespassing on the suit land.

The High Court found that since the debentures had not been registered in the lands registry, there was no legal mortgage created to enable the Second and Fifth Respondents to convey the property to a subsequent owner; the Respondents had colluded to deny the Appellant equitable right of redemption and transfer instruments executed by the receiver/managers were of no legal consequence.

The Respondents appealed to the Court of Appeal against that decision. The Court of Appeal found that there was no fraud against any of the Respondents and allowed the appeal. The Appellant then moved to the Supreme Court.

Before the appeal could be heard, the Appellant applied to withdraw the appeals against the Second, Third, Fourth and Fifth Respondents. The application was refused and the appeal against the said Respondents was dismissed.

The main ground of appeal was that the Court of Appeal erred in taking additional evidence on its own motion. The additional evidence was the sale agreement which was admitted as an exhibit. The Appellant's counsel submitted that the course taken by the Court of Appeal was contrary to the adversarial system applicable in the country and the court could not properly apply its mind to the requirements for the admission of additional evidence and the Appellant did not have a fair and unbiased trial. The Appellant also argued that because the debentures were not registered, they could not confer legal rights.

Held – The consideration for the sale of the suit lands was immaterial as what mattered was not adequacy if there was some consideration; *Chappell and Co v Nestle Co Ltd* [1960] AC 87 applied. Though the Court of Appeal improperly called for additional evidence, there was no failure of justice as a result because that action by the appellate court was not necessary.

The Court of Appeal rightly found that no fraud had been established against the First Respondent and it was not necessary to inquire into the question whether the First Respondent was a *bona fide* purchaser for value.

It was not open for the Appellant to canvass any ground of appeal which touched on the Respondents the appeal against whom had been dismissed.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Castelino v Rodrigues [1972] EA 223

Elgood v Regina [1968] EA 274

Jeraj Sharif and Co v Chotai Fancy Stores [1960] EA 374

Libyan Arab Uganda Bank v Vassiliadis civil appeal number 9 of 1985 (UR)

Mbogo v Shah [1968] EA 93

Mohindra v Mohindra [1955] 22 EACA 274

Morarji v Naresh Supreme Court civil application number 22 of 1996

Mudasi v Uganda [1999] 1 EA 31 (SCU)

Nalima v Musoke Supreme Court criminal appeal number 12 of 1985

Ojok v Uganda Supreme Court criminal appeal number 33 of 1991 (UR)

Rex v Bachumira [1936] 3 EACA 40

Rex v Busigo [1945] 12 EACA 60

Shariff v Singh [1961] EA 72

Tarmohamed v IH Lakhaini and Co [1958] EA 567

Taylor v Taylor [1944] 11 EACA 46

Tumaini v Republic [1972] EA 441

United Marketing Co v Hasharn Kara [1963] EA 273

United Marketing Co v Hasharn Kara [1963] EA 276

United Kingdom

Chappell and Co v Nestle Co Ltd [1960] AC 87 – **AP**

Corbett v Corbett [1953] 2 All ER 72

Jones v National Coal Board [1957] 2 QBD 55

King v Robinson [1917] 2 KBD 1098

Metropolitan Properties Co FGC Ltd v Lannon QBD 577

Republic v Cambone Justice ex parte *Pearce* [1954] 2 All ER 850; [1955] 1 QB 41

Republic v Huggius [1895] 1 QB 563

Republic v Justice of Queens Court [1908] 2 IR 282

Republic v Nailsworth Licensing Justice ex parte *Bird* [1953] 1 WLR 1046; [1953] 2 All ER 652

Republic v Sussex Justice ex parte *Mcarthy* [1924] 1 KB 256

Rep v Barnsley Licencing ex parte *Barnsley and District Licensed Victuallers Association* [1960] 2 QB 167

Judgment

Wambuzi CJ: Briefly, the facts in the appeal were that GM Combined (U) Limited the Appellant, brought an action in the High Court against AK Detergent Limited, the First Respondent, for the recovery of lands which were allegedly unlawfully and fraudulently transferred by the First Respondent from the names of the Appellant to the names of the First Respondent. The lands were comprised in seven different leasehold properties at Mbuya.

Particulars of the alleged fraud were:

"(*a*) That the first defendant knew the plaintiff was the owner of the lands.

(*b*) That the first defendant was party to the fraud by lodging transfer instruments while it knew that the alleged transferor had no lawful title in the plaintiff's property to pass to the defendant.

(*c*) The first defendant knew of the defect in title having been put on notice in the local newspaper advert (attached hereto) and a letter to, the director in the plaintiff company, Mr Ally Karmali (copies attached marked "A" and "B" respectively).

(*d*) The first defendant was party to the fraud having paid no consideration for the said lands or any of the company's properties.

(*e*) The first purchaser was not a bidder of the suit property which was the condition of sale thereof if at all.

(*f*) The first defendant made the plaintiff's caveat disappear from the Land Registry to make it appear that the land was not encumbered.

(*g*) The first defendant was party to the fraud by paying a gross under-value for the said land or any of the company's properties.

(*h*) The defendant was party to the fraud when it allegedly paid for the property not defined in the sale agreement allegedly executed by the defendant.

(*i*) The defendant was party to the fraud by not indicating the exact consideration paid for each of the property of the company it is alleged to have paid".

The First Respondent in its defence in the main, averred that it had lawfully purchased for value and

in good faith all the movable and immovable assets of the Appellant in receivership from the duly appointed receivers thereof and the registered titles of the immovable property were duly transferred to the First Respondent which claimed to be in lawful possession and denied any fraud or trespass.

Upon their own application, Development Finance Company of Uganda Limited, the Second Respondent, Fulgencio Mungereza, the Third Respondent, Erieza Kaggwa, the Fourth Respondent and Uganda Development Bank, the Fifth Respondent were joined as Defendants. However, the plaint was not amended to reflect any claim against the four additional Defendants.

Be that as it may, the Second, Third and Fourth Respondents put in a joint written statement of defence claiming that the Appellant was a limited liability company in receivership. They agreed the Appellant was proprietor of the lands in question but alleged the said lands were sold off by the Third and Fourth Respondents under loan agreements and debentures between the Appellant, the Second and Fifth Respondents. They denied any fraud or illegality in the transfer of the properties.

The Fifth Respondent in its defence claimed, it exercised its rights under a debenture whereby receivers were properly and lawfully appointed and that the properties were lawfully sold.

It appears that the Appellant operated a soap factory on part of the suit lands. The factory was set up with funds borrowed by the Appellant from the Second and Fifth Respondents and the loans were secured by debentures and mortgages duly executed by the Appellant in favour of the Second and Fifth Respondents. Two debentures in favour of the Fifth Respondent and on debenture in favour of the Second Respondent were registered at the companies registry but not at the lands registry.

The debentures provided, *inter alia*, for the appointment of receivers/managers to realise assets in the event of default on the loans.

The Appellant defaulted on the loans and the Second and Fifth Respondents jointly appointed the Third and Fourth Respondents to be joint receivers and managers of the Appellant.

Within three months of their appointment, the Third and Fourth Respondents sold the suit lands to the First Respondent under an agreement of sale dated 21 March 1994. The First Respondent was subsequently registered as proprietor of the suit lands on the strength of the transfer instruments or deeds duly executed by the Third and Fourth Respondents in their capacity as receivers and managers of the Appellant.

The Appellant challenged the transfers and sought an order of the High Court cancelling the First Respondent's certificates of title. They also sought general damages for trespass and conversion and an injunction restraining the First Respondent from trespassing onto the suit lands and passing off as owners of the same.

At the trial only one issue was framed. It was whether the transfer of the suit lands to the First Respondent was effectual. But in her judgment, trial Judge took the view that although fraud was not specifically framed as an issue, it was obvious from the way the parties conducted themselves that fraud was left to the court to determine. The Learned trial Judge made the following findings in her judgment:

> "1. That the appointment of the Third and Fourth Respondents as receivers/managers was made not only in accordance with the debentures but also in accordance with section 103(1) of the Companies Act.
>
> 2. That under the debentures the receivers/managers were given broad terms with regard to the recovery of the loans.

3. That the receivers/managers were agents of the Appellant and as such they had power to sign the transfer instrument.

4. That there was a floating charge with was crystallized by the appointment of the receivers/managers.

5. That in case of the floating charge, it had to be supported by an equitable mortgage evidenced by the lodgement of a caveat under section 138 of the Registration of Titles Act because the mortgagor retains the right of redemption of the mortgaged property.

6. That in the instant case, at the time the receivers/managers were appointed no instrument had been registered at the land office in respect of the suit lands, although the suit lands had been brought under the operation of the Registration of Titles Act.

7. That non-registration of the instruments including the debentures, under the Registration of Titles Act, meant that the legal interest or estate remained in the Appellant as the registered proprietor and that the receivers/managers could only sell the Appellant's suit lands if the Appellant authorized them to do so by power of attorney under section 154(1) of the Registration of Titles Act. The receivers/managers could not sell the property under the debentures alone since "debentures were not a law unto themselves".

8. That the Appellant had proved fraud because:

   (*a*) the receivers/managers had sold the suit lands to the First Respondent barely three months after their appointment;

   (*b*) the consideration was not stated on the transfer instrument when it should;

   (*c*) there was no caveat lodged to support the equitable mortgage as required by section 138 by the Registration of Titles Act; and

   (*d*) that each Respondent, but particularly the First Respondent should have testified in defence of the registration of the suit lands into the names of the First Respondent"..

She concluded that the debenture holders could only realize their security by obtaining an order of the court to sell the suit lands as they had not registered the debentures at the land office in order to create a legal mortgage to enable them to convey the legal estate to a subsequent purchaser. Therefore the First Respondent could not claim to have dealt with a registered proprietor and so it had no legal protection. The Learned trial Judge held that there was sufficient evidence on which the court could safely conclude that the Respondents colluded with each other not only to deprive the Appellant of its registered legal estate in the suit property, but also its equitable remedy to redemption. Secondly, the transfer instruments executed by the receivers were of no legal consequence. The Learned trial Judge then allowed the Appellant's suit with costs, granted the injunction and directed the registrar of titles to cancel the First Respondent's registration and reinstate the Appellant as proprietor of the suit lands.

Against this decision the Respondents appealed to the Court of Appeal.

In its memorandum of appeal, the First Respondent had four grounds of appeal, many of which are narrative and argumentative. In summary, they are:

"1. That the Learned trial Judge erred in fact and in law in finding that evidence of fraud had been adduced by the Appellant.

2. That the Learned trial Judge erred in law in shifting the burden of proof to the First Respondent to defend its registration as proprietor of the suit lands.

3. That the Learned trial Judge erred in law by holding:

   (*a*) That the debentures not registered at the lands registry created only equitable charges not enforceable without a court order;

(*b*) That the transfer instruments executed by the receivers were of no legal consequence.

4. That the Appellant had failed to prove its case to the required standard".

In their memorandum of appeal, the Third and Fourth Respondents raised 15 grounds. Again, in summary they were:

"1. No evidence was led to prove fraud.

2. The transfer of the suit property within three months is no evidence of fraud.

3. Fraud was not in issue and was not left to the court to determine.

4. It was wrong to conclude that the First Respondent was registered fraudulently.

5. No evidence of collusion by the Respondents was adduced.

6. It was wrong to conclude that there was no consideration.

7. It was wrong to conclude that the First Respondent had to prove how it got on the register under section 105 of the Evidence Act (Chapter 43).

8. That it was wrong to hold that debentures holders, the Second and Fifth Respondents, had to register the debentures under section 115 of the Registration of Titles Act (Chapter 205).

9. That it was wrong to hold that the Fourth and Fifth Respondents were only equitable mortgagees.

10. That it was wrong to hold that the Appellant had to execute a separate power of attorney in favour of the debenture holders.

11. That the remedy of redemption was not in issue and it was wrong for the trial Judge to delve into it.

12. It was wrong to hold that the Second and Fifth Respondents had to apply to court for foreclosure.

13. That it was wrong to hold that the transfer instruments executed by the receivers were of no legal effect.

14. That it was a misdirection to grant an injunction against the First Respondent.

15. That the Learned trial Judge erred in not following binding decisions".

The Fifth Respondent also appealed on 6 grounds. Again, in summary they are:

"1. The burden of proof was wrongly shifted to the Fifth Respondent;

2. The Learned trial Judge wrongly held that the Fifth Respondent as a debenture holder, committed a fraud in the transfer of the suit lands;

3. The finding of fraud against the Fifth Respondent was wrong;

4. the finding that a debenture registered under the Companies Act (Chapter 85) creates only an equitable interest was wrong;

5. The holding that the receivers could not transfer property without a power of attorney or court order was wrong; and

6. The doctrine of the equity of redemption was wrongly applied".

The Court of Appeal found the following facts not disputed or as having been established:

"1. The suit lands belonged to the Appellant before they were transferred to the First Respondent;

2. That the Appellant borrowed money from the Second and Fifth Respondents although the Appellant's plaint was silent on this point;

3. That the Appellant executed the debentures in question in favour of the Second and Fifth Respondents as security of the loans;

4. That under the debentures, the Second and the Fifth Respondents had the power to appoint receivers/managers in the event of default on the loans by the Appellant; and

5. That under the debentures, once receiver/managers were appointed they would become the agents of the Appellant and they would be entitled to exercise the powers set out in the debentures which included the power to sell the Appellant's charged properties".

On review of the evidence and the law, the Court of Appeal found that the single issue framed by the parties before the trial Judge, whether the transfer of the suit lands into the names of the First Respondent from those of the Appellant was effectual, should have been answered in the affirmative unless it was fraudulent.

The Court of Appeal also found that there was no fraud against any of the Respondents. The court allowed the appeals, set aside the judgment and orders of the High Court and substituted therefore an order dismissing the Appellant's suit against the Respondents awarding costs to Respondents in the Court of Appeal as well as in the High Court. It is against this decision that the Appellant now appeals to this Court. There are 18 grounds of appeal.

The Appellant put in a written submission arguing the grounds of appeal and so did the five Respondents.

As a result of an application by the Respondents, the Learned Kanyeihamba JSC made an order on 30 November 1998 for additional security for costs to be deposited.

A reference was filed on 6 April 1999 to full court to review the single Justice's order. Before the reference was disposed off, other applications were made to the court to withdraw the appeals against the Second, Third, Fourth and Fifth Respondents. Counsel for the Appellant was asked which one of the two applications he wanted heard first, the reference to the full court or the applications to withdraw the appeals against the Second, Third, Fourth and Fifth Respondents and he opted for the applications to withdraw the appeals. The applications were consolidated, heard together and were refused on 22 July 1999 and the appeals against the Second, Third, Fourth and Fifth Respondents stood dismissed.

When this appeal came on for hearing, counsel for the Appellant was asked if in view of the dismissals of the appeals relating to the Second, Third, Fourth and Fifth Respondents he wished to revise the memorandum of appeal. He said he did not except that he had no intention to argue ground 18(*a*), otherwise there was no amendment. Counsel for the First Respondent had no comment.

In their written submissions, counsel for the Appellant Mr Kavuma *Kabenge* argued first, grounds 14, 15, 16 and 17. These grounds are:

"14. The Learned Judges of the Court of Appeal erred in law when they denied the Appellant a fair hearing, resulting in a miscarriage of justice.

15. The Learned Judges of the Court of Appeal erred in law when they injudiciously exercised their discretion and took additional evidence under rule 29 of the Court of Appeal Rules

16. The Learned Judges of the Court of Appeal erred in law and fact when they engaged in injudicious and unjust acts of calling for additional evidence which affected their minds and clouded their vision thereby preventing them from giving the Appellant the proper and fair hearing.

17. The Learned Judges of the Court of Appeal conduct of the Appellant proceedings manifested the existence of a real likelihood of bias that prevented them from giving an impartial and just decision".

What all this amounts to is that the Court of Appeal erred in law in taking additional evidence on its own motion.

Counsel referred to a letter dated 15 July 1998 by the registrar addressed to counsel for the parties in the following terms.

> "I have been directed to inform you that on the day of hearing the said appeal, their Lordships on the coram would like to have a look at the sale agreements in respect of the suit properties.
>
> Therefore whoever is in possession of the said sale agreements should produce them in court on the 20 July 1998. Their Lordships expect counsel for both parties to be heard among other grounds of appeal on the issue of the sale agreements".

In their reply to this letter, counsel stated:

> "We in response wish to highlight to their Lordships that no sales agreement was exhibited or tendered in evidence in the High Court during the trial. Everything that happened in the trial court and all documents relating to the trial proceedings are in the record of appeal and the High Court case file, which were availed or ought to be availed to their Lordships. Further the Appellants submitted their memorandum of appeal advancing several grounds and none touches on the matter of a sales agreement. We accordingly would seek their Lordships' guidance as to what ground of appeal we shall be arguing in order to answer their queries regarding the sales agreement. Additionally, we would like to be advised on the procedure to tender in the sales agreement for their Lordships perusal without requiring counsel to give evidence from the Bar.
>
> Further, in view of the fact that the First and Fifth Appellants submitted written presentation to which the Respondent replied, we feel that rules 97 and 101(*d*) are now applicable. And for the Second, Third and Fourth Appellants, the same procedure would apply, save for the Respondent who opted to make an oral reply and the issue of sales agreement does not arise.
>
> Otherwise, the Appellants are concerned with the trend that this appeal seems to be taking away from the adversarial mode of procedure. And on this point the case of *Jones v National Coal Board* [1957] 2 QBD 55 is very much instructive. Your worship, this case has had a checkered history and any inexplicable trend raises concern to our client. We therefore seek their Lordships' directions on this matter".

At the hearing of the appeal and at the instance of the court, additional evidence was called and the agreement of sale admitted in evidence as Exhibit 1.

Learned counsel submitted that the Court of Appeal had no discretion at all to call for additional evidence on its own without an application by a party under rule 29(1) of the Court of Appeal Rules and the party would be required to show sufficient cause. Learned counsel relied on a number of cases.

In *Taylor v Taylor* [1944] 11 EACA 46 special grounds were required to be shown before a court could allow additional evidence to be taken on appeal. In *Tarmohamed and another v IH Lakhaini and Co* [1958] EA 567 at 574, the party seeking to adduce additional evidence must show that the evidence was not available at the time of trial or could not with reasonable diligence have been procured. The evidence must be credible and have an important influence on the result of the case. Learned counsel also relied on a number of other cases including *Corbett v Corbett* [1953] 2 All ER 72, *Mudasi v Uganda* [1999] 1 EA 31 (SCU).

Learned counsel submitted that the course taken by the Court of Appeal was contrary to the adversarial system applicable in the country, that the court having itself initiated the calling of additional evidence could not properly apply its mind to the requirements for the admission of additional evidence. Reference was made

to the case of *Jones v National Coal Board* (*supra*) and also to *Libyan Arab Uganda Bank v Vassiliadis* civil appeal number 9 of 1985 (UR).

Learned counsel submitted that given the conduct of the Court of Appeal, the Appellant did not have a fair and unbiased trial.

For the First Respondent Learned counsel Mr *Nkuruziza* replied to the arguments of the Appellant in the order in which they were made.

As regards grounds 14, 15, 16 and 17 learned counsel objected to the raising of issues (*a*) and (*b*) as framed by counsel for the Appellant on the ground that they were not canvassed in the Court of Appeal. Those issues were whether the court could call additional evidence on its own motion and the effect of such a course of action. Learned counsel relied on the case of the *United Marketing Co v Hasharn Kara* [1963] EA 276. He submitted that in any case the Court of Appeal had power either to call for or allow the taking of additional evidence. The case of *Shariff v Singh* [1961] EA 72 was relied on. Learned counsel further submitted that from the pleadings and the fact that only one issue was framed, as to whether the transfers were effectual, the Appellant had abandoned the claim of fraud or lack of consideration and that there was no finding by the trial Judge that there was no consideration. Her finding was that it was not stated on the transfer instruments as required by law.

Finally, learned counsel submitted that the receipt of additional evidence *per se* did not constitute bias. In learned counsel's view grounds 14 to 17 should fail. The record in the Court of Appeal as recorded by the Learned deputy Chief Justice indicates that on the day of the hearing and in presence of counsel for the parties, the court said: "We wish to look at the agreement of sale which is referred to on the transfer instrument".

Mr Mubiru *Kalenge*, counsel for the Appellant in the Court of Appeal informed the court that the agreement was being photocopied. The court granted a short adjournment for the purpose. On resumption, Mr Mubiru *Kalenge* first called Mr Mungereza to produce the sale agreements. Apparently, he was the Third Respondent who was joint receiver with the Fourth Respondent. According to his evidence the joint receivers concluded an agreement of sale of the Appellant's property.

There was an objection by Mr *Kalenge*, counsel for the Appellant to the effect that this was the wrong witness to produce the agreement of sale as there was no proof that this was the agreement which was attached to the transfer instruments. Counsel suggested the court had powers to summon the registrar of titles to testify as to the agreement. Mr Mubiru conceded this was the wrong witness and applied for an adjournment to call the registrar of titles. The application was granted. The registrar of titles ultimately produced the sale agreement, which was admitted in evidence as Exhibit 1.

In his judgment the Learned deputy Chief Justice dealt with the matter this way:

> "At the hearing of the appeal, we found it necessary to take additional evidence of Edward Karibwende who had testified for the respondent at the trial and who had tendered in evidence the instrument of transfers (Exhibit P2). On the transfer instrument is space where the consideration for the transaction should have been indicated. However, in that space there is an entry, which reads;
>
> 'See attached agreement of sale'
>
> The agreement of sale was not produced in evidence by Mr Karibwende and yet the matter of consideration became a bone of contention in the case. Counsel for the

> Respondent objected to the evidence being taken as it could prejudice his client's case. He argued that in an adversarial system like ours, courts should not assist parties by way of evidence, but should leave it to the parties to fight it out. We overruled the objection for reasons, which we reserved. I now give my reasons. We were satisfied that the interest of justice demanded that the transfer and the sale agreement be read together in order to decide the matter one way or the other We were fully aware of the good old principle that the Court of Appeal should take additional evidence only in exceptional cases. We are convinced that this was such a case as the evidence was relevant and vital for the proper determination of the issue at hand. It is clear that even counsel for the Respondent was fully aware of the importance of this evidence, hence their submissions (P7) that:
>
> 'Yet still no evidence of any consideration paid was adduced whether at the trial court or appellate court. If the Appellant desires to claim protection as a *bona fide* purchaser, he ought to have sought for additional evidence even on appeal.'(*sic*)
>
> It was for this reason that we overruled the objection and admitted the agreement of sale in evidence".

I must, in the first place and with great respect to those concerned, express my surprise at the informal manner this case was handled at the various stages. In the High Court, the court of first instance, only the First Respondent was sued. Although four other parties were added as defendants and they filed defences dealing with the allegations in the plaint, there was no amendment to the plaint or other pleading either to allege any claims against the additional defendants or to answer any points raised in their defences. It is pretty obvious to me that one reason the four defendants applied to be joined was to protect their interests.

From the amended plaint, amended only to show that there were four other defendants, the Appellant's claim was that the First Respondent's registration as proprietor of the suit lands should be cancelled because the transfer of those lands was unlawful and was obtained by fraud. Particulars of the fraud were given as set out earlier in this judgment.

In their joint written statement of defence, the Second, Third, and Fourth Respondents stated that the suit lands belonging to the Appellant were sold by the Third and Fourth Respondents under loan agreements and debentures between the Appellant and the Second and Fifth Respondents, the terms of which were breached by the Appellant. They alleged that the Third and Fourth Respondents had power to sell. Fraud and illegality in the transfers of the properties were denied. They referred to the circumstances in which the property was sold.

The Fifth Respondent in his defence referred to its rights under the debentures.

On the pleading, only one issue was framed by the parties, which was:

> "whether the transfer of the said lands into the names of the first defendant from those of the plaintiff was effectual".

That was the basis on which the evidence was led. This means in practical terms that any other matters raised in the pleadings were no longer in issue. They were not contested. Fraud had been alleged only against the First Respondent and it had been denied. It was no longer in issue.

Lack of consideration was alleged as part of the fraud only against the First Respondent. It was denied. It was no longer in issue.

I wish to point out here, if I may, that on the Appellant's own pleadings it was admitted that there was consideration for the sale of the suit lands but the price was so low as to be fraudulent on the part of the First Respondent. It is

well established that the courts will not inquire into the sufficiency or adequacy of the consideration as long as there is some consideration. Lord Somrvel of Harrow in *Chappell and Co v Nestle Co* Ltd [1960] AC 87 said:

> "A peppercorn does not cease to be good consideration it if is established that the promisee does not like pepper and will throw away the corn".

These matters, which were not in issue, should not, in my view, have been alluded to in the trial court. I notice some remarks by the trial court on failure by a party to give evidence, but with respect the evidence to be led depends on what the issues are. These are the matters the court is required to answer. Any evidence called is intended to resolve the issues before the court.

Be that as it may, the Court of Appeal found it necessary on its own motion to take additional evidence. The court did not say under what law it took the evidence. It was in the interest of justice to enable the court decide the matter one way or the other. With the greatest respect, justice must be administered according to the law. I think it is well settled that additional evidence is taken on appeal in exceptional circumstances as the Court of Appeal stated. The exceptional circumstances are usually that the evidence was not available at the time of the trial or could not have been obtained using reasonable diligence and that the evidence is credible and likely to influence that result of the case.

The registrar of titles, Edward Karibwende called by counsel for the Second and Third Respondents to produce the sale agreement in the Court of Appeal gave evidence in the trial court. There he was called by the Appellant. In so far as is relevant, this evidence was as follows:

> "… I have come with leasehold register, volume 1491, folio 8 plot 399 Mbuya, Kampala District. The registered proprietor is AK Detergent Uganda Limited. It was registered on 24 March 1994 under instrument 262213. The original proprietor was GM Combined (U) Limited.
>
> Witness is asked to look at instrument 262213 and asked who transferred the lands. It was Kaggwa and Mungereza as joint receivers and managers. It was not the plaintiff who transferred the land. In land transaction, it is the registered proprietor, or his duly appointed attorney who is authorized to transfer land.
>
> An attorney is one appointed by the registered proprietor. There is no other document which appoints an attorney other than power of attorney. Mungereza and Kaggwa did not transfer as attorneys. They transferred by virtue of an appointment dated 13 December 1993. The attached is appointment as receiver and manager by virtue of section 103 of the Companies Act and as holders of debentures registered on 17 July 1985, 28 March 1990, 3 June 1991 and 6 July 1993. The debentures were not registered on the land register The debentures are not on record. Debentures are registerable with us. I have not come across situations where debentures are registered.
>
> Witness is shown a copy of whether it is debenture and he says it is a debenture mortgage. The debenture is registerable as a mortgage. I perceive a debenture to be a charge on the company property. For us we deal with mortgages.
>
> The Registration of Titles Act talks about mortgages as registerable charges on land. If I encounter with a charge not registerable under the Registration of Titles Act (Chapter 205), I will request the presenter to make it fit into the Act like lodging a caveat. The debenture can support a caveat. There is no caveat on the land. The debenture was not registered. Mungereza and Kaggwa were strangers to the register They were not proprietors. A non-proprietor can not transfer property. I know the law, which govern change of proprietorship. Witness is asked to read the provisions of section 91 of the Registration of Titles Act (Chapter 205). The witness is also asked to read section 51 of the same Act.

Kavuma: I pray to tender the transfer instruments and the titles.

Defence: No objection.

Order: Transfer instruments marked Exhibit P1 and the titles Exhibit P2"

It would appear to me that the transfer instruments were produced not to show that there was a sale but to show who had, transferred the land and in what capacity. The case for the Appellant being that the receivers/managers who had effected the transfers had no power to do so. Clearly it was not intended to produce any sale agreements by this witness and in my views and with respect, it is irrelevant that those instruments referred to the sale agreements having regard to the party by which and the purpose for which they were tendered in evidence.

In cross-examination by counsel for the Fifth Respondent the witness said transfer forms have sale agreements attached. If anyone was interested in the sale agreement, there was the witness who had the agreements. He was not asked to produce them.

I am a little uneasy at the course taken by the Court of Appeal in taking the additional evidence in this case, but I need not decide this matter. First as I have already said in this judgment on the pleadings and from the evidence, there is little doubt and indeed the Court of Appeal expressly found that that the Appellant borrowed large sums of money from the second and Fifth Respondents. It defaulted on the loans and its property was sold to recover the money loaned or some of it. In my view it is irrelevant that the amount of money was not stated. The sale apparently was admitted and what was in issue was whether or not the sellers, that is the receivers/managers had the power to do so and whether they had power to transfer the properties sold.

Secondly, if the First Respondent asserts that he is a *bona fide* purchaser the onus is on it to prove the purchase for value. If the Court of Appeal cannot on the evidence make up its mind one way or the other, then the party with the burden of proof has failed to discharge the burden and I do not think that the court should aid such a party to prove its case at that point in the proceedings by clarifying evidence not produced by the party but by the opposite party. It should be noted that an attempt was made to put in evidence an agreement of sale by counsel for the Second Respondent through Patrick Oguli (DW1) at the trial. Admission of the agreement was objected and counsel was allowed by the court to withdraw the application to tender the agreement in evidence. In my view it was not necessary to take the additional evidence and I see no failure of justice as a result of such a course.

Thirdly, in so far as is relevant, section 184 of the Registration of Titles Act (Chapter 205) provides as follows:

"No action of ejectment or other action for the recovery of any land shall lie or be sustained against the person registered as proprietor under the provisions of this Act, except in any of the following cases:

(*a*) …

(*b*) …

(*c*) the case of a person deprived of any land by fraud as against the person registered as proprietor of such land through fraud or as against a person deriving otherwise than as a transferee *bona fide* for value from or through a person so registered through fraud.

(*d*) …

> and in any case other than as aforesaid, the production of the registered certificate of title or lease shall be held in every court to be an absolute bar and estoppel to any such action against the person named in such document as the grantee, owner, proprietor or leasee of the land therein described, any rule of law or equity to the contrary notwithstanding".

It looks to me that the Appellant must prove fraud against the First Respondent in order to impeach the latter's title to the suit lands. The Court of Appeal found quite rightly in my view, that there was no fraud established against the First Respondent. Accordingly, it is unnecessary to inquire into the question whether the First Respondent was a *bona fide* purchaser for value because it did not buy the property from a third party who was registered through fraud.

Fourthly, the witness who produced the additional evidence was called by counsel for the Third and Fourth Respondents. The appeals against these Respondents were dismissed on 23 July 1999 at the instance of the Appellant itself. That being so, the Appellant cannot now argue any of the matters which affect the cases which were dismissed. The issue here is first whether there was a sale or not. Both the Second and Third Respondents said in their evidence and the Court of Appeal found that they sold the property as receivers/managers. The Appellant cannot now question that fact on this appeal against the First Respondent who was not the seller.

For these reasons grounds 14, 15, 16, and 17 should fail.

Next grounds 10, 11, 12, and 13 were argued together. They are:

> "10. The Learned Judges of the Court of Appeal erred in law and fact when they admitted parole and extrinsic evidence of an agreement of sale to prove that the consideration of US$ 1 891 000 given therein was also a term of Exhibit P2.
>
> 11. The Learned Judges of the Court of Appeal erred in law when they improperly and unlawfully admitted inadmissible evidence of a sale agreement.
>
> 12. The Learned Judges of the Court of Appeal erred in law and fact when they held that the interest of justice demanded that the transfer and sale agreement be read together in order to decide the matter one way or the other
>
> 13. The Learned Judges of the Court of Appeal erred when they incorporated into (plaintiff Exhibit 2) the transfer forms extrinsic and inadmissible evidence in a sale agreement (court Exhibit 1)".

In view of my holding on grounds 14, 15, 16, and 17, I do not think I need deal with grounds 10, 11, 12, and 13 which are really different aspects of grounds 14, 15, 16 and 17. I do not follow learned counsels' argument that those grounds raised issues which were not argued in the Court of Appeal because parties had closed their written submissions under rule 97 of the Court of Appeal Rules. The letter of the registrar admitted by counsel both sides clearly states that:

> "Counsel for both parties to be heard among other, grounds of appeal on the issue of the sale agreements".

Indeed objections were raised not only about which witness should produce the agreements but also as to the reception of the evidence at the stage. The latter objection was overruled and reasons were given in the judgment of the court.

Learned counsel argued grounds 1, 2, and 3 together. The are:

> "1. The Learned Judges of the Court of Appeal erred in law and fact when they overruled the trial Judge and instead found that the transfer of the suit lands was effectual.

2. The Learned Judges for the Court of Appeal erred in law and fact when they refused and or failed to apply the law provided in the Registration of Titles Act (Chapter 205) to the transaction of the suit property which is under the operation of the Registration of Titles Act and the authority of the Supreme Court cited and binding upon the court *Nalima v Musoke* criminal appeal number 12 of 1985 (SCU) when they held that debentures which are not registered under the Registration of Titles Act created an interest for the Respondents in the Appellant's suit lands registered under the Registration of Titles Act (Chapter 205).

3. The Learned Judges of the Court of Appeal erred in law and fact when they found that debentures registered under Companies Act (Chapter 85) created a legal mortgage over the suit property, which is registered land under the operation of the Registration of Titles Act".

Ground 1 offends rule 81 of the Rules of this Court in that it does not state in what way the court erred.

Ground 2 also offends the same rule in that it is verbose, narrative and argumentative.

Be that as it may, learned counsel submitted in essence that the suit lands are registered under the Registration of Titles Act (Chapter 205) and accordingly, the Court of Appeal erred in holding the actions over the suit property were not governed by the Registration of Titles Act but by the Companies Act (Chapter 85). That charges registered under the Companies Act cannot affect land registered under the Registration of Titles Act. Learned counsel relied on section 96(6) of the Companies Act defining a debenture holder's interest. The Court of Appeal erred in holding that there was a legal mortgage registered under the Companies Act. Learned counsel submitted that the High Court had applied the correct law, that is the Registration of Titles Act to the transactions over the suit lands and that the Court of Appeal erred in not applying the correct law. Learned counsel referred to sections 3 and 51 of the Registration of Titles Act and argued that debentures not registered under the Registration of Titles Act are not effectual. A number of cases were cited in support of his arguments.

Counsel for the First Respondent supported the judgment of the Court of Appeal and described the interpretation given to section 96 of the Companies Act by counsel for the Appellant as misconceived.

If I understand counsel for the Appellant correctly, the complaint in these three grounds is that the debentures which were not registered under the Registration of Titles Act did not confer authority on the receiver/managers to transfer land registered under the Registration of Titles Act. Learned counsel relied on sections 3 and 51 of the Registration of Titles Act which provide as follows:

"3 Except so far as is expressly enacted to the contrary, no Act or Rule so far as inconsistent with this Act shall apply or be deemed to apply to land whether freehold or leasehold which is under the operation of this Act. This Act shall not be construed as limiting or abridging the provisions of any law for the time being in force in Uganda relating specially to the property of married women.

51 No instrument until registered in manner herein provided shall be effectual to pass any estate or interest in any land under the operation of this Act or to render such land liable to any mortgage; but upon such registration the estate or interest comprised in the instrument shall pass or, as the case may be, the land shall become liable in manner and subject to the covenants and conditions set forth and specified in the instrument or by this Act declared to be implied in

> instruments of a like nature; and, if two or more instruments signed by the same proprietor and purporting to affect the same estate or interest are at the same time presented to the registrar for registration, he shall register and endorse that instrument which is presented by the person producing the duplicate certificate of title".

The point here is that the receivers/managers under debentures, which were not registered under the Registration of Titles Act has no estate to transfer.

The debenture holders were the Second and Fifth Respondents. They appointed the Third and Fourth Respondents as joint receivers/managers who transferred the suit property to the First Respondent. All four additional Respondents applied to be joined as defendants in the High Court as I have already stated to protect their interests. All five Respondents filed written submission in answer to the point raised in the memorandum of appeal as I have already stated in my judgment. The appeals against the Second, Third, Fourth and Fifth Respondents were dismissed at the Appellant's own instance of withdrawing the appeals. In my view, it is not open to the Appellant to raise issues pertaining to the appeals that were dismissed and for these reasons the three grounds should fail. In any case having regard to the provisions of section 184 of the Registration of Titles Act, it does not appear that those are grounds for impeaching the First Respondent's title as I have already observed in this judgment.

Learned counsel for the Appellant then argued grounds 4, 5, and 6 together. They are:

> "4. The Learned Judges of the Court of Appeal erred in law and fact when they refused and or failed to apply the provisions of the Registration of Titles Act and found that the debentures which were not registered under the Registration of Titles Act constituted the third and Fourth Respondents' attorney of the Appellant who could effect transfer of the suit property to the First Respondent.
>
> 5. The Learned Judges of the Court of Appeal erred in law and fact when they held that the transfer and registration of the First Respondent was effected by the Third and Fourth Respondents as receivers/managers of the Respondent with full powers to transfer the Appellant's registered land.
>
> 6. The Learned Judges of the Court of Appeal erred when they found that transfers signed by the Third and Fourth Respondents were of any legal consequence".

These grounds are different aspects of grounds 1, 2, and 3 and would in my view fail for the same reasons.

Grounds 7 and 8 were as follows:

> "7. The Learned Judges of the Court of Appeal erred when they overruled the trial judge's finding of fraud on the part of the first Appellant.
>
> 8. The Learned Judges of the Court of Appeal erred when they found that the First Respondent was a *bona fide* purchaser of the suit property for value without notice or defect in title".

As earlier remarked in my judgment, ground 7 by itself does not identify where the Court of Appeal went wrong. Apparently, this was through the courts finding that the First Respondent was a *bona fide* purchaser, which is ground 8.

In his written submission counsel stated that the Appellant had proved that its property had been transferred fraudulently:

> (*a*) That the properties were transferred by the Third and Fourth Respondents who had no capacity or lacked capacity to transfer the suit property.
>
> (*b*) That the First Respondent had paid no consideration.

Learned counsel submitted that the Appellant was accordingly entitled to an order for the cancellation of the transfers executed upon such acts. Further, that the Appellant had proved that there was no consideration paid by the First Respondent. That accordingly, the First Respondent could not have been a *bona fide* purchaser. Further, that the statement of the amount of consideration was a legal requirement under section 91 of the Registration of Titles Act which was not fulfilled rendering the transaction illegal.

As to (*a*), the transfers of the said lands related to the appeals against the Third and Fourth Respondents which were dismissed and accordingly do not lie against the First Respondent.

As regards (*b*), the issue of consideration has already been dealt with in my judgment whilst considering the other grounds of appeal.

In my view, grounds 7 and 8 must also fail.

Lastly, ground 18 provides:

> "The Learned Judges of the Court of Appeal erred in law and fact when they awarded costs to all the Respondents:
>
> (*a*) When the Second, Third, Fourth, and Fifth Respondents had joined proceedings on their own application.
>
> (*b*) When in setting aside the judgment of the trial court, they based their decision on evidence unilaterally called by themselves.
>
> (*c*) When questions which they considered to set aside the judgment were neither grounds of appeal of the Respondent nor were they the fault of the Appellant".

Learned counsel indicated quite rightly in my view, that he did not intend to argue ground 18(*a*). The issue of taking additional evidence referred to in ground 18(*b*) has been dealt with in considering the other grounds of appeal.

As regards ground 18(*c*), I find nothing new raised in the part of the written submission relating to this ground.

All in all, I would dismiss the appeal with costs here and in the court below.

As the other members of the court agree with my proposed orders, it is so ordered.

Oder JSC: I have had the benefit of reading in draft the judgment of Wambuzi CJ. I agree with him that the appeal should fail. I also agree with the orders proposed by him.

I wish to comment only on the Appellant's criticism against the Court of Appeal regarding the admission of the additional evidence and the allegation of bias against the Appellant by that court.

The facts of the case are so well set out by the Learned Chief Justice in his judgment that I shall not repeat them here, except those I consider to be necessary for my purpose.

These criticisms are made on grounds 12, 13, 14, 15, 16 and 17 of appeal, most of which are repetitions of one another. The additional evidence, the subject matter of the criticism was the sale agreement by which the third and Fourth Respondents sold the suit property to the First Respondent as receivers and managers appointed by the Second and Fifth Respondents as debentures holders. The debentures were executed by the Appellant as security for loans lent to the Appellant by the two last mentioned Respondents. The receivers/ managers transferred the suit property to the First Respondent by a transfer

instrument tendered in evidence at the trial by the Appellant's witness, Edward Karibwende as Exhibit P2. On the transfer instrument was a space where the consideration for the transaction should have been indicated. However, in that space there was an entry which read: "see attached agreement of sale". The agreement of sale was not produced by the Appellant's witness Karibwende at the trial. Nor was it produced by the First Respondent who, in my view, should have done so since it was its case that it was a *bona fide* purchaser of the suit property for value without notice. The agreement of sale stated the consideration paid by the First Respondent and the Appellant knew of its existence. Why then did the Appellant still aver in paragraph 6 and 7 of his plaint that property transferred to it without any title, claim or colour of right, and that the transfer was done fraudulently? The Appellant also alleged absence of consideration to be one of the particulars of fraud on First Respondent's part. The Learned DCJ was justified to say:

> "I cannot comprehend why the Respondent chose to put in evidence the transfer instruments but not the accompanying sale agreement in order to determine the point".

In my view the only inference which can be drawn from this is that the Appellant deliberately omitted to tender the sale agreement to defeat the ends of justice and thereby mislead the court on the important issue of consideration. In the circumstances, my view is that the Appellant should be the last party to complain that the Court of Appeal erred by admitting the agreement of sale as additional evidence.

My next comment in this regard, is that what the Court of Appeal admitted as additional evidence was actually nothing new. It was not new evidence. It was evidence already on record. The sale agreement in question was part of the instruments of transfer, which were already on record. It constituted part of the instruments of transfer and had to be read together with it. In the case of: *Castelino v Rodrigues* [1972] EA 223 it was held by the Court of Appeal that a reference in a document to an annexure incorporates the contents of the annexure in the document. On the basis of this authority, since the Agreement of sale was referred to in the instruments of transfer it contents must be considered to have been incorporated in the instrument of transfer.

In the case of *Rex v Busigo* [1945] 12 EACA 60 the Court of Appeal for Eastern Africa made a distinction between new evidence in a trial and evidence adduced to elucidate evidence already on record. That was a criminal appeal in which that court had to consider the powers vested in the High Court of Uganda to call additional evidence under section 317(1) of the Criminal Procedure Code when dealing with an appeal from a subordinate court. I think that the principle enunciated therein equally applies to the exercise by our Court of Appeal of its discretion under rule 29 of the Court of Appeal Rules.

In *Busigo* case (*supra*), the Court of Appeal for Eastern Africa said this:

> "Realising that such jurisdication must always be exercised with great care (*King v Robinson* [1917] 2 KBD 1098) we are of the considered opinion that this is a proper case for its exercise. Quite apart from the fact that the evidence shall throw light upon the case *King v Robinson* (*supra*) this is not a question of directing new evidence to be taken but merely of directing the elucidation of evidence already on the record. In that respect this case can be distinguished from *Rex v Bachumira* [1936] 3 EACA 40, in which Crown counsel suggested that in the interest of justice this court should send back the case for a retrial or for the taking of further evidence and the court although expressing the view that it had power to do either refused to exercise the power on the

> ground that additional evidence should not be taken to fill a gap in the prosecution case. The facts in that case were that there was no evidence identifying the person named Matundi, who was admitted to hospital seven days after a person of the same name had been stabbed".

I think that the principle stated in that case is applicable to the instant case. The additional evidence taken by the Court of Appeal was not new evidence but evidence taken merely for elucidation of evidence already on record namely the instruments of transfer.

The last point I wish to make regarding the Appellant's criticism of the Court of Appeal for taking additional evidence is that at the trial, only one issue was framed for the trial court's determination. It was whether the transfer of the suit lands to the First Respondent was effectual. This by no means indicated that absence of consideration was an issue.

All in all, I agree with the Learned Deputy Chief Justice when he said this in his judgment:

> "The matter of consideration is easily explained by the fact that the instruments of transfer clearly indicated that the consideration was stated on the sale agreement. I cannot comprehend why the Respondent chose to put in evidence the transfer instruments but not the accompanying sale agreement. I also think that in the circumstances the trial Judge ought to have called for the sale agreement in order to determine the point.
>
> In any case there was incontrovertible evidence of Mr Ogule that the receivers/managers had sold the suit land to the First Appellant. Even in its plaint, the Respondent admits that there was a sale for consideration albeit inadequate. And as Karibwende stated in this court under cross-examination by counsel for the Respondent, the agreement of sale (which he produced in court) shows the consideration as US$ 1 891 000. The Respondent who seems to have deliberately kept this vital evidence out of court cannot be heard to complain about the matter".

In the circumstances, my view is that the Court of Appeal was justified in taking the additional evidence and that it properly exercised its discretion under rule 29 of its Rules.

Regarding the criticism of bias, it is clear that there was no evidence of bias on the part of the Court of Appeal. The allegation of bias arose only out of the exercise by that court of its discretion to call additional evidence under rule 29 of its Rules.

Rule 29(1):

> "(1) On any appeal from a decision of the High Court acting in the exercise of its original jurisdiction, the court may:
>
> (*a*) reappraise the evidence and draw inference of fact; and
>
> (*b*) in its decretion, for sufficient reason, take additional evidence or direct that additional evidence be taken by the trial court".

This rule in my view, does not preclude the Court of Appeal from taking additional evidence on its own motion. As I understand it, the submission of the Appellant's learned counsel mean that because of our adversarial system of litigation, the Court of Appeal was biased because in the instant case the Court of Appeal took additional evidence on its own motion. If such argument were to be upheld by this Court, it would mean that the object of rule 29 would be entirely defeated, because every time the Court of Appeal exercised its discretion on its own motion it would be labelled biased.

In its allegation of bias the Appellant should have shown more evidence than just the fact the Court of Appeal requested for the production of an annexure to a document already on record, which the Appellant itself had omitted to tender in evidence. In his learned treatise *The Discipline of Law* (Butterworth, London, 1979 at 86-87), Lord Denning addressed the question of bias and referred approvingly to what Devlin J (as he then was) said in *Rep v Barnsley Licencing ex parte Barnsley and District Licensed Victuallers Association* [1960] 2 QBD 169, where he set out the standard to be applied on the question of bias:

> "In considering whether there was a real likelihood of bias, the court does not look at the Justice himself or at the mind of the chairman of the tribunal or whoever it may be, who sits in a judicial capacity. It does not look to see if there was a real likelihood that he would, or did, in fact favour one side at the expense of the other. The court looks at the impression which would be given to other people. Even if he was as impartial as could be, nevertheless if right minded persons would think that, in the circumstances, there was a real likelihood of bias, then he should not sit, and if he does sit, his decision cannot stand. Nevertheless, there must appear to be real likelihood of bias. Surmise or conjecture is not enough. There must be circumstances from which no reasonable man would think it likely or probable that the justice or chairman as the case may be, would or did favour one side unfairly at the expense of the other".

In this instant case, the Learned Deputy Chief Justice gave, in my view, sound reasons for admitting the sale agreement as additional evidence. He said:

> "We are fully aware of the good old principle that the Court of Appeal should take additional evidence only in exceptional cases. We are convinced that this was such a case as the evidence was relevant and vital for the proper determination of the issue at hand. It is clear that even counsel for the Respondent was fully aware of the importance of this evidence, hence, their submissions (at 7) that:
>
> 'Yet still no evidence of any consideration paid was adduced whether at the trial or appellate court, if the Appellant desires to claim protection as a *bona fide* purchaser, he ought to have sought for additional evidence. It is for this reason that we overruled the objection and admitted the Agreement of Sale in the evidence'".

It is apparent that the Court of Appeal in exercising its discretion to direct that the sale agreement be tendered in evidence was not moved to favour one side or the other, but rather by a desire to arrive at a just conclusion in the case. Both parties were aware of the sale agreement. That the Court of Appeal was moved by the desire to reach a just conclusion is indicated by the fact that it was not moved by either party to admit the evidence but it moved on its own motion. Further, the Court of Appeal addressed its request for the sale agreement to the parties together not to one party at the expense of the other. The agreement was received in presence of both the parties; and counsel for the Appellant was given an opportunity to address the court on the question of its admissibility. He also cross-examined the witness who tendered the document. In all respects, the conduct of the Court of Appeal appears to have been fair to both parties.

In the circumstances, the allegation of bias against the Court of Appeal was obviously unjustified.

For these and other reasons I would dismiss the appeal with costs.

Tsekooko JSC: I have had the advantage of reading in draft the judgment prepared by my Lord the Learned Chief Justice and I agree that this appeal should be dismissed with costs here and below.

This appeal has interesting features about it. Therefore I will make observations as I concur in the judgment of the Learned Chief Justice.

The appeal is against the judgment of the Court of Appeal delivered on 15 September 1998 by which the court reversed a decision of the High Court. The Appellant company, AK Detergents Limited, originally sued the Respondent company; GM Combined (U) Limited alone, to recover land which was allegedly unlawfully and fraudulently transferred to the Respondent. The plaint was later amended by order of the trial Judge and at the instance of four other parties. Those four other parties were added to the suit as co-defendants. The plaint was amended only by inclusion of the names of these four as parties; the Appellant's claim remained surprisingly in its original form against the First Respondent only and the Appellant did not at all make any claim against the other four parties jointly or severally, or any one of the four parties, even after these four had filed their defences in which they asserted certain rights adverse to the Appellant's claims.

The four parties are the Development Finance Co of Uganda Limited (hereinafter called "DFCU"), Fulgencio Mungereza, Erieza Kaggwa and Uganda Development Bank (hereinafter referred to as "UDB").

The Appellant was the registered proprietor of seven plots of the suit lands situated at Mbuya in Kampala. They are comprised in seven separate individual certificates of title, which were tendered in evidence at the trial. The Appellant operated a soap factory on one of these pieces of land comprised in leasehold register 1362 folio 21. That factory was set up with funds borrowed by the Appellant from the DFCU and UDB. The loans were secured by debentures and mortgages duly executed by the Appellant in favour of DFCU and UDB. The debentures (two in favour of the UDB and one in favour of the DFCU) were registered at the registry of companies but not at the registry of lands. The three debentures and their certificates were put in evidence as Exhibit DVI and further debentures as Exhibit DI and Exhibit DII. The debentures provided, *inter alia*, for the appointment of receivers/managers to realize the DFCU and UDB assets in the event of default on the loans by the Appellant.

The Appellant defaulted on the loans, whereupon DFCU and UDB jointly appointed Mungereza and Kaggwa to be joint receivers and managers of the Appellant. The appointment was made in writing as required under the debentures. Within three months of their appointment Mungereza and Kaggwa sold the suit lands to the First Respondent under an agreement of sale dated 21 March 1994. The agreement was not tendered in evidence during trial but it was produced in the Court of Appeal as Exhibit 1. The First Respondent was subsequently registered as proprietor of all the suit land on the strength of transfer instruments duly executed by Mungereza and Kaggwa in their capacity as receivers/managers of the Appellant. These transfer forms are Exhibit P1 to P7.

The Appellant challenged the transfers and sought an order of the High Court cancelling the First Respondent's certificates of title. The Appellant further sought general damages for trespass and conversion and an injunction restraining the Respondent from trespassing on the suit lands converting and passing off as owners of the same. In its plaint the Appellant's claim against the First Respondent was, in summary, that the latter had fraudulently and without a claim of right acquired the First Appellant's suit lands. Particulars of the alleged fraud were set out in paragraph 7 of the plaint.

Paragraphs 8 and 9 of the amended plaint contained alternative claims which are to the effect that the purported sale and transfer of the suit lands: to the First

Respondent by the receivers/managers was illegal and therefore of no consequence.

The First Respondent's defence was to the effect that it had purchased the suit land from the receivers/managers for value and in good faith and that it had acquired clean titles. Further, the First Respondent denied that it was guilty of fraud or trespass. DFCU, Mungereza and Kaggwa put in a joint statement of defence. UDB filed a separate defence. However, the cumulative effect of the defences of these four was that DFCU and UDB had lawfully appointed Mungereza and Kaggwa, receivers/managers of the Appellant under the debentures following default on the loans by the Appellant. That the Appellant's suit lands had been lawfully sold by Mungereza and Kaggwa in exercise of the powers granted to them by the debentures. Mungereza and Kaggwa had then properly transferred the suit lands to the First Respondent who had paid the full purchase price. Mungereza and Kaggwa contended that they had title to the Appellant's property as receivers/managers of the Appellant under the debentures which were duly executed by the Appellant but whose term the Appellant had breached. Mungereza and Kaggwa also contended that the suit property was not encumbered, that the property had been sold at the best market value obtaining at the time and that the First Respondents bid was the best amongst all bids received by Mungereza and Kaggwa.

At the trial only one issue was framed by trial court for determination. It was whether the transfer of the suit lands to the First Respondent from the Appellant was effectual. It puzzles me that the trial Judge and the parties chose not to frame fraud as an issue at the commencement of the trial although the Appellant had alleged fraud against the First Respondent which fraud was denied.

Be that as it may, the Appellant called one witness, Edward Karibwende (PW1) a registrar of titles. His evidence relevant to issues in his appeal was to the effect that the transfers to the First Respondent were made by Mungereza and Kaggwa, receivers/managers of the Appellant and that Mungereza and Kaggwa were not named on the suit lands' certificates of title as proprietors thereof; that the debentures under which Mungereza and Kaggwa were appointed receivers/managers of the Appellant were not registered at the land registry, that the registrar who effected the transfers of the suit land to the First Respondent must have perused those transfers and accompanying documents and got satisfied that they were in order; that in land transactions, it is the registered proprietor or his duly appointed attorney who is entitled to transfer land; that an attorney is one appointed by the registered proprietor under a power of attorney; that Mungereza and Kaggwa did not transfer the Appellant's lands to the First Respondent as attorneys of the Appellant but as receivers/managers of the Appellant; that the debentures were not registered on the land register as mortgages when they should have been and that no caveat was lodged by anyone on the suit lands.

The First Respondent and UDB did not lead evidence. DFCU, Mungereza and Kaggwa called one witness, Patrick Ogule (DW1), the Legal Manager of DFCU. The gist of his evidence was that when the Appellant defaulted on the loans, DFCU and UDB appointed Messrs Mungereza and Kaggwa joint receivers/managers of the Appellant. The appointment was done under the debentures, which had been registered with the registrar of companies as a charge. The receivers/managers sold the suit lands to the First Respondent in accordance with the provisions of the debentures. The debentures did not refer to

specific properties of the Appellant but referred to all the Appellants immovable properties. In his view the debentures created a fixed charge over all the immovable assets of the Appellant and in particular the freehold and leasehold properties of the Appellant.

Although only one issue was framed for determination as I have already indicated, the Learned trial Judge in the course of her judgment, took the position that although fraud was not framed as an issue for her to determine, it was obvious from the way the parties conducted themselves that fraud was left to the court to determine.

In her judgment the Learned trial Judge made a number of findings. First, that the appointment of Mungereza and Kaggwa as receivers/managers was made not only in accordance with the debentures but also in accordance with section 103(1) of the Companies Act. Second, that under the debentures, the receivers/managers were given broad terms with regard to the recovery of the loans. Third, that the receivers/managers were agents of the Appellant and as such they had power to sign the transfer instruments. Fourth that there was a floating charge which was crystallized by the appointment of the receivers/managers. Fifth, and this finding is of great interest, that in case of the floating charge it had to be supported by an equitable mortgage evidenced by the lodgement of a caveat under section 138 of the Registration of Titles Act (RTA), because the mortgagor retains the right of redemption of the mortgaged property. Sixth, that in the instant case, at the time the receivers/managers were appointed, no instruments had been registered at the land office in respect of the suit lands, although the suit lands had been brought under the operation of the Registration of Titles Act. Seventh, and again this is a remarkable finding, that non-registration of the instruments including debentures, under the Registration of Titles Act, meant that the legal interest or estate remained in the Appellant as the registered proprietor and that the receivers/managers could only sell the Appellant's suit lands if the Appellant authorized them to do so by power of attorney under section 154(1) of the Registration of Titles Act. The receivers/ managers could not sell the property under the debentures alone since "debentures were not a law unto themselves". Eight, that the Appellant had proved fraud because:

(*a*) The receivers/managers had sold the suit lands to the First Respondent barely three months after their appointment;

(*b*) The consideration was not stated on the transfer instruments when it should;

(*c*) There was no caveat lodged to support the equitable mortgage as required by section 138 of the Registration Act; and

(*d*) That each Respondent, but particularly the First Respondent should have testified in defence of the registration of the suit land into the names of the First Respondent.

Regarding fraud in respect of the four co-defendants the Learned Judge expressed herself as follows:

> "If in the process of enforcing the debentures the receivers commit fraud, the plaintiff as the principal is entitled to sue them. They were accountable to it. The plaintiff's plaint was not amended to show that the receivers and debentures holders committed fraud. *It did so by implication when it questioned how the first defendant's name got on the register*. Therefore an explanation was needed to show that the receivers and debenture holders had the right to sell the plaintiff's registered lands without any power of attorney executed for them for that purpose and in a view of the fact that debentures were not registered under the Registration of Titles Act". (emphasis mine)

The Judge concluded that the debenture holders could only realize their security by obtaining an order of court to sell the suit lands as they had not registered the debentures at the land office in order to create a legal mortgage to, enable them to convey the legal estate to a subsequent purchaser. Therefore the First Respondent could not claim to have dealt with a registered proprietor and so it had no legal protection. The Learned Judge then held that the defendants colluded, with each other not only to deprive the plaintiff of its registered legal estate in the suit property but also its equitable remedy of redemption. Consequently the transfer instruments executed by the receivers were of on legal consequence.

She gave judgment for the Appellant. The First Respondent and its four co-defendents appealed to the Court of Appeal, which reversed the decision of the trial Judge. Hence this appeal.

The grounds of appeal and the written arguments submitted in support thereof roundly offend the rules against prolixity (rule 81(1) of the Rules of this Court). The grounds are lengthy and argumentative. I shall consider these grounds in the order in which they were argued by the Appellant and the First Respondent.

At the outset I must state that this appeal was not made any easier when the Appellant withdrew appeal against original Respondents number 2 to 5. As the Appellant withdrew the appeal against the original Second, Third, Fourth and Fifth Respondents, we dismissed the appeal against those Respondents on 22 July 1999 and awarded costs against the Appellant. The withdrawal of the appeal from those four Respondents, resulting in dismissal of the appeal against them, in my opinion adversely affects most of the grounds of the appeal and clouds the appeal itself.

It now, for instance, appears to me that grounds 1, 2, 3, 4, 5 and to some extent ground 6 need to be considered; certainly ground 18(*a*) is now irrelevant. In other words capacity and actions of the Third and Fourth original Respondents to transfer suit land as agents or attorneys of the Appellant with necessary power to effect transfers, are unassailable because that is what the Court of Appeal found and we confirmed this by the dismissal of appeal against these Respondents. Equally, actions of the Second and Fifth Respondents were confirmed when appeals against them were dismissed in consequence of the application to withdraw the appeals.

The written arguments for the Appellant are in six blocks. The arguments first dealt with grounds 14, 15, 16 and 17 as the first block. The second block comprises grounds 10, 11, 12; and 13, the third block contains 1, 2, and 3; the fourth block consists of grounds 4, 5, and ground 6; the fifth block contains 7 and 8, the last and sixth block consists of ground 18.

I shall consider these grounds in order in which they were argued. The first block of ground 14, 15, 16, and 17 are formulated as follows:

> “14. The Learned Judges of the Court of Appeal erred in law when they denied the Appellant a fair hearing resulting in a miscarriage of justice.
>
> 15. The Learned Judges of the Court of Appeal erred in law when they injudiciously exercised their discretion and took additional evidence under rule 29 of the Court of Appeal Rules Direction of 1996, contrary to the adversarial mode of justice administration.
>
> 16. The Learned Judges of the Court of Appeal erred in law and fact when they engaged in injudicious and unjust acts of calling for additional evidence, which

affected their minds and clouded their vision thereby preventing them from giving the Appellant a proper and fair hearing.

17. The Learned Judges of the Court of Appeal conduct of the Appellant (*sic*) proceedings manifested the existence of a real likelihood of bias that prevented them from giving an impartial and just decision".

By these four grounds of appeal, the Appellant claims there was lack of fair hearing and there was bias on the part of the Court of Appeal; that this offended the principle of fair play. The court is accused by Mr *Kavuma Kabenge*, counsel for the Appellant, of failure to observe rules of natural justice regarding fair hearing enshrined in article 28 of the Constitution. The court is accused of calling additional evidence under rule 29 of the Rules of the Court of Appeal without valid reason. That that action is evidence of bias. Counsel for the Appellant cited the following decisions: *Libyan Arab Uganda Bank v Vassiliadis* civil appeal number 9 of 1985 (UR); *Cjok v Uganda* Supreme Court criminal appeal number 33 of 1991*; Taylor v Taylor* [1944] 11 EACA 46*; Tarmohamed v IH Lakhaini and Co* [1958] EA 567 (which lay down principles of admitting additional evidence) and *Morarji v Naresh* civil application number 22 of 1996 (SCU). These cases were cited to support the views that:

(*a*) The discretion by the Court of Appeal to take additional evidence (under rule 29) must be exercised for sufficient reason.

(*b*) That in order to exercise its discretion the indulgence of the court must be sought and the sufficient reason shown by the court.

(*c*) In case of an application to a single judge, a party dissatisfied with such judgment can make a reference to a full court.

(*d*) That evidence of bias on the part of a judge will result in setting aside the trial court judgment by an appellate court.

For the Respondent Messers Mulenga and Karemera, in effect contended, *inter alia*, that the Appellant is precluded at this stage from challenging the competence of the Court of Appeal to call and receive additional evidence on their own. Counsel further argued that the Court of Appeal acted properly in adducing additional evidence and that there is no evidence of bias on the part of the Court of Appeal. Counsel cited *United Marketing Co v Hasharn Kara* [1963] EA 273, *Shariff v Singh* [1961] EA 72 in support. Counsel also referred to *Mbogo v Shah* [1968] EA 93 to support the contention that an appellate court will not interfere in the exercise of discretion by an inferior court unless it is satisfied that the inferior court's decision is clearly wrong because the court has misdirected itself or because it has acted on matters on which it should not have acted or because it has failed to take into consideration matters which it should have taken into consideration and in doing so arrived at a wrong conclusion. Subject to the discussions that follow, I do not accept the contention of Messrs Mulenga and Kalemera that at this level of the proceedings, the Appellant cannot challenge the competence of the Court of Appeal to take additional evidence. The issues raised by the four grounds of appeal can be summarised as follows – Why didn't the parties produce in evidence the sale agreement during the trial of the suit? Was the Court of Appeal right or wrong in admitting the sale agreement under rule 29(1)(*b*) of its Rules? Proceedings show that Appellant's counsel produced the instruments of transfer contained in the space reserved for insertion of consideration the words "see attached sale agreement". No reason was given why he left out the sale agreement. Further proceedings show that when Mr *Mubiru Kalenge*, counsel for the Second, Third and Fourth Respondents half-heartedly attempted

to introduce the sale agreement during the trial, counsel for the Appellant successfully objected.

I am generally not happy about the procedure adopted by the Court of Appeal in producing the sale agreement. Although application to produce the sale agreement was abandoned in the trial court, counsel for Second to Fourth Respondents referred to this sale agreement obliquely in ground 5 of the memorandum of appeal to the Court of Appeal.

Be that as it may, I do not, with respect, accept the contention by Appellant's counsel that because previous Courts of Appeal do not appear to have admitted additional evidence under equivalent of rule 29, therefore the present Court of Appeal should not have adduced additional evidence in the manner it did. I think that this is a sweeping statement. Each appeal will depend on its own fact. *Elgood v Regina* [1968] EA 274 is one of example showing reception of additional evidence by Court of Appeal.

In view of the course adopted by the Appellant in the prosecution of the whole appeal in this Court, I do not agree that in this case production of the sale agreement in the Court of Appeal occasioned injustice to the Appellant.

I have stated that the manner in which the sale agreement was adduced in the Court of Appeal can be criticised. However all the parties agree that there was a sale of the Appellant's properties by Mungereza and Kaggwa and that it is the First Respondent who purchased the property. It was the effectiveness of the transfer of the properties which was contested by the Appellant. The transfers were made by Mungereza and Kaggwa. In the plaint no claim was made challenging the transfers by these two gentlemen. The withdrawal of the appeal in this Court against these two amounts to saying that the actions of Mungereza and Kaggwa in transferring the properties was proper and effective. Therefore in my opinion the imputation of bias against the Court of Appeal, assuming it had a basis, has been overtaken by the withdrawal of the appeal against the original four Respondents.

A discussion of fair hearing is not complete without reference to article 28 of the Constitution. Clauses (2) to (12) are relevant to criminal trials. Clause (1) is general and it reads as follows:

> "28 (1) In the determination of civil rights and obligations or any criminal charge, a person shall be entitled to a fair speedy and public hearing before an independent and impartial court or tribunal established by law".

Clearly this provision requires *inter alia*, that a court which hears any case:

(i) must be fair to all parties;

(ii) must be independent, and

(iii) must be impartial.

To be fair means to act without bias. Similarly to be independent or impartial means that the court should not be biased. If requirement for any court to hear and decide cases fairly and without bias on the part of a presiding officer is not observed, this will normally result in an appellate court upsetting the decision which is based on violation of fairness and or which is based on bias: See *Ojok v Uganda* (*supra*) and *Libyan Arab Uganda Bank v Vassiliadis* (*supra*) explains what is meant by bias. Because Mr *Kavuma Kabenge* dwelt so much on the issue of bias, I here quote a portion of Oder JSC's judgment in the *Libyan Arab Bank* case upon which the same advocate relied.

> "Bias may be established against a person sitting in a judicial capacity on one of two grounds. The first is direct pecuniary interest in the subject matter. The second is bias in favour of one side against the other: See *Metropolitan Properties Co FGC Ltd v Lannon* 1 QBD 577. Bias therefore means a real likelihood of an operative prejudice whether conscious or unconscious. See *Republic v Justice of Queens Court* [1908] 2 IR 282. In considering the possibility of bias, it is not the mind of the Judge, which is considered, but the impression given to reasonable persons. See *Tumaini v Republic* [1972] EA 441. In *Metropolitan Properties Co FGC Ltd v Lannon* (*supra*) Lord Denning said at 599.
>
> In considering whether there was a real likelihood of bias, the court does not look at the mind of the Justice himself or at the mind of the Chairman of the tribunal or whoever it may be who sits in a judicial capacity. The court looks at the impression, which would be given to other people. Even if he was impartial as could be, nevertheless if right minded persons would think that in the circumstances there was a real likelihood of bias on his part, then he should not sit. And if he does sit, his decision cannot stand. See *Republic v Huggius* [1895] 1 QB 563. Nevertheless there must appear to be a real likelihood of bias. Surmise or conjecture is not enough: See *Republic v Cambone Justice, ex parte Pearce* [1955] 1 QB 41 at 48-51; [1954] 2 All ER 850 and *Republic v Nailsworth Licensing Justice ex parte Bird* [1953] 1 WLR 1046; [1953] 2 All ER 652. There must be circumstances from which a reasonable man would think it likely or probable that the Judge would or did favour one side unfairly at the expense of other. The court will not inquire whether he did in fact favour one side unfairly. Suffice it that reasonable people might think he did. The reason is plain enough. Justice must be rooted in confidence; and confidence is destroyed when right-mindeed people go away thinking: the Judge was biased.
>
> Indeed it is a well settled principle that justice must not only be done but must be seen to be done. As Lord Hewart CJ said in an often quoted passage, in *Republic v Sussex Justice ex parte Mcarthy* [1924] 1 KB 256 at 259:
>
> 'a long line of cases shows that it is not merely of some importance but is of fundamental importance had justice should not only be done, but should manifestly and undoubtedly be seen to be done.'
>
> As regards the evidence of bias, the authorities are clear that there must be reasonable evidence to satisfy the court that there was a real likelihood of bias. Objection cannot be taken at everything that might raise a suspicion in somebody's mind or anything which could make fools suspect. There must be something in the nature of a real bias, for instance evidence of proprietary interest in the subject matter before the court or a likelihood of bias based on close association with one of the parties, as was the case in *Tumaini v Republic* (*supra*) in *Republic v Justice of Queen's Court* (*supra*) cited in *Republic v Cambone Justice ex parte Peace* (*supra*)".

Mr *Kavuma Kabenge* contended that the conduct of the Justices of Appeal before and during the hearing abundantly show that there was a real likelihood of bias of an operative prejudice against the Appellants. He based this contention on the following:

(*a*) The failure by the Judges to give a ruling on the objection of counsel for the Appellant against the admissibility of court Exhibit 1.

(*b*) Calling a witness who is later disqualified as wrong witness and another called in substitution.

(*c*) Concocting statement as if made by a witness whereas not viz "Mr Karibwende testified that he had in his possession the bid documents which were presented to this office together with the transfer forms and sale agreement".

(*d*) Reopening the appeal, which had been closed without amending the grounds of appeal, and the issues arising there from.

(*e*) Determining issues placed before them on appeal without hearing the Appellant and adding other issues and in respect of which no opportunity to be heard was given to the Appellants.

(*f*) Making findings on factual issues not placed before the court by the parties viz; that US$ 1 891 000 was the consideration paid for the suit properties.

These contentions are serious but do they constitute bias?

As I said earlier, the admission of the sale agreement is open to criticism. But can it be said that by calling for admitting the sale agreement, the Court of Appeal violated the rules against fair hearing or unbiased determination of disputes? With some reluctance and with respect, I think that the Court of Appeal's decision to admit evidence was uncalled for. I say so because of the following reasons; The sale agreement was known to exit by both parties and the practice under which additional evidence may be adduced was not resorted to. It is very rare that an appellate court allows a party to adduce further evidence in that court and never unless there are exceptional circumstances. See *Taylor v Taylor* [1944] 11 EACA 46; *Mohindra v Mohindra* [1955] 22 EACA 274*; Elgood v Regina* [1968] EA 274; *Tarmohamed v IH Lakhaini and Co* [1958] EA 567.

However because the Appellant withdrew the appeals against the four Respondents whose effect is that the sale and transfer of the properties to the First Respondent by Mungereza and Kaggwa, must be accepted to be valid, there is no injustice, which was occasioned to the Appellant by admission of the sale agreement by the Court of Appeal. Accordingly grounds 14, 15, 16 and 17 must fail.

The second block of grounds of appeal are grounds 10, 11, 12 and 13. These grounds read as follows:

10. The Learned Judges of Court of Appeal erred on law and fact when they admitted parol and extrinsic evidence of an agreement of sale of prove that the consideration of US$ 1 891 000 given therein was also a term of Exhibit P2.

11. The Learned Judges of Court of Appeal erred in law when they improperly and unlawfully admitted inadmissible evidence of sale agreement.

12. The Learned Judges of the Court of Appeal erred in law and fact when they held that the interest of justice demanded that the transfer and sale agreement be read together in order to decide the matter one way or the other.

13. The Learned Judges of the Court of Appeal erred when they incorporated into (plaintiff Exhibit 2) the transfer forms extrinsic and inadmissible evidence in a sale agreement (court Exhibit 1).

In his written arguments, again Appellant's counsel concentrated his criticism on the admission of the sale agreement. In a way I have considered the issues raised by these grounds.

Furthermore, I am not persuaded that a sound basis has been given by the Appellant to impute bias on the part of whole or any member of the Court of Appeal. That court might have improperly exercised its discretion in admitting sale agreement. But I see no evidence of bias.

Accordingly I think that grounds 10, 11, 12, and 13 must fail. I find no need to consider the remaining grounds of appeal.

I would dismiss the appeal with costs here and below.

Karokora JSC: I have had the benefit of reading the judgment in draft prepared by the Learned Chief Justice and I agree with him that the appeal

should be dismissed with costs. I only wish to comment on the aspect of the manner in which additional evidence was admitted.

Counsel for Appellant criticised the Justices of Appeal for having, on their own motion, called additional evidence when no application had been made by Respondent. It was contended for Appellant that the reception of the additional evidence when the court had not been moved was prejudicial to the Appellant's case. In the circumstances of the case, it was contended, that the Learned Justices of Appeal biased themselves on the basis of the new evidence and therefore denied the Appellant its right to a fair and impartial hearing.

The substance of their complaint is contained in the following paragraphs of the memorandum of appeal:

(14) The Learned Judges of the Court of Appeal erred in law when they denied the Appellant a fair hearing, resulting in a miscarriage of justice.

(15) The Learned Judges of the Court of Appeal erred in law when they in judicially exercised their discretion and took additional evidence under rule 29 of the Rules of the Court of Appeal contrary to the adversarial mode of justice administration.

(16) The Learned Judges of the Court of Appeal erred in law and fact when they engaged in injudicious and unjust acts of calling for additional evidence, which affected their minds and coloured their vision thereby preventing them from giving the Appellant the proper and fair hearing.

(17) The Learned Judges of the Court of Appeal conduct of the Appellant proceedings manifested the existence of a real likelihood of bias that preventing them from giving an impartial and just decision.

Counsel for the Appellant submitted in their written submission that the Court of Appeal had no discretion at all to call for additional evidence on its own motion without application by the party under rule 29(1) of the Court of Appeal Rules whereby the applicant would be required to show sufficient cause for being permitted to adduce additional evidence. A number of authorities were cited which the learned Chief Justice has referred to and resolved and so 1 do not find need to repeat them in my concurring judgment.

In support of the reception of the additional by the Court of Appeal, each counsel submitted that the Court of Appeal had powers to do so under rule 29 of the Rules of the Court. Professor *Ssempebwa*, counsel for the Fifth Respondent submitted, rightly in my view, that the sale agreement was not new evidence as alleged by the Appellant, but evidence, which was already on record in the proceedings. I do agree with Professor *Ssempebwa* that the sale agreement was part of the transfer instrument which was already on record, because the transfer instrument had provided, in the space provided for insertion of consideration, "see attached sale agreement". Therefore the sale agreement formed part of the transfer instrument of the property the First Respondent bought from receivers/managers. Professor *Ssempebwa* cited the case of *Jeraj Sharif and Co v Chotai Fancy Stores* [1960] EA 374 where the Court of Appeal for East Africa held that attachments to a document form part of that document and must be read along with the document. He referred to another case of *Castelino v Rodrigues* [1972] EA 223 where the East Africa Court of Appeal went further and held that a reference in a document to an annexure incorporates the contents of the annexure into the document.

On the evidence, it is evident that throughout the record of Appeal it was not disputed that the transfer instrument expressly referred to the sale agreement as being attached to the Transfer Instrument. However, at the trial when an attempt was made by Respondent to introduce the sale agreement for purpose of providing that consideration had been paid by the First Respondent, counsel for the Appellant resisted its introduction in the evidence, but the transfer instruments had for each property expressly stated in the space provided for consideration "see attached sale agreement" instead of stating the amount of money paid as consideration for the property. So the sale agreement was annexed to the transfer instrument for each of the properties, which the First Respondent purchased, from Mungereza and Kaggwa who were joint receivers/managers of the property in issue having been appointed by the Second and Fifth Respondents who were the debenture holders.

It must be noted that from the above cited authorities which I agree with, there is no doubt that the attached sale agreement formed part of the transfer instrument on which it had been attached and had therefore to be read along with the transfer instrument. Furthermore, it is pertinent from the above authorities that a reference in the transfer instrument to sales agreement incorporated the contents of sale agreement, which had been incorporated in transfer instruments. Accordingly the sale agreement was part of the evidence albeit the fact that the Appellant had resisted its introduction in evidence when the relevant witness testified before the trial Judge. In the circumstances, I agree with Court of Appeal that it was entitled to invoke its discretionary powers under rule 29(1)(*b*) of the Court of Appeal Rules of 1996, to have access to this document which had been with held from the trial court by Appellant, although being an annexure to transfer instrument, it was part of the evidence. Paragraph (*b*) of subrule (1) of rule 29 of the Rules of the Court of Appeal expressly empowers the court on its own motion to take additional evidence provided there is sufficient reasons for the court to do so. It is not true, as the Appellant submitted in his written submission that the court could not on its own motion, take additional evidence. The court was empowered by the law to exercise its discretion to take additional evidence, if sufficient reasons existed in order to arrive at a fair and just decision. In the circumstances, the Court of Appeal was perfectly entitled, pursuant to rule 29(1)(*b*) of the Rules of the Court, to order for this evidence to be adduced for purpose of elucidating on it since it was part of the transfer instrument.

The East African Court of Appeal had occasion to discuss calling new evidence at a trial and elucidating on evidence already on record in the case of *Rex v Busigo* [1945] 12 EACA 60. There the Court of Appeal held that the appellate court had jurisdiction, to take in evidence at the appellate stage that elucidates on the evidence already on record, as opposed to the introduction of an altogether new matter, that was never raised or does not emerge at all from the evidence already on record. I find this authority relevant and applicable to this appeal.

For, instance, in the instant case, the sale agreement was already referred to in the transfer instrument and had already been referred to in the testimony of the witnesses at the trial. Therefore, it was not new evidence as Appellant sought to imply in his submission. And as Manyindo DCJ stated in his judgment, I agree that justice demanded that the transfer instrument be read together with the sale agreement.

Furthermore, it must be noted that the Appellant's other argument was that the Learned Justices of Appeal biased themselves on the basis of the new evidence and therefore denied the Appellant its right to a fair and impartial hearing. With due respect to the above submission, I must state that there is nothing to support the Appellants' allegation of bias and unfair hearing. There is evidence on record which shows that both parties were aware of the sale agreement, because the transfer instruments of the properties which the First Respondent bought from the receivers/managers appointed under the debenture, which the Appellant never disputed, stated that for consideration which the First Respondent paid "see the attached sale agreement". The Appellant had claimed that the First Respondent had given no consideration. Yet the transfer instruments had indicated that sale agreement contained the consideration, which the First Respondent had paid. In my view, the Court of Appeal could not sit by and watch a glaring injustice pass when they were looking on, without calling for that evidence which both parties were clearly aware of, on the grounds that our system of justice is adversial.

In my view, justice demanded that the sale agreement had to be read together with the transfer instrument. And I respectfully agree with the judgment of the Deputy Chief Justice on this point at 173 of the record of appeal when he stated as follows:

> "At the hearing of the appeal, we found it necessary to take additional evidence of Edward Karibwende who had testified for the Respondent at the trial and who had tendered in evidence of the instrument of transfer (Exhibit P2). On the transfer instrument is a space where the consideration for the transaction should have been indicated. However, in that space there is an entry, which read, 'see attached sale agreement'.
>
> The agreement of sale was not produced in evidence by Mr Karibwende and yet the matter of consideration became a bone of contention in the case. He argued that in an adversial system like our, courts should not assist parties by way of evidence, but should leave it to the parties to fight it out. We overruled the objection for reasons, which we reserved. I now give my reasons. We were satisfied that the interest, of justice demanded that the transfer and sale agreement be read together in order to decide the matter one way or the other. We were fully aware of the good old principle that the Court of Appeal should take additional evidence only in exceptional cases. We are convinced that this was such a case as the evidence was relevant and vital for the proper determination of the issue at hand. It is clear that even counsel for the Respondent was fully aware of the importance of this evidence, hence their submission (at 7) that:
>
> 'Yet still no evidence of any consideration paid was adduced whether at the trial or appellate court. If the Appellant desires to claim protection as a *bona fide* purchaser, he ought to have sought for additional evidence even on appeal (*sic*).'
>
> That it was for this reason what we overruled the objection and admitted the sale agreement in evidence".

In view of the above and having regard to the fact that the sale agreement was admitted in evidence in presence of both parties under the provisions of rule 29(1)(*b*) of the Rules of the Court after each party had cross-examined the witness, the question of bias against the Appellant would not arise. Furthermore, in my view, the admission of such evidence would not render the hearing to be unfair in favour of the Respondent; especially considering the fact that the sale agreement was evidence, which was already on record with the transfer instrument, which each party knew throughout the trial.

It must be noted that against Appellant's submission of bias and unfair hearing by the Court of Appeal when it admitted additional evidence, Professor *Ssempebwa* counsel for Fifth Respondent, cited Lord Denning in his learned treatise *The Discipline of Law* Butterworths, London 1979 at 86-87 where the learned author addressed the question of bias and cited the dicta of Devlin J in the case of *Rep v Barnsley Licencing ex parte Barnsley and District Licensed Victuallers Association* [1960] 2 QBD 167 where he set out the standards to be applied on question of bias as follows:

> "In considering whether there was a real likelihood of bias, the court does not look at the justice himself or at the mind of the chairman of the tribunal or whoever it may be, who sits in a judicial capacity. It does not look to see if there was a real likelihood that he would or did, in fact favour one side at the expense of the other. The court looks at the impression, which would be given to the other people. Even if he was as impartial as could be, nevertheless if right minded persons would think that, in the circumstance, there was a real likelihood of bias, then he should not sit, and if he does sit, his decision cannot stand. Nevertheless, there must appear to be real likelihood of bias. Surmise or conjecture is not enough. There must be circumstances, from which a reasonable man would think it likely or probable that the justice, or chairman, as the case may be, would, or did favour one side unfairly at the expense of the other".

There is no doubt that the above standards are a reflection of good common sense and would apply here and in my view, when such standards are applied to the instant case, it becomes clear that the Appellant's allegation of bias and unfair hearing against it, would not stand, because each party was well aware of the existence of the sale agreement. Each party fully participated in the bearing of the additional evidence and no allegation of bias and unfair hearing was raised before the Court of Appeal. The witnesses were cross-examined. Clearly on the evidence no reasonable man would say that the Court of Appeal in admitting the sale agreement acted with bias and that it unfairly favoured one side at the expense of the other. The Court of Appeal in admitting the additional evidence did what the law authorized it to do in an appropriate case like this one.

In the result grounds 14,15,16 and 17 would fail.

I would in the circumstances dismiss the appeal and adopt the orders made by Learned Chief Justice.

(Mukasa-Kikonyogo JSC concurred in the judgment of Wambuzi CJ).

For the Appellant:
K Kabenge

For the First Respondent:
Nkuruziza

For the Second, Third and Fourth Respondents:
M Kalenge

For the Fifth Respondent:
Ssempebwa

Government of United States of America v Githongo
[1999] 1 EA 115 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of ruling:	14 July 2000
Case Number:	27/99
Before:	Omolo, Akiwumi and Tunoi JJA
Sourced by:	P Le Pelley
Summarised by:	M Kibanga

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[2] Contract – Variation – Written contract – Party to written contract alleging oral term to vary written contract – Whether written contract may be varied by oral term – Circumstances under which written contract may be varied by an oral term.

[1] Civil procedure – Judgment – Judgment delivered after delay of nine months – Whether delay inordinate – Whether delay denudes judgment of credibility.

Editor's Summary

On 27 December 1987, the Appellant entered into four lease purchase agreements with the Respondent in respect of four properties owned by the Respondent. The Appellants were to exercise their option to purchase within seven years. The Respondent, meanwhile, was negotiating a loan with the Standard Chartered Bank Limited and the Appellant was to pay the rent amount to the bank to defray the loan.

The Respondent's loan application was rejected and the Respondent wrote to the Appellant, telling the Appellant that the Respondent was rescinding the option to purchase because the Respondent had failed to secure loan and that the granting of the loan had been a condition of the lease purchase agreement. In September 1990 the Appellant exercised its option to purchase two of the properties. In February 1993 the Appellant again exercised its option to purchase the two other properties. Both options were rejected by the Respondents. The Appellants filed two suits, one in 1991 and the other in 1996 seeking specific performance by the Respondent.

The Respondent's defence was that the Appellants knew that obtaining the loan by the Respondent was a condition precedent to exercise of the option to purchase. The High Court in a judgment delivered after a delay of about nine months, held in favour of the Respondent and the Appellant moved to the Court of Appeal. The Respondent argued that there was a condition that the Respondent had to first obtain the loan and although this was not expressly indicated in the agreement, both parties were aware of it.

Held – There was nothing in the lease purchase agreement to show that the lease purchase agreement was subject to the Respondent obtaining a loan from the bank. A written contract cannot be amended by an implied stipulation unless it can be said to be mutually intended and necessary to give efficacy to the contract; *Mbururi Matiri and Sons v Nithi Timber Co-operative Society Ltd* [1987] LLR 1512 (CAK) applied. No evidence was produced to show that the lease purchase agreement was dependent on an oral condition.

Obiter: The delay of nearly nine months before delivering judgment by the High Court was inordinate and denuded the judgment of reliability and respectability.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Marabe v Nyamuro [1983] LLR 95 (CAK)

Mbururi Matiri and Sons v Nithi Timber Co-operative Society Ltd [1987] LLR 1512 (CAK) – **AP**

Judgment

Akiwumi JA: It is undisputed that the Appellant, the Government of the United States of America, having been approached by its landlord the Respondent, who was in financial difficulties, entered on 27 December 1987, into four lease purchase agreements with an option to purchase, with the Respondent in respect of four houses which the Appellant was then renting from the Respondent namely, house reference land registration 7158/281, 7158/282, 7185/283 and 7185/284 all on Spring Valley Road, Nairobi. According to the said lease purchase agreements, the Appellant should exercise its option to purchase within seven years from the date of the lease purchase agreements and in any case, not later than 30 September 1994.

The Appellant exercised its option to purchase land registration 7158/281 and 7158/283 by a letter in respect of each house dated 28 September 1990 well within time. In respect of land registration 7158/282 and 7158/284, the Appellant similarly, exercised its option to purchase them within time by letters to that effect dated 5 February 1993. The Respondent having failed to honour his obligation to sell under the relevant lease purchase agreements, the Appellant brought two suits for specific performance against the Respondent to compel him to transfer the four houses to the Appellant. The first suit civil case number 1315 of 1991 dated 25 February 1991, which was in respect of land registration numbers 7158/281 and 7158/283, was consolidated with the second suit civil case number 2040 of 1996 dated 14 August 1996, which was in respect of the remaining houses, land registration numbers 7158/282 and 7158/284. In this respect it is important to draw attention to the applicable written law at the time that the lease purchase agreement were made. This is subsection (3) of section 3 of the Law of Contract Act (Chapter 23) which is as follows:

> "No suit shall be brought upon a contract for the disposition of an interest in land unless the agreement upon which the suit is founded, or some memorandum or note thereof, is in writing and is signed by the party to be charged or by some person authorized by him to sign it".

The Respondent's main defence to the Appellant's suit through his defences and counterclaims respectively dated 14 May 1991, and amended four years later and 12 September 1996, was that even though the lease purchase agreements did not so specifically specify, the option to purchase was only to apply if the Respondent was able to obtain from the Standard Chartered Bank, by way of a loan, the agreed price of the houses upon the execution of the lease purchase agreements, and that the Appellant was well aware of this. This was set out in the amended defence as follows:

> "(*a*) Firstly, under a mistake of fact, namely that the transactions set out in the said agreements would only be implemented and be of effect if the Defendant was granted a loan by the Standard Chartered Bank of Kenya Limited.

(*b*) On the condition that the Defendant would be granted a loan by the said Standard Chartered Bank of Kenya Limited.

(*c*) On the representation by the Plaintiff to the Defendant that it would obtain a loan for the Defendant from the Standard Chartered Bank of Kenya Limited which the Plaintiff would repay in full including interest; and

(*d*) On the mistake of fact of both parties that the sums payable under the said agreements would be sufficient to repay not only the capital sum hereby lent to the Defendant but all interest and costs in respect thereof. The sums were insufficient to repay the loan and interest".

Upon the loan having failed to materialize, the Respondent had purpotedly rescinded the lease purchase agreements. The Respondent further counterclaimed for damages for trespass by the Appellant, and for a declaration that the lease purchase agreements were invalid and unenforceable. It is worth noting that the defence that the lease purchase agreements would only come into effect if, and only if, the Respondent obtained a loan, to be arranged by the Appellant, from the Standard Chartered Bank of Kenya was only introduced some four years after the defence and counterclaim to the first plaint was filed, by way of the amended defence and counterclaim. The introduction of such an important factor in the defence after so many years, smacks suspiciously as an afterthought. By the time the second suit was filed, this afterthought had already become solidified as a defence.

A number of letters which gave the background to the execution of the lease purchase agreements were produced. In his letter dated 18 August 1987, the Respondent welcomed Mr Liebner, an agent of the Appellant, back from holidays and asked for them to meet to "progress the matter of USAID's intention to purchase" the now famous Spring Valley properties. This letter was followed by several letters written by the Respondent between September 1987, and February 1988, to the Appellant confirming the lease purchase agreements of the Respondent's four Spring Valley properties, between the Appellant and the Respondent. Although some of these letters refer to the payment by the Appellant to Standard Chartered Bank, of certain sums of money for the defrayment of the loan that the Respondent hoped to obtain from Standard Chartered Bank, they do not contain anything to show that the lease purchase agreements were dependent on the Appellant obtaining a loan from Standard Chartered Bank for the benefit of the Respondent. Indeed, as appears in the Respondent's letter of 30 December 1987, to the Standard Chartered Bank, it is the Respondent who had submitted an application to the Bank for a loan.

Subsequently, in his letter of 5 January 1988, to Mr Liebner, in which the Respondent referred to his loan application to the Standard Chartered Bank, the Respondent conveyed the following revealing message to Mr Liebner, an agent of the Appellant, which fortifies the proposition that the arrangements between the Respondent and the Appellant were only those set out in the lease purchase agreements which did not require the Appellant to arrange any loan for the Respondent or for the Respondent to obtain a loan from Standard Chartered Bank or for the Appellant to pay in lump sum the purchase price of the Spring Valley properties:

> "They (Standard Chartered Bank) require from you, your undertaking to the Standard Chartered Bank for direct payments of annual rents until the loan has been completely liquidated. They will also want the first annual rent paid direct to them. Please make arrangements so that the first cheque is released to them within this month. You will also provide to them a copy of the lease purchase agreement confirming to them the arrangements between the USAID and myself".

Then in his letter of 20 January 1988, to Mr Liebner, the Respondent having first thanked him "for copies of memorandum of agreement including the lease option to the Spring Valley properties", which he had already executed in the previous December, went on to state that:

> "These leases appear in order except paragraphs 10, 11 and 12 which would have the net effect of reducing the final agreed price between yourselves and myself".

But these paragraphs do not relate to the failure of the Appellant to satisfy the alleged condition of the lease purchase agreements, namely, that the Appellant was to have paid the full purchase price or to have arranged for the Respondent to obtain a loan from Standard Chartered Bank or for the Respondent himself, to have obtained the loan, upon the execution of the lease purchase agreements which had taken place the December before. Neither did the Respondent then revoke the agreements. Indeed, on 9 February 1988, the Respondent had written to Mr Itela of Standard Chartered Bank a letter which if anything, confirmed the position that it was the Respondent who was applying for the loan from the Bank and that the Appellant would only assist the Respondent in repaying this loan by paying directly to the Bank, the annual rentals that were due to be paid to the Respondent under the lease purchase agreements, as and when they became due and not in one lump sum:

> "Dear Mr Itela,
>
> *Lease Purchase Agreement – Spring Valley Properties*
>
> 1. Thank you for a copy of your letter of Ms Ann Dotherow in regard to the matter currently in progress. The amount of sale for these properties has been agreed at KShs 6,5 million. A sum of KShs 1 466 978-20 has been received as the first annual payment by us. The balance therefore required from your Bank is KShs 5 033 021-80. The USAID will confirm this position and give you the letter of irrevocable undertaking *to pay all sums of rent in future direct to your Bank* without further reference to myself. I have in fact given to the USAID my letter of irrevocable undertaking so that they will be in a position *to pay all future rentals direct to the Standard Chartered Bank* without any further reference to myself".

Six days after the Respondent's letter to Mr Itela, the latter on 15 February 1988, wrote to the Respondent that his request, not that of the Appellant, for a loan, had been turned down. The pertinent part of this letter is as follows:

> "Your request for a loan of KShs 5,033 million has been given the necessary consideration but we regret to advise that we are unable to assist at the moment because of the current credit squeeze imposed on the commercial banks by the Central Bank of Kenya".

As regards the assertion in the amended defence that the lease purchase agreement would only be implemented if the Respondent was granted a loan by the Standard Chartered Bank, I would say that, apart from the fact that in my view, this is not supported by evidence, such a crucial condition should have been included in the lease purchase agreements. But this was not done. It was only after the Standard Chartered Bank's inability to grant the Respondent the loan he had requested, that the Respondent for the first time, in his letter of 12 May 1988, to the Appellant, introduced this crucial condition as an integral part of the lease purchase agreements. First, one would have thought that if this crucial condition was a genuine one, the Respondent would not have waited for some three months after he failed to obtain the loan, before purporting to rescind the lease purchase agreements. Secondly, the very wording of this rescission to my mind, smacks of dishonesty. None of the correspondence produced at the trial support this uncandid assertion to the effect that the

condition was an express provision of the lease purchase agreements, which is as follows:

> "As you know it has proved to be impossible to raise the Bank credit which was an integral part of the proposed lease purchase of the above. Consequently the original leases of 14 May 1982, as amended by amendments number 1 dated 9 and 10 May 1987, therefore remain in force".

When it is recalled that in his letter of 16 September 1987, to Mr Liebner, the Respondent had observed that:

> "We agreed for the four houses at Spring Valley a total purchase price of KShs 6,5 million. Although current market prices have been rising since last year when the above price was agreed I still hold to the same price from the USAID for these properties. I believe that our long-term continued harmonious relationship is important and do, therefore, believe it is right for me to hold to the price already agreed previously".

that in his letter of 17 September 1987, to Mr Liebner, the Respondent had in respect of his Spring Valley properties stated that:

> "As I indicated to you it has been confirmed to me that these properties could easily fetch KShs 7 million in the open market today. Despite this I however stick to the figures previously discussed with you",

that in his letter of 13 October 1987, to Mr Liebner, the Respondent had said the following:

> "I have been approached by others for these properties but I have clearly indicated to these others that I would not deal with anybody unless the USAID was not willing to conclude the deal with me. The first offer is therefore to the USAID and until you indicate to me otherwise I will not entertain these others who are desirous of entering negotiations for a possible purchase",

and that in his letter of 30 December 1987, to Mr Itela, the Respondent had made the following assertion regarding the valuation, of his Spring Valley properties:

> "At the meeting with Mr Warren we were requested to send to you our formal application for this loan which we are pleased to formally submit to you. We are also pleased to send herewith valuation reports of these four properties at Spring Valley which are valued in excess of KShs 7,5 million".

It is not difficult for one to come to the conclusion that the Respondent untruthfully exploited the failure to obtain the loan from Standard Chartered Bank in order to break the lease purchase agreements he had with the Appellant so that he could sell his Spring Valley properties at a much higher purchase price and in lump sums than as provided for in the lease purchase agreements.

The foregoing analysis of the state of affairs as obtainable from the documentary evidence produced at the trial is in my view, consistent with the evidence of Mr Liebner and Miss Dotherow both of them agents of the Appellant, that the lease purchase agreements were not dependent upon the Respondent obtaining a loan from Standard Chartered Bank or upon these witnesses ensuring that the Respondent obtained the loan that he sought from the Bank or upon the Appellant paying the full purchase price upon the execution of the lease purchase agreements by the Appellant.

In his evidence, the Respondent quite brazenly stated with respect to the lease purchase agreements that:

> "I still say that the agreement was a mere fiction for the purpose of obtaining a loan. I knew the documents were of no value to me until I got the loan. They were of value (to) USAID as they were important before the loan was released and for Washington

> to release the funds eventually. So far as I was concerned they were only to assist USAID to get processes done. I know that they were a fiction at the time I signed them. All I wanted was to get my funds …".

The Respondent admits that by executing the lease purchase agreements, he took part in a deception which he, I suppose, assumes is a good defence to the Appellant's equitable claim for the specific performance of his part of the bargain. I hold the contrary view. Further on in his evidence, if it is to be believed, which I do not, the Respondent changed his tune when he said as follows:

> "A fiction can be changed. At that time I still expected USAID to release the payment to Standard Chartered Bank in future. I had clearly told Mr Liebner that the lease would be conditional on my (being) granted a loan. However, Mr Liebner told (me) that if that condition were put in the lease, Washington would not accept it. In my earlier dealings it was always a condition that payment would be subject to US Congress voting money. The money was to be released by Standard Chartered. This was not put in the agreement because USAID only pay if US Congress votes money …".

This excerpt from the Respondent's evidence which incidentally talks about things to be done in the future and which now introduces a new verbally conveyed condition, also raises a legal issue whether a written agreement can be dependent on verbal conditions. Assuming that the Respondent himself, had not admitted his wrong doing, that the lease purchase agreements were an exercise in deception in which he had partaken, and which alone, in my view, makes him undeserving of any judgment in his favour, could the validity of the lease purchase agreements be dependent on what the Respondent told Mr Liebner? This Court in the case of *Mbururi Matiri and Sons v Nithi Timber Co-operative Society Limited* [1987] LLR 1512 (CAK), held in the unanimous judgments of Platt, Gachuhi and Apaloo JJA that a written contract cannot be amended by an implied stipulation unless it can be said to be mutually intended and necessary to give efficiency to the contract. In that case the implied stipulation was not even one that arose out of a verbal condition, but one that was contained in the contract under the heading "other conditions". In his judgment, Apaloo JA as he then was, put the matter in his customary succinct manner, thus:

> "The question for consideration in this part of the case, is whether as a matter of law, such stipulation should be implied. The rights and obligations of the parties were founded on their written contract of the 10 November 1984. And if my appreciation of the law on this aspect of the case is correct, no stipulation can be implied in a written contract unless it can be said to be mutually intended and necessary to give business efficacy to the contract. It is clear to me that the Appellant intended to have a refund of his deposit once he provided the Bank guarantee. The difficult question is, on the evidence, can it be said that the society shared that intention? Did it intend to give up its cash security for a bank guarantee? That guarantee was subject to review on the 30 June 1986, just one year of its date and is liable to cancellation on thirty days' notice to the society. As a form of security, it is less advantageous to the society than the cash held. There is nothing in the evidence to which one can point as showing a clear and unambiguous intention on the part of the society to give up its cash guarantee for what was, after all, a paper security. So whatever may have been the Appellant's intention, it is not shown that that was equally the society's. That being so, there is no basis for holding that both parties mutually intended the stipulation contended for on behalf of the Appellant".

I would say that in the present appeal, there is nothing in the evidence which one can point to as showing a clear and unambiguous intention and there is nothing in the lease purchase agreements also to imply this, on the part of the

Appellant, that the lease purchase agreements were a sham and that they were not to become effective unless the Appellant obtained for the Respondent or the Respondent himself, obtained, the loan from the Standard Chartered Bank or unless the Appellant paid the full purchase price. Why should the Appellant burden itself, with paying the full purchase price of the properties when no such money had been voted for it and why should the Appellant when it has an option to purchase within seven years bind itself, to a condition that the Respondent should be granted a loan? So whatever may have been the Respondent's intention, it is not shown that that was equally the Appellant's. Apart from this, there is evidence that the Respondent and the Appellant were clearly *ad idem* and in total agreement that the lease purchase agreements only and not subject to any condition, were to apply. In pursuance of the lease purchase agreements all of which the Respondent admits having signed and was thus bound under them, to discharge his part of the bargain, a first instalment of KShs 288 536 was paid by the Appellant in January 1988, shortly before the Standard Chartered Bank conveyed its inability to give the Respondent the loan he had applied for. And on this point, why should this money have been paid, at all, if the lease purchase agreements were, as the Respondent sought to show a mere fiction of the imagination? Once the Respondent executed the lease purchase agreements, he was bound by them and his invalid rescission would make no difference. Section 73 of the Evidence Act provides that:

> "The admission of a party to an attested document, of its execution by himself shall be sufficient proof of its execution against him, though it be a document required by law to be attested".

And even if oral evidence may under sections 97 and 98 of the Evidence Act (Chapter 80), be accepted to determine whether the lease purchase agreements were dependent on an oral condition, it has not been established by evidence that this was so.

When it is also considered that the lease purchase agreements were for a period of seven years and the options were exercised in 1990 and 1993, it can not be said that the Appellant was guilty of laches especially when if time was of the essence as the Learned Judge of the superior court wrongfully, held, the Respondent himself, did not do anything to dispose of his Spring Valley properties after his insincere and contrived letter of 12 May 1988, in which he in a round about manner, attempted to terminate the lease purchase agreements. We are dealing here with a shrewd and crafty Respondent who rather moved the goal posts as it suited him and who could not have laboured under a mistake of facts. Furthermore, each of the lease purchase agreements contained the following significant clause:

> "It is further understood and agreed between the lessor and the lessee that the lessee has a right to purchase the said property at any time and during any year of the lease term. Memorandum of agreement – amendment 1 of 10 May 1987 in its entirety".

All this does not support the Learned Judge's observation to the effect that time was of the essence since the Respondent was "being pressed to pay off his credits". In this same letter, the Respondent sought cynically to revive the original leases, not to throw the Appellant out so that he could sell his properties quickly, which, in each of the lease purchase agreements had been clearly abrogated as follows:

> "It is understood and agreed between the lessor and the lessee that this document cancels".

The Respondent's letter of 12 May 1988, was followed by another one of 22 December 1988, this time, from the Respondent's Advocate in which the cheques and remittance advices sent by the Appellant and which testified to the fact that the Appellant was performing its part of the bargain, were returned. This letter also sets out the reasons for this namely, that the lease purchase agreements were entered into on the basis and understanding that the Appellant would make immediate payment of the purchase price to the Respondent or that the Appellant would secure for the Respondent a loan that would enable the Respondent to meet his financial commitments. This letter finally, informed the Appellant that they would continue to occupy the Spring Valley properties only as tenants in accordance with the May 1987 lease which would expire in May 1989. Fifteen months later, on 14 March 1990, the Respondent wrote to the Appellant who was still in the Spring Valley properties as follows:

> "Having considered the plan very carefully, I am afraid my view is still that the lease purchase agreements of 7 December 1987 are invalid so far as they give USAID/Kenya an option to purchase any of my properties in question. The invalidity arises out of the frustration of the said agreements so far as they relate to the option to purchase. You will recall that, in all honesty, the agreements were signed between ourselves under an implied condition that I was to receive then immediate payment of KShs 6,5 million being the purchase price for my said properties, and that USAID/Kenya indeed agreed to and did support a scheme whereby Standard Chartered Bank Limited was to loan me the said sum of purchase price with USAID/Kenya undertaking to repay the loan by paying the annual rental sums for the properties directly to Standard Chartered. All this is borne out in the correspondence and the many discussions which you are aware of between USAID/Kenya, myself and Standard Chartered. As it came to be, I was unable to get my purchase price money when Standard Chartered by their letter of 15 February 1988 declined to give the loan on the basis that the Government had imposed a credit squeeze. In those circumstances, the agreements as they relate to the option to purchase were frustrated because of the supervening impossibility of getting my money immediately as was the condition between ourselves as parties to the said agreements, thus making the options invalid. It is on that basis that I will now proceed.
>
> The above notwithstanding, I am willing to accommodate USAID/Kenya in view of our already stated longstanding harmonious relationship on the following conditions …".

I have already expressed my views on "implied condition" and would only say that the facts show that the Respondent could not have been in a great hurry to sell his houses to meet pressing financial commitments.

After hearing the suit, the Learned Judge in a somewhat disjointed judgment held as follows:

> "The current documents are clearly not illegal. The law does not forbid foreign bodies from buying and/or leasing properties in towns. The agreements herein, on their face, are not invalid or unenforceable. However having considered the surrounding circumstances and the fact that one of them is not even signed by the Plaintiff it is clear that they were merely conditional documents and were to come into effect on fulfilment of other conditions, that is to say, lumpsum payment through a loan from the bank. I therefore hold that until the condition was fulfilled, they were invalid agreements and/or voidable. In fact the agreements themselves made this clear in the case of the Plaintiff. My answer to issue number 25 is therefore that the agreements were invalid and/or better still voidable.
>
> As regards issue number 27, namely whether the Plaintiff is obliged to pay purchase price to the Defendant prior to transfer of property, the answer is largely in the agreements. They clearly provide that the balance of purchase price were to be paid

> before the options could be exercised. It is therefore clear that the purchase price had to be paid before the properties were to be transferred to the plaintiff if the implied condition had been complied with. The option could not be exercised, without payment or readiness to do so".

The Learned Judge, after submissions had been made by counsel by 23 December 1997, and relying on his conclusions that the implied condition had not been fulfilled and that the balance of the purchase price was to be paid before the option to purchase could be exercised, which is not the position as contained in the lease purchase agreements, then went on, in his judgment delivered on 1 September 1998, to dismiss the Appellant's suit with costs and entered judgment for the Respondent against the Appellant for trespass for the occupation of the Respondent's Spring Valley properties, for a declaration that the lease purchase agreements were void, unenforceable and/or invalid, and for vacant possession of his Spring Valley properties. This inordinate delay of nearly nine months in delivering his judgment by itself, denudates the judgment of reliability and respectability.

The present appeal is against this judgment. The grounds of this appeal can be summarised as follows: that the Learned Judge's judgment is not an adequate and proper appraisal and evaluation of the evidence before him; that the Learned Judge erred in finding that on the balance of probabilities, the evidence before him was in favour of the Appellant's version of events; that the Learned Judge erred in holding that the lease purchase agreements were voidable at the instance of the Respondent because of the implied condition that the full purchase price would upon the execution of the lease purchase agreements be paid by the Appellant or a bank loan of that amount arranged by the Appellant for the Respondent.

Some of the crucial issues raised in this appeal are issues of facts and it is for the Appellant to satisfy one that the Learned Judge's findings of fact cannot be supported by the facts before him. This is a first appeal and I am entitled to rehear the dispute. I keep in mind of course, that the Learned Judge had the advantage which I have not had, of seeing the witnesses who gave evidence before him. In the case of *Marabe v Nyamuro* [1983] LLR 95 (CAK), Hancox acting JA (as he then was) observed as follows on this point:

> "However a Court of Appeal will not normally interfere with a finding of fact by the trial court unless it is based on no evidence, or on a misapprehension of the evidence, or the Judge is shown demonstrably to have acted on wrong principles in reaching the findings he did".

I have also considered the authorities cited by the counsel in this appeal and I have, as it must now been apparent from my foregoing analysis and evaluation of the evidence, reached the conclusion that the Learned Judge's finding was based on a misapprehension of the evidence before him and upon which he relied in coming, with respect, to his faulty conclusions on the law. In the result, I would allow the appeal, set aside the judgment of the Learned Judge of the superior court and substitute it with an order that the Respondent transfers to the Appellant within ninety days from today, the Spring Valley properties namely, land registration 7158/281, 7158/282, 7158/283 and 7158/284 upon the Appellant depositing with the deputy registrar of this Court for the benefit of the Respondent, any sums that upon the exercise of the Appellant's option to purchase on the dates already identified, may be certified by the deputy registrar of this Court, as due to the Respondent under the lease purchase agreements.

All sums that have been paid by the Appellant to the Respondent in respect of the Respondent's said four Spring Valley properties by way of rent shall be taken into account. If upon the deposit of such sums with the deputy registrar of this Court, the Respondent fails to transfer the said properties to the Appellant as herein ordered, the said properties shall be transferred by the Deputy Registrar of this Court to the Appellant.

The Appellant will have its costs of this appeal.

Omolo JA: I had the advantage of reading in draft form the judgment of Akiwumi JA and I entirely agree with his reasoning and conclusions.

It is clear from a reading of the judgment of the superior court that the Learned trial Judge wholly misapprehended the evidence which was placed before him by the parties. The lease purchase agreements were placed before the trial Judge. None of them contained the stipulation contended for by the Respondent that those agreements were conditional upon the Respondent himself obtaining a loan or the Appellant obtaining a loan on behalf of the Respondent, from the Standard Chartered Bank Limited. True, the Respondent was in need of money from that Bank, but the only thing the Appellant ever offered to do in respect of that need of money by the Respondent was that instead of paying directly to the Respondent the sums due to him under the lease purchase agreements, the Appellant would instead remit the monies to Standard Chartered Bank Limited that is exactly what Ms Ann Dotherow told the Standard Chartered Bank Limited in her letter dated 28 January 1988 to Mr Itela of that bank. In that letter, Ms Dotherow stated:

> "The United States Agency for International Development has just concluded a lease-purchase agreement with Mr Joseph Githongo concerning four residential properties located in Spring Valley. Mr Githongo has informed us that he is entering into an agreement with your bank whereby future payments under the terms of these agreements are to be made directly to you. We have no objection in doing so, but several items are required for us to process payments to your organisation.
>
> (*a*) We will require Mr Githongo's approval in a letter to us to permit processing future payments directly to your bank;
>
> (*b*) Account number to which future payments are to be deposited;
>
> (*c*) The terms of the agreement between yourself and Mr Githongo specifying the amounts and number of years payment is to be made to your organisation.
>
> Upon receipt of this information with certifications by Mr Githongo, we will process future payments per his instructions, with a copy of this agreement to your bank. Please advise if you require any additional information.
>
> Sincerely
>
> B Ann Dotherow
>
> Executive Officer
>
> cc: Mr Joseph Githongo".

As is obvious from the letter itself, it was written after the lease-purchase agreements had been concluded and it was copied to the Respondent. The Respondent did not protest to anyone that no agreements had been concluded or that the agreements were conditional upon Standard Chartered Bank granting a loan to him. Instead, by his letter of 2 February, he told Ms Dotherow:

> "1. I acknowledge with thanks your copy of a letter to Mr Itela of the Standard Chartered Bank Kenya Limited, Moi Avenue dated 28 January 1988 on the above subject.

2. I am pleased to give my firm and irrevocable authority to the USAID mission to pay all future rents directly to the Standard Chartered Bank Kenya Limited as already agreed between all of us. This irrevocable authority to the USAID mission remains in full force until the total sum advanced to me relating to the agreed purchase price is settled in full.

3. I most sincerely hope that this matter will now be concluded shortly and that I will be enabled to draw-down to settle some urgent matters which were the reasons for this particular sale.

Thank you,

Yours sincerely,

JM Githongo".

I have said that the Respondent was obviously in urgent need of money and that was probably why he offered to sell his four properties to the Appellant. But he equally knew that the Appellant was not in a position to pay in a lump sum the agreed purchase price of some KShs 6 million. The inability of the Appellant to pay in a lump sum the agreed purchase price was the reason for the lease-purchase agreements under which the Appellant was to pay by installments.

At the same time, the Appellant himself was arranging for a loan from Standard Chartered Bank. If his intention had been that the sale would only take place in the event that Standard Chartered Bank granted the loan to him, then nothing could have been easier than to put the understanding in the lease purchase agreements. But if that was the Respondent's intention and he kept it to himself, he cannot now be allowed to get out of the agreements due to his private intention kept away from the Appellant. That cannot constitute a mutual mistake; nor can it constitute a frustration of the agreements. I agree with Akiwumi JA that this appeal ought to be allowed with costs on the terms proposed by him.

As Tunoi JA also agrees, the orders of the court on this appeal shall be those proposed in the judgment of Akiwumi JA.

(Tunoi JA concurred in the judgment of Akiwumi JA).

For the Appellant:
Information not available

For the Respondent:
Information not available

Habre International Co Ltd v Kassam and others
[1999] 1 EA 125 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of ruling:	27 July 1999
Case Number:	4/99
Before:	Wambuzi CJ, Karokora, Mulenga, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	M Kibanga

[1] Appeal – Supreme Court – Grounds affirming Court of Appeal decision – Grounds not raised in or considered by Court of Appeal – Whether grounds may be allowed – Rule 87(1) – Supreme Court Rules.

[2] Land – Compensation – Repossession taking place about ten years after the Act came into force – Person giving up property seeking compensation for improvements done – Whether High Court has original jurisdiction to entertain claim – Expropriated Properties Act of 1982 – Regulation 8(1) – Expropriated Properties (Repossession and Disposal) Regulations of 1983.

Editor's Summary

When Asians were expelled from Uganda by Idi Amin's regime in 1972 they abandoned some properties which were consequently allocated to some persons. One such premises was allocated to the Appellants but destroyed by fire in 1985. The Appellants put up new structures.

On 5 January 1992, the former owners sent a notice to the Appellant to vacate the premises under the Expropriated Properties Act of 1982 which came into force on 21 January 1983. The Appellant demanded UShs 70 000 000 as compensation for the improvements they had made on the premises after the fire but the Respondents offered UShs 10 000 000 the Appellant rejected the offer and brought suit in the High Court for UShs 70 000 000 with costs and interest. The Respondents denied the claim and countersued for rent of US$ 7 700.

The trial Judge found for the Appellant for the claimed sum. The Respondents appealed to the Court of Appeal on the grounds that the Expropriated Properties Act of 1982 had prescribed procedure for claiming compensation and the Judge was wrong in relying on a valuation report tendered in evidence to support the Appellants claim.

The Court of Appeal observed that the Expropriated Properties Act of 1982 provided the procedure for claiming thereunder to the Minister and the High Court could only sit in appeal of the Minister's decision. The High Court therefore had no original jurisdiction in the matter and the proceedings before it were a nullity. The Appellant then appealed to the Supreme Court. The Respondents raised three grounds affirming the decision of the Court of Appeal which had not been raised in or considered by the Court of Appeal.

Held – Section 14(1) of the Expropriated Properties Act of 1982 and Regulation 8(1) of Expropriated Properties (Repossession and Disposal) Regulations of 1983 were only applicable to claims for compensations which were presented within 90 days from the commencement of the act. The Appellant's claim did not therefore fall under the aforesaid provisions considering the Act came into force almost ten years before the claim arose; *Matovu v Esmail and others* High Court civil suit number 283 of 1992 (UR) and *Bank of England v Vaglaino Brothers* [1891] AC 107 distinguished.

The Appellant was therefore entitled to file suit since liability to compensate for improvement of repossessed property was, according to section 11(2) of the Act, on the former owner. There was no legal requirement for the Appellant to submit their claims to the Minister.

The grounds raised to affirm the decision of the Court of Appeal were not raised before the Court of Appeal and could not be considered unless they had been raised in cross-appeal; *Shell (U) Ltd v Agip (U) Ltd* [1995] LLR 48 (SCU) applied.

The grounds raised were not seriously raised in cross-examination of the witnesses at the trial and the court was entitled to consider that they were not challenged by the party raising the grounds; *Kabenge v Uganda* Court of Appeal

criminal appeal number 19 of 1997 (UR) and *Sowoabiri and another v Uganda* Supreme Court criminal appeal number 5 of 1990 (UR) approved and followed.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Kabenge v Uganda Court of Appeal criminal appeal number 19 of 1977 (UR) – **APP** and **F**

Matovu v Esmail and others High Court civil suit number 283 of 1992 (UR) – **D**

Mubiru v Uganda [1971] ULR 4

Shell (U) Ltd v Agip (U) Ltd [1995] LLR 48 (SCU) – **AP**

Sowoabiri and another v Uganda Supreme Court criminal appeal number 5 of 1990 (UR) – **APP** and **F**

United Kingdom

Bank of England v Vaglaino Brothers [1891] AC 107 – **D**

Judgment

Wambuzi CJ: I have had the benefit of reading in draft the judgment prepared by Karokora JSC and I agree that this appeal must succeed.

In my view the two grounds of appeal are really one ground that the Court of Appeal erred in law in holding that the High Court had no original jurisdiction to entertain a claim for improvements in respect of property to which the Expropriated Properties Act of 1982 applies.

Section 11(2) of the Expropriated Properties Act provides as follows:

> "Where property or business is returned to a former owner or transferred to a joint venture company or retained by the government in accordance with the provisions of this Act, the former owner or the company or the government, as the case may be, shall be liable to pay for the value of any improvements in such property or business to the person or body that effected such improvement".

There is no doubt, nor is it disputed, that the Respondents being the former owners to whom the premises were returned are under these provisions liable to pay for the value of the improvements. The subsection is, however, silent as to how such value is to be ascertained and claimed.

Regulation 8(1) of the Expropriated Properties (Repossession and Disposal) Regulations of 1983 provides as follows:

> "Any person who has a claim of any interest of whatever description in any property or business affected by the provisions of the Act, other than a claim for repossession or a claim for compensation by a former owner, may within 90 days from the commencement of the Act, lodge such claim with the verification committee by writing under his hand to the chairman of the committee".

The verification committee was set up under regulation 5 and its functions were specified in regulation 7 as follows:

> "7 The verification committee shall advise the Minister on matters relating to the implementation of the provisions of the Act, and, without prejudice to the generality of the foregoing shall,
>
> (*a*) examine and verify the authenticity of each application to repossess property or business;
>
> (*b*) examine and verify the authenticity of documents accompanying each application form;
>
> (*c*) examine and verify the authenticity of claims of any interest of whatever description in property or business for which application to repossess has been made;
>
> (*d*) determine whether any property or business for which an application to repossess has been made is the subject of a caveat, lien, loan, charge, mortgage or any other registered incumbrance in favour of a bank, financial institution or any other lender;
>
> (*e*) examine and verify the authenticity of completing claims for repossession of property or business;
>
> (*f*) identify and advise whether any property or business for which application has been made to repossess, is property or business in which the government may wish to participate; and
>
> (*g*) generally recommend to the Minister how to deal with any property or business affected by the provisions of the Act".

It would appear to me that the main function of the committee according to this rule is to advise the Minister on how to deal with property or business for which an application to repossess has been made having regard to information given under this rule.

It would appear that under regulation 8 any person who had an interest of whatever description in property for which an application for repossession had been made had to lodge the claim to the committee within 90 days of the commencement of the Act. In my view this would not include claims in respect of properties or businesses which have already been repossessed because they are no longer properties or businesses in respect of which an application for repossession has been made.

Further the two courts below do not appear to have addressed the issue of the 90 days period. In the High Court the Learned trial Judge held that this regulation did not apply to any interest relating to value of improvements. In the Court of Appeal the court merely said that the interest had to be lodged within "a specified time". It would appear that claims for improvements relating to property in respect of which an application for repossession had been made had to be made to the verification committee under regulation 7(*c*) and that that claim had to be lodged within 90 days of the commencement of the Act. I cannot see how the Appellant could have lodged the claim which did not exist at the time of the application for repossession, which repossession occurred years after the commencement of the Act, within 90 days of such commencement. I am not aware of any amendment to the law affecting the 90 days period.

I think here I must set out the provisions relating to an application for repossession. Section 3 of the Expropriated Properties Act provides:

> "Any former owner of property or business vested in the government under section 1 of this Act, may within 90 days of the commencement of this Act apply to the Minister in writing, and in such form as may be prescribed for repossession of the property or business".

Under these provisions a former owner was required to apply for repossession within 90 days of the commencement of the Act. During the same period any person within a claim of interest had to lodge his claim with the verification committee.

Section 5 of the Act provides as follows in subsection (1) thereof:

> "On receipt of an application made under section 3 of this Act relating to property or business in which the government does not wish to participate the Minister shall, subject to the provisions of subsections (2) and (3) of this section, after satisfying himself with the merits of the application, issue a certificate authorising the former owner to repossess such property or business".

Subsection (2) and (3) are not relevant to this case. It would appear to me that, firstly the information required under regulation 7 was intended to help the Minister in reaching a decision on the property or business and secondly, as far as values for improvements are concerned, these must be limited to improvements on property in respect of which applications for repossession were made during the specified period of 90 days.

Section 12 of the Expropriated Properties Act reads as follows:

> "In the implementation of this Act, the Minister shall, in matters of valuations be guided by the Board of Valuers established under section 2 of the Properties and Business (Acquisition) Decree of 1975".

It has not been shown that there is any legal requirement for the Minister to determine the value of improvements to property or business payable by the former owner. The Minister may wish to be guided as to the value of improvements payable by the government which is another matter.

There appears to be some confusion with regard to compensation payable under section 12 and the value of improvements under the Act. The value of improvements is not referred to as compensation.

The Respondent gave notice for affirmation of the decision of the Court of Appeal on grounds other than those relied upon by the court. These were in effect:

A. That the Appellant's case was not proved in the High Court;

B. That the Learned trial Judge did not properly evaluate the evidence; and

C. That the decision of the Court of Appeal is sound in law in the circumstances.

With respect, I do not regard the last ground as a ground at all

In grounds 6, 9, 10 and 12 of the memorandum of appeal the Respondent complained to the Court of Appeal against the Learned trial Judge's reliance on the valuation report and the failure by the Appellant to prove its case in the High Court. Unfortunately these matters were not considered as the court held that the High Court had no jurisdiction and that the trial was accordingly a nullity. In the result we do not have the benefit of the views of the court on the issues raised.

In my view this Court can uphold the decision of the Court of Appeal on grounds other than those relied upon by that court but those grounds must be identified. The Court of Appeal did not deal with the issues relating to proof of the claim therefore there is no finding by that court which can possibly assist this Court in concluding that the claim of the Appellant was not proved.

The finding by the High Court on the issue is that the Appellant proved its case and accordingly gave judgment to it. What the Respondent is asking this Court to do is to reappraise the evidence in the High Court and conclude that the Appellant did not prove its case. That in my view would not be affirming the decision of the Court of Appeal, which was that, the High Court had no jurisdiction and the trial was a nullity. It would be making a finding different from the one made by the Court of Appeal to the effect that the court had jurisdiction but that the Appellant failed to prove its case. The result would be that the appeal would be dismissed for failure to prove the claim and not allowed for lack of jurisdiction by the High Court which was the finding of the Court of Appeal. That would be altering the decision of the Court of Appeal not affirming it. The Respondent should have cross-appealed for this purpose.

In the result the grounds for affirmation are misconceived and should fail. I would accordingly allow the appeal set aside the decision and orders of the Court of Appeal and restore therefor the judgment of the High Court. I would grant the costs of the appeal to the Appellant here and in the court below and as the other members of the court also agree with the orders proposed by Karokora JSC, it is so ordered.

Karokora JSC: The Appellants were the Plaintiffs in the High Court. They had claimed UShs 70 000 000 from the Respondents, arising from the development they had carried out on the suit premises which had been allocated to them after the Asians were expelled from Uganda by Amin's regime in 1972. The Appellants had alleged in their plaint that the suit premises which had been allocated to them were destroyed by fire in 1985.

After the destruction of the suit premises, the Departed Asians Property Custodian Board permitted the Appellants to rebuild and construct new structures on the said premises. The Appellants drew plans for the new structures which were approved by Kampala City Council authorities. After completion of reconstruction, the Appellants occupied the suit premises.

Then the Appellants received a letter dated on 5 January 1992, from the Respondents giving the Appellants 90 days notice within which to quit the premises on the ground that the Respondents had repossessed the suit premises pursuant to the provisions of the Expropriated Properties Act of 1982, as the former owners. When they were notified to quit the premises, the Appellants demanded UShs 70 000 000 as compensation for improvements they had carried out on the suit premises after it had been destroyed. The Respondents offered to pay UShs 10 000 000 for any improvement they might have done on the suit premises. The offer was rejected by the Appellants.

The Appellants thereafter brought a suit in the High Court against the Respondents as the former owners who had repossessed the suit property seeking compensation of UShs 70 000 000 for reconstruction of the suit premises after it had been destroyed. They also claimed interest thereon at 40% per annum, costs of the suit and any other relief as the court may deem fit.

The Respondents denied the claims and objected to the suit as being premature since it did not comply with the provisions of The Expropriated Properties Act of 1982 (EPA). They counterclaimed for rent against the Appellants as from the date of repossession on 28 November 1991 to June 1993 at the rate of US$ 700 per month. They therefore claimed US$ 7 700 in areas of rent.

The Learned trial Judge found for the Appellants and held, *inter alia*:

> "… Once improvements or renovations are proved by any normal standards of proof to have been carried out, the ordinary rule of proof applicable to liquidated claims apply and once the court is satisfied, the claim becomes payable. I have already discussed the valuer's detailed report. It is overwhelmingly convincing … Finally I find the Plaintiffs' claim proved to my satisfaction. There will be judgment against the First, Second and Third Defendants in the sum of UShs 70 000 000 with interest at court rate".

The Respondents were dissatisfied with the above decision. They appealed to the Court of Appeal on 12 grounds. However, the appeal was decided upon grounds 2, 3, 5 and 6 which state as follows:

(2) The Learned trial Judge erred in law to rely on the valuation report tendered as Exhibit P4 as evidence in law for purposes of verifying and proving the claim for compensation for renovation rendered on expropriated property whereas the law had specific laid down procedures and a committee to verify such compensation claims prescribed in the EPA.

(3) The Learned Judge should have restricted this claim to the procedure laid down under the EPA by referring the matter to the verification committee.

(5) The Learned Judge erred in law on the facts to hold that in a compensation claim matter for renovation is under the EPA, the normal standard of proof of ordinary rules of proof applicable to liquidated claims apply whereas the law with regard to compensation claims of expropriated properties have been stipulated by statute law and case law.

(6) The Learned trial Judge erred in law to find that the valuation report Exhibit P4 was overwhelmingly convincing as evidence of proof of renovations rendered on the suit premises despite the fact that the valuer had not carried out a physical inspection of the premises not was any information sought from Departed Asians Property Custodian Board as to the nature of renovations required and made by the Plaintiffs".

The above grounds were argued together and the thrust of the argument in those grounds was that whereas section 11(2) of the EPA enjoins a former owner of property to which the EPA applies, to pay for improvements made to such property, the claimant must first submit his or her claim to the verification committee for verification. Mr *Mulira*, counsel for the Respondents had relied on regulation 8(1) of the Expropriated Properties (Repossession and Disposal) Regulation (SI number 6 of 1983) in advancing the above submission. He went further and submitted that upon the receipt of such claims, the Minister responsible for finance with assistance from the Board of Valuers established under section 2 of the Properties and Business (Acquisition) Decree of 1975, determines the value payable for the improvement claimed and communicates the decision to the claimant. It was further submitted that it would be after the claimant is dissatisfied with the Minister's decision that he would seek redress from the High Court by way of appeal under section 14(1) of the EPA of 1982. Mr *Mulira* contended that the High Court had no original jurisdiction over claims for compensation for improvements made to property to which the EPA applies.

After discussing the provisions of section 11(1)(2), 12 and 14(1) of the EPA and regulations 8(1)(2) of SI number 6 of 1983, Okello JA cited with approval the case of *Matovu v Esmail and others* High Court civil suit number 283 of 1992 (UR) in which Ntabgoba PJ, dismissed the plaintiff's claim for refund of money spent on improvements. He went further to state as follows:

> "In that case the plaintiff made some improvements to a property to which the EPA applied. The property was repossessed by the former owner. The plaintiff instituted a suit in the High Court against the former owner claiming a refund of the money which the claimant allegedly spent on the improvements. He had neither submitted his claim to the verification committee for verification as required by law nor was his case by way of appeal. The Learned principal Judge dismissed the suit".

The Learned Justice of Appeal went further to state:

> "I am unable to agree with the argument of Professor Kakooza, learned counsel for the respondent that the High Court has original jurisdiction over such claims, because article 139(1) of the Constitution of Uganda of 1995 and section 16(10) of the Judicature Act 13 of 1996 give the High Court unlimited original jurisdiction in any matter in Uganda. Those provisions, with respect, were cited out of context. Section 14(1) of the EPA is not in conflict with those provisions of the laws cited. It gives to the High Court appellate jurisdiction over the matter. High Court cannot exercise both original and appellate jurisdictions over the matter. There is no question of ouster of jurisdiction of the High Court over the matter".

Finally, the Learned Justice of Appeal held that the High Court had no original jurisdiction to entertain claim for improvement made to property to which the EPA applied. In the circumstances, Okello JA held that the trial before the High Court was a nullity. In view of the above finding, he did not find it necessary to consider the remaining grounds. The Learned Deputy Chief Justice and the Learned Justice Engwau JA, concurred with him *in toto*. Accordingly the court allowed the appeal, set aside the judgment and orders of the trial Judge and substituted a judgment dismissing the Respondent's suit with costs in the Court of Appeal and the court below.

The Appellants filed this appeal on two grounds:

> "(1) That the Justices of Appeal erred in law and in fact when they misconstrued and misapplied section 14 of the EPA of 1982 and regulation 8 of the Expropriated Properties (Repossession and Disposal) Regulations of 1983.
>
> (2) That the Justices of Appeal erred in law and in fact when they decided that the High Court had no original jurisdiction to entertain a claim for improvements made in respect of property to which the EPA 9 of 1982 applies".

Counsel for Appellants in a written submissions, pursuant to provisions of rule 93 of the Rules of this Court, argued in support of the decision of the High Court that under section 11(2) of the EPA, the Respondents as former owners were enjoined to pay for any improvements made to the property before repossession. He submitted that the Court of Appeal was in error when it relied on section 12 of the EPA 1982, which enjoined the Minister to seek guidance from the Board of Valuers established under section 2 of the Decree 11 of 1975 to determine the value of any improvements claimed to have been made to property to which the EPA applies. He contended that under regulation 8(1) of the Expropriated Properties (Repossession and Disposal) Regulations of 1983 (SI number 6 of 1983), the claimant was required to first submit the claim to the verification committee within 90 days from the commencement of the Act. He further contended that the Court of Appeal was in error when it relied on the decision of the High Court in *Matovu v Esmail and others* (*supra*) and concluded that regulation 8(1) of SI number 6 of 1983 applied.

It was submitted for Appellants that the said regulation was inapplicable to the claim of the Appellants, because the Appellants' cause of action accrued to them after the return of the suit property to the former owners, which was on

28 November 1991. And yet, under regulation 8(1) of SI number 6 of 1983 a claim there under ought to have been lodged with the verification committee within 90 days from the commencement of the EPA of 1982. Under the Expropriated Properties Act (Commencement) Order of 1983 the appointed date on which the EPA of 1982 was to come into force, was on the 21 February 1983. Therefore when regulation 8(1) of SI number 6 of 1983 is applied to the facts of the case, 90 days would elapse on 23 May 1983 several years before 28 November 1991 the date of cause of action.

Counsel for Appellants further submitted that the Court of Appeal misconstrued and therefore misapplied regulation 8 of SI number 6 of 1983 in the wording of "claim of any interest of whatever description in any property or business affected by the provisions under the Act", which their submission do not refer to claim under the provisions of section 11(2) of the Act. However, it was further contended that since liability to compensate for improvement was statutory under Act 9 of 1982 then proof of compensation was upon the Appellant. It was therefore contended for Appellants that the Justices of Appeal were in error when they held that the Appellant ought to have submitted their claim to the verification committee and come to the High Court on appeal, if they were dissatisfied with the decision of the verification committee.

Mr *Mulira*, counsel for the Respondents, submitted supporting the decision of the Court of Appeal that the EPA conferred no original jurisdiction upon the High Court to determine disputes involving matters pertaining to compensation for improvements of property repossessed by former owners under the EPA. He submitted that the jurisdiction of the High Court in resolving any controversy pertaining to expropriated properties can be gleaned not only from the reasoning of the Court of Appeal but also from SI number 6 of 1983 and SI number 44 of 1983 that the suit property was one to which the EPA 9 of 1982 applied.

He further submitted that there was no limitation period prescribed that claims against former owners for improvements and renovations of repossessed property arising after 90 days after the EPA 9 of 1982 had come into force would not be handled under the Act, since these claims were automatically handled by the government and nobody else. The evidence in support of the above submission was SI number 8 of 1991 which established the Custodian Board executive committee to advise the Minister in dealing with repossessed properties under the EPA 9 of 1982. Mr *Mulira* further urged that ministerial involvement in the affairs of the expropriated properties left behind by Asians climaxed in section 14 of the EPA which conferred on the High Court appellate jurisdiction from the ministerial decisions. As the suit concerned expropriated properties under the EPA and did not stem from the decision of the Minister, it was misconceived and the suit was rightly dismissed by the Court of Appeal when it did so in reliance on the decision of *Matovu v Esmail and others* (*supra*) as being pertinent to this case.

Counsel for Respondents further submitted that the argument by counsel for Appellants that the High Court had original jurisdiction was tantamount to adding to the EPA together with the regulations made there-under words which were not incorporated either in the Act or the regulations. He contended that section 14 of the Act established the jurisdiction in respect of the abandoned properties. In support of his argument he cited the English case of *Bank of England v Vaglaino Brothers* [1891] AC 107 where Lord Halsbury LC held at 120 *inter alia*:

> "… That construing the statute by adding to it words which are neither found therein nor which could be found in the language of the statute itself, is to sin against one of the most familiar rules of construction, and I am wholly unable to adopt the view that where a statute is expressly said to codify law, you are at liberty to go outside the code so created, because before the existence of that code another law prevailed".

Mr *Mulira* further submitted that section 11 of the EPA pertaining to compensation and settlement is merely declaratory of the rights of the parties. The section contains no procedure for compensation and settlements declared under the section. The mechanism or procedure for assessing, verifying and ultimately endorsing the same are all matters for the implementation of the EPA necessitating ministerial involvement. Section 12 of the Act and SI number 44 of 1983 provide for a verification committee and the Board of Valuers which are the prerequisites for ministerial decision under EPA, which if any of the parties is dissatisfied may lead to an appeal to the High Court. So, he concluded that the Appellants' suit in the High Court was wrongly routed to defeat the very purpose of EPA which ought to have been complied with before the High Court could entertain the claim. In the circumstances, he submitted that the Court of Appeal decision should be affirmed.

Turning to the first ground of appeal, which attacked the Court of Appeal for having misconstrued and misapplied section 14 of the Expropriated Properties Act of 1982 and regulation 8 of the Expropriated Properties (Repossession and Disposal) Regulations of 1983, I think it is necessary to consider the evidence in order to determine whether it was necessary for the Appellants to refer the matter to the Minister. It is apparent from Exhibit P1 that the Respondents communicated to one Dr EA Kajumba Mugana who was in plot 51 Kampala Road that the suit property had been repossessed by the Respondents. A copy of the certificate of repossession from the Minister was enclosed. The Respondents was thereby given 90 days within which the premises had to be vacated from the date of receipt of that letter dated 5 January 1992. The letter Exhibit P1 stated in the last paragraph as follows:

> "Any matter pertaining to this notice or claim can be verified with Ms Mumtaz Kassam at the above address in Kampala".

After receipt of the letter Exhibit P1, the Appellant contacted the Respondents and negotiated for compensation for the improvements and renovations they (Appellants) had carried out in the premises. The Respondents offered to pay UShs 10 000 000 which the Appellants rejected, claiming UShs 70 000 000 compensation.

It must be observed that section 11(2) of the EPA is clear on the payment of compensation. It provides as follows:

> "Where property or business is returned to a former owner or transferred to a joint venture company, or retained by the government in accordance with the provisions of this Act, the former owner or the company or government, as the case may be, shall be liable to pay, for the value of any improvements in such property or business to the person or body that effected such improvements".

Regulation 8(1) of Expropriated Properties (Repossession and Disposal) Regulations of 1983.

> "(1) Any person who has a claim of any interest of whatever description in any property or business affected by the provision of the Act, other than a claim for repossession or a claim for compensation by a former owner, may within

> ninety days from the commencement of the Act, lodge such claim with the verification committee by writing under his hand to the chairman of the committee".

In the instant case, the suit property was returned to the former owners (Respondents). According to the above provisions, the former owners were under a duty to pay compensation for any improvements or renovation the Appellant may have carried out. The Respondents are arguing that the Appellants ought to have submitted their claim for compensation for any improvements on the suit premises to the verification committee, for ministerial decision under regulation 8(1) of SI number 6 of 1983. It was the Respondents' contention that the Appellants could only go to the High Court under section 14(1) of the EPA on appeal from the decision of the Minister under the Act. The Court of Appeal upheld Respondents' contention and consequently held that the purported trial in the High Court was a nullity as the High Court did not have original jurisdiction to hear and determine any claim of compensation for any improvements on the property that was repossessed by the former owner.

With the greatest respect to the Court of Appeal, I think the Justices of Appeal were in error when they held that regulation 8(1) applied to Appellants' claim. According to the provisions of section 11(1) of the EPA of 1982 and Exhibit P1, the Appellants' cause of action accrued after the suit premises were returned to the Respondents. From Exhibit P2 the repossession was granted on 28 November 1991. Yet under regulation 8(1) of SI number 6 of 1983, a claim there-under ought to have been lodged with the verification committee within 90 days from the commencement of EPA 9 of 1982.

I have gone through the amendments that have been made on EPA but have not seen any amendment affecting section 11(2) of the EPA and regulation 8(1) of SI number 6 of 1983 increasing the period beyond 90 days within which claims for compensation under the Act could be lodged from commencement of the Act.

However, the Expropriated Properties Act (Commencement) Order 5 of 1983 the appointed date on which EPA 9 of 1982 was to come into force was on the 21 February 1983. Therefore, considering the provisions of subregulation (1) of regulation 8 of SI number 6 of 1983, there is no way the claim for compensation in respect of the suit property could have been lodged within 90 days from the commencement of the Act, which had come into force almost 10 years before repossession was granted to the Respondents. In the circumstances, there is no way the Appellants would submit his claim to the verification committee under regulation 8(1) of SI number 6 of 1983 when repossession was granted long after the prescribed period of 90 days had expired.

Therefore, in view of the above, there is no doubt that section 14(1) of Act 9 of 1982 and regulation 8(1) of SI number 6 of 1983 were only applicable to claims for compensations which were presented within 90 days from the commencement of the EPA 9 of 1982, but not to claims such as this one, which accrued in 1992, about 10 years after the commencement of Act 9 of 1982.

In the result, ground one of appeal would succeed.

Turning to the second ground of appeal, I think that since the Respondents gave notice to the Appellants that the suit property had been returned to him and advised him to approach him on any matter pertaining to claim or any verification, the Appellants were perfectly entitled to demand compensation

from the Respondents. In my view, this was especially so, when repossession was made long after the commencement of Act 9 of 1982. The question of Appellants claiming compensation for the improvement carried out on the suit premises after the former owners had repossessed the premises in 1991 would not be presented under regulation 8(1) of SI number 6 of 1983, because, claims to be presented under regulation 8(1) were those where repossession were granted within 90 days after Act 9 of 1982 had come into force. In my view, claims such as the claim in question, where repossession was made several years after Act 9 of 1982 had come into force are not governed by regulation 8(1) of SI number 6 of 1983, because section 3 of Act 9 of 1982 had stipulated that any claim for repossession of expropriated properties should be made to the Minister within 90 days.

In my view, a claim for compensation such as this one which was presented several years after 90 days had expired after the commencement of the Act could be filed in any court of competent jurisdiction. Needless to say that since the Appellants could not proceed under Act 9 of 1982 to get refund of the money he had incurred on the improvement of the suit property, he was right to file his claim in the High Court, which under the Constitution, has unlimited original jurisdiction. In my view, the case of *Bank of England v Vaglaino Brothers* [1891] AC 107 was cited out of context, as the claim could not be dealt with under Act 9 of 1982.

Therefore, in my view, the Court of Appeal was in error when they relied on the High Court decision of *Matovu v Esmail and others* (*supra*) where Ntabgoba PJ had dismissed a claim for refund on improvements of the premises which had been repossessed by former owners, on the ground that it had not been placed before the Custodian Board's executive committee and secondly, on the ground that the claim had not been brought by way of appeal from the Minister's decision made pursuant to provision of section 14 of Act 9 of 1982.

What must be observed is that there was no decision by the Minister made under the Act that aggrieved the Appellants against which they could go to the High Court by way of appeal under the section 14(1) of the Act. In my view, since liability to compensate for improvement of repossessed property was, according to section 11(2) of the Act of 1983, on the former owner, then the aggrieved party was at liberty to institute a suit in the High Court and prove what was due to him applying the ordinary rules of proof in any civil suits, claiming liquidated amounts. I cannot see any legal requirement for the Appellants to submit their claim to the Minister.

In the result, ground two would succeed.

Pursuant to rule 87(1) of the Rules of this Court the Respondents filed a notice of additional grounds for affirming the decision on the grounds other than those relied upon by the Court of Appeal.

There were 3 grounds which were raised namely:

"1. That the Appellants' case was not proved in the High Court.

2. That the trial Judge did not give proper consideration to the evidence of the defence balancing it against that of the Plaintiffs' but formed her opinion independently and therefore become obliged to reject the Respondent/Defendant's case.

3. That the decision of the Court of Appeal was sound in law in the circumstances".

Arguing these grounds Mr *Mulira*, counsel for Respondents, complained that the Appellants had not proved its case in the High Court. Firstly it was argued that where documentary evidence was tendered not by the person who made the entries or signed the document, such a person cannot prove the accuracy of entries or documents if their validity is disputed. He cited the case of *Mubiru v Uganda* [1971] ULR 4 where it was held, *inter alia*, that with a few specific exceptions, the evidence of the contents of a book or document is not admissible if the book or document is not produced in evidence and that book or document must usually be produced by the person who made the entries or signed the document. Although a person in custody of the document in the ordinary course of business may produce such documents, that person cannot prove accuracy of documents or entries if their validity is disputed.

Secondly, it was contended that it was the duty of a court to critically examine all the evidence before it whether such evidence is given by an expert or any other witness.

Thirdly, although the Court of Appeal rested its decision on the appellate jurisdiction of the High Court on matters pertaining to compensation by former owners upon repossessed property under Act 9 of 1982, nevertheless if the court had treated the evidence as a whole to fresh and exhaustive scrutiny which the Respondents were entitled to expect, it would have come to the inescapable conclusion that the suit in the High Court was not proved. Mr *Mulira*, therefore submitted that the Supreme Court is called upon to subject the entire evidence to the exhaustive scrutiny that should have been accorded by the Court of Appeal. He contended that the evidence of PW2 which revolved around the valuer's report had not been given by PW2 and that therefore he could not prove the accuracy of that report.

Another point which was raised concerning the valuer's report was that the survey report was commissioned and made 2 months after the plaint was in place. Clearly this shows that it was made to please whoever commissioned it.

On the notice of additional grounds for affirming the decision on grounds other than those relied upon by the Court of Appeal it was submitted for Appellants that the issue raised in ground one of whether or not the Appellants had proved their case in the High Court, was a new issue raised in this Court. It was never raised before the Court of Appeal. It was argued that the arguments in support of additional grounds 1 and 2 have the effect of criticising the trial Judge for not properly evaluating the evidence adduced in proof of the Appellants' claim, which was not considered by the Court of Appeal. It was further submitted that the issue of re-evaluating the whole evidence would be properly considered if they were raised in a cross-appeal. For the above proposition, counsel referred us to the case of *Shell (U) Ltd v Agip (U) Ltd* [1995] LLR 48 (SCU) where the Learned Chief Justice while dealing with what can be argued as additional grounds held *inter alia*:

> "In my view, all the three grounds 1, 2 and 4 really are the same grounds expressed differently, should have been grounds in a cross-appeal which would have enabled this court to re-evaluate the evidence and come to its own conclusion. In my view a decision can be upheld on different grounds only if there is a finding made or evidence accepted by the trial court if a fact which can support the decision but which was not relied upon by the lower court".

I respectfully agree with the Learned Chief Justice's view on the position of the law as above stated.

The grounds being raised here by the Respondents appear to be grounds of appeal against the decision of the trial Judge. The decision of the High Court was to the effect that the Appellants had proved their case and accordingly, judgment had been given in their favour.

The thrust of grounds 1 and 2 in the notice of additional grounds for affirming the decision on the grounds other than those relied upon by the Court of Appeal is that the Appellants had not proved their case in the High Court and secondly, that the trial Judge had failed to evaluate and balance the defence evidence as against that of the Appellants. What the Respondents are asking us to do is to reappraise the evidence adduced before the High Court and conclude that the Appellants never proved their case.

In my view, if we were to uphold that submission, that would not be affirming the decision of the Court of Appeal which was to the effect that the High Court lacked jurisdiction and that therefore, the trial was a nullity. We would, in effect, be making a finding that the High Court had jurisdiction to hear the case but that the Appellants had failed to prove the case, which would be a different finding from the one which the Court of Appeal had made. We would therefore not be affirming the Court of Appeal decision.

These grounds were never considered by the Court of Appeal and no finding on them was made. They probably could be considered by this Court, if they came here by way of a cross-appeal, which is not the case. Ground 3 of these grounds is not a ground worth considering.

Moreover, the complaint raised in grounds 1 and 2 of grounds for affirming the decision of the Court of Appeal were grounds which were not seriously raised in cross-examination of those witnesses who testified before the trial court. It is trite law, see *Kabenge v Uganda* Court of Appeal criminal appeal number 19 of 1977 (UR) and *Sowoabiri and another v Uganda* Supreme Court criminal appeal number 5 of 1990 (UR) where the then Uganda Court of Appeal and the Supreme Court respectively held that:

> "Whenever the opponent has declined to avail himself of the opportunity to put his essential and material case in cross-examination it must follow that he believed that the testimony given could not be disputed at all. Therefore, an omission or neglect to challenge the evidence-in-chief on a material or essential point by cross-examination would lead to the inference that the evidence is accepted subject to its being assailed as inherently incredible".

It is apparent from the record that the Respondents never seriously challenged the essential and material evidence of the Appellants' case in cross-examination of PW1, PW2 and PW3 when they testified before the trial court. I would infer that the omission by the Respondents to seriously challenge the evidence-in-chief on the material or essential points by cross-examination would lead to the inference that the Appellants' evidence before the trial Judge was accepted.

In the result, grounds 1 and 2 of the notice to affirm the decision of the Court of Appeal must fail.

I would therefore allow this appeal, set aside the judgment of the Court of Appeal and restore the judgment of the High Court. I would award costs of this appeal and in the courts below to the Appellants.

Mulenga JSC: I had the benefit of reading, in draft, the judgments prepared by Karokora JSC and Wambuzi CJ. I agree with them that this appeal should succeed. With the greatest respect to the Court of Appeal, my considered view is that

it is a misconception of the law to hold, as it did, that the High Court has no "original jurisdiction" to entertain a claim for improvements made to property to which the Expropriated Properties Act applies. I think the purport of section 14(1) of that Act was misapplied if not misconstrued. In the leading judgment, Okello JA said:

> "I am unable to agree with Professor Kakooza, learned counsel for the respondent, that the High Court has original jurisdiction over such claims because article 139(1) of the Constitution of Uganda of 1995 and section 16(10) (*sic*) of the Judicature Act 13 of 1996 give the High Court unlimited original jurisdiction in any matter in Uganda. Those provision, with respect were cited out of context. Section 14(1) of the EPA is not in conflict with those provisions of the laws cited. It gives to the High Court appellate jurisdiction over the matter. High Court cannot exercise both original and appellate jurisdiction over the matter. There is no question of ouster of jurisdiction of the High Court over the matter.
>
> For those reasons I agree that the High Court has no original jurisdiction to entertain claim for improvements made to property to which the EPA applies. *The trial in this case was therefore a nullity*". (emphasis added)

With respect to the Learned Justice of Appeal, there are inaccurate and irreconcilable statements in this passage. It cannot be correct to say that the provisions of the Constitution and the Judicature Act which vest in the High Court its jurisdiction "were cited out of context" when the core issue in the appeal, and on which the appeal was decided, was whether or not the High Court had jurisdiction to entertain the Appellant's claim. It also seems to me inconsistent and irreconcilable to say, on the one hand, that there is no question of ouster of jurisdiction of the High Court over the matter, and, on the other hand, to hold subsequently that the trial of that matter by the High Court was a nullity on the ground that the High Court had no jurisdiction. That would have made some sort of sense if the contention was that the unlimited original jurisdiction vested in the High Court by the Constitution and the Judicature Act, over all matters in Uganda, does not extend to such matters as the Appellant's claim. However, that is not the contention in the judgment; and even if it was, it would not be sustainable. In the said leading judgment it appears to be implied that in respect of matters in issue the original jurisdiction of the High Court was replaced by an appellate jurisdiction vested by the Expropriated Properties Act of 1982.

The original jurisdiction vested in the High Court by the Constitution, however, is not only stated to be unlimited but it does not permit of being substituted varied or modified, save that it is subject to other provisions of the Constitution. Article 139 of the Constitution provides:

> "(1) The High Court shall, subject to the provision of this Constitution, have unlimited original jurisdiction and such appellate and other jurisdiction as may be conferred on it by this Constitution or other law.
>
> (2) Subject to the provisions of this Constitution and any other law, the decisions of any court lower than the High Court shall be appealable to the High Court".

It is clear from the foregoing that a distinction is made between the "unlimited original jurisdiction" and the "appellate and other jurisdiction". While the latter is subject to the provisions of the Constitution, and may be conferred by the Constitution as well as other law, the former is only subject to provisions of the Constitution. There are two categories of provisions of the Constitution which the provisions of article 139 are subject to the first category are the provisions of the Constitution which vest original jurisdiction in a body other than the High Court. Clear examples of this category are provisions of article 137(1) which vest original jurisdiction to determine any question as to the interpretation of the Constitution, in the Court of Appeal sitting as the Constitutional Court.

The other clear example is article 104(3) which gives to the Supreme Court the exclusive jurisdiction to inquire into and determine a petition challenging the election of the President. The second category which article 139 is subject to are provisions for amendment of the Constitution. The Constitution may be amended to alter the jurisdiction of the High Court. Clearly, the provisions of the Expropriated Properties Act and of the regulations made thereunder relating to the jurisdiction of the High Court, do not fall in either category. Needless to say, they are neither Constitutional provisions to which article 139 is subject, nor provisions amending the Constitution. The provision of section 14(1) of the Expropriated Properties Act to the effect that a person aggrieved by the Minister's decision under the Act, may appeal to the High Court, cannot be construed as in any way affecting the original jurisdiction of the High Court. Secondly, in my opinion, the provisions of the Expropriated Properties Act of 1982, and the regulations made thereunder do not vest in the Minister judicial functions. The sum total of those provisions, is to empower the Minister to administer the provisions of the Act, by returning the expropriated properties to the former owners and to administratively ascertain the value of improvements done on such properties, by a person claiming for such value. It seem to me that the Minister is not thereby given judicial jurisdiction to settle disputes as a court of law does. In the premises, I would opine that the "appeal" against a decision made by the Minister under the Act stipulated in section 14(1) of the Act is not a judicial appeal as from one court of law to another. With due respect, therefore, it is a misnomer to hold that the High Court has no original jurisdiction because section 14(1) vests in it an "appellate jurisdiction" over administrative decisions of the Minister. In actual fact notwithstanding the use of the word "appeal" in that section, what is envisaged does not have the attributes of a jurisdiction appeal.

Lastly, even if by stretching interpretation of the power vested in the Minister, it is argued that the Minister is constituted by a tribunal with quasi judicial jurisdiction, I would still hold that the High Court retains original jurisdiction over the matters in question concurrently with such tribunal. To my mind, that would not be any different from the situation where the High Court has concurrent jurisdiction with the Magistrate's Court. If a party files a suit in the High Court which would have been competently tried by a Magistrate's Court the suit would not be struck out or dismissed for lack of jurisdiction in the High Court. The High Court may remit it for trial by a lower court with competent jurisdiction, but if it tries it the trial would be valid and not a nullity. Similarly, in a case of this nature, such remittance to the Minister as a tribunal with quasi judicial powers would be plausible. In the instant case, however, such remittance would not only be unplausible but also unlawful because at the time the Appellants' cause of action arose, the Minister no longer had power to entertain such claims. He had no jurisdiction over claims which were not lodged within the period of ninety days after the Expropriated Properties Act came into force. It is significant that though the period within which the Minister was empowered to entertain the former owners' claim for repossession of the expropriated properties was extended by general notice, no such or any was made in respect of claims for compensation for improvements. It would in my view be discriminatory, contrary to provisions of the Constitution, to hold that those claimants whose causes of action arose during or after the extended period for repossession, had forfeited the right to claim under the common law. It would also be unjust to allow the former owner to receive benefit of the improvements without compensating the maker thereof.

Before taking leave of this matter I would caution against the tendency to interpret the law in a manner that would divest courts of law of jurisdiction too readily. Unless the legal provision in question is straightforward and clear, it would be better, in my view, to err in favour of upholding jurisdiction than to turn a litigant away from the seat of justice without being heard. The jurisdiction of courts of law must be guarded jealously and should not be dispensed with too lightly. The interests of justice and the rule of law demand this.

Mukasa-Kikonyogo JSC: I have had the benefit of reading in draft the judgment of Karokora JSC. I agree with him that this appeal must succeed. I am in agreement with him that section 14(1) of the EPA and regulation 8(1) of SI number 6 of 1983 are only applicable to claims for compensation which were presented within 90 days from the commencement of EPA 9 of 1982 but not to claims which accrued after the expiration of that period.

In the instant case the Appellants' cause of action accrued after the return of the premises to the former owner which was after a period of 10 years from the commencement of the EPA. There is no way the Appellant would have lodged its claim with the verification committee within the prescribed period of 90 days.

As it was rightly pointed out by Karokora JSC, in his draft judgment, we have not been able to find any amendments to section 11(2) of the Expropriated Properties Act and regulation 8(1) of SI number 6 of 1983 to extend the 90 days in which compensation thereunder could be claimed. Insisting on that prescribed period would result in injustice to an aggrieved party whose claim fell outside the prescribed period as he would have no redress under the law.

With respect to the Court of Appeal, as observed by Karokora JSC, there was no requirement in this case for the Appellant to submit its claim to the Minister under The Expropriated Properties Act.

In the premises I would allow this appeal. The judgment of the Court of Appeal should be set aside and that of the High Court be restored. I would award costs to the Appellant in this Court and courts below.

For the Appellant:
Information not available

For the Respondents:
Mr D Mulira instructed by *Mulira & Co*

Ibis Aviation Ltd v Equatorial Commercial Bank and another
[1999] 1 EA 141 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of ruling:	30 November 1999
Case Number:	257/99
Before:	Akiwumi, Bosire and Owuor JJA
Sourced by:	P Le Pelley
Summarised by:	M Kibanga

[1] Appeal – Stay of execution – Interlocutory injunction pending appeal – Circumstances under which interlocutory injunction may be granted – Rule 5(2)(b) – Court of Appeal Rules.

Editor's Summary

The Applicant filed in the High Court an application praying for an interlocutory injunction to restrain the Respondents or their agents from exercising the powers of receiver and manager in respect of the Applicant arising from a purported fixed debenture dated 15 June 1998.

The High Court declined the application and the Applicant applied for similar orders in the Court of Appeal under rule 5(2)(*b*) of the Court of Appeal Rules (the Rules). The Applicant's case was that it did not execute any debenture as alleged and that if there was a debenture, the same was void under section 96 of the Companies Act (Chapter 486) Laws of Kenya, for lack of registration within 42 days after execution. The Respondent's contended that the document was executed *in escrow* as or about July 1995, but some affidavits sworn in support of the Respondent's case said the date was in August 1995. The issue of forgery was raised by the Applicant.

Held – In exercising its discretion under rule 5(2)(*b*) of the Court of Appeal Rules, the court must, firstly, establish that the appeal is not frivolous and is arguable and, secondly, ensure that the appeal if successful is not nugatory; *Githunguri v Jimba Credit Corporation Ltd* [1988] LLR 286 (CAK) approved.

There were several arguable issues to be canvassed in the intended appeal. The appeal would be rendered nugatory if the order sought was not granted.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Githunguri v Jimba Credit Corporation Ltd [1988] LLR 286 (CAK) – **APP**

United Kingdom

Chnye Ltd, Re [1970] 3 All ER 1061

Ruling

Akiwumi, Bosire and Owuor JJA: On 7 September 1998 the superior court (Ransley Commissioner of Assize) declined to grant the Applicant, Ibis Aviation Limited, an interlocutory injunction against the Respondents, Equatorial Commercial Bank Limited and James Tullideph Birnie restraining:

> "The Defendants, their agents, servants or any person whatsoever and howsoever acting under them restraining them jointly and severally from exercising the powers of receiver and manager in respect of the Plaintiff or from appointing such receiver and manager or in any other way interfering in the running of the affairs of the Plaintiff's/Applicant's company until the hearing of this suit or until further orders".

Upon that dismissal the Applicant then filed this application in this Court pursuant to rule 5(2)(*b*) of the Court of Appeal Rules seeking more or less the same orders but this time round, pending the hearing and determination of its

intended appeal against the ruling of Commissioner Ransley. The appeal is yet to be filed.

The dispute between the parties revolves around a document dated 15 June 1998, which on the face of it is a fixed debenture in favour of the First Respondent (Equatorial Commercial Bank Limited), formerly known as Equatorial Finance Limited, in respect of three aircrafts belonging to the Applicant, namely Cessna 404, serial number 404-0088, registration mark 5Y-EAB, Cessna 404, serial number 404-0055, registration mark 5Y-SNM and Cessna 404, serial number 404-625, registration mark 5Y-VCK.

The Applicant's case both in the superior court and in this Court as can be gathered from the pleadings, affidavits sworn in support of the application by its managing director, Surender Sigh Kalsi and the submission of the counsel, to the exclusion of the proceedings in the superior court, can be stated briefly as follows:

> "That the Applicant did not execute any debenture in favour of the First Respondent on the 15 June 1998 or at all. That sometime in 1995 the Applicant purchased two aircraft, registration 5Y-EAB and 5Y-SNM through a hire purchase agreement with the First Respondent's predecessor, Equatorial Finance Company Limited. At the same time it offered yet another aircraft registration 5Y-VCK as security for some money advanced to it by the First Respondent's predecessor. Further that if indeed it executed the alleged debenture in favour of the First Respondent, the same become void under section 96 of the Companies Act (Chapter 486) for lack of registration of the same, within the prescribed 42 days of its execution".

The Respondents on their part filed a joint defence in the superior court asserting their rights as they have indeed done in this Court, under the said debenture. In brief the Respondent's case is that the said debenture was executed *in escrow* by the Applicant in or about July 1995. However, according to the affidavits of M De Souza and Khadija Mohamed sworn and filed in this Court on 22 June 1999 and 12 October 1999 respectively, they put the date of its execution as August 1995. The Respondents' contention therefore is that since the document was executed *in escrow* its actual operative date was when it was dated, after all the conditions which in the first instance necessitated its being signed *in escrow* had been fulfilled. The material date according to the Respondents being 15 June 1998. The document was thereafter registered on 18 June 1998 within the period stipulated in section 96 of the Companies Act (Chapter 486).

The principles under which our discretion under rule 5(2)(*b*) of the Rules of this Court is exercised are now fairly well settled and as stated severally by this Court, and in particular in *Githunguri v Jimba Credit Corporation Ltd* [1988] LLR 286 (CAK):

> "The guiding principles which emerge and discernible from case law on this subject, are first, the appeal should not be frivolous or as is otherwise put the Applicant must show that he has an arguable appeal and second, this court should ensure that the appeal if successful should not be nugatory".

The first question we have to consider is whether or not on the material before the court the Applicant has an arguable appeal to canvass before this Court?

We were addressed at length on the issue of whether the debenture allegedly created to secure the money owed by the Applicant to the Respondent was validly executed and registered in terms of section 96 of the Companies Act.

The Respondents contention as alluded to earlier in this ruling is that the said debenture was executed *in escrow* in July or August 1995. De Souza in his affidavit

deponed that "I could not register the said debenture immediately because of the following, reasons:

> "(a) I had to wait until the First Defendant changed its name from Equatorial Finance Company Limited to Equatorial Bank Limited; and
>
> (b) The Plaintiff had to bring an original of the certificate of registration of one of the aircrafts being offered as security.
>
> … That I aver that our firm waited for a very long time before the Plaintiff submitted the certificate of registration and due to some oversight I was only able to have the debenture presented for registration in June 1998 whereby I had the same dated 15 June 1998".

The superior court relied heavily on the explanation given by De Souza. Even at this preliminary stage of the proceedings there is no clear indication from De Souza's affidavit as to the dates that the two above conditions were fulfilled. There is a complete lack of any correspondence between the parties indicating that the document was executed *in escrow*.

Mr *Mabeya*, counsel for the Respondent's submission before us that the fact that the charge had been registered by the registrar was conclusive evidence that all the requirements of the act had been complied with. He relied on the English case of *Re Chnye Limited* [1970] 3 All ER 1061, in this case section 98(2) of the English Companies Act, which is almost similar to section 99 of our Companies Act was considered.

Section 99 of our Companies Act provides as follows:

> "The registrar shall give a certificate under his hand of the registration of any charge registered in pursuance of and within any period allowed under this part stating the amount thereby secured and the certificate shall be conclusive evidence that the requirements of this part as to registration have been complied with".

While section 98(2) of the English Act provides as follows:

> "The registrar shall give a certificate … of the registration of any charge registered in pursuance of this part of this Act, stating the amount thereby secured, and the certificate shall be conclusive evidence that the requirements of this part of this Act as to registration have been complied with".

It would appear to us and without expressing any conclusive views on this matter, that our section deems as conclusive only those charges registered, in pursuance and within the period allowed by the Act. The English position does not seem to have such restrictive operation as to time. We would hesitate to state that *Re Chnye Limited* is authority in the interpretation of section 99 of our Act. In the particular circumstances of this case it is arguable whether the registrar's certificate under that section respecting a charge not registered within the 42 days can be conclusive evidence that all the requirements as pertaining to registration have been complied with.

Regarding the application of section 96 of the Act, the section renders void any charge created otherwise than as provided therein as against the liquidator and any creditor of the company if it is not registered within the stipulated time. It would seem to us that the operative words are the liquidator and any creditor of the company. It does not specify what type of creditors are envisaged. To our minds it is arguable whether the First Respondent is excluded as he claims or not.

We have noted that the Applicant has denied ever creating the debenture in 1995 or executing the same in 1998. The issue of forgery has been raised. It is

on this questionable debenture that the First Respondent appointed the Second Respondent as a receiver and manager of the Applicant's business. In the circumstances it will not be fair to allow the receiver and manager to act before the issue is resolved one way or the other. The upshot of the foregoing is that there are serious arguable issues to be canvassed in this Court in the intended appeal. We are satisfied that in the event the Applicant succeeds in his appeal and the Respondent have not been restrained, we see nothing to stop them from enforcing their rights under the debenture unless restrained by an order of this Court and thereby rendering the Applicant's appeal nugatory.

For the reasons we have stated, this application succeeds and a temporary injunction is hereby issued in terms of prayer (2) of the notice of motion dated 21 September 1999, the same to remain in force until the hearing and final determination of the intended appeal or further orders.

The costs of this application will be costs in the intended appeal.

For the Appellant:
Information not available

For the Respondent:
Mabeya

Kenga v Republic
[1999] 1 EA 145 (CAK)

Division:	Court of Appeal of Kenya at Mombasa
Date of judgment:	21 January 2000
Case Number:	90/99
Before:	Akiwumi, Tunoi and O'Kubasu JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Crime – Murder – Defences – Provocation – Deceased warned not to visit accused's home – Deceased suspected of killing accused's sister – Deceased visiting appellant's home and fighting ensuing wherefore deceased is killed – Whether act of deceased's visit constituted provocation – Proof – Whether accused must prove provocation.

[2] Criminal procedure – Assessors – Absence of assessor – Whether court has power to expel a sitting assessor or bar his participation due to absence – Sections 297, 298 and 299 – Criminal Procedure Code (Chapter 75).

Editor's Summary

The deceased, John Elisha, had been arraigned in court on a charge of the manslaughter of his wife who was the Appellant's sister, but was freed. The Appellant was not pleased with the manner the case had been handled and was greatly incensed by the deceased that he warned him to keep off his home. The deceased did not heed the warning, and went to Appellant's home, who was at his *shamba*.

The Appellant returned home and found the deceased standing there. The deceased could not explain the purpose of the visit and subsequently left. The Appellant went into his house, took his bicycle and followed the deceased. They fought. The Appellant cut the deceased with a *panga* on the head inflicting fatal injuries.

The Appellant was charged with the murder of the deceased and was convicted. His defence of provocation was rejected by the trial court. He appealed to the Court of Appeal.

Held – The accused does not have to prove provocation but only to raise a reasonable doubt as to its existence. There was positive and unrebutted evidence that the Appellant went wild and lost his power of self-control so soon as he saw the deceased at his homestead. The visit despite constant warning was totally uncalled for and was meant to annoy the Appellant. The act constituted grave provocation on the Appellant's part as it appeared the sad killing of his sister still weighed heavily on his heart.

Appeal allowed.

Obiter dictum – There is grave doubt as to whether or not a judge had power under sections 297, 298 and 299 of the Criminal Procedure Code (Chapter 75) to expel a sitting assessor or bar his participation once a trial had begun with the prescribed number of assessors. Section 298(1) casts on the trial court a duty of inquiring as to the whereabouts of an absent assessor. If he is not found in the precincts of the court and his exact whereabouts are unknown, and the court cannot immediately enforce his attendance, the trial shall proceed with the aid of the other assessors. *Muthemba v Republic* [1954] 21 EACA 234 followed.

Case referred to in judgment:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Muthemba v Republic [1954] 21 EACA 234 – **F**

Judgment

Akiwumi, Tunoi and O'kubasu JJA: The Appellant, Kahindi David Kenga, was convicted of the murder of his brother-in-law, John Yaa Elisha, on the 20 November 1993, at Kanani Village, Jimba sublocation, Gede, within Kilifi District. He was in the event sentenced to death.

The only question in issue in this appeal is whether in the circumstances of this case the Appellant in unlawfully killing the deceased did the act which caused death in the heat of passion induced by sudden provocation, as defined in section 208 of the Penal Code (Chapter 63) and before there was time for his passion to cool.

The material facts giving rise to this appeal are sad. The deceased had been arraigned at Malindi Court on a charge of the manslaughter of his wife who was the Appellant's sister. Not much is known about that case save that the deceased, Elisha, was soon freed. However, one thing was apparent. The Appellant was not pleased with the manner in which the case was handled and was so incensed against the deceased that he warned him to keep off his home. There is ample evidence that this warning was severally communicated to the deceased by neighbours.

On the fateful day the deceased had gone to the Appellant's home at about 4:30pm to look for his son. The Appellant was then in his *shamba*. Yusuf

Mwarabu PW2 who is his neighbour saw the deceased there and warned him to go away because of the bad blood between him and the Appellant. The deceased refused to heed the warning and stayed put. Presently, the Appellant returned home and found the deceased standing there. He could not explain the purpose of his visit. The deceased then left. The Appellant then went into his house, took out a paper bag, put it on his bicycle and peddled away after the deceased. About 1.5 kilometers away Fadhili Kombo PW1 and Gibson Ngoa PW4 saw the Appellant fighting with the deceased. The Appellant was holding a *panga*. He cut the deceased on the hand and the *panga* fell by the side. Both struggled to reach it but the Appellant was fast enough and reached it first. He lifted it and landed a heavy blow on the side of the neck. The deceased rose up and ran towards the house of one Kazungu where he entered through an open door. The Appellant tried to force his way in at the same time shouting that he wanted to sever the deceased's head and take it to the police.

A postmortem examination was performed on the following day at Malindi Hospital. There was an extensive cut wound behind the head and several other minor ones all over the body. The cause of death was severe bleeding that led to massive heart failure.

The Appellant in a charge and caution statement which was tendered in evidence without any objection said:

> "It is true I killed John Yaa Elisha. I killed him because he looked for chance to kill me. He had looked for me many times. Even I reported the matter to Watamu Police and the police warned him not to come to my home. On that day he came at my home, that is when I stared chasing him and then I killed him with a *panga* on the head and on the stomach".

It is manifestly clear that the defence of the Appellant is two pronged: self-defence and provocation. The Learned Judge (Waki J) correctly directed the assessors on the relevant law. They gave unusually detailed and well reasoned grounds for their opinions. One of the assessors advised that the killing of the deceased must have been done in the heat of passion which was caused by provocation in the nature of the insulting visit by the deceased the suspected killer of his wife, to the home of his brother-in-law.

The Learned Judge convicting the Appellant of murder, gave his reasons for differing from this assessor. He dismissed the suggestion which was also canvassed by Mr Kiume *Kioko*, counsel for the Appellant in this appeal, that the deceased ought not to have visited the Appellant's home before the performance of a reconciliation and cleansing ceremony by the clan elders and that to have done otherwise amounted to a wrongful act or insult of a such a nature so grave, as was likely to deprive an ordinary rural folk at Gede in Kilifi of the power of self-control and to induce him to attack the person doing the act or offering the insult.

With respect, we have to differ from the Learned Judge's carefully reasoned judgment. The conviction for murder in this case cannot safely be allowed to stand.

It is a settled principle of law that the accused does not have to prove provocation but only to raise a reasonable doubt as to its existence. There is positive and unrebutted evidence that the Appellant went wild and lost his power of self-control so soon as he saw the deceased on his homestead. The visit despite constant warning was totally uncalled for and was at most meant to annoy the

Appellant. In our view the act constituted grave provocation on his part as it appeared that the sad killing of his sister was still weighing heavily on his heart.

Moreover, we see no reason to disbelieve the Appellant's version of the quarrel, which not only is not controverted by the prosecution eye-witnesses of the assault but also is supported by his evidence as far as it goes.

The sum total of the evidence adduced during the trial is that the attack on the deceased by the Appellant was immediate before there was time for his passion to cool. We think that in the particular circumstances of this case the doctrine of provocation should, as advised by one of the assessors, enure to the benefit of the Appellant and that the charge of murder should be reduced to manslaughter.

There is another aspect of the trial we would like to comment on. During the trial and when the Appellant had given his sworn testimony, one of the three assessors was severely reprimanded for previous non-attendance at the hearing, and was expelled from participation in the proceedings by the Learned Judge. He was further ordered not to serve as an assessor for a period of two years. We would express a grave doubt as to whether or not the Learned Judge had power under sections 297, 298 and 299 of the Criminal Procedure Code (Chapter 75) to expel a sitting assessor or bar his participation once a trial had began with the prescribed number of assessors. Section 298(1) aforesaid casts on the trial Court a duty of inquiring as to the whereabouts of an absent assessor. If he is not found in the precincts of the court and his exact whereabouts are not known, and the court cannot immediately enforce his attendance, the trial shall proceed with the aid of the other assessors. See *Muthemba v Republic* [1954] 21 EACA 234. But this was not the case here. If we had not already decided that the charge of murder be reduced to manslaughter, we would have considered ordering a retrial.

Consequently, we allow the appeal. We alter the conviction to one for manslaughter and set aside the sentence of death. We substitute therefore a sentence of seven (7) years imprisonment.

For the Appellant:
K Kioko instructed by *Kiume Kioko Adv*

For the Respondent:
Information not available

Kibale v Uganda
[1999] 1 EA 148 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	30 June 1999
Case Number:	21/98
Before:	Oder, Karokora and Mulenga JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Criminal Law – Defilement – Elements of offence – Corroboration of complainant's testimony

required – Whether prosecution had proved commission of the offence – Whether there was adequate corroboration – Section 123(1) – Penal Code (Chapter 106).

[2] Evidence – Alibi – Burden of proof – Burden of proof remains on prosecution to negative alibi – Evidence in support of alibi – Evaluation of alibi evidence – Principles to

be applied in evaluating alibi – Court under duty to evaluate both versions of events – Whether alibi negatived – Whether court applied principles correctly.

Editor's Summary

The Appellant was tried before the High Court on a charge of defilement. The prosecution alleged that on 16 July 1993, the Appellant unlawfully had carnal knowledge of the complainant, a girl of less than 18 years of age. At his trial, the complainant testified that on the material day, she left her home early in the morning to walk to school. On her way there, she met the Appellant who threw her down and forcefully had sexual intercourse with her. After the assault she continued her journey to school, attended school the whole day and returned home in the evening. When she got home she reported the matter to her mother. She was then taken to a doctor who examined her and testified at the trial that he had found a two day old laceration of her hymen. The complainant's mother reported the matter to the police and the Appellant was subsequently arrested. In his defence, given in an unsworn statement, the Appellant denied committing the offence and claimed that on the day in question he had woken up at 5:00am and carried his brother-in-law on a bicycle to board a taxi to Kampala. He had returned home at 8:30am and thereafter gone to load coffee at Kinyenyi Station. His brother-in-law testified in support of the Appellant. The Appellant was convicted and sentenced to 10 years imprisonment. The Appellant appealed on the grounds, *inter alia*, that the prosecution had failed to prove the elements of the offence of defilement and that the trial Judge erred in rejecting his alibi. Counsel for the Respondent supported the conviction, contending that the medical evidence as well as that of the complainant clearly showed that sexual intercourse had occurred. He also contended that identification had been satisfactorily proved and that the Judge had been justified in rejecting the Appellant's alibi.

Held – In order to prove the commission of the offence of defilement, three facts had to be established: firstly, that there had been penetration of the female sex organ by the male sex organ, secondly, that the female was below the age of 18 years, and thirdly, that it was a male person who had engaged in the sexual intercourse. In cases of a sexual nature, the court had to warn itself of the danger of acting on the uncorroborated testimony of a complainant but having done so, it could convict in the absence of corroboration if it was satisfied that the complainant's evidence was truthful; *Chila and another v Republic* [1967] EA 722 followed. Here, the prosecution case, in the form of the complainant's testimony, was corroborated by the medical evidence, and proved beyond reasonable doubt that the complainant had had sexual intercourse with a man on 16 July 1993. With regard to the complainant's age, there was ample evidence justifying the trial Judge's finding that the complainant was under 18 years of age at the material time and there were no grounds for faulting her in this regard. The trial Judge's failure to warn herself of the requirement for corroboration caused no failure of justice in view of her warning to the assessors of the requirement for corroboration implicating the accused.

The criticism of the trial Judge for accepting the evidence of the complainant and her mother was unjustified. In the circumstances, the conduct of the two was not so abnormal as to render their evidence unreliable. The only apparent contradiction in the prosecution evidence related to the date and time the

complainant was defiled. If this were to be regarded as a discrepancy, and a close scrutiny of the evidence showed that it was not, it would only be minor and would not show that the complainant, her mother or the doctor had deliberately lied to the court.

Where an accused set up an alibi as a defence, he or she did not assume any responsibility for proving the alibi and it was upon the prosecution to negative the alibi by evidence; *Reginam v Johnson* [1962] 46 CAR 55 adopted. Where the prosecution adduced evidence showing that the accused had been at the scene and the defence not only denied it but adduced evidence that the accused was elsewhere at the material time, it was incumbent on the court to evaluate both versions judicially and give reasons why one and not the other was accepted. It was a misdirection to accept one version and then hold that because of that acceptance, *per se*, the other version was unsustainable; *Bogere Moses and another v Uganda* Supreme Court criminal application number 1 of 1997 applied. In this instance, the trial Judge had evaluated both versions judicially and given reasons why the prosecution version was preferable to that of the defence. Accordingly, she had properly rejected the Appellant's alibi.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Aniseth v Republic [1963] EA 206

Bogere Moses and another v Uganda Supreme Court criminal application number 1 of 1997 (UR) – **AP**

Chila and another v Republic [1967] EA 722 – **F**

Rapael v Republic [1973] EA 473

Reginam v Johnson [1962] 46 CAR 55 – **A**

Rex v Purohit [1942] 9 EACA 58

Sekitoleko v Uganda [1967] EA 513

Judgment

Oder, Karokora and Mulenga JJSC: This case has had a rather long history in this Court. After the High Court decision on 7 July 1995, an appeal was filed within the prescribed time in this Court. The appeal could not be heard because the whole of the High Court records were found to have been lost. Consequently, this Court made an order for a retrial of the Appellant. Subsequently, however, the High Court records were traced. When the matter was again placed before the court, it invoked its inherent powers under rule 1(3) of the Courts Rules, and vacated its earlier order for retrial of the Appellant and ordered for his appeal to be reinstated. It was, and the appeal was heard on 31 March 1999.

The Appellant was indicted with and tried for defilement, contrary to section 123(1) of the Penal Code, the particulars of which were that on 16 July 1993 at Katiti Village in Mubende District he unlawfully had carnal knowledge of

Kamuyati Nakiyaga, a girl under the age of 18 years. The Appellant denied the allegations in the indictment.

At his trial in the High Court, the prosecution adduced evidence from four witnesses against him. They were: the victim of the alleged defilement, Nakiyaga (PW1), her mother, Nabonoba Lukiya (PW2), Fred Kiwanuka (PW3) of the Local Defence Unit of Kabaseke RC1, who arrested the Appellant, and Dr Wagaba Francis (PW4) a medical officer at Mityana hospital at the material time, who medically examined the victim Nakiyaga (PW1). The prosecution case against the Appellant, briefly, was that on 16 July 1993 Nakiyaga (PW1) left her home at Katiti village early in the morning to go to Kitemu Primary School, where she was a pupil. On the way to school, she met the Appellant at about 6:45am. The Appellant threw her down and forcefully had sexual intercourse with her. After the assault, the victim continued her journey to, and reached the school. She attended the school the whole day, at the end of which she returned home in the evening and reported the matter to her mother, Lukiya (PW2). The victim's mother reported the matter to the Local RC and later to the police. Kamuyati (PW1) was medically examined. The Appellant was also arrested and charged with the present offence.

The Appellant's defence was a complete denial of the offence. In his unsworn statement, he said that on 16 July 1993 he woke up very early at about 5:00am and carried his friend, Twaibu Serumaga (DW2) on a bicycle to Busunju to board a taxi to Kampala. He returned home at about 8:30am. Thereafter he went and loaded coffee at Kinyenyi Station, after which he returned home and prepared for Friday prayers, he being a Muslim. He went home after prayers. He denied all that was said in the prosecution evidence against him.

Twaibu (DW2) testified in support of what the Appellant said in his unsworn statement. The Appellant was his brother-in-law. They had grown up in the same village. On 16 July 1993 at 5:00am the Appellant fetched him on a bicycle to take him to Busunju to board a taxi for a journey to Kampala. They reached Busunju at 7:30am, when he, Twaibu (DW2), boarded a taxi for Kampala. This witness knew the family of the victim of the alleged defilement, Nakiyaga (PW1), whose home was not far from that of the Appellant. The family of the former was friendly with that of the latter.

Both assessors advised the Learned trial Judge to convict the Appellant as indicted. She accepted their opinion, convicted the Appellant of defilement and sentenced him to ten (10) years imprisonment.

Hence this appeal.

Four grounds of appeal are set out in the memorandum of appeal. They are that:

"1. The Learned trial Judge erred in law and fact when she found that the prosecution had proved that the complainant, Nakiyaga Kamiyaga, was defiled by the Appellant on 16 July 1993 as alleged, or at all.

2. The Learned Judge erred in law and fact when she found that the evidence of PW4 effectively corroborated that of PW1, the complainant, thereby coming to the wrong conclusions, namely, the conviction of the Appellant.

3. The Learned trial Judge erred in law and fact when she disregarded the contradictions in the prosecution evidence, treating them as minor and thus wrongly convicting the Appellant.

4. The Learned trial Judge erred in law and fact when he rejected Appellant's alibi, thereby coming to the wrong conclusion".

Mr *Tusasirwe Benson*, learned counsel for the Appellant, argued the first and second grounds together. He contended that the prosecution failed to discharge its burden of proving beyond reasonable doubt the elements of the offence of defilement. Sexual intercourse involving penetration of the complainant Nakiyaga (PW1) by the Appellant was not proved. When PW1 said in her evidence that the Appellant got hold of her hand, threw her down, removed her knickers and slept on her, it was not clear what she meant by saying that he slept on her. It could have been merely an indecent assault. It is contended that the evidence of Dr Wagaba Francis (PW4) also cast grave doubt on the alleged sexual intercourse. According to the doctor he examined the complainant on 17 July 1993 and found her to have laceration of the hymen two days old. The doctor's evidence, therefore, raised grave doubt on the complainant's evidence that she was defiled on 16 July 1993. If sexual intercourse took place, then it was not at the time and on the date alleged by the complainant, the learned counsel contended.

The learned counsel also attacked the conduct of the complainant, Nakiyaga (PW1) and her mother, Nabonoba Lukiya (PW2) as inconsistent the occurrence of the alleged defilement of the complainant by the Appellant. After the incident, the complainant went to and attended school normally. Apparently she had no stress. After medical examination the doctor (PW4) asked the complainant to return to the hospital for a vaginal swab to determine the presence of spermatozoa, but she did not go back. Her mother (PW2) did not bother to ensure that she returned. In the circumstances, it is contended, the Learned trial Judge should have insisted on some corroboration implicating the Appellant as the culprit. Counsel relied on *Rex v Purohit* [1942] 9 EACA 58 at 61.

Under the third ground of appeal, Mr *Tusasirwe Benson* submitted that inconsistencies in the evidence of the complainant Nakiyaga (PW1) and Dr Wagaba regarding what time and when the alleged defilement took place were so major as to render the complainant's evidence unreliable. Her evidence should, therefore, have been rejected by the Learned trial Judge.

Regarding the Appellant's alibi it is contended that the fourth ground of appeal should be upheld. The Appellant could not have been at the scene of crime as alleged by the complainant. The Learned trial Judge is criticized for having rejected the Appellant's alibi because she had rejected the defence evidence from Twaibu Serumaga (DW2) on improper ground, which was that DW2 had sat in court during the testimony of the Appellant. All in all the Appellant's alibi was improperly rejected, it is contended. The trial court should have found that the alibi cast a doubt on the prosecution case, which should have been resolved in favour of the Appellant.

Mr *Bireije*, learned Senior Principal State Attorney, supported the decision of the learned trial Judge in three main areas. First, it is contended, the medical evidence and that of the complainant clearly showed penetration, hence sexual intercourse. The medical evidence from Dr Wagaba (PW4) corroborated the complainant's evidence that she was defiled. With regard to the apparent inconsistency between the evidence of the doctor and the complaint on dates, the Learned Senior Principal State Attorney contended that the complainant's evidence that she was defiled on 16 July 1993 fell within the period of 48 hours in which the doctor said the complainant appeared to have been sexually assaulted.

It is contended by the Learned Senior Principal State Attorney that the second element of the offence proved by the prosecution against the Appellant was identification of the culprit. The complainant (PW1) knew the Appellant before the incident and so, could not have mistaken him for anybody else. The incident occurred in broad daylight. Further, as the family of the complainant and that of the Appellant were friendly to each other, no question of false implication of the Appellant on grounds of grudge could arise. With respect the mention of grudge by the Learned Senior Principal State Attorney had no basis because the Appellant did not suggest any grudge between his family and that of the complainant.

The third area of the Learned Senior Principal State Attorney's submission concerns the Appellant's alibi. It is contended that the Learned trial Judge considered and evaluated the evidence about the alibi and rejected the Appellant's version. In view of the prosecution evidence available to the Learned trial Judge, it is contended, she was justified in rejecting the Appellant's alibi.

It is the law that in order to sustain a conviction for the offence of defilement, contrary to section 123(1) of the Penal Code, three facts, must be proved beyond reasonable doubt. First, that an act of sexual intercourse which means penetration of the female sex organ by the male sex organ occurred. Second, that the female was below the age of 18 years. The person charged with the offence is the male person who committed the sexual intercourse.

In the instant case there can be no doubt that the prosecution evidence clearly proved that the complainant, Nakiyaga (PW1) was sexually assaulted on the material date. In our view, the Learned trial Judge properly accepted the relevant prosecution evidence. The complainant (PW1) described what happened to her as follows:

> "As I was going to school at 6:45am, Kitemu Primary School, I found: a man called Ishima Kibale on the foot path which I was using going to school. I had gone far away from home. Ishima got hold of my hand threw me down; he removed my knickers and slept on me. I was on the ground he was on top of me. He put his penis into me, in private part. I tried to struggle but he told me that he was going to strangle me. The whole of this took about 5 minutes. After that he left me. I picked my bag and went to school. He caught me in a forest with trees. It was a big forest. There were no people. Before the incident, I used to see Ishima in the village since my childhood. I had seen him at my home. I can see him today. He is the one in the accused's dock".

In re-examination Kamuyati (PW1) said:

> "Ishima did to me I had never done it with any person when Ishima did things to me I felt pain in my private parts".

The complainant (PW1) did not say in her testimony when the incident took place. However, according to her mother, Nabonoba Lukiya (PW2), the incident happened on 16 July 1993.

According to the complainant's evidence to which we have just referred a man certainly had sexual intercourse with her during the event which she so clearly described. A man got hold of her, threw her down, removed her knickers and laid on her. She was on the ground and he was on top of her. The man then put his sexual male organ into her sexual private parts. She felt pain because this was the first time anything of the sort had happened to her.

The evidence of Dr Wagaba Francis (PW4) corroborated the evidence of the complainant that sexual intercourse had taken place. He examined her on

17 July 1993 and found that she had had sexual intercourse. She had laceration of the hymen two days old and an abnormal watery discharge, caused by sexually transmitted disease. The doctor's evidence thus confirms and leaves no doubt that the complainant had been a victim of sexual intercourse. In the circumstances, we are satisfied that the prosecution proved beyond reasonable doubt that the complainant Nakiyaga (PW1) had had sexual intercourse with a man on 16 July 1993.

In sexual offences, corroboration of the complainant's evidence implicating an accused person is also a requirement for conviction of the accused. In the case of *Chila and another v Republic* [1967] EA 722 at 77, the Court of Appeal for East Africa said this:

> "The Law of East Africa on corroboration in sexual cases is as follows:
>
> 'The Judge should warn the assessors and himself of the danger of acting on the uncorroborated testimony of the complainant but having done so he may convict in the absence of corroboration if he is satisfied that her evidence is truthful. If no warning is given, then the conviction will normally be set aside, unless the appellate court is satisfied that there has been no failure of justice'".

What the court said in that case is still good law in Uganda.

In the instant case the Learned trial Judge properly warned the assessors of the necessity for corroboration of the complainant's evidence implicating the Appellant. She said, rightly so in our view, that corroboration is independent evidence, which does not come from the victim, which confirms in material particulars not only that the offence was committed but also that it is the accused who committed it.

In her judgment, however, the Learned Judge did not warn herself of the requirement for corroboration of the complainant's (Kamuyati's) evidence. However, as she warned the assessors of the requirement for corroboration implicating the accused, we find that her omission to warn herself caused no failure of justice.

The learned counsel for the Appellant challenged the reliability of the evidence of the complainant (PW1) and that of her mother Lukiya (PW2) on whether the complainant was defiled at all. He also attacked the evidence of the complainant (PW1) and that of the doctor (PW4) on grounds of inconsistency regarding the date on which the incident is alleged to have occurred. It is submitted for the Appellant to the effect that the complainant's behaviour subsequent to the incident was abnormal. After she was allegedly sexually assaulted she went to school normally, attended school the whole day without reporting to anybody at school about what had happened to her. Apparently she was not distressed. At the end of the day, she returned home and made a report of the incident, for the first time, to her mother (PW2). Further, the complainant did not return to Dr Wagaba Francis as he had instructed her to do for purposes of taking a vaginal swab. It is suggested that the complainant and her mother did not return to the doctor because they did not take the matter seriously, which they would have done if the complainant had been sexually assaulted.

In our view, the criticism of the Learned trial Judge for accepting the evidence of the complainant (PW1) and that of her mother (PW2) is, with respect, unjustified.

First, because the two prosecution witnesses were not asked in cross-examination to explain their alleged abnormal behaviour. It was only his address

to the Learned trial Judge after closure of the prosecution and defence case that the learned defence counsel at the trial, who is the same counsel for the Appellant in the appeal, commented on the behaviour of the two prosecution witnesses. Second, in our opinion, we do not find the conduct of the two prosecution witnesses abnormal such as to render their evidence unreliable. The complainant was a young girl of 15 years to whom the incident was her first experience. It was a shameful experience about which, presumably, she would fear to tell anybody, even teachers or fellow pupils at her school. Her mother was the only person she would confide in. This she did as soon as she returned home. The mother Lukiya (PW2) did not examine her daughter. She was not asked in cross-examination why she did not do so. Again, we did not find her failure to examine her daughter abnormal. On receiving a report from her daughter, Lukiya (PW2) reported the matter to chairman of the local RC, who took the necessary action and the Appellant was arrested the same day. Similarly, neither the complainant nor her mother were apparently asked in cross-examination why they did not return to the doctor as he had asked them to do. As the doctor was so unequivocal in his medical report (Exhibit P1) and testimony that the complainant had been sexually assaulted as shown by the laceration of her hymen, it would seem that her return for a vaginal swab was unnecessary. Our view therefore, is that not much capital should be made out of the complainant's failure to return to the doctor.

It is under the first ground of the appeal that the issue of the age of the complainant must be considered. As we have mentioned earlier in this judgment, one of the ingredients of the offence of defilement is that the victim of alleged defilement must be below the age of 18 years at the material time. In the instant case the Learned trial Judge found, rightly so in our view, that the complainant, Kamuyati (PW1) was under the age of 18 years when she was defiled. The Learned trial Judge said this:

> "PW1 testified that at the time of testifying she was 18 years. She further testified that her mother informed her of her birthday but she only remembered the month and the year, namely March 1977. PW2 the mother of the accused (*sic*) in her testimony stated that the victim was her daughter and was born on 10 March 1977. The doctor PW4 also testified that he estimated the age of the victim at the time of the examination on 17 July 1993 to be 15 years. The law is that the age of a girl can be proved by a birth certificate with some identification. The age of the girl can also be proved by admissible evidence. In this case I am of the view that the testimony of the mother and that of the doctor was proof of the fact that the girl was 16 years at the time when the offence was committed. I therefore find that the fact that the girl was below the age of 18 years when the offence was allegedly committed has been proved beyond reasonable doubt".

The finding of the Learned trial Judge concerning the age of the complainant Kamuyati (PW1) cannot be faulted. There was ample evidence on which the finding was based. In the circumstances we are satisfied that the prosecution proved to the required standard that the victim of the defilement, Kamuyati (PW1) was below 18 years at the material time.

The first and second grounds of the appeal must, therefore, fail.

The third ground of appeal criticizes the Learned trial Judge for having treated contradictions in the prosecution evidence as minor. The only apparent contradictions which we can see, relate to the time and date when the complainant was defiled and when she was examined by Dr Wagaba (PW4). According to Dr Wagaba (PW4) he examined the complainant on 17 July 1993. He

found that she had a laceration of the hymen, which was two days old. The evidence of Lukiya (PW2) the complainant's mother was that her daughter was defiled on 16 July 1993.

A close scrutiny of the evidence of the relevant prosecution witnesses does not, in our view, show any discrepancies. When Dr Wagaba (PW4) testified that he examined the complainant (PW1) on 17 July 1993, and found laceration of her hymen two days old. The date the complainant was defiled, 16 July 1993 was within such period of two days. Even if this is regarded as a discrepancy, which in our view it was not, then it was a minor one, as the Learned trial Judge found. It did not show that the complainant (PW1), her mother Lukiya (PW2) or Dr Wagaba (PW4) deliberately lied to the trial court. The third ground of appeal, therefore, fails.

The fourth ground concerns the Appellant's alibi. The Learned trial Judge is criticized for rejecting the alibi.

According to many authorities, such as *Reginam v Johnson* [1962] 46 CAR 55; *Aniseth v Republic* [1963) EA 206; *Sekitoleko v Uganda* [1967] EA 513; *Bogere Moses and another v Uganda* Supreme Court criminal application number 1 of 1997 (UR) etc, the established law on alibi in Uganda is that when an accused person sets up an alibi as a defence, he or she does not assume any responsibility of proving the alibi. The prosecution is under a duty to negative the alibi by evidence. Such evidence may be adduced by calling witnesses either before the defence is put forward by the accused in his testimony or statement at his trial or afterwards in rebuttal. A genuine alibi is, of course, expected to be revealed to the police investigating the case or to the prosecution before trial. Only when it is so done can the police or the prosecution have the opportunity to verify the alibi. An alibi set up for the first time at the trial of the accused is more likely to be an afterthought than genuine one. Non disclosure of an alibi until late stage in the proceedings is a factor going to weight to be attached to such evidence, but does not exclude it. *Rapael v Republic* [1973] EA 473. Be that as it may, if on full consideration of the whole of the evidence available to the court it is found that the alibi put up is credible and that it has not been negatived, then the prosecution will not have proved their case beyond reasonable doubt and the accused must be entitled to be acquitted of the charge. If on the other hand the prosecution have negatived the alibi then the court must still consider whether the prosecution has proved their case beyond reasonable doubt.

In some authorities courts have decided that once prosecution evidence places the accused at the scene of crime then the accused's alibi is negatived or destroyed. In the recent case of *Bogere and another v Uganda* (*supra*) this Court gave what the court thinks is a better explanation. It said:

> "What then amounts to putting an accused person at the scene of crime? We think that the expression must mean proof to the required standard that the accused was at the scene of crime at the material time. To hold that such proof has been achieved, the court must not base itself on the isolated evaluation of the prosecution evidence alone, but must base itself upon the evaluation of the evidence as a whole. Where the prosecution adduces evidence showing that the accused person was at the scene of crime, and the defence not only denies it, but also adduces evidence showing that the accused person was elsewhere at the material time, it is incumbent on the court to evaluate both versions judicially and give reasons why one and not the other version is accepted. It is a misdirection to accept the one version and then hold that because of that acceptance *per se* the other version is unsustainable. In the instant case, have found it very difficult to avoid the conclusion that the Learned trial Judge considered

> and accepted the prosecution evidence alone, and then rejected the defence summarily simply because he had accepted the prosecution evidence".

In the instant case, we have already referred to the evidence of the Appellant and that of Twaibu Serumaga (DW2) concerning the Appellant's alibi. DW2's evidence supported that of the Appellant on this issue. The Learned trial Judge rejected the Appellant's alibi in the following words:

> "I have carefully considered the accused's evidence which I found to be a mere denial of the offence. The accused testified that he was with DW2 from 5:00am on the day in question. He said that he returned home at 8:30am. He did not say when he parted with DW2, although DW2 testified that he was with the accused from 5:00am to 7:00am. I find that the accused was out of his house at least from 5:00am to 8:30am when he returned and this period covers the time when the offence was committed.
>
> The evidence of DW2 cannot be taken seriously because he was in court when the accused was testifying, so he was aware of the accused's testimony. The accused also talked of a friend whom he took to Busunju.
>
> It was also strange that DW2 did not try to convince the police and RC's or the family of the victim that the accused was innocent. The reasons he gave for not taking action were not very convincing. If he was afraid of being beaten by the police at least he could have gone and reported to RC.
>
> On the other hand I have found the prosecution evidence on identification were present (*sic*) … However, I have found PW1 to be a truthful witness. She was firm and she was not shaken during cross-examination I did not find any good reasons why she should have said that it was the accused who assaulted her especially in view of the fact that their families were friendly and also related … I have found that the accused has been squarely placed at the scene of the crime when it was committed, and therefore his alibi crumbles. In full agreement with the gentlemen Assessors I find that the accused was properly identified".

In reaching the conclusion she did in the passage of her judgment we have just referred to, the Learned trial Judge did not base her finding on the isolated evaluation or the prosecution evidence alone. She did so upon the available evidence as a whole. Here, the prosecution adduced evidence showing that the Appellant was at the scene of crime, and the defence not only denied it, but also adduced evidence showing that the Appellant was elsewhere at the material time.

In light of the passage of her judgment we have just referred to, we are satisfied that the Learned trial Judge evaluated both versions judicially and gave reasons why the prosecution version was acceptable rather than the defence version. We agree with the reason she gave for doing so. In the circumstances our view is that the Learned trial Judge properly rejected the Appellant's alibi. The fourth ground of appeal must therefore fail.

Considering the evidence in this case as a whole, we are satisfied that the Appellant was properly convicted. There was ample evidence to support the conviction. In the result this appeal must fail. It is accordingly dismissed.

For the Appellant:
B Tusasirwe instructed by *Tusasirwe & Co*

For the Respondent:
D Bireije, Senior Principal State Attorney instructed by the Director of Public Prosecutions

Kisembo v Uganda
[1999] 1 EA 158 (SCU)

Division: Supreme Court of Uganda at Mengo

Date of judgment:	10 September 1999
Case Number:	13/98
Before:	Oder, Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	M Kibanga

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[1] Appeal – Evidence – Duty of Court of Appeal on evidence – Supreme Court – Whether Supreme Court may re-evaluate evidence on appeal.

[2] Evidence – Circumstantial evidence – When circumstantial evidence may be used to convict.

Editor's Summary

The Appellant assaulted the deceased on two consecutive days, alleging that the deceased had been having an affair with the Appellant's wife. The assault on the second occasion was carried out in the Appellant's home.

One witness testified to have seen the deceased go to the Appellant's home with the Appellant's wife on the second occasion. The same witness saw the deceased coming out of the compound holding his head in great pain. The deceased died the following day.

The High Court rejected the Appellant's defence of alibi convicted and sentenced him on circumstantial evidence. His appeal to the Court of Appeal was dismissed. The Appellant then appealed to the Supreme Court on the ground that the Court of Appeal did not evaluate the Appellant's evidence on alibi and had wrongly upheld the conviction based on circumstantial evidence.

Held – The Court of Appeal had the duty to properly scrutinize and evaluate the evidence of both the prosecution and the defence. It would be a misdirection to accept one version and then hold that because of that acceptance *per se* the other version is unsustainable. It was the duty of the court to evaluate the evidence of the Appellant on alibi before rejecting it; *Kagundu v Uganda* criminal appeal number 14 of 1998 (UR) and *Bogere Moses and another v Uganda* Supreme Court criminal appeal number 1 of 1997 (UR) approved.

Except in the clearest of cases, the Supreme Court is not required to re-evaluate the evidence of the first appellate court. The present appeal was a clear case warranting re-evaluation. The Appellant's alibi was unsustainable. The circumstantial evidence was so overwhelming that it irresistibly pointed to the Appellant's guilt; *Musoke v Republic* [1958] EA 715 applied.

The appeal was dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Bogere Charles v Uganda [1998] LLR 8 (SCU)

Bogere Moses and another v Uganda Supreme Court criminal appeal number 1 of 1997 – **APP**

Kagundu v Uganda Supreme Court criminal appeal number 14 of 1998 (UR) – **APP**

Kifamunte v Uganda [1997] LLR 72 (SCU)

Mbahe v Uganda criminal appeal number 9 of 1987

Musoke v Republic [1958] EA 715 – **AP**

Ssali and another v Uganda Supreme Court criminal appeal number 7 of 1998 (UR)

United Kingdom

Teper v Republic [1952] 2 All ER 447; [1952] AC 480

Judgment

Oder, Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC: Sirasi Kisembo hereinafter to be referred to as the Appellant has appealed to this Court against the dismissal of his appeal by the Court of Appeal sometime in February 1999. He was on 3 August 1998 convicted of murder contrary to sections 183 and 184 of the Penal Code Act and sentenced to death by the High Court sitting at Fort Portal.

The background of the appeal is that the Appellant and Daniel Matsiko hereinafter to be referred to as the deceased, lived at Nyakatoke Kinyere Village in Kabarole District. The Appellant had apparently suspected the deceased to have had a love affair with his (Appellant's) wife called Kabasinguzi. On 3 March 1994 the Appellant caught up with the deceased and Kaija, PW5, whilst on their way from the burial of the Appellant's sister-in-law. Immediately he joined them a quarrel broke out between him and the deceased. The Appellant hit the deceased with a stick but Kaija advised the deceased not to retaliate. He, in fact, separated them. He offered the deceased a lift on his bicycle and took him to his (deceased's) home.

The following day, 4 March 1994, little Kahunde Kelogi, aged 11 years, called as PW6 had gone to the deceased's home when Kabasinguzi arrived. She (Kabasinguzi) told the deceased that the Appellant wanted him to go to their home. The deceased who was sick and in bed woke up and went with Kabasinguzi to the Appellant's home. Kwikiriza Rwakasenyi, PW3, who happened to be collecting firewood near the Appellant's home saw the deceased and Kabasinguzi entering the Appellant's home. Shortly after that PW3 met the deceased on his way back from the Appellant's home. He was holding his head in his hands in great pain. Tears were rolling down his cheeks. The deceased could not talk to him at that time but later he (the deceased) told him that the Appellant had hit him on the head with a pestle. When PW3 went to the Appellant's home after meeting the deceased on the way, the Appellant would not tell him what had happened between him and the deceased.

As a result of the information passed around by Kabasinguzi about the Appellant and the deceased, Wako Mutabazi (PW4) went to the home of the deceased. The deceased told him and PW5, Kaija, that the Appellant had

assaulted him with a pestle. They noticed a mark on the deceased's head apparently left by the pestle which was used by the Appellant to hit him. Kaija, PW5, shaved the hair around the injured spot as a kind of first aid. The deceased was taken to hospital but he died the following day. The post-mortem report revealed a swelling of the temporal region and fracture of the right temporal bone. The cause of death was due to those head injuries.

The Appellant was arrested on the same day. His defence was a denial of both assaults on the deceased on 3 March 1994 and 4 March 1994. He pleaded alibi. He told court that at the material time he was on duty at his place of work at Rugombe. On his return apparently after the incident the mother of the deceased requested him to go back to Rugombe to get medicine for the deceased.

The Learned trial Judge and assessors did not believe his alibi. He was convicted of murder and sentenced to death by the High Court.

Dissatisfied with the judgment of the High Court, the Appellant appealed to the Court of Appeal. The Learned Justices of the Court of Appeal did not find any merit in the Appellant's appeal. They dismissed it and upheld the conviction and sentence of death.

Aggrieved by the dismissal of his appeal the Appellant lodged this appeal in this Court. The appeal is based on the sole ground that:

> "The Honourable Justices of the Court of Appeal erred in law and fact when they failed to exhaustively scrutinise the evidence on record and hence held the Appellant had caused the death of the deceased basing themselves on circumstantial evidence".

In her submissions Ms Diana Harriet *Musoke*, counsel for the Appellant, criticised the Learned Justices of the Court of Appeal for failing to properly scrutinise and re-evaluate the evidence adduced by both the prosecution and Appellant in the High Court. She contended that, they wrongly upheld the decision of the trial Judge holding the Appellant responsible for the death of the deceased. As far as counsel was concerned there was no scrutiny or evaluation of evidence as was required of the Learned Justices. In support of the prosecution case they merely narrated in approval the submissions of the Senior State Attorney who appeared for the State. They did not consider the Appellant's alibi in detail. Counsel submitted that the Justices of the Court of Appeal should have taken the evidence of the prosecution and that of the defence, considered it together and then gave reasons for rejecting the Appellant's alibi. The Learned Justices should not have just agreed with the evidence adduced by the prosecution side. She, therefore, prayed to this Court to allow the appeal, quash the conviction of murder and set aside the sentence of death.

In reply Mr *Opolot*, the Learned Principal State Attorney who represented the State, supported the decision of the Court of Appeal. He conceded that the prosecution case against the Appellant was based entirely on circumstantial evidence. However, he submitted that it in no way prejudiced the Appellant's case. Moreover, he added, circumstantial evidence has been held to be the best evidence which may be capable of proving a point with mathematical precision. To illustrate his point he cited the celebrated case of *Musoke v Republic* [1958] EA 715. He associated himself with the submissions of Mr Vincent Okwanga, Senior State Attorney, who appeared for the State in the Court of Appeal.

However, it is not correct that the prosecution case, was based entirely on circumstantial evidence for the prosecution also relied on the deceased's dying declaration.

We agree with counsel for the Appellant that the first appellate court has a duty to properly scrutinise and re-evaluate the evidence of both the prosecution and the defence. See *Ssali and another v Uganda* Supreme Court criminal appeal number 7 of 1998 (UR); *Bogere Charles v Uganda* [1998] LLR 8 (SCU).

Counsel's complaint in this case is that the Learned Justices of the Court of Appeal did not consider the Appellant's alibi in detail. They, hence, came to the wrong conclusion. In the case of *Kagundu v Uganda* Supreme Court criminal appeal number 14 of 1998 (UR) this Court held the view that it is not sufficient anymore for the court to rely entirely on the prosecution evidence placing the Appellant at the scene of crime. The court should not reject the Appellant's alibi without considering it sufficiently. Justice demands equal justice for both sides. Hence, this Court went on to say that:

> "We are perturbed by the failure by the Learned Judge to evaluate the evidence of the accused on alibi before rejecting it as a pack of lies. The mere fact that Kahatika's evidence was believed is not sufficient ground for saying that the Appellant is lying. There should have been findings by the trial Judge whether the story of the Appellant was inherently improbable or whether there were contradictions or inconsistencies in his testimony rendering it not credit worthy or whether his demeanour when he gave evidences gave a poor impression of the accused as a witness".

Further in *Bogere Moses and another v Uganda* (*supra*) we again made a similar observation that:

> "Where the prosecution adduces evidence showing that the accused person was at the scene of crime and the defence not only denies it but also adduces evidence showing that the accused was elsewhere, at the material time, it is incumbent on the court to evaluate both versions judicially and give reasons why one and not the other version is accepted. It is a misdirection to accept one version and then hold that because of that acceptance *per se* the other version is unsustainable".

In the instant case, it is true that, whilst in a detailed account the Justices of the Court of Appeal clearly stated why the version of the prosecution was sustainable they did not give reasons why the Appellant's alibi was false. For all that they commented on it was:

> "we also have no doubt whatsoever that the Appellant's alibi was not true".

Although we agree that the Learned Justices of the Court of Appeal should have given reasons for rejecting the alibi that alone in our view was not detrimental to the prosecution case. Having re-evaluated the prosecution evidence in the manner in which they did and having believed the circumstantial evidence adduced by the prosecution it was highly improbable that the Appellant was elsewhere at the material time. The evidence overwhelmingly placed him at the scene of the crime.

Besides apart from a denial all that the Appellant told court was that he was on duty at Rugombe at the material time. When he returned the mother of the deceased sent him back to get medicine for the deceased. The circumstantial evidence irresistibly put him at the scene of crime. There was no defence evidence to consider in detail.

Again even if the submission by counsel for the Appellant that the Court of Appeal did not exhaustively scrutinise the evidence on record was accepted, we are of the view that this is a proper appeal in which this Court should intervene to put right what should have been done by the first appellate court. We are alive to our holding in a number of cases including *Kagunda v Uganda* (*supra*), *Kifamunte v Uganda* [1997] LLR 72 (SCU) and *Bogere Charles v Uganda* (*supra*)

that in criminal appeals to this Court, except in the clearest cases, the court is not required to re-evaluate the evidence of the first appellate court. This holding, of course, explains the rationale behind section 6(1)(*a*) of the Judicature Act which provides that "a second appeal can only be sustained on a point of law or mixed fact and law".

We find the present appeal to be one of the clearest of cases to warrant re-evaluation of evidence by this Court. On the evidence on record the Appellant's alibi cannot be sustained. We agree that the evidence on the actual attack is mainly circumstantial. The principles governing cases depending mainly on circumstantial evidence have been settled and applied in many cases – including *Teper v Republic* [1952] 2 All ER 447, [1952] AC 480 followed in *Musoke v Republic* [1958] EA 715.

In *Musoke v Republic* (*supra*) it was held, *inter alia*, that in a case depending exclusively upon circumstantial evidence the court, must before deciding upon a conviction, find that the inculpatory facts are incompatible with the innocence of the accused and incapable of explanation upon any other reasonable hypothesis than that of guilt. In the present case the circumstantial evidence was so overwhelming that it irresistibly pointed at the Appellant as the culprit. Firstly, Kwikiriza Rwakasenyi, PW3, was collecting firewood near his home when the incident occurred. Immediately before the assault he saw Kabasinguzi, the Appellant's wife with the deceased entering the Appellant's home. Shortly after that he went to the Appellant's home and found him in his compound armed with a pestle. The Appellant's home was a short distance from where PW3 saw the deceased and the assailant's wife. Further, PW6 Kahunde, testified that she heard Kabasinguzi telling the deceased that the Appellant was calling him to his home. If the evidence of these two witnesses is believed the Appellant could not have been elsewhere at the material time.

Secondly, as a result of the information passed around by Kabasinguzi, PW4, Wako Mutabazi and PW5, Kaija, went to the deceased's home. They found him in great pain. He told them that the deceased had hit him with a pestle. What he told them amounted to a dying declaration. The law relating to dying declarations was restated in the case of *Mbahe v Uganda* criminal appeal number 9 of 1987.

In the instant case the deceased knew the Appellant very well. The incident took place during broad day light. The Appellant had sent for the deceased before the incident. The weapon mentioned by the deceased which the Appellant hit him with to wit a pestle tallied with the evidence of PW3. He found the Appellant armed with pestle immediately after the assault and could not say anything. The dying declaration must have been true. We agree with the counsel for the Appellant that there was nothing to stop the Appellant from carrying a pestle in his home. However, on the evidence of PW6, PW3, PW4 and PW5 the Appellant was not carrying the pestle for lawful purposes. The testimony of the prosecution witnesses and the dying declaration showed clearly that the Appellant was not in Rugombe as he told court. There was no evidence to show that the mother of the deceased was present at the scene. It was only his mother who was said to have been in his own home when the incident occurred. We agree with the Court of Appeal that the Appellant's defence must have been an after thought and his alibi false.

We do not agree with the counsel for the Appellant that the Court of Appeal made a wrong decision to uphold the conviction and confirm the sentence of

death passed against the Appellant. We, find no merit in the Appellant's appeal. It is accordingly dismissed.

For the Appellant:
DH Musoke

For the Respondent:
Opolot, Principal State Attorney instructed by the Director of Public Prosecutions

Kisugu Quarries Ltd v Administrator-General
[1999] 1 EA 163 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of judgment:	5 October 1999
Case Number:	10/98
Before:	Oder, Karokora, Mulenga, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Contract – Illegal contracts – Lease void for failure to obtain ministerial consent – Courts would not enforce illegal contracts.

[2] Land – Repossession – Departed Asians Property – Repossession of expropriated property – Property allegedly held by the Appellant on lease – Termination of lease by Respondent – Ministerial consent to grant of lease – Whether grant of consent proved – Whether the lease was legal – Section 2 – Land Transfer Act of 1964 – Sections 1(2) and 14 – Expropriated Properties Act of 1982 – Sections 56 and 184 – Registration of Titles Act (Chapter 205).

Editor's Summary

On 25 June 1970, the Appellant, a non-African company wholly owned by Asians, entered into a lease agreement with one Paulo Kiddu Musisi in respect of a piece of *mailo* land (the suit property). In 1972, the Appellant's shareholders left the country following the expulsion of Asians from Uganda by Idi Amin. The suit property was then taken over by the government under the Assets of Departed Asians Decree 1973 and managed by the Departed Asian Property Custodian Board. In 1992, the Appellant applied to repossess the suit property and, in May 1993, the government issued it a letter of repossession allowing him to repossess the property under the Expropriated Properties Act of 1982. Meanwhile, following the death of Paulo Kiddu Musisi, the Respondent had assumed the role of successor in title to the reversionary interest in the suit property. The Respondent subsequently exercised the lessor's power of re-entry and, in October 1992, caused the re-entry to be noted in the register of titles on the ground that there had been a breach of the lease agreement. This had the effect of extinguishing the leasehold title and frustrating the Appellant's attempts to register the repossession of the leasehold in its name. The Respondent then threatened to have the Appellant

evicted from the disputed property. In response, the Appellant sued the Respondent contending that it was entitled to possession of the disputed property and that the Respondent's re-entry was illegally noted and therefore null and void. In its defence, the Respondent

contended that the repossession certificate relied on by the Appellant was of no effect because the lease upon which it was based had been executed in the absence of the requisite ministerial consent. It was on this issue that the case was eventually decided. At the trial of the suit, the Appellant was unable to produce a copy of the consent, which it alleged had been given in 1969, but instead called five witnesses to testify on its behalf. The trial judge found in favour of the Respondent, holding, *inter alia*, that the Appellant had failed to prove that it had obtained the ministerial consent to the lease required by section 2 of the Land Transfer Act (Chapter 202). The Appellant appealed to the Court of Appeal on the grounds, *inter alia*, that the Respondent had failed to prove that it (the Appellant) had no ministerial consent. The appeal was dismissed. The Appellant now appealed to the Supreme Court on the grounds that the Court of Appeal had erred in going behind the repossession certificate, that it erred in holding that the lease was invalid for want of ministerial consent and that the standard of proof set by the Court of Appeal was wrong. Counsel for the Appellant contended that once the suit property had been exposed to the expropriation process and a repossession certificate had been issued, the issue of ministerial consent did not arise and an aggrieved party could only challenge the order under section 14 of the Expropriated Properties Act 9 of 1982. He further argued that the Respondent could not challenge the repossession title unless there was proof of fraud under section 184 of Registration of Titles Act (Chapter 205). In reply, counsel for the Respondent contended that none of the provisions cited by the Appellant were applicable if the initial lease on which the Appellant based its claim was null and void for lack of ministerial consent.

Held – None of the provisions of the Expropriated Properties Act, The Registration of Titles Act, the Limitation Act or any other law were applicable to the case if the courts found that the lease on which the Appellant based its claim was null and void *ab initio*. Those provisions could not create or give rights that did not exist. Section 1(2)(*a*) of the Expropriated Properties Act would only have been applicable if there had been a valid lease in existence; *Walji v Ssemakula* [1999] 1 EA (SCU) and *Onapa v Punjani* [1995] LLR 71 (SCU) distinguished.

Per Mulenga JSC: The Appellant had founded its suit on ownership of the leasehold title in the suit property and not on the letter or certificate of repossession. In order to sustain its suit, the Appellant had pleaded that it was the owner of the leasehold title. The Appellant could not now allege that the Court of Appeal had gone behind the certificate of repossession, as the certificate had not been in issue in determining the validity of the lease executed in 1970.

Per Karokora JSC: Before any property could be returned to its former owners under the Expropriated Properties Act, in the first place, there must have been property owned by the alleged former owner in accordance with the law. If the Appellant's ownership lacked the minister's consent, then there was no property to vest in the government and eventually be repossessed from the government under the Expropriated Properties Act.

A court of law could not sanction what was illegal or enforce obligations arising out of illegal contracts or transactions; *Slaughter and May v Brown Doering MC NAB and Co* [1982] 2 QB 728, *Singh v Kulubya* [1963] 3 All ER 499 and *Phillips v Copping* [1935] 1 KB applied. Under section 2 of the Land Transfer Act (Chapter 202), ministerial consent had to be obtained before any lease transfer could be effected; *Manji v Begum* [1957] EA 101 and *Singh v Kulubya* [1963] 3 All ER 499

applied. Where consent was not obtained, the agreement was prohibited and void *ab initio* and nothing subsequently done could convert it into an enforceable contract. In this instance, the Appellant's failure to prove that there had been consent meant that the lease was null and void. The subsequent issue of a repossession certificate could not validate the illegal lease.

The Court of Appeal would have been justified in taking account of the Respondent's re-entry and receipt of rent as conduct evidencing the existence of ministerial consent only if there was evidence on a balance of probabilities to support it. In this instance, the evidence adduced by the Appellant was weak and the court was unable to say that it was more probable than not that the requisite ministerial consent had been obtained before the execution of the lease in 1970.

Per Mulenga JSC: The Respondent's conduct in acting on the lease by accepting rent and by re-entry could not validate an illegal contract.

Per Mulenga JSC: The Court of Appeal's holding to the effect that the Appellant's evidence did not prove to any measure that consent had been issued did not say that the evidence fell short of the required standard of proof. Rather it said that there was no proof of the fact in issue at all and what proof there was, proved the reverse. Accordingly, the issue of standard of proof did not arise.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Broadways Construction Co v Musa and others (EACA) civil appeal number 39 of 1971 (UR)

Manji v Begum [1957] EA 101 – **AP**

Onapa v Punjani [1995] LLR 71 (SCU) – **D**

Republic v Mitha [1961] EA 568

Walji v Ssemakula [1999] 1 EA 31 (SCU) – **D**

United Kingdom

Miller v Minister of Pensions [1942] All ER 372

Phillips v Copping [1935] 1 KB 15 – **AP**

Singh v Kulubya [1963] 3 All ER 499: [1963] AC 142 – **AP**

Slaughter and May v Brown Doering MC NAB and Co [1982] 2 QB 728 – **AP**

Judgment

Mukasa-Kikonyogo JSC: This is an appeal by Kisugu Quarries hereinafter to be called the Appellant. It is seeking to reverse the decision of the Court of Appeal dated 28 January 1998, which confirmed and upheld the judgment of the High Court dated 6 October 1995 dismissing its claim.

The Appellant is a non-African Company within the meaning of section 2 of the Land Transfer Act of 1964. It is wholly owned by Asians. In 1970 the,

Appellant was granted lease by a *Muganda* called Paulo Kiddu Musisi who has since died, and is referred to hereinafter as the deceased. The lease was in respect of *mailo* land comprised in *mailo* register block 244 number 903 at Kisuggu, hereafter to be referred to as the disputed property. The lease was executed on 25 June 1970. It was the Appellant's case that the requisite ministerial consent under the Land Transfer Act had been obtained in 1969 although it had no copy thereof.

In 1972 the shareholders of Appellant were forced to leave this country following the expulsion of the Asians by Idi Amin from Uganda. The disputed property which consisted of a stone quarry was taken over by the government and subsequently managed by the Departed Asian Property Custodian Board. It was later allocated to Kampala City Council which in turn leased it to a company known as M/s Stone Sales (U) Limited. Following the enactment of The Expropriated Properties Act of 1982 the Appellant acting through an agent with a power of Attorney obtained a repossession certificate under that Act which enabled it to successfully evict M/s Stone Sales (U) Limited from the disputed property and take possession of it.

The Appellant made attempts to register the, repossession of the leasehold in its name but were resisted by The Administrator-General, hereinafter to be called the Respondent. Following the death of the deceased, the *mailo* owner, the Respondent obtained letters of administration to the deceased's estate. He subsequently exercised the lessor's power of re-entry over the disputed property on the ground that the Appellant's predecessor, had defaulted on a clause within the original lease of 1970 which required review of rent every 15 years. The Respondent threatened the Appellant with eviction from the disputed property. To resist the eviction the Appellant filed an action against the Respondent in the High Court contending *inter alia* that:

1. The Appellant being a repossessor of expropriated property was entitled to possession of the disputed property.
2. The Respondent having failed to challenge the repossession certificate in accordance with section 14 of the Expropriated Properties Act 9 of 1982 had no right to resist the Appellant's occupation of the disputed property.
3. The re-entry by the respondent was null and void on the ground that there were irregularities in the notification of the re-entry.

For the Respondent it was argued that the repossession certificate was of no effect. The lease upon which the Appellant obtained repossession was null and void for want of ministerial consent under section 2 of the Land Transfer Act of 1964.

Although several issues were framed at the trial in the High Court the most important one on which the case was decided, was the validity of the lease. The question which was determined was whether the lease repossessed by the Appellant was null and void on account of lack of ministerial consent. Being a non-African Company the failure to obtain it before execution and registration of the lease was detrimental to the Appellant's claim.

To prove its claim in the High Court, the Appellant adduced evidence of five witnesses namely a former Commissioner of Lands, a Registrar of Titles at the material time, the legal officer from the Departed Asian Property Custodian Board and the two directors of the Appellant. Although the Respondent did not call a single witness the Learned trial Judge found in his favour. The Learned

trial Judge held *inter alia* that the lease purportedly obtained by the Appellant was null and void. The Appellant had failed to prove that it had obtained the requisite ministerial consent to transfer the lease in its name in accordance with section 2 of the Land Transfer Act. The Learned trial Judge therefore, dismissed the Appellant's suit on that ground alone.

Aggrieved by the dismissal of its suit, the Appellant appealed to the Court of Appeal on the ground that the Respondent had failed to prove that the Appellant had not obtained the requisite ministerial consent and that the disputed property was not expropriated.

Upon listening to the submissions of both counsel for the parties, the Court of Appeal dismissed the appeal and upheld the judgment of the High Court basically on the same ground and issue. The Justices of the Court of Appeal held that the Appellant had failed to discharge the burden of proof to show that it had obtained the ministerial consent. The evidence given by the Appellant's witnesses created a lot of doubt as to the existence of the ministerial consent.

Dissatisfied with the decision of the Court of Appeal, the Appellant lodged this appeal in this Court. It is based on the three grounds stated here below.

The first ground states that:

> "1. The Learned Justices of the Court of Appeal erred in law when they made a decision by going behind/round the repossession certificate that had not been cancelled and or in any way challenged by the Respondent in accordance with the Expropriated Properties Act of 1982 and wrongly dismissed the Appellant's appeal.
>
> 2. Alternatively but without prejudice to the foregoing paragraph, the Learned trial and Justices of the Court of Appeal erred in law when they held that the Appellant's lease was invalid for not having had a ministerial consent and yet the respondent's claim to have re-entered on the property depended on the terms of the said lease.
>
> 3. Further in the alternative and without prejudice to ground number 2, the Learned Justices of the Court of Appeal set a standard of proof too high for the Appellant to prove that he had obtained the ministerial consent".

The Appellant is hence, asking this Court to allow the appeal and make the following orders:

> "(*a*) That the judgments of the Court of Appeal and High Court be set aside.
>
> (*b*) That the Appellant be granted the declaration prayed for in the plaint in civil suit number 915 of 1993 including relief against forfeiture.
>
> (*c*) That the Appellant be granted any other relief that court deems fit under rule 3 of the Rules of this court.
>
> (*d*) That the Appellant be granted costs of this appeal and both in the Court of Appeal and the High Court".

I propose to consider the three grounds of appeal in order in which they were argued by Mr *Matovu*, learned counsel for the Appellant. With regard to ground number 1; Mr *Matovu* submitted that the decisions relied on by the Court of Appeal did not take into account the fact that the disputed property was property exposed to expropriation process.

The minister having granted a repossession certificate unless it was challenged by an aggrieved party within the meaning of section 14 of the Expropriated Properties Act the issue of consent did not arise.

Firstly, relying on section 1(2)(*a*) and (*b*) of the Expropriated Properties Act, Mr *Matovu* argued that once the Departed Asian Property Custodian Board had

taken over the property and managed it unless it handled it in accordance with Act 9 of 1982, all other laws regarding passing of title in such property were rendered unoperational.

Section 1(2)(*a*) reads is follows:

> "Any property or business which was vested in the Government and transferred to the Departed Asian Project Custodian Board under the Assets of Departed Asians Decree;
>
> (*b*) ...
>
> (*c*) ...
>
> shall from the commencement of this Act remain vested in the government and be managed by the Ministry of Finance".

Subsection 2 reads:

> "For the avoidance of doubt and not withstanding the provisions of any written law governing the conferring of title to land, property or business and passing or transfer of such title it is hereby declared that;
>
> (*a*) Any purchases transfers and grants of, or any dealings of whatever kind in, such property or business are hereby nullified and
>
> (*b*) Where any property affected by this section was at the time of its expropriation held under a lease or an agreement for a lease or any other specified tenancy of whatever description, and where such lease or a, tenancy had expired or was terminated, the same shall be deemed to have continued, and to continue in force until such property has been dealt with in accordance with this Act; and for such further period as the minister may by regulations made under this Act prescribe".

In support of his submission Mr *Matovu* cited the case of *Walji v Ssemakula* [1999] 1 EA 31 (SCU) where it was held by this Court that a re-entry made after the Act had passed, although under the Registration of Titles Act was null and void. All that the aggrieved party could have been entitled to was compensation. Secondly, it was Mr *Matovu*'s, submission that since the Respondent was not an aggrieved party within the meaning of section 14 of the Expropriated Properties Act he could not raise the issue of lack of ministerial consent.

The provisions of section 14 read as follows:

> "Any person who is aggrieved by any decision made by the minister under this Act, may within a period of thirty days from the date of communication of the decision to such a person, appeal to the High Court against such decision.
>
> (2) Where the decision is made in writing the same shall be deemed to have been communicated:
>
> (*a*) Fourteen days after the posting where it is sent to an address in Uganda and
>
> (*b*) Twenty one days after the date of posting to an address outside Uganda".

Thirdly, citing the provisions of sections 56 and 184 of the Registration of Titles Act Mr *Matovu* submitted that the Respondent could not challenge the Appellant's repossession certificate unless there was proof of fraud under section 184 of the Registration of Titles Act.

Section 56 of the Registration of Titles Act reads that:

> "No certificate of title issued upon application to bring land under this Act shall be impeached or defeasible by reason or an account of a informality or irregularity in the application or proceedings previous to the registration of the certificate and every certificate of title issued under any of the provisions herein contained shall be received in all courts as evidence of the particulars therein set forth and the entry

> thereof in the Register Book, and shall be conclusive evidence that the person named in such certificate as the proprietor of or having any estate or interest in or power to appoint or dispose of the land such estate or interest has such power".

Section 184 of the Registration of Titles Act provides that:

> "No action of ejectment or other action for the recovery of any land shall lie or be sustained against the person registered as proprietor under the provision of this Act except in any of the following cases:
>
> 'The case of a person deprived of any land by fraud as against the person registered as a proprietor of such land through fraud or against a person deriving otherwise than a transferee bona fide for value from or through a person so registered through fraud'".

Counsel for the Appellant criticised both lower courts for not addressing this issue of especially where the leases had been registered and unregistered. The Court of Appeal in fact wrongly relied on unregistered leases.

In reply Mr *Kanyeimibwa* submitted that it was not correct for counsel for the Appellant to say that the Court of Appeal went behind/round the certificate of repossession. It was not an issue in the Court of Appeal. He said that, he would have expected counsel for the Appellant to show how the Court of Appeal went round the certificate of repossession.

We heard the submissions of both learned counsel for the parties. I take the criticism of the counsel for the Appellant to be that both the High Court and the Court of Appeal wrongly ignored the certificate of repossession. They should not have considered the issue of illegality when the Appellant was in possession of a valid repossession certificate which had neither been cancelled or challenged in accordance with the Expropriated Properties Act or obtained through fraud.

I agree with the submissions of Mr *Kanyeimibwa* that sections 1(2)(*a*) and (*b*) and section 14 or any other provisions of the Expropriated Properties, sections 56 and 184 of the RTA, section 6 of the Limitation Act and any other law were not applicable to the instant case if the courts found that the lease on which the Appellant based its claim was null and void *ab initio*. The lease purportedly executed and registered in 1970 did not exist in law. The above cited provisions of the law as submitted by Mr *Kanyeimibwa* could not create or give rights which did not exist.

Sections 1(2)(*a*) and (*b*) of the Expropriated Properties Act would have been applicable if there had been a lease in existence even if it had been terminated by re-entry. The case of *Walji v Ssemakula* (*supra*) is distinguishable from the present case. In that case there once existed a valid lease which was legally terminated by the *mailo* owner by re-entry. By operation of the provisions of sections 1 and 2 of the Expropriated Properties Act the lease was renewed or revived.

In the case of *Onapa v Punjani* [1995] LLR 71 (SCU) it was held by this Court that EPA was not applicable, since by the time the Appellant had left Uganda his interest in the property had reverted to the City Council. This Court held in favour of the Respondent, that there was nothing to repossess. In order for sections 1(2)(*a*) and (*b*) to apply to property affected it must have vested in Government when the lease, agreement for lease and any other specified tenancy was still in force. In the instant case there was no valid lease which vested in the Government when the shareholders of the Appellant left Uganda. The mere fact that the Respondent enjoyed and exercised rights under

the terms of what was honestly believed to be a valid lease but which was not did not, validate a lease which was null and void, because in fact it never existed in law.

I agree with Mr *Kanyeimibwa* that there was nothing in the Expropriated Properties Act to stop the court from ascertaining an illegality or irregularity in cases involving allegedly expropriated properties. A court of law cannot sanction what is illegal. The old and well known legal maxim "*Ex turpi causa non octio*" is not confined to criminal cases only but applies to civil matters too.

Hence, Lindley LJ in his judgment in *Slaughter and May v Brown Doering MC NAB and Company* [1982] 2 QB 728 expressed the view that:

> "No court ought to enforce an illegal contract or allow itself to be made an instrument of enforcing obligations alleged to arise out of a contract or transaction which is illegal if the illegality is duly brought to the notice or the court and if the person invoking the aid of the court is himself implicated in the illegality".

The same principle was again enunciated in the case of *Phillips v Copping* [1935] 1 KB 15 where Scrutton LJ said at 21 that:

> "But it is the duty of the court when asked to give judgment which is contrary to a statute to take the point although the litigants may not take it".

With regard to the submission that the Respondent should not have raised the issue of illegality because he was not an aggrieved party as it was rightly pointed out by Mr *Kanyeimibwa* the Respondent was sued. He did not sue the Appellant. He was not challenging the Appellant's certificate of repossession. The issue of illegality was raised in defence but not as a basis of the Respondent's claim. For the same reason section 6 of the Limitation of Act is not applicable to this case. The Respondent did not bring this action. The laws cited above and conduct of the parties in this case could not have validated a lease which was null and void *ab intio*. The Court of Appeal and the High Court rightly ignored the certificate of repossession. I disagree with the submission of Mr *Matovu* that they went behind/round it. The certificate of repossession issued to the Appellant had no effect. There was nothing to repossess. The criticism by counsel for the Appellant that the Court of Appeal came to erroneous decision when it failed to apply the provisions of section 14 of Expropriated Properties Act was not justified. Ground one must fail.

I propose to take the remaining two grounds in the alternative together as the counsel argued them. There are two main criticisms in these two grounds.

Firstly it was argued by counsel for the Appellant that both the Learned trial Judge and Justices of the Court of Appeal wrongly held that the lease was invalid for want of ministerial consent. Secondly, it was submitted that the standard of proof in this case was put too high by both courts, being a civil matter.

It is mandatory for non-Africans to obtain the requisite ministerial consent under section 2 of the Land Transfer Act before any transfer could be effected. Decided cases on this statutory requirement include *Manji v Begum* [1957] EA 101. In that case it was held *inter alia* that the consent of the Governor in writing was required to a transfer of *mailo* land. Further as the agreement was like in the instant case prohibited by law and void *ab initio* nothing subsequently done could convert it into an enforceable contract. Similarly in the instant case subsequent issue of a repossession certificate could not validate the illegal lease. Hence, the decisions of both the Court of Appeal and the High Court that the

Appellant's lease was invalid for want of requisite ministerial consent could not be faulted. Other cases on this point include *Singh v Kulubya* [1963] 3 All ER 499; [1963] AC 142. The second ground in the alternative must also fail.

Under the third ground further in the alternative it was Mr *Matovu*'s contention that if the Court of Appeal had taken re-entry and receipt of rent by the Respondent as estoppel to denial of the ministerial consent, it would have come to the right conclusion. I would have been persuaded by Mr *Matovu* to accept his submission that on the conduct of both parties the ministerial consent must have been obtained if there was cogent evidence to support such a holding. It was a requirement of the law that ministerial consent was mandatory. The Appellant should have adduced satisfactory documentary evidence even if it was secondary or verbal to establish the existence of the ministerial consent. In a somewhat similar situation it was held in the case of *Republic v Mitha* [1961] EA 568 that had there been evidence of a direction by the Governor under section 16 of the Interpretation and General Clauses Ordinance, the court would have been entitled to presume that the direction had been properly given but the court was not entitled to presume that such a direction had been given without evidence. Mere conduct of party in itself cannot change or create or support rights which did not exist. The Court of Appeal would have been justified to take into account re-entry and receipt of rent by the Respondent into account as evidence of existence of the ministerial consent if there was evidence of a balance of probabilities to support it.

In my opinion the evidence adduced by the Appellant before the trial court is weak and ridden with contradictions too. I disagree with counsel for the Appellant that the Court of Appeal and High Court should have treated such contradictions as minor. It was hard to reconcile them and cannot be treated as trivial or minor. Both the Learned trial Judge and the Justices of the Court of Appeal did not find the evidence of the Appellant's witnesses to be of greater value as reflected in their judgments. The Learned trial Judge described it as "useless collection of conjecture and speculation". In the words of Twinomujuni JA in his leading judgment in the Court of Appeal he had this to say: "the evidence adduced by the Appellant helped to bury Appellant's case rather than advancing it". I entirely agree with the views expressed by both Learned Judges. As evidence stands on record I am unable to say that it was more probable than not that the requisite ministerial consent was obtained before the execution and registration of the lease in June 1970. See *Miller v Minister of Pensions* [1942] All ER 372.

In my view the Appellant's evidence was below the standard of a balance of probabilities. The Court of Appeal re-evaluated the evidence adequately. I am unable to fault the decision of the Justice of the Court of Appeal. They rightly dismissed the Appellant's appeal. In the premises, the appeal to this Court must fail, too. I would dismiss it with costs to the Respondent to this Court in the Court of Appeal and High Court.

Karokora JSC: I have read and I agree with the judgment prepared by my Learned sister Mukasa-Kikonyogo JSC, that this appeal should be dismissed with costs. I only wish to add that right from the facts as set out in her judgment all the members of the Appellant company were non-Africans. The facts revealed that the company obtained lease of the suit land in 1970 without Minister's consent. Yet section 2 of the Land Transfer Act (Chapter 202) prohibited acquisition of land by non-Africans in Uganda without Minister's consent.

Needless to say that the purported lease in 1970 which the Appellant obtained without Minister's consent was null and void. See *Singh v Kulubya* [1963] All ER 499, *Manji v Begum* [1957] EA 101 and *Broadways Construction Co v Musa and others* (EACA) civil appeal number 39 of 1971 (UR).

Secondly, on the issue of the property having been returned to the former owners under the Expropriated Properties Act 9 of 1982, it must be observed that before any property is returned to the former owners there must be in the first place have been property owned by the Appellant in accordance with the law. If Appellant's ownership lacked Minister's consent, then the purported lease was null and avoid *ab initio*. Therefore, the Appellant had no property to vest in Government and eventually to be repossessed from the Government under the Expropriated Properties Act. Like this Court held in the case of *Onapa v Punjani* [1995] LLR 71 (SCU) the Appellant in the instant case had no valid interest in the leasehold property over which the Minister of Finance had issued Certificate of Repossession, the Appellant's interest in the lease property having been null and void *ab initio*.

In the result, this appeal should be dismissed with costs as proposed by my Learned sister, Lady Justice Mukasa-Kikonyogo JSC.

Mulenga JSC: I had opportunity to read in draft the judgment prepared by Mukasa-Kikonyogo JSC, in which the facts of the case are adequately set out. I need not repeat them. The basis of the appeal is, as was the original suit, the claim that the Appellant is the lawful owner of a leasehold title created in 1970 over the suit property. The suit property was expropriated under the Assets of Departed Asians Decree 1973 but was returned to the Appellant under the Expropriated Properties Act of 1982. The Applicant sued the Respondent because the latter had as successor in title to the reversionary interest in the suit property, re-entered the same and caused the re-entry to be noted in the register of titles thereby extinguishing the said leasehold title. The Appellant's contention is that the re-entry was illegally noted and therefore null and void. The case, however, eventually centered, and was decided on, a different issue arising from the Respondent's pleading that the Appellant's lease was illegal. After hearing the evidence and arguments, the trial court decided that the leasehold interest, purportedly created in favour of the Appellant in 1970, was null and void by reason of illegality, the lease having been executed without the Minister's Consent, contrary to section 2 of the Land Transfer Act (Chapter 202). The Court of Appeal upheld that decision. The appeal to this Court was brought on three grounds framed in the alternative as follows:

> "(1) The Learned Justices of Appeal erred in law when they made a decision by going behind around the repossession certificate that had not been cancelled and or in any way challenged by the Respondent in accordance with the Expropriated Properties Act of 1982 and thereby wrongly dismissed the Appellant's appeal.
>
> (2) Alternatively but without prejudice to the foregoing paragraph, the Learned Justices of Appeal, erred in law when they held that the Appellant's lease was invalid for not having had Ministerial consent and yet the Respondent claims to have re-entered on the property.
>
> (3) Further in the alternative and without prejudice to ground number 2 above, the Learned Justices of Appeal set a standard of proof too high for the Appellant to prove that he had obtained Ministerial consent".

I am in total agreement with my Learned sister, Mukasa-Kikonyogo JSC, that all three grounds of appeal must fall. I would only add a few observations for emphasis.

In order to sustain its suit, the Appellant had to plead that it was the owner of a leasehold title created by a lease dated 26 June 1970. That was the foundation for its claim without which it could not have maintained its cause of action. It is after laying that foundation that the circumstances of expropriation and subsequent repossession of the suit property as well as the Respondent's interference with the said title could be and were pleaded. The necessary averments are set out in several subparagraphs in the plaint. The most pertinent are framed in the following manner.

> "4 The facts constituting the cause of action are as follows:
>
> (i) The plaintiff is/was at all material times the registered owner of the leasehold ... on private *mailo* register Kyadondo block 244 plot 903 at Kisugu (hereinafter referred to as the "suit property") copy of the Certificate of Title with the lease agreement of 26 June 1970 is annexed hereto and marked 'A'".

In the next two subparagraphs it is pleaded first, that in 1972 the plaintiff's directors being Asians, fled the country as a result of which the Departed Asians Property Custodian Board took over management of the suit property; and secondly, that in 1992 the plaintiff through its agent applied for repossession of the suit property. It is then averred:

> "(iv) The Government of the Republic of Uganda returned the suit property to the plaintiff and allowed the plaintiff to repossess its property vide letter of repossession from DAPCB dated 4 May 1993 a copy whereof is attached here marked 'E'".

In the following three subparagraphs the plaint narrates, in unnecessary detail in my view, the steps taken by the plaintiff to take possession of the, suit property, to sublease it, to apply for search of the register of titles and registration of the letter of repossession. It is then finally averred:

> "(viii) It was revealed from the search conducted as above stated that, the Defendant purported to cause a re-entry to be registered vide INST. 254278 registered on 1 October 1992 on the grounds contained on the application ... which is annexed hereto marked "H" and the supporting affidavit annexed hereto marked "I". Further, copy of the Certificate of Title reflecting the purported re-entry is annexed marked 'J'.
>
> 5 The plaintiff shall contend at the trial that the purported re-entry was not done in strict conformity with the provisions of the law relating to re-entry and should therefore be declared null and void".

It is evident from these pleadings that the Appellant founded its cause of action on its ownership of the leasehold title in the suit property, not on the letter or certificate of repossession, in a direct attack against that foundation, the Respondent's plea in its defence was:

> "2 The Defendant states that the alleged lease made in 1970 was illegal null and void in that there was no Minister's consent as required under Land Transfer Act".

It was as a result of these pleadings that at the start of the trial the first agreed issue for determination was framed thus:

> "(1) whether lease executed in 1970 is null and void".

When the trial court decided the issue in the affirmative, the Appellant appealed to the Court of Appeal to reverse that decision and hold that the lease was valid. The Court of Appeal was not persuaded. In my view, it is not open to the Appellant now, to complain, as it does in its first ground of appeal, that the court made its decision "by going behind/around the Repossession certificate".

The Repossession certificate was not in issue, or for that matter, relevant in the determination of the validity or illegality of the lease executed in 1970. It is noteworthy that the Appellant's proposition underlying its first ground of appeal, in this Court, to the effect that the Court of Appeal was precluded from inquiring into the validity of the lease because the repossession certificate was unchallenged, was not canvassed in the lower courts. In my view, however, even if it had been, it is not sustainable in law. If the lease was illegal as contended, it was a nullity *ab initio*, namely from its creation in 1970. There is no legal basis for the suggestion that the issuance of the repossession certificate affected that status. The Court of Appeal was under obligation, as the trial court had been, to resolve that contention irrespective of the repossession certificate. No error was thereby made.

My other observations are in regard to the Appellant's contention that the Court of Appeal ought to have held that the lease was valid because the Respondent acted under it upon the re-entry, and alternatively because, there was sufficient evidence to prove that the Minister's consent had been obtained. On the first alternative, I need only say that the conduct of the Respondent in acting on the lease by accepting rent and by re-entry as if it was a valid lease, could not validate an illegal contract. A lease executed in contravention of section 2 of the Land Transfer Act is without any exception, an illegal contract. It is trite law that the court cannot be used to enforce an illegal contract even if both parties entered into it willingly. See *Singh v Kulubya* (*supra*).

On the second alternative the Appellant's counsel argues that the Court of Appeal set the standard of proof too high. With due respect to counsel, this is a misconstruction of the court's holding. In the leading judgment of the Court of Appeal, Twinomujuni JA, after very thoroughly considering and re-evaluating the evidence, agreed with the Learned trial Judge that the evidence on the issue of ministerial consent was "nothing but a useless collection of conjecture and speculation". He went on to conclude:

> "In my judgment this evidence only helps to bury the Appellant's cause rather than advance it. I am satisfied that the evidence *did not prove to any measure* that the minister had issued the necessary consent. In fact, I venture to hold that the consent was never obtained". (emphasis added)

This holding is not to say that the evidence fell short of the required standard of proof. It is a holding that there was no proof of the fact in issue at all, and that the evidence, such as there was, proved the reverse. In my view the issue of standard of proof does not arise. The Appellant has not advanced any ground, why this Court should, on a second appeal, interfere with that holding of the Court of Appeal, or why we should re-evaluate the evidence. I would therefore uphold the decision of the Court of Appeal that there was no proof that the Minister gave consent to the lease but rather that there was some evidence, albeit circumstantial, showing that he did not give the consent.

I agree that the appeal be dismissed.

(Oder and Kanyeihamba JJSC concurred in the judgment of Mukasa-Kikonyogo JSC).

For the Appellant:
Matovu

For the Respondent:
Kanyeimibwa

Lwanga v Centenary Rural Development Bank
[1999] 1 EA 175 (CAU)

Division: Court of Appeal of Uganda at Kampala

Date of Judgment:	27 March 2000
Case Number:	30/99
Before:	Okello, Bahigeine and Twinomujuni JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Civil procedure – Interest – Damages for wrongful dismissal – Award of interest – Rate of interest – Types of interest – Jurisdiction to include interest in award of damages – Principles to be applied in determining rate – Whether trial court applied principles correctly – Section 26 – Civil Procedure Act (Chapter 65).

[2] Evidence – Damages – Special damages – Wrongful dismissal – Burden of proof – Onus on plaintiff to prove special damages – Conflicting evidence adduced – Whether burden discharged – Section 132 – Evidence Act (Chapter 43).

[3] Evidence – Document – Assessment of conflicting documentary evidence – Reflections on quantity and quality of conflicting evidence.

Editor's Summary

In September 1996, the Appellant filed suit against the Respondent seeking general damages, special damages, and exemplary damages together with interest and costs of the suit for wrongful dismissal, false arrest, unlawful detention and malicious prosecution. The plaint initially claimed special damages in the amount of UShs 19 million but, after some amendments, the figure was fixed at UShs 21 million. In its statement of defence, the Respondent included a counterclaim seeking to recover the sum of UShs 5 576 987 being the principal and interest on money allegedly loaned to the Appellant but admitted liability and offered to pay a sum of UShs 15 535 265 as special damages in respect of the main cause of action. An interlocutory decree for that amount was then entered in favour of the Appellant and a hearing held to determine the balance of the special damages as well as the quantum of general and exemplary damages. As part of his evidence, the Appellant adduced a document, purported to be the Respondent's salary schedule, showing the salary scale and allowances of each member of staff. The Respondent, with the consent of the Appellant, then tendered in evidence a different document showing its salary scales for purposes of comparison with the Appellant's document. The trial judge found, *inter alia*, that the Appellant had failed to prove further special damages beyond that admitted and ordered that the admitted amount carry interest at 6% from the date of filing the suit until payment. No ruling was made on the counterclaim. The Appellant appealed on the grounds that the trial court erred in holding that he was not entitled to further special damages, that it erred in failing to dismiss the counterclaim and also in failing to award interest from the date of dismissal to the date of institution of the suit.

Held – The Appellant's contention that the evidence submitted on his behalf had not been controverted was erroneous in view of the fact that the Respondent had adduced a document in evidence to contradict that produced by the Appellant. Moreover, it was generally not the quantity of evidence that proved a fact but rather its quality. In this instance, the trial court had carefully analysed

all the evidence and found the Respondent's document more credible. It was entitled to do so and the handling of the issue could not be faulted.

Section 26(2) of the Civil Procedure Act empowered the court to award three types of interest: interest adjudged on the principal sum from any period prior to the institution of the suit, interest on the principal sum adjudged from the date of filing the suit to the date of the decree, and interest on the aggregate sum from the date of the decree to the date of payment in full; *Gulam Husein v French Somali Land Shipping Co Ltd* [1959] EA 25 considered. In cases of wrongful dismissal, interest was payable from the date of dismissal; *Bold v Brough, Nicholson and Hall Ltd* [1963] 3 All ER 849 adopted. In this instance, the Appellant would have been entitled to the principal amount had he not been wrongfully dismissed and, as he was denied the use of the money, he was entitled to interest on it prior to the institution of the suit at a reasonable rate. In the circumstances, the current bank rate of 20% would be considered reasonable.

The trial court erred in failing to dismiss the counterclaim in view of the fact that the Respondent adduced no evidence to support that claim. This ground of appeal would therefore succeed.

Appeal allowed in part with costs to the Appellant.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Gulam Husein v French Somali Land Shipping Co Ltd [1959] EA 25 – **C**

Muguzi v Centenary Rural Development Bank High Court civil suit number 812 of 1995

United Kingdom

Bold v Brough, Nicholson and Hall Ltd [1963] 3 All ER 849 – **A**

Crerner v General Carmers SA [1974] WLR 341

Judgment

Okello JA: This appeal is against the judgment and orders of the High Court (Byamugisha J) given on 12 May 1998 in High Court civil suit number 887 of 1996.

The Appellant had sued the Respondent in High Court civil suit number 887 of 1996 seeking general damages, special damages of 21 million shillings and exemplary damages for wrongful dismissal, false arrest, unlawful detention and malicious prosecution. He also sought interest on the amount claimed and costs of the suit.

In its written statement of defence, the Respondent filed a counterclaim in which it sought to recover UShs 5 576 987 being principal and interest allegedly loaned to the Appellant. At the beginning of the trial, the Respondent admitted liability and offered to pay a sum of UShs 15 535 265 as special damages. Upon that admission, an interlocutory decree was entered in favour of

the Appellant for that amount. Hearing proceeded to determine the balance of the special damages and to assess the quantum of general and exemplary damages.

At the close of the trial, the trial Judge made the following orders:

"1. The Appellant did not prove any further special damages beyond that admitted;

2. UShs 15 535 265 to carry interest of 6% per annum from date of filing the suit till payment in full;

3. Two million shillings as exemplary damages against the Respondent;

4. Five million shillings as general damages against the Respondent;

5. Taxed costs of the suit in favour of the Appellant".

There was no ruling on the counterclaim. The Appellant was aggrieved by orders numbers 1, 2 (as regards the rate of interest) and failure of the trial court to rule on the counterclaim. Hence this appeal.

There are three grounds of the appeal, namely:

"(1) The Learned trial Judge erred in law and fact when she wrongly held that the Appellant was not entitled to special damages because he had no basis for his calculation.

(2) The Learned trial Judge further erred in law when she failed to dismiss the counterclaim.

(3) The Learned trial Judge erred in law when she failed to award interest from the date of dismissal to the date of institution of the suit".

The Appellant sought from this Court orders that:

"(i) The order of the High Court for special damages be varied to include a higher award of UShs 13 544 200 (Shillings thirteen million, five hundred forty four thousand two hundred only).

(ii) The counterclaim be dismissed with costs in favour of the Appellant.

(iii) This court makes an award of interest on the principal sum for the period prior to the institution of the suit.

(iv) Costs of the appeal be provided".

The Appellant's complaint in ground 1 above that the trial Judge erred in holding that the Appellant did not prove any further special damages beyond that admitted. Mr *John Matovu*, learned counsel for the Appellant adopted his argument in the trial court. The gist of that argument is that the Appellant testified on his own behalf as (PW1), called the evidence of Masaba William PW2, also a former employee of the Respondent and adduced Exhibit P4, supposedly the Respondent's salary schedule showing the salary scale and allowances for each member of staff. In counsel's view, the above evidence was not controverted as the Respondent called no evidence. He dismissed Exhibit D2, the Respondent's salaries scales, admitted in evidence by consent of both parties for comparison with Exhibit P4, as forged.

Mr *Kakuba*, learned counsel for the Respondent, also adopted his arguments at the trial. The substance of his said arguments is that Exhibit P4 on which the Appellant based the calculation of his special damages was not authentic as its source was not certain. In his view, the trial Judge was right to have believed Exhibit D4 instead of the unauthenticated Exhibit P4.

The trial Judge dealt with this issue in her judgment this way:

"In their submissions both counsel persuaded court to rely on their respective documents. I have, had opportunity to look at both documents that is Exhibit D2 and Exhibit P4. At the time both documents were issued, the Plaintiff was no longer an

> employee of the bank. In his testimony, he stated that he got the scales from his friends in the bank. Counsel for the plaintiff in his submission referred court to the case of *Muguzi v Centenary Rural Development Bank* High Court civil suit number 812 of 1995 where the court used Exhibit P4 and disregarded the schedule of the bank. He therefore claimed that there is good reason for the Defendant to prepare forged documents and he invited court to treat Exhibit D2 as useless. Counsel for the Defendant however urged court to treat Exhibit D2 as authentic. He submitted that it is highly unlikely that an organisation like the Defendant bank would give verbal instructions to PW2 to effect payment of salaries without putting those instructions in writing.
>
> Exhibit D1 and D2 are both certified copies of the original. They were tendered by consent for purposes of comparison with Exhibit P4. When both scales are looked at, it becomes apparent that Exhibit D2 was accompanied with instructions to all branch managers to effect payment of the revised emoluments for the staff of the bank. Therefore I do not accept the testimony of PW2 that he used to get verbal instructions. All correspondence in Exhibit D2 appear to have emanated from the Personnel Manager, Principal Officers of the Bank. I am not persuaded that they forged the salary scales in order to defect the plaintiff's claim. Admittedly the Plaintiff was at a disadvantage in that when salaries were being revised, he was no longer an employee of the Defendant and therefore had no access to official information of the bank but that alone does not entitle him to use documents and get damages that he would not otherwise get. Exhibit P4 shows that the figures contained therein were proposed emoluments for management staff. It is therefore reasonable to conclude that the proposal were later made official in Exhibit D2. The Plaintiff in his testimony admitted that some figures are similar and others are different. This might be an indication that the proposed emoluments were adjusted before being officially published by the Defendant. Further more, the Plaintiff's original plaint filed on 28 September 1996 contained a claim of over 19 million shillings as special damages. This figure was amended to over 30 million on 7 March 1997 and further amended to over 21 million. In my view this shows that the Plaintiff did not have reliable information on which to base his calculation. All in all, I think the Plaintiff has not proved the special damages strictly as the law requires and the figure admitted by his former employer should in all fairness be the correct figure".

I cannot fault the Learned trial Judge in the above manner she dealt with the issue. She considered and analysed all the evidence before her and gave reasons for rejecting one side for the other.

Mr *Matovu* argued that the Appellant gave evidence on his behalf, called the evidence of Masaba William PW2 and adduced a documentary Exhibit P4 to support his claim while the Respondent did not adduce any evidence in rebuttal. He submitted that since that evidence for the Appellant was not controverted, the trial Judge ought to have found that the Appellant had proved his special damages beyond the amount admitted. With respect to the learned counsel, I do not agree with that argument.

Firstly, it is not true that the Respondent did not adduce evidence. The salary scale Exhibit D2 was adduced by the Respondent and was admitted in evidence by consent of counsel for both parties. This is evidence. It was considered together with Exhibit P4 and other oral evidence adduced by and for the Appellant.

Secondly, it is not true that the evidence for the Appellant was not controverted. The record shows that both PW1 and PW2 were cross-examined on the two documentary evidence and both admitted under cross-examination that the two documents are different. Further, the credibility of these witnesses were also

tested in cross-examination. Exhibit D2 was adduced to controvert Exhibit P4 that was adduced on behalf of the Appellant.

Thirdly, it is generally not the quantity of evidence that proves a fact but rather the quality of the evidence that matters. (See section 132 of the Evidence Act).

In the instant case, the trial Judge carefully analysed the evidence of PW1, PW2 and Exhibit P4 and D2. Of all these, she found that Exhibit D2 was more credible and believed it. She was entitled to do so. Counsel for the Appellant did not show us where the Learned Judge went wrong.

I find no merit in this ground and would fail.

The next is ground 2. The Appellant's complaint here is against the failure of the trial Judge to rule on the counterclaim. According to Mr *Matovu*, the Respondent had filed a counterclaim in which it sought to recover a specified sum it allegedly loaned to the Appellant. The Appellant responded to the claim denying it. At the trial, the Respondent adduced no evidence to prove that claim. Yet the trial Judge made no ruling on the counterclaim. In Mr *Matovu*'s view, that was an error on the part of the trial Judge. She should have dismissed the counterclaim with costs in favour of the Appellant.

Mr *Kakuba* conceded that the Respondent did not prove its counterclaim.

It is trite that the rules of pleadings apply to a counterclaim and to a defence thereto as though they are respectively a statement of claim and defence. (See *Precedents of Pleadings* by Bullen and Leake and Jacob (12ed) at 97).

It is an elementary principle that the Respondent had the duty to prove its claim in the counterclaim to succeed. As it adduced no evidence in proof of the claim, the trial Judge ought to have made appropriate finding thereon. Unfortunately she did not. I think this was an error. There is merit in this complaint and the ground would succeed.

Finally, the complaint against the trial Judge's failure to award interest on the principal sum from the date of the Appellant's dismissal to the date of institution of the suit. Mr *Matovu* argued that the UShs 15 535 265 adjudged in favour of the Appellant special damages attracted commercial interest for that period prior to the institution of the suit. In his view section 26(2) of the Civil Procedure Act (Chapter 65) empowers court to award such interest He also cited *Gulam Husein v French Somali Land Shipping Company Limited* [1959] EA 25 at 28 in support of that view.

In response, Mr *Kakuba* contended that the issue of interest is a matter of discretion of the court. In his view, the lower court did exercise its discretion and awarded interest at the rate it deemed appropriate and applied it to the period it considered appropriate. He argued that in contract cases like the present one, where the parties agreed on payment of interest on the principal sum prior to institution of a suit, it should be followed. However, where there is no such agreement as it is in this case, no such award can be made.

The trial Judge dealt with the issue in her judgment in this way.

> "The question of 40% interest rate claimed in the plaint was raised by the defence. The contention here is that the interest is too high or that it is not awardable in cases of breach of contract. Section 26(2) of the Civil Procedure Act provides:
>
> 'Where and in as far as a decree is for the payment of Money, the court may, in the decree order interest at such rate as the court deems reasonable to be paid on the

> principal sum adjudged from the date of the suit to the date of the decree in addition to any interest adjudged on such principal sum for any period prior to the institution of the suit, with further interest at such rate as the court deems reasonable on the aggregate sum so adjudged from the date of the decree to the date of payment or to such earlier date as the court thinks fit.'
>
> The above provisions, I think gave court discretionary powers to award any rate of interest which it considers reasonable. I consider that interest of 40% claimed in the plaint as unreasonable in the circumstances of this. I have not come across a case like the present one where such interest has been awarded. I consider the court rate of 6% per annum a reasonable rate ...
>
> The sum of UShs 15 535 265 which was admitted by the Defendant will carry interest from the date of filing the suit till payment in full".

A proper construction of section 26(2) would show that it empowers court to award three types of interests at the rate it deems reasonable:

(1) Interest adjudged on the principal sum from any period prior to the institution of the suit. Here, the court must first decide on the evidence, the question of awardability of this interest and then on the rate at which it is to be awarded if any.

(2) In addition to that, interest on the principal sum adjudged from the date of filing the suit to date of decree. Here, the court decides at its discretion which must be made judicially, the rate of interest to be awarded.

(3) Further to the above, interest on the aggregate sum so adjudged, from date of decree to date of payment in full.

Gulam Husein (*supra*) to which Mr *Matovu* referred us does not seem supportive of his view. It seems to suggest that the question of interest prior to the institution of the suit is a matter of substantive law.

Ogus on the Law of Damages at 100 rationalises award of interest in two ways:

(1) that the Plaintiff is thereby being compensated for being kept out of his money. He has been deprived of the use of his money from the time he incurred his loss. On that basis, interest is to run from that date.

(2) that the Defendant wrongfully withheld the Plaintiff's money. The emphasis here is on the Defendant's wrongful withholding of the Plaintiff's money. On that basis, interest is to run from the date when the Defendant ought reasonably to have settled the plaintiff's claim. This is rather punitive.

It is clear from the above that whether or not interest is payable for the period prior to the date of the suit depends on the evidence available. That is why section 26(2) referred to that type of interest as "interest adjudged".

In cases of wrongful dismissal, interest runs from the date of dismissal. *Bold v Brough, Nicholson and Hall Ltd* [1963] 3 All ER 849 at 858 is a good example of this. In that case, Bold was employed by the Defendant as a Managing Director. On 27 July 1962 he was dismissed by the Defendant. In October 1962 he sued the Defendant for wrongful dismissal and sought *inter alia* damages for loss of earning and interest thereon judgment was entered for the Plaintiff and damages were later assessed. The rate of interest which was put at 5% per annum was ordered by court to run from the date of dismissal.

In the instant case, the trial Judge did not decide on the evidence before her whether interest was payable on the principal sum admitted for the period prior to the institution of the suit and if so at what rate. She only concerned herself with the rate of interest for the period from the date of the suit till payment. The evidence shows that the Appellant was entitled to that amount had he not

been wrongfully dismissed. He claimed a commercial interest of 40% because he would have invested the money if he had been paid earlier. I think that is speculative and does not justify an award of a commercial interest. As he was denied the use of the money he was entitled to interest on it prior to the institution of the suit at a reasonable rate. I would put that at 20% it being the current Bank interest rate which I consider reasonable. This is to run from the date of his dismissal to the date of the suit.

Accordingly I find merit in this ground.

In the result, I would allow the appeal in part. Grounds 2 and 3 succeed. The orders of the lower court are set aside and for them substituted the following:

(1) The sum of UShs 15 535 265 special damages which the Defendant admitted shall carry:

(*a*) Interest at 20% per annum from the date of the Appellant's dismissal to date of filing the suit.

(*b*) The principal sum adjudged shall carry interest at 6% per annum from the date of filing the suit to date of decree.

(*c*) In addition, the aggregate sum awarded shall carry interest of 6% per annum from date of decree till payment in full.

(2) Counterclaim is dismissed with costs in favour of the Appellant.

(3) The Respondent shall pay the Appellant's costs of this appeal.

As Mpagi-Bahigeine JA and Twinomujuni JA, both agree, the appeal is allowed on the above terms.

Mpagi-Bahigeine JA: I have read in draft the judgment of GM Okello JA. I am of the same opinion. However I would only make a brief comment on the issue of interest. In principal, interest should run only from the date (after accrual of the cause of action) when the Plaintiff incurred the loss in question, but the court has a discretion to fix a later date especially where the Plaintiff has unreasonably delayed in filing suit which we have not found to be so in this case. The court is empowered under section 26 of the Civil Procedure Act to award interest at different rates in respect of different periods.

In business context under which Mr *Matovu* sought to claim for the increased rate of 40%, the court would adopt an approach which broadly reflects and represents the rate at which the successful party would have had to borrow the amount recovered over that period in question *Crerner v General Carmers SA* [1974] WLR 341. The Appellant's cause of action which was rooted in unlawful arrest, wrongful dismissal and malicious prosecution can hardly be classified as business to attract such a high rate. I would therefore agree with the rate of 20% proposed by Okello JA from date of dismissal to the date of filing suit.

I also concur with the other orders as made by him.

(Twinomujuni JA concurred in the judgment of Okello JA).

For the Appellant:
J Matovu

For the Respondent:
Kakuba

Magana Holdings Ltd v Mungai and another

[1999] 1 EA 182 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of ruling:	3 December 1999
Case Number:	143/96
Before:	Gicheru, Omolo and Shah JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Appeal – Record of appeal – Application to strike out appeal – Format of order appealed against – Whether order appealed against was defective – Whether order had to be drawn up in the same manner as a decree – Section 2 – Civil Procedure Act (Chapter 21) – Order XX, rules 6(1) and 7(6) – Civil Procedure Rules – Rule 85(1)(h) – Court of Appeal Rules.

Editor's Summary

The Appellant herein desired to file an appeal against the order of the High Court made against it on 13 February 1996. Prior to filing the appeal, counsel for the Appellant drew up the order in question together with the order giving leave to appeal and sent them to the Respondents' advocates for their approval. The Respondents' advocates did not respond to the request whereupon the registry of the High Court approved and sealed the orders. The Appellant subsequently filed his appeal to the Court of Appeal. Counsel for the Respondents now applied for the striking out of the appeal on the grounds that the order appealed against was fatally defective for failure to comply with Order XX, rules 6(1) and 7(6) of the Civil Procedure Rules, in that it did not set out the relief sought in the application. It was submitted on behalf of the Respondents that an order appealed against had to follow the same format used in the drawing of a decree of the High Court. In their submissions, counsel for the Respondents also sought to rely on the decision of the Court of Appeal in *Shah v Aperit Investment SA* [2000] 2 EA 519 (CAK) where the court had stated that an Order had to be prepared in a like manner as a decree.

Held – Having failed to reply to the request to approve the orders, Respondents' counsel could not now be heard to say that the order did not comply with procedural requirements.

Section 2 of the Civil Procedure Act defined a "decree" and an "order" separately and the format of a decree was different from that of an interlocutory order. There was no requirement in rule 85(1)(*h*) calling for the drawing of an order in the same manner as a decree.

It was not clear whether the court in *Shah v Aperit Investment SA* [2000] 2 EA 519 (CAK) had had its attention drawn to the fact that there were separate forms prescribed under the Civil Procedure Rules for orders and for decrees. It would thus appear that its observations in that case had been made *per incuriam*.

Application dismissed.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means

disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Shah v Aperit Investment SA [2000] 2 EA 519 (CAK)

Ruling

Gicheru, Omolo and Shah JJA: Mr *Ochieng Oduol* who appears for the Respondent in the appeal has moved this Court by way of a notice of motion in the appeal for orders to the effect that the appeal itself be struck out with costs. He also sought orders to the effect that his client be at liberty to apply for further orders and/or directions as this Court may deem fit and just to grant.

The grounds upon which he seeks the striking out of the appeal are as follows:

"I. The order against which this appeal has been preferred is fatally defective in so far as it does not comply with the requirement of Order XX, rules 6(1) and 7(6) of the Civil Procedure Rules. It does not set out the relief sought in the application, which was the subject matter of the ruling appealed from which renders the appeal incurably defective.

II. The order granting leave to appeal is totally defective in so far as it does not comply with the requirement of Order XX, rules 6(1) and 7(6) of the Civil Procedure Rules.

III. An essential step has not been taken as is required by the Rules".

The substratum of Mr *Oduol*'s argument is that an Order appealed against must follow the same format as is used in the drawing of a decree of the superior court, that is to say, that it must first set out the claim and then the body of the Order must set out what is normally set out in a decree. He says that the formal order appealed against is a primary document and therefore must comply fully with the Civil Procedure Act and Civil Procedure Rules.

A decree is defined in section 2 of the Civil Procedure Act as follows:

> "'decree' means the formal expression of an adjudication which, so far as regards the court expressing it, conclusively determines the rights of the parties with regard to all or any of the matters in controversy in the suit and may be either preliminary or final; it includes the striking out of a plaint and the determination of any question within section 34 or section 91 of this Act, but does not include:
>
> (*a*) Any adjudication from which an appeal lies as an appeal from an order; (underlining supplied) or
>
> (*b*) Any order of dismissal for default".

The same section defines "order" as follows:

> "'Order' means the formal expression of any decision of a court *which is not a decree* and include rule *nisi*".

It is clear that section 2 of the Civil Procedure Act defines a "decree" and an "order" separately and that a "decree" does not include "any adjudication from which an appeal lies as an appeal from an "order".

The order against which this appeal has been lodged was made on 13 February 1996 by the superior court (Hayanga J).

It is common ground that the Appellant's advocates drew the order in question, as well as the order giving leave to appeal and sent the same to Mr *Ochieng Oduol* for approval. He did not respond to the request and the registry of the superior court approved and sealed the same upon request by the Appellant's

advocates in terms of Order XX, rule 7(2) of the Civil Procedure Rules as read with subrule (6) thereof.

Mr *Ochieng Oduol* cannot now be heard to say that the order as drawn does not comply with procedural requirements.

Further, in so far as this Court is concerned, the requirement in rule 85(1)(*h*) does not call for drawing of an order in the manner a decree is drawn.

Mr *Ochieng Oduol* drew our attention to what was stated by this Court in the case of *Shah v Aperit Investment SA* [2000] 2 EA 519 (CAK). The court said *inter alia*:

> "Another defect of similar effect is that the Order does not as required by Order XX, rules 6(1) and 7(6) of the Civil Procedure Rules, to be prepared in a like manner as a decree, set out as it should, the particulars of the claim or the relief sought in the application which was the subject matter of the Ruling. We will no longer condone this kind of infringement of the provisions of the Civil Procedure Rules where a primary document is involved".

We do not know whether the attention of the court was drawn to the fact that there are forms prescribed under the Civil Procedure Rules. The format of a decree is separate from the format of an interlocutory order. The definitions of "decree" and "order" in the Civil Procedure Act are different. We need not say any more on this point; suffice it to say that section 89 of the Civil Procedure Act mandates that the procedure in regard to suits shall be follows as far as it may be applicable (underlining supplied) in any court of civil jurisdiction. As an illustration of what we are saying, Form number 6 in Appendix B of the Civil Procedure Rules, sets out the format of an order to produce documents for inspection. Although it is the form of an order made after hearing both parties it does not follow the format of a decree. It follows the kind of format adopted by the Appellant in this appeal. The same observations would apply to Form number 8 in Appendix E or Forms number 13 and 14 in Appendix G. It may well be that the court's attention was not drawn to these Forms and if that is so, the observations in the case of *Shah* (*supra*) would have been made *per incuriam*.

In the result the application dated 26 November 1999 is dismissed with costs.

For the Appellant:
M Kilonzo instructed by *Kilonzo & Co*

For the Respondent:
O Oduol instructed by *Ochien'g Oduol, Onyango, Kibet & Ohaga*

Matsiko v Uganda
[1999] 1 EA 184 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of Judgment:	17 December 1999
Case Number:	75/99
Before:	Okello, Engwau and Kitumba JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

[1] Criminal procedure – Locus in quo – *Visit by court to scene of crime – Right of accused to be present at trial – Presence of accused and his counsel at scene not noted in*

record of proceedings – Whether the accused's rights had been violated – Article 28(5) – Constitution of Uganda.

[2] Evidence – Witnesses – Recording of testimony of witnesses by court – Comments made by judge regarding demeanour of witness – Whether trial judge's comments were prejudicial – Trial on Indictments Decree 26 of 1971.

Editor's Summary

The Appellant was convicted on a charge of murder contrary to section 183 of the Penal Code and sentenced to death. Evidence adduced at his trial showed that the deceased had been struck on the back of the neck as he sat in his kitchen with his son. The deceased's son testified that his father had been sitting with his back to the door when an attacker had entered and struck him on the back of the neck with a *panga*. The attacker had then run away. The son identified the Appellant as the attacker. The Appellant set up an alibi defence but this was rejected by the trial Judge, who convicted him as charged. His appeal set out two grounds of appeal but at the hearing of the appeal the only ground argued was that the trial Judge had erred in failing to properly evaluate the evidence before him. The Appellant's counsel contended that remarks noted down by the trial Judge to the effect that the principal prosecution witness had appeared to be very truthful suggested that the trial Judge had believed the witness before hearing other evidence, including the defence evidence, and that this had been prejudicial to the Appellant. He submitted that this prejudice had been compounded by the manner in which the proceedings at the scene of the crime had been conducted by the trial Judge. Counsel for the Respondent conceded that the proceedings at the scene had been improperly conducted but contended that the Appellant could still have been properly convicted on the basis of the strong identification evidence before the court.

Held – There was no provision in the Trial on Indictment Decree, which governed the conduct of criminal proceedings in the High Court, permitting the recording of such remarks regarding the demeanour of witnesses as the trial Judge thought material. There was, accordingly, no legal basis for such a practice. In this instance, the trial Judge's remarks amounted to a conclusion that had been improperly drawn for that stage of the trial.

Article 28(5) of the Constitution afforded an accused the right to be present during his trial. A trial could proceed in the absence of an accused only where the accused consented or where his conduct was such as to make it impracticable to continue with the proceedings in his presence and the court made an order for his removal. In this instance, the irresistible inference to be drawn from the fact that the record of the proceedings did not indicate the presence or absence of the Appellant and his counsel at the *locus* was that they had not been present. As the Appellant's absence had not been ordered by the court, his absence was a violation of his constitutional rights under article 28(5).

The purpose of a view of a *locus in quo* was to check on the evidence already given and, where necessary and possible, to have such evidence visually demonstrated. After such a view, it was essential that the Judge involved exercise great care not to constitute himself a witness in the case; *Mukasa v Uganda* [1964] EA 698 followed. Proceedings at a *locus in quo* were an integral part of the trial and could not, as suggested by counsel for the Respondent, be expunged from the rest. The observations made by the trial Judge at the *locus* suggested that the

visit had been prompted by a desire to resolve doubts regarding evidence earlier adduced in court and, if that were indeed the case, the visit had been irregular.

Accordingly, the trial Judge's remarks together with the defective proceedings at the *locus in quo* constituted a mistrial. The appeal would be allowed, conviction quashed and sentence set aside. Retrial ordered before a different judge.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Mukasa v Uganda [1964] EA 698 – **F**

United Kingdom

Karamat v Queen [1955] 40 CAR 13

Tameshwa and another v Reginam [1957] 4 CAR 156

Judgment

Okello, Engwau and Kitumba JJA: This appeal is against conviction. The Appellant was on 8 June 1999 convicted by High Court (Musoke-Kibuuka J) sitting at Mbarara of murder contrary to section 183 of the Penal Code Act in criminal session case number 434 of 1996 and was sentenced to death.

The deceased Charles Baryayebwa, was on or about 20 June 1995 at about 9:00pm seated in his kitchen with his son Mwebaze Ivan (PW2). He was seated close to the door washing his feet with his back towards the door. Mwebaze sat facing the door. There was a wick candle (*tadoba*) burning in the kitchen with also a burning firewood from the fire place when an attacker struck the deceased once on the neck, with a *panga* and ran away. Mwebaze saw the attacker and identified him as the Appellant. He shouted that "*Tata bamwita*" meaning that my father has been killed. This shout and the cutting blow were heard by Jovario Baramya (PW1) the wife of the deceased who was in the main house putting a baby to sleep. She came out and Mwebaze named to her, the Appellant as the attacker. Together with his mother, Mwebaze chased the Appellant for some distance and stopped. They returned to the kitchen where the deceased was and continued raising alarm. The deceased soon died from the injury he had sustained. Many people answered the alarm and the matter was reported to the authorities.

The following morning, Dr Amoti Kaguna (PW5) carried out post mortem examination on the body of the deceased. He opined that the cause of death was excessive bleeding from the deep cut wound. The Appellant was arrested that morning from the home of the deceased and was eventually charged with the murder of the deceased. The deceased and Rwakakaiga, the father of the Appellant, had a longstanding land dispute. The matter was pending in the Chief Magistrate's Court at Mbarara after the deceased had won the case through the Local Council Courts.

At the trial, the Appellant set up a defence of alibi which the trial Judge considered and rejected.

The memorandurn of appeal sets two grounds of appeal but at the hearing, the second ground was abandoned, rightly so in our view, as it was against the mandatory sentence. The only ground that was argued was that:

> "The Learned trial Judge erred when he failed to properly evaluate the evidence before him as a whole which resulted into a miscarriage of justice to the detriment of the Appellant".

Prof *Joseph Kakooza*, learned counsel for the Appellant, conceded that all the essential ingredients of the offence of murder have been proved in this case beyond reasonable doubt except the identification of the Appellant as the culprit. This narrowed the issue in this appeal to only one of identification. The prosecution case on this point depended wholly on the evidence of a single identifying witness, Mwebaze Ivan.

Prof *Kakooza* criticised the trial Judge for the remarks he made about this witness thus:

> "Court: Demeanor of this witness is excellent. He demonstrates a lot of calmness, consistency and confidence. He appears to be very truthful".

According to Prof *Kakooza* , the above remarks suggested that the trial Judge had believed the witness before he had even heard the other witnesses including the defence evidence. Mr *Berije*, Commissioner for Civil Litigation who appeared for the State, submitted that the above remarks were not conclusive. Prof *Kakooza* replied that the prejudice caused to the Appellant by the remarks was compounded by the further prejudicial conduct of the proceedings at the *locus in quo* by the trial Judge. He pointed out that the proceedings at the *locus* do not show that the Appellant or his lawyer was present. Even if they were present, his lawyer was never given the opportunity to cross-examine or comment on whatever was said or pointed to court by either Baramya or Mwebaze.

Mr *Berije* conceded that the proceedings at the *locus in quo* were improperly conducted by the trial Judge. He however, contended that even without the proceedings at the *locus in quo*, the trial Judge could still have convicted the Appellant on the strong evidence of identification available, before him. He urged us to find that the Appellant was properly convicted.

The proceedings at the *locus in quo* were conducted by the trial Judge on 11 May 1999 after the close of the prosecution and the Appellant's case but before the submissions of both counsel. The proceedings went as follows:

> "11 May 1999.
>
> At the *locus* at Rushaka 1, Rugarama Bushesha.
>
> Court as before: PW1 and PW2 at the *locus*:
>
> Court: The purpose of our court's visit to the *locus* in this case is to verify the distances involved in the evidence of PW2. That is whether PW2 could from where he was standing after allegedly chasing the accused be in position to see the torch light up to the house of the accused. We have also to verify whether there exists a hill between the home of the accused and that of the deceased.
>
> Court: PW2 and PW1 took court to the site where the kitchen used to be. It is no longer there. The main house is also in ruins. The Kraal is gone. What used to be the path to the home has been dug and planted with crops. All are shown to court.
>
> Court: PW1 shows court where he passed chasing the attacker and where he stopped on the main road. It is about 100 meters distance and about 50 to 1100 meters

> to the home of the accused. From where PW1 says he stopped one can easily see any torch light up to the accused's home in spite of some scanty shrubs and grass. There is certainly no hill in existence between the two neighbouring houses. The land gently slides downwards from the home of the deceased to that of the accused with other houses in between or nearby except across the valley.
>
> Musoke-Kibuuka VF
>
> Judge
>
> 11 May 1999".

Criminal proceedings in the Magistrates' Courts are governed by the Magistrates' Court Act of 1970 (MCA) as amended while similar proceedings in the High Court are governed by the Trial on Indictment Decree number 26 of 1971 (TID) as amended. Section 139 of the Magistrates' Court Act permits the recording of such remarks if any, as the Magistrate thinks material respecting the demeanor of such witness whilst under examination. There is no corresponding section in the TID. The repealed Criminal Procedure Code Act (Chapter 107) which governed criminal proceedings in both Magistrates' Courts and the High Courts had section 192 which was similar to section 139 of the MCA above. It applied to the recording of evidence in Magistrates' Courts only. The recording of evidence in the High Court was governed by section 201. That section allowed the Chief Justice to from time to time make rules prescribing the manner of recording evidence in the High Court. Criminal Procedure (Recording Evidence) Rules S1 number 107-6 which was made under the said section 201 of the CPC Act (Chapter 107) did not make provision for recording of remarks respecting the demeanor of a witness in the trial before the High Court. The omission of such provision in the TID would appear to be a deliberate move to maintain the procedure that obtained under the Criminal Procedure Code Act. It would appear therefore, that there is no legal basis for the practice of recording remarks respecting demeanors of witnesses at the trial before the High Court.

Even if it were, the remark such as the witness "appears to be very truthful" would seem to exceed the permissible limit as that conveys a conclusion drawn from the demeanors exhibited by the witness. Such a conclusion can best be drawn when considering the evidence as a whole after the close of the case of both sides.

In the instant case, the remark made by the trial Judge respecting Mwebaze that he "appears to be very truthful" is a conclusion and was improperly drawn at that stage.

The law regarding a view of the *locus in quo* in criminal cases was correctly, in our view, stated by Sir Udo Udoma CJ as he then was, in *Mukasa v Uganda* [1964] EA 698 at 700 that:

> "A view of a *locus in quo* ought to be, I think, to check on the evidence already given and, where necessary, and possible, to have such evidence ocularly demonstrated in the same way a court examines a plan or map or some fixed object already exhibited or spoken of in the proceedings. It is essential that after a view a judge or magistrate should exercise great care not to constitute himself a witness in the case. Neither a view nor personal observation should be a substitute for evidence".

In *Tameshwa and another v Reginam* [1957] 4 CAR 156 a case which arose from the British Guiana, the Appellants were convicted of robbery and their appeal to the Court of Criminal Appeal of British Guiana was dismissed. They appealed

to the Privy Council. There was a view of *locus in quo* by the jury in the presence of the prosecution witnesses who gave evidence there in the absence of the Judge and the prisoners. Their Lordships held that it was wrong for a view to be had with the witnesses in the absence of the Judge. They felt that "his absence during that part of the trial was such a departure from the essential principles of justice as they understand them that the trial cannot be allowed to stand". They allowed the appeal. The situation in that case may appear rather extreme as in our country such a view of the *locus* may not possibly take place in the absence of the Judge or a commissioner.

In *Karamat v Queen* [1955] 40 CAR 13, another Privy Council decision from an appeal from yet the British Guiana, the issue was whether a view of the *locus in quo* in the absence of the accused vitiates the trial. The Appellant was convicted of murder. There was a view of the *locus in quo* which the Appellant declined to attend. Their law allows court to permit an accused to be absent during a part of the trial. He was convicted and his appeal to the Court of Criminal Appeal of the British Guiana was dismissed. The Privy Council also dismissed his appeal on the ground that "if an accused person declines to attend a view which the court thinks desirable in the interest of justice, he cannot afterward raise objection that his absence itself made the view illegal". It held that if the view was held in the attendance of witnesses who had already testified but in the absence of the accused there would be no problem so long as the witnesses taking part were recalled to be cross-examined if desired.

In our country, the presence of an accused during his trial is a constitutional right afforded by article 28(5) of the Constitution. He/she can only be absent from the trial by his/her own consent or when by his/her conduct it is impracticable to proceed with the proceedings in his/her presence and the court has made an order for his/her removal and for the trial to proceed in his/her absence then the trial can proceed in the absence of the accused.

In the instant case, the record of the proceedings at the *locus in quo,* is silent about the presence or absence of the Appellant at the *locus*. The minute that "court as before" on the record would only indicate that the Judge, assessors and the court clerk were as before. The parties and their representations ought to have been indicated whether they were as before or not. The minute of 11 May 1999 does not reflect that. The irresistible inference to be drawn from that minute is that the Appellant or his lawyer was not present at the *locus*. Yet there is no indication that his absence was ordered by the court on account of his conduct and that the hearing was ordered to proceed in his absence. In the absence of such orders, his absence would run counter to article 28(5) of the Constitution.

Even if the Appellant, his lawyer and counsel for the State were present at the *locus*, the record does not indicate that the Appellant or his lawyer was afforded opportunity to cross-examine Jovario Baramya and Mwebaze Ivan on whatever they said to or showed the court at the *locus*. That omission is a flaw and a departure from the principal cannon of our criminal procedure. As the purpose of the visit of the *locus* was indicated in the proceedings to verify certain facts in the evidence given in court, the Appellant ought to have been afforded opportunity to cross-examine these witnesses if he desired.

In our view the remarks made by the trial Judge in respect of the demeanor of Mwebaze, together with the defective proceedings at the *locus in quo* constituted a mistrial. Mr *Berije* argued that, despite those flaws there was overwhelming

evidence in support of the conviction. That may well be so but we think that the proceedings at the *locus in quo* are integral parts of the whole trial. They can not be expunged from the rest.

Even if the proceedings at the *locus in quo* had been properly conducted, the observations made by the trial Judge in his judgment were of concern to us. He observed as follows:

> "When this court visited the *locus* it was able to verify his evidence which he had earlier given in court. The court found that the facts were as PW2 had stated in his testimony in court.
>
> On the other hand the accused, no doubt told a lot of untruthfulness to this court in his sworn statement".

The above observations give the impression that prior to his view of the *locus in quo*, there were some doubts in the mind of the trial Judge and that a view was prompted by a desire to resolve the doubts. In other words, had it not been for the view, the trial Judge might not have accepted Mwebaze's evidence. If the *locus in quo* was visited for that purpose of clearing the doubt, then the visit was irregular.

In the result, we allow the appeal, quash the conviction and set aside the sentence of death. We order a retrial before a different Judge. The Appellant therefore must be kept in custody pending the retrial.

For the Appellant:
J Kakooza

For the Respondent:
Berije, Commissioner for Civil Litigation instructed by the Attorney-General

Mrema v Kivuyo
[1999] 1 EA 190 (CAT)

Division:	Court of Appeal of Tanzania at Arusha
Date of Judgment:	26 October 2000
Case Number:	56/96
Before:	Kasanga, Lubuva and Lugakingira JJA
Sourced by:	Faculty of Law, University of Dar-es-Salaam
Summarised by:	A Mwanzia

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[1] Appeal – Jurisdiction – Additional evidence – Whether High Court on a second appeal has power to take additional evidence – High Court Judge taking additional evidence of trial Magistrate – Whether such evidence prejudicial or further evidence in proof of case – Section 29 – Magistrates' Courts Act of 1984.

[2] Appeal – Second appeal – Further evidence – Affidavit – High Court Judge not affording party opportunity to cross-examine maker of affidavit in further evidence – Whether Judge in error – Whether error prejudicial or immaterial – Whether merits of case affected – Whether error curable – Rule 108 – Court of Appeal Rules.

Editor’s Summary

The Appellant unsuccessfully filed suit against the Respondent in the Arusha urban primary court. He appealed to the District court and lost. He lodged a

second appeal to the High Court where again he was unsuccessful. At the High Court, the Judge had called for additional evidence of the trial primary court Magistrate to clarify on the assessors who had taken part at the trial. This was prompted by the fact that it was indicated on record that at some stage the names of two assessors had been cancelled and substituted with two others thus giving the impression that two sets of assessors were used in the trial. The additional evidence was by way of an affidavit of the trial primary court Magistrate. On the evidence on record together with the affidavit, the Judge on second appeal dismissed the appeal. The Appellant dissatisfied, lodged a third appeal in the Court of Appeal. Points of law certified in terms of section 5(2)(*c*) of the Appellate Jurisdiction Act of 1979 were; (i) whether the appellate High Court had power in law to take additional evidence and (ii) the propriety of the Learned Judge's omission to afford the Appellant an opportunity to cross-examine the deponent of the affidavit.

Held – The High Court had power under section 29 of the Magistrates' Courts Act in appropriate cases to take additional evidence. The Learned Judged of the High Court properly exercised the powers vested in the court in exercise of its appellate jurisdiction in taking the additional evidence of the trial Magistrate to ascertain the assessors who sat with the trial Magistrate; such evidence was neither prejudicial to the Appellant nor was it further evidence in proof of the case.

It was erroneous on the part of the Learned Judge not to give the Appellant the opportunity to cross-examine the Magistrate (deponent of the affidavit) on the matter. However, despite the error, the Appellant was not in any way prejudiced. The omission was an immaterial error which did not affect the merits of the case and therefore curable under rule 108 of the Court of Appeal Rules.

No cases referred to in judgment

Judgment

Lubuva JA: This is a third appeal. It arises from the decision of the High Court at Arusha in High Court civil appeal number 29 of 1994 (Mroso J) of 25 July 1995. It all started with a boundary dispute between the Appellant and the Respondent. The Appellant unsuccessfully filed a suit against the Respondent in Arusha urban primary court. He appealed to the District court, Arusha and lost. He lodged a second appeal to the High Court where again he was unsuccessful. After hearing the parties on appeal, the Learned Judge on second appeal called for additional evidence of the trial primary court Magistrate to clarify on the assessors who had taken part at the trial. This was prompted by the fact that it was indicated on record that at some stage the names of two assessors had been cancelled and substituted with two others thus giving the impression that two sets of assessors were used in the trial. The additional evidence was by way of an affidavit by the trial primary court Magistrate. On the evidence on record together with the affidavit, the Judge on second appeal dismissed the appeal.

The Appellant was dissatisfied, he has appealed to this Court. The points of law certified in terms of section 5(2)(*c*) of the Appellate Jurisdiction Act of 1979 were; first, whether the appellate High Court had power in law to take additional evidence and secondly, the propriety of the Learned Judge's omission to

afford the Appellant an opportunity to cross-examine the deponent of the affidavit, the primary court Magistrate.

At the hearing of the appeal the Appellant appeared in person while the Respondent was represented by Mr *Lundu*, learned counsel. In the memorandum of appeal the two points certified by the High Court are raised. The Appellant did not have anything of substance to add to the memorandum of appeal apart from his lengthy vacillating repetition of matters which are otherwise not relevant and proper for the court to consider in this, a third appeal. With regard to the first ground of complaint, namely that it was wrong for the High Court to take additional evidence by way of affidavit Mr *Lundu* countered that the High Court has such powers under section 29 of the Magistrates' Courts Act of 1984. Since the law allows the High Court to take such additional evidence on appeal, Mr *Lundu* said, the Appellant's complaint in ground one is without merit. We agree with Mr *Lundu* that the High Court has power in appropriate cases to take additional evidence. Section 29 of the Magistrates' Courts Act of 1984 in part provides:

> "In the exercise of its appellate jurisdiction under this part, the High Court shall have power:
>
> (a) to take or to order some other court to take and certify additional evidence and, …".

In this case, as provided under this section, the Learned Judge in exercise of the appellate jurisdiction of the High Court took the additional evidence of the trial primary court Magistrate for purposes of ascertaining the assessors who sat with the Magistrate at the trial. The trial Magistrate in her affidavit confirmed that she sat throughout the trial with the same set of assessors. Not only that, the Learned Judge examined the record of the trial and was satisfied that the signatures of the assessors for the date complained against, are similar to those shown in respect of other dates for the trial. We also have had the opportunity to glance through the record, and we are like the Learned Judge satisfied that the signatures of the assessors for the date 4 February 1994 are similar to the signatures of the assessors for the rest of dates involved in the trial. If additional evidence sought by the Learned Judge showed that the same set of assessors sat with the trial Magistrate throughout the trial such evidence to our minds was neither prejudicial to the appellant nor was it further evidence in proof of the case. It was additional evidence for the purpose of enabling the Learned Judge to satisfy himself that the procedure followed by the trial Magistrate was correct. In the circumstances, we are satisfied that the Learned Judge properly exercised of its appellate jurisdiction in taking the additional evidence of the trial Magistrate to ascertain the assessors who sat with the trial Magistrate.

Next, we shall deal with ground two. Here, the Appellant's complaint is that he was not given the opportunity to cross examine the trial Magistrate in her additional evidence. That if he was given the opportunity, he would be in a position to question the trial Magistrate why the names of the assessors Yusuf Ally and Kohole Koreka were initially entered in the coram for 4 February 1994 but were cancelled in substitution for Loi Loticia and Bakari Lwavi. The Appellant adamantly maintained that failure to afford him the opportunity to examine the Magistrate, occasioned an injustice and prejudice against him. In response to this submission Mr *Lundu* took the view that section 29 of the Magistrates' Courts Act 2 of 1989, does not provide for the right to cross examination. However, as a matter of natural justice, Mr Lundu conceded and we think

correctly so that the Learned Judge should have given the Appellant such as opportunity. Even then, Mr *Lundu* concluded, the breach of the rules of natural justice in this case was not prejudicial to the Appellant. From our reading the provisions of section 29 of the Magistrates' Courts Act of 1984, there is no provision for the right of cross-examination of the additional evidence taken. However, as matter of natural justice, we think it was erroneous on the part of the Learned Judge not to give the Appellant the opportunity to cross-examine the Magistrate on the matter. Despite this error, we do not think that the Appellant was in any way prejudiced. From the additional evidence namely, what the Magistrate stated to the Judge and her affidavit, the established fact was that the trial Magistrate conducted the trial throughout with the aid of the same assessors. In that situation, we agree with the Appellant that it was improper for the Learned Judge not to accord him the opportunity to be heard on the additional evidence, it is nevertheless our settled view that no injustice was occasioned to the Appellant. As a matter of fact, we think in the circumstances of the case, that error on the part of the Learned Judge comes within the purview of rule 108 of the Court Rules. It was an error which arose in the High Court in the course of hearing the appeal. Rule 108 provides to the effect that the decision of the High Court shall not be revised or substantially varied by the Court of Appeal on account of any error or irregularity not affecting the merits of the case. In this case, the omission complained of was, we think, an immaterial error which did not affect the merits of the case, and so, rule 108 comes into play.

In the event, for the foregoing reasons, we find no merit in the appeal. It is dismissed with costs.

(Kasanga and Lungakingira JJA concurred in the judgment of Lubuva JA)

For the Appellant:
In person

For the Respondent:
Lundu

Mudasi v Uganda
[1999] 1 EA 193 (SCU)

Division:	Oder, Tsekooko, Karokora, Mulenga and Mukasa-Kikonyogo JJSC
Date of Judgment:	2 October 1998
Case Number:	3/98
Before:	Gicheru, Tunoi and Lakha JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Appeal – Additional evidence – Court of Appeal – Whether Court of Appeal may call for additional evidence – Principles to be applied in calling for additional evidence.

[2] Appeal – Evidence – Duty of the Court of Appeal in dealing with evidence on appeal.

Editor's Summary

The Appellant was charged with two offences; one of aggravated robbery contrary to sections 272 and 273(2) of the Penal Code Act and the other murder

contrary to section 183 of the Penal Code Act. The High Court convicted and sentenced him on both counts. The Appellant appealed to the Court of Appeal and the conviction and sentence was upheld. He appealed further to the Supreme Court.

His grounds of appeal were that the Court of Appeal did not fully re-evaluate the evidence in the trial court and failed to call for additional evidence under rule 29(*a*) of the Court of Appeal Rules. The Appellant complained that evidence of identification by the prosecution witness was contradictory and could not support a conviction.

Held – On appeal from the High Court in its original jurisdiction the Court of Appeal must weigh the evidence and draw its own inferences and conclusions, bearing in mind that it has neither seen nor heard the witnesses; *Pandya v R* [1957] EA 336 followed. The Court of Appeal considered the evidence of the lower court and carefully re-evaluated it.

The principles to be applied by the Court of Appeal when considering whether to call additional evidence are that; the evidence sought to be called was not available during the trial; it must be evidence relevant to the trial; it must be credible evidence and after considering the evidence, the court must consider whether there might have been a reasonable doubt in the minds of the jury as to the guilt of the Appellant if the evidence had been given together with other evidence at the trial; *R v Parks* [1969] All ER 364 adopted; *Elgood v Regina* [1968] EA 274 approved.

An application must usually be made by the interested party to move the court to call for additional evidence. The principles applicable in calling for additional evidence were not met. Appeal was dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Bogere Moses and another v Uganda Supreme Court criminal appeal number 1 of 1997 (UR)

Bogere and another v Uganda Supreme Court criminal appeal number 11 of 1997 (UR)

Dhatemwwa v Uganda Court of Appeal criminal appeal number 23 of 1997

Dhatemwwa v Uganda [1978] HCB 27

Elgood v Regina [1968] EA 274 – **APP**

Kifamunte v Uganda [1997] LLR 72 (SCU)

Obonyo v R [1962] EA 542

Okeno v Republic [1972] EA 32

Pandya v R [1957] EA 336 – **F**

Ruwala v R [1957] EA 570

Selle v Associated Motor Boat Co [1968] EA 123

United Kingdom

R v Parks [1969] All ER – **A**

Judgment

Oder, Tsekooko, Karokora, Mulenga and Mukasa-Kikonyogo JJSC: This is the second appeal from a decision of the Court of Appeal of Uganda. The Appellant, Magidu Mudasi, had been tried and convicted by the High Court on an indictment consisting of two counts. The first count was robbery, contrary to sections 272 and 273(2) of the Penal Code Act, the particulars of which were that the Appellant with others still at large on or about the 3 February 1990 at Busamaga Village in Mbale District robbed one Jackson Waniala of a motor car registration UXK 276, and at or immediately after the said robbery used a deadly weapon, namely a club on the said Jackson Waniala. The second count was murder, contrary to section 183 of the Penal Code Act, the particulars of which were that the Appellant and others still at large on the 3 February 1990 at Bwase Village in Tororo District murdered the said Jackson Waniala.

On conviction after his trial, the Appellant was sentenced to death on the first count. The sentence on the second count of murder was suspended. He then appealed to the Court of Appeal against the convictions and sentence, but his appeals were dismissed. The conviction and sentence were upheld. The Appellant has now appealed against the decision of the Court of Appeal.

The facts of the case established by the trial court and accepted by the Court of Appeal are briefly as follows. The deceased, 28 years old man, was a special hire taxi operator in Mbale. He and the Appellants were friends. On the morning of 3 February 1990 at about 4:00am the deceased collected his taxi car from the home of his mother, Foronika Wanyenze (PW5), where the deceased normally parked his taxi car at night. When he went to collect the car on this occasion, the deceased was in the company of the Appellant and another person. The deceased woke up his mother and informed her that the Appellant and others wanted the deceased to assist them collect the Appellant's wife from Budaka. Foronika (PW5) saw and recognised the Appellant. She knew him before as they all lived in the same village in Mbale. Foronika (PW5) saw the Appellant enter the garage with the deceased to collect the car. There was bright electric light, which enabled her to see and recognise the Appellant, but she did not recognise the other person who was in the Appellant's company. That person stood outside near the lamp post. The deceased, the Appellant and the third person drove away in the deceased's car. That was the last time Foronika (PW5) saw her son (the deceased) alive.

When two days passed and the deceased had not returned home, Foronika (PW5) reported the matter to police at Mbale. The police gave her a letter, with which to go to Budaka police post in search of her son. When she arrived there, Budaka police showed to PW5 a shirt and trousers which police at Budaka had removed from the dead body of unknown person who had been discovered killed half a mile from Budaka police post. PW5 instantly recognised the clothes as those of her son.

The police at Budaka had on 3 February 1990 at about 8:00am discovered the body of the deceased already lying in the bush half a mile from Budaka police post. The deceased appeared to have been killed. The police officer who first saw the body, Gastaphino Lwanga IP (PW4), noticed some marks around the neck. The marks appeared to have been caused by a rope or a rubber band. When two days had passed without any person claiming the body

of the deceased, the police had it buried, but preserved the clothes in which the body was dressed when it was discovered.

It was on 6 February 1990 that the mother of the deceased Foronika (PW5) and the other relatives travelled to Budaka, where she identified to the police the body of the deceased after it had been exhumed. The matter then was reported to Mbale police where the body of the deceased was taken. On the same day, Dr Wanziguya carried out a post mortem on the body of the deceased at Mbale hospital, and made a post mortem report (Exhibit P1). In his testimony, the doctor said that he identified a dark mark around on the neck, and a depressed skull at the frontal bone. Internally, he observed brain damage. The cause of instant death was brain damage. The instrument used was a hammer or an iron bar. The dark mark around the neck could have been a result of strangulation, caused by a rope or a wire. Strangulation was applied first but due to some resistance, a hammer was then used. The doctor ruled out that the injury was likely to have been caused by the steering wheel or dashboard.

On 3 February 1990 the Appellant and a companion, one Wambede Issa, were found in Mukono with the car of the deceased, trying to sell the car in that area. They were arrested on 17 February 1990. The Appellant and his companion informed Haji Hamudani Lubega (PW3) and the police at Mukono that the car was theirs.

On 17 February 1990 persons who knew the motor car as belonging to the deceased went to Mukono for it. The motorcar was later taken to Mbale where Foronika (PW5) identified it as her deceased son’s car. The Appellant and his companion, Wambedde Issa, were subsequently charged with the offences in the present case, but the latter died in prison before he was tried.

At his trial the Appellant put up an alibi, and explained how he came to be found with the deceased’s car at Mukono. His defence was to that effect on 3 February 1990, he was in Moroto Town, which he left at 2:00pm for Mbale. He reached his home in Mbale town at 8:10pm on the following day, he met one Eddy Nyanganya. The latter asked the Appellant to drive car UXK 276, a Toyota Corolla to Mukono, and proposed to pay him UShs 30 000 for the assignment. The Appellant drove the car to Mukono as agreed. He was accompanied by one Issa Wambede. Nyanganya did not accompany them.

When the Appellant and his companion arrived in the car at Mukono, Issa Wambede directed him to go to the home of Haji Hamudani Lubega (PW3). The Appellant and Issa Wabedde stayed at PW3’s for nine days. During that time, Issa Wambede was dealing in cattle until 14 February 1990, when he and the Appellant were arrested by the police. The Appellant maintained that he was only hired to drive the car to Mukono and that he did not know the deceased. He also denied that he and Issa Wambede killed the deceased: or, that he informed PW3 that the car belonged to him and Issa Wambede.

At the conclusion of the trial both the assessors believed the prosecution evidence, rejected the Appellant’s defence of alibi and advised for a conviction. The Learned trial Judge accepted the prosecution version of events and disbelieved the Appellant’s defence, convicting him and sentencing him to death as we have already mentioned. The Appellant’s appeal to the Court of Appeal against conviction and sentence failed. Hence this appeal.

Two grounds of appeal were set out in the memorandum of appeal. Firstly that the Learned Appellate Judges erred in convicting the Appellant without

evaluating the evidence; and secondly that the Appellate Judges erred in holding that the circumstantial evidence warranted a conviction without scrutinising the Appellant's defence. The memorandum of appeal, as amended with the leave of court, also prayed that the appeal be allowed, the convictions be quashed, the sentence be set aside and the Appellant be set free unless held on other lawful ground.

Mr *Leonard Musika*, learned counsel for the Appellant, argued the two grounds of appeal together. He submitted to scrutiny the prosecution evidence of identification of the Appellant in relation to the contradictory evidence from Foronika (PW5) and Caleb Muhore, D/IP (PW7) with regard to whether an identification parade was held; and in relation to the Appellant's evidence that Foronika (PW5) was not known to him before the incident. In her evidence Foronika (PW5) said she knew the Appellant before the deceased died, because she lived in the same village as the Appellant in Mbale. However, this was contradicted by the Appellant in his evidence that PW5 was known to him before. Foronika also said in cross-examination that she identified the Appellant at an identification parade. That was inconsistent with that evidence. D/IP Caleb Muhore (P7) testified that he did not put the Appellant and his companion on an identification parade. The learned counsel contended that if an identification parade was held for Foronika (PW5) to identify Appellant before, which would be consistent with the Appellant's evidence that he did not know PW5 before. If the Court of Appeal had re-evaluated the evidence in the manner suggested, the learned counsel contended the Court of Appeal would have come to a different conclusion, namely that Foronika (PW5) did not know the Appellant before. Secondly, the Appellant's learned counsel submitted that the Court of Appeal ought to have invoked its powers under rule 29 of the Court of Appeal Rules and called additional evidence as the learned counsel put it:

> "On the part of the defence to ascertain the allegations of the defence whether the circumstances he came to the vehicle was right".

As authorities for his submissions the learned counsel cited the cases of *Dhatemwwa v Uganda* Court of Appeal criminal appeal number 23 of 1997: [1978] HCB 27 and *Bogere and another v Uganda* Supreme Court criminal appeal number 11 of 1997 (UR).

Ms *Khisa*, Learned Principle State Attorney (PSA) for the Respondent, in her reply, supported the Court of Appeal's decision. She observed that only one ground of appeal was argued in the lower court. That ground of appeal was to the effect that the Learned trial Judge had erred in law and fact in convicting the Appellant on unsatisfactory aspects of the prosecution evidence were pointed out by the Appellant to the Court of Appeal. The first of these were that PW5's evidence of identification of the Appellant should not have been accepted by the Learned trial Judge because she had lied when she said that she knew the Appellant before. In the Learned Principle Attorney's view, PW5 did not lie in that regard because she and the Appellant lived in the same village of Busamaga, which was a good reason for the two knowing each other. Secondly, the presence of bright electric light had enabled PW5 to clearly see the Appellant when he and the evidence of identification of the Appellant was properly re-evaluated and rightly accepted by the Court of Appeal.

The Learned Principle State Attorney also referred to the second issue, which had been raised by the Appellant before the Court of Appeal. This related to how the Appellant came to be in possession of the deceased's car at Mukono. It

had been argued by the Appellant before the Court of Appeal that the Learned trial Judge wrongly accepted the evidence of number 14293, P/C Karenget (PW1), Grace Turyagumanawwe SP (PW2) and Haji Hamadani Lubega (PW3) in this regard. Here, again, the Learned Principle State Attorney submitted that the Court of Appeal properly evaluated the evidence and accepted the prosecution evidence as truthful and as cogent circumstantial evidence which clearly connected the Appellant with the offence charged. The Appellant's evidence that he was hired by Nyanganya to drive the car to Mukono was rightly rejected by both the trial court and the Court of Appeal, it was contended. It was an afterthought, as such an explanation had not been given on the first opportunity.

Regarding the Appellant's criticism that the Court of Appeal ought to have invoked its powers under rule 29 and called additional evidence, but it did not, to verify the Appellant's version of how he came to possess the deceased's car, the Learned Principle State Attorney contended that the criticism was misconceived for the following reasons. Firstly as the Appellant did not give his explanation to the police officers who arrested him and his companion at Mukono, it was apparent that the explanation he gave at his trial regarding how Nyanganya allegedly hired him to drive a car was an after thought. Secondly, in the light of the clear evidence from Foronika (PW5) that she recognised the Appellant when he and the deceased went away in the car, there was no need for the Court of Appeal to have called additional evidence under rule 29 of the Rules of the Court of Appeal.

The grounds of appeal, and the submissions made before us by both learned counsel, in our view, raised three main issues. The first is the criticism that the Court of Appeal convicted the Appellant without evaluating the evidence. The second which, in essence, is part of the first one, is that the Court of Appeal erred in holding the circumstantial evidence warranted a conviction without scrutinising the Appellant's defence. And the third is whether the Court of Appeal ought to have called additional evidence to verify the Appellant's explanation of how he came to be found in possession of the deceased's car. The three issues overlap, but we shall consider them separately and in the same order.

The legal duty of a first Court of Appeal to re-evaluate the evidence on which the trial court has founded a conviction is now well settled. In the case of any appeal from a decision of our High Court acting in its original jurisdiction, it is provided in rule 29(*a*) of the Court of Appeal Rules as follows:

> "the court may:
>
> (*a*) reappraise the evidence and draw inferences of fact".

This means that where an appeal turns on a question of fact, the Court of Appeal has to bear in mind that its duty is to rehear the case, and the court must reconsider the material before the trial court with such other materials as it may have decided to admit. The court must then make up its own mind, not disregarding the judgment appealed from, but carefully weighing and considering it; and not shrinking from overruling it if on full consideration and the court comes to the conclusion that the judgment is wrong. When the question arises which witness is to be believed rather than another and that question turns on manner and demeanor, the Court of Appeal always is, and must be, guided by the impression made on the trial Judge who saw the witness. But there may

obviously be other circumstances, quite apart from manner and demeanor, which may show whether a statement is credible or not; and these circumstances may warrant the court in differing from the trial Judge, even an a question of fact turning on the credibility of witnesses whom the appellate court has not seen. *Pandya v R* [1957] EA 336. In *Pandya*'s case (*supra*) the appeal to the Court of Appeal turned entirely on scrutiny of the watchman's evidence when considered in the light of other testimony and on evaluation of evidence when considered in the light of other testimony and on the evaluation of the evidence as a whole by the trial and the appellate court. The Court of Appeal said this at 331:

> "But the parties to the cause are never the less entitled, as well on questions of fact as on questions of law, to demand the decision of Court of Appeal, and that court cannot excuse the task of weighing conflicting evidence and drawing its own inferences and conclusions, though it should always bear in mind that it has neither seen nor heard the witnesses, and should, make due allowance in this respect".

These principles have been echoed and applied in many cases by our court and its predecessors. See the cases of *Ruwala v R* [1957] EA 570; *Selle v Associated Motor Boat Company* [1968] EA 123; *Okeno v Republic* [1972] EA 32; *Bogere Moses and another v Uganda* Supreme Court criminal appeal number 1 of 1997 (UR) and *Kifamunte v Uganda* [1997] LLR 72 (SCU).

In *Ruwala* (*supra*) the Court of Appeal said at 573:

> "We do not take this to mean the appellate court should write a judgment in a form appropriate to a court of first instance. It is sufficient on question of fact if the appellate court, having itself considered and evaluated the evidence, and having tested the conclusions of the court of first instance drawn from demeanor of witnesses against the whole of their evidence, is satisfied that there was evidence upon which the court of first instance could properly and reasonably find as it did. If the conclusions of the appellate court are merely expressed in terms such as these, that, in itself, is no indication that the appellate court has failed to make a critical evaluation of the evidence".

In the instant case the substance of the Appellant's criticism of the Learned trial Judge in the Court of Appeal was that the Learned Judge was wrong to come to the conclusion that the Appellant had robbed and murdered the deceased when the evidence of PW5 upon which that conclusion was based had not been properly evaluated in the light of other prosecution evidence adduced to the court. It was contended that Foronika (PW5), the mother of the deceased told lies to the trial court when she said that she knew the Appellant very well. It was also argued that the Appellant had offered sufficient explanation regarding how he came to be in possession of the deceased's motorcar, and that his explanation ought to have been believed by the trial Judge.

As can be seen from what we have said earlier in this judgment, criticisms labelled at the Court of Appeal were similar to those made against the Learned trial Judge before the Court of Appeal. The Court of Appeal dealt with the evidence of recognition of the Appellant and the circumstantial evidence of possession of the deceased's motor car in the following terms:

> "Apart from the evidence of PW5 (Foronika Wanyenze) who saw the Appellant leaving with the deceased in the vehicle on the fateful morning, the prosecution case was based on circumstantial evidence. The Learned trial Judge dealt with the issue in his judgment and came to the conclusion that the deceased must have been killed and robbed by the Appellant. We have no reason to disagree the Judge's finding on this point. There was sufficient circumstantial evidence to support his finding. The last

> person to be seen in the company of the deceased was the Appellant who was later found in possession of the very vehicle in which he left with the deceased. The Appellant's explanation that the vehicle had been given to him by one Nyanganya cannot be true in the view of what he told police at the time of arrest that the vehicle belonged to him and one Issa. He did not say he had been hired by Nyanganya to drive it. There was evidence that Issa was looking for buyers while the Appellant was looking after the vehicle at the home of PW3. Clearly the mission to the home of PW3 was to dispose off the stolen vehicle. It is remarkable that the Appellant said that he went to the home of PW3 on 4 February 1990 when according to PW3 he went there on 12 February 1990. We do not agree with Mr Muhwezi's contention that PW5, the mother of the deceased, did not recognize the Appellant at the time she saw him leaving with her son. There was enough light from an electric lamp at the garage, the Appellant was well known to PW5 who used to see him at the deceased's house and on the night in question she took some time talking to the deceased and the Appellant before they left for Budaka, PW5 certainly recognised the Appellant as the very person whom she saw going away with her son in her motor vehicle".

The passage we have just referred to from the Court of Appeal judgment clearly indicates that, the Court of Appeal evaluated both the prosecution and defence evidence in the case, like the Learned trial Judge, and rejected the Appellant's defence and accepted the prosecution evidence. After re-evaluation of the evidence the Court of Appeal found that the Appellant was properly identified by the mother of the deceased, Foronika (PW5) as the person who went to her home and went away with the deceased in the car. The Court of Appeal also found that the Appellant's version of how he came to be in possession of the car as being a lie. It found this to be sufficient circumstantial evidence to support the Appellant's conviction by the trial court. We shall shortly say more about the circumstantial evidence.

In our view the Court of Appeal considered the evidence, evaluated it itself, and drew its conclusion and decided that on the facts there was ample evidence to support the Appellant's conviction. There can be no standard form of judgment of Court of Appeal. A first appellate court does not have to write a judgment in a form appropriate to a court of first instance. In the instant case we have no doubt that the Court of Appeal did all that it was expected to do and in the premises the ground of appeal must therefore fail.

The evidence which the Court of Appeal considered and accepted against the Appellant included that of his possession of the deceased's car so soon after it had been stolen. It was exactly nine days from 3 February 1990, when the Appellant and the deceased drove away in the car from PW5's house in Mbale to 12 February 1990, when Haji Hamudani Lubega (PW3) first saw the Appellant and his companion Issa with the car at PW3's home in Mukono.

It is now established law that a court may presume that a man in possession of stolen goods soon after the theft is either the thief or has received the goods knowing them to be stolen goods unless he can account for his possession. This is an inference of fact which may be drawn as a matter of common sense from other facts including in particular, the fact that the accused has in possession property which is proved has been unlawfully obtained shortly before he was found in possession. It is merely an application of the ordinary rule relating to circumstantial evidence that the inculpatory facts against the accused person must be incompatible with innocence and inculpatory of explanation upon any other reasonable hypothesis than that of guilt. According to the particular circumstances, it is open to a court to hold that an unexplained possession of

recently stolen articles is incompatible with innocence. On finding of possession of property recently stolen, in the absence of any reasonable explanation by the Appellant to account for his possession, a presumption does arise that the Appellant was either a thief or a receiver. Everything must depend on the circumstances of each case. Factors such as the nature of the property stolen, whether it is of a kind that readily passes from hand to hand; and the trade to which the accused person belongs can all be taken into account. See *Obonyo v R* [1962] EA 542.

Although very often circumstantial evidence is the best evidence it must always be narrowly examined because evidence of this kind may be fabricated to cause suspicion on another. Consequently before inferring the guilt of an accused person from circumstantial evidence, it is necessary to ensure that there are no other co-existing circumstances which would weaken or destroy the inference.

In the instant case the trial court and Court of Appeal accepted the evidence that the Appellant and the deceased were seen driving in the deceased's car away from the latter mother's house. He was the last person seen with the deceased alive. Nine days later (a short time) the Appellant and his companion were found in Mukono in possession of car trying to sell it. Both the Appellant and his companion told Grace Turyagumanawe SP (PW2) and Haji Hamudani Lubega (PW3) that the car belonged to them, yet they did not produce any document pertaining to the car. The Appellant, apparently did not tell PW2 and PW3 that he had been hired to drive from Mbale to Mukono by one Nyanganya, which is what he said in his defence. His explanation when he was found with the car was it belonged to him and Issa. This as other evidence showed was a lie. In the circumstances, the trial court and the Court of Appeal were justified in accepting the prosecution evidence and rejecting that of the Appellant. As we have said before in this judgment, the Court of Appeal made a re-evaluation of the relevant evidence. The criticism that the Court of Appeal accepted the circumstantial evidence against the Appellant without scrutinising his defence is, with respect, unjustified. The second ground of appeal should, therefore, fail.

Rule 29(1)(*b*) of the Court of Appeal Rules of 1996 provides:

> "On any appeal from a decision of High Court acting in the exercise of its original jurisdiction the court may:
>
> (*b*) In its discretion, for sufficient reason, take additional evidence taken by the trial court or by a commissioner".

The principles upon which an appellate court in a criminal case will exercise its discretion in deciding whether or not to allow additional evidence to be called for the purposes of the appeal were set out clearly by Lord Parker CJ in *R v Parks* [1969] All ER at 364 as follows:

> "Those principles can be summarized in this way: First the evidence that is sought to call must be evidence which was not available at the trial. Secondly, and this goes without saying, it must be evidence relevant to the issues. Thirdly, it must be evidence, which is credible evidence in the sense that it is capable of belief. Fourthly, the court will, after considering the evidence, go on to consider whether there might have been a reasonable doubt in the minds of the jury as to the guilt of the appellant if the evidence had been given together with the other evidence at the trial".

These principles were adapted by the Court of Appeal for East Africa in *Elgood v Regina* [1968] EA 274, in which the court said at 276:

> "We wish to stress that it is only in very exceptional cases that this court will permit additional evidence to be called".

In our view these principles apply with equal force to the exercise of its discretion to call additional evidence in a criminal case by the Court of Appeal under rule 29(1)(*b*).

Applying these principles to the instant case, our view is that the criticism against the Court of Appeal that it ought to have called additional evidence to verify the Appellant's evidence as how he came to be in possession of the deceased's car has no merit for the following reasons:

Firstly, no application was made to the Court of Appeal for calling additional evidence on behalf of the Appellant. It is usually the practice that such applications are made by one party or the other requesting the Court of Appeal to exercise its discretion under rule 29(1)(*b*). In the case of *Elgood v Regina* (*supra*) the application to call additional evidence was made by the Appellant.

Secondly, the learned counsel for the Appellant did not indicate the nature of additional evidence which the Court of Appeal should have called and who was to give the additional evidence.

Thirdly, some of the principles laid down in the *R v Parks* (*supra*) were not complied with. For instance it was not shown that the evidence which could have been called on appeal was not available when the Appellant was tried. If the additional evidence was to be adduced by Nyanganya, which it is reasonable to presume it would have been the case, it was not shown that Nyanganya was not available at the time of the Appellant's trial. Fourthly, the circumstances favouring positive identification of the Appellant by Foronika (PW5) were so good that there could have been no mistake on her part. Hence the identification was so clear that there was no need to verify the Appellant's evidence by additional evidence. The PW5's evidence, as they did, rather than the Appellant's evidence, which was rejected. Fifthly, it was not shown that this was a very exceptional case warranting calling of additional evidence.

For reasons given, this appeal must fail. It is accordingly dismissed.

For the Appellant:
L Musika

For the Respondent:
Khisa, Principal State Attorney instructed by the Director of Public Prosecutions

Mugoya v Uganda
[1999] 1 EA 202 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of Judgment:	10 September 1999
Case Number:	8/99
Before:	Oder, Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Crime – Defilement – Requirement for corroboration – Whether corroboration required both as

to commission of offence and identity of accused – Whether conviction on uncorroborated testimony faulty.

[2] Evidence – Corroboration – Sexual offence – Requirement for corroboration regarding commission of offence and identity of accused – Testimony of complainant implicating Appellant – Credibility of complainant – Failure of prosecution to call witnesses – Necessity for court to warn itself of the danger of acting on uncorroborated evidence – Whether court acted on correct principles in convicting Appellant.

Editor's Summary

The Appellant was the neighbour of the two complainants, JN and NB, who were sisters aged eight and nine years old respectively. Sometime in November 1992, he was caught red-handed in the act of defiling NB. He was arrested and taken to Jinja Central Police Station where he made a statement in which he admitted defiling NB but denied having defiled JN. He was then indicted on two counts of defilement contrary to section 123(1) of the Penal Code, one count in respect of each girl. The two counts alleged that some time between August and November 1992, he had defiled the two complainants. At his trial, the two complainants, a doctor who examined them and the police officer who recorded the Appellant's statement all testified on behalf of the prosecution. The Appellant's confession statement was also admitted against him. In his defence, the Appellant made an unsworn statement denying both offences. He was convicted on both counts and sentenced to 15 years imprisonment on each count. His appeal to the Court of Appeal was dismissed and he now appealed to the Supreme Court against his conviction on the count relating to the alleged defilement of JN. The grounds on which he appealed were that there had been no legal identification and that there had been no corroboration of the evidence against him on this count. The Appellant's counsel submitted that JN's evidence was unreliable and that the Court of Appeal had rightly cast doubt on her credibility as a witness. He argued that in view of the Appellant's denial of the offence, there was a need for the complainant's evidence against him to be corroborated, and that the medical evidence indicating that she had been defiled was not enough to provide the required corroboration. Counsel for the Respondent supported the conviction.

Held – In cases involving sexual offences, there was a need for corroboration of both the evidence proving that sexual penetration of the complainant took place and the complainant's evidence implicating the accused in the commission of the offence. However, a court could convict on the uncorroborated evidence of a complainant if it warned itself of the dangers of doing so and was satisfied that the complainant's evidence was truthful; *Kibale v Uganda* [1998] LLR 123 (SCU) and *Chila and another v Republic* [1967] EA 722 followed. The nature of corroboration required was evidence which confirmed in some material particular not only that the crime had been committed but also that the accused had committed it. The prosecution case against the Appellant in this instance had been weakened by the fact that the complainant's testimony contained contradictions that cast some doubt on her credibility as a witness. The failure of the prosecution to call two of the doctors who had examined and treated the girls together with its failure to call the complainant's parents further weakened its case. In light of these weaknesses, the Court of Appeal erred in failing to address its mind to the need for corroboration connecting the Appellant with the offence. It also erred in failing to advert to the necessity of trial courts, and the Court of Appeal as a first appellate court, to warn themselves of the legal

requirement for corroboration implicating the Appellant. In the circumstances, it was unsafe to uphold the Appellant's conviction.

Appeal allowed. Conviction in respect of count one quashed and sentence set aside.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Chila and another v Republic [1967] EA 722 – **F**

Kibale v Uganda [1998] LLR 123 (SCU) – **F**

Rex v Purohit [1942] 19 EACA 20

United Kingdom

R v Baskerville [1916] 2 KB 658

Judgment

Oder, Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC: This is a second appeal brought against the decision of the Court of Appeal dismissing the Appellant's appeal against his conviction and sentence for defilement on two counts by the High Court.

The brief facts of the case are that between August and November 1992 the Appellant was a neighbour of the two complainants, JN (PW1) aged eight years and NB (PW2) aged nine years, where they lived with their parents on 19B Lubas Road, Jinja. The Appellant got into the habit of calling each of the two young girls into his room and defiling her. During August 1992 he defiled Namuwaya (PW1) three times and in November of the same year he did the same to the elder girl Nakiranda. This one was defiled twice but on the second occasion a lady in the neighbourhood caught the Appellant red-handed. That is how all the incidents involving the Appellant and the two girls came to be known to the public. The Appellant was arrested and taken to Jinja Central police station where he made a confession statement, admitting defiling Nakiranda but denied defiling Namuwaya.

He was indicted on two counts of defilement, contrary to section 123(1) of the Penal Code, one count in respect of each of the two girls. At his trial by the High Court the two girls, the doctor who examined them and the police officer who recorded the Appellant's confession testified for the prosecution.

The confession was admitted against him at his trial. In his defence the Appellant made an unsworn statement denying both offences. He was convicted of defilement on both counts and sentenced to terms of imprisonment for 15 years on each count. It was ordered that the sentences should run concurrently.

The Appellant's appeals to the Court of Appeal against the convictions and sentences were unsuccessful. Hence this appeal.

When it was filed the memorandum of appeal set out the grounds as follows:

> "1. The conviction and subsequently its confirmation in the Court of Appeal for Uganda in respect of JN was bad in law in that legal identification was not obtaining.
>
> 2. Legal corroboration on this count was also lacking. It is proposed that therefore the appeal be allowed on this count and the conviction thereon be quashed and the sentence set aside".

The appeal is, therefore, brought only against conviction in count one, in respect of the first complaint Namuwaya (PW1) the victim of the offence charged in that count.

When the appeal was called for hearing the Appellant abandoned ground one of the appeal. His learned counsel, Mr *Joseph Zagyenda*, then argued ground two only. In this connection the learned counsel submitted that Namuwaya's evidence was unreliable. The Court of Appeal rightly said that her evidence cast a doubt on her credibility as a witness. As the Appellant denied defiling her both in his confession statement and in his unsworn statement in court it was necessary for Namuwaya's evidence to be corroborated implicating the Appellant. The medical evidence indicating that she was defiled was not enough to provide that kind of corroboration. For this submission the learned counsel relied on *Rex v Purohit* [1942] 19 EACA 20 and *Osborne's Concise Law Dictionary* (5ed) at 90. It is contended that had the trial court or Court of Appeal warned itself of the necessity for corroboration, as it should have done, it might have come to a different conclusion as Namuwaya's testimony was not corroborated. Counsel then prayed that we should allow the appeal.

Mr Dennis *Bireije*, Principal State Attorney, for the State supported the Appellant's conviction on this count. He submitted that two kinds of corroboration are relevant in a case such as the present. First, evidence corroborating the testimony of Namuwaya (PW1) that she was defiled. In this regard the Learned Principal State Attorney submitted that the medical evidence of Dr Musa (PW4) provided such corroboration. The medical evidence left no doubt that the complaint was a victim of unlawful sexual intercourse. The second kind of corroboration is the one implicating the accused person that he committed the offence. In the instant case, the learned counsel submitted, such corroboration was not necessary because the Appellant was properly identified by the complaint (PW1) as the person who defiled her. In the circumstances the Court of Appeal properly upheld the Appellant's conviction on count one.

In our view the ground of appeal has merit. It should succeed. Firstly, because the evidence of the complaint Namuwaya (PW1) against the Appellant cast some doubt about which we agree. The reason for that view is to be found in her following evidence:

> "I sat at plot 19B Lubas Road, Jinja. I knew Wilson Mugoya. He is our neigbour. We live on the same plot. I have known him since 1992 when we moved to that plot. He is accused in the court now. I remember in 1992 in August one day my mother and father had gone to the village to work respectively and my elder sister called Babra Nakiranda had gone to our aunt at Dingo's. I was alone at home. Mugoya the accused called me to his house and I went there. When I was there he told me to remove my knicker and lie on the bed. I refused but as I was leaving the room he pulled me back and took me to his room, on reaching the bed he had sexual intercourse with me after pushing me down on the bed. He removed his trousers and removed my knicker then he had sexual intercourse with me, he put his penis in my vagina and he descended on me while I was facing upwards and my legs were wide apart. I felt pain in my private parts. He remained on to me for about five minutes

> during the exercise blood came out of my private parts. I saw the blood after the accused had got off me. I had stomach pain and headache. He told me I should not tell anybody what happened and that if I did would die. When my father returned at night I told him that I was feeling pain in my stomach and back he took me to Dr Wandera. My father asked what had happened. The Doctor gave me an injection and I continued to have pain so my father took me to Dr Okunga the following day. He treated me for four days and after two weeks I was okay. I was also taken to Jinja Hospital where I was examined it was two days after the incident. During the period I was getting the treatment I used to go to school but I was not walking normally. I had never had any sexual intercourse with any man before this incident. My family and the accused were in good terms. The accused used to bake chapati. When these things happened it was about 3:00pm and the door was closed".

In cross-examination she said:

> "At first the accused used to bake chapati at our house but the landlord chased him and he went to the next block. He was selling the chapati at the same place where he was baking it. I had never quarrelled with the accused. I had never been to the accused's room before this incident. I cannot tell what day of the week it was when this incident took place. I was only staying with my parents and sister. Our neighbours were resting in their rooms and our landlord was in his shop. When the accused called me I went to him willingly but when he told me to remove my knicker I started running away. The accused told me not to raise any alarm and that if I did so he would beat me and if I told anybody about the matter he would kill me. That was my first time to have sex with a man and since then I have never had sex with a man although I had it with the accused on three other times later. I am sorry the accused in fact had had sexual intercourse with me on two other occasions and this was the third time. The accused had prevented me from complaining to my parents but it is the neighbour who saw him with Babura and he complained to my father. I also complained. It was the accused who defiled me and not another man. On the other two occasions I also had sex with him in his room. When the accused called me on this occasion I did not know that he was going to have sex with me. I was examined in my private parts at the hospital".

In re-examination Namuwaya (PW1) said:

> "There was an interval of about a week between the three times I had sex with the accused I used to have little pain: but not as much as I had on third occasion. I believed the accused when he threatened to kill me if I told anybody about the matter".

About this evidence the Court of Appeal said:

> "This evidence tends to cast some doubt on the credibility of the first complaints:
>
> (*a*) Was the incident the subject of this indictment the first one or the last in a series of three similar incidents?
>
> (*b*) Did she report this incident to her parents immediately as she first claimed during examination in chief or not?
>
> (*c*) Who took her to hospital for treatment then?"

Second ground of appeal has merit because in addition to the reasons given by the Court of Appeal which made the complaint's evidence unreliable, there are others which weakened the prosecution case. These are first, the contradiction in the Namuwaya's evidence. She said that she had never had any sexual intercourse with any man before the incident in question. This was contradicted shortly afterwards when she said that she had sex with the Appellant on two previous occasions.

She also said that she did not report the incident to any one for fear of threats made by the Appellant. On the other hand she also said that when her father

asked her she told him what had happened. Second, the prosecution failed to call Namuwaya's father and mother to whom, she says, she reported the incident and who took her for medical examination and treatment. If called, they might possibly have informed the court what their daughter told them. First reports by victim's of defilement and other offences are necessary to show consistency. Then, Dr Okunga and Dr Wandera who examined and treated the girl were not called as witnesses. Medical evidence from the two doctors would also, have thrown light on when they dealt with her and what injuries they found. Not a word of explanation came from the prosecution why the girl's parents and the two doctors were not called as witnesses. Where a complainant undergoes more than one medical examination or treatments for injuries received during the commission of crime by accused persons, it is essential that evidence of all such treatments or examination are laid before the trial court for its consideration.

Finally, the issue of corroboration. In a recent case this Court said that in sexual offences, in addition to corroborative evidence proving that sexual penetration of the complainant took place, corroboration implicating the accused person that he committed the offence is also required. This was the case of *Kibale v Uganda* [1998] LLR 123 (SCU), in which the court said *inter alia*:

> "In sexual offence corroboration of the complainant's evidence implicating an accused person is a requirement for conviction of the accused. In the case of *Chila and another v Republic* [1967] EA 722 at 727 the Court of Appeal for East Africa said:
>
> 'The law in East Africa on corroboration in sexual offences is as follows: The Judge should warn the assessors and himself of the danger of acting on the uncorroborated testimony of the complaint, but having done so he may convict in the absence of corroboration if he is satisfied that her evidence is truthful. If no warning is given then the conviction will normally be set aside unless the appellate court is satisfied that there has been no failure of justice'".

What was said in that case is still good law.

The nature of corroboration to which the court was referring in the *Kibale*'s case is independent evidence implicating an accused with the offence for which he is indicted for committing.

In *Osborne's Concise Law Dictionary* (*supra*) it is defined as independent evidence which implicates a person accused of a crime by connecting him with it; evidence which confirms in some material particular not only that the crime has been committed but also that the accused committed it. That form of corroboration is required, *inter alia*, in case of accomplice witnesses and in sexual offences. The case of *Rex v Purohit* (*supra*) was one concerning accomplice evidence. It was held there that whilst an accomplice is competent witness the corroboration which should be looked for is as laid down in *R v Baskerville* [1916] 2 KB 658. Some additional evidence rendering it probable that the story of the accomplice is true and that it is reasonably safe to act upon it. It must be independent evidence which affects the accused by connecting him or tending to connect him with the crime, confirming in some material particulars not only the evidence that the crime has been committed but also that the accused committed it. It is not necessary to have confirmation of all the circumstances of the crime. Corroboration of some material particular tending to implicate the accused is enough and whilst the nature of the corroboration will

crime. Corroboration may also be found in the conduct of the accused. What necessarily vary according to the particular circumstances of the offence charged it is sufficient if it is merely circumstantial evidence of his connection with the was said in that case about corroboration of an accomplice's evidence applies equally to evidence of a complainant in a sexual offence.

In the instant case the Court of Appeal after stating its reasons for thinking that the evidence of the complainant Namuwaya (PW1) cast doubt on her credibility as a witness it, nevertheless, proceeded on to say:

> "Despite this evidence however, the doctor who examined her on November of that year confirmed that she had been defiled some time earlier definitely more than two weeks earlier since her wounds on the vagina healed. This clearly corroborated her testimony that she had been defiled probably in August 1992. The Learned trial Judge had the best opportunity to observe her in court as she gave her evidence in court. He leaves no doubt that he believed her evidence despite the discrepancies we have outlined above. They could be explained away by the fact that the first victim was very young at the time of the incident and may not have been a result of deliberate effort to fabricate evidence. Moreover, there is sufficient evidence from which it can be safely inferred that the victim was defiled sometime before November 1992. We think the Learned trial Judge properly evaluated the evidence before him and despite the Appellant's denial he correctly arrived at the conclusion that it was the Appellant who defiled her. The gentlemen assessors advised him to convict the Appellant on this count and we hold that he was right to convict".

It is clear that when the Court of Appeal said that there was corroboration in this case it meant corroboration in the form of medical evidence confirming the complainant's testimony that she was defiled. The Learned Justice of Appeal did not appear to address their minds to corroboration connecting the Appellant with the offence. Nor, did they advert to the necessity for the Learned trial Judge to have warned himself or the Court of Appeal, as the first appellate court in this case, to warn itself, of the legal requirement for corroboration implicating the Appellant. This was an error, which, in view of the weaknesses in the prosecution case to which we have referred, would render it unsafe to leave the Appellant's conviction in the court in question to stand.

The complainant Namuwaya (PW1) was a child of tender years when she gave evidence. She did so on oath. It appears therefore, that under section 38(3) of the Trial on Indictment Decree, corroboration of her evidence as such witness was not necessary.

For the reasons we have given this appeal is allowed. The Appellant's conviction in respect of count one is quashed and the sentence set aside. Since the Appellant is serving a term of imprisonment of 15 years in respect of count two in this case no order is made for his release.

Before we leave this case we must say that the standard of investigation and prosecution in it left a lot to be desired. We have already referred to potential prosecution witnesses who should have been called to testify but were not. In addition to such potential witnesses who were not called no police evidence regarding arrest of the Appellant was adduced. Explanation was not given why all this was not done. This is yet another case in which police investigation and prosecution were done to a minimum. This must be because a confession statement of the Appellant was already in the bag, so to speak. As we have said in numerous other cases before the investigating and prosecuting authorities should aim at and achieve the highest possible standard in their work, which they do not appear to do at present.

The registrar of this Court is directed to draw the attention of the director of public prosecution to this judgment.

For the Appellant:
J Zagyenda instructed by *Joseph Zagyenda & Co*

For the State:
D Bireije, Senior Principal State Attorney instructed by the Director of Public Prosecutions

Muhia v Mutura
[1999] 1 EA 209 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Judgment:	16 March 2001
Case Number:	142/00
Before:	Gicheru, Shah and Owuor JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Appeal – Jurisdiction – Court of Appeal – Whether court has jurisdiction to deal with a point of law not decided upon by the lower court.

[2] Land – Trespass – Jurisdiction – Party seeking relief of eviction – Matter heard by Magistrate's Court – Whether Magistrate's Court had jurisdiction to deal with the claim in view of the exclusive jurisdiction of Land Disputes Tribunal – Sections 3(1)(c) *and 4 – Land Disputes Tribunal Act 18 of 1990.*

Editor's Summary

The Respondent brought suit in the Magistrate's Court seeking eviction of the Appellant from land which the Respondent claimed to be his and which the Appellant was occupying. The Respondent was successful, prompting the Appellant to appeal to the High Court which dismissed her appeal. She appealed further to the Court of Appeal and raised the issue whether the Magistrate had jurisdiction to deal with the claim, the same being based on trespass which was the preserve of the Land Disputes Tribunal pursuant to section 3(1)(*c*) of the Land Disputes Tribunal Act 18 of 1990. The Respondent contended that the issue of jurisdiction had not been raised in the pleadings nor at the Magistrate's Court or either at the High Court. However, the court noted that the issue had been raised during submission at the High Court although the Judge did not make any finding on it.

Held – The issue of jurisdiction had been raised as a ground of appeal and both parties addressed it. A question of jurisdiction was a matter which the court can and should take cognisance whether or not the matter is raised in argument. *Junabhai and Co Ltd and another v Eustace Sisal Estate Ltd* [1967] EA 158 followed. The Court of Appeal had jurisdiction to deal with the point of law raised notwithstanding the fact that the same was not decided upon by the two lower courts.

The relief sought by the Respondent was the eviction of the Appellant on the ground that she was illegally occupying the Respondent's land without consent. This meant she was a trespasser having no lawful right to the land. The dispute was therefore in terms of section 3(1)(*c*) that fell under the jurisdiction of the

Land Dispute Tribunal, established under section 4 of the Land Dispute Tribunal Act 18 of 1990. The Magistrate therefore had no jurisdiction to hear the dispute.

Appeal allowed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Junabhai and Co Ltd and another v Eustace Sisal Estate Ltd [1967] EA 158 – **F**

Judgment

Gicheru, Shah and Owuor JJA: This appeal is against the decision of the Superior Court, Waweru J given on 16 October 1998 by which he confirmed a judgment given in favour of the Respondent herein, Ng'ang'a Mutura, against the Appellant, Wanjiku Muhia, by the Senior Resident Magistrate, at Githunguri on 5 September 1996.

The Respondent filed a suit against the Appellant, his sister-in-law, seeking, an order of the court to evict her from a portion of his land registration number Githunguri/Kanjai/846 which he alleged that she was occupying illegally and without his consent.

In a defence she filed in answer to the suit, the Appellant asserted that she was in possession of the alleged portion of the said land. As far as he was concerned, the Respondent was registered as proprietor of the said land in trust for himself and his three brothers in equal shares. One of the brothers being her deceased husband, one Muhia Mutura. Pursuant to the above averment she sought in a counterclaim declarations in the following terms:

> "I. That the Defendant holds land registration number Githunguri/Kanjai/846 in trust for himself and his other three brothers in equal shares.
>
> II. That the Defendant has become entitled by adverse possession of the quarter portion out of land registration number Githunguri/Kanjai/846".

Furthermore, she sought orders to the effect that the District land registrar do cause her to be registered as the proprietor of the said quarter portion of the said suit land that she occupied. In the Respondent's defence to the counterclaim he denied that he held any land in trust for his brother, dead or alive. He had in fact bought his brothers' shares in the land way back in 1972 and had been accordingly registered as an absolute owner of the whole piece of land. In as far as the Appellant's claim that she had acquired an interest in the land by way of adverse possession is concerned, he contended that the Appellant had come on the land only with his consent in 1991 when his brother died. She had then refused to move off the land. That is what necessitated his filling of a suit from which this appeal emanates.

On the two issues alluded to above the Learned Judge found as follows:

> "It seems to me that the issue of whether or not the Applicant's late husband had any right to a portion of the land had been decided in the Sheria House ... The Appellant's deceased husband therefore no longer had any right in a portion of the suit land that the Appellant could claim …

> Her counterclaim based on adverse possession was also rightly rejected. The evidence available established in a balance of probabilities that the Appellant (and her husband before her) had initially remained in the land with the consent of the Respondent. That licence was subsequently withdrawn by the Respondent after the Appellant's husband's death. Her claim in adverse possession was not proved".

The appeal before us was canvassed only on one point as opposed to the three grounds of appeal listed in the memorandum of appeal. The material around being that:

> "The Learned Judge erred in law and fact in not considering the weight of the evidence adduced by the Appellant and submissions by the Appellant and in particular that the matter before him fell within the jurisdiction of the elders pursuant to the provisions of Land Disputes Act of 1990 and have arrived at a wrong decision".

The Appellant seeks orders of this Court, that in the event the appeal being allowed, the judgments in Resident Magistrate's Court case number 91 of 1995 and High Court civil appeal number 284 of 1996 be respectively set aside.

The point of law raised by Mr *Muriithi*, counsel for the Respondent is simply this: Did the Learned trial Magistrate in Githunguri Senior Resident Magistrate's Court have jurisdiction to deal with the dispute before her?

The Respondent's claim is contained in paragraph 4 of the plaint. It reads as follows:

> "The defendant has illegally and without the plaintiff's consent or permission occupied a portion of the plaintiff's land registration number Githunguri/Kanjai/946 measuring ... acres or thereabout where she lives".

The relief that was sought by the Respondent was for the Appellant to be evicted since he had withdrawn his consent for her occupation of the suit land and her continued occupation thereof had since became unlawful.

Therefore according to Mr *Muriithi*, the relief sought was based on a cause of action based on trespass which is a matter that falls under the jurisdiction envisaged by section 3(1) of the Land Disputes Tribunal Act 18 of 1990.

Mr *Kinuthia* argued that this Court is now precluded from dealing with this point because it was not pleaded nor was it canvassed before the Magistrate's Court or raised on appeal in the Superior Court. However, our perusal of the record indicates that the matter was raised by way of submissions in the Superior Court, but the Learned Judge did not consider the same nor did he make any finding either way. The issue of jurisdiction has been raised as a ground of appeal and both counsel addressed us on it. Sir Charles Newbold P dealing with the same issue in *Junabhai and Co Ltd and another v Eustace Sisal Estate Ltd* [1967] EA 158 had the following to say:

> "A question of jurisdiction is, however a matter of which the court can and should take cognisance whether or not the matter is quite clear we have thought it unnecessary to invite submissions from counsel on the point".

We are satisfied that we have jurisdiction to deal with the point of law raised in this appeal notwithstanding the fact that the same was not decided upon by the two lower courts.

How to consider the substantive point: did the Learned Magistrate have the jurisdiction to deal with the claim before her? The Land Dispute Tribunals Act of 1990 (18 of 1990) came into operation on 1 July 1993 by way of Legal Notice number 91 of 1993. The intention of the legislature was stated as:

> "to limit the jurisdiction of Magistrate's Courts in certain cases relating to land, to establish Land Dispute Tribunals and define their jurisdiction and powers and for connected purposes".

By land is meant agricultural land, as defined in section 2 of the Land Control Act (Chapter 302) whether or not registered under the Registered Land Act (Chapter 300).

Section 3(1) of the said Act provides as follows:

> "Subject to this Act, all cases of a civil nature involving a dispute as to
>
> (*a*) ...
>
> (*b*) ...
>
> (*c*) trespass to land shall be heard and determined by a tribunal established under section 4".

The subject matter before the Magistrate was agricultural land registered under the Registered Land Act (Chapter 300). The relief sought by the Respondent was the eviction of the Appellant on the ground that she was illegally occupying the Respondent's without his consent. We understand this to mean she was a trespasser having no lawful rights to the land. Therefore it was a dispute in terms of section 3(1)(*c*) that squarely falls under the jurisdiction of Land Disputes Tribunal, established under section 4 of the Act. The Magistrate therefore had no jurisdiction to hear the dispute, the jurisdiction over such claims having been clearly conferred by statute exclusively to the Land Disputes Tribunal.

It is established law that a judgment of a court without jurisdiction is a nullity. See *Halsburys Laws of England* (3ed) Volume 9 at 351.

> "Where a court takes it upon itself to exercise a jurisdiction which it does not possess, its decision amounts to nothing".

For this reason we allow the appeal and set aside the judgments of both the lower courts. The Appellant shall have costs of the appeal.

For the Appellant:
Kinuthia

For the Respondent:
Muriithi

Murri v Murri and another
[1999] 1 EA 212 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Judgment:	2 June 2000
Case Number:	59/99
Before:	Gicheru, Lakha and O'Kubasu JJA
Sourced by:	P Le Pelley
Summarised by:	M Kibanga

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[1] Civil procedure – Pleadings – Striking out – Whether complexity or difficulty of matter a factor to

consider in striking out matter.

[2] Company – Winding-up petition – Striking out winding-up petition – Petition allegedly brought for improper purpose – Petition may be struck out if found to be abuse of the court process.

Editor's Summary

The Second Respondent was a company, incorporated in 1967 by the Appellant together with his two brothers, the First Respondent and the deceased in almost equal shares. Since the deceased brother's death in 1987, there had been a succession dispute in an Italian court involving the First Respondent and their sister.

The Appellant filed a winding-up cause in the High Court under section 211 of the Companies Act (Chapter 486) Laws of Kenya, alleging that the First Respondent who had since 1967 been the managing director of the company, had been conducting the affairs of the company to the detriment of the other directors. There was no prayer for winding-up but for the removal of the First Respondent from the running of the company and for the appointment of an interim liquidation among other prayers.

The company filed an application to strike out the petition for abuse of the court process, which was granted on the basis that the petition had been brought for improper purpose.

The Appellant appealed on the grounds that the High Court did not consider the section under which the petition had been brought, it embarked on a trial by affidavit and wrongly struck out the petition because summary procedure was only intended for simple, plain and obvious cases.

Held – There was no basis for assuming that the Learned Judge did not consider or have in mind the section under which the petition was brought only because he did not specifically refer to the section.

The Judge relied on the facts which were not disputed and those admitted by the petitioner and did not therefore conduct trial by affidavit.

Summary remedy of striking out is applicable whenever it can be shown that the action is one which cannot succeed or is in some way an abuse of the court process or is unarguable. It has nothing to do with a case being complex or difficult, *Cow v Casey* [1949] 1 KB 474 adopted, *Melas v New Cartton Hotel Ltd* [1977] KLR 47 applied, *Carl-Zeiss Stiftung v Rayner* [1969] 3 All ER 897 approved.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Bandali v Lombank Tanganyika Ltd [1963] EA 304

Century Automobiles Ltd v Hutchings Biemer Ltd [1965] EA 304

Melas v New Cartton Hotel Ltd [1977] KLR 47 – **AP**

United Kingdom

Carl-Zeiss Stiftung v Rayner [1969] 3 All ER 897 – **APP**

Cow v Casey [1949] 1 KB 474 – **A**

Foss v Harboltle [1843] 2 Hare 261

Metropolitan Bank v Pooley [1885] 10 AC 210

Re A Company [1894] 2 Ch D 349

Judgment

Lakha JA: This is an appeal from the decision of the superior court (Kuloba J) given on 1 October 1998 in the Winding-up cause 35 of 1997 on a petition under the Companies Act (Chapter 486) section 211 relating to a company called K Boat Services Limited ("the Company"). By that order, the Learned Judge struck out the petition and dismissed it with costs. The Appellant now appeals from that decision.

The Company was incorporated in January 1967 with an authorised capital of KShs 400 000 divided into 20 000 shares of KShs 20 each with the objects of carrying on business of builders and repairers of boats and other vessels and as shipping and ship's agents and other objects as set out in the memorandum of association thereof. The shareholding of the Company was as follows:

(*a*)	Paolo Murri, the Petitioner	-	6 666 shares
(*b*)	Pietro Murri, his brother	-	6 667 shares
(*c*)	Gian Battista Murri, his brother	-	6 667 shares

Gian Battista Murri – has been the managing director at all times since the incorporation of the Company and for the most part Pietro and the Petitioner have not been directors of the Company and had left the running of the Company entirely in the hands of Gian Battista all these years with barely any intervention.

Pietro Murri, however, passed away in 1987. Since then there has been a succession dispute and it is before the Italian court. It is between Gian Battista and Marianna Murri, a sister in whose favour he left all his estate under a written will.

It is in the background as set out above that Paolo Murri, on 24 September 1997, filed a petition in the superior court dated 25 August 1997 under section 211 of the Companies Act (Chapter 486) (as earlier stated) on the basis that the affairs of the Company have been conducted in a manner oppressive to the other members of the Company (including himself) in that Gian Battista has:

(*a*) excluded the Petitioner from the management of the Company;

(*b*) mismanaged the affairs of the Company;

(*c*) appropriated and used the assets and income of the Company for his own benefit illegally.

There is no prayer for the winding-up of the Company but it prays for:

"(i) Gian Battista and Galli being removed from the running of the Company and acting as directors of the Company;

(ii) the appointment of an interim liquidator vested with necessary powers;

(iii) the appointment of the Petitioner and Marianna as directors of the Company; and

(iv) accounts and reimbursement of all monies assets and profits wrongfully taken or diverted by Gian Battista and Mr Galli (the general manager and also director of the Company) from the Company".

The Company's response to the petition was an application dated 15 May 1998 made under the inherent powers of the court and supported by the affidavit of Gian Battista, a director of the Company, to strike out the petition on the main ground that the petition was, *inter alia*, a scandalous abuse of the process of the court. The supporting affidavit running into 15 foolscap sheets dealt with and sought to explain the Company's position relating to the management of the Company, the Company's assets, improvement in asset value of the Company, personal emoluments, Murri International Salvage Operation Company, Outrigger Hotel, leasing of the Hotel and return on shares.

The Learned Judge heard the application to strike out the petition between 17 June 1998 and 28 July 1998. In a reserved ruling which he delivered on 1 October 1998 he granted the application. He held, *inter alia*, that basically this is a dispute about the internal management of the Company and stated:

> "… and an elementary principle is that a court does not interfere with the internal management of companies acting within their powers: the rule in *Foss v Harbottle* [1843] 2 Hare 261 …".

At another point, he stated:

> "Courts will interfere only where the act complained of is *ultra vires* or is of a fraudulent character or not rectifiable by ordinary resolution. It is really very important to companies and to the economy of the country in general, that the court should not, unless a very strong case is made out on the facts pleaded and proved or admitted, take upon itself to interfere with the domestic forum which has been established for the management of the affairs of a company …".

He further held that the court takes into account delay and with this was intertwined the doctrine of estoppel.

He concluded:

> "From my findings I hold that this petition is not presented in good faith and for legitimate purposes, but for other purposes, such as a desire to put pressure on the Company or the Applicant director, and to impose the Petitioner's will illegitimately upon the other directors. This is wrong: *Re A Company* [1894] 2 Ch D 349 at 351 Vaughan Williams J. In particular, petition is an extension of the succession dispute in Italy, and that is not a proper purpose for presenting this petition …
>
> For these reasons, I grant the application, strike out the petition and dismiss it with costs. It is so ordered".

From that decision the Petitioner has appealed to this Court and set up thirteen grounds of appeal. But when Mr *Alibhai*, advocate for the Appellant opened the appeal he limited himself essentially to making one broad submission dealing, in general, with the nature of an application to strike out. He submitted that nowhere in his ruling had the Learned Judge referred to section 211 of the Companies Act, the provision under which the petition had been lodged and thus erred in law and, secondly, he erred in that he had embarked on a trial by affidavit and made findings on affidavit excluding some important documents and that the striking out procedure was intended only for simple plain and obvious cases which the instant case was not.

I now turn to consider each of these submissions. As to the first that there was no reference to the section of the Act, I cannot accept the submission made by Mr *Alibhai*. It should not be assumed that because the Learned Judge did not refer to the relevant section he did not have it in his mind. Nor does his ruling become any the less transparent because the section was not referred to. This was a decision taken by an experienced Judge. He had the relevant authorities cited to him. It would be quite wrong to infer from the fact that he did not specifically refer to it, or to the argument, that it was not present in his mind. In my judgment, there is no merit in this argument and I reject it.

It is, with respect, wrong, in my judgment, to say that the Learned Judge embarked on a trial by affidavit. He did nothing of the sort. I have carefully examined his ruling and do not find that he made any findings on the basis of affidavits before him. There is no disputed question of fact which he has resolved. Throughout his ruling, he has relied on what the Petitioner himself has

said and has acted upon evidence which is not in dispute or that which was supplied by the Petitioner himself. It is, I think, grossly unfair to the Learned Judge to criticise his ruling on the ground that he held a trial on affidavit. He did not. Nor did he hold a mini-trial.

Finally, on this limb of the appeal, it was said that the power to strike out was one which should be exercised only in plain and obvious cases. In my judgment, the summary remedy of striking out is applicable whenever it can be shown that the action is one which cannot succeed or is in some way an abuse on the process of the court or that it is unarguable. It has nothing to do with a case being complex or difficult or that it requires a minute or protracted examination of the documents and the facts of the case. The summary jurisdiction was stated by Lord Greene MR in *Cow v Casey* [1949] 1 KB 474 at 481 as follows:

> "… however difficult the point of law is, once it is understood and the court is satisfied that it is really unarguable, it will give final judgment".

This robust approach was followed in our jurisdiction by Sheridan J in *Melas v New Cartton Hotel Limited* [1977] KLR 47.

And as was said by Buckley J (as he then was) in *Carl-Zeiss Stiftung v Rayner* [1969] 3 All ER 897 at 908:

> "It has been suggested in this case that, if the question whether the issue is *res judicata* is a difficult or complicated one, this in itself is a sufficient ground for refusing to strike out the plea. I cannot think that this is right. If, as will normally be the case, the relevant information is before the court before which the interlocutory application comes, the Judge ought then to decide whether the issue is *res judicata* or not. However difficult or obscure the point may be, for it will not become less so by waiting for the trial. If, on the other hand the necessary information is not before him, the application will be premature and should fail".

Before leaving this part of the appeal I would add that the object of the summary procedure of striking out is to ensure that Defendants should not be troubled by claims against them which are bound to fail having regard to the uncontested facts. In principle if there is any room for escape from the law, well and good; it can be shown. But in the absence of that, it is difficult to see why a defendant should be called on to pay a large sum of money and a plaintiff permitted to waste large sums of his own or somebody else's money in an attempt to pursue a cause of action which must fail. It seems to me that when that situation arises the comments of Lord Blackburn in *Metropolitan Bank v Pooley* [1885] 10 AC 210 at 221, are applicable. He said that "a stay or even dismissal of proceedings may often be required by the very essence of justice to be done". The object is to prevent parties being harassed and put to expense by frivolous, vexatious or hopeless litigation. It would be contrary to the public interest that justice should be shackled by rules of procedure when the shackle will fall to the ground the moment the uncontested facts appear; and that is just this case. It is, I think, convenient now to turn briefly to consider if this is so.

The Petitioner claims he was excluded from management of the Company but he himself says in the petition (paragraph 6) that at all times since the acquisition of the Company by the Murri Brothers, Gian Battista Murri has been the managing director of the Company and for the most part the Petitioner and the other brother Pietro have not been directors and *had left the running of the company entirely in the hands of Gian Battista* (my emphasis). This puts the claim for being excluded out of the question.

As for the claims for mismanagement, misappropriation, the Petitioner concedes that these were known to the Petitioner for some ten years before the filing of the petition and no explanation for this long delay is proferred. The Petitioner is estopped from raising these after such a long delay. Such claims, as Mr *Oyatsi*, advocate for the Respondents submits, rightly in my view, are barred by delay and estoppel. As for the latter, see: *Bandali v Lombank Tanganyika Limited* [1963] EA 304 and *Century Automobiles Limited v Hutchings Biemer Limited* [1965] EA 304. To accede to such claims would not be consonant with the fundamental principles on which a court of equity acts.

With regard to the appointment of directors this is regulated by the Company's articles of association and according to the copies of the minutes of the various general meetings for the year 1991 up to 1996 the appointment to the Board of Directors has at all material times been made by the members at the Company's annual general meetings at which the Petitioner has at all material times been invited to attend and has in fact attended all the meetings through proxies and participated in the decision to appoint directors of the Company. The petition makes no allegation that the articles of association have been breached or any appointment made unlawfully.

Upon a careful consideration of the petition it is plain and obvious that basically this is a dispute about the internal management of the Company, and a court does not interfere with the internal management of the Company acting within its powers: see the rule in *Foss v Harboltle* [1843] 2 Hare 261. Facts necessary to support intervention by the court, for example *ultra vires* or fraud have not been pleaded.

In view of the foregoing I am persuaded that the Petitioner's claims are bound to fail and that they are obviously unsustainable. Like the Learned Judge, I have no doubt at all that it is an abuse of the process of the court and I would strike it out accordingly. He dealt very fully with the application before him and there are no grounds on which his discretion can be successfully challenged in this Court. For this reason, in addition to those stated above, I would dismiss the appeal with costs.

(Gicheru and O'Kubasu JJA concurred in the judgment of Lakha JA).

For the Appellant:
ZH Alibhai instructed by *Daly & Figgis Co*

For the Respondents:
D Oyatsi instructed by *Shapley Barret & Co*

Mususa v Attorney-General and another
[1999] 1 EA 217 (CAT)

Division:	Court of Appeal of Tanzania at Arusha
Date of Judgment:	29 March 1999
Case Number:	59/98
Before:	Nyalali CJ, Ramadhani and Lubuva JJA
Sourced by:	AT Nguluma
Summarised by:	A Mwanzia

[1] Company – Receiver – Preferential debt – Sales tax plus penalty – Tax due before appointment of receiver but penalty thereof became due after receiver's appointment – Whether penalty a preferential debt – Sections 78 and 259 – Companies Ordinance (Chapter 212).

Editor's Summary

Mususa was the receiver and manager of Kibo Match Corporation Limited. He paid debts on behalf of the Company amongst which were sales taxes amounting to TShs 61 219 762 but declined to treat a penalty amount of KShs 21 888 397-25 imposed for failing to pay the taxes in time, as a preferential debt secured under sections 78 and 259 of the Companies Ordinance. The Commissioner of Sales Tax was of a different opinion; that a penalty was a tax under section 26(2) of the Sales Tax Act and thus collectable as a preferential debt just like the sales tax itself. Mususa unsuccessfully sued the Commissioner of Sales Tax in the High Court.

The matter was taken on appeal to the instant Court.

Held – The Sales Tax Act did not impose the inseparable unity of a tax and a penalty, there was no distinction between a tax and a penalty imposed on the tax. However, for purposes of other legislation, there could be a distinction depending on the provisions of those legislations.

Under the Companies Ordinance, a penalty which became due for payment before the date of the appointment of the receiver was not distinguished. However, a penalty which became due for payment after the appointment of the receiver was distinguishable.

As the penalty totalling TShs 21 888 397-25 became due for payment after the appointment of the receiver, even though under section 26(2) of the Sales Tax Act it was a tax, nevertheless it was not a preferential debt under sections 78 and 259(2) of the Companies Ordinance.

Appeal allowed.

No cases referred to in judgment

Judgment

Ramadhani JA: The Appellant, Leonard Clement Mususa, was on 19 March 1994 appointed the receiver and manager of Kibo Match Corporation Limited. Among the debts which he had to pay on behalf of the Corporation, were the sales taxes due for the month of February 1994 up to the 19 March 1994, the day he was appointed receiver. The Appellant paid the taxes totalling TShs 61 219 762 but he refused to treat the penalty amount of TShs 21 888 397-25 imposed for failing to pay the taxes in time, as a preferential debt. He regarded the penalty as any other debt which is not secured under sections 78 and 259 of the Companies Ordinance (Chapter 212) (hereinafter referred to as the Ordinance). The Commissioner of Sales Tax, the Second Respondent, is of the view that a penalty is a tax under section 26(2) of the Sales Tax Act of 1976 (13 of 1976) (hereinafter referred to as the Act) and is collectable as a preferential debt just like the sales tax itself. Because of that difference of opinion, the Appellant unsuccessfully sued the Commissioner of Sales Tax and the Attorney-General, the First Respondent. Hence this appeal by the receiver.

In order to appreciate fully the legal point needing the determination of this Court, it is absolutely necessary to provide the background factual information and the legal position so as to put the matter in its perspective.

Section 26(1) of the Act imposes a penalty on any amount of tax which "remains unpaid on the due date". The question is what is "the due date".

Section 66 of the Act empowers the Minister for Finance to make regulations. The Minister has done that. The Sales Tax Regulations of 1969, Gazette Notice number 152 of 19 June 1969 as amended by the Sales Tax (Amendment) Regulations of 1991, Gazette Notice number 211 of 13 June 1991. Let us pose there for a second and observe that section 72(1) of the Act repealed the Sales Tax Act of 1969 but subsection (2) thereof saved all subsidiary legislation. After saying so for the avoidance of doubt, let us proceed to look at Regulation 19(2) which provides:

> "A manufacturer of scheduled articles may, save where it is otherwise provided in any order made under section 6 of the Act, pay tax in respect of scheduled articles sold by him on a day not later than the thirtieth or thirty first day of the month following the month in which the sale takes place".

So, "the due date" is "a day not later than the thirtieth or thirty first day of the month following the month in which the sales takes place". To come down to concrete terms; for the sales tax of matches sold by the receiver in the month of February 1994, the due date was 31 March 1994. Likewise, for the goods sold in March 1994, the due date was 30 April 1994. Again, for the avoidance of doubt matches are scheduled articles under Tariff number 36.06 of the First Schedule.

Now, since on those two due dates the sales taxes are not paid, a penalty totalling TShs 21 888 397-25 was imposed under section 26 of the Act.

As already said, the Appellant as the receiver, has already paid the sales tax due but has not paid the penalty. His ground is that section 259(1) of the Ordinance provides for the legal position regarding debts of a company under receivership and/or liquidation into preferential and non-preferential debts. That subsection provides:

> "In a winding-up there shall be paid in priority to all other debts:
>
> (*a*) all taxes and rates whether payable to the crown or to the local authority, due from the company at the relevant date and having become due and payable within twelve months next before that date".

The "relevant date" here is the date when the Appellant was appointed receiver, that is on 19 March 1994. That is provided in section 259(6)(*b*) and also section 78(2) of the Ordinance.

The argument of the Appellant is that under sections 78 and 259 of the Ordinance, all debts which became due for payment within twelve months before the relevant date, that is, before 19 March 1994 are preferential. Thus, according to the Appellant, the sales taxes became due for payment before 19 March 1994, hence preferential. On the other hand, the penalties became due after 19 March 1994, to be precise, they became due on 31 March and 30 April 1994 respectively. These therefore are not preferential as they did not become due for payment within twelve months before his appointment, that is, 19 March 1994.

The argument of the Respondents is that section 26 of the Act, which imposes penalties, does not make the distinction made by the Appellant as between a tax and a penalty on a tax. Both are regarded by subsection (2) of that section as taxes.

When hearing the appeal Dr *Nguluma,* learned counsel, advocated for the Appellant and Mrs *Sumari,* Senior State Attorney, appeared for the Respondents.

Mrs *Sumari* conceded that the whole issue rests on the proper interpretation of section 26(2) of the Act. That subsection provides as follows:

> "Any sum payable by way of penalty under this section shall, *for the purpose of this Act*, be deemed to be tax and shall be collected and received accordingly". (emphasis ours)

By using the emphasised words, that is, "for the purposes of this Act", the Sales Tax Act of 1976 did not impose the inseparable unity of a tax and a penalty provided in that subsection on other legislations, the Ordinance included. For the purposes of the Sales Tax of 1976, there is no distinction between a tax and a penalty imposed on the tax. However, for the purposes of other legislations, there could be a distinction depending on the provisions of that legislation.

Thus, under the Ordinance, a penalty which becomes due for payment before the date of the appointment of the receiver, that is, the relevant date, is not distinguishable. However, a penalty which becomes due for payment after the appointment of the receiver is distinguishable.

Another way of looking at it is that the Sales Tax Act of 1976 defines what is a tax in section 26(2) while the Companies Ordinance categorizes which taxes are preferential debts and which are not.

So, as the penalty totalling TShs 21 888 397-25 became due for payment after the relevant date, even though under section 26(2) of the Act it is a tax, nevertheless, it is not a preferential debt under sections 78 and 259(2) of the Ordinance.

The Learned trial Judge Munuo J, was right in saying that "the appointment of a receiver does not alter the tax liability of the company". However, the appointment of the receiver does not determine which tax liability is preferential and which is not and that is what is in issue here.

Therefore, the appeal is allowed. The penalty totalling TShs 21 888 397-25 is not a preferential debt.

In view of the nature of litigation itself, each party to bear its own costs. We may as well observe here that though there was a prayer for costs in the plaint, none were given. In the memorandum of appeal, on the other hand, there is no prayer for costs.

It is so ordered.

(Nyalali CJ and Lubuva JA concurred in the judgment of Ramadhani JA)

For the Appellant:
AT Nguluma instructed by *Maajar, Rwechungura, Kameja & Nguluma Adv*

For the Respondents:
Sumari, Senior State Attorney instructed by the Attorney-General

Nfutimukiza v Uganda
[1999] 1 EA 220 (CAU)

Division:	Court of Appeal Uganda at Kampala
Date of Judgment:	19 May 2000
Case Number:	41/99
Before:	Kato, Okello and Kitumba JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

[1] Crime – Defilement – Elements of offence – Slightest penetration was sufficient to constitute the offence – Rupture of complainant's hymen not essential – Whether prosecution had proved commission of offence – Whether the complainant's failure to testify was fatal to the conviction – Section 123(1) – Penal Code (Chapter 106).

[2] Crime – Sentence – Severity of sentence – Exercise of court's discretion in determining sentence – Factors to be considered before interfering with trial court's discretion – Whether sentence was manifestly excessive.

Editor's Summary

The Appellant was charged with the offence of defilement and tried before a judge of the High Court. At his trial, evidence was adduced to the effect that on the material day, the complainant, a mentally disabled girl aged 10 years, and her older sister were sent to buy sugar cane from the Appellant. When they reached the Appellant's house, the complainant and the Appellant went into the sugar cane plantation alone while his friends prevented her sister from accompanying them. A few minutes later the complainant emerged from the plantation walking in a peculiar manner and with the back of her skirt wet. Her sister suspected that she had been defiled and reported the matter to their mother. The mother examined the complainant then took her to a doctor for further examination. The doctor confirmed that the victim had been defiled even though her hymen remained intact. The Appellant was arrested and charged with defiling the complainant. Although the complainant did not testify, both her mother and the doctor testified to the presence of a thick whitish fluid, which was later found to be semen, in her private parts. Evidence was also adduced to the effect that a medical examination of the Appellant a few hours after the alleged incident occurred revealed the presence of sperm under the foreskin of his penis. In his defence, the Appellant alleged that the charges had been brought as a result of a grudge between his employer and the complainant's mother. The trial Judge rejected his defence, found him guilty as charged and sentenced him to 12 years' imprisonment. He now appealed on the grounds that the trial Judge had failed to properly evaluate the evidence on record and that the sentence was excessive in the circumstances. The Appellant's counsel contended that the act of sexual intercourse, which was an essential element of the offence of defilement, had not been proved and that the Judge had wrongly rejected the issue of the grudge. Counsel for the Respondent supported the conviction, averring that there was sufficient evidence to warrant the Appellant's conviction.

Held – A first appellate court had a duty to subject the entire evidence on record to a fresh and exhaustive scrutiny, make its own findings of fact and draw its own conclusions, bearing in mind the fact that it did not have the opportunity to see the witnesses as they testified; *Okeno v Republic* [1972] EA 32 applied. The slightest penetration sufficed to constitute the offence of defilement and it was not necessary to prove rupture of the victim's hymen. In this instance, the medical evidence showing that the complainant's vulva was inflamed and that sperm was present in her vagina was sufficient to prove the necessary penetration; *Habyarimana v Uganda* criminal appeal number 68 of 1998 followed. The fact that the complainant had not given evidence was not fatal to the conviction*; Akol v Uganda* criminal appeal number 23 of 1992 SC (UR) and *Mwindu v Uganda* criminal appeal number 1 of 1997 (CA) (UR) followed. There was sufficient evidence to support the conviction and the trial Judge's findings could therefore not be faulted.

The trial Judge was justified in not believing the Appellant's defence that the charge was framed up because of a grudge between his employer and the complainant's mother.

With regard to sentence, an appellate court could only interfere with a trial judge's exercise of discretion where the Judge acted on a wrong principle or the sentence was manifestly excessive or too low; *Ogalo v R* [1954] 24 EACA 270 followed. None of those conditions existed here and, in view of the circumstances in which the offence was committed, the sentence was not manifestly excessive.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Akol v Uganda criminal appeal number 23 of 1992 SC (UR) – **F**

Byamugisha v Uganda [1976] HCB 317

Gwayamadde v Uganda [1970] HCB 156

Habyarimana v Uganda criminal appeal number 68 of 1998 – **F**

Mwindu v Uganda criminal appeal number 1 of 1997 (CA) (UR) – **F**

Ogalo v R [1954] 24 EACA 270 – **F**

Okeno v Republic [1972] EA 32 – **AP**

Uganda v Anywar criminal session case number 381 of 1995

Uganda v Mwesigwa criminal session case number 99 of 1992

Uganda v Odwong and another [1992-93] HCB 70

Judgment

Kato, Okello and Kitumba JJA: This appeal is against the conviction and sentence imposed on the Appellant by the High Court (Rugadya Atwoki J) sitting at Mukono on 16 April 1999 whereby the Appellant was convicted of defilement contrary to section 123(1) of the Penal Code Act and was sentenced to 12 years imprisonment.

The case for the prosecution at the trial was that on 11 July 1998 the victim, an imbecile girl of the age of about 10 years, was sent to buy sugar cane from the Appellant. She was accompanied by her sister Irene Namanda (PW1) who was older than her. From the Appellant's residence, his friends prevented Namanda from accompanying the victim and the Appellant to the plantation. Appellant went to the plantation with the victim alone.

When the victim later emerged from the plantation, Namanda noticed that she was walking badly. She also noticed that the victim's skirt was wet at the rear. She suspected that the victim was defiled. She reported the matter to their mother one Nanyonga Sebagala (PW2). Their mother immediately examined the victim and found her private part wet and damaged. She then took her for medical examination. The Doctor who examined the victim confirmed that she had been defiled as there was inflammation around her vulva though her hymen was intact. The matter was reported to the authorities and the Appellant was arrested and charged with defiling the victim.

At the trial, the Appellant's defence was a complete denial. He pleaded a frame up as a result of a grudge which existed between his employer and the

victim's parent. The trial Judge rejected that defence and convicted the Appellant and sentenced him as stated. Hence this appeal.

There are two grounds of the appeal namely:

1. The Learned trial Judge erred in fact and law when he failed to properly evaluate the evidence on record and then came to a wrong decision.
2. The Learned trial Judge erred in fact and in law when he sentenced the accused to 12 years imprisonment which was excessive in the circumstances.

The first complaint raised by Mr *Max Mutabingwa*, learned counsel for the Appellant on state brief, was that the act of sexual intercourse, necessary to constitute the offence of defilement was not proved. He argued that as the victim did not give evidence and the medical evidence showed that the victim's hymen was intact, the penetration necessary to constitute sexual intercourse was not established.

Secondly, learned counsel for the Appellant complained that the trial Judge wrongly rejected the issue of grudge which the Appellant raised in his defence as being the cause of framing him with this offence.

Mr *Byabakama Mugenyi*, Senior Principal State Attorney who appeared for the State supported the conviction and the sentence. He contended that the trial Judge properly evaluated the evidence before him. In his view, failure of the victim to testify at the trial was not fatal to the prosecution case as there was sufficient evidence which warranted the conviction of the Appellant.

On the issue of sexual intercourse, Mr *Byabakama* submitted that it was proved. He pointed to the damage to the victim's private part and the presence of a thick whitish fluid in it which her mother PW2 testified to and were confirmed by the Doctor (PW5) who examined the victim a few hours later as evidence of sexual intercourse. According to Mr *Byabakama*, the doctor found inflammation of the victim's vulva and the laboratory analysis established the presence of sperm in the victim's private part. He argued that non-rapture of the victim's hymen was adequately dealt with by the trial Judge who despite that, found that there was penetration.

As regards participation of the Appellant in the commission of the offence, Mr *Byabakama* submitted that the circumstantial evidence against the Appellant was very strong. He pointed out that the Appellant was last seen with the victim when she was walking well as they entered the plantation. A few minutes later when the victim emerged from the plantation, she was walking badly and her skirt was noted wet on the rear. These aroused her sister's suspicion that she might have been defiled. That suspicion was confirmed by their mother and the doctor who examined the victim. Subsequently, the medical examination on the Appellant a few hours later revealed the presence of sperm under the foreskin of his penis. This suggested recent ejaculation. According to Mr *Byabakama*, all these circumstances irresistibly pointed to the Appellant as the person who defiled the victim.

He contended that the trial Judge properly rejected the Appellant's issue of grudge as a mere attempt to explain away the strong evidence against him. It was Mr *Byabakama*'s argument that the question of the grudge was a second thought as it was not put to the victim's mother in cross-examination.

It is now settled that a first appellate court has a duty to subject the entire evidence on record to a fresh and exhaustive scrutiny and to make its own findings of facts and to draw its own conclusions while making allowance for

the fact that it had no opportunity to see the witnesses as they testified. (See *Okeno v Republic* [1972] EA 32 at 36).

With the above principle in mind, we now proceed to consider the merits of the appeal. The first criticism was that sexual intercourse was not proved as the victim did not herself give evidence and the medical evidence revealed that the victim's hymen was intact.

The trial Judge considered a number of authorities which persuaded him that non-rapture of the hymen of a defilement victim was no proof that there was no penetration. The authorities he consulted were *Uganda v Anywar* criminal session case 381 of 1995; *Uganda v Mwesigwa* criminal session case 99 of 1992; *Uganda v Odwong and another* [1992-93] HCB 70; *Byamugisha v Uganda* [1976] HCB 317; *Gwayamadde v Uganda* [1970] HCB 156. All these are High Court decisions. He also consulted *Archibold Criminal Pleadings, Evidence and Practice* (36ed) at 2880 paragraph 2879 where the learned author stated that proof of rapture of the victim's hymen was unnecessary. He further consulted *Halsbury Laws of England* (3ed) Volume 10 at 746 paragraph 1438 where the learned author stated that it is not necessary that the hymen should be raptured. Carnal knowledge was deemed complete upon proof of penetration.

On the strength of those authorities the trial Judge considered the evidence of the mother of the victim which showed that the private part of the victim was "damaged" and there was in it some thick whitish fluid. He also considered the medical evidence which revealed that the vulva of the victim was inflamed and that there was present around it sperms. Upon this evidence the Learned trial Judge found that there was penetration.

From the evidence available on record, we cannot fault the trial Judge's finding. Failure of the victim to give evidence is not fatal to the conviction. See *Akol v Uganda* criminal appeal number 23 of 1992 SC (UR); *Mwindu v Uganda* criminal appeal number 1 of 1997 (CA) (UR). In the instant case, we are satisfied that there was sufficient evidence to support the conviction as shown above.

As regards sexual intercourse, the law governing it is that the slightest penetration possible suffices to constitute the offence of defilement. In *Habyarimana v Uganda* criminal appeal number 68 of 1998 this Court held that the finding of semen all over the victim's vagina was sufficient. In the instant case, the medical evidence revealed that the victim's vulva was inflamed and that sperms were found in the victim's vagina though her hymen was not raptured. In our view, that evidence is sufficient to prove the penetration necessary as what is needed is the slightest penetration.

The trial Judge was criticised for not believing the Appellant's story that the charge was framed up against him because of a grudge between his employer John and Mayanja Abdu (PW3) over land and with Nanyonga Sebagala (PW2) for uprooting potatoes which Sebagala was harvesting. We think that the trial Judge was justified to disbelieve the Appellant as that fact was never put to Mayanja Abdu and Nanyonga Sebagala in cross-examination. That failure rendered the allegation an after thought. Consequently, ground 1 must fail.

Counsel for the Appellant's complaint in ground 2 was that the sentence of twelve years imprisonment imposed on the Appellant was excessive. Mr *Byabakama* on his part, was of the view that the sentence was lawful and commensurate with the offence.

We want to point out that an appellate court can interfere with the exercise of discretion of the trial Judge only where the Judge has acted on a wrong principle or where the sentence he passed is manifestly excessive or too low. See *Ogalo v R* [1954] 24 EACA 270. None of those conditions has been shown to exist here. The maximum sentence prescribed by law for defilement is death. In the instant case the trial Judge in his discretion imposed 12 years to include the period the Appellant spent on remand. The Appellant spent four years on remand. If that is deducted from 12, only 8 years is left. We do not find this to be manifestly excessive considering the fact that the Appellant took advantage of the unfortunate condition of the victim being an imbecile. We find no merit in this ground.

In the result, we dismiss the appeal and uphold the lower court's decision.

For the Appellant:
M Mutabingwa

For the Respondent:
B Mugenyi, Senior Principal State Attorney instructed by the Director of Public Prosecution

Ngethe v Gitau and another
[1999] 1 EA 225 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Judgment:	29 January 1999
Case Number:	143/98
Before:	Gicheru, Omolo and Lakha JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Civil procedure – Pleadings – Originating summons – Application for mesne *profits* – Mesne *profits not pleaded – Prayer for* mesne *profits must be supported in pleadings – Whether Respondent entitled to* mesne *profits.*

[2] Land – Adverse possession – Procedure – Claim based on adverse possession – Proper procedure for bringing a claim based on adverse possession – Whether suit will fail if not began by originating summons – Order XXXVI, rule 3D – Civil Procedure Rules.

Editor's Summary

The Plaintiffs (now Respondents) were the registered proprietors of a parcel of land known as Dagoretti/Riruta/2218. They had acquired the land in 1987 by purchasing it from one Njoroge Gathuku, a stepbrother to the First Plaintiff. They then filed a suit seeking a declaration that the defendants were trespassers on the suit land and orders evicting them from the land. The defendants contended that the land had belonged to their father and filed a counterclaim seeking declarations to that effect. Having heard all the evidence, the trial Judge found in favour of the Plaintiffs and dismissed the counterclaim. The second defendant now appealed against the decision on the ground

that this was a case of adverse possession, whereas the First Respondent cross-appealed seeking an order for *mesne* profits, following the trial Judge's failure to make such an order.

Held – It was a mandatory requirement of Order XXXVI, rule 3D of the Civil Procedure Rules that a claim based on adverse possession under the Limitations Act be commenced by way of an originating summons.

There had been no pleading of adverse possession before the High Court neither had there been a claim for a declaration of title by adverse possession. Moreover, the Learned trial Judge's finding of fact to the effect that there was no evidence to support a claim based on adverse possession had not been challenged. The court would not interfere with such a finding unless it was perverse or there was no evidence at all to support it and such was not the case here.

Though the plaint included a prayer for *mesne* profits, there were no averments in the plaint to provide the basis for such a claim. Accordingly, *mesne* profits could not be decreed, as they had not been specifically pleaded.

Appeal and cross-appeal dismissed with costs.

No cases referred to in judgment

Judgment

Gicheru, Omolo and Lakha JJA: This is an appeal by one of the unsuccessful defendants from the judgment and decree of the superior court (Khamoni J) given on 14 July 1997 whereby he entered judgment for the Plaintiffs declaring the defendants as trespassers on the suit land, ordering their eviction therefrom and dismissing the defendants' counterclaim seeking declarations in support of their claim to the suit land. There is also a cross-appeal by the First Respondent for an order of *mesne* profits arising from the Learned Judge's failure to make such an order.

The facts giving rise to this litigation may be briefly stated. The Plaintiffs were, as is undisputed, the registered proprietors of all that piece of land known as Dagoretti/Riruta/2218 (the suit land) which is a subdivisional portion of Dagoretti/Riruta/267 and which said piece of land they acquired in or about the year 1987 after purchasing the same from Njoroge Gathuku D who is a step brother of the First Plaintiff. The Plaintiffs' case was that the defendants' occupation of the suit land was with the full knowledge and consent of the said Njoroge Gathuku D prior to the transfer in favour of the Plaintiffs. After the registration of the Plaintiffs as proprietors of the suit land the defendants have refused to vacate the same.

The defendants' case before the superior court was that the suit land belonged to their father and hence their refusal to vacate the same. They pleaded a counterclaim claiming declarations in support of their case.

It is important at this stage to observe that there was no pleading of adverse possession. Nor was there a claim for a declaration of title by adverse possession.

Evidence was led before the superior court by both sides and the Learned Judge having heard all the documentary evidence tendered, found in favour of the Plaintiffs and dismissed the counterclaim. Being dissatisfied with the decision of the Learned Judge the second defendant has now appealed to this Court.

The main thrust of the attack on appeal before this Court was on the basis that this was a case of adverse possession and all the grounds of appeal were based on that main point.

Having carefully considered all the submissions made on behalf of both parties, we have come to the clear conclusion that we are unable to accept the submissions made on behalf of the Appellant and reject the same. Adverse possession was never pleaded as such in the pleadings before the superior court. Strictly speaking, it should never have been allowed to be advanced or urged before this Court as being inconsistent with the Appellant's pleading before the superior court and a departure from it. But, perhaps more importantly, the claim by way of adverse possession not having been brought by way of an originating summons as is mandatorily required by Order XXXVI, rule 3D of the Civil Procedure Rules it cannot succeed. There appears to be no authority or provision for the reverse procedure, that is to say for an action begun by plaint (as this was) to be continued as an originating summons. But, even if that could be done, there was no application on that behalf made before the superior court and the Appellant is faced with the difficulty that, under Order XXXVI, rule 3D a claim based on adverse possession under the Limitation Act must mandatorily be commenced by an originating summons. As this course was not adopted we take the view that the Learned Judge was perfectly right in the decision he gave albeit for a different reason. There is also the additional point that there has never been any claim made on behalf of the Appellant for a declaration of title by adverse possession. Surely, it cannot be left to a party to decide it. But, above all, the Learned Judge made a finding of fact to the effect that there was no evidence to support such a claim. That finding of fact has not been challenged in the grounds of appeal set out in the memorandum of appeal as is required by rule 84 of the Rules of this Court.

Nothing was advanced or argued to challenge the findings of fact by the Learned Judge. Now it is well settled that this Court will not interfere with a finding of fact by a trial Judge unless it was perverse or there was no evidence at all in support of it. If there was some evidence it cannot be said that no court can come to a conclusion based on it unless perversely. We have heard nothing to persuade us that this Court should interfere with the finding of the Learned Judge on this issue.

We have, as is our duty, as a first appellate court, treated the evidence and material before the superior court, to a fresh and an exhaustive scrutiny and are satisfied, as was the Learned Judge, that there was no sufficient evidence to establish adverse possession. The evidence as to the date when the Appellant entered into possession of the suit is contradictory. Nor was there evidence that occupation was continuous or uninterrupted. Occupation by the Appellant is not sufficiently shown to be decreed.

As for the cross-appeal, although the plaint has a prayer for *mesne* profits, there are no averments in the plaint to provide a basis for such a claim; it is not specifically pleaded and cannot be decreed.

We are satisfied that the Learned Judge reached a correct conclusion both as to the claim and the counterclaim.

Accordingly and, for the reasons above stated, the appeal and the cross-appeal are dismissed with costs.

For the Appellant:
Information not available

For the Respondent:
Information not available

Nyanzi v Uganda
[1999] 1 EA 228 (SCU)

Division: Supreme Court of Uganda at Mengo

Date of ruling:	10 September 1999
Case Number:	16/98
Before:	Oder, Karokora, Mulenga, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Appeal – Evidence – Evaluation of evidence presented in courts below – Duty of appellate court to re-evaluate the evidence – Section 6(1)(a) – Judicature Statute – Rule 29 – Court of Appeal Rules.

[2] Evidence – Alibi – Evidence adduced in support of alibi – Evaluation of alibi – Whether courts below properly evaluated alibi defence.

[3] Evidence – Identification – Principles relating to identification evidence – Testimony of a single identifying witness – Credibility of witness – Weight to be placed on single witness evidence – Whether complainant's evidence was credible – Whether trial judge correctly applied principles.

Editor's Summary

This was the Appellant's second appeal against his conviction and sentencing to death before the High Court. At his trial, the prosecution case against him rested primarily on the testimony of the complainant. In his evidence, the complainant testified that two attackers, whom he identified as the Appellant and one Sekajugo, had broken into his house in the early morning hours of 7 May 1994. They had then grabbed some property and cut him leaving him with serious injuries as he struggled with them. The incident was reported to the LCV Chairman and the Appellant was arrested the following day. The Appellant's first appeal to the Court of Appeal was dismissed. He then brought the current appeal primarily on the grounds that the environment surrounding the attack did not satisfy the conditions required for basing a conviction on the evidence of a single identifying witness and that the trial and first appellate courts had erred in rejecting his alibi defence.

Held – The essence of section 6(1)(*a*) of the Judicature Statute, which permitted an Appellant to raise an appeal on a point of law or mixed law and fact, was that in a criminal appeal to the Supreme Court, the court was not required to re-evaluate the evidence in the manner that a first appellate court would except in the clearest of cases; *Abasi Sali and another v Uganda* Supreme Court criminal appeal number 7 of 1998 (UR), *Bogere v Uganda* [1998] LLR 8 (SCU), *Kifamunte v Uganda* [1997] LLR 72 (SCU) and *Kagundu v Uganda* Supreme Court criminal appeal number 14 of 1998 (UR) followed. This was one of those exceptional cases where the Supreme Court had to step in and re-evaluate the evidence as neither the trial nor the first appellate courts had done as they should have done.

Where the evidence of a single identifying witness formed the basis of a conviction, that evidence had to be such as to leave no room for doubt that the accused had been properly identified; *Roria v R* [1967] EA 583 applied. It was not enough for the courts below to evaluate the evidence on identification before coming to a conclusion; they had to do so with due care and caution so

as to eliminate the possibility of honest but mistaken identification of the accused. For a conviction to be sustained, it was not enough for the trial Judge to warn himself of the dangers of relying on a single witness. There had to be other facts and circumstances surrounding the identification. In this instance, the contradictions contained in the testimony of the complainant seriously affected his credibility.

Where an alibi defence was raised, it was an error in law to dismiss the alibi without evaluating the evidence presented to support it. Justice demanded that the court evaluate the evidence of both the prosecution and the defence equally and fairly and give reasons why one and not the other version was accepted. It was a misdirection to accept one version and hold that by virtue of that acceptance, *per se*, the other version was unsustainable; *Kagundu v Uganda* (*supra*) and *Bogere v Uganda* (*supra*) applied. In this instance, the trial Judge was persuaded to reject the alibi on the basis of facts and circumstances extrinsic to the alibi. He did not analyse the testimony of the witnesses relating to that alibi and in so doing he misdirected himself. Likewise the first appellate court failed to re-evaluate the evidence in support of the alibi.

Appeal allowed, conviction quashed and sentence set aside.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Abasi Sali and another v Uganda Supreme Court criminal appeal number 7 of 1998 (UR) – **F**

Bogere v Uganda [1998] LLR 8 (SCU) – **AP** and **F**

Roria v R [1967] EA 583 – **AP**

Kagundu v Uganda Supreme Court criminal appeal number 14 of 1998 (UR) – **AP** and **F**

Kifamunte v Uganda [1997] LLR 72 (SCU) – **F**

Pandya v R [1957] EA 336

Sekitoleko v Uganda [1967] EA 531

Sekitoleko v Uganda [1968] EA 370

Terikabi v Uganda [1975] HCB 63

United Kingdom

R v Christie [1914] AC 545

Judgment

Oder, Karokora, Mulenga, Kanyeihamba and Mukasa-Kikonyogo JJSC: This is an appeal against the judgment of the Court of Appeal dismissing the appeal of the Appellant from his conviction and sentence of death passed by the High Court on 22 August 1997.

The facts of this case as presented by the prosecution may be summarised as follows: On 7 May 1994, at around 2:00am, Juuko Vicent, (PW1), was sleeping peacefully in his house in Kyalugo

village, Mukungwe subcounty in Masaka

District, when he suddenly heard a bang on the door of his house. He jumped up, got hold of a torch and while flashing it, peeped outside through the window of the house. The torch had new batteries put in it. The window through which he peeped out had a rusty wire netting with slightly bigger hole than the normal mosquito nets. He was able to see two attackers, who were at the time standing by the door of the house. The door was about one and half metres away from the window where PW1 was standing. Apparently, PW1 recognised Sekajugo and the Appellant as the attackers. PW1 knew the Appellant very well as both had grown up together in that same area and often saw each other in the local trading centre.

As PW1 stood at the window, one of the attackers rushed towards PW1 and attempted to cut him with a *panga*. The attacker missed whereupon PW1 ran to the door and held it in order to prevent the attackers breaking it and entering the house. However, the attackers overpowered him and broke the door open. The door fell into the room where PW1 had been trying to resist the attack. The attackers then grabbed PW1's bicycle and took his UShs 5 000. As PW1 struggled to prevent them from taking his property, the attackers cut him on his left arm, chest and side. He was left bleeding profusely. He raised an alarm as he ran out of the room and the alarm was heard clearly by his mother. However, PWI's mother was unable to assist because of fear of the attackers. PW1 ran to his brother's home, Joseph Kateregga (PW4) who noticed that PW1 was not only heavily bleeding, but his intestines were protruding from the stomach. The victim told his brother what had happened and revealed the identity of the persons who had attacked him. Later PW1 repeated this story to one Dezirante Nakanwagi (PW3). Joseph Kateregga (PW4) took PW1 to hospital where the latter was admitted and treated by Dr Samuel Kazibwe (PW2). According to the doctor, PW1 had sustained serious injuries on his stomach. He also had other injuries on the body which he classified as grievous harm. It was also the doctor's opinion that the victim had been brutally assaulted by someone who used a sharp edged and pointed weapon such as a *panga* or a knife.

From the hospital, PW4 went and reported the incident to the LCV Chairman, Herbert Sinabulya, (PW5). The Chairman received the report around 8:00am on the same day. On 8 May 1994, PW5 and Moses Mande (PW6) arrested the Appellant

The Appellant prays that this Court allows the appeal and quashes the conviction and sets aside the sentence.

Mr *Tayebwa*, counsel for the Appellant, indicated that he would argue the three grounds of appeal together as they overlapped.

He commenced his submission by citing rule 29 of the Rules of the Court of Appeal which provides that as a first appellate court, the Court of Appeal must re-evaluate the evidence presented in the court below and subject it to fresh scrutiny and come up with a decision of its own. He cited the cases of *Pandya v R* [1957] EA 336, *Abasi Sali and another v Uganda* Supreme Court criminal appeal number 7 of 1998 (UR), and *Bogere v Uganda* [1998] LLR 8 (SCU), in support of the rule.

Counsel observed that in this particular case, the basis of the conviction was the evidence of the single identifying witness, that is to say, of the complaint (PW1). He submitted that where, as in the present case, there is only such one identifying witness the court must exercise great care when convicting. The

court must satisfy itself that there is no danger of mistaken identity. The evidence must be such that it leaves no room for doubt that the accused was properly identified at the scene of the crime. Counsel referred this Court to the evidence of the complainant. At first he testified that at the time he flashed the torch, the assailants were not at the window. They were, at the door and had banged it. Both the window and the door were in the same line. Counsel contended that if what he stated was true, then it would not have been possible for the complainant to see and recognise the assailants from the angle of the house at which he was standing. The complainant further testified about the rusty netting mesh in the window and to the fact that while one of the assailants was wearing a jacket and trousers he was not able to tell the colours of both garments. Counsel further submitted that in examination-in-chief the complainant said that he did not know which of the assailants had cut him but during re-examination by Mr *Ogwal,* counsel for the Respondent, the same witness claimed to have recognised the Appellant as the assailant who cut him.

There is thus some contradiction in the complainant's evidence which was not addressed either by the trial court or the Court of Appeal. Counsel submitted that neither the surrounding environment at the time of the attack nor the cogency of the evidence of PW1 satisfy the conditions of a single identifying witness.

Counsel referred to another piece of evidence in the testimony of the complainant. He had claimed that he knew the two assailants, and yet as one of them attacked him at close quarters he failed to recognise him. According to counsel for the Appellant, this was yet another inconsistency which the courts below could only have revolved by a thorough evaluation and re-evaluation of the evidence and if they had done so they might very well have found in favour of the Appellant.

On ground two, counsel for the Appellant submitted that the trial court and the Court of Appeal both erred when they rejected Appellant's alibi summarily without examining and evaluating his evidence and that of his witnesses. Counsel cited the cases of *Sekitoleko v Uganda* [1967] EA 531 and *Abasi Sali and another v Uganda* (*supra*), in support of this submission. He contended that where an accused person raises the defence of alibi, it is the duty of the prosecution either to discredit the alibi or disapprove it, and where an alibi is raised as a ground of appeal, as it was in this case, the first appellate court must re-evaluate the evidence which supported the alibi. This was not done in this case even though the Appellant's witnesses testimony had not been shaken even in cross-examination. It was Appellant's prayer that as both the trial Judge and the Court of Appeal failed in their respective duties to evaluate and re-evaluate the evidence, this Court should allow this appeal, quash the conviction and set aside the sentence imposed on the Appellant.

Ms *Khisa*, counsel for the Respondent, also argued the three grounds of appeal together. She contended that the case as argued in the High Court depended on identification. Counsel submitted that the trial Judge correctly set out the legal principles of identification in his judgment and when he summed up the evidence and warned the assessors and himself not to rely solely on the evidence of a single identifying witness. Ms *Khisa* observed that even counsel for the Appellant was happy with the way the trial Judge set out and explained the principle of law relating to a single identifying witness. Counsel submitted that apparently, it was only the application of the principles to the facts of this case

by the Learned trial Judge that the Appellant had a serious problem with. It was Ms *Khisa*'s submission that the trial Judge correctly applied the legal principles of identification to the facts and circumstances of this case. Counsel for the Respondent contended that the trial Judge found that the conditions favouring correct identification existed and that in all the circumstances of the case, there was no possibility of mistaken identity by the complainant (PW1). Counsel further submitted that the Court of Appeal in its judgment had observed that PW1's evidence could be accepted as free from the possibility of error. The first appellate court reproduced the trial Judge's observation with approval where at page 6 of his judgment he said:

> "It is trite the offence took place at 2:00am in the night in issue. The offence in issue must have taken PW1 by, surprise since he was woken up from sleep. He also saw the accused through a rusty window. However, PW1 had the advantage of having flashed a torch for sometime into the accused who was standing only one and half metres away from him. In addition, PW1 knew the accused before the incident in issue since the two grew up in the same area and they were seeing each other often in their common trading centre. With the above in mind, I am satisfied that PW1's identification of the accused as one of his attackers on the material night could not have been mistaken".

Counsel for the Respondent submitted that the matter raised by the Appellant were properly handled by the Court of Appeal and therefore its findings should not be interfered with by this Court. She contended that the contradictions pointed out by counsel for the Appellant were minor ones and did not go to the root of the matter. Ms *Khisa* submitted that since the complainant had already identified the assailants by the window, it did not matter much afterwards that when they subsequently attacked him in the house after they had forced the door in, he could not identify them individually.

On ground 2, counsel for the Respondent contended that as a first appellate court, the Court of Appeal had adequately and properly re-evaluated the evidence and then reached a conclusion which happened to be the same as that reached by the Learned trial Judge.

Counsel further submitted that like the trial Judge, the Court of Appeal properly considered the evidence of the alibi and rightly chose not to believe it. Counsel said that he was aware that cases such as *Bogere* (*supra*) and *Kifamunte v Uganda* [1997] LLR 72 (SCU), support the view that the Court of Appeal as a first appellate court must re-evaluate the evidence before confirming or reversing the decision of the trial court in a given case. However, it was counsel's submission that even if they had done so in this case, the Court of Appeal would have come to the same inevitable conclusions as the Learned trial Judge and convicted. In consequence, counsel for the Respondent contended that even if it can be shown that the Court of Appeal failed to re-evaluate the evidence in this case or did not do so properly, there was still no miscarriage of justice to justify the reversal of the verdict. The evidence going to prove guilt was not only credible but quite ample as well. Counsel submitted that in the circumstances this appeal should be dismissed.

Although counsel for both parties chose to combine the three grounds of appeal and argue them together as if intertwined, it is our view that two issues come out clearly, from the submissions, namely, the question of identification of the Appellant, at the scene of the crime and his alibi as a defence against the

charge. In our opinion, the issues would have been clearly brought out if grounds 1 and 2 had been argued separately.

Be that as it may, in a series of cases including *Abasi and another v Uganda* Supreme Court criminal appeal number 7 of 1998 (UR), *Bogere Charles v Uganda* criminal appeal number 10 of 1998 (SC), (UR), *Kifamunte v Uganda* [1997] LLR 72 (SCU) and *Kagundu v Uganda* Supreme Court criminal appeal number 14 of 1998 (UR), we have reiterated the view that in a criminal appeal to this Court, except in the clearest of cases, we, as a second appellate court, are not required to re-evaluate the evidence like the first appellate court. This is the clear essence of the provisions of section 6(1)(*a*) of the Judicature Statute, 1996, which permits an Appellant to raise an appeal on a point of law or mixed law and fact.

We agree with both counsel for the Appellant and the trial Judge that the basis of the conviction in this case was the evidence of the single identifying witness, that is to say, the complaint (PW1). In a case where conviction is based on the evidence of one identifying witness, the court must exercise great care so as to satisfy itself that there is no danger of basing the conviction on mistaken identity. In *Roria v R* [1967] EA 583 at 584, it was said:

> "The evidence must be such that it leaves no room for doubt that the accused was properly identified at the scene of the crime".

In this case, we are not satisfied that the evidence of identification does not leave any room for doubt.

In evidence-in-chief, the complainant (PW1) testified that he saw two people, Sekajugo and Nyanzi who were about 1½ metres away from him. He then continued with his testimony thus:

> "I spent two minutes flashing the torch upon these people. I had known Nyanzi long before. We grew up together in our village. He wore a jacket, but I did not recognise its colour.
>
> At this point, one of the attackers got a *panga* and wanted to cut me through the window where I was. I did not recognise exactly who it was of the two men who did that. I threw the torch down and held the door. They then banged the door until they forced it open.
>
> ... They cut my left arm which held the bicycle. They cut me in various places on my left hand. They also cut on the chest and side".

During cross-examination by Mr *Mugerwa*, counsel for the Appellant, the complainant informed court that at the time he flashed the torch, the two assailants were not at the window but at the door and both the window and door were in the same line. However, later in re-examination by Mr *Ogwal*, counsel for the State, the complainant stated that he recognised the Appellant when he came and turned to cut. In his main testimony the complainant said that he threw the torch down in order to hold the door. However, in re-examination the complainant claims that he dropped the torch because of fear. In our view, these are contradictions which would have seriously affected the credibility of the witness. Such contradictions become decisive in a case as the present where the conviction depends solely on the evidence of a single identifying witness.

Without assessing the contradictions encountered above, the Learned trial Judge dealt with this ingredient of the offence as follows:

> "As for the fourth ingredient, it was only PW1 who told court that he identified the accused as one of the participants in the said crime. I warned the assessors and I am hereby warning myself of the danger of acting on the uncorroborated evidence of a

> single witness who identifies his attackers in difficult circumstances. However, having done so, I can safely proceed to act upon such evidence if I am satisfied that PW1 could not have been mistaken in his identification of the accused (see *Roria v R* (*supra*)".

The Learned trial Judge correctly warned the assessors and himself about the danger of relying on a single identifying witness. However, in our opinion that alone is not enough. There must be other facts and circumstances surrounding the identification beyond the warnings to satisfy the court that the identification could not possibly be mistaken.

In our view, this is one of the exceptional cases, where this Court must step in and re-evaluate the evidence if the Court of Appeal did not do what was expected of it. With respect we are not satisfied that the Learned Justices of the Court of Appeal did what they should have done in this case.

Having observed that the trial Judge applied correctly the principles of a single identifying witness, the Justices of the Court of Appeal reproduced what the trial Judge had himself said on the evidence and simply agreed with his conclusions. They observed, "on the evidence we agree. The evidence of PW1 is free from possibility of error".

We have held in a previous decision, *Abasi Sali and another v Uganda* (*supra*), that it is not enough that the courts below may have evaluated evidence on identification before coming to some conclusion. It is imperative that both the trial Judge and the Learned Justices of the Court of Appeal: do avert to one important element normally required to be considered and which is to evaluate evidence with due care and caution so as to eliminate the possibility of honest, but mistaken identification of the accused. In our view, and with greatest respect, this element of eliminating the possibility of mistake was not considered by Learned Justices of the Court of Appeal. Ground 1 of the appeal must therefore succeed.

With regard to the defence of alibi, counsel for the Appellant submitted that the Appellant brought three witnesses including himself who positively told court that were with him on the night the robbery occurred. Apart from minor contradictions as to their father, the witnesses did not waive in their testimony nor were they shaken in cross-examination.

We agree with counsel for the Appellant that once the accused pleads an alibi in his defence, it is the duty of the prosecution either to discredit it or disapprove it just as it is the duty of the trial court to find out whether the alibi is true of false.

In dealing with the Appellant's alibi in this case, the trial Judge did not analyse or re-evaluate the testimony of witnesses relating to that alibi. On the contrary, the Learned Judge was persuaded to reject it on the basis of facts and circumstances which were extrinsic to the alibi. The trial Judge's reasoning is as follows:

> "I am satisfied that PW1's identification of the accused as one of his attackers on the material night, could not have been mistaken. My conclusion above is further strengthened by PW5's and PW6's evidence which was not shaken or contradicted in cross-examination at the hearing of this case That evidence was to the effect that when those witnesses went to arrest the accused, he initially escaped from them. PW6 only rearrested him after a chase. Surely that was no conduct of an innocent person. See *R v Christie* [1914] AC 545, and *Terikabi v Uganda* [1975] HCB 63.
>
> Indeed, the above places the accused at the scene of the crime on the night in issue and as a result, destroys his alibi which in my view, was simply a pack of lies. (*Sekitoleko v Uganda* [1968] EA 370)."

Counsel for the Appellant further submitted that where an alibi is made a ground of appeal, as in this case, the Court of Appeal has the duty of re-evaluating the evidence surrounding the defence of alibi. In the Court of Appeal ground 2 of appeal was to the effect that:

> "The defence of alibi put up by the Appellant raised a reasonable doubt which ought to have been resolved in favour of the Appellant".

After hearing submissions from counsel for the Appellant and Respondent, the Learned Justices of the Court of Appeal simply ignored all the evidence in support of the alibi. This is how they dealt with this particular ground of appeal.

> "The trial Judge considered the alibi put forward by the Appellant and rejected it as 'a pack of lies'. He believed PW1's evidence of identification which he said put the Appellant squarely at the scene of crime and thereby destroyed the Appellant's alibi. The Learned trial Judge maintained that his decision to disbelieve the Appellant's alibi was strengthened by the evidence of PW5 and PW6 regarding the conduct of the Appellant at the time of his arrest. These witnesses (PW6 and PW5) testified that when they went to arrest the Appellant, he initially escaped from them and had to be chased before he could be apprehended. We are unable to fault the trial Judge in rejecting the Appellant's alibi".

In light of our decision in *Kagundu v Uganda* (*supra*), it is no longer good law to dismiss the defence of alibi merely with the words "it is a pack of lies" or "we do not believe him" without properly evaluating the evidence presented in support of the alibi. Nor is it sufficient anymore to believe that once the accused is placed at the scene of the crime by the prosecution witnesses anything said by him or her or his or her witnesses as to the whereabouts he or she was at the time of the crime should be brushed aside as no longer relevant. Justice demands that evidence of both the prosecution and the defence must be equally and fairly evaluated even if at the end of the evaluation a court is entitled to believe one side or the other and come up with a rational decision. In the case of *Kagundu v Uganda* (*supra*), which was the subject of appeal to this Court, we said:

> "We are perturbed by the failure by the Learned Judge to evaluate the evidence of the accused on the alibi before rejecting it as a pack of lies. The mere fact that Kahatiko's evidence was believed is not sufficient ground for saying that the Appellant was lying. There should have been findings by the trial Judge whether the story of the Appellant was inherently improbable or whether there were contradictions or inconsistencies in his testimony rendering it not credit worthy or whether his demeanour when he gave evidence gave a poor impression of the accused as a witness".

In *Bogere* (*supra*), this Court was even more emphatic. At page 12 of our judgment, we said:

> "Where the prosecution adduces evidence showing that the accused person was at the scene of crime, and the defence not only denies it, but also adduces evidence showing that the accused person was elsewhere, at the material time, it is incumbent on the court to evaluate both versions judicially and give reasons why one and not the other version is accepted. It is a misdirection to accept one version and then hold that because of that acceptance *per se*, the other version is unsustainable".

We wish to reiterate those opinions. It is our view in this case that by accepting the prosecution evidence alone and then rejecting summarily that of the defence simply because he had already accepted the evidence of the prosecution the Judge misdirected himself.

Consequently, ground 2 of the appeal must succeed.

In the result this appeal must be and is hereby allowed. The conviction is quashed and sentence of death imposed on the Appellant is set aside. Unless the

Appellant is held on some other lawful charge, he must be set at liberty forthwith.

For the Appellant:
Tayebwa

For the Respondent:
Ogwal & Khisa

Oraro and Rachier Advocates v Co-operative Bank of Kenya Ltd
[1999] 1 EA 236 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of ruling:	7 April 2000
Case Number:	358/99
Before:	Gicheru, Shah and Owuor JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Appeal – Stay of execution – Duty to weigh the claims of both sides – Rule 5(2)(b) – Court of Appeal Rules.

Editor's Summary

The Applicant brought an application for stay of execution pending the lodging and hearing of an intended appeal from a judgment of the High Court whereby judgment had been entered for the Respondent against the Applicant in the sum of KShs 8 770 320-60. The High Court case was for enforcement of an alleged undertaking given by the Applicant (law firm) to the Respondent (Bank).

The first limb of the application, whether the intended appeal is arguable, was adequately fulfilled as there were many arguable points. What was of concern was the second limb, whether or not the success in the intended appeal will be rendered nugatory if stay is not granted, as the Respondent bank was sound enough to be able to refund the sum in question.

Held – In dealing with the issue whether or not success in the intended appeal will be rendered nugatory if stay is not granted, the court ought to weigh the claims of both sides. The Applicant law firm might find themselves in a very tight situation if required to pay the full decretal amount, whereas the Respondent bank would not be affected by being kept out of the sum. The balance of convenience overall favoured the Applicant. *Clarkson Notcutt (Insurance Broker) Ltd v South Coast Fitness Center* civil application number Nai 204 of 1995 (UR); *Trust Bank Ltd and another v Investech Bank Ltd and others* [1999] LLR 1124 (CAK) applied.

Cases referred to in ruling:

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means

considered; “**D**” means distinguished; “**DA**” means disapproved; “**DT**” means doubted; “**E**” means explained; “**F**” means followed; “**O**” means overruled)

Clarkson Notcutt (Insurance Broker) Ltd v South Coast Fitness Center civil application number Nai 204 of 1995 (UR) – **AP**

Trust Bank Ltd and another v Investech Bank Ltd and others [1999] LLR 1124 (CAK) – **AP**

Ruling

Gicheru, Shah and Owuor JJA: There is before this Court an application brought under rules 5(2)(*b*), 1(2), 92(2) and 43(1) of the Rules of this Court seeking stay of order made by the superior court (Mbito J) whereby he entered judgment for the Respondent against the Applicant in the sum of KShs 8 770 320-60 plus interest thereon and costs, on an originating summons brought before the superior court under Order LII, rules 7(1)(*b*), (2), 10(1) and (2) and Order XXXVI, rule 7 of the Civil Procedure Rules. That application was for enforcement of an alleged undertaking given by the then law firm of Messrs Oraro and Rachier Advocates to pay the sum of KShs 8 770 320-60 to the Respondent.

Order LII, rule 7(2) provides as follows:

> "(2) Save for special reasons to be recorded by the Judge, the order shall in the first instance be that the advocate honour his undertaking within a time fixed by the order, and only thereafter may an order in enforcement be made".

Despite this clear provision, the Learned Judge, not having recorded any special reasons, entered judgment in the said sum against the Applicants. That is, to our mind, at least one arguable issue.

The judgment of the Learned Judge was delivered by MJ Bhatt Esquire, Principal Deputy Registrar of the superior court. Order XX, rule 2 of the Civil Procedure Rules provides as follows:

> "2 (1) A judge may pronounce a judgment written and signed but not pronounced by his predecessor.
>
> (2) A judge of the High Court may pronounce a judgment written and signed but not pronounced by another judge of the High Court".

Order XX, rule 3(2) of the Civil Procedure Rules provides:

> "(2) A judgment pronounced by a judge other than the Judge by whom it was written shall be dated and countersigned by him in open court at the time of pronouncing it".

Order XLVIII of the Civil Procedure Rules which give special powers to registrars of the superior court does not give the power of reading and dating a judgment of a judge, to the registrar.

Therefore it is at least arguable if the judgment as read and dated by the Principal Deputy Registrar is a judgment, as yet, of the superior court.

The other arguable point as we see it is: whether or not there is any bonding undertaking given by the then firm of Messres Oraro and Rachier. By a letter dated 7 May 1993 the managing director of the Respondent Bank informed Messres Oraro and Rachier, to use the words of the managing director, as follows:

> "The bank has an interest on the above property to the extent of KShs 6 658 521-90 which Mr Ohas is aware of and although we have no objection to the intended sale we are anxious that our interest do not appear to have taken into account. As lawyers we want you to take the above information into account and advise us on the best way of protecting our interest".

Messres Oraro and Rachier responded to the said letter of 7 May 1993 as follows:

> "We refer to your letter of 7 May 1993 and confirm that we have received instructions from Mr Ohas that at the conclusion of sale of this property of the amounts owing to your bank should be paid from the proceeds thereof. We therefore confirm that upon receipt of the purchase price we shall retain an amount sufficient to discharge the liabilities owing to the bank".

By their letter of 18 October 1994 Messres Oraro and Rachier, responding to the letter of 14 October 1994 addressed to them by Messres Kibuchi and Company (advocates then acting for the Respondent) stated as follows:

> "Our clients are in the process of selling this property and expect to be able to redeem your client's loan before the close of the year. In due course, we shall be in a position to give you a firm undertaking for redemption as soon as the agreement for sale is executed by both parties.
>
> In the circumstances, we would on behalf of our client request that you hold the matter in abeyance until you hear from us which should be early next month".

The general principles governing undertakings given by a solicitor in England are stated succinctly in *Cordery on Solicitors* (8ed) at 110 and it would be prudent to set these out:

> "The court has a discretion whether to exercise its summary jurisdiction, and will do so only in clear cases. Whether an undertaking given by the solicitor to the court, his client or a third party may be enforced against him personally will depend upon the fact of each case, but the undertaking must be a personal undertaking and given by the solicitor: It must be clear in its terms: the whole of the undertaking must be before the court; and the undertaking must be one which is capable of being performed *ab initio*".

It would in our opinion be a matter of argument before the court, when the appeal is heard, whether or not there is any binding professional undertaking capable of being enforced and which could be gleaned out of the correspondence. The Learned Judge has stated that "it is clear that by their letter of 18 May 1993 they agreed to retain an amount sufficient to discharge the liabilities owing to the plaintiff". Whether that letter gives a clear and unequivocal undertaking will be a matter for arguments on appeal.

Another arguable point that we see it is whether or not there was accord and satisfaction. Messres Oraro and Rachier sent the sum of KShs 6 768 797-95 to the managing director of the Respondent Bank on condition that it was to be accepted "in full and final settlement of any amount which may be due or owing in connection with our letter dated 18 May 1993". They added a ride to the effect that if the cheque was not to be so accepted it was to be returned to them. Instead of returning the cheque to Messres Oraro and Rachier, the Respondent Bank accepted and banked the cheque on account and on a without-prejudice basis.

We need not set out any further arguable points or matters and we must therefore consider whether or not the success in the intended appeal will be rendered nugatory if a stay is not granted. Mr *Gatonye* for the Respondent Bank argued that if Mr *Oraro* were to succeed in the appeal, the Respondent Bank was sound enough to be able to refund the sum in question. Ordinarily that is the principle on which this Court acts but recent rulings of this Court suggest that dealing with this limb on the application the court ought to weigh the claims of both sides.

This Court in the case of *Clarkson Notcut (Insurance Broker) Ltd v South Coast Fitness Center* civil application number Nai 204 of 1995 (UR), stated that:

> "The amount involved is, by any standard a huge one and we think we ought to secure the position of the applicant in this matter".

In the case of *Trust Bank Ltd and another v Investech Bank Ltd and others* [1999] LLR 1124 (CAK), this Court said:

> "On the second limb of the applications, namely, whether unless a stay is granted, the applicants' intended appeals will be rendered nugatory, the decree upon which a stay of execution is sought being a money decree, and since the respondent in our view, is a bank with a sound financial base, we do not think the intended appeals, if successful would be rendered nugatory unless the stay prayed for is granted".

We must weigh the claims of both sides. If Messres Oraro and Rachier are required to pay up the full decretal amount, as a law firm, they might find themselves in a very tight situation.

Whereas if the Respondent Bank is kept out of the sum of KShs 10 000 000 it would not be affected. This is in our view, in this case, the position, when we are considering the situation. The balance of convenience overall favours the Applicant.

For these reasons we would allow this application, stay the execution of the decree which follows the judgment of the superior court dated 23 November 1999 by the Learned Judge and delivered on 10 December 1999 by the Principal Deputy Registrar and order that the costs of this application be in the intended appeal.

For the Applicant:
GO Oraro instructed by *Oraro & Rachier Adv*

For the Respondent:
CW Gatonye instructed by *Waweru Gatonye & Co*

Plant Manager Tanzania Breweries Ltd Mbeya Depot v Republic
[1999] 1 EA 239 (HCT)

Division:	High Court of Tanzania at Mbeya
Date of ruling:	27 October 2000
Case Number:	623/98
Before:	Mackanja J
Sourced by:	Faculty of Law, University of Dar-es-Salaam
Summarised by:	A Mwanzia

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[1] Criminal procedure – Prosecution – Authorised prosecutors – Who may conduct a criminal proceeding – Sections 91 and 96 – Criminal Procedure Act of 1985.

[2] Employment – Employment offence – Labour officer – Locus standi – *Whether labour officer* has locus standi *to prosecute employment offence – Section 8 – Employment Ordinance (Chapter 366) –*

Security of Employment Act (Chapter 574).

Editor's Summary

The Applicant had been charged in a criminal employment cause for alleged failure to attend before a duly constituted conciliation board contrary to

section 14(1)(*b*) of the Security of Employment Act. The proceedings had been instituted and were being prosecuted by a labour officer. These proceedings were consolidated with others whereby the Applicant had been charged with failure to pay wages to his employees contrary to sections 149(*a*) and 154 of the Employment Ordinance. The Applicant raised a preliminary objection arguing that the labour officer lacked *locus standi* to prosecute the case since he was not a public prosecutor as defined under section 2 of the Criminal Procedure Act nor had he been appointed by the Director of Public Prosecutions under section 95 of that Act. He prayed for the case to be dismissed. The court overruled the objection holding that the labour officer was a public officer hence a public prosecutor who was empowered to prosecute, and therefore had *locus standi* to prosecute any person under labour laws.

The Applicant, being aggrieved, filed an application for revision in the High Court.

Held – There were only two ways in which any one may prosecute a criminal proceeding; (i) one will not need the leave of the court to prosecute if the law under which the prosecution is founded expressly designates who was to enforce its provisions; (ii) public prosecutors who may be appointed by the Director of Public Prosecutions (DPP) under section 91 of the Criminal Procedure Act.

There were no provisions under the Security of Employment Act which vested power on a labour officer to institute criminal proceedings in order to enforce the decision of a conciliation board. The labour officer did not therefore have *locus standi* to prosecute the case arising from a breach of that Act. However, under section 8 of the Employment Ordinance, any labour officer had power to institute proceedings in respect of contravention of the provision of the Act.

Application successful in part.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Tanzania Breweries Ltd v Republic miscellaneous criminal application number 28 of 1998 (UR)

United Kingdom

Salman v Salan and Co Ltd [1897] AC 22

Ruling

Mackanja J: This is an application for an order that the proceedings and orders that were made and issued by the District court at Mbeya in criminal case number 623 of 1998 on the 16 December 1998, against the Applicant be revised. There is also a prayer for costs and the traditional prayer that the court do grant the Applicant any other and further reliefs it may deem appropriate to

grant. The application originates from a criminal employment cause in which the labour officer instituted criminal proceedings against the Applicant in relation to the alleged failure by the Applicant to attend before a duly constituted conciliation board section 14(1)(*b*) of the Security of Employment Act 62 of 1964 as amended by Act 13 of 1991. After several appearances before the trial court Mr *Mbwambo*, learned counsel for the Applicant, raised a preliminary objection arguing that the labour officer who was prosecuting the case lacked the requisite *locus standi*. He pointed out that since the labour officer is not a public prosecutor as defined under section 2 of the Criminal Procedure Act and one who has not been appointed by the Director of Public Prosecutions under section 95 of that Act, labour officer has no right to be heard in a criminal proceeding. So he prayed that the case be dismissed. In the end the case was not dismissed, it is the preliminary objection that was dismissed. In dismissing the objections the trial court held that labour officers have *locus standi* to prosecute any person under labour laws, in this case the Security of Employment Act. That this was so because it was the view of that court that labour officers are public officers, hence they are public prosecutors who are empowered to prosecute. It is this order which it is desired should be revised.

The application is supported by the affidavit of Mr Rosan *Mbwambo*, learned counsel for the Applicant.

There are two grounds of complaint which have been raised in the supporting affidavital evidence. One, that the decision did not address the issue of whether or not the labour officer is also a public prosecutor nor did it touch on the requisite conditions of seeking and obtaining leave of the court and directions of the Director of Public Prosecutions. Two, that the impugned decision should be revised because allowing government officials to prosecute criminal cases at their pleasure does not only contravene the law of criminal procedure, it also avoids the court's and powers of the Director of Public Prosecutions to control criminal proceedings. One would have expected that the Respondent would have filed a counter affidavit; none is in place.

Mr *Mbwambo*, learned counsel, has argued the application on behalf of the Applicant. He submits that sometimes on or about 6 August 1998 and 16 December 1998 charges were drawn against the Applicant corporation following the labour officer's complaints accusing the former for failure to attend a duly constituted conciliation board and to pay salaries to its employees, respectively. The statements of offence were signed by the senior labour officer of Mbeya region who styled himself as a public prosecutor and infact appeared to prosecute the matters. The accused filed notice of preliminary objection on points of law that the case is bad at law in as much as the labour officer is not a public prosecutor in law and that he has neither sought and obtained leave of the court nor directions of the Director of Public Prosecutions. Learned counsel makes the point that much as they do not question the powers of the labour officer being one of the government officials enshrined under section 96 of the Criminal Procedure Act 9 of 1985, (hereinafter referred to as the Act) their contention is that his powers under that provision is not without qualification. For ease of reference he quotes the provision in *extenso*:

> "In any prosecution for an offence under any law other than the Penal Code, the court may permit either generally or in relation to any particular case, a public officer having legal or administrative responsibility for enforcement of such law to conduct the prosecution, notwithstanding that he has not been appointed a public prosecutor;

> save that such other officer shall be subject to the directions of the Director of Public Prosecutions in the conduct of the prosecution".

It is learned counsel's argument that from the contents of these provisions it is obvious that the labour officer wishing to prosecute a case under that legislation must meet two prerequisite conditions, namely; that he should first seek and obtain leave of the court; and, two, that he must seek and obtain directions of the Director of Public Prosecutions. According to Mr *Mbwambo* these prerequisite conditions are mandatory, the contravention of which renders the case null and void. It is further submitted that these conditions are in line with the intention of the legislature under Part IV of the Act on the control of criminal proceedings which is exclusively vested to the Director of Public Prosecutions. In support of his arguments he cites the decision of this Court in *Tanzania Breweries Ltd v Republic* miscellaneous criminal application number 28 of 1998 (UR) (Nchalla J) High Court, Mwanza registry, where it was directed that the trial Magistrate and the labour officer had to adhere to the provisions of Part IV of the Act in instituting criminal proceedings. I am urged to take a similar position as observed by my brother. However, no copy of that decision has been brought to my attention. Learned counsel winds up his submissions saying the labour officer in this case had all along maintained that his powers under section 96 of the Act are exclusive and had no qualification, hence he did not have to seek the leave of the court and the direction of the Directors of Public Prosecutions. In his opinion such blatant refusal to adhere to the provisions of section 96 of the Act strictly offends Part IV of the Act on the control of criminal proceedings and is tantamount to interfering with the powers of prosecution exclusively conferred upon the Director of Public Prosecutions. In the circumstances he would have one say that indeed the labour officer lacks *locus standi* and, there, the criminal case the Applicant should be dismissed.

The Republic opposes the application. Mr *Mulokozi*, Learned State Attorney, opens his submissions by stating the obvious, that the powers of the Director of Public Prosecutions as the overall in charge and controller of all public prosecutions in the country cannot be overemphasized. They are impeccably express as put by the statutory provisions of Part IV of the Criminal Procedure Act of 1985. Their sanctity, he says, traces its origin from the fact that the Director of Public Prosecutions is a presidential appointee, and as stated expressly in section 90(4) of the Act that:

> "… in the exercise of the powers conferred on him … the Director of Public Prosecutions (DPP) shall have and exercise his own discretion and shall not be subject to the directions or control of any person exceptthe President".

Mr *Mulokozi* joins issue with Mr *Mbwambo* regarding the powers of the DPP to appoint public prosecutors under section 95(1) of the Act, which provides that:

> "The Director of Public Prosecutions may, by notice published in the Gazette, appoint public prosecutors for Tanzania or for any specified area of Tanzania, and either generally or for any specified case or category of cases".

And that section 95(3) of the Act gives the undisputed condition that every public prosecutor shall be subject to the express directions of the DPP. Learned Senior State Attorney contends that labour officers are public prosecutors under this section 95(1). It is worthy to note here that labour officers are public prosecutors under section 8 of the Employment Ordinance (Chapter 366).

The express wording of section 96 of the Act as employed by the Applicant does not suggest that public prosecutors of the category of our labour officers. Under this section, he says, the court may permit a public officer having legal or administrative responsibility to conduct prosecution in cases relating to his office "not withstanding that he has not been appointed a public prosecutor". That this part of this provision means that prosecutors under this section are of category different from that of prosecutors under section 95(1). He is, therefore, of the view that a prosecutor under section 96 is created on emergency where and when in a given court jurisdiction there is no prosecutor appointed by the DPP that can serve as a public prosecutor, and the court finds it necessary to invite the services of a certain public officer in prosecuting cases relating to the field of administration or office of that public officer and, specifically, in respect of offences other than those under the Penal Code. Labour officers are not public prosecutors of this making. That prosecutors created under section 96 operate with leave of the court; labour officers being prosecutors not failing under this section do not operate with leave of the court. I am, therefore, invited to dismiss the Applicant's contention in order to have *locus standi* labour officers need the leave of the court. So what remains is that labour officers as public prosecutors operate under one condition, namely, that they are subject to the express directions of the DPP.

From the foregoing submissions the issue boils down to this; whether the labour officer who instituted the criminal proceedings in criminal case number 623 of 1998, the subject of these proceedings, has power under the law to initiate a criminal prosecution as a labour officer. Mr *Mulokozi*, Learned Senior State Attorney, has made it quite clear that the labour officer is a public prosecutor who does not need the leave of the court before he initiates any criminal proceedings against any employer. For that purpose he is not one of the category of prosecutors whose powers are derived from section 96 of the Criminal Procedure Act of 1985.

After legal argument careful consideration I have formed the firm view that there are only two ways in which anyone may prosecute a criminal proceeding in addition to what section 96 of the said Act makes provision for. First, anyone will not need the leave of the court if the law under which the prosecution is founded expressly designates who will enforce its provisions. Such legislation is section 8 of the Employment Ordinance (Chapter 366) which expressly provides that:

> "The labour commissioner or any labour officer may institute proceedings in respect of any contravention of any of the provisions of this Ordinance or any regulations made hereunder and may prosecute and appear in his own name in respect of such proceedings".

The third category of prosecutors is that of public prosecutors who may be appointed under section 91 of the Act. These are appointed by the DPP and in order for the appointment to take effect, subsection (1) makes a requirement the DPP may do so "by notice published in the Gazette".

It follows that if the labour officer's appointment falls under these provisions he can easily establish his right to be heard by producing the notice of his appointment which was gazetted. That being the law, which is quite precise, there can be no room for reading into it appointments which are obviously excluded. As Salmond say in his book entitled *Jurisprudence* (11ed) at 132, 133:

> "The essence of the law lies in its spirit, not in its letter, for the letter is significant only as being external manifestation of the intention that underlies it. Nevertheless in

> all ordinary cases the court must be content to accept the *litera legis* as the exclusive and conclusive evidence of the *sentential legis*. They must in general take it absolutely for granted that the legislature has said what it has meant, and meant what it has said. *Ita scrimptum est* is the first principle of interpretation. Judges are not at liberty to add, or take from or modify the letter of the law, simply because they have reason to believe that the true *sentential legis* is not completely or correctly expressed by it …".

Let me add here, in order to underscore the need to apply the law as Parliament, in its undoubted wisdom, intended, wise words of Lord Watson in *Salman v Salan and Co Ltd* [1897] AC 22 at 38 where he said:

> "'Intention of legislature' is a common but very slippery phrase, which popularly understood, may signify anything from the intention embodied in positive enactment to speculate opinion as to what the legislature probably would have meant, although there has been an omission to enact it. In a court of law or equity, what the legislator intended to be done can only be legitimately ascertained from what it has chosen to enact, either in express words or by reasonable and necessary implication".

Unless, therefore, the labour officer's endeavours to prosecute the Applicant find legitimacy in some other piece of legislation, he clearly lacks power to prosecute the Applicant under the Criminal Procedure Act of 1985. I will, in that behalf, examine the provisions of the Security of Employment Act (Chapter 574), to see if the labour officer derives his powers therefrom.

Penal sanctions which attach to disobedience of the powers and functions of a conciliation board are provided for under section 50 of the Security of Employment Act. It provides, as far as the same is relevant here, that:

> "(1) Any person who refuses or neglects to comply with the decision of a … board on a reference to which he is a party … shall be guilty to an offence …".

There are no provisions under that legislation which vests power on a labour officer to institute criminal proceedings in order to enforce the decision of a conciliation board. I am satisfied, therefore, that the labour officer does not have *locus standi* in respect of criminal case number 623 of 1998 of the District court of Mbeya District as Mbeya, which is the basis of this Court's miscellaneous criminal application number 37 of 1998.

As the submissions show miscellaneous criminal application number 7 of 1998 of this Court was consolidated with miscellaneous criminal application number 7 of 1999 which, though they involves the same parties, the charges differ. In the latter case the Applicant is charged with failure to pay wages to his employees section 149(*a*) and 154 of the Employment Ordinance. Section 149(*a*) of the said Ordinance creates the following offence:

> "An employer shall commit an offence against this Ordinance if he shall be guilty of any of the following acts or omissions, that is to say:
>
> (*a*) if he shall fail to pay the wages due to any employee, unless he has reasonable and probable cause for thinking that those wages are not due …".

No doubt, as I have endeavoured to say earlier in this ruling, the labour officer has power to prosecute offences created under the Ordinance to enforce its provisions independently of the Criminal Procedure Act. It follows that miscellaneous criminal application number 7 of 1998 would fail.

Upon the foregoing considerations the application succeeds in relation to miscellaneous criminal application number 37 of 1998 which originates from criminal case number 623 of 1998 where upon the proceedings are so revised as to declare them invalid. They are quashed in *toto* and the accused is discharged. The application in relation with miscellaneous criminal application number 7 of

1999 which is founded on criminal case number 935 of 1998 of the same trial court is dismissed, with directions that proceedings shall proceed from where they had reached. There shall be no order as to costs.

For the Applicant:
R Mbwambo instructed by *Law Associates Adv*

For the Respondent:
Mulokozi, Senior State Attorney instructed by the Attorney-General

Republic v Commissioner of Co-operatives *ex parte* Kirinyaga Tea Growers Co-operative Savings and Credit Society Ltd

[1999] 1 EA 245 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of Judgment:	5 March 1999
Case Number:	39/97
Before:	Gicheru, Omolo and Shah JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Co-operative society – Inquiry order – Issued by commissioner after staying of previous inspection order – Issued on application by one member – Whether commissioner exceeding powers – Whether inquiry order unreasonable – Sections 61 and 62(1) – Co-operative Societies Act (Chapter 490).

[2] Judicial review – Certiorari – *Unreasonableness and bad faith*/mala fides – *Grounds upon which order of* certiorari *can be granted.*

[3] Judicial review – Leave – Application for leave made and heard ex parte – *Whether leave mandatory in judicial review application – Whether grant of leave* ex parte *will act as stay.*

Editor's Summary

Kirinyaga Tea Growers Co-operative Savings and Credit Society Limited, brought an application in the High Court for judicial review seeking for an order of *certiorari* and prohibition to quash the Commissioner of Co-operatives's order for an inspection of the Society's affairs, following a complaint by a committee member. The Commissioner's order was made pursuant to section 62(1) of the Co-operative Societies Act (Chapter 490) which permitted the Commissioner to order for an inspection of a Co-operative Society's affairs but only on the application of a creditor. The Applicant therefore sought the court's leave to bring judicial review proceedings and leave was granted which leave was to operate as a stay.

Upon the Commissioner's actions being stayed by the granting of leave, the Commissioner then ordered an inquiry into the affairs of the Society by invoking the provisions of section 61 of the

Co-operative Societies Act. Under this section 61, he could order an inquiry *inter alia* on his own motion.

Once again, the Society moved to the High Court and sought an order of *certiorari* to quash the decision of the Commissioner ordering an inquiry, and an

order of prohibition to prevent the Commissioner from continuing with the purported inquiry. The application for leave was heard by Aluoch J, who ordered that the application for leave to operate as a stay be heard *inter partes* on a stated date and time. The substantive motion was later heard by Keiwua J, who declined to grant the orders sought. On appeal to the Court of Appeal, it was argued that the Commissioner's action of ordering an inquiry into the affairs of the Appellant was *mala fides*, in that he did so only after his earlier order of inspection had been stopped by the court. Further, that the exercise of the Commissioner's powers under section 61 was unreasonable because founded on the very same complaint by the committee member.

Held – No application for the three orders of *mandamus*, prohibition or *certiorari* can be made unless leave has been granted, and the application for leave must be made *ex parte*. Since the application must be heard and granted *ex parte*, it is at the granting stage that the Judge is required to deal with the issue of whether leave granted shall act as a stay. A judge has no power to separate the granting of leave *ex parte* from the issue of whether or not such leave shall act as a stay. However, since the Appellant had lodged notice of appeal against Keiwua J's decision only, there was no proper appeal against the decision of Aluoch J, and the ground of appeal was rejected as being incompetent.

The Commissioner's exercise of his undoubted powers under section 61 was unreasonable in the circumstances of the case. The Commissioner was clearly abusing his statutory powers because he is not allowed to order an inquiry on the application of only one member.

The Commissioner's decision to institute an inquiry into the Appellant's affairs was made *mala fides* since he was aware of the dispute pending in the High Court. If he was acting in good faith, he would have sought to settle the dispute pending in the High Court.

Appeal allowed. Orders of *certiorari* issued to remove into the High Court and quash the Commissioner's decision.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kenya National Examinations Council v Republic ex parte *Gathenji and others* [1996] LLR 483 (CAK)

Onyango v Attorney-General [1986] LLR 1242 (CAK)

Judgment

Gicheru, Omolo and Shah JJA: This appeal though brought in the name of the Republic, is in effect one by Kirinyaga Tea Growers Co-operative Savings and Credit Society Limited and the appeal is brought against the decision of the superior court (Ole Keiwua J) dated the 16 July 1996. By that decision, the Learned Judge of the superior court dismissed with costs an application for judicial review which the Appellant had lodged in the superior court on the 24 June 1996. The Appellant had previously obtained leave to apply for the orders of *certiorari* and *mandamus* and the motion of 24 June 1996, was filed pursuant to the leave granted by Aluoch J on the 11 June 1996. In granting leave

Aluoch J had ordered that "application for leave to operate as a stay to be heard *inter partes* on 14 June 1996 at 9:00am".

In view of the provisions of Order LIII we do not think this was a proper order to make. Order LIII provides as follows in the relevant parts:

> "(1) No application for an order of *mandamus*, prohibition or *certiorari* shall be made unless leave therefor has been granted in accordance with this rule.
>
> (2) An application for such leave as aforesaid shall be made *ex parte* to a judge in chambers, and shall be accompanied by a statement setting out the name and description of the applicant, the relief sought, and the ground on which it is sought and by affidavits verifying the facts relied on. …
>
> (4) The grant of leave under this rule to apply for an order of *mandamus*, or an order of *certiorari* shall, if the Judge so directs, operate as a stay of the proceedings in question until the determination of the application, or until the Judge orders otherwise".

It is clear from rule 1 above that no application for the three orders can be made unless leave has been granted and rule 2 sets out the manner in which the application for leave is to be made and what must accompany such an application. According to rule 2, there are three mandatory requirements, namely:

(*a*) that the application must be made *ex parte* to a judge in chambers;

(*b*) that the application shall be accompanied by a statement of facts; and

(*c*) that the application is also to be accompanied by affidavits verifying the facts relied on.

If the application must be made *ex parte*, then it follows that it must be heard and granted or refused *ex parte*. If the application is granted, then rule 4 of Order LIII must also be dealt with because it is at the granting stage that the Judge is required to deal with the issue of whether the leave granted shall act as a stay. From the provisions we have set out it is clear to us that a judge has no power to separate the granting of leave *ex parte* from the issue of whether or not such leave shall act as a stay. The Judge must decide at the stage of granting leave whether or not such a grant shall act as a stay. There is no power to make one portion of the chamber summons *ex parte* and the other portion of it to be heard *inter partes*. There was, however, no appeal from the order of Aluoch J made on the 11 June 1996 and though the Appellant's first ground of appeal is that:

> "the Learned Judge erred in law and in fact by ordering that the prayer that leave to operate as a stay to be heard *inter partes*, the only notice of appeal filed by the Appellant complains only against … the decision of the Honourable Justice Ole Keiwua given at Nairobi on the 16 July 1996".

There could, accordingly, be no proper appeal against the decision of Aluoch J made on the 11 June 1996 and ground one of the grounds of appeal is incompetent and must be rejected.

What are the facts underlying this appeal? Sometime in 1995, the Provincial Co-operatives officer, Central Province, purported to order an inspection of the Appellant's affairs and the inspection was to be conducted in order to verify certain allegations levelled against the Appellant's management committee by one Mr Kiromo who was himself a member of the management committee. Under section 62(1) of the Co-operative Societies Act (Chapter 490) as it then stood, the Commissioner of Co-operatives, if he thought fit, could order an inspection of a registered society, but he could only do so on the application of a creditor. Mr Kiromo on whose complaint the Commissioner purported to

order an inspection was not a creditor of the Appellant; as we have already said he was a member of the management committee of the Appellant. Faced with what was, on the face of it, an illegal order of the Commissioner the Appellant moved to court on the 24 October 1995 and by an *ex parte* chamber summons under Order LIII, rules 1 and 2 sought leave to apply for three orders namely:

> "(1) that the Appellant be granted leave to apply for an order of *certiorari* to remove into the High Court and quash the decision of the Provincial Co-operatives officer, Central Province, vide letter dated 12 October 1995 to call for a special general meeting of the Appellant;
>
> (2) that the Appellant be granted leave to apply for an order of prohibition directed to the Provincial Co-operatives officer and all his officers prohibiting them from interfering with the running and management of the Appellant, except in accordance with the strict provisions of the Co-operative Societies Act and the by-laws of the Appellant; and
>
> (3) that the grant of leave to apply for the aforesaid orders do operate as a stay of the decision of the Provincial Co-operative officer".

Leave was granted to the Appellant on the 25 October 1995 and it was further ordered that the leave so granted was to act as a stay of the decision(s) challenged. When the matter was still pending for hearing in the superior court, the Commissioner for Co-operatives realised that he and his subordinates had made a mistake in ordering an inspection under section 62(1) of the Co-operative Societies Act; he could only do so on the application of a creditor and no creditor had made any such application to him. He had, in the circumstances, no power to order an inspection. So he sought to beat a hasty retreat. But instead of going to the superior court and admitting his mistake, the Commissioner chose to invoke the provisions of section 61 of the Act. He decided to institute an inquiry into the affairs of the Appellant. Under section 61, he could do so on his own motion, and must do so on the direction of the Minister or on the application of a majority of the committee of a society, or of not less than one third of the members present and voting at a meeting of a society. On 4 March 1996, the Commissioner, acting on his own accord, authorised two named persons:

> "to hold an inquiry within one (1) month from the date thereof at such place and time as may be expedient and duly notified by them".

Once again, the Applicant moved to the superior court under Order LIII and once more the Appellant sought an order of *certiorari* to move into the High Court and quash the decision of the commissioner dated the 4 March 1996, an order of prohibition to prevent him and all his officers from continuing with the purported inquiry and further preventing him from reading any purported report of such an inquiry. There was also a third prayer that the grant of leave should operate as a stay of all the actions of the Commissioner. We have already dealt with the grant of leave by Aluoch J on the 11 June 1996. When the substantive motion came for hearing before Ole Keiwua J he dismissed it on the 16 July 1996, as we have already stated. This appeal arises from that dismissal.

Ms *Karua* for the Appellant, submitted to us, as she did before the Learned Judge of the superior court, that the Commissioner's decision of 4 March 1996, was made *mala fides*. The Commissioner was perfectly aware of the fact that there was pending in the High Court the dispute which had arisen as a result of the wrong exercise of his powers and that in the pending dispute he had been

ordered not to proceed until after the determination of the dispute. According to Ms *Karua*, the Commissioner's decision of 4 March 1996 was to enable him to circumvent the orders made against him on the 25 October 1995. We think this submission is basically correct and we accept it. If the Commissioner was acting in good faith, we have no doubt that he would have sought to settle the dispute pending in the superior court before embarking on his second misadventure. In ordinary circumstances, we do not think that the Commissioner would be required to give a reason when ordering an inquiry under section 61 of the Act as it then stood. Nor is he required to act in accordance with the rules of natural justice while he is only in the process of instituting an inquiry. He cannot, for example, be expected to hear any party before he orders an inquiry.

But in the circumstances of this case, the Commissioner had ordered an inspection and he had done so for a wrong reason, namely that a member of the society had complained to him. We agree with Ms *Karua* that most likely, the Commissioner ordered the inquiry because of the very same complaint to him by Kiromo. There is no other apparent reason why he ordered the inquiry. If the Commissioner ordered the inquiry because of the complaint of Kiromo, and as we have said we think that was the most likely reason, then the Commissioner was clearly abusing his statutory powers because he is not allowed to order an inquiry on the application of only one member. We are, accordingly, satisfied that the Commissioner's exercise of his undoubted powers under section 61 was unreasonable in the circumstances of the case.

Both Ms *Karua* and Mr *Gichuru* for the Respondent Commissioner referred us to the decision of this Court in the cases of *Onyango v Attorney-General* [1986] LLR 1242 (CAK) and *Kenya National Examinations Council v Republic* ex parte *Gathenji and others* [1996] LLR 483 (CAK). The former case involved failure to hear an inmate before depriving him of his statutory remission of sentence under the Prisons Act. As we have said, we do not think the Commissioner was required to hear any one in this case before instituting an inquiry. We do not think *Onyango*'s case is helpful at all in this matter. Nor can we find much help in the case of the *Kenya National Examinations Council* which largely set out the scope of and the circumstances under which the remedies of *mandamus*, prohibition and *certiorari* are available.

But we have held that in exercising his power to institute an inquiry under section 61 of the Co-operative Societies Act, the Commissioner was acting unreasonably and no amount of gazettement of his order could cure that. It is axiomatic that statutory powers can only be exercised validly if they are exercised reasonably. No statute ever allows anyone on whom it confers a power to exercise such power arbitrarily, capriciously or in bad faith. We have said enough, we think, to show that this appeal must be allowed. We accordingly allow the appeal, set aside the order of the superior court dismissing with costs the Appellant's motion dated the 24 June 1996 and we substitute the superior court's order with an order granting prayer one in the motion with costs. The effect of our order is that an order of *certiorari* shall issue to remove into the High Court and quash the Commissioner's decision dated the 4 March 1996. It follows that all and any act(s) flowing from the said decision are also quashed. We do not think there is any further need to issue an order of prohibition as set out in prayer two of the motion and we grant none. The Appellant has substantially

succeeded in its appeal and we award the costs of the appeal to it. These shall be the orders of the court.

For the Appellant:
Karua

For the Respondent:
Gichuru

Republic v Kenya Posts and Telecommunications
[1999] 1 EA 250 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of ruling:	19 November 1999
Case Number:	24/99
Before:	Akiwumi, Tunoi And Bosire Jja
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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*[1] Appeal – Record of appeal – Primary document – Order extracted with defects – Whether mistakes curable – Whether appeal incurably incompetent – Rule 85(1)(*h*) – Court of Appeal Rules.*

Editor's Summary

In an appeal arising from a ruling of the High Court striking out the Appellant's suit for judicial review, the High Court order which was included in the record of appeal, had some errors. Firstly, the name of Justice Khamoni was recorded as the Judge who made the final determination of the suit, instead of Justice Githinji who upon the successful application of the Respondent to strike out the suit, had given the ruling disposing of the suit. Secondly, the order included other orders which had neither been sought or considered in the Respondent's application to strike out the Appellant's suit, nor considered in the ruling of Githinji J.

Held – The mistake in the order in respect of the Judge who made the decision, was not a minor clerical error or one which could be cured by the court under section 100 of the Civil Procedure Act (Chapter 21) or section 3(2) of the Appellate Jurisdiction Act (Chapter 9). The defect was a serious and fundamental one in a primary document, which deprived the order of any validity as an order mandatorily required by rule 85(1)(*h*) of the Court of Appeal Rules to be included in the record of appeal. All the errors were serious defects which made the order, a primary document, itself invalid and rendered the appeal incurably incompetent.

Appeal struck out.

Cases referred to in the ruling:

(“**A**” means adopted; “**AL**” means allowed; “**AP**” means applied; “**APP**” means approved; “**C**” means considered; “**D**” means distinguished; “**DA**” means disapproved; “**DT**” means doubted; “**E**” means explained; “**F**” means followed; “**O**” means overruled)

Anjumani v Ali [1998] LLR 868 (CAK)

Attorney-General v Pattni and other [1999] LLR 934 (CAK)

Echaria v Echaria [1997] LLR 2532 (CAK)

Ruling

Akiwumi, Tunoi and Bosire JJA: The main point raised in the present appeal by us, *suo moto*, relates to the contents of primary documents in appeals to this Court such as a decree or ruling, and a certified copy of an order which, as the case may be, must, according to rule 85(1)(*h*) of the Court of Appeal Rules, be included in a record of appeal. This issue has recently been of some concern to this Court. In the present appeal, it is the alleged certified order derived from the ruling of 16 November 1998 of Githinji J, contained in the record of appeal, that is involved.

As is clear from the following provisions of the section 66 of the Civil Procedure Act (Chapter 21):

> "Except where otherwise expressly provided in this Act … an appeal shall lie … from the orders of the High Court to the Court of Appeal".

As such, an order is a primary document in the appeal and which must comply with certain requirements. In this case, as prescribed by Order XX, rule 7(6) of the Civil Procedures Rules:

> "any order … shall be prepared and signed in like manner as a decree".

The other relevant provisions of the Civil Procedure Rules, namely, Order XX, rule 6(1) is as follows:

> "The decree shall agree with the judgment; it shall contain the number of the suit, the names and descriptions of the parties, and particulars of the claim, and shall specify clearly the relief granted or other determination of the suit".

Some assistance may also be gained from the precedent Form 1 of Appendix C of the Civil Procedure Rules which is to be followed in the preparation of a decree in an original suit like that brought by way of notice of motion by the Appellant for the judicial review of the decision of the Respondent, the managing director of the Kenya Posts and Telecommunication Corporation, by way of *certiorari* and *mandamus*. This notice of motion was struck out after hearing the Respondent's chamber summons application of 27 May 1998, by the order appealed against in the present appeal. It is important to note in this precedent that after setting out the claim, it goes on, to provide so as, *inter alia*, to establish the authenticity of the order, for the inclusion of the name, in this case, of the Judge of the Superior Court who made the decision in the suit, in the following manner:

> "this suit coming this day for final disposal before …".

Bearing in mind the provisions of Order XX, rules 6(1) and 7(6) already referred to, it can be said that even if the decision appealed against in the present appeal is not a decree but an order, the latter should be prepared in a like manner as the former. It is therefore not surprising that in Appendix C of the Civil Procedure Rules and in the copy of the Law Society of Kenya court routine which leading counsel for the Appellant kindly supplied us, no precedents as to what an order should contain, are specifically set out. Indeed, in circumstances, this would not even be necessary.

It will now be convenient to consider the order contained in the record of appeal of the present appeal to determine if it is a valid primary document for the purposes of rule 85(1)(*h*) of our Rules. In the order and after the title, it is then recorded that the final determination of the suit was made by Justice Khamoni and not Justice Githinji who upon the successful application of the Respondent to strike out the suit, gave the ruling disposing of the suit on 16 November 1998.

This admitted mistake in the order in respect of the Judge who made the decision, is not a minor clerical error or one that is suggested by leading counsel for the Appellant, could be cured by this Court under section 100 of the Civil Procedure Act or section 3(2) of the Appellate Jurisdiction Act (Chapter 9). This defect is a serious and fundamental one in a primary document like the order, which certified or otherwise, or accidental or otherwise, deprives the order of any validity for the purposes of the present appeal as an order which is mandatorily required by rule 85(1)(*h*) of our Rules to be included in the record of appeal. This alone makes the present appeal incurably incompetent and should be struck out.

This decision is not unlike the position taken by this Court in the case of *Anjumani v Ali* [1998] LLR 868 (CAK). In this Court's ruling in that case, it was held that a notice of appeal being a primary document within the context of rule 85(1) of our Rules and not one of those specified in rule 85(2A) of our Rules which can be filed by way of a supplementary record of appeal or an affidavit if omitted from the record of appeal, a notice of appeal could not be amended in any way to correct any mistake contained therein. A notice of appeal which contained a mistake rendered the record of appeal defective and which in turn, made the appeal itself, incurably incompetent. In its ruling the court said:

> "We have given most anxious consideration to these rival contentions. At the end of the day, in our judgment, although there is considerable force in Mr Suchak's submissions, those of Mr Kimani must prevail. Whilst it is true that rule 44 speaks of an amendment of any document, it must necessarily be construed in the light of rule 85(2A) which was brought in by way of an amendment in 1990. If any document were interpreted liberally to include every document then the whole purpose of rule 85(2A) would be defeated. Every rule, particularly one brought in by way of an amendment, must be given effect to and cannot be treated as meaningless or superfluous. If that be right, as we think it is, a primary document cannot lend itself to an amendment".

In his ruling in the case of *Attorney-General v Pattni and other* [1999] LLR 934 (CAK) Kwach JA put the matter more succinctly as follows:

> "The notice of appeal which the applicant wishes to correct seems to me on the face of it to be incurably defective. The decision against which the applicant desires to appeal was given on the 11 February 1998. The applicant who should be the appellant in the intended appeal is referred to as the respondents (*sic*). These are not the sort of errors than can properly be cured by an application under rule 44 of the Rules. They are serious mistakes which render the notice of appeal is a primary document within the meaning of rule 85(1) of the rules and unless a record of appeal contains a valid copy of such a notice the appeal is liable to be struck out as incompetent either at the instance of the respondent or by the court pursuant to rule 101(*b*) of the Rules".

Our decision in the present appeal might have been different if we were not dealing with an issue of jurisdiction, but with merely one that involved a deviation from form as provided in rule 42 of our Rules, for making of applications to this Court. See *Echaria v Echaria* [1997] LLR 2532 (CAK).

The order has other defects which in our view, and having regard to *Anjumani v Ali* and *Attorney-General v Pattni and others* (*supra*), also deprive it of validity for the purposes of the present appeal.

It seems that for a long time now, order for the purposes of rule 85(1)(*h*), have continued to be extracted without setting out at the beginning, the particulars of claim or the relief sought as required by Order XX, rule 6(1). We

think that unless the Civil Procedure Rules are amended, this should not be condoned. With respect, however, to the absence of the description of the parties which are also not included in the order, we note that the precedent in Form 1 after contenting itself, with the setting out the title of the suit which gives names of the parties, does not give their descriptions. It merely provides as follows:

> "Claim for …
>
> This suit coming on this day for final disposal before … in the presence of … for the plaintiff and of … for the defendant it is ordered that …".

The precedent does not comply entirely with Order XX, rules 6(1) and 7(6) and for this reason we refrain from holding that the failure to include the descriptions of the parties renders the order fatally invalid for the purpose of the present appeal.

But another matter that in our view further renders the order fatally defective is as follows: Mbogholi-Msagha J had on 22 April 1998, declined to grant stay applied for by the maintenance of the *status quo* until the determination of the suit. The suit was finally disposed of by Githinji J. In his ruling of 16 November 1998, to strike out the Appellant's suit for judicial review. After the delivery of his ruling and in separate proceedings, Mr *Le Pelley*, counsel for the Appellant intimated to Githinji J that the Appellant would appeal against his ruling and applied for the *status quo* order earlier made by Mbogholi-Msagha J to be continued until he made a formal application for stay of execution. Mr *Kiplagat* counsel for the Respondent did not oppose this informal application and Githinji J then made the following order:

> "As Mr *Kiplagat* agrees there will be stay … until the filing and hearing of a formal application for stay pending appeal. The application for stay to be filed within 14 days".

However, the order allegedly striking out the Appellant's suit contains not only an order to that effect, but also, the following two orders which were neither sought or considered in the Respondent's application to strike out the Appellant's suit, nor contained in the ruling of Githinji J on this application:

> "2. That there be stay of allocation of the frequencies allowed to previous East Africa Television Network Limited on 16 October 1997 and on 15 October 1997 to any other person until the filing and hearing of a formal application for stay pending appeal.
>
> 3. That application to be filed within 14 days".

As already established, these two orders were only made in separate proceedings after the delivery of the ruling of Githinji J striking out the Appellant's suit. The preface of the order itself, whilst making reference to the Respondent's application of 27 May 1998 brought under Order VI, rule 13(1)(*b*) of the Civil Procedure Rules without even stating that it had been brought to strike out the Appellant's suit, is, not unexpectedly, completely silent about the subsequent informal application made by the Appellant for stay of execution. Apart from creating the incongruous situation whereby, the Appellant, according to its notice of appeal, intends to appeal against the whole decision of Githinji J given on 16 November 1998, would be appealing against the two orders which were in its favour. The insertion of these two orders in the order is highly irregular and creates a false impression of what really happened. These are serious defects that also make the order, a primary document, itself, inlaid and thus rendering the present appeal incurably incompetent.

For all reasons set out hereinbefore, the present appeal is hereby struck out.

As regards costs, since the issue of the invalidity of the order was raised by us and since under Order XX, rule 7(2) of the Civil Procedure Rules, it is incumbent on the registrar to satisfy himself that the order has been drawn up in accordance with the ruling before signing and sealing the same, there will be no order as to costs. It is so ordered.

For the Appellant:
P Le Pelley instructed by *Hamilton Harrison & Mathews*

For the Respondent:
K Kiplagat instructed by *Okoth & Kiplagat Adv*

Republic v Gachoka and another
[1999] 1 EA 254 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of ruling:	20 August 1999
Case Number:	4/99
Before:	Gicheru, Kwach, Omolo, Tunoi, Shah, Lakha and Owuor JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Constitution – Fundamental rights – Freedom of expression and freedom of the press – Contempt of court – Publication articles critical of the judiciary – Whether law of contempt inimical to the freedom of expression – Section 79(1) – Constitution of Kenya.

[2] Criminal Law – Contempt of court – Application by Attorney-General to have Respondents committed for contempt – Elements of the offence of contempt – Subjudice rule – Scandalising the court – Interference with the administration of justice – Power of the court to punish for contempt – Rationale for existence of offence – Principles applied in determining whether contempt proved – Factors to be considered in determining punishment – Section 77(8) – Constitution of Kenya – Section 5(1) – Judicature Act (Chapter 8) – Sections 11, 12 and 13 – Administration of Justice Act (UK) of 1960.

[3] Criminal law – Contempt of court – Hearing – Testimony by witnesses – Application by Respondent to give oral evidence – Whether a respondent was entitled to adduce evidence on oath – Order 52, rule 6(4) – Rules of the Supreme Court (UK) of 1965.

Editor's Summary

The Applicant instituted proceedings before the Court of Appeal seeking various orders against the Respondents for contempt of court. The First Respondent was the publisher and chief executive of a weekly magazine known as the Post on Sunday. The Second Respondent, a limited liability company, was the proprietor of the magazine whereas the Third Respondent, an advocate, was a director of the

Second Respondent. The grounds upon which committal was sought were that in the issues of the magazine for 31 January to 6 February 1999 and 7 to 13 February 1999, the Respondents had published two articles that contravened the subjudice rule, that were a scurrilous and unjustified attack on the Court of Appeal, and were

calculated to bring the administration of justice in Kenya into disrepute and contempt.

The first article had appeared under the heading 'Chesoni implicated in an orgy of judicial anarchy and a KShs 30 million bribe'. It alleged, *inter alia*, that the Kenyan Chief Justice had received a KShs 30 million bribe from one Kamlesh Pattni to influence a three judge bench of the Court of Appeal to rule in his favour in an application filed by the said Kamlesh Pattni, and that the ruling, given on 15 January 1999, was illegal. In the second article, entitled 'Judiciary in panic as Chesoni falls out of favour and sues Tony Gachoka', it was alleged that the First Respondent had abused the Chief Justice using derogatory and offensive language.

The case that led to the publication of the two articles arose from a dispute between two businessmen, Kamlesh Pattni and Nasir Ibrahim Ali, over the ownership of the Kenya Duty Free Complex. On 31 December 1998, the High Court had made an order removing the complex from the hands of a receiver and returning it to Nasir Ibrahim Ali. Kamlesh Pattni then applied for a stay of the said order. In a ruling delivered on 15 January 1999, the Court of Appeal returned the Complex to the Receiver but reserved the reasons for its ruling to 19 February 1999. Following the publication of the two articles, the Attorney-General sought leave of the Court of Appeal to bring contempt proceedings against the Respondents. The court granted leave on 16 February 1999. On 29 April 1999, the application was filed by way of a notice of motion together with an affidavit in support sworn by the Provincial Criminal Investigations officer, Nairobi. When the motion and other accompanying documents were served on the First Respondent, he filed a replying affidavit and grounds of objection to the motion.

Hearing of the application commenced on 14 July 1999. At the beginning of the hearing, counsel for the Applicant raised a preliminary objection to the First Respondent's affidavit and intimated that he would apply to the court for portions of it to be struck out. Faced with this application, the First Respondent applied for and was granted leave to withdraw his notice of objection to the application, his replying affidavit and his grounds of opposition thereto.

The Applicant's case against the Respondents was that they had breached the subjudice rule by commenting on a case which was still pending in court and that they had made a scurrilous attack on the Chief Justice and the Judges of the Court of Appeal who had heard the case between Kamlesh Pattni and Nasir Ibrahim Ali. Counsel for the Applicant submitted that although the court had delivered its ruling in the case on 15 January 1999, the reasons for the ruling had been reserved for the 19 February 1999 and as a result, the matter was subjudice when the offending articles were published. Counsel further submitted that the language used in the articles was excessively violent and scornful, giving rise to an inference of malice and lack of good faith on the part of the Respondents.

At the conclusion of the Applicant's submissions, the First Respondent applied for witness summons to compel the attendance of fourteen witnesses to testify in his defence. The application was rejected on the ground that the court did not see the relevance of their evidence to the contempt proceedings facing the First Respondent. In his submissions made in opposition to the application, the First Respondent contended that once a ruling had been delivered and only

reasons remained to be given at some later date, the subjudice rule was no longer applicable. He also contended that he was justified in his use of violent language because, as an investigative journalist, he was under a duty in the public interest to expose corruption in the judiciary and that, in any case, he had published the material articles in the course of exercising his freedom of the press. Following his submissions, the First Respondent sought to press his case by giving oral evidence basing his application on Order 52, rule 6(4) of the Supreme Court Rules. He contended that if he were denied the opportunity, the Applicant would not have proved the case against him. Counsel for the Applicant opposed the application, stating that the First Respondent could not be heard to say that he had been disabled in his attempt to put his case before the court.

For his part, the Third Respondent deponed in his sworn affidavit that he had resigned as a director of the Second Respondent on 13 May 1998 but that the First Respondent had neglected to notify the registrar of Companies of the change. He also averred that he had not been consulted before the offending articles had been published and that he did not wish to be associated with them.

Held – *(Gicheru JA dissenting)*: The aim of contempt proceedings was to protect the public from the mischief that would be incurred if the authority of the courts was undermined or impaired, not to protect either the court as a whole or the individual judges of the court from a repetition of the attack. If members of the public were made to believe that judges were corrupt and incompetent, their confidence in the administration of justice would be undermined and those who came to the courts or were compelled to come to the courts would have little or no faith that they could ever get justice from the system; *Republic v Makali and others* civil application number Nai 4 of 1994 (UR) followed, *Queen v Gray* [1900] 2 QB 36 adopted.

The powers of the High Court and the Court of Appeal to punish for contempt of court were derived from section 77(8) of the Constitution, the proviso to which provided that a court could punish any person for contempt notwithstanding that the act or omission constituting the contempt was not defined nor its penalty prescribed in a written law, and section 5(1) of the Judicature Act which provided that the High Court and Court of Appeal had the same power to punish for contempt as was possessed by the High Court of Justice of England on 1 August 1967; *Republic v Maathai* criminal application number Nai 53 of 1981 (UR) and *Republic v Makali* (*supra*) followed.

Per Kwach JA: The Court of Appeal was not required by the statutory provisions to refer contempts committed in relation to it or to its business to the High Court so as to give a contemnor a right of appeal.

Contempt of court consisted of words spoken or acts done which were intended or likely to interfere with or obstruct the fair administration of justice. Such conduct was punishable as criminal contempt of court.

To justify a committal for contempt, there had to be evidence in the article itself taken as a whole, that the publisher had acted with untruth or malice, or that he imputed improper motives to those taking part in the administration of justice; *Ambard v Attorney-General of Trinidad and Tobago* [1936] AC 322 adopted.

Per Tunoi JA: Persons had a right to criticise judges and their decisions so long as the criticism was within the limits of reasonable courtesy and good faith and was not done out of malice or in an attempt to impair the administration of justice.

Per Lakha JA: The test for determining contempt was whether the matter complained of was calculated to interfere with the course of justice not whether the authors intended that result; *R v Dolan* [1907] 2 IR 260 adopted.

Though the freedom of the press was constitutionally guaranteed under section 79 of the Constitution, the right was not absolute and the press had to act responsibly in all its publications. Freedom of the press was not a licence to malign others or repeat unsubstantiated falsehoods. It was a freedom to be exercised responsibly and with great care so that the reputations of innocent people were not needlessly injured. Freedom of speech would not be limited to a greater extent than necessary but where there was a real prejudice to the administration of justice, it would not be allowed. To abuse or scandalise any person or institution was irresponsible and outside the constitutional protection of freedom of speech.

In this instance, it was plain not only that the authors acted with untruth but also with malice and their intention was to deride and vilify the Judges. The articles complained of were calculated to bring the courts into contempt and were an attempt to interfere with the due process of justice. The interest of the public in the proper administration of justice therefore outweighed the public interest in the discussion of the issues raised by the Respondents in the articles.

Contempt of court under the subjudice rule was committed when comments were made on pending legal proceedings which purported to prejudge the issues that were to be tried by the court; *Attorney-General v Times Newspaper Limited* [1973] 3 All ER 54; [1974] AC 273 adopted. Reasons for any decision were the most important part of the decision and a ruling was not complete until the reasons therefor had been given. In this instance there was no doubt that at the time the articles were published the case between Kamlesh Pattni and Nasir Ibrahim Ali was still pending in court as the reasons for the court's order had not yet been given. The First Respondent was therefore clearly in breach of the subjudice rule when he made the decision to publish the articles.

Per Omolo JA: Although section 5(1) of the Judicature Act obliged the courts to apply the law applicable in England in matters of contempt, that provision did not prevent the local courts from developing local jurisprudence on the matter. Accordingly, despite the provisions of Order 52, rule 6(4) of the Rules of the Supreme Court, local practice had developed whereby such matters were decided solely on affidavit evidence; *Republic v Maathai* (*supra*) and *Republic v Makali* (*supra*) followed.

Per Lakha JA: The mode of giving evidence was a matter of discretion for the court and in this instance, it had been clearly specified and communicated to the First Respondent that his witnesses should swear affidavits in support of his opposition to the motion. The course of giving evidence by oral testimony was not available to him and there was no merit in his complaint.

In deciding whether a contempt was serious enough to warrant imprisonment, the court was required to take into account the likelihood of interference with the administration of justice and the culpability of the offender. Another material factor to be considered was the intention with which the act complained of was done. In this instance, the First Respondent had persisted in the contempt and was deserving of a custodial sentence without the option of a fine.

Though the Third Respondent was in law still a director of the Second Respondent when the material articles were published, he was not a party to the scheme. He was, accordingly, not guilty of contempt.

First Appellant sentenced to six months imprisonment, Second Respondent fined KShs 1 million and ordered to cease publication of the magazine until payment of the fine in full.

Per Gicheru JA (dissenting): A person accused of contempt of court was entitled to a fair trial and if he did not get a fair trial because of the way the Judge behaved or because of material irregularities in the proceedings themselves, there would be a mistrial. In such cases, the resulting sentence was unlawful and had to be quashed; *Linnet v Coles* [1986] 3 All ER 652 adopted. Failure to allow the First Respondent to give oral evidence on his own behalf after he expressed his desire to do so, amounted to a breach of Order 52, rule 6(4) of the Rules of the Supreme Court. Such a breach would be a material irregularity depriving him of a fair trial with the result that a mistrial would have occurred. The Court of Appeal being a court of last resort, there would be no way of reagitating the matter and an obvious miscarriage of justice would result.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Gutto and others v Ngweno and others High Court civil case number 888 of 1981 (UR)

Makali and others v Republic criminal application number Nai 4 and 5 of 1994 (UR) – **F**

Republic v Makali and others civil application number Nai 4 of 1994 (UR) – **F**

Republic v Mathai and others criminal application number Nai 53 of 1981 (UR) – **F**

United Kingdom

Ambard v Attorney-General of Trinidad and Tobago [1936] AC 322; [1936] 1 All ER 704 – **A**

Attorney-General v Times Newspaper Limited [1973] 3 All ER 54; [1974] AC 273 – **A**

Attorney-General v News Group Newspapers Limited [1988] 2 All ER 906

Linnet v Coles [1986] 3 All ER 652 – **A**

McLeod v St Aubyn [1899] AC 549

Queen v Gray [1900] 2 QB 36 – **A**

R v Dolan [1907] 2 IR 260 – **A**

R v New Statesman [1928] 44 TLR 301

Reginam v Commissioner of Police of the Metropolitan ex-parte *Blackburn (2)* [1968] 2 QB 150

Rex v Almon [1765] Wilm; [1997] All ER 94

Sutherland v Stopes [1925] AC 47

Others

Danson, Ex parte [1961] SR (NSW) 573

Pennekamp v Florida 328 US 331 [1946]

Judgment

Gicheru JA (dissenting): The Judicature Act (Chapter 8) of the Laws of Kenya came into operation on 1 August 1967. Section 5(1) of that Act is in the following terms:

> "5 (1) The High Court and the Court of Appeal shall have the same power to punish for contempt of court as is for the time being possessed by the High Court of Justice in England, and that power shall extend to upholding the authority and dignity of subordinate courts".

Besides the common law, as on 1 August 1967, the only other law relating to contempt of court in England was contained in sections 11, 12 and 13 of the Administration of Justice Act of 1960 and the procedural law in the exercise of power to punish for contempt of court was expressed in Order 52 of the Rules of the Supreme Court of 1965, hereinafter called the Rules, which came into operation on 1 October 1966. That therefore is the law applicable to our High Court and the Court of Appeal in the exercise of their respective power to punish for contempt of court.

In a picturesque exposition on the law of contempt of court, Wilmot J as he then was in *Rex v Almon* [1997] ER 94 at 100 expressed himself thus:

> "The arraignment of the justice of the Judges, is the arraigning the King's justice; it is an impeachment of his wisdom and goodness in the choice of his judges, and excites in the minds of the people a general dissatisfaction with all judicial determinations, and indisposes their minds to obey them; and whenever men's allegiance to the laws is so fundamentally shaken, it is the most fatal and most dangerous obstruction of justice, and, in my opinion, calls out for a more rapid and immediate redress than any other obstruction whatsoever; not for the sake of the Judges, as private individuals, but because they are the channels by which the King's justice is conveyed to the people. To be impartial, and to be universally thought so, are both absolutely necessary for the giving justice that free, open, and uninterrupted current, which it has, for many ages, found all over this kingdom, and which so eminently distinguishes and exalts it above all nations upon the earth.
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> In the moral estimation of the offence, and in every public consequence arising from it, what an infinite disproportion is there between speaking contumelious words of the rules of the court, for which attachments are granted constantly, and coolly and deliberately printing the most virulent and malignant scandal which fancy could suggest upon the Judges themselves. It seems to be material to fix the ideas of the words "authority" and "contempt of the court", to speak with precision upon the question.
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> By the word "court," I mean the Judges who constitute it, and who are entrusted by the constitution with a portion of jurisdiction defined and marked out by the common law, or Act of Parliament. "contempt of court" involves two ideas: contempt of their power, and contempt of their authority. The word "authority" is frequently used to express both the right of declaring the law, which is properly called jurisdiction, and of enforcing obedience to it, in which sense it is equivalent to the word power: but by the word "authority", I do not mean that coercive power of the Judges, but the deference and respect which is paid to them and their acts, from an opinion of their justice and integrity.
>
> … it is not the coercive power of the court; but it is homage and obedience rendered to the court, from the opinion of the qualities of the Judges who compose it: it is a confidence in their wisdom and integrity, that the power they have is applied to the purpose for which it was deposited in their hands; that authority acts as the great auxiliary of their power, and for that reason the constitution gives them this compendious mode of proceeding against all who shall endeavour to impair and abate it; and therefore every instance of an attachment for contumelious words, spoken of a rule of

> the court (of which there are great many) is a case in point to warrant an attachment in the present case where a rule of court is the object of the defamation; and it would be a very strange thing that judges, acting in the King's Supreme Court of Justice in Westminister Hall, should not be under the same protection as a bailiff's follower, executing the process which those judges issue: it is not their own cause, but the cause of the public, which they are vindicating, at the instance of the public; for I do not think that courts of justice are to take their complaints up of themselves: it must be left to His Majesty, who sustains the person of the public, to determine whether the offence merits a public notice and animadversion; and in this state of the proceedings, they are only putting the complaint into a mode of trial, where the party's own oath will acquit him; and in that respect it is certainly a more favourable trial than any other: for he cannot be convicted if he is innocent, which, by false evidence, he may be by a jury; and if he cannot acquit himself, he is but just in the same situation as he would be in, if he was convicted upon an indictment or an information; for the court must set the punishment in one case as well as the other; they do not try him in either case; he tries himself in one case, and the jury try him in the other".

As was pointed out by Lord Diplock in the *Attorney-General v Times Newspaper Limited* [1974] AC 273 at 309B:

> "The due administration of justice requires first that all citizens should have unhindered access to the constitutionally established courts of criminal or civil jurisdiction for the determination of disputes as to their legal rights and liabilities; secondly, that they should be able to rely upon obtaining in the courts the arbitrament of a tribunal which is free from bias against any party and whose decision will be based upon those facts only that have been proved in evidence adduced before it in accordance with the procedure adopted in courts of law; and thirdly that, once the dispute has been submitted to a court of law, they should be able to rely upon there being no usurpation by any other person of the function of that court to decide it according to law. Conduct which is calculated to prejudice any of these three requirements or to undermine the public confidence that they will be observed is contempt of court".

But as Lord Cross of Chelsea in the same case observed at 322D-F:

> "'Contempt of court' means an interference with the administration of justice and it is unfortunate that the offence should continue to be known by a name which suggests to the modern mind that its essence is a supposed affront to the dignity of the court. Nowadays when sympathy is readily accorded to anyone who defies constituted authority the very name of the offence predisposes many people in favour of the alleged offender. Yet the due administration of justice is something which all citizens … should be anxious to safeguard. When the alleged contempt consists in giving utterances either publicly or privately to opinions with regard to or connected with legal proceedings, whether civil or criminal, the law of contempt constitutes an interference with freedom of speech, and … we should be careful to see that the rules as to 'contempt' do not inhibit freedom of speech more than is reasonably necessary to ensure that the administration of justice is not interfered with".

and as Lord Simon of Glaisdale said in the same case at 320A-H and at 321A-C:

> "The public interest in freedom of discussion (of which the freedom of the press is one aspect) stems from the requirement that members of a democratic society should be sufficiently informed that they may influence intelligently the decisions which may affect themselves. The public thus has a permanent interest in the general administration of justice and the general course of the law. This is recognised by justice being openly administered and its proceedings freely reported, by public debate on the law and on its incidence. But, as regards particular litigation, society, through its political and legal institutions, has established the relevant law as a continuing code, and has further established special institutions (courts of law) to make the relevant decisions on the basis of such law. The public at large has delegated its decision making in this

> sphere to its microcosm, the jury or judge. Since it would be contrary to the system for the remit to be recalled *pendente lite*, the paramount public interest *pendete lite* is that the legal proceedings should progress without interference.
>
> But once the proceedings are concluded, the remit is withdrawn, and the balance of public interest shifts. It is true that the pan holding the administration of justice is not entirely cleared. The Judge must go on to try other cases, so the court must not be scandalised. Further juries must be empanelled, so the departing jurors must not be threatened. Witnesses in future cases must be able to give honest and fearless testimony, so witnesses in past cases must not be victimised. But these things conceded, the paramount interest of the public now is that it should be fully apprised of what has happened (even being informed, if appropriate, of relevant evidence that could not lawfully be adduced at the trial), and hear unhampered debate on whether the law, procedure and institutions which it had ordained have operated satisfactorily or call for modification.
>
> … once a case is concluded but not until then, the balance of public interest shifts. The litigation being concluded, the public interest in freedom of discussion becomes paramount, since there are now unremitted decisions for the public itself to make especially as to whether the law and institutions need modification in the light of what has happened. The only legal rider is that the discussion of concluded cases must not be made a pretence for interference with pending cases. Professional responsibility may, over and above this, self impose some limitation on the discussion of past cases when they may be relevant to pending cases, so as to ensure that individuals are not unfairly prejudiced. But the law itself must draw a line for general guidance and it does this at the point when, in general, the balance of public interest shifts, namely at the conclusion of a case. It is true that thereby a litigant may be affected in his conduct of litigation by the knowledge that, once the litigation is over, his conduct of it will be open to public criticism. But the law has given him full protection during the pendency of the litigation. It cannot do more without jeopardising the public's interest in matters which are of its general concern and as to which it is therefore, in a democratic society, entitled to influence the decisions, which it cannot do intelligently without information and debate.
>
> There is one particular situation where the law might strike the balance between the competing interests either way, but in fact strikes it in favour of freedom of discussion. This is where a matter is already under public debate when litigation supervenes which the continuance of the debate might interfere with. The situation of public debate involves that there is probably at stake some matter of which the public has legitimate interest to be informed; and the law, in pragmatic judgment, says that conditionally the debate may continue. This is how it was put in the Australian case of *Ex parte Danson* [1961] SR (NSW) 573, 575:
>
> 'The discussion of public affairs … cannot, as an incidental *but not intended* by product, cause some likelihood of prejudice to a person who happens at the time to be litigant'".

At the commencement of the hearing of the Applicant's application on 14 July 1999 which seeks that an order of committal for contempt of court be issued against the First Respondent and such further orders as may be appropriate in the circumstances against the Second Respondent, the First Respondent withdrew his notice of objection to the said application, his grounds of opposition and his replying affidavit in respect thereof and thereafter the same no longer formed part of the record of proceedings against the Respondents. At the conclusion of submissions by Mr *Chunga* who appeared with Mrs *Onyango*, Miss *Kimani* and Mr *Okumu* for the Applicant on 15 July 1999, the First Respondent applied for witness summonses to compel the attendance of fourteen witnesses to testify in his defence to the Applicant's application. Those witnesses were, according to him, to testify on the now notorious Goldenberg cases. This court rejected his

application for the reason that we did not see the relevance of the evidence the First Respondent intended to call in relation to the contempt proceedings against him.

The publication complained of by the Applicant and which the First Respondent admitted to have been made by him were contained in two successive articles in the two issues of a weekly news magazine – The Post on Sunday – respectively dated 31 January to 6 February 1999 and 7 to 13 February 1999. The First Respondent was at the material dates the Publisher and Chief Executive of the said weekly news magazine. The offending publications are contained in paragraphs 3 and 5 of the affidavit of Isaac Okoth in support of the Applicant's application whose grounds upon which these contempt proceedings have been brought against the Respondents are encapsulated in paragraph 5 of the Applicant's statutory statement pursuant to section 5 of the Judicature Act (Chapter 8) of the Laws of Kenya. That paragraph reads as follows:

> "5 The grounds upon which the relief is sought is that the publication of the said 2 articles in the Post on Sunday 31 January 1999 and 7 to 13 February 1999 contravene the "subjudice" Rule; is scurrilous and unjustified attack upon this Honourable Court and is calculated to bring into disrepute and contempt the Administration of Justice in Kenya".

This, according to Mr *Chunga*, was the basis of the committal proceedings for contempt of court against the Respondents which were criminal in nature.

Towards the close of his submissions in opposition to the Applicant's application, the First Respondent sought to be given an opportunity to press his case under the law by giving oral evidence for if he was denied that opportunity, then, the Applicant will not have proved the case against him. This court gave no ruling in this regard.

In reply to the First Respondent's submissions, Mr *Chunga* said that this Court had not blocked the First Respondent from calling oral evidence and that although the order of committal for contempt of court sought against the First Respondent was in the nature of a criminal offence, there were no rules of procedure in proceedings of the kind now before this Court save those contained in Order 52 of the Rules, which, according to him, the Applicant complied with when coming to this Court. Mr *Chunga* then said that the steps the First Respondent took to respond to the Applicant's application manifested his understanding of the matter against him and he cannot be heard to say that he has been disabled to put his case squarely before this Court. Earlier in these proceedings, Mr *Chunga* had submitted that it was necessary to prove beyond reasonable doubt that the Respondents were in contempt of this Court when they published the articles complained of by the Applicant. That burden of proof the Applicant had discharged, Mr *Chunga* concluded.

To Mr *Chunga*'s submission in reply, the response of the First Respondent with the leave of the court and which response was confined to Order 52 of the Rules was that under rule 6(4) of this Order he was entitled to give oral evidence and if he was denied that right, then he cannot have had a fair trial in these proceedings. This Court then reserved its judgment to today 20 August 1999 at 10:00am.

Order 52, rule 6(4) of the Rules provides that:

> "6 (4) If on the hearing of the application the person sought to be committed expresses a wish to give oral evidence on his own behalf, he shall be entitled to do so".

In *Linnet v Coles* [1986] 3 All ER 652 at 656-657J and A respectively, Lawton LJ had this to say:

> "Anyone accused of contempt of court is on trial for that misdemeanour and is entitled to a fair trial. If he does not get fair trial because of the way the Judge has behaved or because of material irregularities in the proceedings themselves, then there has been a mistrial, which is no trial at all. In such cases, in my judgment, an unlawful sentence cannot stand and must be quashed. It will depend on the facts of each case whether justice requires a new one to be substituted. If there has been no unfairness or no material irregularity in the proceedings and nothing more than an irregularity in the proceedings and nothing more than an irregularity in drawing up the committal order has occurred, I can see no reason why the irregularity should not be put right and the sentence varied, if necessary, so as to make it a just one".

In the application before us, failure to allow the First Respondent to give oral evidence on his own behalf after having expressed his wish to do so would amount to a breach of one of the rules of procedure under which the said application was brought to this Court. Such a breach would be a material irregularity disentitling the First Respondent a fair trial in these proceedings with the result that in whichever way the final adjudication of the Applicant's application turns, a mistrial will have occurred. This court being a court of last resort in this country, once that stage has been reached, there would be no way of reagitating this matter. I shudder at the thought that with clear provisions of the law entitling the First Respondent to give oral evidence on his own behalf after he has expressed his wish to do so, this Court would be blind to the obvious miscarriage of justice. As I think that the trial of the Respondents for contempt of this Court is not concluded until the final decision of the court is pronounced, I would correct the prejudicial error by allowing the First Respondent to give oral evidence on his own behalf as he has expressed his wish to do so in terms of Order 52, rule 6(4) of the Rules and thereafter I would finally adjudicate on the Applicant's application for the issue of an order of committal against the First Respondent and such other order as may be appropriate against the Second Respondent for their contempt of this Court.

As my brothers and sister Judges of Appeal, Kwach, Omolo, Tunoi, Shah, Lakha and Owuor disagree with me, there will be a majority judgment of the court that the First and Second Respondents are guilty of contempt of court and are accordingly convicted. The First Respondent, Tony Gachoka, is committed to prison for a period of six months and the Second Respondent, The Post Limited, is fined KShs 1 000 000 and in default of immediate payment of the same in full, the Second Respondent shall forthwith cease the publication of its Weekly Magazine, The Post on Sunday or any other publication by it until the said fine is paid in full. Njoroge Nani Mungai is hereby discharged. There shall be no order as to the costs occasioned by the Applicant's application.

Kwach JA: *The Complaint*

The Attorney-General brought these proceedings seeking an order for committal for contempt of court against Tony Gachoka, publisher and chief executive of a magazine called The Post on Sunday Limited, the proprietor; and publisher of *Post on Sunday*; and Njoroge Nani Mungai, a director of The Post Limited.

The grounds upon which the committal of these Respondents is sought are that in the issues of The Post on Sunday to which I shall hereinafter refer as "the magazine" (31 January to 6 February and 7 February to 13 February 1999) they published two articles which contravened the subjudice rule; were a scurrilous and

unjustified attack upon this Court and were calculated to bring into disrepute and contempt the administration of justice in Kenya. The affidavit in support of the application was sworn by Mr Isaac Okoth, a Senior Assistant Commissioner of Police and the Provincial Criminal Investigations Officer in charge of Nairobi Area. He swore the affidavit after reading the two articles published in the magazine. The first article was entitled “Chesoni Implicated in an orgy of Judicial anarchy and a 30 million bribe”.

In the first article it was alleged that the Chief Justice received KShs 30 million bribe from one Kamlesh Pattni; that the Chief Justice interfered with the Judges of this Court who were hearing an application for stay of execution filed by Pattni, and influenced them to reach a decision favourable to Pattni, and against Nasir Ibrahim Ali; that the court used an irregular application to return the Kenya Duty Free to Pattni on the instructions of the Chief Justice; that Tunoi JA acted irregularly when he certified as urgent the application for stay filed by Pattni; that the ruling by the court given on 15 January 1999 returning the Duty Free Complex to the Receiver was illegal. In the second article Tony Gachoka went ballistic and abused the Chief Justice in the most derogatory and offensive language. I do not need to repeat here what exactly he said about the Chief Justice, except to say that they were not the sort of things a young man, who claims to have been properly brought up by his parents, can say in polite society about a man who is old enough to be his father.

The case which led to this outburst was heard in this Court by myself, Shah JA and Tunoi JA on 15 January 1999. It concerned a dispute between two Asian tycoons, Nasir Ibrahim Ali and Kamlesh Pattni, over the ownership of Kenya Duty Free Complex. Ole Keiwua J had on 31 December 1998 made an order returning the Complex to Nasir Ibrahim Ali the effect of which was to set aside an earlier order made by Owuor J (as she then was) and confirmed by this Court, placing the Complex in the hands of a Receiver pending the hearing of Pattni’s application for an interim injunction and appointment of Receiver *inter partes.* The court delivered its ruling on 15 January 1999 and returned the Complex to the Receiver and reserved the reasons for the ruling to Friday 19 February 1999. It will be immediately apparent from this chronology that the two articles were published after the delivery of the ruling but before the reasons for the ruling were given by the court.

The Law to be Applied

The power of this Court and other courts to deal with cases of contempt of court is given by section 77(8) of the Constitution of Kenya, the proviso to which states that nothing in the subsection shall prevent a court from punishing any person for contempt notwithstanding that the act or omission constituting the contempt is not defined in a written law and the penalty therefor is not prescribed. And section 5(1) of the Judicature Act (Chapter 8) provides that the High Court and the Court of Appeal shall have the same power to punish for contempt of court as is for the time being possessed by the High Court of Justice in England, and that power shall extend to upholding the authority and dignity of subordinate courts.

It is clear from these statutory provisions that this Court has power to deal with contempts committed in relation to it or its business and is not required to refer these to the superior court so as to give a contemnor a right of appeal. It is true that under Rules of the Supreme Court, Order 52, rule 6(4) (1991 edition), if

on the hearing of the application the person sought to be committed expresses a wish to give oral evidence on his own behalf, he shall be entitled to do so. In the present case the court made an order for evidence by affidavits and both Tony Gachoka and Njoroge Nani Mungai filed affidavits. At the commencement of the hearing, faced with a preliminary objection from Mr *Chunga*, Learned Director of Public Prosecutions, for the Attorney-General, Tony Gachoka applied to withdraw his affidavit and he was allowed to do so. After Mr *Chunga* had closed his case, Tony Gachoka applied to give oral evidence in relation to certain events which transpired between him and Mr Amos Wako, the Attorney-General, and the court rejected his application. The court was perfectly right to disallow his application because the format for the trial had been set in advance and the Respondents had submitted to it and the court was also satisfied that the oral evidence Tony Gachoka wished to give was irrelevant to the charges against him. Accordingly, there was no breach of Order 52, rule 6 of the Rules of the Supreme Court.

Attorney-General's Case Against the Respondents

The Attorney-General's case against all three Respondents is, first, that they breached the subjudice rule by commenting on a case which was still pending and yet to be finalised, and secondly, that they made a scurrilous attack on the Judges of this Court. Mr Chunga submitted that although the court delivered its ruling in civil application number Nai 5 of 1999 on 15 January 1999, the reasons for the ruling were reserved to be given on 19 February 1999, and the matter was therefore still subjudice. Tony Gachoka countered this submission by saying that once the ruling had been delivered, and only reasons were left to be given at a later date, the case was for all practical purposes finished and therefore the subjudice rule did not apply. This submission cannot be correct because the ruling was not complete until the reasons were given. He was therefore clearly in breach of the subjudice rule when he launched his blistering attack on the court before the reasons were given.

In the course of Tony Gachoka's submissions I did inquire from him if he had subsequently taken the trouble to study the reasons given by the court. His response was that he did not find it necessary to read the reasons since he was convinced that the decision was illegal because he believed it had been obtained corruptly, and also because he had been so advised by two prominent advocates whom he named for the record. He did not produce any evidence to prove his outrageous and malicious allegation that the Judges who heard the matter or some of them had been bribed to return a verdict favourable to Pattni. It seems to me that regardless of the intellectual superiority of the Advocates who gave Tony Gachoka this reckless advice, they had no basis in law or fact for their belief that the ruling was illegal. They acted in *vacuo* and in complete ignorance of the true factual position because they did not have the benefit of the reasons for the ruling given by the court. Tony Gachoka did not suggest that those reasons were not sound in law nor could he. Having made up his mind that the ruling had been procured corruptly, he regarded the reasons as irrelevant and did not condescend to read them. I am accordingly satisfied that the publication of the articles complained of constituted a breach of the subjudice rule for which Tony Gachoka and The Post Limited are answerable.

As regards the charge of making a scurrilous attack on the Judges and scandalising the court, Mr *Chunga* submitted that the language used in the articles

was not only excessively violent but also scornful, which gave rise to an inference of malice and lack of good faith on the part of the publisher and the proprietor of the magazine.

The contempt of scandalising the court is defined in *Halsbury's Laws of England* (4ed) Volume 9 paragraph 27 thus:

> "27. Scandalising the Court
>
> Any act done or writing published which is calculated to bring a court or a judge into contempt, or to lower his authority, or to interfere with the due course of justice or the lawful process of the court, is a contempt of court. Thus scurrilous abuse of a judge or court, or attacks on the personal character of a judge, are punishable contempt. The punishment is inflicted, not for the purpose of protecting either the court as a whole or the individual judges of the court from a repetition of the attack, but of protecting the public, and especially those who either voluntarily or by compulsion are subject to the jurisdiction of the court, from the mischief they will incur if the authority of the tribunal is undermined or impaired. In consequence, the court has regarded with particular seriousness allegations of partiality or bias on the part of a judge or a court.
>
> On the other hand, criticism of a judge's conduct or of the conduct of a court, even if strongly worded, is not a contempt provided that the criticism is fair, temperate and made in good faith and is not directed to the personal character of a judge or to the impartiality of a judge or court".

Anyone reading the articles complained of will not fail to notice that the language used was needlessly violent, even vulgar. The attack was directed at the personal character of the Chief Justice. The Judges of this Court were accused of partiality and bias and of receiving bribes from one party. The clear intention must have been to deride and vilify the Judges involved.

Tony Gachoka submitted that he was entitled to use violent language because as a good and honest citizen, he is under a duty, in the public interest, to expose what he termed as massive corruption in the judiciary. But even a crusader for good governance and clean judiciary cannot be allowed to scandalise judges without producing evidence to support the allegations he makes against them. His other submission was that he published the articles in the course of exercising the freedom of the press, which he seemed to think is not subject to any qualification. He alleged the Chief Justice had received a bribe of KShs 30 million; that after the Chief Justice had had lunch with the Attorney-General and Honourable Nicholas Biwott, the Chief Justice had a long meeting with the Judge of this Court who was presiding over the Kenya Duty Free Complex case on 15 January 1999 during which Tony Gachoka alleged the Chief Justice dictated to the Judges what decision to reach on the application by Pattni. He also alleged that Tunoi JA had a personal interest in the case, and because of this he irregularly issued a certificate of urgency. None of these outrageous allegations was supported by any evidence. In the course of his lengthy and flamboyant submissions Tony Gachoka maintained that all these allegations were true but he tendered no evidence in substantiation. After listening to him patiently and watching him for several days, I was convinced that he has greater faith in fantasy than the truth. In the case of *Ambard v Attorney-General of Trinidad and Tobago* [1936] 1 All ER 704, the Judicial Committee of the Privy Council (JCPC) held that to justify a committal for contempt of court, there must be evidence in the article itself taken as a whole, that the publisher has acted with untruth or malice, or that he imputed improper motives to those taking part in the administration of justice. Taking the material published by the Respondents

as a whole, it is plain beyond a peradventure not only that the authors acted with untruth but also with malice and their intention was plainly to deride and vilify the Judges. If indeed he had the evidence to prove these allegations as he kept on hinting throughout the hearing, he could have obtained affidavits from his sources.

Tony Gachoka sought to justify what he did by saying that he was, as an investigative journalist, exercising the freedom of the press. Even assuming that that was what he was doing, he was still under a duty to verify and cross-check the information he obtained from his sources. Freedom of the press is not a licence to malign others or regurgitate unsubstantiated falsehoods just to make a good copy. It is a freedom to be exercised responsibly and with great care so that the reputations of innocent people are not needlessly injured. As Watkins LJ said in his judgment in the case of *Attorney-General v News Group Newspapers Limited* [1988] 2 All ER 906 at 921:

> "The need for a free press is axiomatic, but the press cannot be allowed to charge about like a wild unbridled horse. It has to a necessary degree, in the public interest, to be curbed".

Thus, for the reasons I have explained, I hold that the Attorney-General's complaint was fully justified and I find Tony Gachoka and The Post Limited guilty of contempt of court for making a scurrilous attack on the Judges and scandalising the court and liable to be punished accordingly.

Njoroge Nani Mungai was still a director of The Post Limited at the time the articles complained of were published in The Post on Sunday. He swore an affidavit in which he deponed that he resigned his directorship by a letter dated 13 May 1998 addressed to Tony Gachoka, the chief executive of The Post Limited, but the latter neglected to notify the registrar of companies of the change. He said he became a director only for the purpose of incorporating the company but was otherwise not involved in the day to day running of the company. More significantly, he said Tony Gachoka did not consult him about the offending articles, and having read them subsequently he does not wish to be associated with them. Because of Tony Gachoka's default, Njoroge Nani Mungai was still shown as a director of The Post Limited when a search was conducted by the Attorney-General prior to the commencement of these proceedings. According to a supplementary affidavit sworn by Njoroge Nani Mungai on 14 July 1999, the notification of change was filed on 13 July 1999. It says that Njoroge Nani Mungai resigned as a director and secretary of the company with effect from 13 May 1998 and Emily Gitau was appointed as a director with effect from the same date. It also says that Anthony Muiruri Gachoka was also appointed as secretary of the Company with effect from 13 May 1998. According to this late notification, Emily Gitau is the person who should be facing charges together with Tony Gachoka and The Post Limited, not Njoroge Nani Mungai. She has had a lucky and narrow escape.

On this evidence I find that although Njoroge Nani Mungai was in law still a director of The Post Limited when the articles complained of were published, he was not a party to the scheme hatched by Tony Gachoka to attack the Judges and scandalise the court. I find him not guilty of contempt of court.

Punishment

The charge against Tony Gachoka and The Post Limited has been proved beyond reasonable doubt. In deciding whether a contempt is serious enough to

merit imprisonment, the court is required to take into account the likelihood of interference with the administration of justice and the culpability of the offender. The intention with which the act complained of is done is a material factor in determining what punishment, if any, is appropriate. In the present case the intention of Tony Gachoka and The Post Limited was to bring the Judges and the court into contempt by scurrilous abuse of the Judges. There is no limit to the length of the term which may be imposed but the punishment should be commensurate to the offence.

Although Tony Gachoka did not place before the court any evidence to support his defence of justification, he maintained throughout that the ruling of the court was illegal and had been obtained corruptly. Put another way, he repeated and persisted in the contempt. He stuck to his guns. I think Tony Gachoka deserves a stiff custodial sentence with no option of a fine. I would send him to prison for 6 months. I would impose a fine of KShs 1 000 000 on The Post Limited and forthwith stop publication of The Post on Sunday unless and until the fine has been paid in full. I would make no order as to costs.

Omolo JA: This Court decided the case of *Republic v Makali and others* civil application number Nai 4 of 1994 (UR), hereinafter called "the *Makali* case" in June 1994. Exactly five years down the line, the court is once again called upon, on an application by the Attorney-General on behalf of the Republic, hereinafter called "the Applicant", to determine whether Tony Gachoka, The Post on Sunday Limited, and Njoroge Nani Mungai, are guilty of contempt against it (the court). I shall hereinafter refer to these persons as the First, Second and Third Respondents respectively.

From the outset, one must admit that the situation in Kenya is now different from what it was in 1994. Kenyans now have a far better understanding of their civil rights than ever before. Expressions like transparency in and accountability of public institutions are the order of the day. New expressions such as "stakeholders" have been coined with a view to helping the ordinary citizenry assert their legal and political rights. The media, print, electronic and broadcast are the obvious stakeholders in the freedom of expression guaranteed by section 79 of the Constitution. Not only are the media stake holders in that freedom but also claim to exercise it on behalf of and for the benefit of a citizenry who, as never before, is ever curious and eager to know how the public institutions supposed to serve it are discharging that mandate on its behalf. It does not matter that the principal reason for the existence of the media is commerce. Even lawyers who assert that they fight for the rights of others will only do so if they are paid. The press have always asserted, and I think they are entitled to assert, that they must act as a watchdog on behalf of the public on matters pertaining to the discharge of functions by public bodies. In support of this proposition, I can do no better than to quote Mr Justice Frankfurter of the Supreme Court of the United States of America. Speaking on the concept of the freedom of the press, that Learned Judge said way back in 1946 in the case of *Pennekamp v Florida* 328 US 331 [1946]:

> "Without free press, there can be no free society. Freedom of the press, however, is not an end in itself but a means to the end of a free society …".

These words are still true today as they were in 1946 when Mr Justice Frankfurter spoke them. Freedom of the press is now universally accepted as one of the pillars of a free society. A free society must, of course, be based on the law

or, put another way, a society which observes the Rule of Law. What then is the Rule of Law?

I can only talk about that concept as I understand it in the circumstances of our nation, Kenya. It implies several concepts. The first and principal concept, as far as I understand it, is that those who seek to exercise authority over us must have our consent to do so. Consequently after every five years all qualified Kenyans elect their representatives to our National Assembly and those representatives, assembled together in Parliament, make on our behalf the laws by which we are to be governed. To enforce the observance of the laws so made Parliament has created "the Executive" and not only has Parliament created the Executive to enforce the laws but it [Parliament] has also invested it with the wherewithal to enforce the laws. What happens when it is alleged either by the Executive or the private citizen that the laws made on our behalf by Parliament have been violated? Parliament has, for the purpose of determining whether there has been a violation of the law – and the violation can be by the Executive or the private citizen – created the Judiciary and clothed it with the power and authority to interpret the laws and say if there has been a violation. So that the rule of law, as far as I understand it, implies that a Parliament constituted by us and known to us, makes laws which we are generally agreed with; that those laws apply equally to all of us and are enforced by an executive constituted and known by us all and lastly that those laws, in the event of an alleged violation are interpreted by courts constituted by us and known to us all. I have said that the laws must apply to all of us, to the individual Members of Parliament who make them, to the individual members of the executive who enforce them, to the individual members of the Judiciary which interprets them, to the press, the citizenry and all who reside in the state except that Parliament has our authority to exempt any particular person or group of persons from the obligation to comply with a particular law. I do not think that even members of the press would want to contend that because we cannot have a free society without a free press, they are not bound by the ordinary laws which apply to other Kenyans.

Why do I find it necessary to go into this background discussion of the concept of the rule of law?

I do so, and I have no apology in doing so, for the reason that if we are to remain a free society under the law, with a free press, we all, without exception, must continue to uphold the principle of the rule of law and if it is necessary to continue to uphold that principle, then we must also continue to maintain the institutions that go with it. That does not and cannot mean that the individual members serving in those institutions cannot be changed.

If we have no confidence in our Members of Parliament, we vote them out after every five years and if we change the composition of Parliament, we are likely to have a changed Executive, at least at the top levels. The judiciary is, however, slightly different. The individual members of the top Judiciary can be removed but only for specified defaults and only by or through a specified method or process.

The change in personnel, however, does not affect the existence of the institution, whether Parliament, the Executive or the Judiciary. The institutions continue and they must continue because we need them in order to maintain a free society under law. How do I connect these principles to the case before us?

As in the *Makali* case, we are once again dealing with the emotive crime of contempt of court and as I said in my judgment in that case:

> "We are more at ease when adjudicating upon issues which everybody knows we could entertain no conceivable personal interest in the outcome of the dispute before us. The position is different in contempt of court matters as people perhaps, only too naturally, tend to view such disputes as being between the courts and the person or persons alleged to be in contempt …".

So, what is a contempt of court? Is it a dispute between the individual judges constituting the court and the person or persons alleged to be in contempt?

There are of course, numerous decisions of the Commonwealth courts defining what amounts to a criminal contempt of court and the principles or philosophy underlying the necessity for the existence of the offence. By section 5(1) of the Judicature Act, we are obliged to apply the law which was being applied by the High Court of Justice in England, in 1967 when that Act was passed. I do not myself intend to go into the definitions which have been given by the courts in England; they are well known enough and for my purpose, I only wish to cite the case of *Queen v Gray* [1900] 2 QB 36 in which the philosophy underlying the necessity for the existence of the offence was set out as follows:

> "The punishment is inflicted, not for the purpose of protecting either the court as a whole or the individual judges of the court from a repetition of the attack, but: of protecting the public, and especially those who either voluntarily or by compulsion are subject to the jurisdiction of the court, from mischief they will incur if the authority of the tribunal is undermined or impaired. In consequence the court has regarded with particular seriousness allegations of partiality or bias on the part of the Judge or court".

This explanation might be easily understood by a lawyer but it might not as easily be understood and accepted by a non-lawyer such as a journalist. It says that in contempt of court matters, the dispute is not between the court or the Judge or judges of the court and the alleged contemnor and if punishment is inflicted it is done, not for the purpose of vindicating the Judge or the court, but rather for the protection of the public. In the *Makali* case, I tried to explain this as follows:

> "Thus in our own jurisdiction Professor Mathai was punished not for the purpose of protecting either Mr Justice Chesoni, as he then was, whom she called corrupt or incompetent, or the High Court of which the Judge was a member, from a repetition of her attack but to protect the administration of justice. If the public were to be made to believe that judges were corrupt and incompetent, then their confidence in the administration of justice would be greatly undermined or impaired and those who come to courts or are compelled to come to the courts will have little or no faith at all that they could ever get justice from the system. The result would be each man for himself and God for us all".

Now, why is it the public which is being protected and not the individual judge or the court itself? I think the explanation lies in the fact that the individual judge can, like any other offended citizen, sue for redress in the courts and if necessary seek an order prohibiting a repeat attack. That remedy, however, is not for the benefit of the public which has an interest, or, to use the current parlance, is a stakeholder in the system or institution for the administration of justice. I go back to my earlier analysis of the concept of the rule of law. The public is a vital stakeholder in the system or institution which administers justice on its behalf. I stated earlier that for the principle of the rule of law to continue to apply, we need the courts, just as we need Parliament and the Executive. The citizen has a stake in the continued existence of these institutions as opposed to

the existence of any individual member of the institutions. If unjustified claims are made that the personnel manning the Judiciary are corrupt, incompetent, subservient or biased and so on, then the public faith or confidence in the institution is impaired or undetermined, and once that has happened, each person will resort to their own remedy for the redress of what they may conceive to be a wrong done to them. Once each one of us resorts to personal measures for the vindication of alleged breaches of the law, the concept of the rule of law would collapse and that would not be good for society as presently constituted. That is my understanding or appreciation of the philosophic or juridical basis for the existence of the offence of contempt of court.

What then constitutes a contempt, or as the lawyers would put it, what are the elements of the offence? For my part, I shall cite only *Halsbury's Laws of England* (4 ed) Volume 9 at 7 under the heading:

> "(3) Contempts committed outside the court
>
> (i) In general
>
> Conduct amounting to contempt. In general terms, words spoken or otherwise published, or acts done, outside court which are intended or likely to interfere with or obstruct the fair administration of justice are punishable as criminal contempt of court. The commonest examples are:
>
> (1) publications which are intended or likely to prejudice the fair trial or conduct of criminal or civil proceedings;
>
> (2) publications which prejudge issues in pending proceedings;
>
> (3) publications which scandalise, or otherwise lower the authority of the court;
>
> (4) acts which interfere with or obstruct persons having duties to discharge in a court of justice;
>
> (5) acts which interfere with persons over whom the court exercises a special jurisdiction;
>
> (6) acts in abuse of the process of the court;
>
> (7) acts in breach of duty by persons officially connected with the court or its process".

Perhaps it may be useful if I were to give a few contemporary examples to illustrate some of these categories:

> "(i) Publications which are intended or likely to prejudice the fair trial or conduct of a criminal or civil proceedings. An example would be where an accused person 'A' is charged with an offence of robbery and a newspaper 'B' publishes the fact that 'A' has in the past been to prison ten times on charges of theft or robbery. This kind of publication would qualify as one intended or likely to prejudice the fair trial of 'A' on the current charge of robbery because newspaper 'B' obviously wants its readers to conclude that if A has gone to prison ten times in the past then he must be guilty on the current charge.
>
> (ii) Publications which forejudge issues in pending proceedings. An example would be where newspaper 'B' makes a detailed analysis of the evidence so far presented before the court and from that analysis concludes that the case of such and such a party must succeed before the court. I would include here an opinion poll published by a newspaper showing that 90% of its readers are of the view that an accused person is guilty of the offence for which he is being tried, by a competent court.
>
> (iii) Publications which scandalise, or otherwise lower the authority of the court and the obvious examples of this are to be found in the *Makali* case where the allegation was that the court was subservient to the executive and the case of

> *Republic v Mathai and others* criminal application number Nai 53 of 1981 (UR) where the allegation was that the Judge was either corrupt or incompetent".

I think I have given enough examples and I must now move to another area which I am minded to deal with and that is this. Is the law of contempt inimical to the freedom of speech guaranteed by section 79 of the Constitution?

I earlier on quoted from the speech of Mr Justice Frankfurter in *Pennekamp v Florida.* There the Judge expressed the view that without free press there can be no free society, but he was quick to add that the freedom of the press is not an end in itself but a means to the end of free society. In other words, freedom of the press is not to be put on a pedestal for the purpose of its being admired and worshipped by the society. Otherwise the freedom might turn into a dictatorship by the press and it would be no less a dictatorship because it is exercised by the press. It is useful to the society because it helps to create a free society. Here at home while section 79(1) of the Constitution provides that:

> "Except with his own consent, no person shall be hindered in the enjoyment of his freedom of expression, that is, to say, freedom to hold opinions without interference, freedom to receive ideas and information without interference, freedom to communicate ideas and information without interference (whether the communication be to the public generally or to any person or class of persons) and freedom from interference with his correspondence".

the proviso to section 77(8) of the same Constitution lays it down that:

> "Provided that nothing in this subsection shall prevent a court from punishing a person for contempt, notwithstanding that the act or omission constituting the contempt is not defined in a written law and the penalty is not so prescribed".

So that even the Constitution itself which guarantees freedom of speech recognises the power of a court to punish for contempt. I have already attempted to set out what I understand constitutes contempt. If the power to punish for contempt is inimical to the freedom of expression, the Constitution would not have provided for the existence of both. But having said that, I would now repeat what I said in the *Makali* case. The courts and the press must learn and accept to live with each other. Both are necessary to ensure the freedom of Kenyans under the law. The Judges must not fear truthful and fair criticism from the press and we must not allow ourselves to be seen as standing in the way of a free and vibrant press. Her Majesty's judges in the United Kingdom once allowed themselves to be seen as standing on the way of free trade unionism and did no good to the image of their lordships. We ought not and must not resort to the laws of contempt and stand in the way of fair and legitimate criticism.

> "… So long as the criticism is not meant or intended to vilify us, so long as the criticism is directed at the subject in issue in a given litigation and not to the person of the Judge deciding the matter, so long as no improper motives are imputed to the Judge deciding the matter, then the courts must accept that their judgments, being public documents,are and must be subject to public criticism, however robust, however vigorous, and I may add however discourteous. …".

Per Omolo JA in the *Makali* case at 7. I would reassert these principles in this matter.

How do the principles I have endeavoured to set out in this judgment apply to the issues raised before in the present application?

The First Respondent freely admitted before us that he is the publisher and chief executive of a weekly publication called *The Post on Sunday* which is the Second Respondent herein. In its issue covering the period 31 January to 6 February 1999, the First Respondent published in the Second Respondent an article bearing the heading "Chesoni Implicated in an Orgy of Judicial Anarchy and a 30 million bribe". Mr Justice Chesoni is the Chief Justice of the Republic. As an opening to the main article in the publication, and under the heading "Letter from The Publisher – *The Post on Sunday*", the First Respondent said of Chief Justice Chesoni, among other things:

> "Unfortunately for the country, Chesoni has directed his considerable skills, to subverting the judicial process rather than growing and enhancing it, (*sic*) particularly in the infamous Goldenberg affair".

Chief Justice Chesoni, by virtue of section 64(2) of the Constitution, is a member of the Court of Appeal and whenever he chooses to sit in the court, he presides over it. That fact alone, however, does not entitle him to any superior rights over the other judges sitting with him. In matters judicial, the Chief Justice carries only one vote like all the other judges. The significance of this assertion will in due course become apparent.

The burden of the article written by the First Respondent was that one Pattni who is involved in a litigation in the courts against one Nasir Ibrahim Ali, had given to Chief Justice Chesoni a bribe of KShs 30 million and that because of that bribe Chief Justice Chesoni:

> "… has directed his considerable skills to subverting the judicial process rather than growing and enhancing it, (*sic*) particularly in the infamous Goldenberg affair".

It was further alleged in the article that the Chief Justice was in league with other persons such as one Nicholas Biwott, and the Hon the Attorney-General Amos Wako, and that in pursuit of their conspiracy to defeat justice the triumvirate had met at Hotel Intercontinental, Nairobi, that Chief Justice Chesoni had straight away from the meeting, walked to the chambers of a judge of this Court who was presiding in one aspect of the dispute between Pattni and Ali and pursuant to the meeting between the Chief Justice and the Judge presiding, Ali's case was doomed to failure and it was merely a formality when the case of Ali failed before a bench of this Court. The court gave its order, reserving its reasons to be delivered at a later stage, but according to the First Respondent, those reasons were irrelevant because the three judges before whom Ali had lost, had either been bribed or ordered by Chief Justice Chesoni to find for Pattni and against Ali. I hope that the relevance of the statement I made earlier that in this Court, the Chief Justice carries only one vote has now become apparent. The First Respondent freely admits he published all these matters. What is of relevance to this Court is this.

The First Respondent was alleging in the publication that either through bribery or some other unlawful pressure the Chief Justice made the court decide a case in favour of one party and to the disadvantage of the other party. If that is what happened in that case, then we would have no business sitting as judges in these courts and the public would have every right not to have any confidence or trust in the judicial system. The whole article, on the face of it is clearly contemptuous and it would only cease to be so if the First Respondent was able to place before us concrete evidence showing that the substance of his story in the article was in fact true, and if the story is in fact true, then we really ought to be in jail.

What did the First Respondent tell us about the story? At first when the First Respondent was served with the motion and the other accompanying documents, he filed a replying affidavit and grounds of objection to the motion. Mr *Chunga* who conducted the case on behalf of the Applicant then intimated that he would ask the court to strike out some portions of the First Respondent's replying affidavit. The First Respondent's reaction to that was a letter to the court withdrawing all the documents he had filed and informing the court that he would be calling certain witnesses. The deputy registrar of the court instructed him to get affidavits from whoever he wanted to call as a witness. He declined to do so and in court the First Respondent repeatedly applied to us to be allowed to call witnesses to give oral evidence and also to be allowed himself to give oral evidence in his defence. The court as many times as the First Respondent made the applications rejected them.

I have said that in matters of contempt the High Court and this Court are obligated to apply the law applied by the High Court of Justice in England. In England applications for contempt are made under Order 52 of the Rules of the Supreme Court. In the end, the First Respondent pointed out to us Order 52, rule 6(4) of the Rules of the Supreme Court which provides that:

> "If on the hearing of the application the person sought to be committed expresses a wish to give oral evidence on his own behalf, he shall be entitled to do so".

The First Respondent told us that we were bound to give him the opportunity to do so. Were we so bound?

It is true we are to apply the law applicable in the High Court of Justice in England and the rule I have cited is part of that law. But I do not myself understand section 5(1) of our Judicature Act to prevent the local courts from developing its local jurisprudence on the matter. This is not the first contempt of court charge to be dealt with in our courts. The first was the case of *Wangari Muta Mathai* (*supra*). No oral evidence was given by anyone in that case; the matter was solely decided on affidavit evidence. The second case was the *Makali* case (*supra*). Again no oral evidence was given there by anyone and the matter was decided solely on affidavit evidence. So that when the deputy registrar of this Court wrote a letter to the First Respondent, asking him to file whatever affidavits he wanted to file, the deputy registrar was obviously basing himself on the practice previously established by the High Court and this Court on such matters. On the very first day when the First Respondent appeared before the court, the court itself gave all the parties to the dispute leave to file whatever affidavits they wished to file.

In all these circumstances, I do not think the First Respondent was entitled to ignore all the directions given to him and basing himself as a last resort on Rules of the Supreme Court, rule 52(6)(4) compel us, as it were, to hear him orally. I did not understand the First Respondent to contend that affidavit evidence is not evidence at all. Such evidence has been used before in similar proceedings and with respect to the First Respondent, I do not think he was entitled to tell us, as he in effect did, that if we did not hear him from the witness box, then we would not hear him at all. The position would have been different if he had placed affidavit evidence before us and then we had turned around to say that such evidence was not proper evidence in an application such as this. I repeat that the First Respondent was not entitled to compel us to hear him only from the witness stand.

That is not to say that the First Respondent did not put up any defence to the allegations made against him. He addressed for several days and he clearly disclosed what he would have said from the witness stand if we had allowed him to take the stand. What would have been the nature of that evidence? If I understood First Respondent correctly, what he maintained throughout before us was that he is an investigative journalist. Thus he took six months of investigations to piece together the information he published in his magazine. On the issue of bribery of the Chief Justice with KShs 30 million, he had been told that some lady called Terry Ndungu had, in the company of Nasir Ibrahim Ali, visited the house of a member of this Court and that it was in that house, Terry Ndungu and Ali had been told about the allegation of bribery.

On the issue of the Chief Justice meeting the Attorney-General and Biwott, he had been informed about such a meeting by a Mrs Murgor who had seen them at the hotel already stated. On how he came to know of the Chief Justice coming from the hotel to the chambers of one of our members, the First Respondent said he had been given that information by one Ochieng Oduol who is the lawyer of Ali. On the issue of how the Judiciary is being the stumbling block to Ali ever getting justice in the courts, he said he met the Attorney-General who told him the Judiciary was in fact the problem. He had even tape recorded the alleged conversation between him and the Attorney-General. The First Respondent went so far as to tell us that he visited the home of His Excellency the President, that he discussed the matter of Goldenberg with the President and in the process tape recorded the President to boot and that in his presence he heard the President order the Chief Justice not to transfer a judge who had decided a matter in favour of Ali.

One factor which I found remarkable in all this is that at no stage did the First Respondent say that of his own knowledge he knew that any of the matters he wrote about had actually taken place. All the matters he wrote about were said to him by other persons in the course of his investigative journalism which appears to mean that one merely talks to other people and publishes what they tell him. When the First Respondent was asked whether as a publisher, he did owe any obligation to his readers to himself verify the truth of what they tell him, the First Respondent fell back on his of repeated request: “Call my witnesses and put them in the witness stand. Put me in the witness stand and I shall prove everything”. For my part, I got the clear impression that the First Respondent was merely asserting the truth of what he published because those things had been said to him by other persons whom he had done the court the honour of naming and if those persons were to come to court and it turned out that what they had told the First Respondent was not true, then the matter ought to rest with them and not with the First Respondent.

It may well be that some of the people whom the First Respondent wanted to be called to testify told him the things he published in the magazine. It is not only possible but very probable that Ali could allege to the First Respondent that money had changed hands and that was why he lost. Disgruntled litigants can easily do that. But there still remains the question of whether what one is told is true and the burden is clearly on the person publishing such information to prove that what he has been told is in fact true. Surely, it is not asking for too much to expect that even the First Respondent must know that the truth of an allegation cannot be found in the assertion that because I was given that information by so and so, therefore, the same must be true and if it is not true then

the matter must lie with the person who gave me the information. Once again, I would return to what I said in the *Makali* case and it is this:

> "It is true the First Respondent says that it is some unnamed legal experts who were of the view that the court showed "a sign of indecision and dishonesty" but my Lords if the matter was to be held to be contemptuous of the court, I do not think it can be a defence to the First Respondent to say that he was merely stating the opinions of others, even if he had named those others. …".

That still remains my position today. So that even if the First Respondent here had been allowed to call His Excellency the President, the Honourable the Attorney-General, Mrs Murgor, Mr Ochieng Oduol, Mr Ali or any other person and all of them had agreed that they had given to him the information contained in the articles that would not have made the matter any less contemptuous of the court unless those persons went further and proved the truth of what they had told the First Respondent. But all that which the First Respondent did before us was to claim that he had done his investigative journalism, had obtained the information from the persons he named and demanded of us to have those persons summoned. I have already dealt with the issue of calling of witnesses and giving of oral testimony in matters such as this and I need not repeat myself on it. The truth of the matter is that the First Respondent made no effort at all to prove the truth of what he published in the offending articles which are clearly contemptuous of the court in the extreme.

Whether one designates them as falling under the rubric of scandalising the court, which they in fact are, or whether one places them under the heading of the "rule of subjudice", the outcome must be the same. In the latter aspect of the matter being subjudice, there could not be any doubt that at the time the articles were published, the case of Pattni and Ali were still pending in the court. The court had made its order but the reasons for making the order were reserved and were to be given later. The First Respondent apparently thought that the reasons for the decision did not really matter. That, to me is surprising unless we have come to such a pass that we find it unnecessary to reason with each other. Perhaps reason no longer forms part of our national psyche and that may well be the explanation for the monotony of words like thieves, looters and grabbers in our daily language and the apparently mindless violence in our midst.

But I am digressing. The subject over which the First Respondent was attacking the court was still pending before it because the court had not given its reasons for the decision. The matter was subjudice. I have no quarrel with what Mr Justice Simpson, as he then was, said in *Gutto and others v Ngweno and others* High Court civil case number 888 of 1981 (UR), but I do not think that even that Learned Judge would have approved of the abuse of judges in extremely violent and derogatory language obviously intended to compel them into deciding a matter in favour of one party. Hillary Ngweno did not seek to influence the decision of the Judges through violent abuse or insult. His writing was reasoned and intellectual. I earlier on asked whether the law of contempt is inimical to the freedom of expression guaranteed by section 79 of the Constitution and I have already answered it as best as I can. I would at this stage add this. Those who engage themselves in that kind of writing have nothing to worry about from the courts. But those who seek, through insults and threats, to make us decide matters in their favour or in the favour of those whom they support have everything to fear from us.

The First Respondent admits that he wrote the articles and had them published in the Second Respondent's magazine. The First and Second Respondents are, in my view, clearly guilty of contempt of this Court. As regards the Third Respondent, he was cited in these proceedings because he was, according to the records held by the office of the Registrar-General, thought to be a director of the Second Respondent. As far as I am concerned, the Third Respondent satisfactorily proved upon a balance of probabilities that he had in fact resigned his twin positions of director and secretary of the Second Respondent. At the very least, the Third Respondent had discharged the evidential burden on him by showing that he had resigned his positions. The burden of proof then shifted to the Applicant to prove beyond any reasonable doubt that the Third Respondent was in fact still a director and secretary of the Second Respondent. The Applicant could have done that by, for example, producing the register kept by the Second Respondent to show who its directors and officers are. I would myself give the benefit of doubt to the Third Respondent and I would acquit him of the allegation that he is in contempt of this Court. But for my part, I am fully satisfied the Applicant has proved beyond any reasonable doubt that the First and Second Respondents are guilty of contempt of this Court and I would convict them of that charge.

On the question of the proper sentence to impose on the First and Second Respondents, I think it must be such a sentence as will bring it home to them in no uncertain terms, that they cannot gain anything by their kind of publication. I would accordingly propose the following sentences:

1. First Respondent – six (6) months imprisonment.
2. Second Respondent – fine of KShs 1 000 000 with a further order that the Second Respondent must forthwith cease publication until and unless the fine shall have been paid.

Tunoi JA: In this matter the Applicant is the Republic of Kenya. The First Respondent, Tony Gachoka, is the publisher and Chief Executive of a weekly publication known as *The Post on Sunday*, the magazine. The Post Limited, the Second Respondent, is the proprietor of the magazine. Njoroge Nani Mungai, is an advocate of the High Court of Kenya and had incorporated the Second Respondent and acted as its director.

In the magazine dated 31 January to 6 February 1999, there appeared the first of a series of articles on the Judiciary and other matters. The article that made the cover story was entitled:

> "Chesoni implicated in an orgy of judicial anarchy and a KShs 30 million bribe".

The article complained of contains amongst other matters the following passages:

> "Unfortunately for the country Chesoni has directed his considerable skills to subverting the judicial process rather than growing and enhancing it, particularly in the famous Goldenberg affair".
>
> "Chesoni implicated in an orgy of Judicial Anarchy and a KShs 30 million bribe. The riddle is further enhanced into a conspiracy by the irregular conduct of High Court Judge, Judge Kuloba and some Court of Appeal Judges".
>
> "This is where the prominence of Chesoni's hand in the protection of billionaire Kamlesh Pattni shone its first glaring light".
>
> "It is immediately prior to his visit to New York that Chesoni received a bribe of KShs 30 million from Kamlesh Pattni from a Nairobi Bank. So by the time the Court of Appeal case number 5 of 1999 came up for hearing on the 8 January to determine

> its urgency before Court of Appeal Judge Tunoi, the Chief Justice had returned to Kenya and was in receipt of KShs 30 million from Kamlesh Pattni".
>
> "That the highest court on the land was the Court of Appeal it could go outside the law and the procedures of Court of Appeal in hearing an application to stay an order that had already been effected instead of directing Pattni and his lawyers to file a substantive appeal against Keiwua to return World Duty Free to Ali".
>
> "Our investigations reveal that the Court of Appeal misused the irregular application before it to return the World Duty Free to Pattni illegally because of instructions and the insistence of Chief Justice Chesoni whom, the Post established; is under Kamlesh Pattni's pay roll".

In the publication dated 7 to 13 February 1999, the cover story is Judiciary in Panic. The magazine carried several articles critical on the persons of the Honourable the Chief Justice and some judges of this Court. Many pages of the magazine are adorned with the pictures of the Judges named. The Attorney-General complains of the following passages, amongst others:

> "If in the case of Kamlesh Pattni you hand pick magistrates and judges to decide cases in his favour, are you not going to also hand pick a judge to decide this impending case in your favour?"
>
> "Chesoni continues to subvert the course of justice".
>
> "Some judges and magistrates have compromised their principles for short term gains and promotions hence administration of justice has been denuded".

The Attorney-General on 16 February 1999, obtained leave to move this Court for an order to commit the First Respondent to prison for contempt of the court and for such other orders as may be deemed just against the other Respondents.

Under section 5 of the Judicature Act (Chapter 8) of the Laws of Kenya the Court of Appeal for Kenya has power to consider, conduct a trial and make judgment on an allegation of contempt of itself. The cases of *Republic v Mathai and others* criminal application number Nai 53 of 1981 (UR) and *Republic v Makali and others* civil application number Nai 4 of 1994 (UR) make the position clear. However, it is worthy of note that, the First and the Second Respondents informed the court that they were submitting to jurisdiction and would concede that there was jurisdiction in this Court to hear and determine the application relating to contempt.

The First Respondent describes himself as an investigative journalist. He does not deny publishing the articles the subject matter of these proceedings. He avers that he wrote them pursuant to an investigation he carried out on the subject of corruption. Before Publication he sought and obtained considered legal opinions from some legal luminaries and advocates whom he named as Honourable Paul Muite MP, Mr Ochieng Oduol and Dr Kamau Kuria. The First Respondent stated that he stands by these articles and contended that he had not acted or sought in any way to ridicule, scandalise, abuse or bring into contempt this Court. He has acted in accordance with strict ethics of journalism, and, where he was in doubt on legal issues, he had always sought and received legal advice. The First Respondent, therefore, vehemently justifies the publication of the articles. Simply put, he stands by them and has no apologies to make.

Assuming that it is true, as stated by the First Respondent, that the articles complained of were sanctioned by advocates of vast experience who are also officers of the High Court of Kenya, then, it defeats reason as to why they should instigate the First Respondent to publish such articles whose purport

does not only scandalise the court, but, also abuse and impute improper motive on the Judges who constitute it.

However, in my view, one thing is certain. The articles were written with the direct object of vilifying the court as a result of one litigant having been unsuccessful in the take over bid of the so called Kenya Duty Free. Through the publication the dissatisfied litigant erroneously believed it could mount a sustained campaign to reverse the court's ruling and secure the verdict in its favour.

As I said in *David Makali*'s case (*supra*) an absolute power for the press does not exist. Though its freedom is constitutionally guaranteed in this country under section 79 of the Constitution the press must above all act responsibly in all its publications. To abuse or scandalise any person or institution is indeed irresponsible and is outside the constitutional protection of freedom of speech.

To allege and publish without proof that the Honourable Chief Justice:

> "Chesoni has directed his considerable skills to subverting judicial process"
>
> "…conspiracy by the irregular conduct of High Court Judge Judge Kuloba and some Court of Appeal Judges"
>
> "This is where the prominence of Chesoni's hand in the protection of billionaire looter"
>
> "Chesoni received a bribe of KShs 30 million"
>
> "The Court of Appeal misused the irregular application before it;"

amount to scandalising the court. The publications are acts done which are calculated to bring both the High Court of Kenya and the Court of Appeal into contempt, or to lower their authority. They also amount to a calculated attempt to interfere with the due process of justice.

An ordinary man on the streets reading these articles would conclude that the head of the Judiciary was engaged in subverting the rule of law in this country and that its courts were reckless and were issuing orders and decisions palatable to him left and right. The courts would be deemed to be acting illegally, helping and protecting some of the litigants to the detriment of others.

In these circumstances, it is the duty of the court to punish for contempt so as to prevent interference with or obstruction to the administration of justice.

In my view, the First Respondent has maliciously and without lawful excuse engaged in the publication of series of articles tending to interfere with the due process of the court and has repeatedly attempted to undermine or impair its authority.

Further, he has systematically and scurrilously abused the Judges by imputing improper motives on their conduct. *Halsbury's Laws of England* (4ed) Volume 9 at 21 sets out the law in that regard:

> "27 Scandalising the court. Any act done or writing published which is calculated to bring a court or a judge into contempt, or to lower his authority, or to interfere with the due course of justice or the lawful process of the court, is a contempt of court.
>
> Thus scurrilous abuse of a judge or a court, or attacks on the personal character of a judge, are punishable contempt. The punishment is inflicted, not for the purpose of protecting either the court as whole or the individual judges of the court from a repetition of the attack, but for protecting the public, specially those who either voluntarily or by compulsion are subject to the jurisdiction of the court, from, the mischief they will incur if the authority of the tribunal is

> undermined or impaired. In consequence, the court has regarded with particular seriousness allegations of partiality or bias on the part of a judge or a court.
>
> On the other hand, criticism of a judge's conduct or of the conduct of a court, even if strongly worded, is not a contempt provided that the criticism is fair, temperate and made in good faith and is not directed to the personal character of a judge or to the impartiality of a judge or court".

I agree and adopt the dicta in the above passages.

The import of these passages and the decisions in the cases already cited is that scurrilous abuse of a judge in his capacity of a judge or of a court particularly attacks alleging lack of impartiality or imputing improper motives is a punishable contempt. It matters not and neither is it necessary nor a condition that such acts or writing should affect pending proceedings only.

The First Respondent like every other citizen of this country, is entitled and is free to criticise judges and their decisions, so long as he keeps within the limits of reasonable courtesy and good faith and so long as he abstains from imputing improper motives to them and is genuinely exercising a right of criticism and is not acting in malice, or attempting to impair the administration of justice. If he does this, he is immune from and will not be arraigned on a charge of contempt of court. *Ambard v Attorney-General for Trinidad and Tobago* [1936] AC 323.

The issues of subjudice and the criminal liability of Mr Mungai have already been ably dealt with by my brothers and sister and I need not reconsider them. I fully endorse the decisions reached by them.

I agree that the articles complained of by the Attorney-General do constitute a contempt of this Court and that the First and Second Respondents cannot offer any lawful justification for their publications. The First and Second Respondents are guilty of contempt of this Court and I convict them accordingly.

In respect of the First Respondent, I would propose that he be committed to prison for six (6) months. I would impose a fine of KShs 1 000 000 against the Second Respondent and unless and until the fine is paid it must forthwith cease publication and sale of its magazine *The Post on Sunday*. I make no order as to costs.

Shah JA: On 16 February 1999 this Court granted leave to the Applicant, Republic of Kenya, to institute proceedings for contempt of this Court against one Antony Gachoka and The Post Limited. It is common ground that Antony Gachoka is the Chief Executive of the weekly magazine known as *The Post on Sunday*, and that The Post Limited is the publisher thereof.

The alleged contempt arose out of two publications of *The Post on Sunday*, the first one being the issue dated 31 January to 6 February and second one being the issue dated 7 February to 13 February 1999.

The history leading to the institution of the said contempt proceedings is a simple one. On the 16 December 1998 an application was lodged in this Court by one Kamlesh Mansukhlal Pattni seeking orders to stay further proceedings before the superior court (Ole Keiwua J) pending the hearing and determination of an intended appeal. The said application was filed under a certificate of urgency. When the issuance of the certificate of urgency came up before a Learned single Judge of this Court, he declined to grant the said certificate and the Applicant's advocate, pursuant to provision in rule 47(5) of the Rules of this Court applied for the matter to be placed before a learned single judge of this

Court for hearing *inter partes*. The *inter partes* urgency application came up for hearing before Tunoi JA as directed by Gicheru JA. Tunoi JA heard the application *inter partes* and ruled on 8 January 1999, *inter alia*, as follows:

> "In the circumstances it is in the best interests of all the parties concerned and the public at large that the matters in issue in the litigation be disposed of without any further delay. Accordingly, I certify the application urgent and order that, subject to the direction of the Honourable the Chief Justice, the application and all others which are listed be heard by the court of Appeal on 14 January 1999. Costs of this application shall be in the cause".

On 8 January 1999 yet another application was filed by Kamlesh Pattni. That is civil application number Nai 5 of 1999.

Although civil application number Nai 321 of 1998 was certified as urgent on 8 January 1999, the hearing thereof which was already fixed for 14 January 1999 was not brought forward presumably as the date was not too far off.

On 12 January 1999 Mr Pattni's advocate Mr Rebello informed the court, by his letter of that date, that he would seek consolidation of the hearing of civil application number Nai 321 of 1998 with civil application number Nai 5 of 1999. He requested the registry of this Court to place the file of civil application number Nairobi 5 of 1999 before the court on 14 January 1999 when 321 of 1999 was to be heard. He drew the court's attention to the fact that number 321 of 1998 has been affected by the ruling and orders of Ole Keiwua J made on 31 December 1998 which were the subject matter of number 5 of 1999 and pointed out that number 321 of 1998 may be rendered nugatory if not heard alongside number 5 of 1999.

When number 321 of 1998 came up for hearing before this Court, Mr Rebello applied for consolidation of the two applications for hearing. Such consolidation was not ordered; instead the court ordered as follows:

> "Having considered the matter and in exercise of the power given under rule 100 of the Rules of this Court, we order that these two applications be heard immediately one after the other starting with Application number 321 of 1998. Application number 5 of 1999 will be heard tomorrow Friday 5 January 1999 at 11:00am".

On 15 January 1999 this Court, after hearing counsel for both sides, ordered that the Receiver appointed by court be reinstated. Effectively this Court took away the management of World Duty Free Limited from Ali which management was restored to Ali by orders of Ole Keiwua J made on 31 December 1998. The reasons for this ruling were reserved for delivery on 19 February 1999. It must be remembered that this Court was sitting in Mombasa during the last two weeks of January 1999. The reasons for ruling dated 15 January 1999 were delivered separately by all three Judges who heard the matter. I said during the course of my ruling:

> "Effectively and clearly the orders of Tunoi JA were directed to, hearing of all pending applications at the earliest. At that time civil application number Nai 5 of 1999 was also pending. Mr Oduol for the Respondents was aware of the pending application, number Nai 5 of 1999. On 9 January 1999 Mr Nowrojee and Mr Oduol were told to be prepared to argue out all pending applications.
>
> On 14 January 1999 when the parties' counsel assembled in court Mr Oduol said he was not ready to proceed with the hearing of civil application number Nai 5 of 1999. He opposed Mr Nowrojee's application for consolidation of hearing of civil application number Nai 321 of 1988 and Nai 5 of 1999. He was not quite overruled on that issue but the court ordered both applications to be heard one after the other on 15 January 1999. On that day, Mr Oduol was ready to proceed and fully argued out the matter".

The central issue in civil application number Nai 5 of 1999 was whether the Learned Judge (Ole Keiwua J) was correct in taking away the management of World Duty Free Limited from the court appointed receiver and granting it to one of the contestants, namely Mr Ali, even when such an order was not sought. The order sought was for removal of the court appointed receiver. Another issue was as to whether or not a fresh application in that behalf can be heard when the first one was still pending.

It is in this background of affairs that Gachoka published the first of the two above mentioned issues of *The Post on Sunday*. The passages therein which Mr *Chunga* for the Republic relied on to found contempt of this Court are set out in the affidavit of Mr Isaac Okoth a Senior Assistant Commissioner of Police who is also the Provincial Criminal Investigations Officer in charge of Nairobi Area.

I need not set out all the passages referred to by Mr Okoth. I will however set out what in my view, is germane to the present application.

> "The matter does not stop here. On the fateful 14 January 1999, the Judges of Court of Appeal Justices Kwach, A B Shah and Tunoi ceded (*sic*) that application number 321 of 1998 had been overtaken by events and disposed of it (the application for Ole Keiwua to disqualify himself) but ordered Ali's lawyer Ochieng Oduol to be ready to proceed with number 5 of 1999 the very next day 15 January at 9:00 o'clock.
>
> Ochieng Oduol's objection that he had not even had time to file a replying affidavit was met with an order that he do so in two hours that was the remainder of the day!
>
> Interestingly according to our investigations, the Court of Appeal did not break for lunch but proceeded to bombard Ochieng Oduol for what was clearly a determined effort to clear the matter in favour of Pattni.
>
> Even more interestingly, and according to impeccable sources, the same afternoon at Hotel Intercontinental, there was a two hour luncheon of three giants in one camp working for one man, protecting one man Kamlesh Pattni: self declared total man Nicholas Biwott, Attorney-General, Amos Wako and Chief Justice Zaccheaus Chesoni. Immediately after the luncheon, Chesoni proceeded to the chambers of the presiding Judge Richard Kwach where he sat for one and half hours immediately after the session that ordered a hearing the next day (of number 5 of 1999). So that on 15 January 1999, three eminent Judges of Court of Appeal were hearing an application to stay the order returning the World Duty Free to Nasir Ebrahim Ali, who had already taken possession on 31 December 1998, some 14 days earlier.
>
> That the highest court on the land was telling the Kenyan people that because it was the Court of Appeal it could go outside the law and the procedures of the Court of Appeal in hearing an application to stay an order that had already been effected instead of directing Pattni and his lawyers to file a substantive appeal against Keiwua to return World Duty Free to Ali.
>
> In other words, the Court of Appeal could have within procedure and within the Law have heard an appeal against the ruling of Ole Keiwua or any other judge but they could not hear an application to stay the demolishing of a building that had already been demolished.
>
> Our investigations reveal that the Court of Appeal misused the irregular application before it to return the World Duty Free to Pattni illegally because of instructions and insistence of Chief Justice Chesoni whom, The Post established is under Kamlesh Pattni's pay roll".

What I have reproduced above becomes more relevant in the light of what the First Respondent printed of and concerning the Honourable the Chief Justice in the same issue of *The Post on Sunday*:

> "The Court of Appeal had previously declined to mark as "urgent" appeal number 321 of 1998 at a time when the Chief Justice was in New York. According to thorough

> investigation by the Post on Sunday, it is immediately prior to his visit to New York that Chesoni received a bribe of KShs 30 million from Kamlesh Pattni from a Nairobi Bank.
>
> So that by the time the Court of Appeal case number 5 of 1999 came up for hearing on the 8 January 1999 to determine its urgency before Court of Appeal Judge Tunoi, the Chief Justice had returned to Kenya and was in receipt of KShs 30 million from Kamlesh Pattni".

I agree with Mr *Chunga* when he argued that whether or not an article is contemptuous of court can be properly ascertained by looking at the article itself without looking into or calling extrinsic evidence. The article clearly suggests that the Honourable the Chief Justice was allegedly corrupted by Pattni to influence Judge of Appeal Kwach and by extension judges of Appeal Tunoi and Shah to give a decision in favour of Pattni and against Ali. The suggestion itself is an abominable untruth and in my view amounts, clearly, to scandalizing the court. The article is venomous and was clearly meant to bring into disrepute the administration of justice in this country. The ordinary person reading this article would conclude that the judiciary including the highest court in the land is not only corrupt but is weak kneed enough to lend itself to manipulations by the Honourable the Chief Justice. The article itself constitutes a scurrilous attack on this Court.

I am aware that I must tread carefully when a citizen is accused of contempt of court and he appears before the court to defend himself. The jurisdiction to punish for contempt must be exercised very cautiously as Judges themselves may appear to have interest in the matter. The jurisdiction to punish for contempt is not for the protection of the Judges. It is for the protection of the public; to see to it that the general public do not lose confidence in the judiciary; to see to it that the ordinary people of this country look up to judges as men and women of integrity and honesty who could therefore be trusted to judge the disputes before them judicially, judiciously and impartially. But when someone, particularly a journalist, without proof and guided by motives other than fair, attacks the very integrity of the court the power to punish for contempt is the only weapon at the disposal of the court to put the matters right.

I must hasten to add that if any litigant or a journalist were to tell me that I am ignorant or that my judgment is wrong or that my judgment is not based on sound principles of law I would not even blink an eye lid. I expect some criticisms of my judgments. Such criticisms would actually spur me on to do better next time. I have not flinched at saying that I could be wrong but I would feel injured if I am told wrongly, that I am dishonest, corrupt or manouverable, and the crux of the matter is that the general public may lose confidence in me when I am wrongly so accused.

Mr Gachoka attempted to justify his venomous attack on this Court but was unable to do so. He himself opted to withdraw the affidavit he had filed in answer to the complaint against him. Although Mr *Chunga* had notified him that he wanted only certain portions of his replying affidavit struck out Mr Gachoka chose to withdraw the whole affidavit. He said he did it under protest but he did not explain what exactly was his protest.

Mr Gachoka's response to Mr *Chunga*'s submissions on fact was simple. He acknowledged that he was the author of the articles in question; that he was the Chief Executive Officer of *Post on Sunday*; that he was a director of The Post

Limited; that he stood by what he wrote and published. He renewed his attack on the Honourable the Chief Justice and referred to a letter written by Ole Keiwua J to Kuloba J as showing interference by the Honourable The Chief Justice. How he obtained a copy of that letter is not clear. He (Gachoka) hedged when asked how he obtained a copy thereof. The said letter, dated 31 December 1988 is addressed by Ole Keiwua J to Kuloba, J and is copied to Honourable The Chief Justice. There is no suggestion therein of any interference by Honourable The Chief Justice. The letter shows some sort of tug of war between the two judges.

Mr Gachoka said that this Court returned World Duty Free to Mr Pattni illegally. When asked what he meant by "illegal" his answer was that the ruling was illegal because – to use his own words – "where corruption exists and judges take directions, money is the part of the consideration. The word illegal was used in terms of result of bribery". I have quoted Mr Gachoka's exact words simply to demonstrate the objective he had in mind when he termed the ruling as "illegal". There can be no doubt in my mind that Mr Gachoka was accusing the court of bribery and being influenced. The use of such word "illegal", in the context that Mr Gachoka put it, quite clearly amounts to scandalizing the court, imputing improper motives to the Judges, imputing impropriety. The words in question were used deliberately and calculatedly.

Mr Gachoka said that during the course of his investigative journalism, he came across, through hearsay evidence, the "facts" which he printed. Let it be said here and now that it is no defence (to a contempt charge), that the author (publisher) was told by Mr A or Mr B or Mr C of the "fact". Mr A or Mr B or Mr C could have sworn affidavits to confirm what they told Mr Gachoka. He was clearly advised to file affidavits from his alleged informants. He did not do so. It is quite probable that those gentlemen could have declined to swear any such affidavits. If what they told Mr Gachoka was the truth they could have easily deponed to those facts on affidavits.

It is for that reason that, in my view, Mr Gachoka half heartedly sought leave to give evidence *viva voce*. This he did when the hearing was over and even final submissions had been concluded and I am of the view that that was a red herring sought to be introduced by Mr Gachoka. He was really not serious about it. He was basking in the "glory" of the publicity that he thought he was getting as a result of this application. Had he made the application for giving evidence *viva voce* after Mr *Chunga* first finished his arguments he could have had the benefit of Order 52, rule 6(4) of the English Rules of the Supreme Court.

Mr Gachoka argued that the court having given its initial verdict on 15 January 1999 there was nothing subjudice left. Although he was aware that the court was yet to deliver its reasons for ruling of 15 January 1999 he chose to ignore the same and went ahead to publish the 31 January to 6 February 1999 issue of *The Post on Sunday*. Reasons for any decision are the most important part of the decision and any one who rushes to print falsehoods with malice in regard to such a ruling is quite clearly in contempt of court.

Quite obviously thinking of himself as a hero, Mr Gachoka, not satisfied with what he had printed earlier, went on to publish in the issue of the 7 February to 13 February 1999 the following words of and concerning Honourable the Chief Justice.

> "If in the case of Kamlesh Pattni you hand pick magistrates and judges to decide cases in his favour, you are not going to hand pick a judge to decide this important case in your favour".

He went on to say further

> "According to reports reaching Post on Sunday, the action of the Chief Justice to the exposure last week was of drawing some Court of Appeal judges into a consensus of sorts that amounted to demands to the government for arrest of the publisher of the Post on Sunday, Tony Gachoka on charges of criminal libel in the absence of repealed sedition laws".

These are not the words of a responsible journalist. False bravado is very different from objective reporting. No court would mind even wrong criticism of the quality of its judgment but when the judgment is said to be a product of corruption and influence the realms of fair criticism are exceeded and contempt of court takes place.

What Mr Gachoka was telling Kenyans was that the court had succumbed to interference by Honourable the Chief Justice; that it had become subservient to the dictates of a Chief Justice who was in the "pay roll" of Pattni. He was clearly in contempt of court.

I find Mr Gachoka guilty of the offence of contempt of court and I hold that the two articles in question, more so the earlier article is a scurrilous and unjustified attack on this Court and the articles are calculated to bring into disrepute and contempt the Administration of Justice in Kenya.

It was not in dispute that the Second Respondent was served with the application in question. Mr Gachoka spoke for The Post Limited at length. I find The Post Limited guilty of the contempt of court as Mr Gachoka is. A publication in the print media is a powerful weapon and could be used to destroy reputations built over a number of years. If wrongly used (as was the case here) the magazine must be punished.

I come to the case against Mr Mungai. At the time he was served with the application, he was, as per records held by the registrar of Companies, a director of The Post Limited. He deposed that he had earlier resigned but Mr Gachoka who took over from him as secretary did not notify the registrar of Companies of the fact of his resignation. If he was truly an active director of The Post Limited at the material time I would have found him as guilty as I have found the First Respondent. But once he swore to the fact that he had resigned as a director the onus of proving that he was an active director, at the material time, shifted to the Applicant and that onus was not discharged sufficiently. I would therefore discharge Mr Mungai.

I would make no order as to costs.

As regards the punishment to be meted out to Mr Gachoka and The Post Limited, I would sentence Mr Gachoka to six months in prison. I would impose a fine of KShs 1 000 000 (one million shillings) on The Post Limited and I would order that there shall be no publication of *The Post on Sunday* by it, until payment of the fine in full.

Lakha JA: In this matter, the Attorney-General, with the leave of this Court given on 16 February 1999 moves for an order of committal for contempt of court against Tony Gachoka as the publisher of the magazine *The Post on Sunday* and against The Post Limited as the publisher and proprietor of the said magazine

for their several contempt in publishing or causing to be published in the issues of the said magazine for 31 January to 6 February 1999 an article under the heading “Chesoni implicated in an orgy of judicial anarchy and a KShs 30 million bribe” and for 7 to 13 February 1999 an article under the heading “Judiciary in panic as Chesoni falls out of favour and sues”. on the grounds that the articles were a scurrilous and unjustified attack upon this Court and were calculated to bring into disrepute and contempt the administration of justice in Kenya and, secondly, they contravened the subjudice rule.

Before I proceed any further let me at the outset state my understanding of the role of the Attorney-General in these proceedings as I believe this to have been a source of some confusion in the law about contempt of court. He has a right to bring before the court any matter which he thinks may amount to contempt of court and which he considers should in the public interest be brought before the court. The party aggrieved has the right to bring before the court any matter which he alleges amounts to contempt but he has no duty to do so. So if the party aggrieved failed to take action either because of expense or because he thought it better not to do so, very serious contempt might escape punishment if the Attorney-General had no right to act. But the Attorney-General is not obliged to bring before the court every *prima facie* case of contempt reported to him. It is entirely for him to judge whether it is in the public interest that he should act. If he does he does not do so as a Minister of the Government putting the authority of the Government behind the complaint but as *amicus curiae* bringing to the notice of the court some matter of which he considers that the court shall be informed in the interests of the administration of justice. It is, I think, most desirable that in civil as well as criminal cases anyone who thinks that a criminal contempt of court has been or is about to be committed should, if possible, place the facts before the Attorney-General for him to consider whether or not these facts appear to disclose a contempt of court of sufficient gravity to warrant his bringing the matter to the notice of court. Again, the fact that the Attorney-General declines to take up the case will not prevent the complainant from seeking to persuade the court that notwithstanding the refusal of the attorney to act the matter complained of does in fact constitute a contempt of which the court should take notice. Yet again, of course, there may be cases where a serious contempt appears to have been committed but for one reason or another none of the parties affected by it wishes any action to be taken in respect of it. In such cases if the facts come to the knowledge of the Attorney-General from some other source he will naturally himself bring the matter to the attention of the court.

The Attorney-General’s case was that the first article alleged, *inter alia*, that the Judges of this Court had an improper interest. Improper motive was imputed to them and that they wanted to give advantage to one of the parties. It was alleged that the Chief Justice was on the pay roll of one of the litigants and there was irregular conduct by the judiciary under the Chief Justice’s instructions and insistence. There was an imputation that the Judges were not independent but acted merely as a rubber stamp of the Chief Justice. In the second article, it was alleged that the Chief Justice continued to subvert the course of Justice. The following passage was also published:

> “Its dignity has been eroded by magistrates and judges who do not believe in democratic principles, human rights, fairness and the rule of law. Some judges and magistrates have compromised their principles for short term gains and promotions hence administration of justice has been denuded”.

It was also complained that reference in the second article to Court of Appeal civil application number Nai 5 of 1999 was a reference to a pending case and infringed the subjudice rule.

I have carefully considered the two articles in question and construed them as a whole. The words used are violent, scornful and not temperate. They impute to the Judges' impropriety, improper motives, bias, corruption and lack of independence. It is not and cannot be disputed that giving the words their natural ordinary and popular meaning anything more calculated to bring the administration of justice in Kenya into disrepute and contempt of court cannot be imagined. In my judgment, it is clearly a scurrilous and unjustified attack on this Court and is *prima facie* a contempt of court. This court is clearly scandalised. As was said by Mr Justice Wilmot in a judgment which was never delivered until forty years later published in a volume of Wilmot's cases under the title *Republic v Almon* [1765] Wilm 243-271:

> "If their authority (that is of the Judges) is to be trampled upon by pamphleteers and news writers, and the people are to be told that the power, given to the Judges for their protection, is prostituted to their destruction, the court may retain its power some little time, but I am sure it will instantly lose all its authority; and the power of the court will not long survive the authority of it: is it possible to stab that authority more fatally than by charging the court and more particularly the Chief Justice, with having introduced a rule to subvert the constitutional liberty of the people? A greater scandal could not be published".

I also refer to the case of *Sutherland v Stopes* [1925] AC 47 as narrated by Lord Denning in "The Due Process of Law". The New Statesman denounced the case. Proceedings were taken against the editor. They are reported in *R v New Statesman* [1928] 44 TLR 301. On the one side was the Attorney-General, Sir Douglas Hogg KC. On the other, Mr William Jowitt KC. Each was a brilliant advocate. Each was afterwards Lord Chancellor. But how different. Jowitt, tall and distinguished with a resonant voice and clear diction. Hogg looked like Mr Pickwick and spoke like Demosthenes. Jowitt put it well for the New Statesman. He quoted a judgment by a strong Board of the Privy Council in 1899 in *McLeod v St Aubyn* [1899] AC 549 at 561:

> "Committals for contempt of court by scandalising the court itself have become obsolete. Courts are contented to leave to public opinion attacks or comments derogatory or scandalous to them".

Hogg replied by quoting a passage from Wilmot's undelivered judgment upholding the offence on the ground that "to be impartial, and to be universally thought so, are both absolutely necessary".

It is, I think right at this stage to deal with the submissions made to the court by the First Respondent. If in doing so, as will be inevitable, I refrain from doing justice to the skill and care with which these arguments were presented, I trust that I may be forgiven, if only in the interest of conciseness. Before doing so, I remind myself that it is not challenged that the First Respondent published the words complained of and indeed the words used are his own words. Nor is it challenged that the Second Respondent is the proprietor and publisher of the magazine in question and that the First Respondent was at all material times a director of the Second Respondent.

The First Respondent's answer to the motion is that he had interviewed several persons and had learnt of the details of the articles from them. It was said that much of the material published in the article was based on what he was

told. While it may be unnecessary for the purposes of these proceedings to decide on the truth or falsity of this explanation, there is no evidence before me by way of affidavit evidence to enable me to find support for this explanation. It was said that the intention of the two articles was to expose corruption in the public interest. But intention is not relevant.

The test is whether the matter complained of is calculated to interfere with the course of justice, not whether the authors and printers intended that result, just as it is no defence for the person responsible for the publication of a libel to plead that he did not know the matter was defamatory and had no intention to defame. I would refer to the emphatic statement of the law by a judge of great eminence whose judgments are always received with the highest respect, Palles CB. In *R v Dolan* [1907] 2 IR 260, having posed the question whether a speech the subject of the motion would have a tendency to prejudice the fair trial of an indictment, the learned chief baron said (*ibid* at 284):

> "As to the law applicable to the case, there is no doubt. Actual intention to prejudice is immaterial. I wholly deny that the law of this Court has been that absence of an actual intention to prejudice is to excuse the party from being adjudged guilty of contempt of court, if the court arrives at the conclusion which I have arrived at, that there is a real danger that it will affect the trial; or that absence of intention is to excuse the party of punishment. Such a circumstance as that ought, no doubt, to be taken into consideration in considering the nature of the punishment to be awarded, as, for instance, whether it should be imprisonment".

It is then said that in writing the two articles, as he admittedly did, the First Respondent was exercising his undoubted constitutional right of freedom of speech as enshrined in section 79 of the Constitution. In my judgment, the law on this subject is and must be founded entirely on public policy. It is not there to protect the private rights of parties to a litigation or prosecution. It is there to prevent interference with the administration of justice and it should in my judgment be limited to what is reasonably necessary for that purpose. Public policy generally requires a balancing of interests which may conflict. Freedom of speech should not be limited to any greater extent than is necessary but it cannot be allowed where there would be real prejudice to the administration of justice.

In *Ambard v Attorney-General for Trinidad and Tobago* (*supra*) at 335, Lord Atkin said:

> "But whether the authority and position of an individual judge, or the due administration of justice, is concerned, no wrong is committed by any member of the public who exercises the ordinary right of criticising, in good faith, in private or public, the public act done in the seat of justice. The path of criticism is a public way: the wrong headed are permitted to err therein: provided that members of the public abstain from imputing improper motives to those taking part in the administration of justice, and are genuinely exercising a right of criticism and not acting in malice or attempting to impair the administration of justice, they are immune. Justice is not a cloistered virtue: she must be allowed to suffer the scrutiny and respectful, even though outspoken, comments of ordinary men".

I think that these words have an application beyond the particular type of contempt in that case. In my judgment, it is the purpose of the law of contempt to protect the public in the proper administration of justice and in those circumstances that interest outweighed the public interest in the discussion of the issues raised by the Respondents in the articles which are the subject of these proceedings.

Finally, the First Respondent complained that he did not have a fair trial as his application to give oral evidence from the witnesses box was refused. The court did not in any way block him but the refusal was the result of his own act. When the motion, statutory statement and affidavit were served upon him he understood them, consulted legal experts and received opinions as a result of which he filed grounds of opposition, an affidavit and notice of preliminary objections. He then applied for witness summonses and he was informed in writing by the deputy registrar of this Court that he had been directed that he should have his witnesses swear affidavits in support of his opposition to the application. The mode of giving evidence, a matter of discretion for the court, was clearly specified and communicated to him. Yet he withdrew all the papers he had filed and persisted in seeking to give evidence not by affidavit as directed but by oral testimony. This course or mode of evidence was clearly not available to him. In my judgment, this complaint has neither any basis nor any merit. I may perhaps add that restraint of contempt of court is a restriction on freedom of speech. The remedy of contempt of court after it has been committed is punitive; it may involve imprisonment yet it is summary; it is generally obtained on affidavit evidence and it is not accompanied by those special safeguards in favour of the accused that are a feature of the trial of an ordinary criminal offence. The courts have therefore been vigilant to see that the procedure for committal is not lightly invoked. But the court's discretion in dealing with a motion for committal is wide such that it entitles the court to dismiss the motion with costs despite the fact that a contempt has been committed if it thinks that the contempt was too venial to justify its being brought to the attention of the court at all.

Lest it is thought that I have overlooked it I now turn to mention that there is also a second ground relied upon by the Attorney-General for the relief which he claims, namely, that the Respondents contravened the subjudice rule. In view of my other findings and, particularly on the first ground, it is not necessary to answer this issue for the determination of the application before us. "The golden rule" for judges in such circumstances is that "silence is always an option".

As for Mr Mungai, the advocate, who was served with the motion in his capacity as a director of The Post Limited, I have carefully considered his affidavit and I am satisfied that he was not a director of the company at the time of the publication of these two articles. No case was put before me which directly decided that a director who was otherwise passive in the sense that he neither procured, nor aided, nor abetted, nor sought to interfere with the administration of justice was liable for contempt. I am satisfied that there is nothing in the material available before me to show that Mr Mungai was aware of the making of the offending publications that can make him liable for contempt. Accordingly, I have reached the conclusion without any reluctance that, in the circumstances of this case, Mr Mungai does not become liable in contempt by virtue of his office if he held one. He could not be liable in the absence of *mens rea* or an *actus reus*.

For all the reasons above stated, I find the First Respondent Tony Gachoka and the Second Respondent The Post Limited guilty of contempt of court but acquit Mr Mungai.

As for sentence, having regard to all the circumstances of this case, I would sentence the First Respondent to a term of imprisonment of six months and impose a fine of KShs 1 million on the Second Respondent and until that fine is

paid in full there shall be not publication of *The Post on Sunday* or any other publication by it. I would make no order as to costs of these proceedings.

Owuor JA: This criminal application has been brought to this Court by the Attorney-General (hereinafter to be referred to as the Applicant) against one Tony Gachoka and The Post Limited (hereinafter to be referred to as the First and Second Respondents respectively).

The application was filed by way of a Notice of Motion under the provisions of section 5 of the Judicature Act (Chapter 8) of the Laws of Kenya, pursuant to the leave of this Court granted on 16 February 1999. The motion was filed on 29 April 1999 and sought orders that:

> "An order of committal for contempt of court be issued against Tony Gachoka and that further orders as may be appropriate in the circumstances against the Post Limited for their contempt of this honourable court in publishing:
>
> "The Post on Sunday dated 31 January to 6 February 1999 an article under the heading Chesoni Implicated in an Orgy of Judicial Anarchy and of KShs 30 million bribe".
>
> "The Post on Sunday dated 7 to 13 February 1999 an article under the heading Judiciary in panic as Chesoni falls out of favour and sues…".

Upon institution of the application, it was served on the First Respondent after a certain amount of delay, the First Respondent having been reported to be out of the country. He accepted the service as the publisher and Chief Executive of *The Post on Sunday* magazine and Chairman of the Post Limited proprietors of *The Post on Sunday*. He has accordingly been heard in these proceedings in that capacity mid also as the alleged publisher of the offending articles.

The case of the service upon the Second Respondent is not as clear cut. One Njoroge Nani Mungai, an advocate of the High Court of Kenya, was served with the application after a search of the Second Respondent's file at the registrar of companies office. Mungai was shown as one of the directors. In his own words he accepted the service but explained that he was no longer a director of the Post. He had resigned. A notification of change of directors filed during the pendancy of these proceedings indicates that he resigned as secretary and director of The Post as far back as 13 May 1998 and one Emily Gitau appointed as a director. Neither Emily Gitau, nor Tony Gachoka have objected to the proceedings going on, on account of "The Post Limited" not having been served.

In the particular circumstances of this case I am satisfied that the Second Respondent was sufficiently served and thereafter represented at the hearing of the application against it by at least one of its directors and Chief Executive. If there was indeed any other official of the company who felt that they should have been heard, they did not avail themselves after Mr Mungai had redirected the application, as indicated in his affidavit. It also suffices to note that the Chief Executive's address and that of the company are at one and the same place.

The statement filed with the motion contains the grounds upon which the Applicant seeks to have the Respondents held in contempt of, and if found to be in contempt, punished by this Court in exercise of its Jurisdiction under section 5 of the Judicature Act. According to the Applicant the publication of the two articles (Exhibits 101 and 102) in the Second Respondent not only contravened the subjudice rule, but they were also a scurrilous and unjustified attack upon the court, calculated to bring into disrepute and contempt the administration of justice in Kenya.

In support of his application, the Applicant filed affidavits from a senior assistant Commissioner of Police and Provincial Criminal Investigating officer in charge of Nairobi area, a Mr Isaac Okoth. Two other affidavits were sworn by Peter Mukanzi, an executive officer in charge of registration of documents in the companies' registry in Nairobi and by Tom Luvuga the deputy registrar of this Court.

Annexed to Mr Okoth's affidavit is *The Post on Sunday* publication for the period 31 January to 7 February 1999. The alleged offending words as alluded to in paragraph (3) of his affidavit are contained in four full typed pages, consisting of extracts from the articles from The Post alleged. The offending article starts off by a letter from the publisher with his picture and is signed "Tony Gachoka Publisher and Chief Executive" while the whole edition is titled on the cover "Chesoni Implicated in an Orgy of Judicial Anarchy and a 30 million bribe".

I do not find it necessary to reproduce the whole article, which I have very carefully read and considered. I will however refer to some salient parts of it. The letter which serves as a preamble to the article states:

> "Unfortunately for the country, Chesoni has directed his considerable skills to subverting the judicial process rather than growing and enhancing it, particularly in the infamous Goldenberg affair".

That sets the tenor of the article "Chesoni Implicated in an orgy of Judicial Anarchy and a KShs 30 million bribe".

These extracts are found in pages 9, 10, 11, 12 and 13. What I understand the publication to mean is that the Honourable the Chief Justice and various Judges of both the superior court and this Court are involved in the exercise of protecting one litigant as opposed to the other in the cases involving the Duty Free Shops and Goldenberg affair. The Judges are doing so because they have been paid and have no moral authority in their duty to administer justice. Hence the illegal rulings that are being made by the court.

Okoth's affidavit also deals with second article contained in the next issue of the magazine published exactly one week after the first article. This one was entitled "Judiciary in panic as Chesoni falls out of favour … sues Tony Gachoka".

It would appear that by the 5 February 1999 First Respondent had received a letter from Archer and Wilcock Advocates acting on behalf of the Honourable The Chief Justice. The First Respondent then wrote to the Chief Justice in a communication entitled "Letter from the Publisher".

He categorically stated that he stood by all he had said in the previous publication and went on to reaffirm the six particular incidences that he stood by. In reference to the determination of the impending case between him and the Honourable The Chief Justice, he had this to say:

> "If in the case of Kamlesh Pattni you hand pick Magistrates and Judges to decide cases in his favour are you not going to also hand pick a judge to decide this impending case in your favour"?

In the body of the article the publisher states what, according to his information, there is collusion between the Chief Justice and some Court of Appeal Judges who want him arrested and charged in respect of his last publication.

> "Taken in the context of what is now clearly a cosmetic report by Court of Appeal Judge, Richard Kwach where the Judiciary called for its own policing following widespread evidence of corruption, racketeering involving magistrates, advocates and judicial staff, the 'expose' was just a tip of the iceberg. According to reports reaching the Post on Sunday, the reaction of the Chief Justice to the exposure last week was one of drawing some Court of Appeal Judges into a consensus of sorts that amounted

> to demands to the government for the arrest of the publisher of the Post on Sunday, Tony Gachoka. Chesoni continues to subvert the course of Justice, and
>
> "The Kenyan Judiciary has been on a downward trend from colonial era to the Kenyatta regime and worse in the Moi era".
>
> "Its dignity has been eroded by magistrates and Judges who do not believe in democratic principles, human rights, fairness and the rule of law".

The Applicant's contention is that the tenor of the cover story in the two issues of the magazine and the alleged offending articles in both issues contravene the principle that no publication is made of matters that are still undetermined before the court. Secondly that the publications were a scurrilous and unjustified attack on the judiciary calculated to bring into disrespect and contempt the administration of Justice in Kenya.

On the issue of what was pending before the court, Mr Luvuga's affidavit is relevant, and according to him, in the matter of an intended appeal between Kamlesh Mansukhlal Damji Pattni and Nasir Ibrahim Ali and others civil application number Nai 321 of 1998 was filed under a certificate of urgency on 16 December 1998. On 17 December 1998 it was placed before Gicheru JA who saw no urgency in the matter and declined to certify it urgent. On 23 December 1998 the application was fixed for hearing at the registry for 14 January 1999. However, on 30 December 1998 Mr Rebello acting for the Applicant, requested that the application be placed before a single Judge for hearing *inter partes* on the issue of urgency. This was done and Gicheru JA directed that the same be heard by Tunoi JA.

In the meantime, civil application number Nai 5 of 1999 was filed at the registry on 8 January 1999. It was certified urgent and fixed to be heard in the normal way on 14 January 1999. This was on the 8 January 1999.

On 12 January 1999 Mr Rebello once again wrote to the court and indicated that he would be applying to consolidate the two applications as ordered by the court. Both the applications filed under certificate of urgency were heard on 15 January 1999. The court allowed the application but specifically reserved the delivery of its reasons for the ruling to the 19 February 1999 at 10:00am. By the time Mr Luvuga swore his affidavit, the reasons for the ruling were still to be delivered.

That so far was the evidence adduced by the Applicant to support its case within the perimeter he had set in his complaint that the two publications by the First and Second Respondents were in contempt of this Court, on the ground that they were a scurrilous attack on the court, offended the subjudice rule and were intended to bring into disrepute the administration of justice.

Neither Tony Gachoka the First Respondent, the Post Limited, the Second Respondent nor its other director and secretary Mr Mungai were represented. The First Respondent explicitly informed us that he had indeed sought legal advice before and during the publications. What then was the First Respondent's defence? As I understood it, there was no dispute as to the publication of the alleged offending articles. First Respondent emphatically and categorically stated that he published the articles as an "Investigating Journalist". It had taken him four months to do the investigations and gather the information that he had published. He had the sources for his information and was prepared to bring them to court.

Secondly that he was interested in the Goldenberg case which according to him was the reason why the Duty Free cases have been decided the way they

have been decided. In his quest to inform the public he had published the articles in order to encourage public debate.

Thirdly that it was his constitutional right to express himself in terms of section 79 of the Constitution of Kenya and thereby publish that which he had been told since it involved a matter of great public interest, *and* finally that he had been stopped by this Court from properly defending himself by not being allowed to give his evidence in the "witness box" and by not being allowed to call his witnesses.

We were referred to various local and international authorities and I am satisfied that "scandalizing the court" is a head of contempt that exists in our jurisdiction and punishable as a criminal offence although no specific provisions have been made in our laws.

To my mind, the law in relation to scandalising of the court cannot be put any more clearer than as stated in *Halsburys' Laws of England* (4ed) Volume 9 at 21:

> "Scandalizing the court. Any act done or writing published which is calculated to bring a court or a judge into contempt, or to lower his authority, or to interfere with the due course of justice or the lawful process of the court, is a contempt of court.
>
> Thus scurrilous abuse of a judge or a court, or attacks on the personal character of a judge, are punishable contempts. The punishment is inflicted, not for the purpose of protecting either the court as a whole or the individual judges of the court from a repetition of the attack, but of protecting the public, especially those who either voluntarily or by compulsion are subject to the jurisdiction of the court, from the mischief they will incur if the authority of the tribunal is undermined or impaired. In consequence, the court has regarded with particular seriousness allegations of partiality or bias on the part of a judge or a court.
>
> On the other hand, criticism of a judge's conduct or of the conduct of a court, even if strongly worded, is not a contempt provided that the criticism is fair, temperate and made in good faith and is not directed to the personal character of a judge or to the impartiality of a judge or court".

The relief that the Applicant seeks in this application is committal of the offender(s) to prison. It therefore befalls him to prove his case to the standard required in criminal matters. This is notwithstanding the fact that committal proceedings in respect of contempt do not fall exclusively in the realm of criminal justice.

First to deal with the issue of whether or not the Respondents offended the subjudice rule? Did they publish the alleged articles while there was a matter or proceedings pending before this Court? The publication of 31 January to 6 February 1999 was under the heading "Chesoni Implicated in an Orgy of Judicial anarchy".

The article then specifically referred to two matters that were pending before the court, that is appeal number 321 of 1998 and appeal number 5 of 1999. The correct position as deponed to by Mr Luvuga is that the two matters were actually applications arising out of litigation going on in the Duty Free case. The whole passage criticizes the manner in which the two applications were dealt with. The inaccuracies left aside, the publisher then conclusively states that the ruling made in the application by the three judges of this Court was as a result of the Chief Justice influencing the Judges upon his return from New York. There was "clear evidence of collusion and interest in the case" and that:

> "The highest court on the land was the Court of Appeal it could go outside the law and the procedure of the Court of Appeal in hearing an application to stay an order

> that had already been effected instead of directing Pattni and his lawyers to file a substantive appeal against Keiwua to return World Duty Free to Ali".

These comments on the ruling were being made when the reasons for the ruling delivered by this Court were still to be delivered. The First Respondent did not argue that he was not aware of the order of the court that the reasons for the ruling it had made in the matter, filed under a certificate of urgency were to be delivered on 19 February 1999.

His argument was that as a lay man once the ruling had been made he was at liberty to criticize it as he did. He went to great length to draw a parallel between this situation and the situation where an order is made to demolish a building. Once a demolition is complete then there can be no use for any further action. What is left is a mere "administrative exercise".

To my mind that cannot be the position. Contempt of court under the subjudice rule is committed when comments are made on pending legal proceedings which purport to prejudge the issues which are to be tried by the court. See *Attorney-General v Times Newspaper Limited* [1973] 3 All ER 54 at 64-65.

The court had still to give its reason as to why it had taken the course it took and reached the finding it did. A judgment cannot be conclusive in deciding on the dispute before it, unless reasons are given for the finding. Going back to general principle that contempt of court is not punishable or meant to protect the Judge, it becomes clear why the courts strenuously object to publications prejudge the issues that are meant to be decided by them. In the matter before us, it cannot be said that what was published in the offending articles was fair correct or criticism of the court's judgment. One cannot comment on what one has not seen, read or considered. I am satisfied that the publication did offend the subjudice rule.

As to the second limb, the Applicant set out to prove that the two publications amounted to a scurrilous attack on the court and was calculated to bring the Court of Appeal and the various Judges into contempt.

The question to be answered is: how was this Court portrayed in the two publications? As far as Mr *Chunga* was concerned, the articles were a scurrilous attack both on the court and the various Judges that dealt with the matter of Duty Free or the "Goldenberg case", and the attacks were calculated to bring both the Judges and the court into contempt. That is a head of contempt that is punishable by the courts.

The courts have from time immemorial adjudicated over these kind of cases and have one clear direction as to how they should proceed and consider the matters before them. The reason is simple and as stated by Lord Russell at the turn of the century in the case of *Queen v Gray* [1900] 2 QB at 36 and 40, and applied in many other cases in our jurisdiction. See *Makali and others v Republic* criminal application number Nai 4 and 5 of 1994 (UR):

> "It is a jurisdiction, however, to be exercised with scrupulous care, to be exercised only when the case is clear and beyond reasonable doubt".

Also as stated by Lord Denning MR in *Reginam v Commissioner of Police of the Metropolitan* ex-parte *Blackburn (2)* [1968] 2 QB 150:

> "It is a jurisdiction which undoubtedly belongs to us but which we will most sparingly exercise more particular as we ourselves have an interest in the matter".

To my mind the caution is not without merit for two reasons: First that the offender if found at fault has more often than not faced imprisonment and secondly because, the matter is one that the court is directly involved in. For this reason, it must at all times appear that the main principle involved is the protection of the public interest that is paramount and not the protection of the Judge or court from "fair, temperate criticism" made in good faith however strongly worded it might be.

On my part I have carefully gone through the offending articles, weighed the contents of the article against the First Respondent's claim that he was only publishing information gathered in his investigation on a matter that is of great public interest. The *innuendo* from the words used, the interpretation that an ordinarily reasonable person would attach to the language used in the publication is that the articles amount to scurrilous attacks on this Court. The attacks cannot be a fair criticism of this Court on any matter. I find the language insulting, abusive and derogatory. It is clear that the publisher's motive was to scandalize this Court, as one whose Judges were ready to be dictated to and influenced by the Chief Justice. They were a court and Judges who as he stated:

> "Its dignity has been eroded ... who do not believe in democratic principles, human rights, fairness and the rule of law".

There is no doubt in my mind that those words in their natural meaning were made to scandalize the court and thereby bring it into contempt.

I will very briefly consider the First Respondent's defence that he was denied justice because he was prevented from giving his "evidence in the witness box" or by not calling his witnesses.

The procedure for instituting contempt proceedings is now well settled and has been meticulously followed in other cases in our courts like in the *Makali* case. Although quasi criminal proceedings, in accordance with Order 52 of the Rules of the Supreme Court in England, the proceedings are by way of an application brought after the requisite leave has been obtained. A Notice of Motion is then filed, grounded on affidavits to prove whatever charge that is laid in the statement. Being an application if the Respondent wishes to reply to the allegations he does it in the normal manner of filing replying affidavits. If the Respondent wishes to call any witnesses he does so by filing the affidavits of his witness subject, of course, to the usual procedure of any of the witnesses being called by the opposing side for cross-examination upon satisfying the court that such a cause is necessary.

In the present case pursuant to the application being served upon the Respondents, the First Respondent elected the course he wanted to take and filed a replying affidavit. The matter came to court and Mrs *Onyango* on behalf of the Applicant sought an adjournment to enable her to study and file a further affidavit if necessary. Leave was granted to both Mrs *Onyango* and the Respondents to file further affidavit in reply if necessary.

In the meantime the Applicant took a different course and indicated to the Respondent that he would be arguing a preliminary point that parts of the replying affidavit be struck out. This point was never to be taken because the First Respondent considered the matter and decided that he would offer no evidence by way of affidavit. The Applicant was then heard in his application. The First Respondent then demanded that the court do summon the

Attorney-General for cross-examination upon whom he blamed the second publication. This Court ruled against this and gave reasons. The First Respondent's contention now is that he was denied in contravention of Order 52, rule 6(4) to give his evidence on oath in his defence. The First Respondent had elected from the beginning how he wanted to conduct his defence. His request that the court should summon his witnesses was clearly answered. He did not file any affidavits from these witnesses. He had all the opportunity to do so. He cannot be heard to say that once having elected to withdraw his affidavit he could come back on a second thought and ask to be heard.

Moreover, the evidence that the First Respondent wanted to adduce from the intended witness that he wanted to call was indicated to the court. To my mind the evidence related to matters that are irrelevant to the issues in this application. I did not hear him say that he wanted to call anybody to prove that he did not publish the offensive and abusive articles and that they were not meant to bring this Court into disrepute nor that the publications were not meant to interfere with the administration of justice.

What was clear in these proceedings was that with or without the First Respondent going into the "witness box", he had his day in court, he was not at all at loss as to what allegations he was supposed to answer to. In his own words he had during the collection of his information obtained counsel from his lawyers and indeed during the hearing he had been accorded sufficient time "to pour out his heart" to the court. He cannot therefore say that he was in any way prejudiced.

For the reasons I have given above, I am satisfied that the First and Second Respondents are guilty of the contempt alleged against them, and I convict the two of them of the same.

I will very briefly deal with the case of Njoroge Nani Mungai. I have considered his affidavit in that he was a director and secretary of the Second Respondent at the formation of the company. His defence right from the time he was served with the application was that he no longer held and did not hold any position with the Second Respondent at the time the two publications were made.

I accept his explanation that he was not a director and that he took no part in the publication of the scandalizing material. On that basis, I would acquit him of the charge.

As for sentence, considering the circumstances of this case I would sentence the First Respondent (Gachoka) to a term of six months imprisonment and the Second Respondent (The Post Limited) to a fine of KShs 1 000 000 (one million shillings) and further order that until that fine is paid in full there shall be no publication of *The Post on Sunday* or any other publication by it. As for costs I make no orders.

For the Applicant:
Chunga, Director of Public Prosecution, *Onyango, Kimani & Okumu* instructed by the Attorney-General

For the Respondent:
In person

Re Resolute Tanzania Ltd
[1999] 1 EA 297 (HCT)

Division: High Court of Tanzania at Dar-Es-Salaam

Date of ruling: 28 March 2000

Case Number: 2/00

Before: Kalegeya J

Sourced by: CRB Rwechungura

Summarised by: A Mwanzia

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[1] Company – Charge – Certificate of registration – Whether conclusive evidence of compliance with registration requirements – Whether court may declare certificate ineffective – Section 82(2) – Companies Ordinance (Chapter 212).

[2] Company – Charge – Whether payment of fine for late filing of charge sufficient to validate charge hitherto rendered void due to non-registration – Sections 79(1), 80 and 85 – Companies Ordinance (Chapter 212).

[3] Statute – Interpretation – Whether payment of fine for late filing of charge sufficient to validate charge hitherto rendered void due to non-registration – Sections 79(1), 80 and 85 – Companies Ordinance (Chapter 212).

Editor's Summary

The Applicant had contracted to create charges in favour of Barclays Bank PLC to secure loan facilities extended by the latter to it. The charges created were supposed to be registered with the Registrar of Companies within 42 days of their creation. However, they were registered after over 80 days had passed but on payment by the Applicant of a fine prescribed under section 80(3) of the Companies Ordinance. The Registrar then duly issued the relevant certificate of registration.

However, notwithstanding having secured the said certificate, the Applicant not being sure of the legality of the course taken, brought an application before the High Court seeking judicial interpretation of sections 79(1), 80 and 85 of the Companies Ordinance as they relate to the issue whether payment of fine for late filing of a charge under section 80(3) was sufficient to validate a charge rendered void due to non-registration. In the event of the court answering the question in the negative, the Applicant sought in the alternative, an order extending time to register the charge.

Held – Once a company defaults in registering a charge on its property within the 42 days' period prescribed under section 79(1) of the Companies Ordinance, the said charge can only subsequently be registered under an order of the court extending the period within which to register the same following an application by either the company or any other interested person in terms of section 85 of the Ordinance. The Registrar of Companies can only impose a penalty on the defaulting company or any of its officers in terms of section 80(3) once the court had granted extension of time and the charge having been registered as a result. The amount to be imposed as a penalty was within the discretion of the Registrar of Companies provided it did not exceed TShs 1 000 per default day.

The certificate of registration issued by the Registrar to the Applicant was conclusive evidence that the requirements of the Ordinance as to registration had been complied with. Such conclusiveness precluded the court from declaring it

ineffective. The registration of the Applicant's charge was therefore proper regard being had to the conclusiveness of the Registrar's certificate in terms of section 82(2) of the Companies Ordinance. *Calico Textile Industries Ltd and another v TDFL Ltd* civil appeal number 25 of 1993 (UR) distinguished.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Calico Textile Industries Ltd and another v TDFL Ltd civil appeal number 25 of 1993 (UR) – **D**

Ruling

Kalegeya J: Resolute Tanzania Limited, Applicant, represented by Mr *Rwechungura*, advocate, is before this Court seeking for:

(*a*) judicial interpretation of sections 79(1), 80 and 85 of the Companies Ordinance (Chapter 212), as they relate to an issue whether payment of fine for late filing of a charge under section 80(3) is sufficient to validate a charge rendered void due to non-registration and in the alternative, if the answer to (*a*) is in the negative;

(*b*) an order extending time to register a charge on Applicant's assets.

Mr *Mkapa* appeared on behalf of the Registrar of Companies.

Facts undisputed in this matter are as follows. Acting under "a loan package" extended by Barclays Bank PLC, the Applicant contracted to create the following charges, to secure the loan, in favour of the lender (Barclays Bank PLC):

"(i) Share mortgage on all the shares held by the Applicant in Samax (Mabangu) Mining Limited (the first borrower).

(ii) Share mortgage on all the shares held by the Applicant in Samax Mabangu (Exploration) Limited (the second borrower).

(iii) Deed of variation dated 5 November 1999 amending the fixed and floating charge dated 10 July 1998 between the Applicant and the lenders".

The said charges were created on 5 November 1999. Statutorily, these were supposed to be registered with the Registrar of Companies by 16 December 1999, that is, within 42 days of their creation. However, they were not registered within that period. They were registered after over 80 days had passed; that is, on 31 January 2000. This was after the Applicant had paid the fine prescribed under section 80(3) of Chapter 212. Then the Registrar duly issued the relevant certificate of registration. Shortly after however, notwithstanding having secured the said certificate, the Applicant being not sure of the legality of the course taken, through the services of Mr *Rwechungura*, advocate, filed the present application.

Briefly, Mr *Rwechungura*'s views are that, once the 42 days elapse without being registered, a charge becomes void and can only be validated by a court order extending the said period on application by the company or any interested person in terms of section 85 of the Companies Ordinance. He insists that section 80(3) simply prescribes a penalty for the company or any of its principal officers for default but does not confer powers to the Registrar of Companies to simply impose the find and proceed to register the charge on assumption that it

has been validated in the process. In a honest, truth seeking submission, Mr *Rwechungura* insists that although they paid the find and secured the certificate they believe that they are on the same footing as not having any.

Mr *Rwechungura*, supported by his own affidavit then, impresses that in the event his interpretation of the law is found to be correct the court should be pleased to extend the period within which to act. As to why they were so late, Mr Rwechungura depones that up to the time when the charges were created stamp duty and capital gains tax on the shares secured for the loan had not been paid due to uncertainty in the position of the law regarding payment of duties and taxes by mining companies and that it took a long time by the Applicant and its consultants on the one hand and Tanzania Revenue Authority on the other hand to settle the matter finally.

Mr *Mkapa* for the Registrar of Companies, briefly conceded that the obtaining practice has been that payment of penalty, without any court order extending the time, validated the otherwise void charge under section 79(1) but expressed reservations regarding the legality of that practice.

In line with the Applicant's prayers, issues framed are as follows:

> "1. Whether payment of fine for late filing of a charge under section 80(3) of Chapter 212 is sufficient to validate the charge rendered void under section 79(1) of the same Chapter.
>
> 2. If payment of fine is not enough to validate the charge, whether in the circumstances there are sufficient grounds for extension of time in which to effect the filing".

I will start with issue one – whether payment of penalty validates the void charge of whether it is mandatory that extension of time has to be secured first.

As the matter concerns the interpretation of the provisions of the law the same must be reproduced as I hereby do. Section 79(1) which makes a charge void for non-registration states:

> "79 (1) Subject to the provisions of this part of this Ordinance, every charge created after the fixed date by a company registered in the territory and being a charge to which this section applies shall, so far as any security on the company's property or undertaking conferred thereby be void against the liquidator and any creditor of the company, unless the prescribed particulars of the charge, together with the instrument, if any, by which the charge is created or evidenced, or a copy thereof verified in the prescribed manner are delivered to or received by the registrar for registration in a manner required by this Ordinance within forty two days after date of its creation, but without prejudice to any contract or obligation for repayment of the money thereby secured, and when a charge becomes void under this section the money secured thereby shall immediately become payable".

Section 80 needs to be produced in full for clarity. The section provides:

> "80 (1) It shall be the duty of a company to send to the registrar for registration the particulars of every charge created by the company and of the issues of debentures of a series, requiring registration under the last foregoing section, but registration of any such charge may be effected on the application of any person interested therein.
>
> (2) Where registration is effected on the application of some person other than the company, that person shall be entitled to recover from the company the amount of any fees properly paid by him to the registrar on the registration.

> (3) If any company makes default in sending to the registrar for registration the particulars of any charge created by the company, or of the issues of debentures of a series, requiring registration as aforesaid, then, unless the registration has been effected on the application of some other person, the company and every director, manager, secretary or other person, who is knowingly a party to the default shall be liable to a fine not exceeding one thousand shillings for every day during which the default continues".

Section 85 runs as under:

> "85 The court, on being satisfied that the omission to register a charge within the time required by this Ordinance, or that the omission or mis-statement of any particular with respect to any such charge or in a memorandum of satisfaction, was accidental, or due to inadvertence or to some other sufficient cause, or is not of a nature to prejudice the position of creditors or shareholders of the company, or that on other grounds it is just and equitable to grant relief, may on the application of the company or any person interested, and on such terms and conditions as seem to the court just and expedient, order that the time for registration shall be extended, or, as the case may be, that the omission or mis-statement shall be rectified and may make such order as to the costs of the application as it thinks fit".

I should state from the outset that my research, using the limited literature at my disposal, has not landed me on any authority dealing with a similar issue. However, the wording of sections 79(1), 80, 85 of Chapter 212 read together and guided by the general spirit created under the whole of Part IV (Registration of Charges) under which the said sections fall, leaves the interpretation attached thereto by the Applicant intact and sound.

Section 79(1) clearly makes a charge on a company's property or undertaking void as against the liquidator or any creditor of the company unless registered with the Registrar of Companies within 42 days of its creation. This period starts to run from the time when the instrument creating the charge is executed. However, the same section provides that this voidability is subject to the provisions of the Companies Ordinance falling under that part – Part IV. Under this part, the sections which are relevant to that issue are sections 80 and 85. Section 80(1) places a duty of registering a charge on the company which creates the charge. In adds however that application for registration may also be made by any person interested in the charge. Subsection (2) absorbs the cost element from the person, other than the company, who applies to have the charge registered – costs incurred are recoverable from the company. Then follows the seemingly controversial subsection (3); in very clear terms regarding liability for default in registration of a charge, the subsection prescribes a penalty to the company and its principal officers (that is director, manager, secretary), who were knowingly parties to the default, fixed so as not to exceed TShs 1 000 for every day during which the default continues. If however the registration has been effected on the application of another person the penalty is not payable.

We have been told that, hitherto, the Registrar of Company's interpretation of section 80(3) is that any company in default of registering a charge could at any subsequent time, outside the 42 days' period, simply pay the fine not exceeding TShs 1 000 per defaulting day, get the charge registered and secure a certificate. This is exactly what happened with the Applicant's case. According to the Registrar, a defaulting company and any interested person have two avenues at their disposal – either to apply to the Registrar, who would automatically register the charge though late in presentation, with a qualification that

if it is the company, it must pay a fine, or make an application before the court for extension of time, in which case, if the applicant is the company, the penalty is waived.

As I have already observed, the interpretation is deplorably wrong. Section 80 simply prescribes whose duty it is to register a charge; prescribes who else can apply for registration in case the one bestowed with the duty defaults; prescribes that the liability for costs incurred in registration would still lie with the one upon whom the duty rests; and then prescribes a penalty for the one who defaults in his duty exonerating in the process any other person who applies to salvage the situation. Nowhere does this section even suggest that the application for late registration would be made to the Registrar. In fact, the wording in section 80(3) makes it clear that the penalty shall be paid after the registration has been effected. In other words, payment of penalty is not a prerequisite to late registration of a charge. This presupposes completion of another procedure. The subsection states:

> "80 (3) If any company makes default in sending to the registrar for registration the particulars of any charge … requiring registration … then unless the registration *has been effected on the application of some other person* the company … shall be liable to a fine …". (emphasis mine)

Clearly the above underlined wording shows that section 80(3) is just a penalty provision. It presupposes that an application will have been lodged, heard and extension of time granted followed by registration. If the application for extension of time was made by a person other than the company the penalty provision is not applicable, but it is, if it was made by the company. The court is empowered under section 85 to extend time on such "terms and conditions" as may seem "just and expedient". In my view, this however, does not include the penalty prescribed under section 80(3), because, as I have already explained, the penalty comes in after leave to file a charge outside the 42 days' period has been granted and charge registered. What it means is that, imposition of the penalty is left to the Registrar of Companies. The court's duty is limited to granting or refusing to grant extension of time. If the court refuses to grant extension of time the question of penalty does not arise. The Registrar of Companies has to register the charge once the court extends time. He cannot question the order. Once he registers the same, then, observations of the court in apportioning the blame for the late registration, and only if the Applicant is the company whose property was put on charge, the Registrar decides on the amount payable as a penalty by the said company. The subsection simply prescribes the maximum – "not exceeding 1 000 per day defaulted". The Registrar may decide to impose anything less than that.

Again, if the existing interpretation was correct, there would be no reason of including any person interested under section 85. Why? As no penalty is imposable where the charge is registered by any other person is there any reason why such person would decide to use this seemingly circuitous or costly procedure of applying to the court instead of going straight to the registrar?

The above apart, the necessity of making a formal application before the court becomes necessary and logical regard being had to the fact that other persons' interests accruing after the creation of the charge may otherwise be put in jeopardy.

All in all therefore, I hold that a proper interpretation of the provisions as sought by the Applicant is that once a company defaults in registering a charge

on its property within the 42 days' period prescribed under section 79(1) of Chapter 212, the said charge can only subsequently be registered under an order of the court extending the period within which to register the same following an application by either the company or any other interested person in terms of section 85 of Chapter 212. The Registrar of Companies can only impose a penalty on the defaulting company or any of its officers in terms of section 80(3) once the court has granted extension of time and the charge having been registered as a result. The amount to be imposed as a penalty is within the discretion of the Registrar of Companies provided it does not exceed TShs 1 000 per defaulted day.

Where does the above conclusion lead us to?

We have already found as a fact that the registrar, believing that he was treading along the right legal track, simply imposed a fine on Applicant, which was duly paid, registered the charge outside the 42 days' period and issued a certificate of registration. Under section 82(2) of Chapter 212, such last mentioned certificate is conclusive evidence that the provisions of the Ordinance have been complied with. It provides:

> "82 (2) The registrar shall give a certificate under his hand of the registration of any charge registered in pursuance of this part of this Ordinance, stating the amount thereby secured, and the *certificate shall be conclusive evidence* that the requirements of this part of this Ordinance as to registration have been complied with …" (emphasis mine)

Can this Court assail the same at this stage and declare it ineffective? I have carefully considered the matter and have reached a conclusion that the conclusiveness as prescribed under section 82(2) precludes this Court from so acting. Judicial interpretation in Britain, in respect of the provision of the Companies Ordinance which is in *pari materia* with our section 82(2) prohibits such move. *Pennington's Company Law* (5ed) at 539, summarising the ruling position gives a synopsis of various decisions as follows:

> "Because of the conclusiveness of the certificate, the mortgage or charge is effective against all parties according to its terms, even if the particulars submitted to the registrar are inaccurate as to the amount secured or the property subject to the mortgage or charge, or the date on which it was created, or apparently, any other matter. This is so whether the particulars for registration are submitted by the company or by the mortgagee or chargee. Moreover, the court cannot quash or annul the certificate issued by the registrar on an application for judicial review of his decision to issue it, because the conclusive effect of the certificate has to be respected even if the registrar made a mistake of law or an unreasonable decision of part in registering the mortgage or charge (for example the registrar issued a certificate of registration after permitting the applicant to amend or substitute a new application more than twenty one days after the mortgage or charge was created".

When urging this Court to accede to the proposition that the certificate issued is as good as nothing because the procedure was not followed, Mr *Rwechungura* cited the decision of *Calico Textile Industries Ltd and another v TDFL Ltd* civil appeal number 25 of 1993 (UR), where it was decided that a court can order rectification of a certificate issued by the Registrar of Companies under that provision if fraud in its acquisition is proved. This authority is not relevant, and I am sure Mr *Rwechungura* failed to land on one which is relevant not because of lack of ingenuity or capacity in search of legal materials, for he is a counsel with quite the opposite of such wanting characteristics, but because our Companies Ordinance has not substantially been tested at the doors of our courts.

The *Calico* case is irrelevant as there is no fraud in the matter before us. It is purely a misinterpretation of the provisions of the law, and the Registrar, has all along, genuinely been acting in a lot may cases, the way he acted in this matter. There is no injustice or related which is committed to any person directly or indirectly connected to the charges. In my view, although I have a lot of reservations regarding the entire field covered by the British judicial interpretation (quoted above) on the conclusiveness of Registrar's certificates (I can only hope and await a fitting opportunity when they would be subjected to judicial test relating to circumstances prevailing in our Tanzania environment), I am of the considered view that the present situation is one of the justified instances where the conclusiveness of such certificate is unquestionable. I hold, therefore, that the registration of the Applicant's charge is proper regard being had to the conclusiveness of the Registrar's certificate in terms of section 82(2) Chapter 212. I hurriedly add however that it is this Court's expectations that, from now onwards, the Registrar will employ a proper interpretation of the law as provided in this ruling. With this finding the alternative prayer dies naturally.

Finally, I should commend, both Mr *Mkapa* and Mr *Rwechungura*'s ingenuity in their pursuit of justice by their endeavour to seeing to it that the law is complied with. I say so because, to start with Mr *Rwechungura*, having secured a certificate of registration as he did, not many would have taken up the burden of putting into motion legal machinery whose end results are unknown to the promoter. On the other hand, Mr *Mkapa* exhibited what the many lot don't have. Most employees in managerial positions especially civil servants, are abhorred of being corrected on what they are used to and what they believe to be correct. He did not hesitate to express his negative feelings abut the obtaining procedure. We should all emulate this attitude for the growth and development of our laws.

For the Applicant:
CRB Rwechungura instructed by *Maajar, Rwechungura, Kameja & Nguluma Adv*

For the Respondent:
Mkapa instructed by the Attorney-General

Rukarekoha v Uganda
[1999] 1 EA 303 (SCU)

Division:	Supreme Court of Uganda at Mento
Date of Judgment:	30 June 1999
Case Number:	12/98
Before:	Wambuzi CJ, Tsekooko, Karokora, Mulenga and Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Criminal Law – Murder – Diminished responsibility – Abnormality of mind – Plea of diminished responsibility – Legal consequences of plea – Mental responsibility of Appellant for his actions – Whether diminished responsibility defence to charge of murder – Whether the trial court misdirected itself on issue of diminished responsibility – Whether Appellant suffered from abnormality of mind –

Section 188A – Penal Code (Chapter 106).

[2] Evidence – Presumption of sanity – Setting up defence by accused – Burden of proof – Onus of displacing presumption – Whether defence bore the burden of proving diminished responsibility – Whether diminished responsibility a fact provable by evidence – Sections 101 and 102 – Evidence Act (Chapter 43) – Section 11 – Penal Code (Chapter 106).

Editor's Summary

Some time in April 1995, the Appellant's wife fell sick. After taking her for medical treatment without success, he tried a native doctor who told him that his wife would be killed by the spirit of his (the Appellant's) father. He then allegedly told his mother about this prediction but she showed no concern. On the evening of 24 November 1995, he went to his mother's house at about 6:00pm and asked her to use some local brew that he had taken there earlier to appease the spirits that the witchdoctor had told him were going to kill his wife. She refused and removed the brew from her house saying that, as a Christian, she would not involve herself in such things. At about 9:00pm that night, the Appellant's wife died. An hour or so later, in apparent anger, he went to his mother's house and attacked her in her compound with a *panga*, inflicting wounds on her head and body. He then chased his sister and sister-in-law, who had witnessed the attack, as far as a neighbour's house before stopping the chase and running away. His mother was rushed to hospital but she succumbed to her injuries on 6 December 1995. The Appellant attended neither his wife's nor his mother's funerals and was not seen in the area until 3 January 1996 when he was sighted in a maize garden and arrested. At his trial, the prosecution, through the testimony of his sister and others, showed that the Appellant had apparently been acting normally, albeit with anger, at the material time. In his defence, given in the form of an unsworn statement, the Appellant claimed that he did not know what happened to his mother because at the time his head was not working properly and he only came to his senses after he had been taken to prison. The trial Judge found that all the ingredients needed to establish the offence of murder had been proved and that diminished responsibility, which had been raised by Appellant's counsel, was not a defence but only a factor to consider in sentencing. He then convicted the Appellant of murder and sentenced him to death. The Appellant appealed to the Court of Appeal on the ground that the trial Judge ought to have found him to have been suffering from diminished responsibility at the material time and, by virtue of section 188A of the Penal Code, ought not to have sentenced him to death. The Court of Appeal held that diminished responsibility had not been proved and dismissed the appeal. He now appealed to the Supreme Court on the grounds, *inter alia*, that the Court of Appeal erred in stating that the burden rested on the defence to prove the Appellant's state of mind.

Held – Section 101 of the Evidence Act provided that the burden of proof lay on the party who would lose if no evidence was given by either party. On a charge of murder, if neither party gave evidence on diminished responsibility, the defence would clearly lose on the issue on the basis of the legal presumption that every person was of sound mind. Moreover, it was expressly provided in section 188A that for the finding of guilty but with diminished responsibility to be made, the defence had to prove the fact of abnormality of mind. There was therefore no merit to the Appellant's submission that the Court of Appeal erred in stating that the burden rested on it to prove the Appellant's state of mind.

It was evident that the trial Judge had handled the issue of diminished responsibility erroneously. He had withdrawn the issue from consideration by the assessors on the ground that it was not a defence and reiterated categorically that even if it had been proved, it could not be accorded to the accused as a defence and would only be considered in sentencing. He had, however, made no further mention of the issue in passing sentence. These actions on his part were a serious misdirection. The misdirection did not, however, go to the root of the trial in such a manner as to make it a nullity or to warrant a retrial.

Though the Court of Appeal did not expressly refer to whether the so called "jamming of mind" constituted the "suffering from abnormality of mind" required by the Act, they did have that in mind when they concluded that the defence had not established it. Moreover, a re-evaluation of the evidence showed that there was nothing to suggest that the Appellant was suffering from abnormality of mind arising from any cause or that his mental responsibility for his acts was impaired. His claim that he lost control of himself and his sense, *per se*, could not be proof of abnormality of mind.

Diminished responsibility, whether called a defence or a bar to the death sentence, was an issue of fact leading to legal consequences that had to be tried along with all the other issues of fact arising out of a charge. It had to be proved on evidence and the assessors invited to give their opinions on it. Where it was proved, it led to a special finding of "guilty of murder with diminished responsibility" and, under section 188A of the Penal Code, the accused could not be sentenced to death on conviction but would be detained in safe custody. *Uganda v Kankuratire* [1975] HCB 134 overruled.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Manji v Republic [1966] EA 343 (CA)

Merali and others v Republic [1971] EA 221 (CA)

Uganda v Kankuratire [1975] HCB 134 – **O**

Judgment

Wambuzi CJ, Tsekooko, Karokora, Mulenga and Kikonyogo JJSC: This is a second appeal. It is against the decision of the Court of Appeal upholding the sentence of death imposed on Felex Rukarekoha by the High Court, sitting at Kabale, after convicting him of the murder of his mother, Melenia Kabacenga.

The facts of the case are not in dispute. On 24 November 1995 Rukarekoha's wife who had been sick from about April 1995, died at about 9:00pm. At about 10:00pm Rukarekoha went to his mother's house and attacked her with a *panga* inflicting on her cut wounds on the head and elsewhere on the body. He chased away his younger sister, Felesta Bikorwomuhangi (PW2), and his sister-in-law, Winie Kobusinge (PW3), who had come up and seen him cutting his mother in the compound of her house. When Rukarekoha saw more people in the neighbour's home where the two women were running to,

he stopped the chase and disappeared from the area. Although Melenia Kabacenga was rushed to Kabale Hospital for treatment, she never recovered from the injuries. She died on 6 December 1995. According to the medical evidence, she had sustained multiple cut wounds an the head and arm, fractures of the skull bones, and injury to the brain; and the cause of death was brain damage. Rukarekoha did not attend the burial of his wife nor that of his mother. He was not seen in the area from 24 November 1995 until on 3 January 1996, when he was sighted hiding in a maize garden near his home. John Katabarwa, the LC 1 Chairman, (PW4) organised people who arrested him and took him to the police.

The background to the incident of 24 November 1995 is also not in dispute. According to Rukarekoha himself, in an unsworn statement he made to court at his trial, during the sickness of his wife, he took her for medical treatment without success. He then tried a native doctor who told him that his wife would be killed by the spirit of his (Rukarekoha's) father. He said: "I would come and tell my mother about these things but she did not show any concern". According to Felesta, who apparently lived in the same house with the mother, on 24 November 1995 Rukarekoha came to the house at about 4:00pm in the absence of the mother and left the house, with a 5 litre container of *omuramba* (a local drink). When the mother came home at about 6:00pm, Rukarekoha returned and explained to her that he wanted her to use the *omuramba* to appease the spirits which the witch doctor had told him were going to kill his wife. The mother however, refused. She removed the *omuramba* from the house and placed it in the compound. She said she had never involved herself in such things because she was a Christian. A few hours later, Rukarekoha's wife died and Rukarekoha, in apparent anger, attacked his mother with a *panga*. The only aspect of the case which appears not to be agreed upon is in regard to the mind of Rukarekoha at the time he attacked his mother. The prosecution through evidence of Felesta and others showed that Rukarekoha was acting normally, albeit with anger. On the other hand, in his said unsworn statement to the trial court, Rukarekoha said he did not know what happened to his mother because at that time his head was not working properly. According to him, he came to his senses after he had been taken to prison. It was while in prison that he learnt of the death of both his wife and his mother.

In his judgment the Learned trial Judge found that all ingredients of the offence of murder had been proved. He then considered possible defences. He first ruled that diminished responsibility which had been raised in submissions of counsel for Rukarekoha, was not a defence but a factor to consider in sentencing. He then found and held that in the instant case the defences of insanity and provocation were not available to the accused. Accordingly in agreement with the unanimous opinion of the two assessors, he convicted Rukarekoha Felex of murder and sentenced him to death.

On appeal to the Court of Appeal, the contention was that the trial Judge ought to have been satisfied that the Appellant was suffering from diminished responsibility when he murdered his mother, and therefore by virtue of section 188A of the Penal Code Act, ought not to have sentenced him to death. In dismissing the appeal, the Court of Appeal held that diminished responsibility had not been proved. The appeal to this Court also revolves around the same issue.

Diminished responsibility is provided for in section 188A of the Penal Code Act, which reads as follows:

> "188A (1) where a person is found guilty of the murder or of being a party to the murder of another, and the court is satisfied that he was suffering from such abnormality of mind (whether arising from a condition of arrested or retarded development of mind, or any inherent causes or induced by disease or injury) as substantially impaired his mental responsibility for his acts and omissions in doing or being a party to the murder, the court shall make a special finding to the effect that the accused was guilty of murder but with diminished responsibility.
>
> (2) On a charge of murder, it shall be for the defence to prove that the person charged was suffering from such abnormality of mind as is mentioned in subsection (1).
>
> (3) Where a special finding is made under the provisions of subsection (1) the court shall not sentence the person convicted to death but shall order him to be detained in safe custody and the provisions of section 104 of the Trial on Indictments Decree, 1971, shall apply as if such order has been made under that section.
>
> (4) The fact that one party to a murder is by virtue of this section not liable to be sentenced to death shall not affect the question whether any other party to it shall be sentenced to death".

The appeal to this Court is on two grounds framed as follows:

> "1. The Learned Justices of Appeal erred in law and fact in not finding that the Appellant had stated that the 'jamming of the mind' had caused him the effect required in the provisions of section 188A of the Penal Code Act.
>
> 2. Justices of Appeal erred in law in stating that it was for the defence to prove the arrested or retarded mind having regard to section 101 of the Evidence Act".

We shall dispose of the second ground of appeal first. Mr *Zagyenda*, counsel for Rukarekoha, arguing this ground before us, submitted that by virtue of the provisions of section 101 of the Evidence Act, when an accused person sets up a defence, the burden of proof shifts to the prosecution. He contended that therefore, it was an error, on the part of the Court of Appeal, to have held that the burden of proof lay on the defence. We find no basis whatsoever for that submission. Section 101 of the Evidence Act provides, generally, that the burden of proof lies on the party who would lose if no evidence is given by either party. Clearly if on a charge of murder neither party gave evidence on diminished responsibility, the defence would lose on that issue, on basis of the legal presumption, under section 11 of the Penal Code, that every person is of sound mind. The provision which is more relevant to the instant case, however, is section 102 of the Evidence Act which reads:

> "102. The burden of proof as to any particular fact lies on that person who wishes the court to believe in its existence, unless it is provided by any law that the proof of that fact shall lie on any particular person".

Admittedly, in every criminal case it is the prosecution that "wishes", and that has to prove, both the "*actus reus*" and the "*mens rea*". However on a charge of murder, it is the accused who would wish the court to believe that he suffered from abnormality of mind, thereby rebutting the presumption of soundness of his mind. But what is more, it is expressly provided by law, that is in subsection (2) of section 188A of the Penal Code Act, that it shall be for the defence to prove the fact of abnormality of mind, if the court is to make the special finding of "guilty of murder but with diminished responsibility" under subsection (1) of the same section. Accordingly there is no merit in the second ground of appeal. It fails.

On the first ground of appeal, Mr *Zagyenda* submitted that there was sufficient evidence on which a finding of diminished responsibility could have been based. He criticised the trial court for not making the special finding in its judgment, and for not taking diminished responsibility into consideration when passing sentence. He also maintained that the trial court had erroneously equated the level of defect of mind in the case of diminished responsibility with the defect of mind in the case of insanity. Mr *Okwang*, Senior State Attorney, for the Respondent, pointed out that in the Court of Appeal conviction was not questioned because the appeal had been against sentence only. He maintained, however, that the Court of Appeal had considered the conviction and concluded that the Appellant had been rightly convicted. But he conceded, first, that where diminished responsibility is proved, the special finding under section 188A of the Penal Code Act had to be made in the judgment, and not after conviction; and secondly, that it was a misdirection on the part of the trial Judge to have held that diminished responsibility could not be accorded in this case even if it had been proved. However, he argued that the misdirection was not fatal to the conviction because there was no evidence of diminished responsibility any way.

With due respect, it is evident that the Learned trial Judge handled the issue of diminished responsibility erroneously. According to his notes for summing up to the assessors, on possible defences, he said this on the issue:

> "5. Possible defence
>
> (i) …
>
> (ii) Diminished responsibility
>
> This is not a defence but it is a matter for the court to consider when dealing with the issue of sentence after the accused has been found guilty of murder, so you need not waste much time on it although the defence counsel addressed you at length about it.
>
> (iii) …".

In the judgment the Learned trial Judge reiterated that point in the following passage:

> "Mr Rwaheru, the learned counsel for defence in his very useful submission requested the court to consider the possibility of the accused having acted when suffering from some kind of diminished responsibility. Both at common law and under the provisions of section 188A of the Penal Code Act diminished responsibility has never been a defence to a charge of murder, *it only comes into play when the court is considering the issue of sentence after finding the accused guilty of murder … This court cannot accord to the accused diminished responsibility as a defence in the present case even if it had been proved that the accused was suffering from such a defect*". (emphasis added).

Surprisingly, however, when it came to passing sentence, the Learned trial Judge made no further mention of the issue, notwithstanding that he was expressly reminded of it after he delivered judgment. The record reads thus:

> "Court: Judgment is read, dated and signed.
>
> Rwaheru: The court may consider some less sentence under section 188A of the Penal Code Act.
>
> Court: This being a murder case whose sentence is fixed by law and that sentence is death, I must proceed to sentence the accused to death. The accused person Rukarekoha Felex is accordingly sentenced to suffer death as by law is authorised".

We are unable to find any explanation for this inconsistent manner in which the Learned trial Judge handled the issue. With due respect we do not agree with the view expressed by the Court of Appeal in its judgment that:

> "the trial Judge dealt with the matter as a defence (and) his conclusion was that it had not been proved that the Appellant was suffering from a defect of the mind".

The fact of the matter, as shown in the passages cited above, is that the Learned trial Judge withdrew the issue from consideration by the assessors on the ground that it was not a defence. In his judgment he reiterated that diminished responsibility has never been a defence to a charge of murder. Instead, he considered the defence of insanity, which he rejected. He did not consider, let alone decide, whether or not diminished responsibility had been proved. Rather, he declared categorically that even if it had been proved, diminished responsibility could not be accorded to the accused as a defence. This was despite submission by counsel for the accused urging the court to apply section 188A of the Penal Code Act, on the ground that there was evidence from which it could be deduced that the mind of the accused must have been impaired.

With all due respect, we think it was a serious misdirection on the part of the Learned trial Judge to withdraw the issue from the assessors and to refuse to consider in his judgment whether the provisions of section 188A of the Penal Code were applicable to the case, irrespective of whether diminished responsibility is a defence, or merely "a matter for the court to consider when dealing with the issue of sentence". We have considered whether the misdirection affected the validity of the trial. We are satisfied, however, that the misdirection did not go to the root of the trial so as to make it a nullity or to warrant a retrial. It is settled that a retrial should be ordered only when the original trial was illegal or defective. See *Manji v Republic* [1966] EA 343 (CA) and *Merali and others v Republic* [1971] EA 221 (CA). The trial in the instant case was neither illegal nor defective

For its part, however, the Court of Appeal did consider the issue in the context of the provisions of section 188A of the Penal Code Act, noting what had to be proved to establish that the accused had been suffering from diminished responsibility. It concluded that it had not been established because the defence, on which the burden of proof lay had not called any evidence to show that the alleged "jamming" of the Appellant's mind had arisen from any of the causes set out in section 188A of the Penal Code. Although the Court of Appeal did not expressly refer to the core issue, namely whether the so called "jamming of mind" constituted "suffering from abnormality of mind" and if so, whether it was such as had "substantially impaired his mental responsibility", we are satisfied that their Lordships had that in mind when they observed that abnormality of mind is related to the causes stated in section 188A of the Penal Code, and found that the defence had not established it. Its holding that diminished responsibility had not been established, therefore, is well founded. For clarity, we would briefly refer to the evidence, such as there is, on which that holding was based.

In his unsworn statement at his trial, Rukarekoha told the trial court that he did not know about his mother's death until he was told about it when he was already in prison. His explanation of that, to put it in his own words, was as follows:

> "I did not attend the burial of my mother and my wife, I had lost control of myself so I did not know where I was at the time. I do not know anything, those things which Felesta told the court about, were happening when my head was not working properly … I stopped knowing what was going on at the time I took "*omuramba*" to my

> mother's house. I came to my senses when I was in prison, and that is when I learnt of my wife's and my mother's death. I am now normal. Since my head was not working properly I could not know whether or not I killed my mother".

As against that statement, there was testimony of the prosecution witnesses that Rukarekoha conducted himself normally. In particular his sister Felesta Bikorwomuhangi PW2, who talked with him several times both before and after the death of his wife, and prior to the attack on their mother, and who was specifically asked about his state in cross-examination, testified as follows:

> "When the accused brought the "*omuramba*" he only greeted me and he looked normal he did not look disturbed. When I met him with a *panga* it was not very dark as there was moonlight, I talked to him because he asked me about his mother, but because of the death of his wife his mood had changed, he sounded very annoyed but was not like a mad man".

His sister-in-law, Winnie Kobusheshe PW3, met him on his way to his house in response to the news of his wife's death. Although she did not talk to him because he was walking too fast, she testified that he appeared to be angry. Then there was the evidence that he chased these two witnesses from the scene as they watched him assault the mother, but when he saw other people in the home where the two ran to, he stopped the chase and disappeared. Lastly there was the evidence that he did not attend the funerals of his wife and his mother and that he kept away from home until he was found hiding in his maize garden, several weeks after the killing. The assessors and the trial Judge who saw and heard the witnesses and Rukarekoha, disbelieved the latter's defence, and held that he had known what he had done and had known that it was wrong. For that reason the trial court ruled out insanity as a possible defence. More significantly, however, there is nothing in the evidence as a whole to suggest, and less still to prove, that Rukarekoha was suffering from abnormality of mind arising from any cause or that his mental responsibility for his acts was impaired substantially or at all. His claim that he lost control of himself and of his senses, *per se*, cannot be proof of abnormality of mind. It appears to be more consistent with loss of his temper upon his wife's death which he must have blamed on his mother, who, to his mind, could have prevented the death by appeasing the spirits, but refused to do so. Before us, Mr *Zagyenda* submitted that Rukarekoha's belief in the power of spirits amounted to abnormality of mind which impaired his mental responsibility. We do not accept that argument. Apart from the fact that it was not raised before the Court of Appeal, we think it is speculative. Generally, belief in the power of spirits, as in anything else, is a natural process or condition of the mind. It may not be common but it is not abnormal. Diminished responsibility is said to be a state of mind bordering on, but falling short of, the state of insanity.

In the result, we agree with the Court of Appeal that in the instant case it was not established by the defence or otherwise that Rukarekoha was suffering from diminished responsibility when he murdered his mother. Therefore, the first ground of appeal also fails. The appeal is dismissed and the conviction of murder and the sentence of death are confirmed.

Before taking leave of this case, however, we have to give some guidance on the way the question of diminished responsibility must be handled when raised in a trial on a charge of murder. We note that the Learned trial Judge in the instant case, in holding the view that diminished responsibility is not a defence to a charge of murder, is not alone. In the law book: *Criminal Law of East and Central Africa* by JJR Colling Wood (Sweet and Maxwell 1967], the Learned Author commenting on section 188A of the (Uganda) Penal Code Act states:

> "The effect of this section is significantly different from the defence of diminished responsibility in England, which if successful reduces murder to manslaughter. Under the Uganda Code, if the defence proves diminished responsibility on a murder charge, the court convicts the accused of murder with diminished responsibility, but does not sentence him to death. Instead it orders him to be detained in safe custody pending an order by the responsible minister … Thus in Uganda diminished responsibility is not strictly a defence but rather a procedural bar to the imposition of the death penalty for murder, the same way as sentence of death is not ordered in respect of a murderer under eighteen years of age".

That view was followed by Allen J as he then was, in *Uganda v Kankuratire* [1975] HCB 134. Obviously, in the instant case, the Learned trial Judge withdrew the issue of diminished responsibility from consideration by the assessors, following that stance, though he made no specific reference to that book or that precedent.

With all due respect, we think this view is misleading. Thus in the instant case the trial court did not consider the issue in connection with the verdict, but when it came to the sentence the Learned Judge thought his hands were tied because upon the verdict of guilty of murder the mandatory sentence of death has to be passed. Clearly, whether it be called a defence or a bar to the death sentence, where it is proved it leads to legal consequences. It leads to a special finding, namely "guilty of murder with diminished responsibility". This is different from the ordinary verdict of "guilty of murder". Despite the phrasing of section 188A of the Penal Code, the law does not envisage that the court would pronounce two verdicts separately, in the same case that is, first that the accused is "guilty of murder" and later that he is "guilty of murder with diminished responsibility". Nor in our view does it envisage a "trial" of the issue of diminished responsibility to be held after the trial and conviction on the charge of murder. Diminished responsibility is an issue of fact. It must be tried along with all other issues of fact arising out of the charge. It has to be proved on evidence, and the assessors have to be invited and allowed to give their opinions on it. The court's finding on it has then to be embodied in its judgment from which the ultimate verdict is deduced and pronounced.

For the Appellant:
J Zagyenda instructed by *Joseph Zagyenda & Co*

For the Respondent:
V Okwang, Senior State Attorney instructed by the Director of Public Prosecution

Salim v Federal Bureau of Investigations and others
[1999] 1 EA 311 (HCK)

Division:	High Court of Kenya at Mombasa
Date of ruling:	14 June 1999
Case Number:	6/99
Before:	Waki J
Sourced by:	A Taib
Summarised by:	A Mwanzia

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[1] Constitution – Fundamental rights – Declaration of breach of constitutional rights – Mode of

application for a declaration to the court – Whether applicant loses right to address court on adoption of a different procedure – Section 84 – Constitution of Kenya.

[2] Criminal law – Habeas corpus – *Requirement of return – Whether return mandatory by person against whom directions are issued for production of the body – Contents of the return.*

Editor's Summary

On 7 August 1998, the capital city of Kenya, Nairobi, was struck by a bomb blast whereby over two hundred people died and thousands were injured. Following these events, the Applicant was interrogated and his place of business and home searched by persons claiming to be officers of the American Federal Bureau of Investigations (FBI). He was later arrested and taken into custody to an unknown location.

The Applicant's brother made application to the High Court on behalf of the Applicant seeking prayers *inter alia* for directions in the nature of *habeas corpus* to issue directed to the FBI and various government authorities, to have the body of the Applicant produced before the court. There was also a prayer seeking a declaration that the Applicant's rights under the Constitution had been infringed.

The Applicant was heard *ex parte* in the first instance and the court issued orders for the release of the Applicant pending the hearing *inter partes*. The Applicant was subsequently released from custody.

At the time of hearing the Application *inter partes*, counsel for the Respondent argued that the application had been spent since the Applicant had been released from custody. The Respondents had also not filed any reply to the application. Counsel for the Applicant was of a contrary view, arguing that the application had not been spent and that the Respondents had a mandatory duty under the law to file a return to the application. Meanwhile, the Applicant had filed an affidavit detailing the ordeal he had undergone at the hands of the FBI officers. The hearing was adjourned to give time to the Respondents to file a return and exhibit a treaty which counsel for the Respondent had alleged existed between Kenya and the United States of America (USA) to facilitate the arrest and extradition of suspects.

At the resumed hearing of the application, no reply had been filed by the Respondents and counsel for the Respondents intimated to the court that indeed there existed no such treaty between Kenya and the USA as earlier indicated.

Held – It is a mandatory requirement of law that a person against whom directions are issued for production of the body of the person allegedly unlawfully detained should file a return clearly showing the cause of the detention.

Where the Applicant has had access to the court in a manner sanctioned by the law for seeking one remedy, he would not lose his right to address the same court on another prayer simply because the procedure required there under would be different. *Chizondo and others v Republic* Court Appeal miscellaneous application number 8 of 1998 and *Juando v Attorney-General of Guyana* [1971] AC 972 considered.

The Constitution of Kenya does not permit the police or any other law enforcement agency to break the law in order to detect crime.

Application allowed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Chizondo and others v Republic Court Appeal miscellaneous application number 8 of 1998 – **C**

Njuguna and others v Reginam [1954] XXI EACA 316

United Kingdom

Juando v Attorney-General of Guyana [1971] AC 972 – **C**

Re Meister Lucius and Brining Limited [1914] 31 TLR 28

Ruling

Waki J: It is a matter of common notoriety, and I can therefore take judicial notice of it, that on 7 August 1998, the entire nation of Kenya was stunned. It was stunned by a devastating blast in the centre of its capital city, Nairobi, believed to have been a bomb blast. Hundreds of people died while thousands of others were injured and maimed. Property was destroyed extensively. It is also a matter of common notoriety, and I take judicial notice of it, that some persons suspected to have been involved in that dastardly crime are facing trial in the United Estates of America. How or why they ended up there would however be a matter of conjecture and beyond the scope of the matter now before me for consideration.

The circumstances surrounding the application relate to that momentous event.

The Applicant, Ali Mahfoudh Salim (Ali) is a Kenya citizen ordinarily resident and carrying on business in Mombasa. He lawfully operates a small workshop at Majengo wherein he builds and assembles bodies for motor vehicles and carries on welding repairs. He employs several workers.

On 2 February 1999 Ali was at his workshop when some six people three white men, one white woman and two Africans went there. They said, without identifying themselves by production of identity cards, that they were officers of the American Federal Bureau of Investigations (FBI) and were conducting investigations relating to the Nairobi bomb blast. They questioned workers and generally stayed in the premises from 9:00am to 5:00pm. The following day 3 February 1999 they returned with another three white women, making in all nine persons and continued to question Ali and his workers. They also took various photographs. At the end of the day, at 5:00pm, Ali was ordered to report to Makupa Police Station the following morning 4 February 1999 at 9:00am. He complied and went with his brother, Faiz Mahfoudh Salim (Faiz). Ali was taken inside the police station but Faiz was asked to stay outside. He waited until lunch hour when his brother, accompanied by the FBI agents, left the station and headed for Ali's home. Faiz assumed that he would be let free there and did not therefore accompany them. In the evening however he was

informed by Ali's son that the FBI agents had indeed been home but they took Ali's passport and left with him to an unknown destination.

Faiz immediately went to Makupa Police Station to make enquiries about the whereabouts of his brother. The officers there said they did not know him or his whereabouts. Faiz then visited all the other police stations in Mombasa who similarly denied knowledge of his brother or the involvement of the American FBI agents. There were no entries made in any daily occurrence book in any of the police stations to confirm that his brother was in lawful custody and if so, for what reason. Faiz was alarmed.

Fortunately, whilst he pondered what to do next outside Nyali Police Station, a young man at the station who seemed to be in the know, confided in Faiz that his brother was being held in that station and had been tortured. The police themselves at the report desk would not confirm Ali's presence there although they refused to deny it. His brother had been missing for more than 24 hours after being taken away by persons who said they were FBI agents and Kenyan police officers.

Faiz therefore took the next logical and legal step and came to this Court under certificate of urgency on 5 February 1999. He took out this application and named the FBI and the Commissioner of Police through the Attorney-General of Kenya, as the residents. Various sections of the law were invoked:

"(i) Section 389(1) and (2) of the Criminal Procedure Code.

(ii) Section 123 of the Criminal Procedure Code.

(iii) Section 81, 82 and 84 of the Constitution of Kenya".

The prayers sought in the application were these:

"1. That directions in the nature of *habeas corpus* do issue directed to the Federal Bureau of Investigations and/or its agents and/or its employees present in the Republic of Kenya, officers commanding Makupa Police Station, Port Police Station and or any other police station in the Republic of Kenya or any other authority or any of them including their agents and or representatives in the Coast Province and/or the Republic of Kenya to have the body of the said Applicant, Ali Mahfudh Salim, produced before the honourable court at such time as the Judge may direct.

2. That the Respondents Commissioner of Police and the Federal Bureau of Investigations (FBI) through its commanding officer or person of similar capacity do appear before this honourable court together with the original of any warrant or order for the detention of the applicant and show cause why the Applicant should not be produced and released forthwith.

3. That pending the hearing of this summons *inter partes*, the Commissioner of Police and the Provisional Police Officer (PPO) or any officer in charge of the police in the area within whose jurisdiction the Applicant is detained, the officer in-charge, Makupa Police Station and Nyali Police Station or any other police in the Republic of Kenya holding the Applicant or any of them be ordered to release the Applicant on bail on such terms and conditions as the court deems fit to make.

4. That the court do declare that the Applicant's rights under the Constitution have or are about to be infringed.

5. That pending the determination of the application, the Commissioner of Police and the Federal Bureau of Investigations (FBI), either through themselves or their agents, officers and/or subordinates be restrained from deporting or removing the Applicant from the territory of the Republic of Kenya.

6. That for the purpose of giving effect to Order 5 applied for hereinabove, a further order do issue to the principle immigration officer to ensure that no one or any entity shall be allowed to remove the Applicant or his body from the territory of the Republic of Kenya through any of the exit points of the Republic".

I heard the Applicant's counsel on 5 February 1999 and I was satisfied that prayers 1, 2, 5 and 6 ought to be dealt with immediately and orders were issued and served forthwith pending the hearing of the application *inter partes* after service.

Learned senior state counsel, Mrs *Mwangi*, and learned counsel for the Applicant, Mr *Taib*, appeared before me on 9 February 1999. Both counsel confirmed that the Applicant had been set free at 2:00pm on Saturday 6 February 1999. As far as Mrs *Mwangi* was concerned, the release of the Applicant answered fully the application for *habeas corpus* and the application had been overtaken by events. Not so, for Mr *Taib.*

It was crucial, in his submissions, to determine the legality or constitutionality of the activities of the agents of the American Federal Bureau of Investigations who appeared to have invaded the sovereign state of Kenya to harass, intimidate and torture its citizens without following the laws of this country. It was also crucial for the Respondents to make a formal return on the *habeas corpus* application instead of merely making casual remarks that the Applicant was a free man.

Ali himself swore and filed an affidavit on 9 February 1999 in support of the averments made earlier by his brother Faiz, and did, at some length encapsulate his fears on the activities of the FBI. Those facts are best reproduced verbatim:

"7. That at this point in time I was terrified and almost out of my wits with fear of several reasons some of which are enumerated herein below:

(*a*) On Wednesday 3 February 1999 in the morning, a group of about nine (9) FBI agents descended on me and my premises and swarmed all over the place and began arresting my employees, including Mr Abdalla (welder), Mr Ambrose (painter) and Mr Kazungu (welder). The sight of all these police officers descending on my premises terrified me and my employees.

(*b*) On the same Wednesday evening the 3 February 1999, three (3) FBI agents and a CID officer returned and threatened that they would lock me up in the cells because I was not giving them the information they wanted. This alarmed me as it meant that I would have to admit to falsehoods and admit knowledge of maters I am not privy to if I was to keep out of jail.

(*c*) The FBI agents also told me that they would ensure that my business would be closed down unless I co-operate and gave them the information they wanted. This was also on Wednesday evening.

(*d*) On Thursday the 4 February 1999 the FBI agents again told me that they would lock me up unless I co-operate. I told them I did not have knowledge of the matters queried me on and the FBI agents told me to think carefully of my family who will surely suffer if they locked me up and I should begin to co-operate if I did not want my family to suffer.

(*e*) On the same Thursday the 4 February 1999, the agents further threatened to disrupt and ruin my business unless I gave them and/or admitted knowledge of the information they wanted. The said agents specifically told me that they would cause the relevant tax departments and in particular the Income Tax and Value Added Tax (VAT) departments to descend down on my business

and to ensure they thoroughly crippled my business by investigating my books in detail with the sole aim of thereafter imposing crippling and debilitating taxes to ensure the closure of my business as a punishment to me unless I co-operate.

(*f*) On the same Thursday sitting the said agents shoved me, roughed me up, kicked and beat me, always harshly telling me to speak the things they wanted. The kicking was particularly vicious and was meted out by the officer who was seated opposite me.

(*g*) On the same Thursday sitting, one of the FBI agents, whom I don't know by name but whom I can identify physically, threatened me clearly and specifically, that unless I gave them the information they wanted, they will hand me over to the local CID police who would torture me thoroughly for them until I admitted to them matters of their interest and gave them the information they wanted. The insinuation was that the CID were well known for this kind of thing and it was intended to frighten me, which it did.

(*h*) The FBI agents described me as callous and insensitive and asked me why it did not bother me that over 200 people died. If I cared at all I would tell them what they wanted to know.

(*i*) As I was being shoved around and kicked, I was reminded constantly that I was a killer, (even though I denied this most stringently and continued to do so), and that I had killed over 200 people and I had better speak the truth for my own sake. It did not matter that I denied all their allegations and protested my innocence. My pleas fell on deaf ears.

(*j*) The FBI agents told me that they would also extradite me to the United States of America unless I spoke the truth and give them the information required. They infact stated to me the flight number of the actual plane they would put me on for this purpose.

(*k*) The FBI agents fortified their above threat of extradition by actually taking me home from the police station and there picking up and confiscating my passport whereupon they made it abundantly clear that unless I co-operated with them I was going to be on the next flight to the US where I would be at their mercy and far away from my family and from any help.

(*l*) The FBI agents upon inspection of my passport said it would suffice as proof that I went to Yemen for terrorist training and they would charge me with that offence, even though that we all knew there was no substance to the said intended charge.

(*m*) The said FBI agents did actually carry out their threat to lock me up and I was terrified that they would do all the other things they had threatened to do, including extraditing me.

(*n*) On Friday 5 February 1999, the FBI agents again came to Nyali Police Station and took me out of the cells. They asked me on the verandah outside the cells to tell them the truth on the identity of the person involved in the bombing or they would lock me again in the cells. True to their word, they returned me to the cell and locked me up when I told them I knew nothing of what they queried. They went away.

(*o*) They gave instructions that I should not be seen by anyone, not even my family. This also terrified and isolated me and I felt absolutely alone, fearful, abandoned and forsaken.

(*p*) The FBI agents also said that I should not be seen by any lawyer and indeed, none of my family members or my lawyer ever had access to me at all throughout my period of incarceration.

(*q*) The FBI agents told me on Saturday 6 February 1999 that I should not think they are afraid of any court orders and that the court orders I had

brought to them would not be of any help to me. I was not sure what was going on as I had no contact with the outside world and did not know what court orders they were talking about or referring to. I came later to find out that they were the court orders issued by the Honourable Justice Waki on 5 February 1999. They told me that in spite of the court orders, they could take me away and make me disappear without a trace as they have done to others already.

(*r*) The FBI agents told me on the same day that this was my last chance to talk or they would take me to Nairobi. When I did not volunteer any of the information they sought, primarily because I knew nothing about the issues, they removed me from Nyali Police Station and said they were taking me to Nairobi. I felt thunderstruck. Who would I turn to for help in Nairobi? What would be my fate? These were some of the questions that gnawed on my mind and tormented me as I felt so helpless and alone.

(*s*) They constantly kept up their threats and demanded to know even how much money I had paid my lawyer, saying that this proves I am a terrorist with financiers who had hired a lawyer for me.

(*t*) They forced me to write a statement on that Saturday at the Provincial Police Headquarters and made me know that they were toying with the idea of releasing me, but would only do so if I signed a document confirming that I was not beaten or tortured. I agreed to sign because I was frightened if I did not do so I would not be released and I desperately wanted a chance to see any one of my family to arrange to help me and get a lawyer to act for me as I was now nearing the end of the road in terms of my ability to keep my sanity with me. I signed the document under duress and whilst under threat of pain and of further imprisonment and without my consent at all. I had by this time spent six (6) days under intense interrogation and three (3) days in the cells and I had had enough".

In view of those submissions and averments, Mrs *Mwangi* assured the court and the Applicant that the FBI agents were legally in this country pursuant to an existing treaty between the two countries catering for hot pursuit of suspected criminals and their extradition for trial. The State would shortly produce a copy of such treaty and also file an affidavit in reply to the matters deponed to by the Applicant in his affidavit filed on 9 February 1999.

I made an order that a copy of the treaty be filed and that a response be made by way of replying affidavits to the various averments made in the application. It seemed to me, and I so found, that the matter before me went beyond a mere application for *habeas corpus* and it involved human and constitutional rights of a citizen of this country which he alleged had been violated by foreign agents and the Kenya police. Intertwined with that was the wider aspect of state security. On any view, it is a matter of colossal magnitude.

The Attorney-General did not comply with the order within the 14 day period given. On application, and there being no objection from the Applicant's counsel, I granted an indefinite extension of time to facilitate compliance, with liberty to either party to apply.

The parties returned to court on 31 May 1999 when it became apparent that the Attorney-General had no intention of complying with the earlier order. Learned State Counsel, Mr Ngeno, then appearing for the Respondents, confessed that there was no treaty as earlier purported between Kenya and the United States of America. He also confessed that there was no one either from the FBI or the police force who was willing to swear any affidavit in reply to

the matters of fact deponed to by the Applicant. He merely offered an explanation that the FBI agents may have been operating under the auspices of the International Police Organisation (INTERPOL), but he gave no further details.

In my brief ruling I found such confessions a shameless about-face considering the seriousness of the issues submitted for determination. There was a non-compliance with a court order and the Attorney-General could not be heard to make oral denials of facts stated on oath by the Applicant. Those matters of fact remain uncontroveted. I gave liberty to the Attorney-General to respond to any issues of law that may arise in the course of prosecution of the application. The application was then fully argued and is the subject matter of this ruling.

Section 389(1) of the Criminal Procedure Code (Chapter 75) Laws of Kenya, as far as is relevant states:

> "389 (1) The High Court may whenever it thinks fit direct:
>
> (a) that any person within the limits of Kenya be brought up before the court to be dealt with according to law.
>
> (b) that any person illegally or improperly detained in public or private custody within those limits be set at liberty.
>
> (c) ...
>
> (d) ...
>
> (e) that any prisoner within those limits be removed from one custody to another for the purpose of trial; and
>
> (f) …".

It is a codification of an ancient jurisdiction in common law for protecting the liberty of the subject by speedy and summary interposition by the court. An effective means of immediate release from unlawful or unjustifiable detention pending inquiry into the cause of his imprisonment. That this Court has the jurisdiction to issue directions in the nature of *habeas corpus ad subjiciendum* is not therefore in doubt.

As stated above I granted prayers 1, 2, 5 and 6 of the application *ex parte* on the basis of the affidavit evidence laid before me. The matter was due for hearing *inter partes* on 9 February 1999 and the orders were in the meantime served on all affected parties.

As stated earlier, the Respondents attended court on 9 February 1999 through the Attorney-General and stated from the bar that the Applicant was already a freeman. He had been released three days before the hearing of the application.

Learned counsel for the Applicant has however submitted vehemently that, that was not legal compliance with the directions issued by the court and served on the Respondents. There must, he submitted, be a return filed showing the cause of the Applicant's detention with sufficient particularity. The Applicant, he submitted, was not released due to some act of charity on the part of the Respondents but as consequence of court orders having been served on the Respondents. The filing of a return is therefore mandatory.

For this proposition, Mr *Taib* cited *Halsbury's Laws of England* (3ed) Volume II at 43 and 44. I have perused the passage cited and I am persuaded that it is a mandatory requirement of law that a person against whom directions are issued for production of the body of the person allegedly unlawfully detained should file a return clearly showing the cause of the detention, for the court to examine and decide on the Applicant's discharge or otherwise. As stated in *Halsbury's* paragraph 87:

> "If it is impossible for the person to whom the writ is directed to produce the body of the person alleged to be in his custody by reason of his having parted with the custody of that person before the service of the writ, he must nevertheless make a return setting out the facts unequivocally and distinctly and showing the reason why he is unable to obey the writ. Such a return will constitute a good and sufficient return; for the object of the writ is not punitive, but remedial.
>
> The fact that a prisoner whose production has been ordered has been discharged from custody before the return should be stated on the return, and in that event the cause of taking and detainer need not appear on the return".

In this case the Applicant was not discharged before service of the writ but as a consequence of it. Failure to file a return would mean that the Applicant was detained for no sufficient reason and therefore an order for his discharge must formally issue. I so order. That would dispose of the matter of *habeas corpus*.

The Applicant goes further and seeks a declaration under prayer 4 that his constitutional rights have been violated. There is constitutional provision under Chapter V of the Constitution of Kenya for the protection of fundamental rights and freedoms of the individual. Section 81 protects the freedom of movement throughout Kenya, the right to enter and leave Kenya and immunity from expulsion from Kenya. Other rights and freedoms are enumerated under sections 72 to 83 of the Constitution and there is provision under section 84 for enforcement of those provisions. It is common ground that the High Court has original jurisdiction to determine such applications. But how does the High Court become seized of such jurisdiction?

Considerable heat has been generated in the past on that issue since the Constitution requires that the Chief Justice shall make rules with respect to the practice and procedure, but no Chief Justice of this country has apparently promulgated any such rules. It has now been held, and it is the practice, following the persuasive authority from the judicial committee of the Privy Council in *Juando v Attorney-General of Guyana* [1971] AC 972, that:

> "the right to apply to the High Court for redress conferred by article 19(1) (*this article is, in all material respects, similar to section 84(1) of the Constitution of Kenya*) was expressed to be subject to paragraph (6) of that article and since neither the Parliament nor the rule-making authority of the Supreme Court had exercised their power under article 19(6) to make provision with respect to practice and procedure the method was unqualified and the right wide enough to cover application by any form of procedure by which the High Court could be approached to invoke its power, and an originating motion was one of the ways by which that could be done". (emphasis mine).

See *Chizondo and others v Republic* Court Appeal miscellaneous application number 8 of 1998 where Chesoni CJ quoting Warrington J in *Re Meister, Lucius and Brining Limited* [1914] 31 TLR 28 also held:

> "Where the Act (sic Constitution) merely provides for an application and does not say in what form that application is to be made, as a matter of procedure it may be made in any way in which the court can be approached; and
>
> … anyone who wishes to invoke the courts jurisdiction for protection of the fundamental rights and freedoms guaranteed under section 70-83 (inclusive) can do so by plaint, Order LIII of the Civil Procedure Rules or originating motion".

The application before me is a chamber summons and not any of the three modes referred to in that authority. Is the application therefore incompetent? I think not.

The reason is that the main thrust of the application was to seek directions on *habeas corpus* and that procedure is prescribed under the law. The Applicant has

had access to the court in a manner sanctioned by the law for seeking one remedy, and he would not; in my view, lose his right to address the same court on another prayer simply because the procedure required thereunder would be different. It is for the court to decide in such event, in exercise of its inherent powers, whether to consider the substance of the application or insist on a different mode of trial.

Considering that the Respondents have not raised any objections to the procedure adopted and that on any view, the manner of making the prayer causes no prejudice to the Respondents, I shall consider the substance of the prayer, the defect in procedure notwithstanding. All that is sought in the application is a declaration, and nothing more.

I have found, in the absence of the benefit of a "return", that the Applicant was detained on insufficient grounds. The rights and freedoms of the individual under the Constitution are qualified under the same Constitution and it is incumbent of the person or persons against whom complaints are made to bring themselves under those qualifications. The qualifications include violations for which the law provides in the interests of defence, public safety, public order, public morality, or other circumstances spelt out in the Constitution. There is cold silence from the Respondents in this matter about what laws, if any, they were operating under in seeking information and interrogating the Applicant. There is indeed a concession that the FBI has no legal basis for operating in this country. That is in stark contrast to the vivid chronicle of human rights violations perpetrated on the Applicant which remain uncontroverted and must therefore be truthful. I am not; as a court of law, entitled to imagine that the Respondents had good and valid reasons for their actions. The Kenya Police is at liberty and has the constitutional mandate to investigate crime and to bring criminals to book. But there are clear laws governing this country and they must be shown to be complied with; particularly by all law enforcement agencies of whatever description. I say with the Court of Appeal for Eastern Africa in *Njuguna and others v Reginam* [1954] XXI EACA 316:

> "The notion that the police can keep a suspect in unlawful custody and prolong their questioning of him by refraining from formally charging him is repugnant to the traditions and practice of English Law that we find difficulty in speaking of it with restraint. It must be recognised that once a police officer has made up his mind to charge any person, it is his duty to inform that person as soon as practicable and thereafter to produce him before a Magistrate as required by section 32 or section 35 of the Criminal Procedure Code.
>
> The Constitution of Kenya does not permit the police or any other law enforcement agency for that matter, to break the law in order to detect crime".

I am in no doubt in this case, and in my judgment, that a citizen's right to his personal liberty was interfered with in a manner unauthorized by law. Accordingly I grant prayer 4 of the application as prayed against the Respondents jointly and severally.

The Applicant shall have costs of this application on the higher scale.

For the Applicant:
Taib

For the Respondents:
Mwangi, Senior State Counsel instructed by the Attorney-General

Semande v Uganda
[1999] 1 EA 321 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of Judgment:	2 March 2000
Case Number:	23/99
Before:	Wambuzi CJ, Tsekooko, Karokora, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Appeal – Death of Appellant – Whether appeal should be struck out.

[2] Criminal procedure – Witness – Presence of witness in court during testimony of earlier witnesses – Effect on credibility of witness – No rule of law requiring potential witnesses not to sit in court – Whether evidence of later witness should be disregarded – Article 28(2) – Constitution of Uganda.

[3] Evidence – Alibi – Severance – Evidence in support of alibi – Evaluation of evidence – Whether defence of alibi adequately considered.

Editor's Summary

The Appellant and his father were tried and convicted on a charge of murdering one Eliva Alibala, the sister of the Appellant's father. The Appellant, his father and the deceased all lived in the same village. Prior to the deceased's death on the night of 1 May 1997, there had been a land dispute between her and the Appellant's father. At their trial, the prosecution case rested primarily on the testimony of the deceased's daughter and son. The daughter testified that on the night of her mother's death, two people armed with *pangas*, whom she identified as the Appellant and his father, entered the house and attacked them. She claimed that the Appellant had raised his *panga* in an attempt to cut her mother, but that she had struggled with him and called out to her mother to run away. As her mother had tried to escape, the Appellant's father had then allegedly thrown a brick at the deceased before cutting her with his *panga* on the back and the arm. The deceased's son testified that he answered the alarm raised by his sister. When he arrived at the scene he was able to recognize the Appellant and the Appellant's father with the aid of a torch as they fled. The two accused were arrested later that same night. The Appellant's defence, given on oath, was that on the material night, he was woken from his sleep by his father and his mother, Nantumbwe. They asked him to accompany them to answer an alarm emanating from the deceased's home. When they arrived at the scene, they found that the deceased had already died. His father was then asked by some of the people at the scene to report the murder to the area Chairman, while he (the Appellant) remained at the scene. He testified that it was only later that the deceased's daughter and son reported to the police that he and his father had killed the deceased and that was when they were arrested. His testimony was fully supported by his father and his mother. The assessors gave conflicting opinions with one advising that the accused be acquitted while the other recommended conviction. The trial Judge believed the prosecution evidence and rejected that of the accused. He disregarded the testimony of Nantumbwe primarily on the basis that she had been in court during the prosecution case. The two accused were convicted and sentenced to death. They appealed to the Court of Appeal but before the appeal could be heard the Appellant's father

died. The Appellant's appeal was dismissed. He now appealed against that decision on the grounds that the courts below had erred in failing to properly evaluate his alibi evidence.

Held – Where an Appellant died before his appeal could be heard by the Court of Appeal, the proper course of action was to rule that his appeal had abated pursuant to rule 70 of the Court of Appeal rules. It was irregular for the court to strike out the appeal.

Apart from practice, there was no rule of law or procedure or evidence that required potential witnesses for either the prosecution or the defence not to sit in court and listen to the evidence of other witnesses prior to giving their own testimony. Though article 28(2) of the Constitution permitted a court to exclude people from court proceedings, that power was discretionary. The lapse that led to the presence of Nantumbwe in court when witnesses for the prosecution were testifying was a mere irregularity and called for the court, in considering her evidence, to warn itself and give itself due allowance for this fact in deciding what weight to give to her evidence. Accordingly, the conclusions drawn by the trial court with regard to her presence in court constituted a serious misdirection and were prejudicial to the Appellant's alibi defence. A re-evaluation of the evidence, and reassessment of Nantumbwe's evidence, showed her to be a reliable witness. Her evidence fully supported the Appellant's alibi and the trial Judge failed to give it due weight before dismissing the defence as a pack of lies. The Court of Appeal erred in failing to allude to the evidence of Nantumbwe at all and in failing to give any reasons for that failure. In those circumstances, it was not possible to conclude that had they evaluated her evidence, they would have upheld the trial court's decision.

The contradictions in the prosecution case together with the fact that neither of the two accused attempted to flee the scene were factors in their favour, as was the existence of the land dispute between the deceased and the Appellant's father. This dispute could have prejudiced the minds of her children against the Appellant. It was therefore not possible to say that the prosecution had proved its case beyond reasonable doubt.

Appeal allowed, conviction quashed and sentence set aside.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Andiazi v Republic [1967] EA 813

Anywar and another v Rex [1936-1951] 6 ULR 264

Bogere Moses and another v Uganda Supreme Court criminal appeal number 1 of 1997

Kifamunte v Uganda [1997] LLR 72 (SCU)

Kutosi v Uganda [1979] HCB 84 (CA)

Mubito v R [1961] EA 244

Tajar v Uganda EA criminal appeal number 67 of 1969

Takarwa v Uganda EACA criminal appeal number 67 of 1972

United Kingdom

R v Sadler [1830] 4 C and P 218

Judgment

Wambuzi CJ, Tsekooko, Karokora, Kanyeihamba And Mukasa-Kikonyogo JJSC: This appeal is against the decision of the Court of Appeal 12 May 1999 by which that court dismissed the Appellant's appeal against his conviction by the High Court for murder contrary to section 183 of the Penal Code.

It was the prosecution case that Eliva Alibala, the deceased, who was sister to Kazibwe Livingstone an aunt of Semande James (the Appellant) lived with these two people at the same village at Jjumbi Lwagala, Mpigi District. It appears that prior to the death of the deceased on 1 May 1997 there was a land dispute between Kazibwe and the deceased. Kazibwe lived with his wife Perusi Nantumbwe in his own homestead. The Appellant lived in his own house. The deceased's house was made of poles and mud. The inside walls reached the ceiling. The deceased, her daughter, Adija Namale (PW1) and a small child called Babirye lived in her own six bed roomed house. On the night of 1 May 1997, the deceased who was sick lay in her bed in one of the bed rooms being nursed by her daughter, Namale. At about 1:00am while Namale was giving medicine to the deceased, she heard two bangs on a door of the house.

After the banging of the door, two people entered. There was a "*tadoba*" a small paraffin lamp, which lit the inside of the room. Namale claimed she recognised the attackers as Kazibwe and the Appellant. Each was armed with a *panga*. As the Appellant raised his *panga* to cut the deceased, Namale got hold of the Appellant and held him for about five minutes while advising the deceased to run away. The deceased got up and went outside through the front door. As the deceased was fleeing, Kazibwe got a brick (or block) and threw it at the deceased who fell down. It is not clear whether she fell because she was hit with the brick or not but she fell down in the compound of her house. Namale claims that she saw Kazibwe throw a metal spare part of a motorcycle at the deceased and that it hit the deceased. She further claims that she saw Kazibwe cut the deceased on the back three times and on the right arm. The Appellant went out. When Namale came out raising an alarm, she found the deceased dead. Her brother Zawukana Nkata (PW2) answered her alarm.

Zawukana testified that when he arrived at the scene he found Kazibwe and the Appellant fleeing the scene. He flashed a torch and was able to recognise the two. He and Namale chased Kazibwe and the Appellant up to a place called Kisenyi where both Kazibwe and the Appellant disappeared. According to Namale and Zawukana, apparently, Kazibwe and the Appellant returned to the scene where the deceased lay dead. Zawukana and Namale proceeded to report the matter to RCI Chairman Asan Sempebwa (PW3). There he found Kazibwe who had already made a report to Sempebwa of the death of the deceased. Muwonge (PW4) LC Secretary for defence arrested Kazibwe and the Appellant that night. Namale and Zawukana (PW2) and RCI Chairman, Sempebwa (PW3) testified for the prosecution. None of the other people who are alleged to have answered the alarm testified.

The Appellant testified on oath. The case for the Appellant which was fully supported by Kazibwe, his father and the mother, Nantumbwe (DW3) was that on the material night his father and mother (Kazibwe and Perusi Nantumbwe woke him up from sleep and asked him to accompany them to answer an alarm

emanating from the home of the deceased which home was one kilometre away. They all went there and found the deceased dead. There were many other people who had answered the alarms. These included Edward Seddi, Abdu Senyonga, Ntale Tamuzade, Musoke and others. Each of these, including Namale (PW1) and Zawukana (PW2) joined in raising an alarm and wondered as to who had killed the deceased. Then Kazibwe who was RC1 Secretary for Information was asked to report the murder to the RC1 Chairman, Sempebwa, which Kazibwe did. The Appellant remained at the scene. Later Namale and Zawukana reported to the police that it was the Appellant and Kazibwe who had killed the deceased. The Appellant was arrested by Muwonge (PW4) and the police. The Appellant denied the offence. His mother, Perusi Nantumbwe (DW3) testified in support of the Appellant.

The Learned trial Judge believed part of the evidence of Namale and the rest of the prosecution evidence. He rejected the evidence of Kazibwe and that of the Appellant. The Learned Judge disregarded the evidence of Nantumbwe on grounds that she had been in court during testimony by prosecution witnesses. The defence was referred to as "a pack of lies". The assessors gave conflicting opinions. The Learned Judge in effect accepted the opinion of the assessor who advised conviction though the judgment in not clear about this. He disagreed with the other assessor who advised acquittal and convicted the Appellant and his father Kazibwe and sentenced both of them to death. The two appealed to the Court of Appeal. Kazibwe died before his Appeal was heard by the Court of Appeal. The Court of Appeal dismissed the appeal of the Appellant but struck out that of Kazibwe.

We think that striking out Kazibwe's appeal was irregular. By virtue of rule 70 of the Rules of the Court of Appeal, Kazibwe's appeal abated upon his death. This error has no practical consequences for purposes of this appeal.

The Appellant has now appealed against the decision of the Court of Appeal. The appeal is based on two grounds. These two grounds were argued separately. For convenience we shall consider the second ground first.

The objection in the second ground of appeal is formulated in the following words:

> "The Learned Judges of appeal erred in fact and in law as did the Learned trial Judge in failing to evaluate the evidence on record that left the Appellant's defence of alibi unshaken".

A minor point to correct. In this appeal, as in most other appeals that have been argued in this Court, memoranda of appeals refer to Justices of the Court of Appeal as Judges of the Court of Appeal. Advocates who present these memoranda are expected to know, or must know, that according to the Constitution and the Judicature Statute of 1996, members of the Court of Appeal, apart from the Deputy Chief Justice, are called Justices of Appeal. In arguing ground two, Mr *Kafuko-Ntuyo*, criticised the trial Judge on grounds that the Learned Judge failed to evaluate the Appellant's defence of alibi. He contended that the Learned Judge erred when he rejected the evidence of Perusi Nantumbwe (DW3) purely on the basis that she had been sitting in court throughout the period when other witnesses gave evidence.

Mr *Michael Wamasebu*, the Principal State Attorney, submitted that the Court of Appeal considered these matters. He appeared to support the course adopted by the Learned trial Judge.

We would like to point out that apart from practice, there does not appear to be any rule of law or of procedure or of evidence which requires that potential witnesses for defence (or indeed for the prosecution) must not sit in court and listen to the evidence of other witnesses prior to giving their own testimony.

At 86 of his book *Criminal Procedure and Law in Uganda*, [1986], Ayume F stated that:

> "In order to ensure that a witness testifies only to facts within his knowledge and is not influenced by what others may have said earlier in the course of the trial, it is obviously desirable in the interest of justice that both prosecution and defence witnesses waiting for their turn, are asked to leave the court while a witness is giving evidence. But failure to leave the court should not disqualify a witness from giving evidence. As was held in *Anywar and another v Rex* [1936-51] 6 ULR 264, while it is advisable that persons whom the prosecution and the defence intend to call as witnesses should not be present till it is desirable to call them, there is no rule of law which either precludes them from giving evidence or vitiates their evidence although the weight to be attached to such evidence is a matter for the trial court".

The order of Edwards CJ and Pearson J in *Anywar*'s case is short and reads as follows:

> "One of the grounds of appeal is that the Learned Resident Magistrate refused to allow the Appellants to call PC Ombayo as a defence witness. The Magistrate has noted on the record "Both accused one and two desire to call PC Ombayo as a witness but I observe that PC Ombayo has been sitting in court all the afternoon and has heard evidence of the accused. In these circumstances I cannot entertain calling Ombayo as a witness. PC Ombayo was originally drawn as a prosecution witness but was not then called". Now, while it is advisable that persons whom the prosecution or defence intend to call as witnesses should not be present in court till it is desired to call them, there is no rule of law which either precludes them from giving evidence or vitiates their evidence although the weight to be attached to their evidence is a matter for the trial court. We refer to the words "the court shall then hear the accused and his witness" in line 10 of section 210(1) of the Criminal Procedure Code. We also refer to *Stone's Justices' manual* [1951] Volume 1 at 320 – a person in court although not subpoenaed, is bound to give evidence if called *R v Sadler* [1830]4 C and P 218.
>
> We, accordingly, hold that the Learned Magistrate erred in not allowing the two Appellants to call this police constable as a witness. We, therefore, for the foregoing reasons, direct the District Court of Ankole at Mbarara to take the evidence of constable Ombayo in the presence of the two accused. The police prosecutor will be allowed to cross-examine Ombayo. We are acting under section 336 of the Criminal Procedure Code of 1950".

In *Mubito v R* [1961] EA 244 the Appellant had been convicted of unlawful possession of elephant tusks contrary to section 22(1) of the Game (Preservation and Control) Ordinance of 1959, and his appeal to the High Court was dismissed. A game ranger who had police powers and had investigated the case acted as prosecutor in the Magistrates' Court and also gave evidence. On a second appeal to the Court of Appeal it was argued that the Appellant had been prejudiced by the investigating officer acting as prosecutor and giving evidence, and that the Appellant had discharged the onus placed on him by section 23 of the Ordinance, having given an explanation of the possession of the tusks which might reasonably be true.

The East African Court of Appeal held that:

> "(i) ...
>
> (ii) That the game ranger had taken part in the investigation and was also prosecuting went to the weight of his evidence, not to his competency to give it.

(iii) In a criminal case a person who is known to be a witness should usually be ordered out of court, but if he gives evidence, that evidence is competent, though objection could be made to the weight of it.

(iv) There is no provision in the Evidence ordinance which disqualifies a person from giving evidence merely because he is in court when other witnesses are testifying".

The law that permits courts to exclude people from court proceedings is article 28(2) of the Constitution but the exclusion is discretionary, otherwise no specific law excludes a potential witness from court proceedings. Section 37 of the Trial on Indictments Decree of 1971, suggests that a judge can order a person present in court to testify. Section 116 of the Evidence Act makes every person a competent witness to give evidence in court. Section 119(1) of the same Act makes Nantumbwe a competent witness on behalf of Kazibwe and even the Appellant.

Perusi Nantumbwe testified on oath and was cross-examined at length. The Learned trial Judge dismissed the evidence of Perusi Nantumbwe, wife of Kazibwe, and mother of the Appellant, in the following words:

> "I do not accept the stories of the accused persons as regards events that took place at the scene that they came together to answer the alarm. DW2 and DW3 frantically tried to save accused persons but DW3 was in this court held (*sic*) when all the prosecution witnesses gave evidence as per the report by the State Attorney. So she framed her story after hearing the case for the prosecution".

With all due respect to the Learned trial Judge, these conclusions constitute a very serious misdirection and we think they were very prejudicial to the Appellant's defence of alibi resulting in a miscarriage of justice.

The so called report by the State Attorney, Miss Nandawula, appears at 53 of the record and it was just an utterance made without naming "the offending" witnesses, after the close of the prosecution case and following a statement by the defence Counsel that the accused would testify on oath and would call witnesses. Ms Nandawula then uttered the following words:

> "I wish the court to note that the witness (*sic*) that the accused intend to call as witnesses have been in court all the time when prosecution were giving evidence".

No witness was named. There is nothing to show that witnesses had been told to stay outside the court. Defence does not appear to have been asked to make any comment. Indeed the Judge did not make any ruling on the complaint. Subsequently, Kazibwe, the Appellant and Nantumbwe all testified on oath and each was extensively cross-examined. In particular Nantumbwe was subjected to searching cross-examination for two days during which she said she swore to say the truth. It was never suggested to her that her evidence was based on or influenced by what the, prosecution witnesses had said. The record of the proceedings no where reflects any evidence suggesting that either the Appellant or Perusi Nantumbwe "frantically tried to save accused person".

On the facts of this case, there was a lapse on the part of the trial Judge, the State Attorney and defence leading to the presence in court of Nantumbwe when witnesses for the prosecution gave evidence.

From *Anywar*'s case (*supra*) and *Ayume* (*supra*) it is clear that the action by the two courts below is not supportable. *Andiazi v Republic* [1967] EA 813 shows that this lapse is just irregular, calling for court considering the evidence of the witness to warn itself. The trial Judge should have warned himself and noted the

presence of Nantumbwe in court during the hearing of the case. The Learned Judge should then have given this fact due allowance in considering the defence of the Appellant, in particular the weight to be given to the evidence of Perusi Nantumbwe.

On the basis of *Kifamunte v Uganda* [1997] LLR 72 (SCU) and *Bogere Moses and another v Uganda* Supreme Court criminal appeal number 1 of 1997 (both unreported) we are obliged to review the evidence in this appeal.

Perusal of the record of the evidence of Perusi Nantumbwe along side the rest of the evidence suggests that this was a straight forward witness, a woman aged 48 years, who could not be contradicted in spite of a lengthy and searching cross-examination. The Judge had no sound reason for finding DW3 a liar. After assessing her entire evidence we find the witness was reliable. Her evidence shows that the night of the murder was dark. She is supported by Sempebwa (PW3) to that effect, that is, that the night was dark. This may explain why Zawukana (PW2) had to flash a torch at the attackers on arrival at the scene. He had to flash a torch to examine cut wounds on deceased's body. The evidence of Nantumbwe thus gave full support to the alibi of the Appellant that he was at home at the time the deceased was murdered. In these circumstances, we think that the trial Judge failed to give due weight to the defence evidence before he dismissed the defence as a pack of lies.

It is the duty of a trial judge to give sound reasons for severance of evidence of an unreliable witness; see *Kutosi v Uganda* [1979] HCB 84 (CA). The Court of Appeal relied on *Tajar v Uganda* EA criminal appeal number 67 of 1969 on *Takarwa v Uganda* EACA criminal appeal number 67 of 1972, in upholding the trial Judge. The Court of Appeal assessed the evidence on the defence alibi on the basis that Najja Namale and Nkate Zawukana knew the Appellant and Kazibwe well and therefore the two witnesses properly identified the Appellant and Kazibwe. The two courts did not appreciate the fact that Namale could have problems in identifying the Appellant. The same can be said of Zawukana on the fact that there was moonlight. But Sempebwa contradicts this as does Nantumbwe. The Court of Appeal also relied on the statement of the deceased to the effect that it was the Appellant and Kazibwe who cut her. The attack took place at night. Unfortunately the Court of Appeal did not address itself to the prejudicial misdirection of the trial Judge who disregarded the evidence of Perusi Nantumbwe. The Court of Appeal did not allude to that evidence at all and gave no reasons for that failure. We are unable to say that had the Court of Appeal evaluated Nantumbwe's evidence they would have upheld the decision of the trial Judge.

Namale does not explain how she held the Appellant who was able to cut her at the back and on the shoulder before she could release him. We noted that the second assessor who assisted the Judge during the trial and is in a way a finder of fact, did not believe that Namale, a small person could hold the Appellant for five minutes. He found her and her brother liars and therefore advised acquittal. The trial Judge gave no reasons for disagreeing with this assessor. Although Namale and her brother claim that there was blood on the feet of Kazibwe, yet Sempebwa (PW3) to whom Kazibwe reported apparently immediately after the murder did not see anything. These contradictions which appeared material were not resolved. The trial Judge attached importance to allegations that Kazibwe had the trousers' legs folded. We do not think that the folding of the trousers' legs by Kazibwe is evidence of guilt. It is significant, and we think it is

in the Appellant's favour, that neither Kazibwe nor the Appellant fled the scene, or attempted to run away, when accusations of the killing of the deceased were levelled against them by Namale and her brother, at the home of Sempebwa and at the scene. Nor did any of them resist arrest.

The fact that Najja Namale lied about certain activities which she ascribed to Kazibwe, whom she had not seen do those acts, does raise the real prospect that Namale, as witness, was capable of implicating Kazibwe and her son, the Appellant, because of the recent land and property dispute between the deceased on the one hand and Kazibwe and the Appellant on the other. This point was not eliminated by the courts below. Namale referred to property dispute in her evidence. Zawukana said in his evidence that her mother was killed because of land dispute. Thus these two witnesses' minds could have been prejudiced against the Appellant because of property wrangles.

The deceased had been sick (according to Namale) for two weeks. She appears to have been quite sick on the night of the attack. This explains giving her medicine in the dead of night. Her flight from bed could in the circumstance not be easy and simple so that she was able to identify the attackers. That night was dark, so it is probable she could not recognize her attackers inflight. She appears to have died instantly. In the circumstances and considering the bad relationship between them, there was great temptation for the deceased to name Kazibwe and the Appellant as her attackers because of the property dispute, and the alleged theft of coffee by the Appellant. Therefore the statement by the deceased naming the Appellant as her attacker is of little probative value, if any. We think that the circumstances under which Zawukana allegedly sighted the attackers are unconvincing. First he claims he found Kazibwe fleeing from the scene. He attempted to beat Kazibwe. But later he suggests he found Kazibwe standing. Further he claims the Appellant came out of the house running and run away. He and Namale chased these two. In the same breath he examined the deceased before he chased the two attackers. He was obviously and naturally concerned more with the deceased.

Considering that the evidence of Namale is partially false and that the defence evidence was ostensibly consistent, we are unable to say that the prosecution had discharged the burden of proof in this case, which is beyond reasonable doubt.

In our view the failure by the two courts below to give due allowance to the evidence of Nantumbwe in support of the alibi raised by the Appellant, which was fully supported by the evidence of Nantumbwe, which evidence was not discredited, amounts to a miscarriage of justice. Consequently we think that ground two must succeed.

We find it unnecessary to deal with the first ground of appeal.

This appeal is allowed, the conviction quashed and the sentence set aside and unless the Appellant is held on some other lawful charge, he must be released forthwith.

For the Appellant:
Kafuko-Ntuyo instructed by *Kafuko-Ntuyo & Co*

For the State:
M Wamasebu, Principal State Attorney instructed by the Director of Public Prosecutions

Shiv Construction Co Ltd v Endesha Enterprises Ltd
[1999] 1 EA 329 (SCU)

Division: Supreme Court of Uganda at Mengo

Date of ruling: 18 March 1999

Case Number:	4/98
Before:	Oder, Tsekooko, Karokora, Mulenga and Kanyeihamba JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Contract – Breach of contract – Joint venture agreement to set up company – Contracts in favour of a third party – Application for specific performance – Consideration – Whether Respondent had standing to bring suit – Whether incorporation of company extinguished the parties' rights and duties under joint venture agreement.

Editor's Summary

Some time in 1988, Jadva Patel and Depak Haria, the managing directors of the Appellant and Respondent companies respectively, came up with a plan to form a joint business venture to carry out an industrial project. The project was to be carried out on a plot of land owned by the Appellant. After some negotiations, the parties agreed to set up the project under the name Endesha Industries Limited. On 7 December 1988, the parties signed a joint venture agreement setting out the duties and obligations of each party, as well as the memorandum and articles of association of the new company. The agreement provided, *inter alia*, that the Appellant and the Respondent would take 5% and 95% of the new company's shares respectively, and that the Appellant would transfer the plot to the new company's name. The company was duly incorporated on the following day, 8 December. After the incorporation of the company, the parties continued to perform their obligations under the agreement with the Respondent delivering a variety of building materials to the site. The Respondent also provided or paid for labour for the construction of structures on the site even though the joint venture agreement provided that the Appellant would pay for the labour. After the construction was completed in 1990, relations between Jadva Patel and Depak Haria began to deteriorate. Despite the misunderstanding, Depak Haria placed orders for the importation of machines from Switzerland. However, matters deteriorated to such an extent that on 4 March 1991, Jadva Patel advertised for tenants for a godown on the plot and issued Depak Haria with an order barring him from accessing the site. This was the godown upon which Depak Haria had, on behalf of the Respondent, expended money to construct premises for the use of Endesha Industries. The Respondent then brought action against the Appellant seeking specific performance and general damages for breach of the joint venture agreement. In response, the Appellant filed a defence challenging the Respondent's competence to sue and a counterclaim seeking damages arising from the injunction issued by the High Court barring the Appellant from using the godown.

At the conclusion of the trial, the trial Judge found in favour of the Respondent and ordered the Appellant to, *inter alia*, provide access to the plot and transfer the same to Endesha Industries. He also awarded the Respondent UShs 11,9 million for storage charges related to the imported machinery and UShs 1 million in general damages for breach of contract. The Appellant

appealed to the Court of Appeal, which dismissed its appeal save with regard to the award for storage charges.

The Appellant now appealed to the Supreme Court contending, *inter alia*, that the Court of Appeal had erred in holding that the Respondent had standing to bring suit and in holding that there had been valuable consideration for the joint venture agreement. Counsel for the Appellant argued, *inter alia*, that the joint venture agreement between the Appellant and the Respondent was not an enforceable contract and that the Respondent had no standing to enforce the contract after the incorporation of Endesha Industries. In reply, Counsel for the Respondent contended that the joint venture agreement was not a pre-incorporation agreement made on behalf of Endesha Industries but a business agreement which had to be construed in such a way as to give it business efficacy.

Held – Counsel for the Respondent's submission to the effect that the joint venture agreement was a business agreement and not a pre-incorporation agreement was supported by the evidence before the court. Accordingly, the real issue before the court was whether the joint venture agreement ceased to apply upon the execution of the memorandum and articles of association. The evidence showed that the agreement was executed on 7 December 1988, the same day that the memorandum and articles of association of Endesha Industries were signed. It was therefore inconceivable for the parties to have already carried out their duties and obligations under the agreement before the incorporation of the company on 8 December. Moreover, if the incorporation of the company was meant to extinguish the rights and duties of the parties under the agreement, the memorandum and articles of association were likely to have said so. The conduct of the two principals showed that it was their intention to perform and fulfil their respective obligations under the agreement until Endesha Industries became operational. The parties intended to create a contractual relationship between themselves and there was no evidence to support the Appellant's contention that upon the incorporation of the company, the agreement ceased to exist.

In holding that though a contract for the benefit of a third party did not enable the third party to assert rights arising under it, the contract remained enforceable between the promisor and the promisee, the Court of Appeal had correctly stated the relevant principles and related those principles to the facts. Moreover, in proper cases a court could make an order of specific performance in favour of third parties at the instance of one of the contracting parties.

The Court of Appeal had not erred in finding that the joint venture agreement revealed the exchange of promises constituting consideration.

Appeal dismissed with costs to the Respondent.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Damodar Jinabhai and Co v Eustice Sisal Estates [1967] EA 153

Jiwaji v Jiwaji [1968] EA 547

Lulume v CM Board [1970] EA 155

Mawogola Farmers Ltd v Kayanja [1971] EA 272

Qadasi v Qadasi [1963] EA 142

Senyonga v Kakoza Supreme Court civil appeal number 9 of 1990 (UR)

United Kingdom

Beswick v Beswick [1968] AC 58

Currie v Misa [1875] LR 10 Exch 153

Hohler v Aston [1920] Ch D 420

Jackson v Holiday Horizon Holidays [1975] All ER 92

Kelner v Baxter [1866] LR 2 CP 174

Natal Land and Colonization Co Ltd v Pauline Colliery and Development Syndicate Ltd [1904] PC 120

Newborne v Sensolid (GB) [1954] 1 QBD 45

Rayfield v Hands [1960] 1 Ch D 5

Re London, Hamburg and Continental Exchange Bank (Evans case) [1867] 2 LR Ch App 427

Re South Blackpool Hotel Co (Megottis case) [1867] IV LR Eq 238

Judgment

Tsekooko JSC: The Appellant was the Defendant in the High Court where the Respondent was the Plaintiff. The Respondent instituted an action claiming for specific performance of a joint venture Agreement (Exhibit P1) and won the action. The Appellant appealed to the Court of Appeal and lost the appeal. Hence the present appeal.

The facts in this case are a tale of two men and their respective companies, the Appellant company and the Respondent company. The story begins with Jadva Kadva Karsan Patel (DW1) who is the Managing Director of the Appellant company and Depak Kumar Prenchand Haria (PW1) who is the Managing Director of the Respondent company. PW1 is a Kenyan Asian who has had business activities in Uganda from about 1979. He incorporated the Appellant company in 1980's in this country. Patel (DW1) is also a Kenyan. He used to be a building foreman in a company called Kay Dee Construction Company Limited which belonged to his relatives. In 1980's he set up the Appellant company essentially to deal in the Construction Industry. During 1985 the two men met in a Hindu temple and struck a friendship. Haria stayed in Patel's home for two weeks. In 1986 the Appellant company carried out some construction work or renovation for either Mr Haria's family or for the Respondent company. It is not clear which but that is immaterial.

On 5 September 1986 the Appellant company applied to Kampala City Council (KCC) for and was allocated a plot of land described as plot number M 477 near Kyambogo, a suburb of Kampala City. On 17 October 1986 KCC offered the plot to the Appellant. It appears that at that time KCC had estimated its (plot's) measurement to be 0.43 hectares (see Exhibit P23). On 20 October 1986 a lease (Exhibit P24) was given to the Appellant. The Appellant got building plans (Exhibit P2, D1 and D2) drawn up. The plans were approved by KCC. These drawings show that the Appellant proposed to construct a workshop and offices on the plot. Further, according to Exhibit P23, KCC offered the plot

to the Appellant to construct a workshop to manufacture

precast products on certain conditions. On 14 June 1987 the Ministry of Industry wrote to the Appellant a letter (Exhibit D3) authorising the Appellant to operate a small scale industry to manufacture precast materials and slabs on the same plot. On 5 April 1988 KCC granted the Appellant a licence (Exhibit D4) to erect and operate a factory/workshop for the manufacture for sale of concrete pipes and precast materials. Appellant was required to submit progress reports every 6 months and renew the licence every year. The licence obviously relates to the same small scale industry which appears to have been a temporary affair. So far evidence suggest that only one workshop and offices were to be constructed on the plot.

During 1988, Haria (PW1) and Patel (DW1) hatched a plan to form a joint business venture. They wanted to set up an industrial project. The evidence of the two men is in conflict as to what type of industry was to be set up. Whereas Haria says that they agreed to set up a textile industry, Patel says that they intended to set up a soap industry. Surprisingly, the joint venture agreement (Exhibit P1) contains nothing about the nature of the industry. But objects 3(*a*), 3(*i*), 3(*k*) and 3(*n*) in the memorandum and articles of association of the company refer to setting up soap industry and textile industry. It appears the Respondent had more money and was prepared to spend more on the joint venture company. The parties negotiated and agreed to form a joint industrial project under the name Endesha Industries Limited. The two engaged the service of M/s Muwayire-Nakana and Company Advocates, who drew the joint venture agreement (Exhibit P1) and the memorandum and articles of association (Exhibit P2) of Endesha Industries Limited. The parties signed the agreement (Exhibit P1) and memorandum and articles of association on 7 December 1988. Endesha Industries Limited was indeed incorporated the following day, on 8 December 1988. These dates are significant as we shall show later because in Exhibit P1 the parties spelt out the objectives to be achieved so as to make Endesha Industries Limited a reality. Those objectives are the subject of these proceedings.

The joint venture agreement (Exhibit P1), was put in evidence by consent, at any rate without objection from the Appellant. The incorporation of Endesha Industries Limited was a fulfilment by the Appellant and the Respondent of their duties and obligations under that agreement. Indeed, after the incorporation of the company, the Appellant and the Respondent began, and they continued, to perform their duties and obligations as set forth in Exhibit P1. These duties and obligations included provision of labour, building materials and construction of the godown.

The written statement of defence and the counterclaim by the Appellant and the evidence of DW1 adduced at the trial suggest that prior to 8 December 1988, Patel or the Appellant had put some structures on part of plot M 477. It is however, remarkably surprising that neither Exhibit P1 nor P2 which were drawn at the same time refers to any existing developments on the plot. Apart from the testimony of DW1, whom the Court of Appeal found to be unreliable, no credible evidence shows exactly what was on plot M 477 before the parties entered into a joint venture agreement. I say no credible evidence because the evidence of DW5 Wasswa appears to contradict DW1 and Exhibits D1, D2, D3 and D4.

Between execution of Exhibit P1 on 7 December 1988 and 15 May 1990 the Respondent delivered a variety of building materials to the site as a result of

which a substantial structure was erected and, according to PW1, another structure was constructed and completed. As I stated earlier Exhibit P1 did not stipulate the type of Industry which Endesha Industry Limited would operate. However, DW1 claimed it was to be a soap industry. PW1 claimed it was to be a textile industry and that is why certain parts of the structures on the plot were constructed to accommodate a textile industry. It would seem that because the Appellant lacked sufficient funds the Respondent provided or paid for labour for the construction whereas labour should have been provided or paid for by the Appellant as stipulated in Exhibit P1.

It appears that after the completion of construction in 1990 there was a misunderstanding between PW1 and DW1. Inspite of the misunderstanding, in 1991 PW1 looked for and placed orders for importation of textile industrial machine from Switzerland for making textiles such as *Bikoyis* etc. The relationship between PW1 and DW1 continued to worsen. On 4 March 1991, DW1 advertised in the New Vision Newspaper invitations (Exhibit P16) for tenants for a godown. This was the godown upon which PW1 had on behalf of the Respondent expended money to construct a godown for use by Endesha Industries Limited. The relationship between the two men (rather than the two parties to these proceedings) dived further. On 11 March 1991, the Appellant wrote Exhibit P15 to the Respondent calling for a meeting to sort out problems arising from the running of Endesha Industries Limited. DW1 issued to PW1 an order barring the latter access to the site on the ground that PW1 had not spent any money on the project. In point of fact DW1 wanted Endesha Industries Limited to be dissolved. Because DW1 denied the Respondent access to the suit property, the Respondent brought an action in the High Court against the Appellant claiming for specific performance and for general damages for breach of the joint venture agreement (Exhibit P1). In response, the Appellant filed an amended defence and counterclaim. In its defence, the Appellant challenged the competence of the Respondent to sue. In its counterclaim, the Appellant claimed for daily loss of $ 5 000 and general damages arising from an injunction which had been issued by the High Court in favour of the Respondent, in effect, barring the Appellant from using the godown.

Whilst DW1 maintained that PW1 or the Respondent did not contribute any penny to the construction of the godown or the other structures on the disputed site, yet during the trial many receipts were tendered in evidence on behalf of Respondent, and unchallenged, as evidence of payments made by PW1 to purchase or transport materials for construction on the site. Indeed DW3, Mathew Okello, testified that the Respondent spent at least 21 million on the construction work.

The following issues were framed for the decision of the trial court:

"(1) Whether the plaintiff's suit is misconceived and bad in law.

(2) Whether the plaintiff is suing as a share-holder in Endesha Industries; if not then under what capacity.

(3) Whether the suit agreement is a partnership deed and whether it is enforceable.

(4) Whether the parties' obligation under the suit agreement ceased to exist upon incorporation of Endesha Industries Limited.

(5) Whether the plaintiff attempted to defraud the defendants in the suit agreement and if so what are the consequences?

(6) Whether either party breached the suit agreement.

(7) Whether the parties are entitled to the remedies prayed for in the pleadings.

Issues on counterclaim were:

(8) Whether the defendant has been restrained by court from using the suit premises.

(9) Whether the defendant has suffered any loss as a result of the suit and the injunction".

The Learned trial Judge heard the suit in which a considerable number of documentary Exhibits (P1 to P33 and D1 to D17) were produced in evidence. At the conclusion of the trial, the Learned trial Judge on 27 September 1996 decided the suit in favour of the Respondent and dismissed the Appellant's counterclaim in the following words:

"1. The defendant company is directed to immediately make plot M477 accessible to the plaintiff company and to transfer the same to Endesha Industries Limited when the developments are completed.

2. The plaintiff is awarded UShs 11 900 000 for payment of the storage charges of the machinery.

3. The plaintiff is awarded general damages for breach of contract of UShs l million.

4. …

5. The plaintiff is awarded interest on 2 and 3 above at court rates per annum.

6. The plaintiff is awarded costs of the suit. The defendant's counterclaim stands dismissed".

The Appellant appealed against the decision of the trial Judge to the Court of Appeal. Twelve grounds of appeal were preferred in the Court of Appeal. Except for ground ten, the rest of the grounds of appeal in the Court of Appeal were unsuccessful. Ground ten was against the award of UShs 11,9 million decreed as storage charges. The Appellant has appealed to this Court against the judgment of the Court of Appeal except as regards the decision about UShs 11,9 million.

In this Court the appeal is based on the following seven grounds of appeal:

"1. The Learned Justices of Appeal failed to appreciate that the suit property mentioned in the pre-incorporation agreement between the parties was meant to be the shareholding of the Appellant in Endesha Industries Limited and hence erred in law in holding that the Respondent as a promoter could bring an action against the Respondent (*sic*) as a shareholder in Endesha Industries Limited to enforce payment of its shareholding in Endesha Industries Limited pursuant to the pre-incorporation agreement.

2. The Learned Justices of Appeal erred in law in holding that the trial Judge properly made an order for the Appellant to transfer the suit property to Endesha Industries Limited when there was evidence that the Appellant had already paid for its shares in Endesha Industries Limited.

3. The Learned Justices of Appeal failed to appreciate that whatever contribution was made by either of the parties under the pre-incorporation agreement would constitute consideration to Endesha Industries Limited for acquiring shares therein and hence erred in holding that there was valuable consideration furnished by the Respondent to the Appellant under the said agreement.

4. The Learned Justices of Appeal erred in law in failing to appreciate that whatever obligations were imposed by the preincorporation agreement to form Endesha Industries Limited ceased to be enforceable between the Appellant and the Respondent *inter se* after the incorporation of Endesha Industries Limited which imposed different obligations by its memorandum and articles of association to which both parties were signatories.

5. The Learned Justices of Appeal erred in law in confirming an order of the trial Judge for the Appellant to transfer the suit property in the name of Endesha

Industries Limited when at the time of the said order the lease in respect of the suit property had long expired.

6. The Learned Justices of Appeal erred in law in holding that the Appellant had a right to recover the suit property as a trustee of Endesha Industries Ltd when it did not sue as such trustee.

7. The Learned Justices of Appeal erred in law in confirming the decision of the Learned trial Judge rejecting the Appellant's counterclaim".

I think that the word "Respondent" appearing for the second time in the first ground was meant to be "Appellant".

Mr *James Nangwala*, who had represented the Appellant in the courts below, argued the appeal on behalf of the Appellant. He argued grounds one and two together. But his arguments in effect also covered grounds 3 and 4. Learned Counsel submitted that the Court of Appeal did not appreciate the facts in the case and consequently came to wrong conclusions. Counsel referred to the proposition of company law, which is correct, that a company cannot take benefit of a contract made on its behalf prior to the incorporation of the company except where it is subsequently adopted by the company in its favour or a new one incorporating the terms of the original is made after incorporation: See *Mawogola Farmers Ltd v Kayanja* [1971] EA 272 at 274. Learned Counsel then contended that the trial Judge and the Court of Appeal failed to appreciate the purposes mentioned in Exhibit P1. I do not quite appreciate the contentions, but learned Counsel appears to argue that Exhibit P1 did not provide for enforcement of rights of the new company because enforcement of rights of the new company is provided for in its memorandum and articles of association (Exhibit P2). I think that generally that is correct. Learned counsel made a well established proposition that a company is regulated by its memorandum and articles of association in the management of the company's affairs. Learned counsel then made a statement that Exhibit P1 as a contract between the Appellant and the Respondent is not an enforceable contract. The basis for this rather bold, and in my opinion incorrect, contention was that the Appellant company's memorandum and articles of association contained provisions for enforcement of rights of the new company. He referred to section 54(1)(*b*) and 54(2) of the Companies Act as well as articles 3 and 15 to 21 of the articles of association of Endesha Industries Limited. He cited a number of authorities to support his arguments. The authorities included *Rayfield v Hands* [1960] 1 Ch D 1 at 5; *Company Law* by R Pennington (3ed) (1973) at 141; In *Re South Blackpool Hotel Co* (*Megottis* case) [1867] IV LR Eq 238 at 240; In *Re London, Hamburg and Continental Exchange Bank* (*Evans* case) [1867] 2 LR Ch App 427 at 430. Counsel submitted that if the Court of Appeal had appreciated these factors by which I understand Counsel to mean management of an incorporated company, the court should have held that the Respondent as promoter or agent could not institute these proceedings. Counsel argued that Order 1, rule 1 of Civil Procedure Rules confers no right to the Respondent to institute these proceedings.

In response, Mr *Tibaijuka*, Counsel for the Respondent, argued grounds 3 and 4 first which related to the issue of consideration. He then argued grounds 1, 2, 4 and 6 together. I will consider arguments on grounds 1 and 2 first.

Mr *Tibaijuka* supported the decisions and the reasoning of the courts below. He submitted that Exhibit P1 was not a pre-incorporation agreement made on behalf of Endesha Enterprises Limited. That the suit leading to these proceedings was not instituted as a company cause. He referred us to *Gower's Principles of Modern Company Law* (3ed) at 280–282 in support of the proposition that the

promoters can enter into a binding contract prior to incorporation of a company. That where a benefit of a contract is intended for a company to be incorporated, specific provisions can be made in a contract to cater for such eventuality.

In the case before us the parties to Exhibit P1 freely agreed to perform certain duties and to fulfil specified obligations until a godown was completed and an industry put in place. I think that this is reflected in clause 10 of Exhibit P1. Mr *Tibaijuka* cited *Senyonga v Kakoza* Supreme Court civil appeal number 9 of 1990 (UR); *Jiwaji v Jiwaji* [1968] EA 547, and *Lulume v CM Board* [1970] EA 155 to support the proposition that as Exhibit P1 was a business agreement, this Court should construe the agreement in such a way as to give the agreement business efficacy. I think that on the facts of this case this argument is sound. In any case the issue here is not interpretation of Exhibit P1. The issue raised by the Appellant is that Exhibit P1 ceased to apply or to have effect on the matters set out in it (Exhibit P1). I am not persuaded by Mr *Nangwala*'s arguments. As I have already stated in this judgment, the agreement (Exhibit P1) was freely executed by the parties on 7 December 1988. Surprisingly that was the same day when the Appellant and the Respondent signed the memorandum and articles of association of Endesha Industries Limited which was incorporated following day (8 December 1988). I say surprisingly because if the duties and the obligations created by Exhibit P1 were not expected to endure beyond the incorporation of Endesha Industries Limited, I cannot find any earthly reason why Exhibit P1 was made at the same time as Exhibit P2 and why provisions to that effect were not included in the agreement. Short of a perfect heavenly miracle, in the circumstances of this case it would be inconceivable for the parties to Exhibit P1 to have carried out their duties and obligations under Exhibit P1. The parties could not have fulfilled the duties and obligations imposed upon them by the provisions of Exhibit P1 before the incorporation of Endesha Industries Limited, on 8 December 1988 which is one day after execution of Exhibit P1. The construction work alone took years. I refer in particular to paragraphs 4, 5, 6, 7, 8, 9 and 10 of Exhibit P1. Unless the matters provided in those paragraphs had been accomplished already, neither party could have performed its part of the bargain between the execution of Exhibit P1 on 7 December 1988 and the incorporation of Endesha Industries Limited on 8 December 1988. It would be naive to say that these duties and obligations had been accomplished already. If that were so there would have been no need for Exhibit P1 to be executed. If that was the state of affairs, that is stipulation to do what had already been carried out, then Exhibit P1 and the memorandum and articles of association (Exhibit P2) would surely have clearly stated so. Moreover the conduct of PW1 and DW1 shows that their intention in making Exhibit P1 was to perform and fulfil the respective duties and obligations in the future and their evidence supports this. Thus after execution of Exhibit P1, the delivery of building materials was effected by PW1 and DW1. Construction of the godown was carried out until March 1991 when serious problems in the management of Endesha Industries Limited arose. It must have been in the contemplation of PW1 and DW1 by 7 December 1988, when Exhibits P1 and P2 were signed by the parties, that the Appellant and the Respondent intended and meant to carry out their parts of the bargain set forth in Exhibit P1 until Endesha Industries Limited became operational. With respect to Mr *Nangwala*, I think that the intention of the parties to Exhibit P1 was to create contractual relationship whereby each party would perform its promises in Exhibit P1 until an Industry was set up and until the suit plot was transferred to Endesha Industries Limited.

In the first and sixth grounds of appeal and in his arguments Mr *Nangwala* complains that the Court of Appeal held that the Respondent instituted the suit as a promoter or as a trustee of Endesha Industries Limited. I think grounds one and two in the appeal before us are a version of grounds 1, 2 and 9 of the appeal in the Court of Appeal. That court considered the said grounds 1, 2 and 9. The leading judgment of the Court of Appeal was delivered by Berko JA. The other members of the court concurred with him. The relevant passages relating to grounds 1, 2 and 9 appear at 664, 666 and 667 of the record of appeal in the judgment of the Learned Justice of Appeal.

At 664, the Learned Justice of Appeal, (Berko) stated:

> "Grounds 1, 2, 9 and 11 can conveniently be considered together. The issues in those grounds are (i) Whether the Respondent, as a promoter can bring an action against the Appellant, another promoter, to enforce the terms under a pre-incorporation contract purporting to have been made for the benefit of Endesha Industries Limited prior to its incorporation and (ii) Whether the Judge was right in making an order for specific performance of the contract purporting to have been made for the benefit of Endesha Industries Limited before it was incorporated.
>
> It is true that until a company has been incorporated it cannot contract or enter into any other act in law. Nor once incorporated can it become liable on or entitled under a contract purporting to be made on its behalf prior to incorporation, for ratification is not possible when the ostensible principle did not exist at the time the contract was originally entered into. See *Kelner v Baxter* [1866] LR 2 CP 174. The principle was succinctly put by the Privy Council in the case of *Natal Land and Colonization Co Ltd v Pauline Colliery and Development Syndicate Ltd* [1904] PC 120 the headnote reads:
>
> 'A company cannot by adoption or ratification obtain the benefit of a contract purporting to have been made on its behalf before the company came into existence. In order to do so a new contract must have been made with it after its incorporation on the same old one'".

The Learned Justice of Appeal then referred to *Newborne v Sensolid (GB)* [1954] 1 QBD 45 and to the Contract Act (Chapter 75) of the Laws of Uganda and other cases and continued at 666:

> "Although a contract for the benefit of a third party generally does not enable a third party to assert rights arising under it, the contract remains enforceable and binding nevertheless between the promisor and the promisee and in an appropriate case, the promisee can even seek a remedy of specific performance of the contract. The case of *Beswick v Beswick* [1968] AC 58 is a good illustration of the principle …
>
> The authorities where the remedy of specific performance has been applied in such circumstances are numerous. In *Hohler v Aston* [1920] Ch D 420, Sargant J enforced a contract relating to the purchase of a house for the benefit of third parties".

It is obvious from the passages which I have just reproduced from the judgment of the Learned Justice of Appeal that the Learned Justice properly directed himself to the relevant principles and correctly related those principles to the facts of the case before the Court of Appeal before he concluded that the right and indeed the duty of one of the contracting parties to take action to enforce contract made for the benefit of a third party is not in doubt. And also the power, and indeed the duty, in proper cases, of a court of equity to make an order of specific performance in favour of third parties at the instance of one of the contracting parties is again not in doubt.

There can be no doubt that the intentions of the parties before us (enshrined in the provisions of Exhibit P1) were to perform the various acts which each of the parties undertook to perform for the benefit of Endesha Industries Limited.

Indeed, clauses 5, 6, 7 and 10 which I will reproduce later envisaged that the acts which each party was to perform were for the mutual benefit of the parties and for the benefit of Endesha Industries Limited. Each party made a solemn promise to the other to carry out its duties and obligations under the contract to ensure "success of the new company". For instance, paragraph 5 of Exhibit P1 binds the Appellant as follows:

> "The first participant has agreed for the mutual benefit of both participants and for the success of the new company, it will provide land, labour, machinery and tools to erect a godown for the new company in lieu of their 5% share contribution in the new company".

Furthermore, by clause 13 of Exhibit P1, the Appellant and the Respondent contracted that:

> "any dispute concerning the duties, obligations and rights and benefits of the participants hereunto shall be referred to an arbitrator ... provided that nothing herein shall affect the right of each party to justice of court on reference of a dispute for court decision".

This means that the two parties contemplated possibilities of disputes which could be referred to either arbitration or to a court of law, as is now the case.

After reviewing the facts in these proceedings and relating them to the law, I cannot find any error of either law or fact committed by the Learned Justices of the Court of Appeal.

Learned Counsel (Mr *Nangwala*) referred us to sections 54(1)(*b*) and 54(2) of the Companies Act and submitted that the contract embodied in Exhibit P1 is not one envisaged by the provisions of section 54. That a contract for allotment must be between the company and shareholder. Mr *Nangwala* appears to suggest that because of these provisions the Respondent could not enforce Exhibit P1. These provisions read as follows:

> "54 (1) Whenever a company limited by shares or a company limited by guarantee and having a share capital makes any allotment of its shares, the company shall within sixty days thereafter deliver to the Registrar for registration:
>
> (b) in the case of shares allotted as fully or partly paid up otherwise than in cash, a contract in writing constituting the title of the allotee to the allotment together with any contract of sale, or for services or other consideration in respect of which that allotment was made, such contracts being duly stamped, and a return stating the number and nominal amount of shares so allotted, the extent to which they are to be treated as paid up, and the consideration for which they have been allotted.
>
> (2) Where such a contract as above-mentioned is not reduced to writing, the company shall within sixty days after the allotment deliver to the registrar for registration the prescribed particulars of the contract stamped with the same stamp duty as would have been payable if the contract had been reduced to writing, and those particulars shall be deemed to be an instrument within the meaning of the Stamps Act, and the registrar may as a condition of filing the particulars, require that the duty payable thereon be adjudicated under section 34 of that Act".

These provisions clearly do not support the contentions of Mr *Nangwala* to the effect that the Respondent could not enforce rights and obligations contained in Exhibit P1 after incorporation of Endesha Industries Limited. I think that grounds 1 and 2 must fail. So must 6.

I think that the conclusions which I have reached on the first and second grounds dispose of this appeal. As Mr *Nangwala* quite correctly pointed out, the

appeal is based on these grounds which are also connected to grounds three and four. As a matter of fact Mr *Nangwala* did not raise substantial arguments on the third and fourth grounds which grounds I propose to discuss briefly.

The complaint in ground three is that the Court of Appeal erred by holding that Exhibit P1 shows that the Respondent provided valuable consideration to the Appellant. The complaint raised by the fourth ground of appeal is that because of the incorporation of Endesha Industries Limited, the Appellant and the Respondent could not enforce their obligations set forth in Exhibit P1 because the memorandum and articles of association (Exhibit P2) of the new company imposed different obligations.

I must straight away say in regard to ground four that the contents in Exhibit P2 did not replace those in Exhibit P1. Nor did the incorporation of Endesha Industries on 8 December 1988 extinguish the rights and duties of the parties to Exhibit P1 which had been executed on the previous day (7 December 1988). If this was to be the case the memorandum and articles of association would have stated so. There is no credible evidence from the record of evidence and documentary exhibits to support the contention of Mr *Nangwala* that upon incorporation, the joint venture agreement ceased to exist.

Mr *Nangwala* argued ground three by criticizing the holding by the Court of Appeal (at 668) that there was valuable consideration. On ground 4, Learned Counsel submitted that the obligation of the parties in Exhibit P1 which were not included in the memorandum and articles of association (Exhibit P2) ceased to have effect. He cited *Damodar Jinabhai and Co v Eustice Sisal Estates* [1967] EA 153 in support of the proposition that a draft agreement is not admissible as evidence. I think that that decision is wholly inapplicable to the facts of this appeal. In that case a draft agreement was held by the trial Judge to be inadmissible in evidence because (and the East African Court of Appeal agreed that) that draft agreement was really evidence of prior negotiations which is inadmissible.

Mr *Tibaijuka* supported the decision of the two courts below when he argued grounds 3 and 4. He submitted that Exhibit P1, the evidence of PW1 and of DW1 show that the Respondent provided valuable consideration. He argued that promoters of a company can enter into a binding pre-incorporation agreement. He relied on *Currie v Misa* [1875] LR 10 Exch 153; *Qadasi v Qadasi* [1963] EA 142 for the view that there was valuable consideration.

When I discussed the first and the second grounds I discussed matters raised by grounds 3 and 4.

In his judgment in the court below Berko JA considered the issue of consideration in the following words (at 668 of the record):

> "A classic definition was given in the case of *Currie v Misa* … where it was said:
>
> 'a valuable consideration, in the sense of the law, may consist either in some right, interest, profit or benefit accruing to one party, or some forbearance, detriment or loss or responsibility given or suffered or undertaken by the other'.
>
> The motive of the parties in entering in the joint venture agreement was to create legal rights and obligations by the agreement which disclosed consideration on the face of it. In the agreement of 7 December 1988 it is necessary to go no further than paragraphs 1 and 2 to see that it contains reciprocal promises. Each undertakes to take shares in the new company they have agreed to form. These are promises in the eyes of the law for each party has an interest, with financial implications, in establishing the new company to carry on the objectives of the joint venture. There are further promises in paragraphs 4, 5, 6 and 7".

With respect I agree with these conclusions and see *Halsbury's Laws of England* (3ed) Volume 8 paragraphs 198 and 199 where the definition and examples of consideration are given. Similar statement of the law on consideration is referred to by East African Court of Appeal in the case of *Qadasi v Qadasi* [1963] EA 142 at 145.

The duties and obligations of the parties to Exhibit P1 are set out in (paragraphs 1 to 7) of Exhibit P1. They read as follows:

> "*Whereas*
>
> (*a*) The Participants hereto have hitherto carried on business in Uganda individually.
>
> (*b*) The Participants hereto are desirous of jointly forming a new company for an industrial project under the name of Endesha Industries Limited for their mutual benefit on terms and conditions hereinafter set forth.
>
> *Now therefore this agreement witnesseth and it is hereby agreed* as follows:
>
> 1. The Participants hereto hereby agree to form jointly a new company for an industrial project under the name of Endesha Industries Limited whose headquarters shall be at plot 14/5 Wilson Road Kampala.
> 2. The Participants hereunto hereby agree that M/S Endesha Enterprises Limited the second participant shall take 95% of the new company's shares and M/S Shiv Construction Limited the first participant shall take 5% of the new company's shares.
> 4. The Participants hereunto hereby agree that Shiv Construction Limited first participant shall hand over land comprised in Block … plot M 477 land at Nakawa measuring 0.43 hectares to this new company and shall assist in the transfer of title into the new company's name.
> 5. The first participant has agreed that *for the mutual benefit of both participants and for the success of the new company it will provide land, labour, machinery, and tools to erect a godown for the new company in lieu of their 5% share contribution in the new company*.
> 6. The second participant has agreed that for the mutual benefit of both participants and for the success of the new company *it will provide building material and other accessories required to erect the godown on the land provided by the first participant*.
> 7. The second participant has agreed it will bring in machinery required for industry and this will then contribute its 95% share contribution to the new company".

The promises and obligations stipulated in paragraphs 4 to 7 were never put in Exhibit P2 which as I stated earlier in this judgment, were to be carried out by each party to the agreement until the Endesha Industry Limited was established. The setting up of the Industrial project (factory) has not been completed as contemplated by the parties. The parties are bound by Exhibit P1, a legal and binding document of their own creation.

With respect to Mr *Nangwala*, I cannot understand how the case of *Damodar Jinabhai* (*supra*) is relevant. In so far as it is relevant that case is authority for the proposition that generally a draft of an agreement is evidence of negotiations between the parties involved and may not except in some circumstances be admissible where the resultant agreement is a subject of a legal action between the parties to the resultant agreement.

Clearly, the facts of *Jinabhai* case, the conclusions therein of the Court of Appeal for East Africa do not support Mr *Nangwala*'s contentions on the validity or invalidity of the pre-incorporation agreement (Exhibit P1) in the appeal before us. I think that grounds 3 and 4 must also fail.

Mr *Nangwala* half-heartedly referred to ground 6 and to the case of *Jackson v Holiday Horizon Holidays* [1975] All ER 92. Discussions on grounds 1 and 2

dispose this ground. *Jackson*'s case is of no relevancy to this appeal and ground 6 must therefore fail. As I stated earlier these conclusions dispose of this appeal. I would dismiss the appeal with costs to the Respondent here and in the courts below.

(Oder, Mulenga, Karokora and Kanyeihamba JJSC concurred in the judgment of Tsekooko JSC).

For the Appellant:
J Nangwala

For the Respondent:
Tibaijuka

Tanzania Breweries Ltd v Kibo Breweries Ltd and another
[1999] 1 EA 341 (HCT)

Division:	High Court of Tanzania at Dar-Es-Salaam
Date of ruling:	10 August 1999
Case Number:	34/99
Before:	Kalegeya J
Sourced by:	AT Nguluma
Summarised by:	A Mwanzia

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[1] Civil procedure – Injunction – Temporary injunction pending suit – Conditions to be satisfied before injunction may be issued – Alleged infringement of trade marks – Burden of proof – Duty of applicant to satisfy court of resemblances capable of deceiving a common person – Whether applicant established a prima facie *case.*

Editor's Summary

The Plaintiff/Applicant was the manufacturer and distributor of the three beer brands, Kilimanjaro Premium Lager, Kilimanjaro Lager and Snow Cap. Among other features on the respective trade marks of the beer brands was the Kibo Peak of Mount Kilimanjaro. The Defendants/Respondents introduced a new beer branch called Kibo Gold whose feature of the trade mark, *inter alia*, was the same Kibo Peak of Mount Kilimanjaro.

The Plaintiff brought suit against the Defendants seeking a permanent injunction to restrain the Defendants from infringing on its registered trade marks. Simultaneously with the suit, the Plaintiff brought an application praying for a temporary injunction restraining the Defendants from selling, displaying or disposing products depicting the Kibo Peak of Mount Kilimanjaro.

Held – Three conditions must be satisfied before a temporary injunction can be issues; firstly, that there must be a serious question to be tried on the facts alleged and a probability that the Plaintiff will be entitled to the relief prayed; second, that the court's interference is necessary to protect the Plaintiff from the kind of injury which may be irreparable before his legal right is established; third, that on a balance of convenience, there will be greater hardship and mischief suffered by the Plaintiff from the

withholding of the injunction than will be suffered by the Defendant from the granting of it. *Attilio v Mbowe*

[1969] HCD 284 and *Giella v Cassman Brown and Co Ltd* [1973] EA 358 followed.

The burden of satisfying the court that there has been an infringement of its trade mark is on the Plaintiff. The Applicant must show that the two trade marks have resemblances which to an eye of a common person are capable of deception, making that person to think of one product as being the other. *Johkoping and others v East Africa Match Co Ltd* [1964] EA 62 and *Colgate Palmolive Co v Zakaria Provision Stores and others* civil case number 1 of 1997 (UR) followed.

The Applicant had failed to establish a *prima facie* case with a probability of success as comparison of the contested trade marks notwithstanding the presence of Kibo Peak on all brands led to the conclusion that there cannot be created deception to the degree complained of.

Application dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Attilio v Mbowe [1969] HCD 284 – **F**

Colgate Palmolive Co v Zakaria Provision Stores and others civil case number 1 of 1997 (UR) – **F**

Giella v Cassman Brown and Co Ltd [1973] EA 358 – **F**

Aktiebolaget Johkoping-Vulcan Indstricksfabriksaktiebolag v East Africa Match Co Ltd [1964] EA 62 – **F**

United Kingdom

American Cyanamid v Ethicon [1975] AC 396

Electrix Ltd's application for Trade Marks [1958] RPC 176

York Trailer Holding Ltd v Registrar of Trade Marks [1982] 1 All ER 257

Yorkshire Copper Works Ltd v Registrar of Trade Marks [1954] WLR 570

Ruling

Kalegeya J: Pending hearing of a suit in which they are praying for a "permanent injunction to restrain the Defendants from infringing their registered trade marks numbers 24525, 23343 and 23183 in class 32 schedule III, the Applicant/Plaintiff company is praying for a temporary injunction restraining:

> "The First Respondent, their agents, and/or servants … from selling, distributing, displaying and/or disposing in any way products depicting the image of Kibo Peak of Mount Kilimanjaro in Tanzania which forms part of the Applicants' trade marks".

The application is supported by an affidavit of Steven F Kilindo, a principal officer of Applicant company. The Applicants are advocated by *Law Associates Advocates* while *Maajar, Rwechungura, Kameja and Nguluma Advocates* play some role for Respondents. Arguments for and against the application were affected by way of written submissions.

Brief facts on which the controversy leading to the present application infringed are as follows. The Applicant is a manufacturer and distributor of three beer brands, Kilimanjaro Premium Lager, Kilimanjaro Lager and Snow Cap which for sometime have been commanding about 80% of the beer market in Tanzania. Among other features on the respective trade marks is a Kibo Peak of Mount Kilimanjaro, the highest mountain in Africa and located in Tanzania. There then came the Defendants with a new beer brand called Kibo Gold, whose features of the trade mark, among others, is the same famous Kibo Peak of Mount Kilimanjaro. This sparked on the suit in which this application is founded.

The Applicant/Plaintiff company hotly urged that the titles of their brands, Kilimanjaro Premium Lager, Kilimanjaro Lager and Snow Cap are accompanied by series of distinctive colours with a device depicting Mount Kilimanjaro's prominent Kibo Peak, and that as these labels, logos and devices on their products have a distinctive appearance whose centrepiece is the very Kibo Peak the Defendants have infringed their trade marks "by replicating a prominent feature of the mark that is the mountain icon, that is similar in name and features". They insist that the Kibo Gold trade mark so nearly resembles their registered trade mark such that it is likely to deceive and cause confusion to consumers.

As to why they are insisting on a temporary injunction before the final determination of the case the Applicants argue that the Defendants' trade mark will create confusion in course of their trade or business because "being identical or nearly resembling" will "impair the distinctive character or acquired reputation" of their (Applicants') trade mark as their customers will be thrown into confusion; that the infringement will be of an irreparable magnitude because generally the injured goodwill will occasion a permanent injury on their market; that the infringement will destroy the value of their trade mark or nullify the expensive advertisements so far made to the extent that it will be difficult to quantify the damages at the end of the trial.

Not only the above but the Applicants further argue that the potential damage will be colossal such that this two (2) year old company (First Defendant) will not be able to meet the liabilities. Last but not least the Applicants insist that even on a balance of convenience the Respondents have nothing to lose compared to them, for they (Respondents) do not even own the "Kibo" word trade mark; no evidence that they are licenced to use it by the proprietors who are the Second Defendants. The mark remains ungazetted and that at the end of the day they are just frivolous trespassers who stand to lose nothing should their trade mark be nullified by the court; that even where convenience is evenly balanced, the court should incline towards preserving the *status quo ante bellum* in order to allow judicial inquiry into *casus belli* with a view to intervening against it and provide a just and equitable remedy (*American Cyanamid v Ethicon* [1975] AC 396). Applicant also referred to the case of *Attilio v Mbowe* [1969] HCD 284 and *Colgate Palmolive Co v Zakaria Provision Stores and others* civil case number 1 of 1997 (UR).

Countering, the Respondent/First Defendant, citing *Giella v Cassman Brown and Co Ltd* [1973] EA 358 argued that principles on which temporary injunction can be granted have not been met. They argued that the Applicants have not established a *prima facie* case with a probability of success; have not proved that there is an arguable case that Defendants' act or omission is wrongful. They

insist that no ordinary person looking at a bottle of beer bearing the First Respondents' label would confuse it with Appellants' – that the First Respondents' mark and label are neither visually or even phonetically sufficiently similar in their overall appearance to constitute any infringement of the Applicants registered trade marks. They attack the Applicants' failure to point out the alleged similarities which are bound to confuse the public adding that "Kibo Peak" as such is not a registered trade mark, for the latter reside in the combination of word mark and various graphic devices and not just Kibo Peak, and that when looking at trade marks in light of complaints of infringement so as to establish similarities the whole of the Plaintiffs' mark and the whole of the Defendants' mark and not only a particular feature has to be compared no matter how prominent (also cited *Colgate Palmolive Co* case (*supra*)).

While still on this, the Respondents' also argue that Kilimanjaro mountain being a national symbol and heritage cannot be monopolised by an individual (cited *York Trailer Holding Ltd v Registrar of Trade Marks* [1982] 1 All ER 257; *Yorkshire Copper Works Ltd v Registrar of Trade Marks* [1954] WLR 570 and *Electrix Ltd's application for Trade Marks* [1958] RPC 176).

Regarding the second condition of irreparable injury the Respondent also argue that the Applicants have to prove it. They state that the Applicants themselves have conceded that audited statements showing the quantity, cost, selling price, products sold and those in stock since 11 February 1999 can enable the court to quantify damages; that Applicants having declared that their products command 80% of the Tanzania market leaving only 20% to be completed upon by Respondents and other imported beer brands they cannot say that the loss would be colossal; that the First Respondents' assets can easily offset any liabilities in form of damage in the event of being so condemned, adding that in any case as they are jointly and severally sued with Second Respondents, a long and well established company with business and marketing outlets all over East Africa the latter can shoulder the burden.

Lastly, the Respondents urge that on the principle of balance of convenience the Applicants have not proved that they would suffer more if the injunction is refused than what the Respondents would suffer and that the issues of not being gazetted or licensed are being raised prematurely. They conclude by insisting that they will suffer more, for they have just embarked on production after investing much in building the factory, formulating, processing, producing and marketing its beer.

In a rejoinder the Applicant reiterates the main submissions adding that a *prima facie* case exists, for what is required is to establish that there exists a strong probability of generating confusion or deception in the normal course of trade; that the question of monopoly of geographical location is not a question before this Court and that the cases cited are irrelevant as they are not binding by reason of reception clause and they concern foreign statutes; that if Respondent is minded of this non-monopolistic principle how did they take up "Kibo" as its trade mark; that should the product be unacceptable and as consumers taste is a delicate and long term investment the damage to the public would be unquantifiable; that the Second Respondent is a foreign company hence it may not be easy to enforce a decree against it apart from the fact that it is no longer an effective competitor, and finally that issues of gazetting and licensing are very material as exemplified in *Colgate Palmolive* case.

With that let us analyse the arguments fronted in relation to the relevant principles of the law. I should start by commending both counsel for the gallant fight put up by each of them for their respective clients. Secondly, I should point out that though counsel relied on different authorities, *Attilio v Mbowe* case was by Applicants and *Giella v Cassman Brown* case by Respondents, the principles of law pronounced therein are the same. It will suffice to cite *Attilio v Mbowe* case on whose literature I could easily land my hands. Georges CJ (as he then was) stated:

> "It is generally agreed that there are three conditions which must be satisfied before such an injunction can be issued:
>
> (i) there must be a serious question to be tried on the facts alleged and a probability that the plaintiff will be entitled to the relief prayed;
>
> (ii) that the court's interference is necessary to protect the plaintiff from the kind of injury which may be irreparable before his legal right is established; and
>
> (iii) that on the balance of convenience there will be greater hardship and mischief suffered by the plaintiff from the withholding of the injunction than will be suffered by the defendant from the granting of it".

Let us now subject the case before us to the principles above stated.

Has the Applicant established a *prima facie* case? As was stated in *Aktiebolaget Johkoping-Vulcan Indstricksfabriksaktiebolag v East Africa Match Co Ltd* [1964] EA 62 (cited by the Respondent):

> "As a general proposition of law, I think I am right in stating … that the burden of satisfying the court that there has been an infringement of its trade mark is on the plaintiff company. It is for the plaintiff company to prove that there is a resemblance between the two marks and that such resemblance is deceptive".

The extent of the proof required in establishing a *prima facie* case when dealing with an issue of temporary injunction, I must admit, is a tricky one. This is so because no evidence has so far been issued. The court should tread on this very fine string with all necessary caution lest it be condemned for prejudging the matter (the suit) before hearing. All the same however the Applicant should show that the two trade marks have resemblances which to an eye of a common person are capable of deception, making that person to think of one product as being the other. Both counsel have cited with approval the observations made in *Colgate Palmolive* case (Mapigano J) and I can happily state that I wholly subscribe to the same. Among others, the court stated therein:

> "… if the court is satisfied that there is a strong probability of such confusion or deception occurring in the normal course of trade and that what is necessary is to compare the whole of the plaintiff's mark and get up with the whole of the defendant's mark and get up to see whether there are similarities which go to create or show the prospect of confusion or actual deception".

Thus, in drawing its conclusion the court has to wear the shoes of a common man, spread the two marks before itself and ask itself whether there are resemblances between the two which would make it pick a product which was not intended but the opposite. It is the Applicant's duty then to aid the court by pointing out those resemblances. It does not suffice to merely assert that those similarities do exist.

With respect to the Applicant's counsel, and again treading cautiously to avoid deciding the main controversy prematurely the only similarity pointed out both in the plaint and the submissions is the "Kibo Peak". This however, as rightly argued by the Respondent is not enough in deciding on resemblance or

otherwise the whole of the contested trade marks have to be looked at and not a single feature. Well, the Applicant company says that "Kibo Peak" is the centre-piece of its trade mark; it should however not merely assert and stop there, it should go further and show how this prominence when used on any other beer brand trade would create deception to customers.

I have carefully put myself in the shoes of a common beer consumer and subjected my eyes to the contested registered trade marks. At the end of this exercise I have concluded that notwithstanding the presence of "Kibo Peak" on all brands there is no way this can create the deception to the degree complained of by the Applicant.

The Respondent has detailed by way of description (with certainty) how the said trade marks look like. Even without looking at the photographic impressions of the contested trade marks, the description made by Respondent suffices to portly the difference between the Applicant's trade marks and that of the Respondent.

The Respondent details the trade marks as follows:

> "(*a*) *Kilimanjaro Premium Lager* – the rectangular label has a giraffe head placed in the centre, a brown mountain peak with snow, placed at the top, the word Kilimanjaro prominently placed in the middle and the words 'brewed by Tanzania Breweries Limited' prominently printed on the lable.
>
> (*b*) *Kilimanjaro Lager* – the square label has two full bodied giraffes at either side of the words Kilimanjaro lager which are prominently placed in the middle, a yellow mountain peak with snow, is placed at the tope and the words 'Tanzania Breweries Limited" are prominently printed on the label
>
> (*c*) *Snow Cap* – the rectangular label has a black mountain peak with snow, placed at the top, the words Snow Cap Lager are placed in the centre and bottom and the words 'a product of Tanzania Breweries Limited' are prominently printed on the label."

On the other and the Kibo Gold square label has a blue mountain peak with snow placed at the bottom with sun rays depicted on the mountain peak, the words Kibo Gold placed prominently at the top and there is an oval surround to the picture with the words "brewed and bottled by Kibo Breweries Limited, Moshi Tanzania" prominently printed on the label.

A sober scrutiny of the above unchallenged comparison of the features of the contested trade marks, do not establish a *prima facie* case with a probability of success. When it comes to full hearing, possibly the Applicants will have something different to support the contention that the Kibo Peak on Respondents brand is deceptive. While still on this I should observe that it is not correct, as fronted by Applicant, to say that in deciding whether resemblance is capable of confusion or deception in beer trade the yardstick used is that of a consumer of beer of average intelligence and with imperfect recollection because here one deals with an increasingly poor recollection in an ordinary person with the progressive consumption of product. That would be a very dangerous yardstick, for it would be akin to putting an insane or drunkard on a motor vehicle wheel and expect him to abide by the traffic rules. The person we have in mind here is nobody else but an ordinary person capable of digesting resemblances, similarities and the like.

With the above finding it becomes unnecessary to deal with the other arguments fronted that is whether or not an individual can monopolize a geographical location; whether irreparable damage has been established, or against whom

is the balance of convenience tilted. This is so because in order to succeed in securing an order for temporary injunction an Applicant has to establish in whole the three requisites as laid down in *Attilio* and *Giella* cases (*supra*). The Applicant has failed to establish just the first. The consequences are clear. The application for temporary injunction is dismissed.

For the Applicant:
Law Associates Adv

For the First Respondents:
Maajar, Rwechungura, Kameja and Nguluma Adv

TUICOTTU Union and another v Tanzania and Italian Petroleum Refining Co Ltd

[1999] 1 EA 347 (CAT)

Division:	Court of Appeal of Tanzania at Dar-Es-Salaam
Date of Judgment:	19 October 2000
Case Number:	328/98
Before:	Kisanga, Lubuva and Lugakingira JJA
Sourced by:	Faculty of Law, University of Dar-es-Salaam
Summarised by:	A Mwanzia

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[1] Civil procedure – Injunction – Employees apprehensive of termination without consultation – Legal requirement for consultation before retrenchment – Not complied with at institution of suit but later complied with – Whether injunction may be granted if the subject matter of the suit has disappeared – Section 6(1)(g) *– Security of Employment Act (Chapter 574).*

[2] Civil procedure – Injunction – Trial Judge determining trial issues at interlocutory hearing – Whether proper – Necessity to maintain status quo *pending trial of the issues.*

Editor's Summary

The Appellants on behalf of the employees of the Respondent company, filed suit in the High Court seeking declaratory and injunction orders. The suit arose from the apprehension that the Respondent company mighty terminate the services of its employees on the ground of redundancy or that the company might do similar acts adverse to its employees as a consequence of anticipated developments or changes in the company. The Appellants therefore prayed for, *inter alia*, a declaration that the employees were entitled to be consulted and to be afforded opportunity to be heard on impending redundancy; perpetual injunction restraining the Respondent from terminating the services of its employees on grounds of redundancy before consulting them and a *quia timet* mandatory injunction directing the Respondent company to hold meaningful consultation with the employees' representatives on impending redundancy.

The Appellants brought an application for temporary injunction pending the suit. The High Court

dismissed their application on the ground that the fear of the Respondent retrenching its employees without consulting them was unfounded because the Respondent had promised to hold prior consultation with

its employees should the need for retrenchment arise. Further, the court took the view that to restrain the Respondents from terminating the services of the employees would be restraining the Respondent company from doing that which was lawful, and that would constitute an unlawful act on the part of the court.

The Appellant appealed to the Court of Appeal, arguing that the High Court Judge instead of ruling on the application before him, proceeded to consider and resolve issues pertaining to the suit itself before hearing the evidence on those issues. During the hearing of the appeal, it emerged that the Respondent's had held consultations with the Appellants concerning redundancy, and that a proposed redundancy package was being negotiated by the parties in compliance with section 6(1)(*g*) of the Security of Employment Act.

Held – The trial Judge erred in dealing with the issues in the main suit at the time of hearing the application for temporary injunction, and for dismissing the application when there were serious questions to be tried between the parties. The Judge should have granted the temporary injunction as prayed to maintain the *status quo* pending the trial of those questions. *CPC International Incorporation v Zainabu Grain Millers Ltd* civil appeal number 49 of 1995 (UR) followed.

Once there was compliance with section 6(1)(*g*) of the Security of Employment Act, the subject matter of the main suit between the parties disappeared and it would serve no practical purpose to grant the temporary injunctions sought.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

CPC International Incorporation v Zainabu Grain Millers Ltd civil appeal number 49 of 1995 (UR) – **F**

Ruhondo and others v Tanzania Railway Authority civil appeal number 107 of 1986 (UR)

United Kingdom

American Cyanamid Co v Ethicon Ltd [1975] 1 All ER 504

Judgment

Kisanga JA: This appeal arises from the decision of the High Court (Manento J) refusing to grant orders of temporary injunction pending the hearing and determination of the suit filed in that court. In the said suit the Appellants/Plaintiffs, on behalf of the employees of the Respondent company, asked for declaratory and injunction orders on various matters. This move arose from the fear that the Respondent company might terminate the services of its employees on the ground of redundancy, or that the company might do similar

acts adverse to its employees as a consequence of anticipated developments or changes in the company. On the basis of such fear, therefore, the Appellants in the said suit asked for, *inter alia*, a declaration that the employees were entitled to be consulted and to be afforded opportunity to be heard on impending redundancy, perpetual injunction restraining the Respondent from terminating the services of its employees on grounds of redundancy before consulting them and a *quia timet* mandatory injunction directing the Respondent/Defendant company to hold meaningful consultation with the employees' representatives on impending redundancy.

After filing the suit in the High Court the Appellants filed in that same court chamber summons seeking temporary injunction, pending the hearing of their suit:

(i) Restraining the Respondent/Defendant, its managers, servants, agents, officers or whosoever acting on its behalf from terminating the services of the employees or any of them on grounds of redundancy;

(ii) Restraining the Defendant, its managers, servants, agents, officers or whosoever acting on its behalf from terminating the services of the employees or any of them, or causing loss of work and pay to the employees or any of them, as a consequence of privatisation, restructuring, changes in ownership or reorganisation of the Defendant company or shutting down of its operations".

The High Court dismissed the application on the ground that the fear of the Respondent retrenching its employees without consulting them was unfounded because the Respondent had promised to hold prior consultation with its employees should the need for retrenchment arise. On the second prayer the court took the view that to grant it would mean to restrain the Respondent company from doing that which was lawful, and that would constitute an unlawful act on the part of the court. As intimated earlier, it is from that decision that this appeal emanates.

In this appeal the Appellants are advocated for by Professor *Shivji* while Mr GM *Kilindu* appears for the Respondent. The gravaman of Professor *Shivji*'s complaint is that the trial Judge, instead of ruling on the application before him, proceeded to consider and resolve issues pertaining to the suit itself before hearing the evidence on those issues, and that he failed to consider and apply the principles which guide or govern the court when dealing with an application for temporary injunction. In response to that Mr *Kilindu* submitted that the Learned Judge did not err in proceeding as he did, that he considered and ruled on the application on the basis of the pleadings, consisting of the plaint filed in the suit and the affidavit filed in the chamber summons, and that he dismissed the application because there were no serious questions between the parties to be tried. Both counsel cited a number of decided cases and other texts to support their respective submissions. We have looked at these materials and we are grateful to counsel for them.

After due consideration of the pertinent facts of the case, we think that there is substance in Professor *Shivji*'s submission that the trial Judge considered and resolved issues in the main suit before hearing evidence on those issues. It is true that the Appellants' plaint filed in the suit and affidavit filed in the chamber summons do contain matters of some relevance. But it is also pertinent to point out that at the time of the ruling, the pleadings were incomplete in that no written statement of defence to the plaint had been filed and, indeed, no counter affidavit was filed to the chamber summons. It is apparent that such evidence

as there was before the court did leave a number of questions unanswered. For instance, there was the question as to when should impending redundancy be considered to exist. For, the Appellants or their representatives had requested the Respondent for consultations because in their view there was impending redundancy, but the Respondent consistently refused on the ground that no impending redundancy existed yet. Other questions included what was the true meaning of impending redundancy, who was to determine on the existence of impending redundancy and when to commence consultations. These questions, serious as they were, could not be answered on the basis of the pleadings at the time of the ruling. Nor could the trial Judge have availed himself of any assistance from counsel submissions on them because the questions could not have arisen at the stage of an application for temporary injunction. The trial Judge, therefore took it upon himself to resolve these questions basing himself on no material adduced before him.

Professor *Shivji* referred us to the decision of this Court in *CPC International Incorporation v Zainabu Grain Millers Ltd* civil appeal number 49 of 1995 (UR) in which the trial Judge, upon an application for temporary injunction, dealt with and determined issues which were due for trial at the hearing of the main suit. It was held that the Judge erred in so doing because that amounted to himself trying the main suit at a stage which had not been reached. Professor *Shivji* submitted that, like in the above cited case, the trial Judge in the instant case erred when he tried the main suit upon the application for temporary injunction. With that view we entirely agree.

As stated before, Mr *Kilindu* submitted that the trial Judge dismissed the application because he must have been satisfied that having regard to the pleadings before him there were no serious questions between the parties to be tried. We have to say that if this represented the true state of affairs, the Judge could not be said to have erred. Because this would be in accordance with the principle guiding the court in considering applications for temporary injunctions as was laid down by the House of Lords in *American Cyanamid Co v Ethicon Ltd* [1975] 1 All ER 504. However, as we have endeavoured to show, we are satisfied that at the time the Learned trial Judge dealt with the matter there were serious questions between the parties to be determined at the trial of the main suit including whether or not there existed any impending redundancy.

Thus we hold that the trial Judge erred in dealing with the issues in the main suit at the time of hearing the application for temporary injunction, and for dismissing the consideration of the matter, we have come to the conclusion that it would not be appropriate to do so. In arriving at that conclusion we bear in mind that the Appellants' primary concern in the main suit is to enforce the employees' statutory right to be consulted on impending redundancy as secured under section 6(1)(*g*) of the Security of Employment Act which provides that:

> "6 (1) The functions of a committee in, and in relation to, the business for which it is established are:
>
> (*a*) …
>
> (*b*) …
>
> (*c*) …
>
> (*d*) …
>
> (*e*) …
>
> (*f*) …
>
> (*g*) to consult with the employer concerning any impending redundancies and the application of any joint agreement on redundancies".

In the case of *Ruhondo and others v Tanzania Railway Authority* civil appeal number 107 of 1986 (UR) this Court interpreted, this provision to mean that consultations must be held prior to deciding on any impending redundancy. In the instant case the Respondent has, since the High Court ruling, complied with section 6(1)(*g*) because counsel for both sides are agreed that the Respondent has held consultations with the representatives of its employees on the issue of impending redundancy.

Professor *Shivji*'s contention that the parties did not reach an agreement has little or no weight. Because the document containing the proposed redundancy package shows that the negotiations on redundancy are a continuing process. The document is a record of the minutes of the twelfth negotiating meeting held on 6 July 2000, and one of the paragraphs reads:

> "After corrections were made TUICO requested that before signing the agreement they need to consult their lawyer and workers. If the lawyer and workers will have no objections they will sign it. But if there will be objections they will request for amendments. TUICO's request to consult their lawyer and workers was accepted".

This clearly shows that negotiations are going on and Professor *Shivji* did not refute this. Such negotiations may well result in a joint agreement. But what is even more important is that it is not necessary to have a joint agreement so that consultations may be held to consider its application. Our understanding of section 6(1)(*g*) is that not every consultation on impending redundancy will result in a joint agreement. Some will and others will not. Where consultations result in a joint agreement then further consultations must be held to consider the application of such joint agreement. But where no joint agreement is reached the consultations on impending redundancy alone will, nevertheless, constitute sufficient compliance with section 6(1)(*g*). In the instant case, therefore, the holding of consultations on impending redundancies, which has been admitted and which consultations in our view are serious, is a sufficient compliance with section 6(1)(*g*). It is to be hoped that the continuing consultations and negotiations will ultimately result in a joint agreement but if they do not, we feel certain that the court cannot properly grant the orders of temporary injunction prayed for pending the reaching of a joint agreement.

Once there was compliance with section 6(1)(*g*) then the subject matter of the main suit between the parties simply disappeared. The subject matter was that the employees or their representatives be consulted and be afforded the opportunity to be heard on impending redundancy, which has now been done. In the circumstances we think that it would serve no practical purpose now to grant the temporary injunctions sought. The purpose of the temporary injunctions was to maintain *status quo* until the suit is heard and the issues raised therein between the parties are resolved. But since the issue of holding consultations on impending redundancies, which was the main or the sole issue between the parties, has now been resolved that is such consultations have already been held, there is no serious issue between the parties to be tried now. Consequently there is nothing to warrant granting the temporary injunctions sought.

In the result the appeal fails and it is dismissed with costs.

For the Appellants:
IG Shivji University of Dar-es-Salaam

For the Respondent:
GM Kilindu instructed by *GM Kilindu and Co*

Trans Africa Assurance Co v National Social Security Fund

[1999] 1 EA 352 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of Judgment:	10 August 1999
Case Number:	1/99
Before:	Wambuzi CJ, Karokora, Mulenga, Kanyeihamba and Mukasa-Kikonyogo JJSC
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Civil procedure – Execution – Objection proceedings – Attachment of disputed property – Standard of proof required – Whether the Respondent had established an interest in the disputed property – Order 19, rules 55, 56 and 58 – Civil Procedure Rule.

[2] Evidence – Affidavit evidence – Admissibility of affidavit – Contents of affidavits – Best evidence rule – Knowledge of facts deponed to – Whether it was necessary to attach to an affidavit the documents cited therein.

Editor's Summary

The High Court granted the Appellant a warrant for the attachment of some construction equipment (the disputed property) belonging to Alcon International (the judgment debtor). At the time the warrant was granted it was believed that the disputed property belonged to the judgment debtor. When the court bailiff attempted to carry out the execution at the site where the property was located, the Respondent's agents resisted his efforts. On 12 June 1998, the Respondent filed objector's proceedings in the High Court under Order 19, rule 55 of the Civil Procedure Rules. The grounds on which the objection was based were that the disputed property was in the Respondent's possession and that it was their real owner. The objector's claim was based on the affidavit evidence of Asuman Kiyingi, who averred, *inter alia*, that although the property was registered in the judgment debtor's name, the equipment had become the objector's property following the termination of the building contract between the two of them. Affidavits sworn by Ashok Sharma, the Appellant's General Manager, and John Baptist Kiiza, the court bailiff, were submitted to the court in opposition to the objection. The objection was dismissed by the High Court on the ground that the objector had failed to prove its ownership of the disputed property. On appeal to the Court of Appeal, the ruling and warrant of attachment were set aside. Since the disputed property had not yet been attached the court directed that it remain in the objector's possession because the issue of releasing it did not arise. The Appellant now appealed to the Supreme Court arguing, *inter alia*, that the Respondent's failure to produce the building contract was detrimental to its (the Respondent's) case and that the Respondent had not established that it was in possession of the property on its own account. It also claimed that the Court of Appeal had erred in holding that the affidavit given on behalf of the Respondent had been unchallenged, that it erred in shifting the burden of proof from the Respondent to the Appellant and that it erred in holding that where objection proceedings were concerned the issue was one of possession not ownership. Lastly, the Appellant contended that the Court

of Appeal erred in holding that the question of releasing the property did not arise because the property had not yet been attached.

Held – The best evidence rule did not apply to affidavits; *Life Insurance Corporation of India v Panesor* [1967] EA 6 followed. An affidavit was not inadmissible merely by reason of omission to exhibit the documents from which the knowledge attested to was obtained. Accordingly, there was no reason for excluding from affidavits on interlocutory matters statements of facts the knowledge of which was acquired from documents, provided the knowledge was disclosed.

Where any objection was made to the attachment of property, it was incumbent on a trial court to investigate the objection as provided by Order 19 of the Civil Procedure Rules. The trial Judge had the power to direct the objector to produce the relevant information or to examine on oath the deponent who referred to them in his affidavit. In this instance, Asuman Kiyingi's affidavit evidence was sufficient to enable both lower courts to determine the objector's interest in the disputed property and it was not controverted by the affidavits sworn in rebuttal by Ashok Sharma and John Baptist Kiiza, which both consisted of no more than bare denials.

A party could only be called upon to disprove or rebut what the other side had proved; *Ssebuliba v Co-operative Bank Limited* [1982] HCB 129 applied. In this instance, the Court of Appeal had not shifted the burden of proof to the Appellant. In its view, the objector had adduced sufficient evidence to establish its interest in the disputed property and in those circumstances, the Appellant had to adduce some evidence in rebuttal to disprove the claim. Swearing an affidavit and stating that the property did not belong to the claimant did not amount to controverting the objector's claim.

Order 19, rule 56 of the Civil Procedure Rules provided that a claimant or objector had to adduce evidence that at the material time, he had some interest in the property attached. In this instance the objector had proved both possession and interest. The Court of Appeal's conclusion to the effect that the objector had adduced sufficient proof of ownership was justified. The fact that the disputed property was still registered in the judgment debtor's name was not detrimental to the objector's claim since registration was not conclusive evidence of ownership. It could be rebutted as had been successfully done in this instance.

The Court of Appeal had correctly held that an objection application was an interlocutory application and that the standard of proof was on a "balance of probabilities". The trial judge had erred in applying a higher standard of proof than was required in proceedings of this nature.

The Court of Appeal having ruled that the objector had proved its claim to the disputed property, the logical order to make had been to leave it where it was and, accordingly, there had been no misdirection on its part in this regard.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Harilal and Co v Buganda Industries Ltd [1960] EA 318

Life Insurance Corporation of India v Panesor [1967] EA 6 – **F**

Ssebuliba v Co-operative Bank Limited [1982] HCB 129 – **AP**

Others

Ramaswami Chetty v Mallapa

Judgment

Mukasa-Kikonyogo JSC: Trans Africa Assurance Company hereinafter to be called the Appellant is appealing against the decision of the Court of Appeal dated 1 February 1999 which set aside a ruling and order of attachment made in its favour by the High Court on 26 June 1998.

The brief facts giving rise to the appeal are that the Appellant filed in the High Court a civil suit against Alcon International hereinafter to be called the judgment/debtor. The registrar of the High Court granted the Appellant a warrant of attachment of some construction equipment, including a caterpillar and motor lorry hereinafter to be referred to as the disputed property. It was accompanied by the decree. At the time the order of attachment was made it was believed that the disputed property belonged to the judgment/debtor.

On 28 May 1998 a court bailiff, called John Baptist Kiiza, armed with the said warrant of attachment proceeded to the site at plot one Pilkington Road, Kampala where the disputed property was being kept. He attempted to carry out execution but it was resisted by the agents of National Social Security Fund (NSSF) hereinafter to be called the objector. On 12 June 1998, the objector filed objector's proceedings under Order 19, rule 55 of the Civil Procedure Rules. The objection was based on two grounds; namely that the disputed property was in the possession of the objector, and that it claimed ownership thereof. The objection was dismissed by the High Court on the grounds that the objector had failed to prove its claim of ownership to the disputed property.

Aggrieved by the dismissal of its claim, the objector filed an appeal in the Court of Appeal. It was based on the following three grounds:

1. That the Learned trial Judge erred in law in finding "no proven ownership by the National Social Security Fund of the caterpillar and lorry".
2. That the Learned trial Judge erred in holding that the findings aforesaid defeated the objector's right to the orders prayed for.
3. That the Learned trial Judge erred in not granting the orders prayed for.

Upon listening to the oral submissions of Dr *Byamugisha*, Learned Counsel for the objector and on perusal of the written submissions in reply by Mr *Lumweno*, who represented the Appellant, the Court of Appeal allowed the objector's appeal. It set aside the ruling and warrant of attachment of the High Court. As the disputed property had not been attached yet, the Learned Justices of the Court of Appeal held the view that the issue of releasing it did not arise. They, therefore, directed that, it should remain in the possession of the objector.

Dissatisfied with the decision of the Court of Appeal the Appellant appealed to this Court. The appeal was based on six grounds to be reproduced later as I

consider them. In their written submissions the Learned Counsel for the Appellant in this Court and the courts below.

In his oral submissions Dr *Byamugisha*, counsel for the objector, opposed the appeal. He asked the court to dismiss it with costs to the objector.

For convenience as there is a lot of overlapping in the grounds of appeal I propose to take grounds 1, 2, 3 together, grounds 4 and 5 together, eventually end with ground 6. Grounds 1, 2 and 3 of the memorandum of appeal reads as follows:

> "Ground 1: That the Learned Justices of Court of Appeal erred in law by failing to appreciate that they could not accurately determine the rights of the objector/(National Social Security Fund) by looking only at clauses 14 and 25(3) of the building contract without looking at the contract as a whole particularly regarding those clauses which set out certain condition precedent to be fulfilled before the objector (National Social Security Fund) could acquire rights there under.
>
> Ground 2: That the Learned Justices erred in law and fact by holding that the affidavit of Asuman Kiyingi stood unchallenged by the affidavit of Ashok K Sharma and Kiiza sworn in reply.
>
> Ground 3: That the Learned Justices erred in law and fact in shifting the burden of proof from the Appellant to the Respondent to prove the suit property did not belong to the Appellant".

Endorsing the view of the Learned trial Judge it was the contention of the counsel for the Appellant that the failure to produce the building contract between the objector and the judgment/debtor and other relevant documentary evidence like certificate and receipts was detrimental to the objectors' claim. As far as counsel are concerned the building contract should have been annexed to the affidavit of Asuman Kiyingi, legal officer of the objector. It was, hence, submitted that there was no evidence to support the decision of the Court of Appeal of proven interest in the disputed property.

Accepting the submissions of Dr *Byamugisha*, the objector's claim is well set out in the affidavit of Asuman Kiyingi. Paragraph 4, of the affidavit states the circumstances in which the building contract between the objector and the judgment/debtor came to be terminated.

It reads as follows:

> "That the debtor had a contract with the Defendant for the "Erection and completion of a partially constructed structure in reinforced concrete, on Plot 1 Pilkington Road, Kampala and, upon advice by the Auditor General, the Solicitor General and Inspector General of Government as well as the consultants and on grounds which were spelt out in the termination notice given to the objector terminated the contract".

Paragraphs 5, 6 and 7 clearly state the rights which accrued to the objector over the suit property on the termination of the building contract. The actual relevant extracts of the building contract were stated therein.

Paragraph 5 states that:

> "The Plaintiff had given two performance bonds on account of the Defendant in favour of the objector binding itself in 10% of the contract sums to the objector".

Paragraph 6, reads that:

> "In the event of the employment of contractor being determined as aforesaid and as long as it had not been reinstated and continued the following shall be the respective rights and duties of the employer and contractor:
>
> (a) The employer, may employ and pay other persons to carry out and complete the works and he or they may enter upon the works and use all temporary buildings,

> plant, tools, equipment, goods and material intended for, delivered to and placed on or adjacent to the works".

Paragraph 7 reads that clause 14 of the said contract provides that:

> "Where in any certificate of which the contractor has received payment the Architect has in accordance with clause 30(2) of these conditions included value of any unfixed materials and goods required for use in the works, such materials and goods shall become the property of the employer and shall not be removed except for use upon the work unless the Architect has authorised in writing such removal and the contractor shall remain responsible for any loss of or damage to the same".

Lastly in paragraph 8 of the affidavits, Asuman Kiyingi depones that:

> "All the motor vehicles and the caterpillar appearing in the schedule to the warrant of attachment and sale of movable property issued on 28 May 1998 although registered in the name of the Defendant who is also the contractor under the contract, were paid for under certificates presented by the contractor and became the property of the objector and employer and they are still required for and will be used in the completion of the works".

The Learned Counsel for the objector applied to the trial Judge to produce the building contract but counsel for the Appellant raised objection.

On the proceedings, Mr *Lumweno* stated that:

> "I object to tendering of the contract NSSF/Alcon. It is not attached to the affidavit. It cannot be admissible, it should be thrown out".

His objection was sustained despite the fact that the trial Judge was under duty to investigate the claim. In my view he had discretionary powers to admit the building contact. I find the Appellant has no reason to complain about the failure to produce the building contract on the evidence on record.

In any case the Court of Appeal of East Africa as it then was in the case of *Life Insurance Corporation of India v Panesor* [1967] EA 6 held *inter alia* that the best evidence rule does not apply to affidavits. Hence there is no reason for excluding from affidavits on interlocutary matters, statements of facts the knowledge of which was acquired from documents provided the knowledge is disclosed. It follows, therefore, that an affidavit would not be inadmissible merely by reason of omission to exhibit the documents from which the knowledge was obtained as was the case in the present application.

I accept Dr *Byamugisha*'s submission that the contractual clauses cited in Kiyingi's affidavit namely clauses 14, 25 and 30(2) do not make numerous cross-references to other clauses and sub-clauses of the building contract as found by the Learned trial Judge in his ruling. However, even if that statement was correct it was incumbent on the trial court to investigate the objection as provided by Order 19, rule 55 of the Civil Procedure Rules which reads that:

> "Where any claim is preferred to, or any objection is made to the attachment of any property attached in execution of a decree on the ground that such property is not liable to such attachment the court shall proceed to investigate the claim or objection with the like power as regards the examination and in all other respects as if he was a party to the suit".

The Learned trial Judge as the investigator, could have directed the objector to produce the relevant information or could have examined on oath the deponent who had referred to them in his affidavit, in this case Asuman Kiyingi. The court had wide discretionary powers under which it could have carried out further investigations if it was felt some relevant matter had been left out.

The contractual clauses complained of by the Appellant, without looking at the cross-references mentioned therein, clearly spelt out the contractual rights of the objector in the disputed property. In my view the affidavit evidence of Asuman Kiyingi was, hence, sufficient to enable both the High Court and Court of Appeal to determine the objector's interest in the disputed property. In agreement with the holding of the Learned DCJ Manyindo, Kiyingi's sworn evidence as to the objector's claim to the disputed property was not controverted by the affidavits in reply of Ashok Sharma and John Baptist Kiiza as submitted by counsel for the Appellant. I agree with Dr *Byamugisha* that the purported evidence in rebuttal contained in their affidavits in reply consists of bare denials of the objector's claim. To illustrate this point under paragraph 4 of the affidavit in reply sworn by Ashok Sharma the General Manager of the Appellant, he depones that:

> "That paragraph 6 of the affidavit of the applicant does not in any way confer proprietary rights to the applicant and the applicant is put to strict proof thereof".

Similarly under paragraph 5 he states:

> "That allegations in paragraph 7 of the affidavit of the applicant do not in any way confer proprietary rights to the applicant in respect of the property the subject matter of attachment and the applicant is put to strict proof thereof".

The deponent does not explain why but merely states so. There is no admission by the objector as deponed in paragraph 6 of Ashok Sharma, that the disputed property belonged to the judgment/debtor. The evidence as rightly observed by the Learned Justices of the Court of Appeal, on the contrary, showed that the disputed property belonged to the objector or at least it had interest therein.

Again John Baptist Kiiza, the court Bailiff makes similar bare denials under paragraphs 5 and 6 of his affidavit in reply. Under paragraph 6 he merely asserts that the vehicles and Caterpillar appearing in the schedule of the warrant of attachment do not belong to the objector but to the judgment/debtor. That was a mere statement without an iota of evidence in rebuttal. No explanation is given nor is any source of information if any with regard to want of title is mentioned. I am unable to fault the holding of the Court of Appeal to the effect that the affidavit of Asuman Kiyingi was unchallenged.

With regard to the burden of proof I do not accept the arguments in the written submissions of the counsel for the Appellant that the Justices of the Court of Appeal shifted the burden of proof to the Appellant. By requiring the Appellant to adduce some evidence to challenge the objector's claim the Justices of the Court of Appeal did not shift, the burden of proof. The objector, in their view, had adduced sufficient evidence to establish its interest in the disputed property. As the Appellant denied such interest it had to adduce some evidence in rebuttal to disprove the claim. If the Court of Appeal had rejected the affidavit of Kiyingi there would have been no evidence to challenge. However, to swear an affidavit and say that the property does not belong to the claimant was no evidence to controvert the objector's claim. I agree with the observation of Kitumba JA that since the evidence relied on in the matter was by way of affidavit, it had to be challenged by way of affidavit in reply. Hence the Learned Justice rightly held in her judgment that:

> "There was not affidavit in reply from the Respondent to show that it had knowledge that the property did not belong to the Appellant. I find that the facts deponed to in the affidavit of Kiyingi were not contradicted".

I agree with the Learned Counsel for the Appellant that as it was held in the case of *Ssebuliba v Co-operative Bank Limited* [1982] HCB 129 "a party can only be

called upon to disprove or rebut what has been proved by the other side". Clearly, in the present case as found by the Court of Appeal the objector adduced sufficient evidence of its claim in the disputed property to justify requiring the Appellant to adduce evidence to disprove or rebut it. The Learned DCJ Manyindo agreeing with Kitumba JA in his judgment "the evidence of Mr Kiyingi to the effect that all the motor vehicles and caterpillar appearing in the schedule to the warrant of attachment and sale of movable property were paid for by the Appellant was not challenged or contradicted by the Respondent". The Court of Appeal was not calling upon the Appellant to disprove what had not been proved but the objector had established. For the aforesaid reasons, grounds, 1, 2 and 3 must fail.

As indicated in the beginning I will take grounds 4 and 5 of the memorandum of appeal and consider them together as they are somehow interrelated.

Ground 4 reads that:

> "The Learned Justices erred in law and fact by holding that the Appellant had established being in possession of the property on its own account".

Ground 5 states:

> "The justices erred in law by holding that in objection proceedings the question to be investigated was one of the possession and that ownership was not".

From the evidence adduced by even the Appellant it is not disputed that at the time the order of attachment was issued the disputed property was in the hands of the objector. In his affidavit in reply John Baptist Kiiza under paragraph 3 depones that:

> "When I proceeded to execute the warrant I was frustrated by the Corporation Secretary of the objector, Mr Kakooza and the legal officer Mr Asuman Kiyingi who gave strict instructions to Saracen Guards at the site to deny us entry in order to carry out the execution".

The same averment is repeated in the affidavit in reply of Ashok Sharma.

There is no doubt, the fact that the execution was frustrated by the agents of the objector, was clear evidence that the objector had actual possession of the disputed property. The only issue to decide was whether the objector was holding possession on its own account or on account of the judgment/debtor as claimed by the Appellant. In the instant case the objector had to prove ownership as claimed in the pleadings. The contention in the submissions of counsel for the Appellant is that the objector did not adduce satisfactory evidence to prove the claim to ownership. To them the Learned trial Judge rightly rejected the objector's claim to the disputed property in the terms of Order 19, rule 58 of the Civil Procedure Rules which reads as follows:

> "Where the court is satisfied that the property was, at the time it was attached, in the possession of the judgment/debtor as his own property and not on account of any other person in trust for him or in occupancy of a tenant or other person paying rent to him, the court shall disallow the claim".

As such counsel argued, the Court of Appeal should have re-evaluated the available evidence in light of Order 19, rules 55, 56 and 58 of the Civil Procedure Rules. Failure to do so, was in their submission a misdirection on the part of the court.

On the evidence adduced by the objector, as to ownership of the disputed property, there was no need for Kitumba JA to caution herself about the difference in the provisions under Order 19, rule 56 of the Civil Procedure Rules and the corresponding ones of Order 21, rule 59 of the Indian Code of Civil Procedure which read as follows:

> "19(56) The claimant or objector shall adduce evidence to show that at the date of attachment he had some interest in the property attached".
>
> "21(59) The claimant or objector, must adduce evidence to show that at the date of attachment he had some interest in or was in possession of the property attached".

The objector proved both possession and interest. Mere failure to mention the distinction as suggested by counsel for the Appellant did not affect the objector's interest in the dispute property. I agree with the Learned Justices of the Court of Appeal that the affidavit evidence of Asuman Kiyingi clearly shows how the disputed property came to be acquired by the objector.

The submission by the counsel for the Appellant that DCJ Manyindo avoided the important element of the objector's possession on account is not supported by evidence on record. The Learned DCJ did not avoid this issue but on close examination of the evidence on record dealt with it. The point he wanted to make was that at that stage and considering the nature of the claim the objector was not required to "definitely and conclusively" prove ownership of the disputed property. All that was required to be done was to establish possession on account or adduce satisfactory evidence of ownership. The Learned DCJ Manyindo wanted to correct the wrong impression created by the High Court which like counsel for the Appellant, had put the standard of proof higher than on the balance of probabilities which was too high in a civil matter.

I support the holdings of the Justice of the Court of Appeal to the effect that the objector adduced sufficient proof of ownership. I agree with them that the affidavit evidence of Kiyingi as to ownership of the said property was uncontroverted or not contradicted. The Court of Appeal had all the evidence on which to base its findings on this issue. There was no need for any re-evaluation as submitted by counsel for the Appellant. The fact that the disputed property was still registered in the name of the judgment/debtor was not detrimental to the objector's claim nor conclusive evidence of ownership by the judgment/debtor. I agree with DCJ Manyindo that whilst registration leads to presumption of ownership it cannot be conclusive evidence of ownership. It is rebuttable as it was successfully done in the present case.

I do not accept the submission of the counsel for the Appellant that the standard of proof is higher than "balance of probabilities". There is no doubt the trial Judge applied a higher standard of proof than was required in interlocutory applications of the present nature. I also disagree with his (counsel's) submission that the Learned DCJ Manyindo wrongly held that an objection application is an interlocutory application. Order 19, rule 60 of the Civil Procedure Rules is very clear on this point. It provides that:

> "Where a claim or an objection is preferred, the party against whom an order is made may institute a suit to establish the right which he claims to the property in dispute but subject to the result of such suit, if any, the order shall be conclusive".

The order remains conclusive but subject to the outcome of the suit otherwise there would be no point in instituting such a suit by the aggrieved party. For the aforesaid reasons, grounds 4 and 5 must also fail.

The sixth and last ground of Appeal is that:

> "The Learned Justices erred in law by holding that in the instant case since the property had not been attached yet, the question of releasing it did not arise and all court had to do was to direct that the property remains in the hands of the Appellant".

In view of the aforesaid holdings I find it hard to understand what the complaint on the court's order is all about. It is not disputed that although the order of attachment was issued by the High Court the disputed property was never attached. At the time the objection application was filed into court and decided, the suit property was and is still in possession of the objector. The Court of Appeal having ruled that, the objector, had proved its claim of ownership in respect of the disputed property the only logical and sensible order to make was to leave it where it was. It was immaterial whether or not the attachment of the disputed property was an issue in the High Court or not. Whichever case it was, the objector was entitled to retain possession thereof. There was no misdirection on the part of the Court of Appeal. Ground 6 must also fail.

In the premises, this appeal must fail. I would dismiss it with costs to the objector in this Court and in both the Court of Appeal and High Court.

Wambuzi CJ: I had the benefit of reading in draft the judgment prepared by Mukasa-Kikonyogo JSC and I agree that this appeal should be dismissed.

Quite clearly, the trial court was in error in holding that the objection failed on account of the respondent's failure to prove that it owned the property in question. In the case of *Harilal and Co v Buganda Industries Ltd* [1960] EA 318 where the objector alleged that the property had previously been sold to him, Lewis J said at 319:

> "What has to be decided under Order 19, rule 55, which is the Indian Order 21, rule 58 is set out in *Chitaley and Rao's Code of Civil Procedure* (6ed) at 1880:
>
> 'What is to be investigated is indicated by the next three following rules, viz rule 59, rule 60 and rule 61. The question to be decided is, whether on the date of the attachment, the judgment-debtor or the objector was in possession, or whether the court is satisfied that the property was in the possession of the objector, it must be found whether he held it on his own account or in trust for the judgment/debtor. The sole question to be investigated is, thus, one of possession. Questions of legal right and title are not relevant, except in so far as they may affect the decision as to whether the possession is on account of or in trust for the judgment/debtor or some other person. To that extent the title may be part of the inquiry. But ultimate question of trust, or complicated questions like the benami nature of a transaction, are not within the scope of the inquiry and are not intended to be gone into'.
>
> As pointed out by Mr Justice Sadasiva Ayyar in *Ramaswami Chetty v Mallapa*:
>
> 'In summary proceedings held in accordance with certain statutory provisions intended for speedy disposal of 'emergent' disputes, the court may be prohibited from going into complicated questions of title or investigating complicated questions like fraud, trust and so on, while giving the party defeated in the summary inquiry, the right to have the whole matter and all the questions which are in dispute fully investigated in an ordinary regular suit ... the court is bound to order the release of the attached property if it finds possession in the claimant on his account, event if there is title and disposing power remaining in the judgment debtor'".

The Court of Appeal, quite rightly in my view, endorsed those principles.

As all the other members of the court agree with the judgment and proposed orders of Mukasa-Kikonyogo JSC, there will be orders in the terms proposed by the Learned Justice of the Supreme Court.

(Karokora, Mulenga and Kanyeihamba JJSC concurred in the judgment of Mukasa-Kikonyogo JSC).

For the Appellant:
Lumweno

For the Respondent:
JB Byamugisha instructed by *Byamugisha & Rwaheru*

Walji v Semakula
[1999] 1 EA 361 (SCU)

Division:	Supreme Court of Uganda at Mengo
Date of ruling:	15 July 1998
Case Number:	40/95
Before:	Wambuzi CJ, Oder and Kanyeihamba JJSC
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Civil procedure – Pleading – Special damages not pleaded – Whether special damages would be awarded if proved in evidence.

[2] Constitution – Interpretation of the Constitution – Any question as to interpretation of the Constitution to be raised at trial and not on appeal – Party who wishes to rely on section of the Act being unconstitutional to put it in notice – Rule 91 –Rules of Supreme Court of 1972.

[3] Land – Lease – Right of re-entry – Whether re-entry into the demised premises constituted a dealing in suit property per the provisions of the Expropriated Properties Act of 1982 – Whether such re-entry nullified – Section 1(2)(a) – Expropriated Properties Act of 1982.

Editor's Summary

The Appellant had been granted a lease by the Respondent, for a period of 49 years beginning 29 May 1955. The lease agreement contained covenants on the part of the lessee, *inter alia*, that the lessee should pay a stated yearly rent; use the property for residential purposes only; keep the building erected thereon in good and tenantable condition, clean and tidy; and to allow the lessor, his servants or agents once a year during the term of the lease to enter upon the suit property to review the state of repair. There was a condition in the lease for re-entry by the Respondent or his transferee in case the rent or part thereof fell into arrears for a period of thirty days, or the Appellant was in breach of any other covenant.

The Appellant left Uganda in 1972 during the expulsion of Asians by the Idi Amin regime. Consequently, the property was taken over by the Departed Asians Property Custodian Board, a body established by law to manage the property of Asians who had been expelled.

The Board acted in breach of several covenants contained in the lease agreement and the

Respondent (lessor) in 1980, on grounds of the alleged breaches and in accordance with the terms of the lease agreement, and pursuant to

section 102(6) of the Registration of Titles Act (Chapter 205), re-entered and took possession of the suit property. The Respondent also notified the Board of his act of re-entry, and applied to the registrar of titles to note his re-entry upon the title to the suit premises.

Thereafter, the Appellant returned to Uganda and obtained a repossession certificate in respect of the suit property in 1988, pursuant to the provisions of the Expropriated Properties Act of 1982. On the strength of the repossession certificate, the Appellant attempted to evict the Respondent from the suit property. The Respondent resisted the eviction attempt by filing suit for special and general damages for threatened trespass.

At trial, the Respondent's suit was based on the lease agreement having been terminated due to the breach of the covenants by the Board, which was contended to be a successor in title who had assumed both the rights and obligations of the Appellant in the lease agreement.

The trial court found in favour of the Respondent, asserting that he was the rightful owner of the suit property, that the Appellant had breached the conditions of the lease agreement and that the Respondent was therefore entitled to re-enter and stay in the suit property. The Respondent was also awarded general damages in the sum of UShs 3 000 000.

On appeal, the main point of contest was whether the Respondent's re-entry into the suit property, was a dealing in the suit property, which had been nullified by provisions of the Expropriated Properties Act of 1982 and whether the provisions of the Expropriated Properties Act of 1982 superceded the provisions of any written law, including those of the Registration of Titles Act. The legality of the damages awarded was also questioned. The constitutionality of section 1(2)(*a*) of the Expropriated Properties Act was also questioned in that it deprived the Respondent his right to property without compensation.

Held – The Respondent's re-entry, had the effect of transferring the suit property from the Custodian Board to himself. The re-entry was a dealing in the suit property, which was nullified by section 1(2)(*a*) of the Expropriated Properties Act of 1982; *Tanna v Muyinza and another* [1992] LLR 45 (SCU) applied.

Since the Respondent's re-entry and repossession were nullified by Act 9 of 1982, there was no basis for him to claim damages for the alleged threatened trespass. The Respondent did not plead special damages, and such damages cannot be awarded even if it were to be assumed that the evidence adduced tended to prove special damages. However, the Respondent had other avenues to recover the expenses he incurred in improving the suit property.

If any question as to the interpretation of the Constitution arose, arises, or can be raised, during the trial of a case, it should be done before the trial court and not on appeal from the High Court. Also, if the Respondent wished to rely on section 1(2)(*a*) of the Expropriated Properties Act being unconstitutional, then the Respondent should have put it in a notice under the Rules of the Court. Appeal allowed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means

disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)
Tanna v Muyinza and another [1992] LLR 45 (SCU) – **AP**

Judgment

Oder JSC: This is an appeal by the party who lost a suit in the High Court as the defendant. The present Respondent was the successful plaintiff in the suit.

In 1955 the Respondent granted a lease to the Appellant of *mailo* register volume 926, folio 9, plot 153, Balintuma Road in Kampala (referred to hereinafter as "the suit property"). The Appellant was an Indian merchant at the material time. The lease was for a period of 49 years beginning 29 May 1955.

The lease agreement contained the usual covenants on the part of the lessee, but of particularly relevance to this case were the covenants that the Appellant should: pay a yearly rent of UShs 800, payable in advance by equal half yearly instalments, use the suit property for residential purpose only, keep the buildings erected thereon in good and tenantable condition, clean and tidy and allow the Respondent, his servants or agents once a year during the lease to enter upon the suit property to review the state of repair thereof.

The lease agreement also provided that in case the rent or any part thereof fell in arrears for a period of thirty days, or the Appellant was in breach of any of the other covenants to be observed on his part, then the Respondent or his transferee was entitled to re-enter and take possession of the suit property.

In 1972, the Appellant left Uganda during the expulsion of persons of Asian origin from Uganda by the regime of Idi Amin. Consequently, the suit property was taken over by the Departed Asians Property Custodian Board a body which had been established by law to manage the property of Asians who had been so expelled.

During 1980 the Board apparently acted in breach of several of the covenants contained in the lease agreement made between the Respondent and the Appellant in respect of the suit property.

In 1980, the Respondent, on grounds of the alleged breaches and in accordance with the terms of the lease agreement, and pursuant to section 102(6) of the Registration of Titles Act (Chapter 205), re-entered and took possession of the suit property. The Respondent also notified the Board of his act of re-entry, and applied to the registrar of titles to note his re-entry upon the title to the suit premises.

Thereafter, the Appellant apparently returned to Uganda and obtained a repossession certificate in respect of the suit property on 31 October 1988, pursuant to sections 4 and 5 of the Expropriated Properties Act of 1982 (referred to hereinafter as "Act 9 of 1982").

On the basis of the repossession certificate, the Appellant attempted to evict the Respondent from the suit property, using the services of a firm of auctioneers. The Respondent resisted the attempted eviction and filed the suit already referred to earlier in this judgment.

The suit was for special and general damages for threatened trespass. The Respondent alleged in his plaint that the Board had acted in breach of the covenants in the lease agreement binding the Appellant, namely that the Board

failed to pay the stipulated rent, failed to keep the suit property in good and tenantable condition, and sublet the suit property. It was also contended in the plaint that the Board as successors in title had assumed both the rights and obligations of the Appellant in the lease agreement, and that upon the Respondent's re-entry and repossession of the suit property, the lease agreement was terminated for all intents and purposes and the Appellant no longer had rights derived therefrom.

The Respondents' prayers in the suit were for:

"(*a*) General damages for threatened trespass;

(*b*) A declaration that the Respondent was the rightful owner of the suit property;

(*c*) Interest on the decretal amount at the rate of 12% per annum from the date of judgment till payment in full;

(*d*) Costs of the suit;

(*e*) Any other alternative relief as the honourable court would deem fit".

The Appellant resisted the suit, denying that he had abandoned the suit property. In the alternative it was contended that if the Appellant had abandoned the suit property, the lease agreement in question was resumed by the issue to the Appellant of the repossession certificate under the provisions of Act 9 of 1982.

At the trial of the suit, a number of issues were framed. Those relevant to this appeal are:

"1. Whether the Respondent was the rightful owner of the suit property.

2. Whether the Appellant breached the conditions of the lease agreement.

3. Whether the Respondent was entitled to re-enter and stay in the suit property.

4. If the answer to first issue in the negative, then was the Appellant entitled to the ownership of the suit property?

5 ...

6. Whether the Respondent was entitled to the reliefs sought".

It appears that the Learned trial Judge's answer to the first issue was in the affirmative. His answers to the second and third issues were clearly in the affirmative. In the light of his answers to the second and third issues, the Learned trial Judge saw no need to answer the fourth issue. With regard to the issue concerning any apparent discrepancies in the description of the suit property and of the Respondent, what can be gathered from the judgment of the Learned trial Judge is that there were such discrepancies in the plaint and in the repossession certificate (exhibited). Whereas the suit property was described in the lease agreement as "plot number 153, Balintuma Road, Mengo, it is described in the repossession certificate as "plot number 153/1 and 153, Balintuma Road, Mengo". There was a second discrepancy. This concerned the names of the Appellant – whether it was "Noor Mohamed" as stated in the lease agreement, or Noor Charania Walji as stated in the plaint. As far as can be gathered from his judgment, the Learned trial Judge found that the suit property as described in the lease agreement, in the plaint, and in the repossession certificate was one and the same property. It was the suit property. Concerning the names of the Appellant, the Learned trial Judge apparently found that the names in question all described the same person, namely the Appellant. This must be so, because at the hearing of the appeal before us, counsel for both the parties so agreed.

The Learned trial Judge's answer to the sixth issue was also in the affirmative. He concluded his judgment thus:

> "... Accordingly enter the desired declaratory judgment for the plaintiff as prayed and award general damages for trespass in the sum of UShs 3 million, the interest on the decretal amount at the court rate from the date hereof till payment in full as well as the costs of the suit".

When the appeal first came for hearing before us on 18 May 1988 only the Appellant and his counsel, Mr *Mwesigwa Rukutana*, assisted by Mr *Kato Sekabanja*, appeared. The Respondent was absent, though his lawyers M/s Kayondo and Company Advocates, had been served with hearing notice. At first Mr *Rukutana* wished to proceed *ex parte*, but he could not do so, because he also applied to file an amended memorandum of appeal, which application was granted by the court. However, as it was necessary for the absent Respondent to be served with the amended memorandum of appeal, the hearing of the appeal was adjourned to 25 May 1998.

On the latter date, the Appellant was represented by his counsel as before, and the Respondent was represented by Professor *Kakooza* of M/s Kayondo and Company Advocates. The learned Professor, however, applied for an adjournment of another date, on the ground that Mr Kayondo SC who had been personally handling the case before, had gone abroad for medical treatment, and his return to Uganda had been delayed due to his passport having been lost. The application for adjournment was objected to by the Appellant's learned counsel, Mr *Rukutana*, on the ground that the learned Professor had previously appeared for the Respondent in this case when, on 26 February 1998, Mr *Rukutana* successfully argued for restoration of the appeal after it had been dismissed for want of prosecution. The application for adjournment was objected to on another ground, which was that on 18 May 1998, counsel from the firm of M/s Kayondo and Company Advocates brought a written note that both Mr Kayondo SC and Professor *Kakooza* who had charge of the case were absent abroad.

The court upheld the objection by the learned counsel for the Respondent, and ordered the hearing of the appeal to proceed.

Six grounds of appeal were set out in the amended memorandum of appeal but the sixth ground was, in effect, not a ground of appeal but a prayer.

> "1. The Learned trial Judge erred in law when he held that the Appellant's willingness to pay the arrears of rent and his offer to do so was too late, and that the Respondent was entitled to re-entry under sections 102 and 105 of the Registration of Titles Act.
>
> 2. The Learned trial Judge erred in law when he held that the Respondents purported re-entry was valid and had not been affected by the provisions of the Expropriated Properties Act of 1982.
>
> 3. The Learned trial Judge erred in law and fact when he held that the Defendant was liable to pay damages of UShs 3 million and interest thereon and the costs of the suit.
>
> 4. The Learned trial Judge erred when he passed judgment and made orders against the Appellant without resolving the issues regarding his identity and the identity of the suit property.
>
> 5. The Learned trial Judge erred when he found as fact that the description of the suit property which was returned to the Appellant was strange and that the descriptions related to different properties".

Mr *Rukutana* learned counsel for the Appellant first took the first and second grounds together. Under these grounds, he submitted that there was no dispute

that the suit property vested in government and fell under the management of the Board after the Appellant left Uganda in 1972. The learned counsel contended that the provisions of Act 9 of 1982 applied to the Board after the Appellant left Uganda in 1972. The learned counsel contended that the provisions of Act 9 of 1982 applied to the suit property. In the circumstances, it was said, the Respondent's re-entry could not stand in view of the provisions of section 1(1)(*a*) and subsection (2)(*a*) of the Act. The Respondent's purported re-entry was a dealing in the suit property under section 1(2)(*a*) and since the suit property had vested in the government and subsequently vested in the Board, the Respondent's re-entry to the suit was a dealing nullified by Act 9 of 1982.

The learned counsel further submitted that the provisions of subsection (2) superceded the provisions of any written law, including those of the Registration of Titles Act, empowering a lessor to re-enter land on breach by the lessee of covenants provided for by a lease.

This means, it was contended, that any law or agreement which conflicts with the provisions of the subsection is nullified. For his submission the learned counsel relied on the case of *Tanna v Muyinza and another* [1992] LLR 45 (SCU).

The learned counsel concluded on this point that the provisions of section 1(2)(*a*) of Act 9 of 1982 nullified the Respondents re-entry, because the re-entry was prior to the coming into force of Act 9 of 1982.

In reply Professor *Kakooza*, the learned counsel for the Respondent, submitted that the lease and the Respondent's power to re-enter under the lease was not in dispute. The only point to be resolved in this case was whether Act 9 of 1982 applied to the suit property.

Was the Respondent's re-entry "dealings" in land under section 1(2)(*a*)? The learned counsel contended that it was not, because by exercising his right of re-entry, the Respondent did not "deal" with anybody else. He acted alone. "Dealing", it was contended involves two or more parties. One cannot "deal" with oneself. The ordinary meaning of the word "dealings" used in subsection (2)(*a*) must mean dealings between two or more persons.

Secondly, the learned counsel contended that the Respondent's re-entry on to the suit property did not amount to "purchases", "transfers", or "grants" of the suit property in the way meant in subsection (2)(*a*) of Act 9 of 1982.

Thirdly, it was contended that section 1(1) and (2)(*a*) and (*b*) of the Act did not apply to the suit property because, if it did, the Respondent would be deprived of his constitutional right to the suit property. In passing Act 9 of 1982, it was said, it could not have been the intention of Parliament to deprive persons in the Respondent's situation to be deprived of their constitutional right to property. The learned counsel acknowledged that this point of that section 1(1), (2)(*a*) and (*b*) was unconstitutional was neither raised nor argued in the trial court.

Indeed the provisions of Act 9 of 1982 which are relevant to this case are in section 1(1), (2)(*a*) and (*b*). They say:

> "1 (1) Any property or business which was;
>
> (*a*) Vested in the government and transferred to the Departed Asians Property Custodian Board under the Assets of Departed Asians Decree of 1973,
>
> (*b*) …
>
> (*c*) …

shall, from the commencement of this Act, remain vested in the government and managed by the Ministry of Finance.

(2) For the avoidance of doubt, and not withstanding the provisions of any written law governing the conferring of title of land, property or business and passing or transfer of such title it is hereby declared that:

(*a*) any purchases, transfer and grants of, or any dealings of whatever kind in, suit property or business are hereby nullified.

(*b*) where any property affected by this section was at the time of its expropriation held under a lease or an agreement for a lease, or any other specified tenancy of whatever description and where such lease, agreement for a lease or tenancy had expired or was terminated, the same shall be deemed to have continued, and to continue in force until such property has been dealt with in accordance with this Act, and for such further period as the Minister may be regulations made under this Act prescribe".

In the instant case the lease of the suit property was terminated by the Respondent's re-entry in 1980. Consequently, subsection (2)(*b*) of Act 9 of 1982 applies, and the lease must be deemed to have been revived by subsection (2)(*b*) of the Act.

The case *Tanna v Muyinza and another* [1992] LLR 45 (SCU) is relevant to the instant case. In that case the property which was the subject matter of a suit in the High Court was originally owned by one VD Desai who, on 21 December 1965, executed a legal mortgage in favour of the Uganda Commercial Bank (UCB) as security for a loan from that Bank. The mortgage was registered as an encumbrance on the property. In 1972 Desai left Uganda as a "departed" Asian. Consequently the property was expropriated by the Uganda Government. In 1972, the property was vested in the Departed Asians Property Custodian Board, created by virtue of the provisions of the Assets of Departed Asians Decree of 1973. Owing to a default in payment under the relevant mortgage agreement, the property was sold by public auction to the Appellant in that case on 22 February 1982. The sale was effected on Uganda Commercial Bank's instruction as the mortgagee to recover the loan due under the mortgage. Attempts to register the transfer to the purchaser at first failed, but was later effected on a court order. By then the property was occupied by the first respondent as the tenant of the Departed Asians Property Custodian Board. The tenant however refused to recognise the purchaser's claim to the property as the person who had purchased the property or to enter into a tenancy agreement with him. Consequently, the purchaser sued the Custodian Board and its tenant for a court declaration that he was the rightful owner of the property as the person who had purchased the property in a public auction under the mortgage. Only one issue was agreed for decision by the trial court. It was whether the property was sold lawfully to the purchaser by Uganda Commercial Bank, as the mortgagee, and the purchaser obtained good title or whether no property passed and the property still belonged to the Custodian Board. In view of the provisions of Act 9 of 1982, the main point for decision in that case was whether the sale and transfer of the property to the purchaser under the mortgage was nullified by the Act, which was enacted subsequent to the sale and transfer. In essence the trial court answered that question in the negative and allowed the purchaser's suit. On appeal, this Court overturned the judgment of the lower court and decided that the sale and transfer of that property under the mortgage was nullified by the provisions of Act 9 of 1982. Wambuzi CJ, after setting out the provisions of section 1(1), (2) and (3) of the Act said:

> "Having regard to these provisions I have no doubt in my mind that the sale and transfer of the property in this appeal were nullified, and I would accordingly agree that this appeal should fail".

In the leading judgment of Oder JSC he said:

> "According to the agreed facts the suit property was sold to, and purchased, by the Appellant on 22 February 1982 in the process of enforcement by Uganda Commercial Bank of its rights of sale as the mortgagee. Subsequent to the sale Uganda Commercial Bank transferred the title to the Appellant. The purchase and transfer in question, in my view, were nullified by section 1(2)(*a*) of the Act notwithstanding any written law under which Uganda Commercial Bank was entitled to sell and transfer to the Appellant the suit property as the mortgagee".

In my view, this Court's decision in *Tanna v Muyinza and another* [1992] LLR 45 (SCU) is still good law.

In the instant case, it is common ground that the Appellant was a "departed" Asian that after he left Uganda in 1972 the property was expropriated by the Uganda Government and vested in the Departed Asians Property Custodian Board by the Assets of the Departed Asians Decree of 1973, the predecessor of Act 9 of 1982; that after the suit property was expropriated in 1972, the suit property was managed by the Custodian Board until the Appellant obtained repossession thereof in 1985; and that when the Respondent effected his re-entry the suit property was still under the management of the Custodian Board. In those circumstances I have no doubt in my mind that Act 9 of 1982 applied to the suit property. The only question is whether the Appellant's re-entry having been subsequent to the Act, was one of the incidences nullified by the Act.

In my view the Appellant's re-entry, had the effect of transferring the suit property from the Custodian Board to himself. The Appellant took all the necessary steps to effect his re-entry. He notified the Custodian Board, although the Board did not respond to the notice. In a letter dated 14 January 1982, (exhibited) the Chief Registrar of Titles also notified the Custodian Board of the Respondent's re-entry onto the suit property. The letter said in part:

> "2. The lessee sublet the leased premises without the landlord's consent.
>
> 3. The lessor re-entered upon the leasehold premises in strict conformity with clause 3 of the lease agreement, during May 1979 and his physical occupation of the same has never been challenged or disturbed by lessor (*sic*) since that time.
>
> Take notice therefore, that unless you show cause to the contrary this office may proceed to note the re-entry in the register book in accordance with the provisions of the law relating to re-entry, after the expiration of 30 days from the date of this notice is served upon you".

It appears that the Custodian Board did not respond to the Chief Registrar's notice of the Respondent's re-entry on the suit property either.

From all these facts it is clear in my view that the Respondent effected a re-entry, as he was entitled to do under the lease agreement with the Appellant, and in accordance with the provisions of sections 102 and 113 of the Registration Titles Act (Chapter 205).

As far as section 1(2)(a) of Act 9 of 1982 was concerned I think that the Respondent's action did not fall under "purchases, transfers or grants" of the suit property in their ordinary meaning as apparently used in the subsection. But I have no doubt that it was a dealing in the suit property. It fell under the expression "any dealings of whatever kind in" the suit property, which was nullified

by that subsection. By his action of re-entry the proprietary interest in the suit property reverted to the Respondent. Moreover the Respondent did not act alone, in my view. He notified the chief registrar of titles of his re-entry, who in turn notified the Custodian Board of the same.

In the circumstances, I have no doubt that the Respondent's re-entry was nullified by section 1(2)(a) of Act 9 of 1982. With respect therefore, I am unable to agree with the learned counsel for the Respondent.

The first and second grounds of appeal must therefore succeed.

As the Respondent's re-entry and repossession were nullified by Act 9 of 1982, it is my view that there was no basis for him to claim damages for the alleged threatened trespass. The learned counsel for the Appellant, nevertheless, argued this point under the third ground of appeal. He said that as the Respondent in his suit claimed for general damages for threatened trespass, he had to prove that as a result of the threat by the Appellant, he incurred damages. However, the Respondent's evidence did not indicate how he incurred any damages as a result of the threatened trespass. There was no evidence at all to that effect.

In reply, Professor Kakooza, learned counsel for the Respondent submitted that the Respondent's evidence showed that he was attacked by auctioneers who had been sent by the Appellant's lawyers, M/s Mulira and Company, who wanted to remove him out of the house. The Learned trial Judge awarded UShs 3 million as general damages for the threatened trespass because there was evidence to prove wrongs done on behalf of the Appellant, so the learned counsel contended. The learned counsel referred to the Respondent's evidence that he paid more than UShs 2 million to secure the suit premises, but he also conceded that no special damages was pleaded or proved.

The Respondent's evidence in this regard is as follows:

> "I re-entered the house in 1980 because the house was not locked after the house was not repaired. The house was being pulled down … and other fixtures were being removed, the compound had grown wild. I had to clear the bush and repair the house before I occupied it.
>
> I had to engage some people to stay with me, because the security in the area was bad. I paid a lot of money more than 2 million to keep it. I had to sell my other land to raise the money. Under paragraph 3 of the lease – if the tenant was in arrears for payment of rent for a period of 30 days. I was entitled to re-enter. By 1980, the lessee had not paid rent for about two years, and had not kept the house in a clean condition. So, I re-entered ... It was then that I went in. I am in the house up to now … I was attacked by auctioneers sent by Mulira and Company. They wanted me to move out of the house. But I had filed this suit. I resisted the order through my lawyer".

My understanding of this evidence is that expenses incurred by the Respondent had more to do with repairing the suit property and for paying people he hired to stay with him at the house because security in the area was bad, than with resisting the threatened trespass by the Appellant's auctioneers. The Respondent did not say that the insecurity in the area was caused by the threatened eviction. It appears that there was insecurity in the area generally. Even if the expenses of UShs 2 million was incurred to resist the threatened eviction (which in my view it was not) the Respondent's evidence in that regard was more consistent with proof of special damages, which was not pleaded, than with proof of general damages, which was pleaded.

In his plaint, the Respondent did not plead that he suffered general or special damages. He pleaded loss and damage in general terms. The plaint stated, in part:

> "17. By reason of the aforesaid the plaintiff has suffered loss and is bound to suffer more damages unless the defendant is restrained by this honourable court".

The plaint ended in paragraph 20 with a prayer for, *inter alia*, "(*a*) general damages".

No doubt the Respondent's evidence showed that he incurred some quantifiable expenses as a result of his re-entry upon the suit property: such evidence, in my view was relevant to proving special damage which, as I have already said in this judgment, was not pleaded.

In *McGregor on Damages* (10ed) in paragraph 1498, the learned author states:

> "Where the precise amount of particular item of damages has become clear before the trial, either because it has already occurred and so become crystallized, or because it can be measured with a complete accuracy this exact loss must be pleaded as special damages".

I agree with this statement of the law about special damages.

In the instant case, the Respondent did not plead special damages. So, he cannot be awarded such damages even if it were to be assumed that the evidence he adduced tended to prove special damages.

In the circumstances, in my view and, with respect, the award to the Respondent of UShs 3 million as general damages should not have been made. The third ground of appeal must also succeed.

It is obvious that if by his suit in this case the Respondent does not recover the expenses he incurred in improving the suit property, he would not have obtained substantive justice, which is the objective of article 126(2)(*c*) of the present Constitution of Uganda. But I do not think that the legal requirement that special damages should be damages pleaded and proved, which the Respondent ought to have complied within the instant case, is a mere technicality, which the farmers of article 126(2)(*e*) had in mind. That legal requirement therefore, to my mind, does not offend the provisions of that article of the Constitution. The Appellant (as the defendant in the suit) was entitled to know precisely what case he had to meet. Hence the Respondent should have pleaded special damages in order to be entitled to recover by this suit the expenses incurred on the suit property after his (the Respondent's) re-entry on the same.

Secondly, the Respondent need not have completely lost out to recover the expenses he incurred on the suit property, because first, he would have recovered the expenses if he pleaded and proved them as special damages, as I have already alluded to in this judgment. Secondly he could have claimed for compensation under section 11(2) of Act 9 of 1982. Thirdly, he could have challenged the Minister's decision to issue to the Appellant the certificate of repossession. Section 14 of the same Act provides for an appeal to the High Court against a decision of the Minister.

Professor *Kakooza*, the learned counsel for the Respondent, raised a legal point that in so far as section 1(2)(*a*) had the effect of nullifying the Respondent's re-entry, the section was unconstitutional in that it deprived the Respondent of his right to property without compensation. This was contrary to article 13 of the 1967 Constitution, which prohibited deprivation of property without compensation. The 1967 Constitution was the one in force at the time material to this case.

In his reply, Mr *Rukutana*, learned counsel for the Appellant, contended that the Respondent ought to have raised constitutionality of section 1(2)(*a*) during the hearing of the case in the High Court, and not during the hearing of the case on appeal, as has been done now. Secondly, the learned counsel argued that alternatively, the Respondent ought to have given the ground of unconstitutionality of that section of Act 9 of 1982 in a notice supporting the trial court's decision on grounds other than those relied on by that court. Such notice was permissible under rule 91 of the Supreme Court Rules of 1972. Yet the Respondent did not file such a notice.

I agree with Mr *Rukutana*'s submission in this regard. In my view if any question as to the interpretation of the Constitution arose, arises, or can be raised, during the trial of a case under article 87, it should be done before the trial court, and not on appeal from the High Court. I also agree that if the Respondent wished to rely on section 1(2)(*a*) of Act 9 of 1982 being unconstitutional, the Respondent should have put it in a notice under rule 91 of the 1972 Rules of this Court.

For the reasons given I am of the view, with respect, that the point of constitutionality of section 1(2)(*a*) of Act 1982 raised before us by the learned counsel for the Respondent had no merit.

The fourth and fifth grounds of the appeal were conceded by the Respondent's learned counsel.

In the result, I would allow this appeal with cost in this Court and in the court below.

Wambuzi CJ: I have had the benefit of reading in draft the judgment delivered by Oder JSC and I agree that his appeal must succeed.

The facts are set out in the judgment of the learned Oder JSC. The main issue in this appeal is whether the Expropriated Properties Act of 1982 applies to the property under dispute. This is raised in the second ground of appeal.

In so far as is relevant, section 1 of the Expropriated Properties Act provides as follows:

> "1 (1) Any property or business which was:
>
> (*a*) Vested in the government and transferred to the Departed Asians Property Custodian Board under the Assets of Departed Asians Decree of 1973.
>
> (*b*) …
>
> (*c*) …
>
> Shall from the commencement of this Act, remain vested in the government and be managed by the Ministry of Finance.
>
> (2) For the avoidance of doubt, and notwithstanding the provisions of any written law governing the conferring of title to land, property or business and the passing or transfer of such title, it is hereby declared that;
>
> (*a*) any purchases, transfers and grants of, or any dealings of whatever kind in, such property or business are hereby nullified; and
>
> (*b*) where any property affected by this section was at the time of its expropriation held under a lease or an agreement for a lease, or any other specified tenancy of whatever description, and where such lease, agreement for lease or tenancy had expired or was terminated, the same shall be deemed to have continued, and to continue in force until such property has been

> dealt with in accordance with this Act; and for such further period as the Minister may by regulations made under this Act prescribe …"

From those provisions we can extract the following points:

1. Under section 1(1)(*a*) of the Act any property which was vested in the government and transferred to the Departed Asians Property Custodian Board under the Assets of Departed Asians Decree of 1973 remains vested in the government and is managed by Ministry of Finance;
2. Any dealings of whatever kind in such property are nullified. This is under section 1(2)(*a*); and
3. Under section 1(2)(*b*) not only is it clarified that such property includes any property held under a lease, but provides further that where such a lease was terminated, as in the case before us, the lease shall be deemed to have continued and to continue in force until such property had been dealt with in accordance with the Act".

Though the re-entry by the Respondent was valid in 1981, it was nullified on the coming into force of the Expropriated Properties Act in 1982 when the lease reverted, so to speak, in the government. To that extent, I agree that ground two should succeed.

Ground three complained that the Learned Judge erred in law and in fact when he held the defendant liable to pay damages of UShs 3 million and interest thereon.

Because the re-entry whereby the Respondent regained possession of his property was nullified in 1982, when the Respondent filed in his action in 1989, the leasehold was vested in the Appellant by virtue of the repossession certificate dated 31 October 1988. Technically the Appellant as lessee had legal possession of the property and could not therefore in law be guilty of trespass on the premises leased to him. To that extent I agree that ground three of the appeal should also succeed as no damages would be recoverable.

In my view, ground one does not arise. It makes no difference in this appeal whether the re-entry was valid or invalid. If valid, it was nullified and if invalid, it had no effect. In either case the property remains vested in the Appellant as leaseholder.

Professor *Kakooza*, counsel for the Respondent, raised a point of law to the effect that the Expropriated Properties Act of 1982 is unconstitutional as it purports to extinguish vested rights without compensation. Mr *Mwesigwa-Rukutana* objected, quite rightly, in my view, to the raising of this point which had not been raised in the court below and in respect of which no notice was served as required by rule 91 of the Rules of this Court applicable to this appeal to affirm the decision of the High Court on grounds other than or additional to those relied upon by the trial Judge.

Be that as it may, learned counsel has raised a very important point which as far as I am aware, has never been raised. In this case it appears the Respondent's re-entry was perfectly legal and the lease was terminated. Is nullification of the re-entry and recreation of the lease deprivation of property? If so, is it in any way contrary to article 13 of the Constitution which was in force at the time which provided that no property of any description shall be compulsorily taken possession of, and no interest in or right over property of any description shall be compulsorily acquired, unless certain conditions are met? For any court to answer these matters there must be proper pleadings. I would accordingly uphold Mr *Mwesigwa-Rukutana*'s objection.

There is some evidence that before the re-entry, the property had been neglected and the Respondent incurred considerable expenses on repairs. However, the plaint alleges breach of the terms of the lease, reference is made to the re-entry but there is no claim for any repairs. The only claim is for general damages for threatened trespass. Accordingly, the expenses which were not pleaded and which should have been pleaded as special damages are not recoverable.

(Kanyeihamba JSC concurred in the judgment Oder JSC).

For the Appellant:
M Rukutana and *K Sekabanja*

For the Respondent:
Kakooza instructed by *Kayondo & Co*